

Subject to compliance by the California Municipal Finance Authority and the Members of the California Obligated Group with certain covenants, in the opinion of Chapman and Cutler LLP, Bond Counsel, under present law, interest on the Bonds is excludable from gross income of the owners thereof for federal income tax purposes and is not included as an item of tax preference in computing the alternative minimum tax for individuals. Interest on the Bonds is exempt from the Personal Income Tax Law imposed by the State of California under Sections 17001 through 18181 of the California Revenue and Taxation Code. See "TAX MATTERS" herein for a more complete discussion.

\$120,000,000



CALIFORNIA MUNICIPAL FINANCE AUTHORITY

Revenue Bonds, Series 2021

(HumanGood – California Obligated Group)

Final CUSIP: 13048VXL7

Dated: Date of Delivery

Due: October 1, as shown on the inside cover hereof

The California Municipal Finance Authority (the "Authority") is issuing its \$120,000,000 Revenue Bonds, Series 2021 (HumanGood – California Obligated Group) (the "Bonds") pursuant to a Bond Trust Indenture, dated as of September 1, 2021 (the "Bond Indenture"), between the Authority and U.S. Bank National Association, as bond trustee (the "Bond Trustee"). The proceeds of the Bonds will be loaned to HumanGood NorCal, a California nonprofit public benefit corporation ("HumanGood NorCal"), pursuant to a Loan Agreement, dated as of September 1, 2021 (the "Loan Agreement"), between the Authority and HumanGood NorCal. HumanGood NorCal will use the proceeds of the Bonds, together with certain other moneys, to (i) finance the costs of remodeling, renovating, furnishing and equipping certain senior living facilities owned and operated by the Members of the California Obligated Group (hereinafter defined) and finance the costs of various capital enhancement projects relating thereto (the "Project"), and (ii) pay certain costs of issuance of the Bonds. See "SOURCES AND USES OF FUNDS" and "PLAN OF FINANCE" herein. Except as described in this Official Statement, the Bonds will be payable solely from and secured by a pledge of payments to be made under the Loan Agreement and the Series 2021 Obligation (hereinafter defined) issued by HumanGood NorCal, as California Obligated Group Representative (hereinafter defined), on behalf of itself and the other Members of the California Obligated Group, under the Master Indenture (hereinafter defined). The sources of payment of, and security for, the Bonds are more fully described in this Official Statement.

The Bonds are subject to extraordinary optional, optional and mandatory redemption prior to maturity as described herein under "THE BONDS – Redemption of the Bonds."

The Bonds will be registered only in the name of Cede & Co., as registered owner and nominee of The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository for the Bonds. Purchasers of the Bonds will not receive certificates representing their interests in the Bonds purchased. Ownership by the beneficial owners of the Bonds will be evidenced by book-entry only. Principal of and interest on the Bonds will be paid by the Bond Trustee to DTC, which in turn will remit such principal and interest to its participants for subsequent disbursement to the beneficial owners of the Bonds. As long as Cede & Co. is the registered owner as nominee of DTC, payments on the Bonds will be made to such registered owner, and disbursement of such payments will be the responsibility of DTC and its participants. See APPENDIX G – "BOOK-ENTRY ONLY SYSTEM" herein.

Maturities, Interest Rates and Prices or Yields Are Shown On The Inside Front Cover

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES AND OTHER FUNDS AND MONEYS PLEDGED AND ASSIGNED TO THE PAYMENT THEREOF UNDER THE BOND INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

This cover page contains certain information for quick reference only. It is not intended to be a summary of the security for or terms of the Bonds. Investors are instructed to read the entire Official Statement to obtain information essential to the making of an informed investment decision.

The Bonds are offered when, as and if received by the Underwriter, subject to prior sale and to the approval of certain legal matters by Chapman and Cutler LLP, Chicago, Illinois, Bond Counsel to the Authority. Certain legal matters will be passed upon for the Authority by its counsel, Jones Hall, A Professional Law Corporation, San Francisco, California; for the Members of the California Obligated Group by their special counsel, Dentons US LLP, Chicago, Illinois and by Bethany Ghassemi, General Counsel to the Members of the California Obligated Group; and for the Underwriter by its counsel and disclosure counsel, Ballard Spahr LLP, Phoenix, Arizona. It is expected that the Bonds in definitive form will be available for delivery through the facilities of DTC on or about September 29, 2021.



Official Statement dated September 16, 2021

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\$120,000,000
California Municipal Finance Authority
Revenue Bonds, Series 2021
(HumanGood – California Obligated Group)

DATED: Date Of Delivery

DUE: October 1, as shown below

<u>Maturity Date</u> <u>(October 1)</u>	<u>Principal Amount</u>	<u>Interest Rate</u>	<u>Price</u>	<u>Yield</u>	<u>CUSIP[†]</u>
2024	\$ 85,000	5.00%	113.535	0.46%	13048VWV6
2025	140,000	5.00	117.301	0.62	13048VWW4
2026	160,000	5.00	120.622	0.79	13048VWX2
2027	205,000	5.00	123.587	0.95	13048VWY0
2028	230,000	5.00	126.303	1.09	13048VWZ7
2029	290,000	5.00	128.834	1.21	13048VXA1
2030	330,000	5.00	131.447	1.29	13048VXB9
2031	400,000	5.00	133.611	1.39	13048VXC7
2032	475,000	5.00	132.733 ^C	1.47	13048VXD5
2033	560,000	5.00	131.970 ^C	1.54	13048VXE3
2034	655,000	5.00	131.320 ^C	1.60	13048VXF0
2035	750,000	5.00	130.031 ^C	1.72	13048VXG8

^C Priced to the par call date of October 1, 2031.

\$21,000,000 4.00% Term Bond due October 1, 2046 Priced at 117.361%^C to Yield 2.07%,
CUSIP 13048VXH6

\$21,550,000 3.00% Term Bond due October 1, 2046 Priced at 104.492%^C to Yield 2.49%,
CUSIP 13048VXJ2

\$36,500,000 4.00% Term Bond due October 1, 2049 Priced at 116.770%^C to Yield 2.13%,
CUSIP 13048VXK9

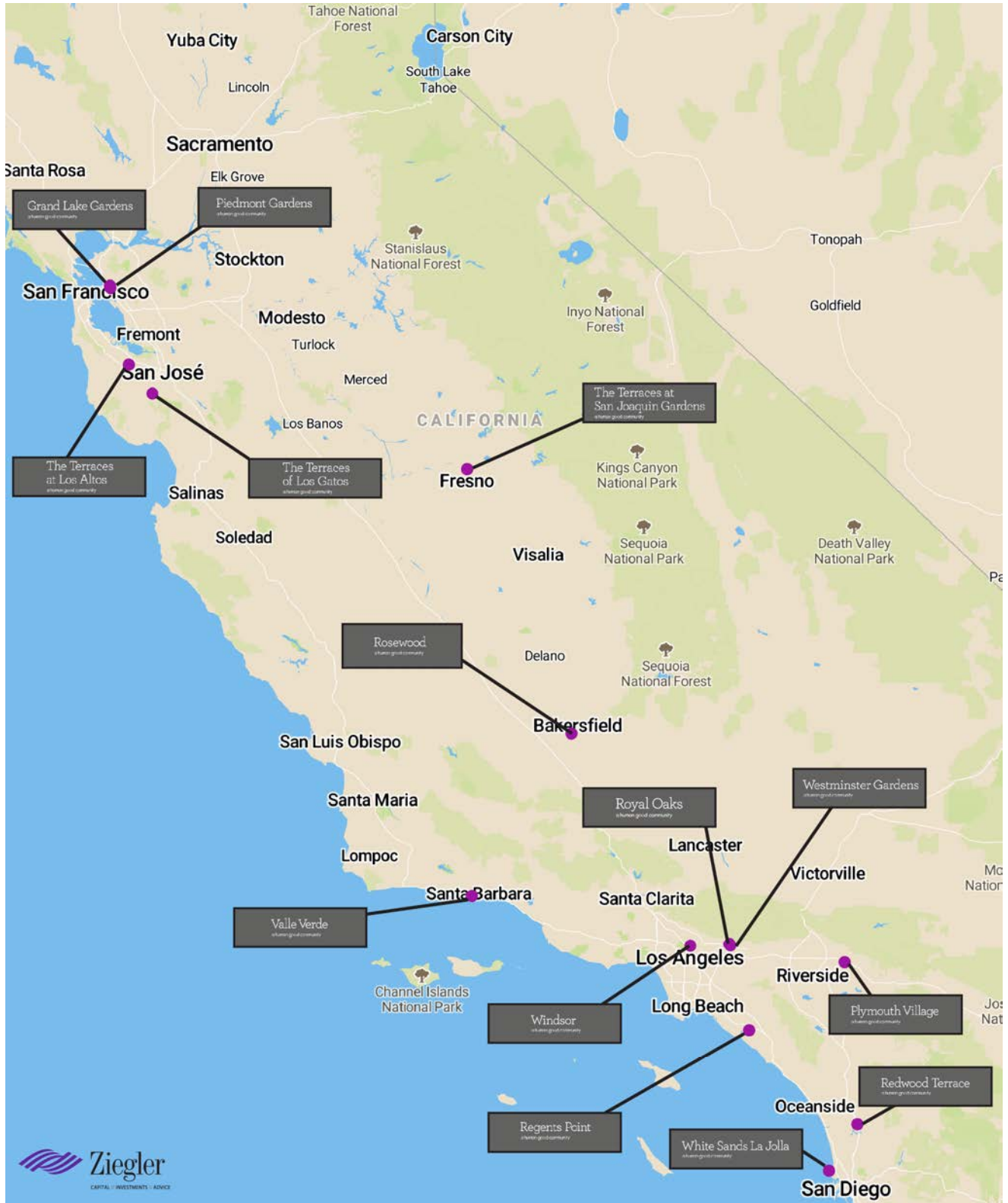
\$36,670,000 3.00% Term Bond due October 1, 2049 Priced at 104.041%^C to Yield 2.54%,
CUSIP 13048VXL7

^C Priced to the par call date of October 1, 2031.

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California Obligated Group



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REGARDING USE OF THIS OFFICIAL STATEMENT

The information set forth herein under the captions “THE AUTHORITY” and “LITIGATION – The Authority” has been furnished by the Authority. The information set forth herein in APPENDIX G – “BOOK-ENTRY ONLY SYSTEM” has been furnished by DTC. The information set forth herein under the caption “UNDERWRITING” has been furnished by the Underwriter. All other information in this Official Statement has been provided by the Members of the California Obligated Group or obtained from other sources identified herein that are believed to be reliable. Such other information is not guaranteed as to accuracy or completeness by, and is not to be relied upon as or construed as a promise or representation by, the Authority or the Underwriter. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement, nor any sale made hereunder, shall under any circumstances create any implication that there has been no change in the affairs of the Authority, DTC, the Bond Trustee, the Master Trustee or the Members of the California Obligated Group since the date hereof.

No dealer, broker, sales representative or other person has been authorized by the Authority, the Members of the California Obligated Group, any of their affiliated organizations, or the Underwriter to give any information or to make any representations other than those contained in this Official Statement and, if given or made, such other information or representations must not be relied upon as having been authorized by any of the foregoing. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of, the Bonds by any person in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale.

The Underwriter has provided the following sentence for inclusion in this Official Statement: *The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.*

In making an investment decision, investors must rely upon their own examination of the terms of the offering, including the merits and risks involved.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITER MAY OVER ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS AT LEVELS ABOVE THOSE WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZATION, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

THE BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, NOR HAS THE BOND INDENTURE OR THE MASTER INDENTURE BEEN QUALIFIED UNDER THE TRUST INDENTURE ACT OF 1939, AS AMENDED, IN RELIANCE UPON EXEMPTIONS CONTAINED IN SUCH ACTS. THE REGISTRATION OR QUALIFICATION OF THE BONDS IN ACCORDANCE WITH APPLICABLE PROVISIONS OF SECURITIES LAWS OF THE STATES IN WHICH BONDS HAVE BEEN REGISTERED OR QUALIFIED, IF ANY, AND THE EXEMPTION FROM REGISTRATION OR QUALIFICATION IN OTHER STATES CANNOT BE REGARDED AS A RECOMMENDATION THEREOF. NEITHER THESE STATES NOR ANY OF THEIR AGENCIES HAS PASSED UPON THE MERITS OF THE BONDS OR THE ACCURACY OR COMPLETENESS OF THIS OFFICIAL STATEMENT. ANY REPRESENTATION TO THE CONTRARY MAY BE A CRIMINAL OFFENSE.

U.S. Bank National Association, as Bond Trustee and Master Trustee, has not reviewed or participated in the preparation of this Official Statement and assumes no responsibility for the nature, contents, accuracy or completeness of the information set forth in this Official Statement or for the recitals contained in the Master Indenture, as supplemented, the Bond Indenture or the Bonds, or for the validity, sufficiency, or legal effect of any such documents. The Master Trustee and Bond Trustee have

no oversight responsibility and are not accountable for the use or application by the Authority of any of the Bonds authenticated or delivered pursuant to the Bond Indenture or for the use or application of the proceeds of such Bonds. The Master Trustee and Bond Trustee have not evaluated the risks, benefits, or propriety of any investment in the Bonds and make no representation, and have reached no conclusions regarding, the value or condition of any assets pledged or assigned as security for the Bonds, the technical or financial feasibility of the projects to be financed with the proceeds from the sale of the Bonds, or the investment quality of the Bonds, about all of which the Bond Trustee and Master Trustee express no opinion and expressly disclaim the expertise to evaluate.

**CAUTIONARY STATEMENTS REGARDING FORWARD-LOOKING
STATEMENTS IN THIS OFFICIAL STATEMENT**

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements are generally identifiable by the terminology used such as “plan,” “expect,” “estimate,” “budget” or other similar words.

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVES KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. NONE OF THE MEMBERS OF THE CALIFORNIA OBLIGATED GROUP PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THOSE FORWARD-LOOKING STATEMENTS IF OR WHEN ITS EXPECTATIONS, OR EVENTS, CONDITIONS OR CIRCUMSTANCES ON WHICH SUCH STATEMENTS ARE BASED, OCCUR.

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\$120,000,000
California Municipal Finance Authority
Revenue Bonds, Series 2021
(HumanGood – California Obligated Group)

INTRODUCTION

Purpose of this Official Statement

This Official Statement, including the cover, inside front cover and the Appendices (this “*Official Statement*”), is provided to set forth certain information in connection with the offering by the California Municipal Finance Authority (the “*Authority*”) of its \$120,000,000 Revenue Bonds, Series 2021 (HumanGood – California Obligated Group) (the “*Bonds*”).

The descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive, and reference is made to each document for the complete details of all terms and conditions. All statements herein regarding any such documents are qualified in their entirety by reference to such documents. This Introduction is intended only to serve as a brief description of this Official Statement and is expressly qualified by reference to the Official Statement as a whole, as well as the documents summarized or described herein. All capitalized terms used in this Official Statement and not otherwise defined herein are defined in APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST” and APPENDIX D – “SUMMARY OF THE BOND INDENTURE AND THE LOAN AGREEMENT”. This Official Statement speaks only as of its date, and the information contained herein is subject to change.

Purpose of the Bonds

The Bonds will be issued pursuant to a Bond Trust Indenture, dated as of September 1, 2021 (the “*Bond Indenture*”), by and between the Authority and U.S. Bank National Association, as bond trustee (the “*Bond Trustee*”). The proceeds of the Bonds will be loaned to HumanGood NorCal, a California nonprofit public benefit corporation (“*HumanGood NorCal*”), pursuant to a Loan Agreement, dated as of September 1, 2021 (the “*Loan Agreement*”), by and between the Authority and HumanGood NorCal.

HumanGood NorCal will use the proceeds from the sale of the Bonds, together with other available funds, to: (i) finance the costs of remodeling, renovating, furnishing and equipping certain senior living facilities owned and operated by the Members of the California Obligated Group (hereinafter defined) and finance the costs of various capital enhancement projects relating thereto (the “*Project*”), and (ii) pay certain costs of issuance of the Bonds. See “PLAN OF FINANCE” and “SOURCES AND USES OF FUNDS” herein.

The Authority

The Authority has not assumed responsibility for any information in this Official Statement, except for the information under the captions “THE AUTHORITY” and “LITIGATION – The Authority” herein. Although this Official Statement contains information from sources believed to be reliable, the Authority makes no representation as to the contents of this Official Statement other than those sections referenced above. THE AUTHORITY ASSUMES NO RESPONSIBILITY FOR THE ACCURACY, SUFFICIENCY OF DISCLOSURES OR COMPLETENESS OF ANY INFORMATION PROVIDED BY THE MEMBERS OF THE CALIFORNIA OBLIGATED GROUP, THE BOND TRUSTEE, OR ANY OTHER PERSON.

The California Obligated Group

As of the date of issuance of the Bonds, the California Obligated Group will consist of HumanGood NorCal, HumanGood SoCal, a California nonprofit public benefit corporation (“*HumanGood SoCal*”), and HumanGood Fresno, a California nonprofit public benefit corporation (“*HumanGood Fresno*” and, collectively with HumanGood NorCal and HumanGood SoCal, the “*California Obligated Group*” and each individually a “*Member of the California Obligated Group*”). The California Obligated Group is created under the Master Indenture (described below), and HumanGood NorCal, as the California Obligated Group representative (the “*California Obligated Group Representative*”), has been granted the authority to act on behalf of the California Obligated Group. Each of the Members of the California Obligated Group is an organization described under Section 501(c)(3) of the Internal Revenue Code of 1986, as amended (the “*Code*”). As the only Members of the California Obligated Group, HumanGood NorCal, HumanGood SoCal and HumanGood Fresno are the only entities obligated to make payments with respect to the Bonds, the Series 2021 Obligation (hereinafter defined) and any other Obligations (hereinafter defined) issued under the Master Indenture. See APPENDIX A – “INFORMATION CONCERNING THE HUMANGOOD CALIFORNIA OBLIGATED GROUP – CALIFORNIA OBLIGATED GROUP” herein.

HumanGood, a California nonprofit public benefit corporation and organization described under Section 501(c)(3) of the Code (“*HumanGood*”), is the sole corporate member of each Member of the California Obligated Group. HumanGood exercises direction and control of each Member of the California Obligated Group and the two supporting foundations through the appointment of boards of directors of the Members of the California Obligated Group and supporting foundations. For a description of the governance and management of HumanGood and the California Obligated Group, see APPENDIX A – “INFORMATION CONCERNING THE HUMANGOOD CALIFORNIA OBLIGATED GROUP – GOVERNANCE AND MANAGEMENT” herein. HumanGood is not a Member of the California Obligated Group and is not obligated under the Series 2021 Obligation or the Loan Agreement or with respect to the Bonds.

The HumanGood family of entities is the result of the combination, via corporate affiliations and mergers, of multiple organizations with rich histories of serving older adults and their families. Two Members of the California Obligated Group, HumanGood NorCal and HumanGood SoCal, formerly known as American Baptist Homes of the West and Southern California Presbyterian Homes, respectively, originally founded systems of life plan communities (“*LPCs*” and also known as “continuing care retirement communities,” or “*CCRCs*”) throughout the western United States of America. HumanGood NorCal and HumanGood SoCal affiliated in May of 2016.

The Members of the California Obligated Group own and operate a total of 14 LPCs in California (collectively, the “*Communities*”). HumanGood NorCal owns and operates seven LPCs; HumanGood SoCal owns and operates six LPCs; and HumanGood Fresno owns and operates one LPC. There are 3,482 units across the California Obligated Group’s Communities. See APPENDIX A – “INFORMATION CONCERNING THE HUMANGOOD CALIFORNIA OBLIGATED GROUP – CALIFORNIA OBLIGATED GROUP COMMUNITIES” herein.

Each of the Members of the California Obligated Group has received a determination letter from the Internal Revenue Service (the “*IRS*”) that it is exempt from federal income taxation under Section 501(a) of the Code as an organization described in Section 501(c)(3) of the Code.

See APPENDIX A – “INFORMATION CONCERNING THE HUMANGOOD CALIFORNIA OBLIGATED GROUP” herein for additional information about the Members of the California Obligated Group and other affiliates of the Members of the California Obligated Group. The financial and statistical

information therein is with respect to the operations of the Members of the California Obligated Group. The financial statements of the Members of the California Obligated Group are contained in APPENDIX B – “AUDITED FINANCIAL STATEMENTS OF THE HUMANGOOD CALIFORNIA OBLIGATED GROUP FOR THE YEARS ENDED DECEMBER 31, 2018, 2019 AND 2020” and include financial information of the Members of the California Obligated Group and other affiliates of the Members of the California Obligated Group.

ONLY HUMANGOOD NORCAL, HUMANGOOD SOCIAL, HUMANGOOD FRESNO, AND ANY FUTURE MEMBERS OF THE CALIFORNIA OBLIGATED GROUP ARE OBLIGATED UNDER THE HEREINAFTER DESCRIBED SERIES 2021 OBLIGATION, THE LOAN AGREEMENT AND WITH RESPECT TO THE BONDS. UPON THE ISSUANCE OF THE BONDS, NEITHER HUMANGOOD NOR ANY OTHER AFFILIATE OTHER THAN THE MEMBERS OF THE CALIFORNIA OBLIGATED GROUP WILL BE OBLIGATED UNDER THE SERIES 2021 OBLIGATION, THE LOAN AGREEMENT OR WITH RESPECT TO THE BONDS.

Security for the Bonds; Master Trust Indenture

The Bonds will be payable from payments made by HumanGood NorCal under the Loan Agreement, from payments made by the California Obligated Group on the Series 2021 Obligation, as defined below, and from certain funds held under the Bond Indenture.

The Bonds will be limited obligations of the Authority and will be secured by the Direct Note Obligation No. 19 (the “*Series 2021 Obligation*”), issued under and pursuant to the Master Trust Indenture, dated as of August 1, 2019, as previously supplemented and amended and as supplemented and amended by the Fourth Supplemental Master Trust Indenture dated as of September 1, 2021 (as the same may hereafter be supplemented and amended from time to time, collectively, the “*Master Indenture*”), among HumanGood NorCal, as California Obligated Group Representative, the other Members of the California Obligated Group, and U.S. Bank National Association, as master trustee (the “*Master Trustee*”). Pursuant to the Series 2021 Obligation, the California Obligated Group agrees to make payments on the Series 2021 Obligation in an amount sufficient to pay, when due, the amounts required to be paid by HumanGood NorCal under the Loan Agreement and, thus, the principal of and interest on the Bonds.

The Authority will pledge and assign the Series 2021 Obligation and certain of its rights under the Loan Agreement (other than Unassigned Rights) to the Bond Trustee as security for the Bonds. The Series 2021 Obligation will entitle the Bond Trustee, as the Holder thereof, to the protection of the covenants, restrictions and other obligations imposed by the Master Indenture upon the California Obligated Group Members, and any other Person which may become a Member of the California Obligated Group in the future.

The Series 2021 Obligation and all other Obligations issued pursuant to the Master Indenture will be secured by (i) a security interest in the Gross Revenues of the California Obligated Group and (ii) the Deeds of Trust (hereinafter defined), until such Deeds of Trust are released as described herein. The Deeds of Trust will be released upon the payment of certain outstanding bonds. **Following the release of the Deeds of Trust, none of the real or personal property of the Members of the California Obligated Group (other than the Gross Revenues) will secure the Series 2021 Obligation, the Obligations Securing Outstanding Debt (hereinafter defined) or the other Obligations issued pursuant the Master Indenture.** See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Security Interest in Gross Revenues and the Deeds of Trust” and “RISK FACTORS – Certain Matters Relating to Enforceability of Security Interest in Gross Revenues” and APPENDIX C – “SUMMARY OF

THE MASTER INDENTURE AND THE DEEDS OF TRUST - SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Pledge of Gross Revenues” herein.

The obligations of HumanGood NorCal, HumanGood SoCal, HumanGood Fresno and any future Members of the California Obligated Group to make payments on the Series 2021 Obligation are full and unlimited, joint and several obligations of the California Obligated Group Members and such future Members of the California Obligated Group. The Gross Revenues of the Members of the California Obligated Group will be pledged under the Master Indenture to secure all the Obligations issued thereunder. *See* APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Pledge of Gross Revenues” herein. Notwithstanding such security interest in the California Obligated Group’s Gross Revenues and the Deeds of Trust, the Members of the California Obligated Group may sell or otherwise transfer Gross Revenues and create Permitted Encumbrances thereon, in accordance with the provisions of the Master Indenture. **HumanGood NorCal, HumanGood SoCal and HumanGood Fresno are currently the only Members of the California Obligated Group.** *See* “RISK FACTORS – Certain Matters Relating to Enforceability of Security Interest in Gross Revenues” herein and APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Limitations on Encumbrances” herein.

Debt Service Coverage Ratio; Liquidity Covenant

Pursuant to the Master Indenture, the Members of the California Obligated Group have covenanted to maintain a Debt Service Coverage Ratio of at least 1.20:1. In addition, the California Obligated Group has covenanted in the Master Indenture to maintain 125 Days Cash on Hand, which will be tested as of June 30 and December 31 of each year. *See* “CERTAIN COVENANTS OF THE CALIFORNIA OBLIGATED GROUP UNDER THE MASTER INDENTURE” below and “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Rates and Charges; Debt Coverage” and “– Liquidity Covenant” in APPENDIX C hereto.

Approval of Consultants

Pursuant to the Master Indenture, the owners of Outstanding Obligations have certain approval rights as to Independent Consultants selected by the California Obligated Group Representative. *See* “CERTAIN COVENANTS OF THE CALIFORNIA OBLIGATED GROUP UNDER THE MASTER INDENTURE – Approval of Consultants,” and APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST — SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Approval of Consultants” herein.

Additional Obligations and Additional Indebtedness

In certain circumstances, the current Members of the California Obligated Group or any future Member of the California Obligated Group may issue Additional Indebtedness (including Guaranties), which may, but need not, be evidenced or secured by additional Obligations issued under the Master Indenture that will be equally and ratably secured with the Series 2021 Obligation and the Obligations Securing Outstanding Debt (hereinafter defined), which additional Obligations may be entitled to the benefit of security in addition to that securing the Series 2021 Obligation and the Obligations Securing Outstanding Debt. Such additional security need not be extended to any other Obligations, including the Series 2021 Obligation and the Obligations Securing Outstanding Debt. The Master Indenture requires that the California Obligated Group meet certain financial tests prior to issuing new indebtedness or

encumbering property. *See* “CERTAIN COVENANTS OF THE CALIFORNIA OBLIGATED GROUP UNDER THE MASTER INDENTURE” below and “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Limitations on Additional Indebtedness,” “– Limitations on Encumbrances” and “– Limitations on Guaranties” in APPENDIX C hereto.

The Master Indenture also permits the Members of the California Obligated Group to incur certain Subordinated Indebtedness, including Affiliate-Related Subordinated Indebtedness, and the Members of the California Obligated Group make certain covenants in the Master Indenture related to the repayment thereof. *See* “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Limitations on Additional Indebtedness,” in APPENDIX C hereto.

Not including the Series 2021 Obligation, there is approximately \$332,640,000 in aggregate principal amount of Obligations Securing Outstanding Debt outstanding under the Master Indenture. *See* “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Existing and Additional Indebtedness; Additional Obligations” below for a discussion of Indebtedness that will be outstanding under the Master Indenture at the time of issuance of the Bonds.

Other Covenants

APPENDIX C contains a summary of the terms of the Master Indenture, including certain restrictions imposed on the California Obligated Group’s actions for the benefit of all Holders of Obligations issued under the Master Indenture. Such terms include, among others, restrictions on Liens on Property (*see* APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Limitations on Encumbrances”) and provisions governing the transfer of Property (*see* APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Sale, Lease or Other Disposition of Property”), which is defined not to include the Excluded Property. The Excluded Property consists of miscellaneous real property expected to be used for resident housing. HumanGood NorCal estimates that the Excluded Property has a net book value of \$416,591.

Continuing Disclosure

The Members of the California Obligated Group will enter into an undertaking for the benefit of the Bondholders of the Bonds to provide certain information and to provide notice of certain events to the Municipal Securities Rulemaking Board on its Electronic Municipal Market Access system. For further information, *see* “CONTINUING DISCLOSURE” herein. The Authority has not made and will not make any provision to provide any annual financial statements or other credit information of the Authority or the Members of the California Obligated Group to investors on a periodic basis.

Exchange of Series 2021 Obligation

Under certain circumstances, the Series 2021 Obligation may be required to be exchanged for an obligation issued by or on behalf of a different credit group under a replacement master indenture and the Loan Agreement may be assumed by a member of the new credit group. Pursuant to the Master Indenture, such an exchange requires, among other things, written notice from each Rating Agency or Rating Agencies then maintaining a rating on any Bonds confirming that the rating on such Bonds will not be lowered or withdrawn from the rating (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) in effect prior to

the substitution. For more information, see the information under the headings “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Exchange of Series 2021 Obligation” and “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST - SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Release and Substitution of Obligations upon Delivery of Replacement Master Trust Indenture” in APPENDIX C hereto. Also *see* APPENDIX D – “SUMMARY OF THE BOND INDENTURE AND THE LOAN AGREEMENT – SUMMARY OF CERTAIN PROVISIONS OF THE BOND INDENTURE – Release and Substitution of Series 2021 Obligation Upon Delivery of Replacement Master Trust Indenture.”

Risk Factors

There are risks associated with the purchase of the Bonds. *See* the information under the caption “RISK FACTORS” for a discussion of some of these risks.

THE AUTHORITY

Under Title 1, Division 7, Chapter 5 of the California Government Code (the “*Act*”), certain California cities, counties and special districts have entered into a joint exercise of powers agreement (the “*Agreement*”) to form the Authority for the purpose of exercising the powers common to the members and exercising additional powers granted to the Authority by the Act and other applicable provisions of California law. Under the Agreement, the Authority may issue bonds, notes or any other evidence of indebtedness for any purpose or activity permitted under the Act or any other applicable law.

The Authority may sell and deliver obligations other than the Bonds. These obligations will be secured by instruments separate and apart from the Bond Indenture and Loan Agreement, and the holders of such other obligations of the Authority will have no claim on the security for the Bonds. Likewise, the Holders of the Bonds will have no claim on the security of such other obligations that may be issued by the Authority.

Neither the Authority nor its independent contractors have furnished, reviewed, investigated or verified the information contained in this Official Statement other than the information contained in this section and the section captioned “LITIGATION – The Authority” herein. The Authority does not and will not in the future monitor the financial condition of the Authority or otherwise monitor payment of the Bonds or compliance with the documents relating thereto. Any commitment or obligation for continuing disclosure with respect to the Bonds or the California Obligated Group will be undertaken solely by the California Obligated Group Representative on behalf of the California Obligated Group. *See* “CONTINUING DISCLOSURE” herein.

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES AND OTHER FUNDS AND MONEYS PLEDGED AND ASSIGNED UNDER THE BOND INDENTURE TO THE PAYMENT THEREOF UNDER THE BOND INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR

ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER. THE AUTHORITY SHALL NOT BE LIABLE FOR PAYMENT OF THE PRINCIPAL OF OR INTEREST ON THE BONDS OR ANY OTHER COSTS, EXPENSES, LOSSES, DAMAGES, CLAIMS OR ACTIONS OF ANY CONCEIVABLE KIND ON ANY CONCEIVABLE THEORY, UNDER OR BY REASON OF OR IN CONNECTION WITH THE BOND INDENTURE, THE BONDS OR ANY OTHER DOCUMENTS, EXCEPT ONLY TO THE EXTENT AMOUNTS ARE RECEIVED FOR THE PAYMENT THEREOF FROM THE BORROWER UNDER THE LOAN AGREEMENT.

THE BONDS

General Description

The following is a summary of certain provisions of the Bonds. Reference is made to the Bonds for the complete text thereof and to the Bond Indenture for a more detailed description of these provisions. The discussion herein is qualified by such reference.

The Bonds will be issued only in fully registered form without coupons in denominations of \$5,000 or any integral multiple thereof. The Bonds will bear interest (based on a 360-day year of twelve 30-day months) at the respective rates per annum and will mature, subject to earlier redemption, in the amounts and on the dates set forth on the inside cover page of this Official Statement. The Bonds will bear interest from their dated date payable on April 1 and October 1 of each year, commencing April 1, 2022 (each, an “Interest Payment Date”).

The Bonds will be transferable and exchangeable as set forth in the Bond Indenture and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company (“DTC”). DTC will act as securities depository for the Bonds. So long as Cede & Co. is the registered owner, the Bond Trustee will pay such principal of and interest on the Bonds to DTC, which will remit such principal of and interest on the Bonds to the beneficial owners of the Bonds, as described in APPENDIX G – “BOOK-ENTRY ONLY SYSTEM” herein.

In the event that (a) the Authority or HumanGood NorCal determines that DTC should no longer act as securities depository for the Bonds or (b) the agreement between the Authority and DTC shall be terminated for any reason, the Authority shall so notify DTC. Upon the occurrence of any such event, the Authority shall (i) appoint a successor securities depository, qualified to act as such under Section 17(a) of the Securities and Exchange Act of 1934, as amended, notify DTC and the Bond Trustee in writing of the appointment of such successor securities depository and transfer one or more separate Bond certificates to such successor securities depository or (ii) notify DTC and DTC Participants of the availability through DTC of Bond certificates and transfer one or more separate Bond certificates to DTC Participants having Bonds credited to their DTC accounts. In such event, the Bonds shall no longer be restricted to being registered in the Bond Register in the name of Cede & Co., as nominee of DTC, but may be registered in the name of the successor securities depository, or its nominee, or in whatever name or names Bondholders transferring or exchanging Bonds shall designate, in accordance with the provisions of the Bond Indenture.

The principal of the Bonds will be payable at the designated corporate trust office of the Bond Trustee upon presentation and surrender of such Bonds. Interest payments on the Bonds (other than with respect to defaulted interest) will be payable on each Interest Payment Date to the registered owner thereof appearing on the registration books of the Authority kept by the Bond Trustee to evidence the registration and transfer of the Bonds (the “Bond Register”) as of the close of business of the Bond

Registrar on the Record Date. “*Record Date*” means the 15th day of the calendar month (whether or not a Business Day) preceding an Interest Payment Date. Interest on the Bonds shall, except as hereinafter provided, be paid by check or draft of the Bond Trustee mailed on the Interest Payment Date to such registered owner at the address of such owner as it appears on the Bond Register or at such other address furnished in writing by such registered owner to the Bond Trustee, or by wire transfer sent on the Interest Payment Date to the registered owner upon written notice to the Bond Trustee from the registered owner containing the wire transfer address (which shall be in the continental United States) to which the registered owner wishes to have such wire directed which written notice is received not later than the Business Day prior to the Record Date, it being understood that such notice may refer to multiple interest payments.

In the event of a default in the payment of interest due on an Interest Payment Date, such defaulted interest shall be payable to the person in whose name such Bond is registered at the close of business on a special record date for the payment of such defaulted interest, which special record date shall be established by the Bond Trustee not more than 15 nor less than 10 days prior to the date of the proposed payment and not less than 10 days after receipt by the Bond Trustee of the notice of the proposed payment from HumanGood NorCal.

Redemption of the Bonds

General. No redemption of less than all of the Bonds at the time outstanding will be made unless the aggregate principal amount of such Bonds to be redeemed is equal to a multiple of an Authorized Denomination and the aggregate principal amount of Bonds outstanding after the redemption is an Authorized Denomination.

Extraordinary Optional Redemption. The Bonds are callable for redemption prior to maturity in the event of damage to or destruction of the Property (as defined in the Master Indenture) of any Member or any part thereof or condemnation or sale under threat of condemnation of the Property or any part thereof, if the insurance proceeds, condemnation award or payment in lieu of condemnation received in connection therewith and applied to make prepayments on the Series 2021 Obligation exceed \$1,000,000. If called for redemption as provided in this paragraph, the Bonds will be subject to redemption by the Authority (at the direction of HumanGood NorCal) at any time, in whole or in part, and if in part, by random method as selected by the Bond Trustee, at the principal amount thereof plus accrued interest to the redemption date and without premium.

Optional Redemption. Except as set forth below, the Bonds are subject to redemption prior to maturity on or after October 1, 2031, at the option of the Authority upon the direction of HumanGood NorCal, from amounts prepaid on the Series 2021 Obligation and deposited in the Optional Redemption Fund, in whole or in part at any time (and if in part, by maturities or portions thereof designated by HumanGood NorCal, and if less than all of a single maturity is being redeemed, in such random manner as the Bond Trustee shall deem appropriate). The redemption price for any such redemption shall be equal to 100% of the principal amount of the Bonds to be redeemed, plus accrued interest thereon to the redemption date, without premium.

The 3.00% Term Bond maturing October 1, 2046 and the 3.00% Term Bond maturing October 1, 2049 are subject to redemption prior to maturity on or after October 1, 2028, at the option of the Authority upon the direction of HumanGood NorCal, from amounts prepaid on the Series 2021 Obligation and deposited in the Optional Redemption Fund, in whole or in part at any time (and if in part, by maturities or portions thereof designated by HumanGood NorCal, and if less than all of a single maturity is being redeemed, in such random manner as the Bond Trustee shall deem appropriate), at the

redemption prices (expressed as percentages of principal amount being redeemed) set forth in the following table, plus accrued interest to the date fixed for redemption:

REDEMPTION DATES	REDEMPTION PRICES
October 1, 2028 through September 30, 2029	103%
October 1, 2029 through September 30, 2030	102%
October 1, 2030 through September 30, 2031	101%
October 1, 2031 and thereafter	100%

In the event of any partial redemption of Bonds pursuant to the provisions under the headings “Extraordinary Optional Redemption” and “Optional Redemption” above, the mandatory Bond Sinking Fund redemption payments for the Bonds described below shall be reduced in such order as HumanGood NorCal shall elect prior to such redemption or, if no such election is made, in the inverse order thereof. The Bond Trustee shall (in such manner as it in its sole discretion shall choose) adjust the amount of each such reduction in required Bond Sinking Fund redemption payment, if any, so that each such required Bond Sinking Fund redemption payment, if any, is made in integral amounts of \$5,000.

Mandatory Bond Sinking Fund Redemption. The Authority shall pay or redeem Bonds from moneys on deposit in the Bond Sinking Fund, at a price equal to the principal amount thereof, without premium, plus accrued interest to the redemption or maturity date, in the amounts and at the times, as follows:

4.00% Term Bond Maturing October 1, 2046

Mandatory Sinking Fund Redemption Dates (October 1)	Mandatory Sinking Fund Redemption Amounts
2036	\$400,000
2037	400,000
2038	400,000
2039	400,000
2040	400,000
2041	400,000
2042	450,000
2043	450,000
2044	450,000
2045	7,250,000
2046†	10,000,000

† Stated Maturity

3.00% Term Bond Maturing October 1, 2046

Mandatory Sinking Fund

Redemption Dates
(October 1)

2036
2037
2038
2039
2040
2041
2042
2043
2044
2045
2046†

Mandatory Sinking Fund
Redemption Amounts

\$450,000
395,000
415,000
430,000
445,000
470,000
445,000
475,000
495,000
7,375,000
10,155,000

† Stated Maturity

4.00% Term Bond Maturing October 1, 2049

Mandatory Sinking Fund

Redemption Dates
(October 1)

2047
2048
2049†

Mandatory Sinking Fund
Redemption Amounts

\$10,500,000
13,000,000
13,000,000

† Stated Maturity

3.00% Term Bond Maturing October 1, 2049

Mandatory Sinking Fund

Redemption Dates
(October 1)

2047
2048
2049†

Mandatory Sinking Fund
Redemption Amounts

\$10,350,000
12,710,000
13,610,000

† Stated Maturity

The moneys on deposit in the Bond Sinking Fund shall be reduced (a) by the amount of Bonds acquired and delivered in accordance with the Bond Indenture in satisfaction of the requirements described in the first paragraph under the heading “Purchase In Lieu of Redemption” below, and (b) in connection with a partial redemption of the Bonds pursuant to the provisions of the Bond Indenture summarized under the headings “Optional Redemption” and “Extraordinary Optional Redemption” above.

Optional Redemption from Surplus Project Fund Moneys. The Bonds are callable for redemption, in whole or in part, by random method as selected by the Bond Trustee, on any date for which timely notice of redemption can be given by the Bond Trustee after payment by the Bond Trustee of all funding requests for the Project and after receipt by the Bond Trustee of the completion certificate relating to the Project, to the extent that Surplus Project Fund Moneys are transferred to the Optional Redemption Fund. The redemption price for any such redemption shall be equal to 100% of the principal amount of the Bonds to be redeemed, plus accrued interest thereon to the redemption date, plus unamortized premium.

Purchase In Lieu of Redemption. In lieu of required mandatory Bond Sinking Fund redemption, if any, described under the heading “Mandatory Bond Sinking Fund Redemption” above, the Bond Trustee may, at the request of HumanGood NorCal, purchase an equal principal amount of Bonds of the maturity required to be redeemed in the open market at prices not exceeding the principal amount of the Bonds being purchased plus accrued interest.

In lieu of redeeming Bonds pursuant to the provisions of the Bond Indenture summarized under the headings “Optional Redemption” and “Extraordinary Optional Redemption” above, the Bond Trustee may, at the Written Request of HumanGood NorCal, use such funds otherwise available under the Bond Indenture for redemption of Bonds to purchase for cancellation Bonds in the open market at a price not exceeding the redemption price then applicable under the Bond Indenture, such Bonds to be delivered to the Bond Trustee for the purpose of cancellation. It is understood that in the case of any such purchase of Bonds for cancellation, the Authority shall receive credit against its required Bond Sinking Fund deposits in the same manner as would be applicable if such Bonds were optionally redeemed.

Notice of Redemption. Except as provided below, a copy of the notice of the call for any such redemption identifying the Bonds to be redeemed shall be given by electronic means and by first class mail, postage prepaid or other carrier with tracking capability, to the registered owners of the Bonds to be redeemed at their addresses as shown on the Bond Register not less than 30 days nor more than 60 days prior to the redemption date. Such notice shall specify the redemption date, the redemption price, the place and manner of payment and that after the redemption date interest will cease to accrue on the Bonds which are the subject of such notice and shall include such other information as the Bond Trustee shall deem appropriate or necessary at the time such notice is given to comply with any applicable law, regulation or industry standard.

Prior to the date that the redemption notice is first mailed as aforesaid, funds shall be deposited with the Bond Trustee to pay the principal of such Bonds and the accrued interest thereon to the redemption date. If any Bonds are to be redeemed pursuant to an extraordinary or optional redemption described above under the headings “Redemption of the Bonds – Optional Redemption” and “– Extraordinary Optional Redemption,” the notice of redemption may specify that the redemption is contingent on the deposit of moneys with the Bond Trustee in an amount sufficient to pay the redemption price of the Bonds being redeemed on that date and that failure to deposit such funds shall not constitute an event of default under the Bond Indenture.

Failure to give notice in the manner prescribed with respect to any Bond, or any defect in such notice, shall not affect the validity of the proceedings for redemption for any Bond with respect to which notice was properly given. Upon the happening of the conditions described above, the Bonds thus called will not, after the applicable redemption date, bear interest, be protected by the Bond Indenture or be deemed to be outstanding under the provisions of the Bond Indenture.

If any Bond is transferred or exchanged on the Bond Register by the Bond Registrar after notice has been given of an optional or mandatory redemption of such Bond, the Bond Registrar will attach a copy of such notice to the Bond issued in connection with such transfer.

In addition, the Bond Trustee will use its best efforts to give notice of the redemption of any of the Bonds to Electronic Municipal Market Access (“EMMA”) at <http://emma.msrb.org/>, or other delivery services which may be common in the market at that time, so that it is received by such organization at least two days prior to the redemption. The foregoing notwithstanding, any failure to give a notice or any defect in a notice given pursuant to this paragraph will not affect the validity of any redemption of the Bonds.

Mandatory Tender for Purchase

The Authority and, by their acceptance of the Bonds, the Bondholders, irrevocably grant to HumanGood NorCal and any assigns of HumanGood NorCal with respect to this right, the option to purchase, at any time and from time to time, any Bond which is subject to optional redemption as described under the caption entitled “Redemption of the Bonds – Optional Redemption” above at a purchase price equal to the optional redemption price therefor. To exercise such option, HumanGood NorCal shall give the Bond Trustee a Written Request exercising such option within the time period specified in the Bond Indenture as though such Written Request were a written request of the Authority for redemption, and the Bond Trustee shall thereupon give the holders of the Bonds to be purchased notice of such mandatory tender and purchase in the same manner as described under the caption “Redemption of the Bonds – Notice of Redemption” above. The purchase of such Bonds shall be mandatory and enforceable against the Bondholders and Bondholders will not have the right to retain their Bonds. On the date fixed for purchase pursuant to any exercise of such option, HumanGood NorCal shall pay or cause to be paid the purchase price of the Bonds then being purchased to the Bond Trustee in immediately available funds not later than 10:00 a.m. California time on the purchase date, and the Bond Trustee shall pay the same to the sellers of such Bonds against delivery thereof. Following such purchase, the Bond Trustee shall cause such Bonds to be registered in the name of HumanGood NorCal or its nominee or as otherwise directed by HumanGood NorCal and shall deliver them to HumanGood NorCal or its nominee or as otherwise directed by HumanGood NorCal. In the case of the purchase of less than all of the Bonds, the particular Bonds to be purchased shall be selected in accordance with the Bond Indenture. No such purchase of the Bonds pursuant to the provisions of this paragraph shall operate as a redemption to extinguish the indebtedness of the Authority evidenced thereby and the Bonds will remain outstanding with HumanGood NorCal named as the beneficial owner thereof. Notwithstanding the foregoing, no such purchase shall be made pursuant to the provisions of this paragraph unless HumanGood NorCal shall have delivered to the Bond Trustee and the Authority concurrently with such purchase an Opinion of Bond Counsel to the effect that such purchase and any resale thereof will not affect the validity of the Bonds or any exemption from federal income taxation to which the interest on the Bonds would otherwise be entitled.

Defeasance

The Bond Indenture provides that the Bonds, or any portion thereof, may be defeased prior to payment or redemption by the deposit of cash or Government Obligations, or a combination thereof, sufficient to provide for the payment of all principal of and interest on the Bonds through maturity or the date upon which the Bonds will be redeemed pursuant to the Bond Indenture. Bonds that are defeased will no longer be entitled to any security under the Bond Indenture, except for the right to payment from such moneys or Government Obligations. See APPENDIX D – “SUMMARY OF THE BOND INDENTURE AND THE LOAN AGREEMENT – SUMMARY OF CERTAIN PROVISIONS OF THE BOND INDENTURE – Defeasance.”

Redemption After Satisfaction of Bond Indenture

Upon the provision for payment of the Bonds or a portion thereof as specified in the Bond Indenture, the optional redemption provisions of the Bond Indenture allowing such Bonds to be called prior to maturity upon proper notice as described under the heading “Redemption of the Bonds – Optional Redemption” above (notwithstanding provision for the payment of such Bonds having been made through a date after the first optional redemption date) shall remain available to the Authority, upon direction of HumanGood NorCal, unless, in connection with making the deposits, the Authority, at the direction of HumanGood NorCal, shall have irrevocably elected to waive any future right to call the Bonds or portions thereof for redemption prior to maturity. The Authority, upon direction of HumanGood NorCal, may elect to pay such Bonds on the respective maturity dates unless, in connection with making the deposits, the Authority, at the direction of HumanGood NorCal, shall have irrevocably elected to waive such right to provide for the payment thereof on the maturity date. No such redemption or restructuring shall occur, however, unless HumanGood NorCal shall deliver on behalf of the Authority to the Bond Trustee all items required as described in the Bond Indenture.

Book-Entry Only System

The Bonds will be initially issued in separate, fully registered form and, when issued, will be registered in the name of Cede & Co., as nominee of DTC. DTC will act as securities depository for such Bonds. Individual purchases of the Bonds will be made in book-entry form only, in Authorized Denominations. Purchasers of Bonds will not receive certificates representing their interest in such Bonds, except in the event that use of the book-entry system for the Bonds is discontinued as described herein. For a description of the method of payment of principal of and interest on the Bonds and matters pertaining to transfers and exchanges while in the book-entry only system, *see* the information in APPENDIX G – “BOOK-ENTRY ONLY SYSTEM” herein.

SECURITY AND SOURCE OF PAYMENT FOR THE BONDS

General

The Bonds are limited obligations of the Authority, payable solely from (a) payments or prepayments on the Series 2021 Obligation, (b) payments or prepayments made under the Loan Agreement (other than Unassigned Rights), (c) moneys and investments held by the Bond Trustee under, and to the extent provided in, the Bond Indenture and (d) in certain circumstances, proceeds from insurance, condemnation awards, and from sales made under threat of condemnation. In the Loan Agreement, HumanGood NorCal agrees to make payments to the Bond Trustee which, in the aggregate, are required to be in an amount sufficient for the payment in full of all amounts payable on the Bonds whether due at maturity, upon redemption, by declaration of acceleration or otherwise and certain fees and expenses (consisting generally of fees and charges of the Bond Trustee, taxes, accountants’ fees and any fees and expenses of the Authority and the Bond Trustee associated with the Bonds) (the “*Additional Payments*”).

Certain investment earnings on monies held by the Bond Trustee may be transferred to a Rebate Fund established pursuant to a Tax Exemption Certificate and Agreement. Amounts held in such Rebate Fund will not be part of the “trust estate” pledged to secure the Bonds and consequently will not be available to make payments on the Bonds.

The Authority will assign its right, title and interest in the Loan Agreement and the Series 2021 Obligation to the Bond Trustee (except for (i) the right to receive any Additional Payments to the extent payable to the Authority, (ii) the right of the Authority to indemnification in certain circumstances,

(iii) the Authority's right to receive notices and (iv) the Authority's right to execute and deliver supplements and amendments to the Loan Agreement).

The Bonds and the interest thereon do not constitute an indebtedness or an obligation, general or moral, or a pledge of the faith or loan of credit of the Authority, the State of California or any public subdivision thereof, within the purview of any constitutional limitation or provision. The Authority shall not be obligated to pay the principal of or interest on the Bonds, except from revenues and other moneys and assets received by the Bond Trustee pursuant to the Loan Agreement. Neither the faith and credit nor the taxing powers, if any, of the Authority or the State of California or any political subdivision thereof is pledged to the payment of the principal of or interest on the Bonds or other costs incidental thereto. No owner of any Bond shall have the right to compel the taxing power, if any, of the Authority, the State of California or any political subdivision thereof to pay the principal of or interest on the Bonds. The Authority does not have the power to levy taxes for any purpose whatsoever.

Master Indenture and the Series 2021 Obligation

The Master Indenture provides that payments on any Obligations issued and Outstanding thereunder, including the Series 2021 Obligation, are the joint and several obligations of each Member of the California Obligated Group (subject to the right of each Member to cease its status as a Member of the California Obligated Group pursuant to the terms and conditions of the Master Indenture). Notwithstanding uncertainties with respect to the enforceability of the covenants in the Master Indenture of each Member of the California Obligated Group to be jointly and severally liable for each Obligation, as described herein under the caption, "RISK FACTORS – Certain Matters Relating to Enforceability of Security Interest in Gross Revenues," the accounts of the Members of the California Obligated Group will be consolidated for financial reporting purposes and will be used in determining whether the covenants and tests contained in the Master Indenture are met.

The Bond Indenture designates the Bond Trustee as the Holder of the Series 2021 Obligation. *See* APPENDIX D – "SUMMARY OF THE BOND INDENTURE AND THE LOAN AGREEMENT – SUMMARY OF CERTAIN PROVISIONS OF THE BOND INDENTURE – Bond Trustee as Holder of the Series 2021 Obligation" herein.

Certain amendments to the Master Indenture may be made with the consent of the Holders of not less than a majority in aggregate principal amount of the Obligations then Outstanding. Such percentage may be composed wholly or partially of the Holders of Obligations other than the Holder of the Series 2021 Obligation. Other amendments to the Master Indenture may be made without the consent of any Holders of Obligations outstanding thereunder. *See* "SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Supplements and Amendments," in APPENDIX C hereto.

Pursuant to the Fourth Supplemental Master Trust Indenture, the California Obligated Group wishes to amend the provisions of the Master Indenture as set forth in the Proposed Amendments (hereinafter defined). By accepting Obligation No. 19, the Bond Trustee shall be deemed to have consented to the Proposed Amendments. The Holders of a majority in aggregate principal amount of the Outstanding Obligations have not consented to the Proposed Amendments, and therefore the Proposed Amendments will not be effective upon the issuance of Obligation No. 19 but will be effective upon receipt by the Master Trustee of the requisite number of consents. *See* "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Amendments to Master Indenture" herein.

Membership in and Withdrawal From the California Obligated Group

Pursuant to the Master Indenture, any Member of the California Obligated Group may withdraw therefrom, and other organizations may join the California Obligated Group in the future, if certain conditions and financial tests are satisfied. See APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – The California Obligated Group – Membership in the California Obligated Group” and “– Withdrawal from the California Obligated Group” for a detailed description of such conditions and financial tests. **HumanGood NorCal, HumanGood SoCal and HumanGood Fresno are currently the only Members of the California Obligated Group.**

Existing and Additional Indebtedness; Additional Obligations

Obligations Securing Outstanding Debt. Not including the Series 2021 Obligation, there is approximately \$332,640,000 in aggregate principal amount of Obligations outstanding under the Master Indenture (collectively, the “*Obligations Securing Outstanding Debt*”). The Obligations Securing Outstanding Debt include the following Obligations more fully described below:

	<u>Outstanding Principal Amount</u>
Obligation No. 6 (Series 2015 NorCal Bonds)	\$42,710,000
Obligation No. 8 (Series 2015 SoCal Bonds)	43,255,000
Obligation No. 9 (Series 2019A Bonds)	141,705,000
Obligation No. 10 (Series 2019B Bonds)	22,615,000
Obligation No. 11 (Series 2020B Swap)	*
Obligation No. 12 (Term Loan Swap)	*
Obligation No. 13 (Series 2020A Bonds)	15,480,000
Obligation No. 14 (Series 2020A Continuing Covenant Agreement)	*
Obligation No. 15 (Series 2020B Bonds)	64,765,000
Obligation No. 16 (Series 2020B Continuing Covenant Agreement)	*
Obligation No. 17 (2020 Taxable Term Loan)†	2,110,000
Obligation No. 18 (2020 Revolving Loan) †	*

*No currently outstanding debt.

† The 2020 Taxable Term Loan and the 2020 Revolving Loan are each subject to the 2020 Credit Agreement (hereinafter defined), pursuant to which WFB (hereinafter defined) has agreed to make advances to HumanGood NorCal. The 2020 Taxable Term Loan has a commitment amount of \$33,755,000, \$2,110,000 of which has been advanced and is outstanding. The 2020 Revolving Loan has a commitment amount of \$11,000,000, none of which has been advanced or is outstanding.

For additional information regarding such prior issued Obligations, *see* the paragraphs below and APPENDIX A – “INFORMATION CONCERNING THE HUMANGOOD CALIFORNIA OBLIGATED GROUP” and “ANNUAL DEBT SERVICE REQUIREMENTS” herein.

The following Obligations are Outstanding under the Master Indenture:

- (i) Direct Note Obligation No. 6 (“*Obligation No. 6*”), which secures the California Statewide Communities Development Authority Revenue Bonds, Series 2015 (American Baptist Homes of the West) (the “*Series 2015 NorCal Bonds*”);
- (ii) Direct Note Obligation No. 8 (“*Obligation No. 8*”), which secures the Authority’s Senior Living Revenue Bonds (Southern California Presbyterian Homes), Series 2015 (the “*Series 2015 SoCal Bonds*”);
- (iii) Direct Note Obligation No. 9 (“*Obligation No. 9*”), which secures the Authority’s Revenue and Refunding Bonds, Series 2019A (HumanGood – California Obligated Group) (the “*Series 2019A Bonds*”);
- (iv) Direct Note Obligation No. 10 (“*Obligation No. 10*”), which secures the Authority’s HumanGood California Obligated Group Taxable Bonds, Series 2019B (the “*Series 2019B Bonds*”);
- (v) Direct Note Obligation No. 11 (Series 2020B Swap) (“*Obligation No. 11*”), which secures a swap with Barclays Bank PLC (the “*Swap Counterparty*”) relating to the Series 2020B Bonds (hereinafter defined);
- (vi) Direct Note Obligation No. 12 (Term Loan Swap) (“*Obligation No. 12*”), which secures a swap with the Swap Counterparty relating to the 2020 Taxable Term Loan (hereinafter defined);
- (vii) Direct Note Obligation No. 13 (“*Obligation No. 13*”), which secures the Authority’s Revenue and Refunding Bonds, Series 2020A (HumanGood – California Obligated Group) (the “*Series 2020A Bonds*”);
- (viii) Direct Note Obligation No. 14 (“*Obligation No. 14*”), which secures the obligations of HumanGood NorCal to Washington Federal Bank, National Association (“*WFB*”) pursuant to the Continuing Covenant Agreement relating to the Series 2020A Bonds, dated as of October 1, 2020 (the “*2020A CCA*”);
- (ix) Direct Note Obligation No. 15 (“*Obligation No. 15*”), which secures the Authority’s Taxable Revenue and Refunding Bonds, Series 2020B (HumanGood – California Obligated Group) (the “*Series 2020B Bonds*”);
- (x) Direct Note Obligation No. 16 (“*Obligation No. 16*”), which secures the obligations of HumanGood NorCal to WFB pursuant to the Continuing Covenant Agreement relating to the Series 2020B Bonds, dated as of October 1, 2020 (the “*2020B CCA*”);

- (xi) Direct Note Obligation No. 17 (“*Obligation No. 17*”), which secures the Taxable Term Loan from WFB (the “*2020 Taxable Term Loan*”) pursuant to a Credit Agreement, dated as of October 28, 2020 (the “*2020 Credit Agreement*”); and
- (xii) Direct Note Obligation No. 18 (“*Obligation No. 18*”), which secures the Revolving Loan with WFB (the “*2020 Revolving Loan*”) pursuant to the 2020 Credit Agreement.

Foundation Guaranty. American Baptist Homes Foundation of the West, Inc. (the “*Foundation*”) has unconditionally guaranteed and promised to pay and perform on demand, or cause to be paid and performed on demand, HumanGood NorCal’s obligations under Obligation No. 6 pursuant to a Guaranty and Liquidity Support Agreement (the “*Foundation Guaranty*”). The Foundation Guaranty includes a pledge of the Foundation’s gross revenues. The Foundation Guaranty will continue to guaranty Obligation No. 6 following the issuance of the Bonds and the execution and delivery of the Master Indenture until the Master Trustee receives evidence that Obligation No. 6 has been cancelled. **The Foundation Guaranty will not guaranty or secure the Series 2021 Obligation.**

Deeds of Trust. Obligation No. 6 is secured by a lien on and security interest in certain real and personal property of HumanGood NorCal pursuant to seven Deeds of Trust, Security Agreements and Fixture Filings with Assignments of Rents and Leases, each dated October 1, 1997, as amended and supplemented (collectively, the “*Deeds of Trust*”), from HumanGood NorCal, as trustor, to Chicago Title Insurance Company, as deed trustee, for the benefit of the Master Trustee. **The Deeds of Trust will secure the Series 2021 Obligation, the Obligations Securing Outstanding Debt, and all other Obligations issued pursuant to the Master Indenture but only until the Deeds of Trust are released as described under “Release of Deeds of Trust” below.**

Additional Indebtedness and Additional Obligations. Subject to compliance with the provisions of the Master Indenture, the Members of the California Obligated Group may in the future incur additional Indebtedness (including Guaranties) which may, but need not, be evidenced or secured by an additional Obligation issued under the Master Indenture. See APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Limitations on Additional Indebtedness” herein. Any such additional Obligation shall, except as described herein, be equally and ratably secured on a parity with the Obligations then Outstanding under the Master Indenture, including the Series 2021 Obligation. Subject to certain conditions set forth in the Master Indenture, such additional Obligations and other Additional Indebtedness may be secured by security in addition to that provided for the Series 2021 Obligation, including Liens on the Property (including senior living facilities) of the California Obligated Group, which additional security or Liens need not be extended to any other Indebtedness (including, without limitation, the Series 2021 Obligation). See the information set forth under the captions “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – DEFINITIONS OF CERTAIN TERMS – Permitted Encumbrances” and “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Limitations on Encumbrances,” and “– Sale, Lease or Other Disposition of Property” in APPENDIX C. The restrictions on the creation of Liens on Property and the transfer of Property imposed on the California Obligated Group under the Master Indenture are not applicable to Excluded Property. See APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – DEFINITIONS OF CERTAIN TERMS – Excluded Property” herein.

Release of Deeds of Trust

The Deeds of Trust will secure the Series 2021 Obligation, the Obligations Securing Outstanding Debt, and all other Obligations issued pursuant to the Master Indenture, until the Deeds of Trust are released, as hereinafter described.

The Deeds of Trust will be released, and the property subjected to the security interests granted thereunder will be reconveyed, upon presentation to the Master Trustee of (i) evidence of the cancellation of Obligation No. 6 and the payment, redemption or defeasance of the Series 2015 NorCal Bonds, and (ii) certain opinions of counsel required by the Master Indenture.

Title insurance policies with respect to the property subject to the Deeds of Trust were issued in connection with the issuance of the bonds secured by those deeds of trust. No title insurance policies or additional title insurance endorsements are being issued in connection with the issuance of the Bonds.

Following the release of the Deeds of Trust, none of the real or personal property of the Members of the California Obligated Group (other than the Gross Revenues) will secure the Series 2021 Obligation, the Obligations Security Outstanding Debt or the other Obligations issued pursuant to the Master Indenture.

Security Interest in Gross Revenues and the Deeds of Trust

The Series 2021 Obligation will be issued pursuant to the Master Indenture and will be a joint and several general obligation of the Members of the California Obligated Group secured by (i) a security interest in the Gross Revenues of the California Obligated Group granted pursuant to the Master Indenture and (ii) the Deeds of Trust, until such Deeds of Trust are released as described herein. **Following the release of the Deeds of Trust, none of the real or personal property of the Members of the California Obligated Group (other than the Gross Revenues) will secure the Series 2021 Obligation, the Obligations Securing Outstanding Debt or the other Obligations issued pursuant to the Master Indenture.** See APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – DEFINITIONS OF CERTAIN TERMS – Property” and APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Pledge of Gross Revenues” herein. Also see “RISK FACTORS – Certain Matters Relating to Enforceability of Security Interest in Gross Revenues” herein.

“*Gross Revenues*” are defined as all receipts, revenues, income and other money received by or on behalf of any Member of the California Obligated Group from any source whatsoever, including, but not limited to, (a) revenues derived from the operation and possession of each Member’s facilities, including accounts receivable, (b) gifts, bequests, grants, donations and contributions, exclusive of any gifts, bequests, grants, donations or contributions to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Required Payments or for the payment of operating expenses, and (c) revenues derived from (1) condemnation proceeds, (2) inventory and other tangible and intangible property, (3) private and governmental health care reimbursement programs and agreements, (4) insurance proceeds, (5) contract rights and other rights now or hereafter owned by each Member and (6) realized investment earnings. **HumanGood NorCal, HumanGood SoCal and HumanGood Fresno are currently the only Members of the California Obligated Group.**

Pursuant to the Master Indenture, each Member of the California Obligated Group has covenanted and agreed that, so long as any Obligation remains Outstanding, all of the Gross Revenues of the California Obligated Group shall be deposited as soon as practicable upon receipt in a fund (in one or

more accounts at such banking institution or institutions as the California Obligated Group Representative shall from time to time designate in writing to the Master Trustee for such purpose (the “*Depository Bank(s)*”) designated as the “Gross Revenue Fund.” Subject only to the provisions of the Master Indenture permitting the application of the Gross Revenue Fund for the purposes and on the terms and conditions set forth in the Master Indenture, each Member pledges, and to the extent permitted by law, grants a security interest to the Master Trustee in, the Gross Revenue Fund and all of the Gross Revenues of the California Obligated Group to secure the payment of Required Payments and the performance by the Members of their other obligations under the Master Indenture. Each Member has executed a depository account control agreement with each Depository Bank and shall execute and deliver such other documents as may be necessary or reasonably requested by the Master Trustee in order to perfect or maintain as perfected such security interest or give public notice thereof. The pledge of Gross Revenues will be perfected to the extent and only to the extent that such security interest may be perfected by control as provided in the Uniform Commercial Code of the State of California. It may not be possible to perfect a security interest in any manner whatsoever in certain types of Gross Revenues (e.g., gifts, donations, certain insurance proceeds, Medicare and Medicaid payments) prior to actual receipt by the Members of the California Obligated Group for deposit into the Gross Revenue Fund established under the Master Indenture.

Notwithstanding such security interest in the California Obligated Group’s Gross Revenues, the Members of the California Obligated Group may sell or otherwise transfer Gross Revenues and create Permitted Encumbrances thereon, in accordance with the provisions of the Master Indenture. See APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – DEFINITIONS OF CERTAIN TERMS – Permitted Encumbrances” herein. Also see “RISK FACTORS – Certain Matters Relating to Enforceability of Security Interest in Gross Revenues” below.

Exchange of Series 2021 Obligation

Under certain circumstances, the Series 2021 Obligation may be required to be exchanged for an obligation issued by or on behalf of a different credit group under a replacement master indenture and the Loan Agreement may be assumed by a member of the new credit group. Pursuant to the Master Indenture, such an exchange requires, among other things, written notice from each Rating Agency or Rating Agencies then maintaining a rating on any Bonds confirming that the rating on such Bonds will not be lowered or withdrawn from the rating (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) in effect prior to the substitution. Such an exchange could, under certain circumstances, lead to the substitution of different security in the form of a loan agreement with a new entity and an obligation backed by a credit group that is financially and operationally different than the California Obligated Group. See APPENDIX C - “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Release and Substitution of Obligations upon delivery of Replacement Master Trust Indenture” herein. Also see APPENDIX D – “SUMMARY OF THE BOND INDENTURE AND THE LOAN AGREEMENT – SUMMARY OF CERTAIN PROVISIONS OF THE BOND INDENTURE – Release and Substitution of Series 2021 Obligation Upon Delivery of Replacement Master Trust Indenture.”

Amendments to Master Indenture

The Master Indenture permits the California Obligated Group Representative, acting for itself and as agent for each Member, and the Master Trustee to amend the Master Indenture with the consent of the Holders of not less than a majority in aggregate principal amount of the Outstanding Obligations. Pursuant to the Fourth Supplemental Master Trust Indenture, the California Obligated Group wishes to amend the provisions of the Master Indenture as set forth below (the “*Proposed Amendments*”). By

accepting Obligation No. 19, the Bond Trustee shall be deemed to have consented to the Proposed Amendments. The Holders of a majority in aggregate principal amount of the Outstanding Obligations have not consented to the Proposed Amendments, and therefore the Proposed Amendments will not be effective upon the issuance of Obligation No. 19 but will be effective upon receipt by the Master Trustee of the requisite number of consents.

The Proposed Amendments included in the Fourth Supplemental Master Trust Indenture include, among other things, the revisions summarized below:

- Amendments to the provisions relating to the calculation of the Debt Service Coverage Ratio to exclude from such calculation the expenses relating to the project or Capital Addition financed with the proceeds of Additional Indebtedness during the Start-Up Period. *See APPENDIX C - “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Rates and Charges; Debt Coverage.”*
- Amendments to the provisions relating to the use of insurance and condemnation proceeds to provide that, in the case of the damage or destruction of at least two-thirds (2/3) of the Book Value of the facilities of the California Obligated Group as a result of fire or other casualty, any related proceeds shall be deposited with the Master Trustee to apply to the prepayment or redemption of Obligations outstanding, on a pro rata basis, or be applied by the California Obligated Group to repair, renovate or rebuild the facilities, or any combination thereof. *See APPENDIX C - “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Insurance and Condemnation Proceeds”*

PLAN OF FINANCE

The proceeds of the Bonds, together with certain other moneys, will be loaned to HumanGood NorCal to (i) finance the costs of the Project, and (ii) pay certain costs of issuance of the Bonds.

The Project

Approximately \$131.9 million of the proceeds of the Bonds will be used for new projects, including the remodeling, renovating, furnishing and equipping certain senior living facilities owned and operated by the Members of the California Obligated Group and to finance the costs of various capital enhancement projects, including remodeling, landscaping and equipment upgrades at such senior living facilities. For more information concerning the Project, *see APPENDIX A – “INFORMATION CONCERNING THE HUMANGOOD CALIFORNIA OBLIGATED GROUP – CALIFORNIA OBLIGATED GROUP COMMUNITIES – California Obligated Group Projects.”*

SOURCES AND USES OF FUNDS

Proceeds to be received from the sale of the Bonds will be applied as set forth in the following table (all amounts are rounded to the nearest whole dollar).

Sources of Funds	<u>Series 2021 Bonds</u>
Par Amount of Bonds	\$ 120,000,000
Plus Original Issue Premium	<u>13,481,022</u>
Total Sources of Funds	\$ 133,481,022
 Uses of Funds	
Deposit to Project Fund	\$ 131,928,022
Costs of Issuance and Other Costs	<u>1,553,000</u>
Total Uses of Funds	\$ 133,481,022

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ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth, for each fiscal year ending December 31, the amounts required to be available for the payment of principal of the Bonds (including Bond Sinking Fund payments), interest on the Bonds, and the aggregate debt service on all other outstanding long-term debt. The totals of the columns and rows may not correspond exactly due to rounding.

Fiscal Year Ending December 31,	Series 2021 Bonds		Other Long-Term Debt Service ⁽¹⁾	Total Debt Service
	Principal	Interest		
2021	\$ -	\$ -	\$ 21,487,124	\$ 21,487,124
2022	-	4,284,270	21,723,092	26,007,362
2023	-	4,260,600	22,684,852	26,945,452
2024	85,000	4,260,600	23,192,626	27,538,226
2025	140,000	4,256,350	23,145,539	27,541,889
2026	160,000	4,249,350	23,132,919	27,542,269
2027	205,000	4,241,350	23,096,336	27,542,686
2028	230,000	4,231,100	23,081,659	27,542,759
2029	290,000	4,219,600	23,029,894	27,539,494
2030	330,000	4,205,100	23,004,160	27,539,260
2031	400,000	4,188,600	22,949,341	27,537,941
2032	475,000	4,168,600	22,896,581	27,540,181
2033	560,000	4,144,850	22,836,128	27,540,978
2034	655,000	4,116,850	22,767,139	27,538,989
2035	750,000	4,084,100	22,706,678	27,540,778
2036	850,000	4,046,600	22,644,258	27,540,858
2037	795,000	4,017,100	22,729,724	27,541,824
2038	815,000	3,989,250	22,737,899	27,542,149
2039	830,000	3,960,800	22,750,051	27,540,851
2040	845,000	3,931,900	22,765,606	27,542,506
2041	870,000	3,902,550	22,766,543	27,539,093
2042	895,000	3,872,450	22,774,205	27,541,655
2043	925,000	3,841,100	22,775,171	27,541,271
2044	945,000	3,808,850	22,788,359	27,542,209
2045	14,625,000	3,776,000	9,139,422	27,540,422
2046	20,155,000	3,264,750	4,122,003	27,541,753
2047	20,850,000	2,560,100	4,132,224	27,542,324
2048	25,710,000	1,829,600	-	27,539,600
2049	26,610,000	928,300	-	27,538,300
TOTAL⁽²⁾	\$ 120,000,000	\$ 106,640,670	\$ 563,859,534	\$ 790,500,204

⁽¹⁾ Represents annual principal and interest on the Outstanding Series 2015 NorCal Bonds, Series 2015 SoCal Bonds, Series 2019A Bonds, Series 2019B Bonds, Series 2020A Bonds, Series 2020B Bonds and 2020 Taxable Term Loan. Capitalized equipment leases are not included. The Series 2015 SoCal Bonds, the Series 2020A Bonds, the Series 2020B Bonds and the 2020 Taxable Term Loan bear interest at a variable rate. Accordingly, certain assumptions were made in calculating estimated interest to be paid with respect to this indebtedness. See "INTRODUCTION – Additional Obligations and Additional Indebtedness" and "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Existing and Additional Indebtedness; Additional Obligations" herein.

⁽²⁾ Numbers do not total due to rounding.

CERTAIN COVENANTS OF THE CALIFORNIA OBLIGATED GROUP UNDER THE MASTER INDENTURE

General

The Series 2021 Obligation securing the Bonds will be issued pursuant to the Master Indenture. *See* “**SECURITY AND SOURCE OF PAYMENT FOR THE BONDS**” herein. The California Obligated Group has agreed to comply with the covenants contained in the Master Indenture for the benefit of the holders of the Bonds.

Limitations on Additional Indebtedness and on Encumbrances

The Master Indenture defines Additional Indebtedness as any Indebtedness incurred subsequent to the execution and delivery of the Master Indenture. Pursuant to the Master Indenture, each Member agrees that it will not incur any Additional Indebtedness except as permitted therein. The Series 2021 Obligation issued under the Fourth Supplemental Master Trust Indenture is permitted Additional Indebtedness under the Master Indenture. *See* APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST - SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Limitations on Additional Indebtedness” herein for further information about the various incurrence tests.

The Master Indenture also prohibits any Member from creating, assuming or permitting to exist any Lien upon the Gross Revenues or the Principal Property other than Permitted Encumbrances. Further, each Member covenants and agrees in the Master Indenture that, if such a Lien is created or assumed by any Member, the Member will make or cause to be made effective a provision whereby all Obligations will be secured prior to any such Indebtedness or other obligation secured by such Lien. *See* APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST - DEFINITIONS OF CERTAIN TERMS” herein for the definitions of Principal Property, Lien and Permitted Encumbrances.

In addition, the Master Indenture permits the Members of the California Obligated Group to sell, lease or otherwise dispose of Property owned by the California Obligated Group upon satisfaction of the conditions set forth in the Master Indenture. *See* APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST - SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Sale, Lease or Other Disposition of Property” herein.

Rates and Charges; Debt Service Coverage

Each Member covenants and agrees in the Master Indenture to operate all of its Principal Property in the aggregate on a revenue-producing basis and to charge such fees and rates for its facilities and services and to exercise such skill and diligence, including obtaining payment for services provided, as to provide income from its facilities together with other available funds sufficient to pay promptly all payments of principal and interest on its Indebtedness, all expenses of operation, maintenance and repair of its Property and all other payments required to be made by it under the Master Indenture to the extent permitted by law. Each Member further covenants and agrees that it will from time to time as often as necessary and to the extent permitted by law revise its rates, fees and charges in such manner as may be necessary or proper to comply with the provisions of the Master Indenture summarized below.

Within 150 days after the end of each Fiscal Year, the California Obligated Group Representative shall compute Income Available for Debt Service, Annual Debt Service, and the Debt Service Coverage

Ratio of the California Obligated Group and promptly furnish to the Required Information Recipients (as herein defined) an Officer's Certificate setting forth the results of such computation. For purposes of the provisions of the Master Indenture summarized under this heading, principal and interest payable on any Affiliate-Related Subordinated Indebtedness shall be excluded from Annual Debt Service.

If the Debt Service Coverage Ratio of the California Obligated Group for any Fiscal Year is less than 1.20:1, the Master Trustee shall require the California Obligated Group Representative, at the California Obligated Group's expense, to select an Independent Consultant within 30 days following the calculation described in the immediately preceding paragraph to make recommendations with respect to the rates, fees and charges of the California Obligated Group and the California Obligated Group's methods of operation and other factors affecting its financial condition in order to increase such Debt Service Coverage Ratio to at least 1.20:1 for the following Fiscal Year.

For purposes of calculations under these provisions of the Master Indenture, an unrestricted contribution from any Affiliate of any Member of the California Obligated Group may, at the sole discretion of the California Obligated Group Representative, be treated as Income Available for Debt Service being earned during the period of such calculation so long as the unrestricted contribution is made prior to the date the applicable Certificate is required to be delivered with respect to such calculation. If the unrestricted contribution is counted in a period prior to the date of such transfer in accordance with the previous sentence, it shall not be included in the calculation for the period in which such contribution was actually made.

If a written report of an Independent Consultant is delivered to the Master Trustee stating that Industry Restrictions have made it impossible for the ratio to be met, then such ratio shall be reduced to 1.00:1 for such Fiscal Year.

A copy of the Independent Consultant's report and recommendations, if any, shall be filed with each of the Required Information Recipients within 60 days of retaining the Independent Consultant. Each Member shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of the Member) and permitted by law. The provisions of the Master Indenture summarized under this heading shall not be construed to prohibit any Member from serving indigent patients to the extent required for such Member to continue its qualification as a Tax-Exempt Organization or from serving any other class or classes of patients without charge or at reduced rates so long as such service does not prevent the California Obligated Group from satisfying the other requirements of the provisions of the Master Indenture summarized under this heading.

Notwithstanding any other provisions of the Master Indenture, an Event of Default arising from the Debt Service Coverage Ratio shall only occur thereunder if: (1) the California Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.20:1 and fails to take all necessary action to comply with the procedures set forth in the Master Indenture for preparing a report, adopting a plan, and following all recommendations contained in such report or plan to the extent feasible (as determined by the California Obligated Group Representative) and permitted by law; (2) the Days Cash on Hand of the California Obligated Group is less than 125 at the end of a Fiscal Year in which the California Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1; or (3) the California Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1 for two consecutive Fiscal Years.

See "CERTAIN COVENANTS OF THE CALIFORNIA OBLIGATED GROUP UNDER THE MASTER INDENTURE" below and APPENDIX C – "SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST - SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Rates and Charges; Debt Coverage" herein.

Liquidity Covenant

The California Obligated Group covenants that it will calculate the Days Cash on Hand of the California Obligated Group as of June 30 and December 31 of each Fiscal Year (each such date a “*Testing Date*”). The California Obligated Group shall include such calculations in the Officer’s Certificates for the fiscal quarters ending June 30 and December 31 delivered pursuant to the provisions of the Master Indenture summarized under the heading APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST - SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Filing of Financial Statements, Reports and Other Information.”

Each Obligated Member is required to conduct its business so that on each Testing Date the California Obligated Group shall have not less than 125 Days Cash on Hand.

If the amount of Days Cash on Hand as of any Testing Date is less than 125, the California Obligated Group Representative shall, within 30 days after receipt of the Officer’s Certificate disclosing such deficiency, deliver an Officer’s Certificate of the California Obligated Group Representative to the Master Trustee setting forth in reasonable detail the reasons for such deficiency and adopting a specific plan (which plan shall be developed in consultation with the governing body of the California Obligated Group Representative) setting forth steps to be taken designed to achieve the required level of Days Cash on Hand for future periods.

If the California Obligated Group has not achieved 125 Days Cash on Hand by the next Testing Date following delivery of the Officer’s Certificate described in the preceding paragraph, the California Obligated Group Representative shall, within 30 days after receipt of the Officer’s Certificate disclosing such continued deficiency, select an Independent Consultant to make recommendations with respect to the rates, fees and charges of the California Obligated Group and the California Obligated Group’s methods of operation and other factors affecting its financial condition in order to increase the Days Cash on Hand to the required level for future periods. A copy of the Independent Consultant’s report and recommendations, if any, shall be filed with each of the Required Information Recipients within 60 days of the date such Independent Consultant is retained. Each Member of the California Obligated Group shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of the Member) and permitted by law. The California Obligated Group shall not be required to engage an Independent Consultant more than one time in any twelve-month period.

Notwithstanding any other provision of the Master Indenture, failure of the California Obligated Group to achieve the required liquidity level for any Fiscal Year shall not constitute an Event of Default under the Master Indenture if the California Obligated Group takes all action necessary to comply with the procedures set forth above for preparing a report and adopting a plan and follows each recommendation contained in such report to the extent feasible (as determined by the California Obligated Group Representative) and permitted by law.

See APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST - SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Liquidity Covenant” herein.

Approval of Consultants

If at any time the Members of the California Obligated Group are required to engage an Independent Consultant to make recommendations with respect to the Days Cash on Hand of the California Obligated Group as described under the caption “– Liquidity Covenant” above or to make recommendations with respect to the California Obligated Group’s rates, fees and charges as summarized under the caption “– Rates And Charges; Debt Service Coverage” above, the Independent Consultant shall be engaged in the manner set forth below.

Upon selecting an Independent Consultant as required under the Master Indenture, the California Obligated Group Representative will notify the Master Trustee of such selection. The Master Trustee shall, as soon as practicable but in no case longer than five Business Days after receipt of notice, notify the Holders of the Obligations outstanding of such selection. Such notice shall (i) include the name of the Independent Consultant and a brief description of the Independent Consultant to the extent provided to the Master Trustee by the California Obligated Group Representative, (ii) state the reason that the Independent Consultant is being engaged including a description of the covenant(s) of the Master Indenture that require the Independent Consultant to be engaged, and (iii) state that the holder of the Obligation will be deemed to have consented to the selection of the Independent Consultant named in such notice unless such Obligation holder submits an objection to the selected Independent Consultant in writing (in a manner acceptable to the Master Trustee) to the Master Trustee within 30 days of the date that the notice is sent to the Obligation Holders. No later than two Business Days after the end of the 30 day objection period, the Master Trustee shall notify the California Obligated Group of the number of objections received by the Master Trustee. If two thirds (66.6%) or more in aggregate principal amount of the Holders of the outstanding Obligations have been deemed to have consented to the selection of the Independent Consultant, the California Obligated Group Representative may engage the Independent Consultant within five days of receiving notice of that consent. If more than one third (33.3%) in aggregate principal amount of the Holders of the Obligations outstanding have objected to the Independent Consultant selected, the California Obligated Group Representative shall select another Independent Consultant within 14 days after receiving notice of such objection, which may be engaged upon compliance with the procedures summarized in this paragraph.

All Independent Consultant reports required under the Master Indenture shall be prepared in accordance with then effective industry appropriate standards.

See APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST - SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Approval of Consultants” herein.

Other Covenants

In addition to the covenants summarized above, the Master Indenture contains, among other provisions, (a) insurance requirements, (b) covenants with respect to maintenance of each Member’s properties, (c) limitations on Guaranties, (d) prohibitions and limitations on sale, lease or other disposition of each Member’s properties, and (e) prohibitions and limitations on consolidation or merger of a Member and sale or conveyance of all or substantially all of a Member’s property.

See APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST - SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE” herein.

Reporting Requirements

The Members covenant in the Master Indenture to keep or cause to be kept proper books of records and accounts in which full, true and correct entries will be made of all dealings or transactions of or in relation to the business and affairs of the California Obligated Group in accordance with GAAP consistently applied, except as may be disclosed in the notes to the audited financial statements. To the extent that GAAP would require consolidation of certain financial information of entities that are not Members of the California Obligated Group with financial information of one or more Members, consolidated financial statements prepared in accordance with GAAP that include information with respect to entities that are not Members of the California Obligated Group may be delivered in satisfaction of the requirements of this provision of the Master Indenture so long as: (i) supplemental information in sufficient detail to separately identify the information with respect to the Members of the California Obligated Group is delivered to the Master Trustee with the audited financial statements; (ii) such supplemental information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements delivered to the Master Trustee and, in the opinion of the accountant, is fairly stated in all material respects in relation to the consolidated financial statements taken as a whole; and (iii) such supplemental information is used for the purposes of the Master Indenture or for any agreement, document or certificate executed and delivered in connection or pursuant to the Master Indenture. The financial statements of the Members of the California Obligated Group contained in APPENDIX B – “AUDITED FINANCIAL STATEMENTS OF THE HUMANGOOD CALIFORNIA OBLIGATED GROUP FOR THE YEARS ENDED DECEMBER 31, 2018, 2019 AND 2020” include information with respect to entities that are not Members of the California Obligated Group.

The Members agree in the Master Indenture to provide certain financial and operating information to the Master Trustee, each Related Bond Trustee, the Electronic Municipal Market Access system (“EMMA”) or any other nationally recognized municipal securities information repositories identified by the Securities and Exchange Commission, and each Related Bond Issuer, who request such reports in writing (collectively, the “*Required Information Recipients*”). See APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST - SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Filing of Financial Statements, Reports and Other Information” herein. In addition to the requirements of the Master Indenture, in connection with the issuance of the Bonds, the California Obligated Group Representative, on behalf of the Members of the California Obligated Group, will enter into a Continuing Disclosure Agreement pursuant to which the California Obligated Group Representative, on behalf of the Members of the California Obligated Group, will provide or cause to be provided certain annual and quarterly financial information (much of which is identical to the reporting requirements of the Master Indenture) and notice of certain events. The form of the Continuing Disclosure Agreement is set forth in APPENDIX F hereto. See also “CONTINUING DISCLOSURE” herein.

Amendments and Supplements to the Master Indenture

Certain amendments to the Master Indenture may be made with the consent of the Holders of a majority of the aggregate principal amount of the Obligations then outstanding. Additionally, certain amendments can be made without the consent of the Holders, as provided in the Master Indenture. See APPENDIX C – “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Supplements and Amendments” herein.

RISK FACTORS

*Set forth below are certain risk factors which should be considered before any investment in the Bonds is made. Certain risks are inherent in the successful operation of the Communities. **This section discusses some of these risks but is not intended to be, and should not be considered, a comprehensive listing of all risks associated with the operation of the Communities or the payment of the Bonds.** All or any of the following risks could be exacerbated by the COVID-19 (defined below) pandemic.*

General

As described herein under the caption “INTRODUCTION – Security for the Bonds; Master Trust Indenture,” the principal of and interest on the Bonds, except to the extent that the Bonds will be payable, under certain circumstances, from proceeds of insurance, sale or condemnation awards or net amounts by recourse to the Deeds of Trust, until such Deeds of Trust are released, are payable solely from amounts payable by HumanGood NorCal under the Loan Agreement, amounts payable by the Members of the California Obligated Group on the Series 2021 Obligation and from certain funds held under the Bond Indenture. No representation or assurance is given or can be made that revenues will be realized by the California Obligated Group or any future members of the California Obligated Group in amounts sufficient to pay debt service on the Bonds when due and other payments necessary to meet the obligations of the California Obligated Group. The Risk Factors discussed below should be considered in evaluating the ability of the California Obligated Group to make payments in amounts sufficient to provide for the payment of the principal of, the premium, if any, and interest on the Bonds.

The receipt of future revenues by the California Obligated Group will be subject to, among other factors, the duration, scope and after effects of the COVID-19 pandemic, federal and state policies affecting the senior housing and health care industries (including changes in reimbursement rates and policies), increased competition from other senior housing and health care providers, the capability of the management of the California Obligated Group and future economic and other conditions that are impossible to predict. The extent of the ability of the California Obligated Group to generate future revenues has a direct effect upon the payment of principal of, premium and purchase price, if any, and interest on the Bonds. Neither the Underwriter nor the Authority has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the California Obligated Group.

Economic and Financial Market Disruption Due to COVID-19 Pandemic and Other General Economic Factors

Economic and Financial Market Disruption Due to COVID-19. The Novel Coronavirus 2019 (“COVID-19”) pandemic has adversely impacted, and continues to adversely impact, global financial markets and economies, including financial markets and economic conditions in the United States. Access to credit and liquidity markets by borrowers in the health care, senior care, and other industries has been adversely affected, the cost of borrowing and liquidity facilities has increased, and significant realized and unrealized losses in investment portfolios have occurred. In December of 2020 and January of 2021, COVID-19 vaccines began to be administered in the United States. At the same time, many citizens remain unvaccinated and new variants of COVID-19 have been discovered, several of which are more transmissible than the original strain, and some of which may reduce the effectiveness of vaccines or natural immunity in persons who have recovered from COVID-19. A surge in COVID-19 cases has been occurring throughout the country since July 2021. For these reasons, more than a year after the declaration of a global pandemic, the future of the COVID-19 pandemic remains uncertain. It is generally expected that the impact of the COVID-19 pandemic on the U.S. economy will continue to be broad based and materially adverse. The ultimate effect of the pandemic on the operations and financial

condition of the California Obligated Group cannot be predicted at this time due to the dynamic nature of the COVID-19 pandemic, including uncertainties relating to its duration and severity, and the future actions of governmental authorities to contain or mitigate its impact, though such effect could be material and adverse. *See also*, “COVID-19 PANDEMIC OR OTHER INFECTIOUS DISEASE OUTBREAK” below.

A variety of federal efforts have been initiated in response to the economic disruption caused by the COVID-19 pandemic. On March 13, 2020, President Trump declared a “national emergency” under both the Robert T. Stafford Disaster Relief and Emergency Assistance Act of 1988, which allowed access to disaster relief funds to address the COVID-19 pandemic and related economic dislocation, and the National Emergencies Act, which allowed the U.S. Department of Health and Human Services (“DHHS”) to waive certain guidelines related to federal health care programs, including Medicare and Medicaid, to address the COVID-19 pandemic. The U.S. Congress followed by passing a series of federal relief packages to address the COVID 19 crisis, including (1) the Coronavirus Preparedness and Response Supplemental Appropriations Act of 2020, (2) the Families First Coronavirus Response Act, (3) the Coronavirus Aid, Relief, and Economic Security Act, (4) the Paycheck Protection Program and Health Care Enhancement Act, (5) the coronavirus response and relief portions of the Consolidated Appropriations Act, 2021, and (6) the American Rescue Plan Act (collectively, the “COVID-19 Relief Acts”). The COVID-19 Relief Acts were largely designed to help fund COVID-19 testing, tracing, and treatment and to provide economic relief and other support for individuals and businesses, including health care facilities and providers. COVID-19 Relief Act measures that may alleviate some of the financial strain caused by the COVID-19 pandemic include, among others: (1) a \$178 billion “Public Health and Social Services Emergency Fund” to reimburse eligible health care providers for “health care related expenses or lost revenues that are attributable to coronavirus” (“Provider Relief Fund”), (2) various policy changes that temporarily boost Medicare and Medicaid reimbursement or provide for additional flexibility in patient care during the COVID-19 emergency period, (3) increased funding for COVID-19 testing, tracing and treatment, (4) direct cash payments to most Americans, (5) increased and extended unemployment benefits, and (6) aid to state and local governments. The timing, adequacy and other ultimate effects of any current or future federal or state stimulus or relief programs on the California Obligated Group, or on the economy generally, cannot be predicted at this time. Although the federal government may consider future COVID-19 emergency response and relief legislation, the content and passage of any such legislation is uncertain.

The acceptance of funds from certain COVID-19 stimulus programs, is conditioned on eligibility and the acceptance of terms and conditions and may be subject to other guidelines or requirements that may change from time to time. Additional guidance or clarifications concerning COVID-19 Relief Act programs, including reporting, recordkeeping and repayment requirements, may be announced from time to time and is subject to change. Failure to comply with such guidelines or requirements could result in recoupment, liability under the federal False Claims Act, or other penalty or sanction. *See* “MANAGEMENT’S DISCUSSION AND ANALYSIS OF OPERATIONS” in Appendix A for a discussion of COVID-19 relief obtained by the California Obligated Group to date.

As a recipient of Provider Relief Funds, the California Obligated Group must attest to the Provider Relief Fund terms and conditions, which among other things, require the submission of documentation to substantiate that relief funds were used for increased health care related expenses or lost revenue attributable to coronavirus. Payments received in excess of health care related expenses or lost revenue attributable to coronavirus must be repaid. DHHS has reserved the right to audit Provider Relief Fund recipients to ensure that this requirement is met and collect any Provider Relief Fund amounts that were made in error or exceed lost revenue or increased expenses due to COVID-19. Failure to comply with the terms and conditions may be grounds for recoupment or other penalty or sanction. The reporting instructions related to the Provider Relief Fund (“PRF Reporting Instructions”) specify three acceptable

methods for calculating a recipient's lost revenues attributable to COVID-19: (a) lost revenue up to the amount of the difference between their 2019 and 2020 actual patient care revenue, (b) lost revenue up to the amount of the difference between 2020 budgeted and 2020 actual patient care revenue, using a budget that was established and approved prior to March 27, 2020, or (c) any other reasonable methodology of estimating revenue, if the recipient submits a description of the methodology, an explanation of why the methodology is reasonable, and establishes how the identified lost revenues were attributable to COVID-19 as opposed to any other source. The PRF Reporting Instructions indicate that a recipient electing to calculate lost revenue in accordance with clause (c) above will face an increased likelihood of a federal audit. DHHS may release revised or additional Provider Relief Fund requirements or guidance in the future. Any future change to the formula for calculating lost revenues set forth in the PRF Reporting Instructions could have a potentially significant impact on whether a health care provider must repay a portion of its Provider Relief Fund payments. If unable to attest to or comply with current or future terms and conditions, the Corporation's ability to retain some or all of the distributions received may be impacted. See "MANAGEMENT'S DISCUSSION AND ANALYSIS OF OPERATIONS" in Appendix A.

General Economic Conditions. The U.S. economy is unpredictable. Economic downturns and other unfavorable economic conditions have previously impacted the health care and senior care industries and health care and senior care providers' business and financial condition and, as described above, the COVID-19 pandemic has, and continues to, adversely impact the U.S. economy. If general economic conditions further worsen as a result of the COVID-19 pandemic and/or other causes, the California Obligated Group may not be able to achieve or sustain future profitability, and its liquidity and ability to repay outstanding debt, including debt service on the Bonds, may be adversely affected. Broad economic factors—such as unemployment rates, instabilities in consumer demand and consumer spending or instabilities in the housing market in the Communities' service area—could affect the Communities' occupancy rates and the California Obligated Group's ability to collect outstanding receivables. Other economic conditions that from time to time may adversely affect the California Obligated Group's financial condition, and consequently, its ability to make payments on the Bonds or the Series 2021 Obligation, include but are not limited to: (1) an inability to access financial markets on acceptable terms at a desired time or increased borrowing costs, (2) significant investment portfolio losses, (3) increased business failures and consumer and business bankruptcies, (4) federal and state budget challenges resulting in reduced or delayed Medicare or Medi-Cal reimbursement, (5) a reduction in the demand for health care or senior care services, (6) an increase in lawsuits and increased malpractice and casualty insurance expenses, (7) reduced availability or affordability of insurance, (8) a shortage of nursing or other professional personnel, (9) a shortage of medical supplies, (10) increased operating costs, (11) a reduction in the receipt of grants and charitable contributions, (12) unfavorable demographic developments in the Communities' service area, or (13) increased competition from other senior living facilities or health care institutions. All or any of the foregoing conditions could be exacerbated by the COVID-19 pandemic.

Some of the challenges caused by the disruptions in the credit markets and general economic conditions are further highlighted below. These and other risks may adversely affect the California Obligated Group and jeopardize its ability to generate revenues, make payments under the Loan Agreement, make payments on the Series 2021 Obligation and, consequently, make payments on the Bonds. There can be no assurance that the financial condition of the California Obligated Group and/or the utilization of the facilities will not be adversely affected by any of these circumstances.

COVID-19 Pandemic or Other Infectious Disease Outbreak

The COVID-19 pandemic, or another highly infectious disease outbreak in the Communities or in the service area of the Communities, could materially adversely affect the California Obligated Group's business or financial condition. The COVID-19 pandemic or such other highly infectious disease outbreak may affect the California Obligated Group's operations and revenues in various ways, including but not limited to (1) reputational damage, (2) a quarantine or temporary shutdown, (3) medical supply shortages, (4) professional or non-professional staff shortages or illness, or (5) failure to achieve and maintain occupancy or turnover due to potential residents choosing to defer or avoid senior care. Governmental and private responses to the COVID-19 pandemic and resulting economic conditions may also directly or indirectly affect the California Obligated Group's operations and revenues. For example, domestic or foreign governmental responses or commercial business responses to the COVID-19 pandemic or another highly infectious disease outbreak, such as shelter-in-place orders, sick-leave mandates or remote work policies, could (1) disrupt the production or supply of medical supplies or increase the costs of such products, (2) result in third-party payor reimbursement delays, (3) increase employee sick-leave expenses or other employee costs, or (4) otherwise materially adversely impact the California Obligated Group's business in ways that are difficult to predict at this time. The extent to which business interruption insurance would be available in connection with any events resulting from the COVID-19 pandemic is dependent upon the specific facts of the events, and there can be no assurance that adequate business interruption insurance would be available to cover such losses. Management cannot predict the duration, scope and after effects of the COVID-19 pandemic on the Community, nor can it predict the likelihood or severity of any of the aforementioned events upon the Corporation's business or financial condition, though such effect could be material and adverse.

Senior living has been among the hardest hit industries during the COVID-19 pandemic because the disease has particularly affected adults 65 years old and older, who represent more than eighty percent (80%) of COVID-19 deaths reported in the U.S. according to the Centers for Disease Control and Prevention (the "CDC"). As mentioned above, a surge in COVID-19 cases has been occurring throughout the country since July 2021. In response to the continued spread of COVID-19, President Biden announced a plan to require vaccination for federal workers and contractors, as well as health care workers in hospitals, nursing facilities, and other institutions that receive Medicare and Medicaid funding. Failure to comply with federal employee vaccination mandates may result in exclusion from the Medicare or Medicaid programs. The California Obligated Group continues to monitor developments with respect to the COVID-19 pandemic and intends to follow any applicable requirements from the CDC or other federal, state and local regulatory agencies. See "ECONOMIC AND FINANCIAL MARKET DISRUPTION DUE TO COVID-19 PANDEMIC AND OTHER GENERAL ECONOMIC FACTORS."

Utilization Demand

Several factors could, if implemented, affect demand for services of the Communities, including: (1) governmental, commercial and individual responses to the COVID-19 pandemic, (2) efforts by insurers and governmental agencies to reduce utilization of nursing home and long-term care facilities by such means as preventive medicine and home health care programs; (3) advances in scientific and medical technology; (4) a decline in the population or a change in the age composition of the population; (5) a decline in the economic conditions of the service area of the Communities; (6) increased or more effective competition from nursing homes, assisted living facilities and long-term care facilities now or hereafter located in the service area of the Communities; (7) to the extent any residents use long-term care insurance to help pay for their care, an increase in long-term care insurance premiums or other disruptions in the long-term care insurance market and (8) general disruptions in the health care, long-term care or insurance markets resulting from the COVID-19 pandemic or health care reform efforts.

Potential Changes to Tax Treatment of Bonds

Proposals to alter or eliminate the exclusion of interest on tax-exempt bonds from gross income for some or all taxpayers have been made in the past and may be made again in the future. Such legislative proposals, if enacted, could alter the federal and/or state tax treatment described under the heading “TAX MATTERS” herein, and certain of which, whether or not enacted, could adversely affect the market value or marketability of the Bonds. Certain legislative proposals, if enacted, could tax all or a portion of the interest on tax exempt bonds, including the Bonds, for certain taxpayers under the regular income tax, the alternative minimum tax or otherwise, and could apply to bonds issued before, on, or after the date of enactment.

It is unclear whether any legislation will be enacted affecting the tax treatment of interest on the Bonds. If any such legislation is retroactive and applies to tax-exempt bonds, including the Bonds, previously issued for the benefit of the California Obligated Group, the adoption of any such legislation could adversely affect the market value or marketability of the Bonds and the financial condition of the California Obligated Group. In addition, the adoption of any such legislation could increase the cost to the California Obligated Group of financing future capital needs.

General Risks of Long Term Care Facilities

There are many diverse factors not within the California Obligated Group’s control that have a substantial bearing on the risks generally incident to the operation of its facilities. These factors include adverse use of adjacent or neighboring real estate, community acceptance of the Communities, changes in demand for the Communities, changes in the number of competing facilities, changes in the costs of operation of the Communities, changes in state laws affecting long term care programs, potential federal law changes, the limited income of senior citizens, general changes in the long term care and health care industries (including those imposed by health care reform), difficulties in or restrictions on the California Obligated Group’s ability to raise rates charged, access to financial capital and general economic conditions. In recent years, a significant number of long term care facilities throughout the United States have defaulted on various financing obligations or otherwise have failed to perform as originally expected. There can be no assurance the California Obligated Group will not experience one or more of the adverse factors that caused other facilities to fail. Many other factors may adversely affect the operation of facilities like the California Obligated Group’s and cannot be determined at this time.

Impact of Disruptions in the Credit Markets and General Economic Factors

A financial market disruption, such as the economic recession that began in 2008, may have negative repercussions upon the national and global economies, including a scarcity of credit, lack of confidence in the financial sector, extreme volatility in the financial markets, increase in interest rates, reduced business activity, increased consumer bankruptcies and increased business failures and bankruptcies. The health care and senior care sectors were materially adversely affected by the 2008 recession and would likely be materially adversely affected by any future economic recession or financial market disruption. Consequences of the 2008 recession generally included realized and unrealized investment portfolio losses, reduced investment income, limitations on access to the credit markets, difficulties in extending existing or obtaining new liquidity facilities, difficulties in remarketing revenue bonds subject to tender, requiring the expenditure of internal liquidity to fund tenders of revenue bonds, and increased borrowing costs. Future financial market disruptions cannot be predicted and there can be no assurance that future financial disruptions will not materially or adversely affect the operations and financial condition of the Members of the California Obligated Group.

Additions to the California Obligated Group

Currently, HumanGood NorCal, HumanGood SoCal and HumanGood Fresno are the only Members of the California Obligated Group. Upon satisfaction of certain conditions in the Master Indenture, other entities can become members of the California Obligated Group. See “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST – SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – The California Obligated Group – Membership in the California Obligated Group” in APPENDIX C. Management of the California Obligated Group (“*Management*”) may add additional Members to the California Obligated Group in the future. If and when new members are added, the California Obligated Group’s financial situation and operations will likely be altered from that of HumanGood NorCal, HumanGood SoCal and HumanGood Fresno.

Affiliations, Merger, Acquisition and Divestiture

The Members of the California Obligated Group evaluate and pursue potential acquisition, merger and affiliation candidates as part of the overall strategic planning and development process. As part of their ongoing planning and property management functions, the Members of the California Obligated Group review the use, compatibility and business viability of operations, and from time to time may pursue changes in the use of, or disposition of, its facilities. Likewise, the Members of the California Obligated Group occasionally receive inquiries from, or conduct discussions with, third parties about the potential acquisition of operations and properties which may become subsidiaries, affiliates, or Members of the California Obligated Group in the future, or about the potential sale of some of the operations or property which are currently conducted or owned by Members of the California Obligated Group. Discussions with respect to affiliation, merger, acquisition, disposition or change of use of facilities are held from time to time with other parties. As a result, it is possible that the current organization and assets of the California Obligated Group may change from time to time. Any such changes are subject to compliance with the applicable provisions of the Master Indenture.

Uncertainty of Revenues

Although the Members of the California Obligated Group expect that revenues will be adequate to make all scheduled payments under the Loan Agreement (and corresponding payments on the Bonds), a number of factors could decrease revenues. Future economic and other conditions, including demand for rental housing, the ability of the California Obligated Group to provide the living environment demanded by residents and potential residents, the capabilities of management, competition (including from facilities financed by the Authority), changes in prevailing rental rates, costs, demographic changes, the duration, scope and after effects of the COVID-19 pandemic and governmental and private responses to such pandemic, legislation, governmental regulations and litigation may adversely affect revenues and, consequently, HumanGood NorCal’s ability to make payments under the Loan Agreement.

Construction Risks. There can be no assurances given that the Project will be completed, or that it can be completed for the cost and within the time as currently expected. Failure to complete the Project, or to complete it in a timely fashion at the estimated cost could adversely affect the ability of the California Obligated Group to generate sufficient revenues to continue its planned operations and to make payments with respect to the Bonds. If the completion of the Project is delayed, the receipt of entrance fees necessary for such purposes, as well as the receipt of monthly fees necessary to fund operations, may be adversely impacted.

Construction projects are subject to a variety of risks, including but not limited to delays in issuance of required building permits or other necessary approvals or permits, strikes, shortages of qualified contractors or materials, adverse weather conditions and issues caused or exacerbated by the

COVID-19 pandemic. Further, although Members of the California Obligated Group will periodically inspect construction work for the Project, there can be no assurance that the Project will conform to construction specifications or state or local regulations. Cost overruns may occur due to change orders, delays in construction schedules, scarcity of building materials and labor and other factors. Cost overruns could cause project costs to exceed estimates and require more funds than originally allocated or require the Members of the California Obligated Group to expend or borrow additional funds to complete the Project.

Failure to Achieve and Maintain Occupancy and Turnover. The ability of the California Obligated Group to generate sufficient revenues depends in large part on the California Obligated Group's ability to attract sufficient numbers of residents to its facilities in order to maintain substantial occupancy and turnover of residents throughout the term of the Bonds. Because occupancy and turnover at the Communities depend upon factors outside the California Obligated Group's control, such as residents' rights to terminate their contracts with the California Obligated Group subject to conditions in the residency agreement, the residents' financial conditions, the investment environment, or the duration and outcome of the COVID-19 pandemic, the California Obligated Group must rely on various assumptions about the California Obligated Group's residents and the market for their services. Where such assumptions prove to be wrong, the California Obligated Group's revenues will be affected. For example, the California Obligated Group's receipt of additional entrance fees could be impaired by the survival of a substantial number of residents beyond assumed life expectancies, fewer permanent transfers to the California Obligated Group's assisted living facilities than anticipated, or a market-induced reduction in the amount or deferral of the entrance fees payable by new residents. Revenues would also be impaired if the Members of the California Obligated Group are unable to remarket units as they become available. If the California Obligated Group's operations fail to maintain occupancy levels and resell independent living units as they become available, or if there is a reduction in the amount of entrance fees received, the California Obligated Group may lack sufficient funds to pay debt service on the Bonds.

Competition. Increased competition from a wide variety of potential sources, including but not limited to other assisted living and retirement communities, sheltered care communities, memory care communities, residential supportive living communities, continuing care retirement communities, life care communities, skilled nursing facilities, nursing homes, inpatient and outpatient health care facilities, independent living communities, home health services and others now or hereafter located in the Communities' service area, any of which could receive financing from the Authority, could adversely affect the utilization and/or revenues of the California Obligated Group. Existing and potential competitors may not be subject to various restrictions applicable to the California Obligated Group, and competition may, in the future, arise from new sources not currently anticipated or prevalent. Such competition could inhibit the extent to which the California Obligated Group will be able to raise charges and maintain or increase admissions. There can be no assurance that additional competing facilities will not be constructed in the future. *See APPENDIX A – "INFORMATION CONCERNING THE HUMANGOOD CALIFORNIA OBLIGATED GROUP – MARKETING AND COMPETITION – Competition."*

Real Estate Markets/Sale of Personal Residences. During the term of the Bonds, prospective residents of the Communities may have difficulty selling their current homes due to national and local economic conditions impairing the sale of residential real estate and, as a consequence, may not have sufficient assets to pay entrance fees, monthly service fees or any applicable supplemental fees. This could cause a delay in scheduled occupancy of the Communities, the remarketing of vacated units, or a reduction in the amount or deferral of the entrance fees payable, all of which would have an adverse effect on the revenues of the California Obligated Group.

Fixed Income of the Elderly. A large percentage of the monthly income of residents and prospective residents of the Communities is fixed income derived from pensions and Social Security. If, due to inflation or otherwise, substantial increases in fees are required to cover increases in operating costs, wages, benefits and other expenses, many residents may have difficulty paying or may be unable to pay such increased fees. Alternatively, any decrease in the amounts paid by a resident's fixed income sources could affect such resident's ability to meet financial obligations. The California Obligated Group's inability to collect the full amount of residents' payment obligations may adversely affect the ability of the California Obligated Group to make payments with respect to the Bonds.

Reduced Demand. Several factors could, if implemented, affect demand for services of the California Obligated Group, including: (i) governmental, commercial and individual responses to the COVID-19 pandemic, as described above under "COVID-19 PANDEMIC OR OTHER INFECTIOUS DISEASE OUTBREAK"; (ii) efforts by insurers and governmental agencies to reduce utilization of long-term care facilities and skilled nursing homes by means such as preventative medicine and home health programs; (iii) advances in scientific and medical technology; (iv) a decline in the population or a change in the age composition of the population; and (v) a decline in the economic conditions of the primary market area of the Communities.

Third-Party Payor Programs

The California Obligated Group derives a significant percentage of its skilled nursing facility revenue from third-party payors such as the Medicare program, state Medicaid programs and private managed care plans (e.g. Medicare Advantage plans). The California Obligated Group's business or financial condition could be adversely affected if it (1) experiences material reductions in the reimbursement rates from such third-party payors, (2) is unable to remain "in-network" or negotiate favorable contracts with managed care plans, or (3) has difficulty collecting from third-party payors. See "RISK FACTORS — Present and Prospective Federal and State Regulation — Federal and State Healthcare Program Reimbursement Cuts and Delays" and "— Medicare and Medicaid Programs" for more information.

Uncertainty of Investment Income

The investment earnings of, and accumulations in, certain funds established pursuant to the Bond Indenture have been estimated and are based on assumed interest rates as indicated. While these assumptions are believed to be reasonable in view of the rates of return presently and previously available on the types of securities in which the Bond Trustee is permitted to invest, there can be no assurance that similar interest rates will be available on such securities in the future, nor can there be any assurance that the estimated earnings will actually be realized.

Philanthropy

The California Obligated Group derives income from unrestricted gifts and donations to supplement the Communities' financial assistance programs. See APPENDIX A – "INFORMATION CONCERNING THE HUMANGOOD CALIFORNIA OBLIGATED GROUP – CARE AND RESIDENCE AGREEMENTS" for a description of the California Obligated Group's benevolence policy and the financial statements of the Members of the California Obligated Group included as APPENDIX B – "AUDITED FINANCIAL STATEMENTS OF THE HUMANGOOD CALIFORNIA OBLIGATED GROUP FOR THE YEARS ENDED DECEMBER 31, 2018, 2019 AND 2020" hereto. Although Management expects gifts and donations to remain at least at current levels and to increase at a moderate rate, there can be no assurance that this revenue will not decrease, adversely affecting the financial condition of the California Obligated Group.

Increases in Medical Costs

A deviation from the anticipated medical care requirements of the resident population or substantial unanticipated increases in the cost of such care could have a negative impact on the operations of the Communities. In addition, the cost of providing healthcare services may increase due to increases in salaries paid to nurses and other healthcare personnel and due to shortages in such personnel which may require use of employment agencies. Increases in third party therapy services and other ancillary costs such as drugs and medical supplies may also increase costs. Such cost increases may be exacerbated by the COVID-19 pandemic.

Additional Capital Requirements

The California Obligated Group's operations are capital intensive. Economic conditions such as credit market dysfunction and increased regulation of the financial industry could make it more difficult for the California Obligated Group to access the capital markets or to otherwise fund capital expenses through borrowings on favorable terms and conditions. Any such limitation could result in delayed or deferred capital expenditures that could be detrimental to the operations of the California Obligated Group.

Nursing or Other Staff Shortage

The health care industry occasionally experiences a scarcity of nursing personnel, physical and occupational therapists and other trained health care technicians. Currently, nursing shortages are affecting certain geographic areas. Personnel shortages may result in increased costs and lost revenues from time to time due to the need to hire temporary agency personnel at higher rates, increased compensation levels, and the inability to use otherwise available beds as a result of staffing shortages. Such increased costs and lost revenues could adversely affect the operations or financial condition of the California Obligated Group. Additionally, a lack of qualified personnel may also result in reduced occupancy or require the California Obligated Group to admit residents requiring a lower level of care, both of which could adversely affect operating results. The ability to maintain adequate staffing may be complicated by COVID-19 vaccination mandates imposed by the government or by private employers.

Employment and Labor Issues

The California Obligated Group employs a large number and wide diversity of employees, including professional, quasi-professional, clinical, technical, clerical, housekeeping, maintenance, dietary and other types of workers. As with all employers, the California Obligated Group bears a wide variety of risks in connection with its employees. These risks include contract disputes, difficulties in recruitment or retention, discrimination claims, personal tort actions, work-related injuries, exposure to hazardous materials, interpersonal torts, risks related to benefit plans, payroll and payment disputes, unionization efforts, and other risks that may flow from the relationships between employer and employee or between residents and employees. Certain of these risks are not covered by insurance, and certain of them cannot be anticipated or prevented in advance. Such risks, alone or in combination, could have material adverse consequences to the financial condition or operations of the California Obligated Group. Additionally, the California Obligated Group cannot control the prevailing or minimum wage rates in its service area and any increase in such rates will directly affect the costs of their operations. For example, in 2016, California passed legislation that raised the minimum wage requirement to \$12.00/hour effective January 1, 2019, increasing wages to \$15.00/hour by 2022 (the "*Minimum Wage Law*"). Also, several cities have adopted ordinances which establish a higher minimum wage for employees working within their jurisdictions. Although Management does not expect the Minimum Wage Law to have a material

adverse effect on the California Obligated Group's financial condition, there can be no assurance that any future minimum wage laws will not have such a material adverse effect.

Nonprofit health care providers and their employees are under the jurisdiction of the National Labor Relations Board. Employees at certain of HumanGood NorCal's Communities are unionized and employees of those Communities are members of a collective bargaining unit. *See* APPENDIX A - "INFORMATION CONCERNING THE HUMANGOOD CALIFORNIA OBLIGATED GROUP - MISCELLANEOUS - Employees" for further information regarding the collective bargaining agreements at certain of HumanGood NorCal's Communities. Management is not aware of any current attempts for remaining Communities to unionize. Unionization of employees or a shortage of qualified professional personnel could cause an increase in payroll costs beyond those projected. The California Obligated Group cannot control the prevailing wage rates in its service area and any increase in such rates will directly affect the costs of their operations.

Malpractice Claims, General Liability Insurance and Litigation

The operations of the California Obligated Group may be affected by increases in the incidence of malpractice lawsuits against physicians, nurses, elder care facilities and care providers in general and by increases in the dollar amount of damage recoveries. These may result in increased insurance premiums and an increased difficulty in obtaining malpractice insurance. Insurance does not provide coverage for judgments for punitive damages. The California Obligated Group insures against malpractice claims. No assurance can be given that present levels of coverage can be maintained in ensuing years or that the price of such future coverage will not increase substantially over prior periods. Malpractice and other lawsuits are likely to increase as a result of the COVID-19 pandemic. A number of states, including California, through executive orders and/or legislation, have granted certain health care providers and facilities immunity protections from certain lawsuits relating to the COVID-19 crisis. The scope of immunity protections varies from state to state and may not be sufficient to protect health care facilities and providers from material losses stemming from COVID-19 related lawsuits.

Litigation may also arise from the corporate and business activities of the California Obligated Group, including from its status as an employer, restrictions on the age of the occupants, restrictions on marital status or other discriminatory practices, or Americans with Disabilities Act or Fair Housing Act violations. Many of these risks should be covered by insurance, but some might not be. For example, certain antitrust claims, claims arising from wrongful termination, claims arising from physical harm or assault, including sexual molestation, business disputes and wage and hour claims may not be covered by insurance or other sources and may, in whole or in part, be a liability of the California Obligated Group if determined or settled adversely.

Present and Prospective Federal and State Regulation

General. Health care providers are subject to federal, state and local laws and regulations, and sanctions imposed under or changes to such laws or regulations could adversely affect the operations or financial results of the California Obligated Group. Further reductions in federal and state funding of health care below levels authorized by present law can be expected.

Continuing care retirement communities, including those owned by the California Obligated Group, are subject to numerous licensing, permits, certifications, accreditation, and other governmental requirements. These include, but are not limited to, requirements relating to state licensing agencies, accreditation organizations, and private payors. Skilled nursing facilities, including those of the California Obligated Group, are also subject to licensing requirements. Licensing and permitting requirements are subject to change, and there can be no assurance that the Communities will continue to

be able to maintain necessary licenses or permits or that it will not incur substantial costs in doing so. From time to time, the Communities may receive notices from regulatory agencies relating to alleged deficiencies for failure to comply with all components of licensing or other applicable regulations. In response to the COVID-19 pandemic, senior living providers will likely be subject to increased regulatory inspection and survey activity. It is impossible to predict the effect of future governmental regulation on the operations or the financial condition of the California Obligated Group.

Federal and State Healthcare Program Reimbursement Cuts and Delays. The federal and state governments have in the past, and may in the future, make changes to their respective budgets, which budget reductions may include reductions to the Medicare or Medicaid programs. Additionally, federal health care reform legislation has resulted in significant reimbursement cuts, and future health care reform efforts may result in additional cuts. Federal or state budget authorization delays or other challenges may cause Medicare and Medicaid reimbursements to be paid late. Such payment delays may have a material adverse effect upon facilities that accept Medicare and Medicaid payments. The reduction of Medicare or Medicaid spending may also have a material adverse effect upon facilities that accept Medicare and Medicaid payments. *See* “Health Care Reform” and “Medicare and Medicaid Programs” below for additional information.

Federal Budgetary Pressure. Federal budget deficits, which have been exacerbated by the COVID-19 pandemic, may negatively affect the health care industry and long-term care residents in a number of ways, including, but not limited to, reductions or delays in Medicare reimbursement or pension benefit cuts. Past federal budgets have included large cuts to the Medicare programs and future federal budgets may make additional cuts. Additionally, the federal government is subject to a debt “ceiling” established by Congress. In the past several years political disputes concerning authorization of a federal debt ceiling increase have led to shutdowns of substantial portions of the federal government and other federal budget authorization delays have occurred. Federal budgets delays and federal government shutdowns are unpredictable and may occur in the future. Failure by Congress to increase the federal debt ceiling, federal budget authorization delays, federal government shutdowns, or other political challenges may cause Medicare reimbursements to be further reduced or paid late. *See also* “RISK FACTORS — Present and Prospective Federal and State Regulation — Federal and State Healthcare Program Reimbursement Cuts and Delays” above and “— Health Care Reform” below. Management is unable to determine what impact, if any, current or future state budget challenges may have on the operations and financial condition of the California Obligated Group.

Health Care Reform. The Patient Protection and Affordable Care Act of 2010 and the Health Care and Education Affordability Reconciliation Act of 2010 (collectively referred to as the “ACA”) have significantly changed the United States health care delivery system, addressing almost all aspects of health care facility and provider operations, including the delivery of health care services, the financing of health care costs, health care provider reimbursement and the legal obligations of health care providers, insurers, employers and consumers. Due to the controversial nature of health care reform generally, implementation of the ACA has been, and remains politically controversial. Previously, Republican leaders of Congress have repeatedly cited health care reform and particularly repeal and replacement of the ACA, as a key goal. These actions included introducing and voting on various bills aimed at repealing and replacing all or portions of the ACA. The ACA has continually faced, and continues to face, legal and legislative challenges, including repeated repeal efforts, since its enactment. While no bills wholly repealing the ACA have passed both chambers of Congress, the Tax Cuts and Jobs Act of 2017 effectively eliminated a key provision of the ACA – a tax penalty associated with failing to maintain health coverage (the “Individual Mandate Tax Penalty”) – by reducing the penalty to zero dollars effective 2019. In addition to actual and possible legislative changes, executive branch actions can also have a significant impact on the viability of the ACA. President Biden is expected to undertake executive

actions that will strengthen and build on the ACA and may reverse certain policies of the prior administration that are seen as undermining the ACA.

Other efforts to weaken the ACA included the Trump administration's refusal to defend key parts of the ACA in a federal case filed in Texas, where plaintiffs have argued that the ACA is unconstitutional as a result of the repeal of the individual mandate penalty. On December 14, 2018, a Texas Federal District Court judge, in the case of *Texas v. Azar* declared the ACA unconstitutional, reasoning that the Individual Mandate Tax Penalty was essential to and inseverable from the remainder of the ACA. The case was appealed to the U.S. Court of Appeals for the Fifth Circuit. On December 18, 2019, the U.S. Court of Appeals for the Fifth Circuit affirmed the Texas Federal District Court judge's ruling that the Individual Mandate Tax Penalty was unconstitutional but stopped short of invalidating the entirety of the ACA. The Fifth Circuit remanded the case to the Texas District Court to reconsider whether the remainder of the ACA is severable or must also be held unconstitutional. On March 2, 2020, the U.S. Supreme Court agreed to hear two consolidated cases, filed by the State of California and the United States House of Representative, asking the Supreme Court to review the severability issue. On June 17, 2021, the U.S. Supreme Court dismissed the case, finding that the plaintiffs lacked standing.

While the ACA may result in many providers receiving reduced payments for care, millions of previously uninsured Americans have obtained health insurance coverage as a result of the ACA. There is no assurance that federal payments made as a result of reimbursement reform measures will be sufficient to cover the California Obligated Group's skilled nursing facility costs. In addition, any future Congressional action related to value-based purchasing or adjustments to market basket updates could negatively affect the California Obligated Group's revenues. While Management is currently operating within the framework of the ACA, Management cannot predict with any reasonable degree of certainty or reliability any ultimate effects of the law and its accompanying regulations on the California Obligated Group's operations or financial condition. Additionally, any legal, legislative or executive action that significantly disrupts the health care, senior care, or health insurance industries, generally, could have a material adverse effect on the California Obligated Group's business or financial condition.

Tax Reform. On December 22, 2017, President Trump signed into law the Tax Cuts and Jobs Act of 2017. The Tax Cuts and Jobs Act of 2017 lowered corporate and individual tax rates and eliminated certain tax preferences and other tax expenditures. The Tax Cuts and Jobs Act of 2017 also repealed effective 2019 the individual mandate. Such repeal of the individual mandate may result in a higher uninsured rate, which may adversely affect the financial condition of the California Obligated Group. The Tax Cuts and Jobs Act of 2017 also eliminates the issuance of tax-exempt bonds to advance refund outstanding tax-exempt bonds. This could materially impact the market price or marketability of the Bonds (and outstanding bonds issued by and on behalf of the California Obligated Group) and/or availability of borrowed funds for the California Obligated Group, particularly for capital expenditures, as well as the operations, financial position and cash flows of the California Obligated Group.

In addition, from time to time there are legislative proposals in the United States Congress and the State Legislature that, if enacted, could alter or amend the federal and State income tax matters with respect to the Bonds or adversely affect the market value or liquidity of the Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether if enacted it would apply to bonds issued prior to enactment or the status of tax exempt entities. In addition, regulatory actions are from time to time announced or proposed and litigation is threatened or commenced which, if implemented or concluded in a particular manner, could adversely affect the market value or liquidity of the Bonds. It cannot be predicted whether any such regulatory action will be implemented, how any particular lawsuit will be resolved, or whether the Bonds or the market value or liquidity thereof would be impacted thereby. Purchasers of the Bonds should consult their tax advisors regarding any pending or proposed legislation, regulatory initiatives or litigation.

Purchasers of the Bonds should be aware that future legislative actions (including federal income tax reform) may retroactively affect such investors' federal, state or local tax liability. In all such events, the market value of the Bonds may be impacted and the ability of holders to sell the Bonds in the secondary market may be reduced.

Medicare and Medicaid Programs. Medicare provides certain health care benefits to beneficiaries who are 65 years of age or older, blind, disabled, or qualify for the end stage renal disease program. Medicaid, known as Medi-Cal in California, is a program of financial assistance, funded jointly by the federal government and each of the various states, primarily for medical assistance to certain needy individuals and their dependents. Due to health care reform as well as continuing political and financial pressures, the legal and regulatory environment surrounding the Medicaid and Medicare programs has been changing and is expected to continue to change. Future changes to Medicare and Medicaid may alter features including: (1) services eligible for payment; (2) rates of payment; (3) eligibility requirements to participate or qualify for different levels of payment/reimbursement; (4) consequences of violations; (5) rates and requirements relating to additional payments unrelated to services offered to patients; (6) guidelines relating to interactions between the participating healthcare providers, third party payors and the federal and state governments; and (7) payment methodologies. Past federal budgets have contained cuts to the Medicare program budget. In addition, due to the sequestration required by the Budget Control Act of 2011, annual cuts to the Medicare program of 2% of the total program costs are expected to continue through 2025. While it is uncertain whether future federal budgets will propose additional cuts to these programs, any reduction in the level of Medicare spending or a reduction in the rate of increase of Medicare spending may have an adverse impact on the revenues of the California Obligated Group derived from the Medicare program. See “Medicare” and “Medicaid” below. For a description of the California Obligated Group’s complete payor mix, including Medicare and Medicaid reimbursement, See APPENDIX A – “INFORMATION CONCERNING THE HUMANGOOD CALIFORNIA OBLIGATED GROUP” – “CALIFORNIA OBLIGATED GROUP COMMUNITIES – Payor Mix for Skilled Nursing Care”.

Medicare. Medicare provides certain health care benefits to beneficiaries who are 65 years of age or older, blind, disabled, or qualify for the end stage renal disease program. Unless a specific waiver or pilot program applies, skilled nursing facility (“SNF”) services are covered by the Medicare program only if the patient spends at least three consecutive days as a hospital inpatient for a related condition prior to admission to the SNF and if the patient was admitted to the SNF within 30 days of discharge from the hospital. Medicare reimburses for such post-hospital inpatient nursing services provided by the SNF for up to 100 days for each spell of illness, subject to coinsurance and deductible payments from the patient. There is no annual limitation on the number of covered “spells of illness”. The patient must pay a deductible and coinsurance amounts for the twenty-first and each of the remaining days of covered care per “spell of illness”. Covered services include supervised nursing care, room and board, social services, physical, speech, and occupational therapies, certain pharmaceuticals and supplies, and other necessary services provided by nursing facilities.

Medicare reimburses SNFs pursuant to a prospective payment system (“PPS”). Historically, Medicare PPS payments to SNFs were based upon certain resource utilization group (“RUG”) per diem payment rates developed by the Centers for Medicare & Medicaid Services (“CMS”) that provided various levels of reimbursement based upon a patient case-mix classification system. Pursuant to the FY 2019 Skilled Nursing Facility PPS final payment rules (“2019 SNF PPS Rules”), effective October 1, 2019, the RUG payment methodology was replaced with a revised payment methodology called the “SNF Patient-Driven Payment Model” (“PDPM”). Reimbursement under the PDPM is determined based on ICD-10 diagnosis codes and patient characteristics and adjusted based on the services rendered in order to account for varying costs throughout the stay. Per CMS, the goals of the PDPM are to tie payment to patient conditions and needs rather than the volume of services and to reduce provider paperwork

burdens. There is no assurance that Medicare PPS payments will be sufficient to cover a SNF's costs. Additionally, Management cannot predict with any reasonable degree of certainty or reliability the ultimate effects of the new PDPM payment model on the California Obligated Group's operations or financial condition, though revenues may be negatively affected.

The 2019 SNF PPS Rules also finalized updates to the SNF Value-Based Purchasing Program ("*SNF VBP Program*") and SNF Quality Reporting Program ("*SNF QRP*"). The SNF VBP Program either positively or negatively adjusts a SNF's reimbursement payments based on its performance on the program's hospital readmission measure. Under the SNF QRP, SNFs that fail to submit the required quality data to CMS will be subject to a 2% reduction to the otherwise applicable annual market basket percentage update with respect to that fiscal year. Management cannot predict the California Obligated Group's performance under these programs or the corresponding effects on the California Obligated Group's operations or financial condition.

For the calendar years ended December 31, 2020 and 2019, Medicare payments represented approximately 10.0% and 12.8%, respectively, of the California Obligated Group's net revenues, and managed care payments (e.g. payments from Medicare Advantage plans) represented approximately 3.8% and 3.9%, respectively, of the California Obligated Group's net revenues. *See also* APPENDIX A – "INFORMATION CONCERNING THE HUMANGOOD CALIFORNIA OBLIGATED GROUP" – "CALIFORNIA OBLIGATED GROUP COMMUNITIES – Payor Mix for Skilled Nursing Care" herein.

Medicaid. Medicaid is a program of financial assistance, funded jointly by the federal government and each of the various states, primarily for medical assistance to certain needy individuals and their dependents. State Medicaid and other state health care programs are an important payor source for many health care providers and are likely to become a proportionately larger source of revenue as federal health care reform continues to be implemented, expanding Medicaid in those states that chose to do so. Federal budgetary pressures may reduce the total amount of federal government participation in paying for care for Medicaid recipients. Future federal or state health reform may involve a realignment of the Medicaid program (such as a cap on the federal share of Medicaid expenditures) or its dissolution. There is no way of projecting what form any future program of financing health care delivery to the economically disadvantaged will take or whether levels of reimbursement will be adequate to cover the expenses incurred by any given provider rendering that care.

Because a portion of the Medicaid program's costs are paid by the applicable state, the absolute level of Medicaid revenues paid, as well as the timeliness of their receipt, may be affected by the financial condition of, or the budgetary factors facing, the applicable state. The actions states could take with regard to reducing Medicaid expenditures to accommodate any budgetary shortfalls include a change in the method of payment to nursing home facilities, changing eligibility requirements for Medicaid recipients and delaying actual payments due to health care providers. Any such action taken by such state could adversely affect the financial condition of the Members of the California Obligated Group.

In California, Medicaid is known as "Medi-Cal" and is administered and supervised by the California Department of Health Care Services. California chose to expand Medi-Cal eligibility limits in accordance with the ACA, bringing health care coverage to adults in California (ages 19 up to 65) who earn up to 138 percent of the federal poverty level. Medicaid expansion has raised concerns about overburdening the health care system with a flood of new patients and challenging the financial viability of the program. As discussed above, many states, including California, face budget challenges which may negatively affect the Corporation in a number of ways, including through reductions in Medicaid reimbursement rates. It is not possible to predict what actions will be taken in future years by the State legislature, the Governor or the California Department of Health Care Services to address the Medicaid

budget. Additional reductions in the levels and timing of health care provider reimbursement could have a material adverse effect on the Members of the California Obligated Group.

For the calendar years ended December 31, 2020 and 2019, Medi-Cal payments represented approximately 5.2% and 4.8%, respectively, of the California Obligated Group's net revenues. *See also* APPENDIX A – “INFORMATION CONCERNING THE HUMANGOOD CALIFORNIA OBLIGATED GROUP” – “CALIFORNIA OBLIGATED GROUP COMMUNITIES – Payor Mix for Skilled Nursing Care” herein.

Federal and State Privacy Laws. Specific state and federal laws govern the use and disclosure of confidential patient health information, as well as patients' rights to access and amend their own health information. The Health Insurance Portability and Accountability Act of 1996 (“HIPAA”) and its implementing regulations established national standards to facilitate the electronic exchange of Protected Health Information (“PHI”) and to maintain the privacy and security of the PHI. These standards have a major effect on health care providers which transmit PHI in electronic form in connection with HIPAA standard transactions (e.g., health care claims). In particular, HIPAA established standards governing: (1) electronic transactions and code sets; (2) privacy; (3) security; and (4) national identifiers. The Members of the California Obligated Group have developed policies, procedures and practices that they believe comply with the HIPAA standards and requirements, but, if it was determined that any Member of the California Obligated Group was not in compliance, there could be criminal and civil penalties imposed.

In 2009, HIPAA was amended by the Health Information Technology for Economic and Clinical Health (“HITECH”) Act to impose certain of the HIPAA privacy and security requirements directly upon business associates of covered entities and significantly increase the monetary penalties for violations of HIPAA. Regulations that took effect in late 2009 also require business associates to notify covered entities, who in turn must notify affected individuals and government authorities, of data security breaches involving unsecured PHI. Since the passage of the HITECH Act, enforcement of HIPAA violations has increased. If it was determined that any Member of the California Obligated Group was not in compliance with HIPAA and HITECH Act standards and requirements, there could be criminal and civil penalties imposed.

Two California medical privacy laws, Assembly Bill 211 (“AB 211”) and Senate Bill 541 (“SB 541”), became effective January 1, 2009. AB 211 and SB 541 expand California's medical privacy standards and provide new oversight mechanisms and penalties to enforce them. AB 211 and SB 541 are additional sources of potential legal liability for the Members of the California Obligated Group and compliance with them may require the Members of the California Obligated Group to incur additional costs.

AB 211 requires health care providers, health care service plans and contractors to establish and implement appropriate safeguards to protect the privacy of patients' medical information and reasonably safeguard that medical information from any unauthorized access or unlawful access, use or disclosure. “Unauthorized access,” a new term in California law, is defined as the inappropriate viewing of patient medical information without a direct need for diagnosis, treatment or other lawful use. AB 211 provides each violated patient a cause of action for nominal damages and \$1,000 in actual damages. Additional administrative penalties under AB 211 may apply if the violation was negligent (up to \$2,500 per violation), knowing or willful (up to \$25,000 per violation) or knowing or willful for financial gain (up to \$250,000 per violation).

SB 541, a companion bill, applies the AB 211 safeguarding standards to certain types of licensed health facilities. SB 541 requires covered health facilities to report medical privacy breaches to the California Department of Public Health and the patient or patient's representative within five days of detection, subject to additional administrative penalties. A covered health facility's administrative penalties under SB 541 may reach \$250,000 for each reported event, where a "reported event" includes all breaches contained in a single report.

Healthcare Fraud and Abuse Laws. Certain federal laws, including the laws commonly known as the Anti-Kickback Statute, the Stark Law and the False Claims Act, seek to protect the federal health care programs from fraud and abuse (collectively, the "*Federal Healthcare Fraud Laws*"). The Federal Healthcare Fraud Laws are complex, heavily enforced and subject to frequent amendment. In addition, *qui tam* or "whistleblower" lawsuits under the False Claims Act allows private individuals to bring actions on behalf of the government. Violation of the Federal Healthcare Fraud Laws may result in significant financial penalties, fines, exclusion from the federal health care programs and/or criminal liability. Additionally, a number of states, including California, have passed healthcare fraud and abuse laws similar in scope to the Federal Healthcare Fraud Laws. Violation of state fraud and abuse laws may also result in significant financial penalties, fines, exclusion from the federal health care programs and/or criminal liability.

Although the California Obligated Group has a compliance program designed to help ensure material compliance with laws, rules and regulations affecting the health care industry, including the Federal Healthcare Fraud Laws and similar state laws, these policies and procedures may not be wholly effective. If a Member of the California Obligated Group is alleged or found to have violated such laws, rules or regulations or if government health care program payments are suspended due to an allegation of fraud, the California Obligated Group's operations and financial condition could be materially adversely affected. At the present time, Management is not aware of any pending or threatened claims, investigations or enforcement actions regarding any applicable federal or state statutes which, if determined adversely to a Member of the California Obligated Group would have a material adverse effect on the financial condition of the California Obligated Group.

Licensure and Other State Regulation

The operations of the California Obligated Group are subject to various licensing laws and regulations. Renewal and continuance of certain required licenses, certifications and approvals are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by a Member of the California Obligated Group. An adverse determination could result in a loss, fine or reduction in a Member's scope of licensure, certification or approval or could affect the ability to undertake certain expenditures. The California Obligated Group currently maintains all licenses required for operation of the Communities and Management currently anticipates no difficulty in renewing or continuing currently-held licenses, certificates and approvals. No assurance can be given as to the effect on future operations of the Members of the California Obligated Group of existing laws, regulations and standards for certification or accreditation or of any future changes in such laws, regulations and standards.

State Regulatory Requirements. The Members of the California Obligated Group operate several of their facilities as LPCs, each of which consist of a residential portion licensed as a Residential Care Facility for the Elderly ("*RCFE*") by the California Department of Social Services ("*DSS*") and a health facility portion licensed as a skilled nursing facility by the California Department of Public Health ("*DPH*").

Generally, an agreement to provide care to seniors for the duration of life or for a term in excess of one year in exchange for transfer of consideration for the purpose of assuring care or related services is regarded as a continuing care contract and is subject to regulation under the California Health and Safety Code (the “*Health and Safety Code*”). Any person or organization agreeing to provide such care must first obtain: (i) one or more written licenses (“*SNF Licenses*”) to operate a health facility from the DPH pursuant to Division 2, Chapter 2 of the Health and Safety Code, (ii) one or more written licenses (“*RCFE Licenses*”) to operate a residential facility under the Residential Care Facility for the Elderly Law from DSS pursuant to Division 2, Chapter 3.2 of the Health and Safety Code, and (iii) a certificate of authority from DSS pursuant to Division 2, Chapter 10 of the Health and Safety Code.

RCFEs are facilities for residents requiring nonmedical care and supervision such as assistance with bathing, dressing and reminders to take medication. RCFEs must make available to residents three meals a day and round-the-clock supervision by at least one staff member. RCFE licenses renew annually upon payment of renewal fees; however, the license is subject to revocation due to, among other things, failure to satisfactorily pass annual inspections conducted to ensure safety and preservation of regulations for the operation of the facilities. The Members of the California Obligated Group have obtained licenses from DSS for their RCFE facilities and, in the opinion of Management of the Members of the California Obligated Group, operate their facilities in a manner consistent with all applicable federal, state and local laws, regulations, rules and ordinances. Senior living providers may be subject to increased state inspection and survey activity due to the COVID-19 pandemic.

In response to the COVID-19 pandemic, CMS has initiated a performance-based funding requirement tied to the CARES Act funding for state surveying agencies. Accordingly, skilled nursing providers will likely be subject to increased state inspection and survey activity. CMS has also increased civil monetary penalties relating to skilled nursing facility infection control deficiencies.

DPH inspects nursing facilities approximately once a year, and facilities failing to meet the State of California or federal standards are subject to fines or other enforcement actions. The Continuing Care Contracts Branch of DSS enters and reviews each CCRC in the State of California at least once every three years to augment the branch’s assessment of the CCRC’s financial soundness. The branch considers the condition of the CCRC, whether the CCRC is operating in compliance with applicable state law, and whether the CCRC is performing the services it has specified in its continuing care contracts. DPH and DSS have the ability to deny licensing and the required permits to the Members of the California Obligated Group if either of them is not satisfied with the California Obligated Group’s compliance with the requirements a provider must meet to operate as a skilled nursing facility and/or a RCFE, respectively. In addition, DPH and DSS both have broad remedial powers to intervene in the operations of a provider who fails to comply with the applicable regulatory requirements once the provider is licensed and in operation. Failure to maintain required reserves or to comply with regulatory requirements may result in civil penalties or the suspension or revocation of a CCRC’s certificate of authority. Upon certain failures to comply with applicable regulatory requirements, including the CCRC becoming insolvent or unable to perform its contractual obligations, DSS is authorized to petition for the appointment of a court-appointed administrator to rehabilitate the CCRC. In this capacity, the administrator’s powers include taking possession of the CCRC’s assets and property, dealing with the property in the administrator’s name, depositing and investing any of the CCRC’s funds, and paying all expenses of the rehabilitation. In the event a permanent relocation of residents from the facilities of a Member of the California Obligated Group is required due to termination or forfeiture of the certificate of authority or license of the Member of the California Obligated Group, except in the case of a natural disaster or other event out of the control of the Member of the California Obligated Group, certain procedures are required to be followed. These procedures include establishment of a reserve, trust fund or performance bond in an amount sufficient to cover the cost and ensure the fulfillment of the statutory obligations of the Member of the California

Obligated Group, which include the cost of moving residents to other communities and may include additional monetary compensation to the affected residences in certain circumstances.

A certificate of authority may be suspended, conditioned or revoked by DSS if it finds that the provider has done any of the following: (i) violated the statutes or the rules and regulations governing continuing care contracts (the “*Continuing Care Law*”); (ii) aided, abetted, or permitted the violation of the Continuing Care Law; (iii) had a license suspended or revoked; (iv) made a material misstatement, misrepresentation, or fraud in obtaining the permit to accept deposits or a certificate of authority; (v) demonstrated a lack of fitness or trustworthiness; (vi) engaged in any fraudulent or dishonest practices or management in the conduct of business; (vii) misappropriated, converted or withheld moneys; (viii) after request by DSS for an examination, access to records, or information, refused to be examined or otherwise to cooperate; (ix) manifested an unsound financial condition; (x) used methods and practices in the conduct of business so as to render further transactions by the provider hazardous or injurious to the public; (xi) failed to maintain at least the minimum statutory reserves required by the Continuing Care Law; (xii) failed to comply with the requirements of the Continuing Care Law for maintaining escrow accounts for funds; (xiii) failed to file its annual report; (xiv) violated a condition of its permit to accept deposits or certificate of authority; (xv) failed to comply with its approved financial and marketing plan or to secure approval of a modified plan; (xvi) materially changed or deviated from an approved plan of operation without the prior consent of DSS; (xvii) failed to fulfill its obligations under continuing care contracts; (xviii) made material misrepresentations to depositors, prospective residents or residents of a continuing care retirement community; (xix) failed to submit proposed changes to continuing care contracts prior to use, or using a continuing care contract that has not been previously approved by DSS; or (xx) failed to diligently submit materials requested by DSS or required by the Continuing Care Law. The suspension or revocation of a certificate of authority by DSS, or the voluntary return of such a certificate by a provider of continuing care contracts, does not release such provider from the obligations assumed at the time continuing care contracts were executed.

Revocation of any licenses or failure to have any licenses renewed may have an adverse impact on the ability of the Members of the California Obligated Group to operate their facilities as now operated. The loss of a SNF license would have an adverse impact on the ability of the Members of the California Obligated Group to operate their facilities under its existing continuing care contracts, in that it would be required to contract out the skilled nursing services for a fee to a third party, which would likely result in increased operating expenses. In the event any of the Members of the California Obligated Group were to lose an RCFE license, it would be required to close its corresponding facilities. Such revocation would occur only upon the ruling by the applicable agency, after a hearing at which the respective Member of the California Obligated Group had the opportunity to present its case for maintaining its RCFE license. None of the Members of the California Obligated Group’s certificates of authority has ever been suspended, conditioned or revoked.

In addition to suspending, limiting or revoking a certificate of authority, if a provider of continuing care contracts fails to establish or depletes the reserves or escrow account required under the Continuing Care Law, is insolvent or in imminent danger of becoming insolvent, is in a financially unsound or unsafe condition, fails to submit a plan or to obtain DSS’s approval of a plan submitted, has not fully implemented the plan or the plan has not been successful, is unable fully to perform its obligations under continuing care contracts, or otherwise places residents in serious jeopardy, DSS may petition the superior court in the county in which such facility is located for an order appointing a qualified administrator to operate the facility and its assets.

In the case of any violation or threatened violation of the Continuing Care Law, DSS may institute a proceeding or may request the State of California Attorney General to institute a proceeding to obtain injunctive or other equitable relief in the superior court in and for the county in which the violation

has occurred or will occur, or in which the principal place of business of the provider is located. If at any time DSS determines that further efforts to rehabilitate the provider would not be in the best interest of the residents or prospective residents, or would not be economically feasible, DSS, with the approval of the Continuing Care Advisory Committee, may apply to the court for an order of liquidation and dissolution or may apply for other appropriate relief for dissolving the property and bringing to conclusion its business affairs. Upon issuance of an order directing the liquidation or dissolution of the provider, DSS must revoke the provider's certificate of authority.

When necessary to secure a provider's performance of its contractual obligations, or if the provider's annual report indicates that the provider has an unfunded reserve requirement, DSS may record a notice or notices of lien on behalf of depositors or residents. From the date of recording, such liens will attach to all real property owned or acquired by the provider during the pendency of the lien, provided that the property is not exempt from the execution of a lien and is located within the county in which the lien is recorded. Such liens have the force, effect, and priority of a judgment lien. DSS will file a release of the lien if DSS determines that the lien is no longer necessary to secure the provider's performance of its obligations to the depositors or residents.

If any of the Members of the California Obligated Group fails to meet the above-described requirements, it could become unable to operate as described herein and, consequently, be unable to meet debt service requirements on the Bonds.

CCRCs in the State of California have seen and continue to see legislative attempts to regulate the conditions and the timing of entrance fee refunds. For example, in 2015, the California State Senate proposed legislation that would have required CCRCs to repay entrance fees to residents or their estates within 90 days after the unit has been vacated. Senate Bill 475 provided that if payment was not made within 90 days, interest would accrue on the amount at 10 percent per year, and it prohibited further charges to the resident or his or her estate against the lump sum payment for maintenance or housekeeping. Ultimately, the bill was vetoed by the Governor. Current law requires that the repayment occur upon resale of the resident's unit. However, any future action to regulate the conditions and the timing of entrance fee refunds could negatively affect the California Obligated Group's operations, financial performance and financial condition.

On July 25, 2016, Governor Brown signed Senate Bill 939 by Senator Bill Monning (the "*Monning Bill*") which aims to protect CCRC residents and their estates against significant delays in the repayment of residents' entrance fees when contracts condition the repayment on the resale of CCRC units ("*Rebatable Contracts*"). Among other things, the Monning Bill amended Section 1788.4 of the Continuing Care Law to require that unpaid entrance fee repayment amounts that remain outstanding after certain periods of time will accrue interest. Specifically, (i) any entrance fee repayment balance that has not been paid to the resident or the resident's estate within 180 days after termination of the Rebtable Contract will accrue simple interest at an annual rate of 4%, (ii) any entrance fee repayment balance still outstanding at 240 days after termination of the Rebtable Contract will accrue simple interest at an annual rate of 6%, and (iii) any entrance fee repayment balance still outstanding at 605 days after termination of the Rebtable Contract will accrue interest at an annual rate of 6%, compounded annually. The Monning Bill also requires CCRCs to disclose the average and longest length of time for entrance fee repayments over the preceding five years. The requirements of the Monning Bill amendments have been in effect for Rebtable Contracts entered into since January 1, 2017. In the opinion of Management, the Monning Bill has not had a material adverse effect on the financial condition of the Members of the California Obligated Group.

Certain skilled nursing facilities in the State of California are currently subject to "quality assurance fees" on skilled nursing services. California state law, however, includes a waiver which

exempts some types of skilled nursing facilities, such as skilled nursing facilities that are components of CCRCs and SNFs operated by the State of California or another public entity, from the obligation to pay such quality assurance fees. There can be no assurance that such exemption (which, as presently in effect, exempts the Members of the California Obligated Group) will continue in whole or in part, and legislative proposals that contemplate modifying or terminating the scope of the quality assurance fee exemption have been discussed from time to time.

Below-Market Interest Loan

Section 7872 of the Code (Treatment of Loans with Below-Market Interest Rates), provides for, in certain circumstances, the imputation of interest income to a lender when the rate of interest charged by the lender is below prevailing market rates (as determined under a formula) or, even if the below market interest rate loan would otherwise be exempt from the provisions of Section 7872, when one of the principal purposes for such below-market rate loan is the avoidance of federal income taxation.

A refundable entrance fee payment made by a resident to certain continuing care facilities has been determined under Section 7872 to constitute a below market interest rate loan by the resident to the facility to the extent that the resident is not receiving a market rate of interest on the refundable portion of the entrance fee. Section 7872(g) provides a “safe harbor” exemption for certain types of refundable entrance fees. The statutory language of Section 7872 does not permit a conclusive determination as to whether residency agreements come within the scope of the continuing care facility safe harbor or within the statute itself. Section 7872 is applicable only to “loans” in excess of \$158,100. Current Entrance Fees for the independent living units in the Communities are in excess of the applicable threshold of Section 7872. Any determination of applicability of Section 7872 could have the effect of discouraging potential residents from becoming or remaining residents of the Communities.

Private Health Insurance and Long-Term Care Insurance

The health care sector has been, and continues to be, adversely affected by the volatility in the health insurance industry. Health insurance costs are rising while reimbursement for care is materially strained. Any reductions in reimbursement rates from private insurance could have a material adverse effect on the operations of the California Obligated Group. *See* “RISK FACTORS — Present and Prospective Federal and State Regulation” above for a description of certain risks related to government health insurance programs (e.g. Medicare and Medicaid). Additionally, to the extent any residents use long-term care insurance to help pay for their care, an increase in long-term care insurance premiums or other disruptions in the long-term care insurance market could reduce demand for the California Obligated Group’s services.

State Budgetary Pressures

Many states, including California, face financial challenges such as the erosion of tax revenues, which may cause a shortfall between state revenue and state spending demands. Such financial challenges have been exacerbated by the COVID-19 pandemic. Current and future California state budget challenges may negatively affect the health care industry and facility residents in a number of ways, including, but not limited to, reductions or delays in Medicaid reimbursement or pension benefit cuts. Additionally, Congressional health care reform proposals to cap the federal share of Medicaid expenditures or “block grant” the Medicaid program could further shift rising costs to the states, exacerbating California’s current budget challenges. *See also* “RISK FACTORS — Present and Prospective Federal and State Regulation — Federal and State Healthcare Program Reimbursement Cuts and Delays” and “— Health Care Reform” above. Management is unable to determine what impact, if

any, current or future state budget challenges may have on the operations and financial condition of the California Obligated Group.

Property Taxes; State and Local Tax Exemption

The LPCs owned by the Members of the California Obligated Group are exempt from property taxation except for minor assessments. However, budgetary pressures on state and local government may lead to increasing pressures for state legislation to amend the property tax statutes to subject to taxation various properties owned by nonprofit organizations or to condition exemption from taxation upon the performance of specific types or level of charitable activity.

Until recently, California has not been as active as the IRS in scrutinizing the income tax exemption of exempt organizations. It is possible that legislation may be proposed to strengthen the role of the California Franchise Tax Board and the Attorney General in supervising nonprofit health care providers. It is likely that the loss by the Members of the California Obligated Group of federal tax exemption also would trigger a challenge to the state tax exemption of the Members of the California Obligated Group. Depending on the circumstances, such event could be adverse and material.

In recent years, state, county, and local taxing authorities have been undertaking audits and reviews of the operations of tax-exempt organizations with respect to their property tax exemption for both real and personal property. In some states, including California, these authorities have interpreted the criteria for exemption more narrowly than in the past, resulting in revocation or denial of exemption. The Members of the California Obligated Group expect the majority of their real and personal property to be exempt from property taxes. Investigations or audits could lead to challenges of the property tax exemption with respect to communities of the California Obligated Group that, if successful, could adversely and materially affect the property tax exemption with respect to certain of the facilities or property of the Members of the California Obligated Group.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of not-for-profit corporations. There can be no assurance that future changes in the laws and regulations of federal, state or local governments or interpretations thereof will not materially or adversely affect the operations and financial condition of the Members of the California Obligated Group by requiring it to pay income or local property taxes.

Tax Exempt Status; Continuing Legal Requirements

The tax-exempt status of interest on the Bonds depends, among other things, upon maintenance by each Member of the California Obligated Group of its status as an organization described in Section 501(c)(3) of the Code. The maintenance of such status is contingent on compliance with general rules based on the Code, Treasury regulations and judicial decisions regarding the organization and operation of tax-exempt healthcare providers. The IRS's interpretation of and position on these rules as they affect the organization and operation of health care organizations are constantly evolving. The IRS can, and in fact occasionally does, alter or reverse its positions concerning tax-exemption issues, even concerning long-held positions upon which tax-exempt health care organizations have relied.

The IRS has issued revenue rulings dealing specifically with the manner in which an organization providing residential services to the elderly must operate in order to maintain its exemption as an organization described in Section 501(c)(3). Revenue Ruling 61-72 holds that an organization providing residential services to the elderly qualified for exemption under Section 501(c)(3) where the organization: (1) was dedicated to providing care and housing to aged individuals who otherwise would be unable to provide for themselves without hardship; (2) rendered, to the extent of its financial ability, services to all

or a reasonable proportion of its residents at rates substantially below actual cost; and (3) rendered services that ministered to the needs and the relief of hardship or distress among the elderly. Revenue Ruling 72-124 holds that an organization will qualify for exemption under Section 501(c)(3) if it meets the elderly's special needs for housing, health care, and financial security. The need for housing will be met if the facility is specifically designed to meet some combination of the physical, emotional, social, religious, and recreational needs of the elderly. The need for health care will be met if the organization provides or arranges for some form of health care. The need for financial security will be met if the organization is committed to an established policy of maintaining in residence any persons who become unable to pay their charges, and the organization provides its services at the lowest feasible cost. Revenue Ruling 79-18 holds that an organization providing residential services to the elderly may admit only those tenants who are able to pay full rental charges, provided that those charges are set at a level that is within the financial reach of a significant segment of the organization's elderly persons and that the organization maintains in residence those tenants who become unable to pay monthly charges.

The IRS has audit guidelines which implement a policy to scrutinize more closely the activities of health care providers to ensure that they satisfy the requirements for tax-exempt status. Given these audit guidelines and other related pronouncements by the IRS, it may be more difficult for health care providers to maintain their tax-exempt status. Health care providers, such as the Members of the California Obligated Group, may be forced to forgo otherwise favorable opportunities for certain joint ventures, recruitment and other arrangements to maintain its status as a tax-exempt organization or to avoid other sanctions.

Section 4958 of the Code imposes excise taxes on "excess benefit transactions" between "disqualified persons" and tax-exempt organizations such as the Members of the California Obligated Group. According to the legislative history and regulations associated with Section 4958, these excise taxes may be imposed by the IRS either in lieu of or in addition to revocation of exemption. These intermediate sanctions may be imposed in situations in which a "disqualified person" (such as a voting member of the board, certain officers and others in a position to exercise substantial influence over the affairs of the exempt organization) engages in "excess benefit transactions" such as (i) a transaction with a tax-exempt organization on other than a fair market value basis, (ii) receipt of unreasonable compensation from a tax-exempt organization or (iii) receipt of payment in an arrangement that otherwise violates the prohibition against private inurement. A disqualified person who benefits from an excess benefit transaction will be subject to an excise tax equal to 25% of the amount of the excess benefit. Organization managers who participate in the excess benefit transaction knowing it to be improper are subject to an excise tax equal to 10% of the amount of the excess benefit, subject to a maximum penalty of \$20,000 per transaction. A second penalty, in the amount of 200% of the excess benefit, may be imposed on the disqualified person (but not upon the organization manager) if the excess benefit is not corrected within a specified period of time. Fair market value and reasonable compensation for tax purposes typically reflect a range rather than a specific dollar amount, and the IRS does not rule in advance on whether a transaction results in more than fair market value payment or more than reasonable compensation to a disqualified person. Although it is not possible to predict what enforcement action, if any, the IRS might take related to potential excess benefit transactions, the regulations indicate that not all excess benefit transactions jeopardize exempt status. Rather, the IRS will consider all relevant facts and circumstances including: the size and scope of the organization's activities that further exempt purposes before and after the excess benefit transaction or transactions occurred; the size and scope, and frequency, of any excess benefit transactions; whether the organization has implemented appropriate safeguards reasonably calculated to prevent excess benefit transactions; and whether the organization has corrected, or made good faith efforts to correct, any excess benefit such as by obtaining repayment of the amount of any excess benefit.

Moreover, the legislation is potentially favorable to taxpayers because it provides the IRS with a punitive option short of revocation of exempt status to deal with incidents of private inurement. However, the standards for tax exemption have not been changed, including the requirement that no part of the net earnings of an exempt entity inure to the benefit of any private individual. Consequently, although the IRS has only infrequently revoked the tax exemption of nonprofit health care corporations in the past, the risk of revocation remains and there can be no assurance that the IRS will not direct enforcement activities against a Member of the California Obligated Group.

The Tax Exempt and Governmental Entities Division of the IRS is responsible for the Team Examination Program (referred to as “TEP”) of the IRS, which conducts audits of exempt organizations using teams of revenue agents. The TEP audit teams consider a wide range of possible issues, including the community benefit standard, private inurement and private benefit, partnerships and joint ventures, retirement plans and employee benefits, employment taxes, tax-exempt bond financing, political contributions and unrelated business income. In addition, the IRS conducts compliance checks and correspondence audits that focus initially on limited issues, such as executive compensation, unrelated business income or community benefit. Such limited scope reviews can be expanded in certain circumstances to include a variety of other issues as in a TEP audit.

A Member of the California Obligated Group could be audited by the IRS. Management believes that each Member has properly complied with the tax laws. Nevertheless, because of the complexity of the tax laws and the presence of issues about which reasonable persons can differ, a TEP or other audit could result in additional taxes, interest and penalties. A TEP or other audit also could potentially affect the tax-exempt status of the Members of the California Obligated Group.

Loss of tax-exempt status by a Member of the California Obligated Group could result in loss of the exclusion from gross income of the interest on the Bonds that, in turn, could result in a default under the Bond Indenture, potentially triggering an acceleration of the Bonds. Any such event would have material adverse consequences on the future financial condition and results of operations of the Members of the California Obligated Group. Additionally, the loss of federal tax-exempt status by a Member of the California Obligated Group could adversely affect its access to future tax-exempt financing.

Rate Setting

Future legislative proposals granting full or partial rate fixing authority to a state or federal agency could prevent the Members of the California Obligated Group from increasing rates adequately to cover potential increases in its operating costs or other expenses. In addition, proposed legislation, if enacted, would limit the frequency of rate increases imposed by long term care facilities and the ability to assess separate charges for items and services not authorized in the initial admission agreement.

Covenants Related to Other Indebtedness

Members of the California Obligated Group have entered into agreements with certain financial Institutions (collectively, the “Banks”), including (i) the purchaser of the Series 2015 SoCal Bonds with respect to Obligation No. 8, (ii) the Swap Counterparty with respect to Obligation No. 11 and Obligation No. 12, (iii) WFB with respect to the 2020A CCA and Obligation No. 14, (iv) WFB with respect to the 2020B CCA and Obligation No. 15, (v) WFB with respect to the 2020 Taxable Term Loan, the 2020 Credit Agreement and Obligation No. 17, and (vi) WFB with respect to the 2020 Revolving Loan, the 2020 Credit Agreement and Obligation No. 18, which agreements (collectively, the “Bank Agreements”) contain certain covenants and restrictions (collectively, the “Bank Covenants”) solely for the benefit of such Banks, which covenants are in addition to, and in certain cases more restrictive than, the covenants in the Master Indenture. These Bank Covenants may be waived, modified or amended by the related

Bank in their sole discretion and without notice to or consent by the bond trustee of any outstanding bonds, the Bond Trustee, the Master Trustee, the holders of outstanding bonds, including the Bonds, the holders of any Obligations or any other Person. Violation of any of such Bank Covenants may result in an event of default under the related Bank Agreement, which may result in an event of default under the Master Indenture, which could result in acceleration of all of the Obligations, including the Series 2021 Obligation. The Bonds are not supported by a credit facility or liquidity facility.

Amendments to Bond Documents

Certain amendments to the bond documents may be made without the consent of the owners of the Bonds and other amendments may be made with the consent of the owners of a majority in aggregate principal amount of the Bonds then Outstanding. Such amendments could affect the security for the Bonds. Certain amendments may be made without the consent of the owners of the Bonds if the amendment does not materially adversely affect the interest of the owners of the Bonds. *See* APPENDIX D hereto.

Additional Debt

The Master Indenture permits the California Obligated Group to incur Additional Indebtedness that may be equally and ratably secured with the Series 2021 Obligation upon satisfaction of certain conditions. Any such additional parity indebtedness would be entitled to share ratably in the security interest with the owners of the Series 2021 Obligation. Any moneys realized from the exercise of remedies in the event of a default by the California Obligated Group could reduce the Debt Service Coverage Ratio and could impair the ability of the California Obligated Group to maintain its compliance with certain covenants described in APPENDIX C - "SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST - SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – Rates and Charges; Debt Coverage" herein. There is no assurance that, despite compliance with the conditions upon which Additional Indebtedness may be incurred at the time such debt is created, the ability of the California Obligated Group to make the necessary payments to repay the Series 2021 Obligation may not be materially adversely affected upon the incurrence of Additional Indebtedness. *See* "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS" above.

Bankruptcy

If a Member of the California Obligated Group were to file a petition for relief under Title 11 of the United States Code (the "*Bankruptcy Code*"), the filing would operate as an automatic stay of the commencement or continuation of any judicial or other proceeding against such Member and any interest it has in property. If the bankruptcy court so ordered, the Member's property, including its accounts receivable and proceeds thereof, could be used, at least temporarily, for the benefit of the Member's bankruptcy estate despite the claims of its creditors.

In a case under the current Bankruptcy Code, a Member of the California Obligated Group could file a plan of reorganization. The plan is the vehicle for satisfying, and provides for the comprehensive treatment of, all claims against such Member and could result in the modification of rights of any class of creditors, secured or unsecured. To confirm a plan of reorganization, with one exception discussed below, it must be approved by the vote of each class of impaired creditors. A class approves a plan if, of those who vote, those holding more than one-half in number and at least two-thirds in amount vote in favor of a plan. Approval by classes of interests requires a vote in favor of the plan by two-thirds in amount. If these levels of votes are attained, those voting against the plan or not voting at all are nonetheless bound by the terms thereof. Other than as provided in the confirmed plan, all claims and interests are discharged and extinguished. If fewer than all of the impaired classes accept the plan, the

plan may nevertheless be confirmed by the bankruptcy court and the dissenting claims and interests would be bound thereby. For this to occur, at least one of the impaired classes must vote to accept the plan and the bankruptcy court must determine that the plan does not “discriminate unfairly” and is “fair and equitable” with respect to the nonconsenting class or classes. The Bankruptcy Code establishes different fair and equitable tests for secured claims and interest holders. To be confirmed, the bankruptcy court must also determine that a plan, among other requirements, provides creditors with not less than would be received in the event of liquidation, is proposed in good faith, and that the debtor’s performance is feasible.

Certain Matters Relating to Enforceability of the Master Indenture

The obligation of Members of the California Obligated Group under the Series 2021 Obligation will be limited to the same extent as the obligations of debtors typically are affected by bankruptcy, insolvency and the application of general principles of creditors’ rights and as additionally described below.

The accounts of the Members of the California Obligated Group (including any future Members of the California Obligated Group) will be combined for financial reporting purposes and will be used in determining whether various covenants and tests contained in the Master Indenture (including tests relating to the incurrence of Additional Indebtedness) are met, notwithstanding the uncertainties as to the enforceability of certain obligations of the California Obligated Group contained in the Master Indenture which bear on the availability of the assets and revenues of the California Obligated Group to pay debt service on Obligations, including the Series 2021 Obligation pledged under the Bond Indenture as security for the Bonds. The obligation described herein of the California Obligated Group to make payments of debt service on Obligations issued under the Master Indenture (including transfers in connection with voluntary dissolution or liquidation) may not be enforceable to the extent (1) enforceability may be limited by applicable bankruptcy, moratorium, reorganization or similar laws affecting the enforcement of creditors’ rights and by general equitable principles and (2) such payments (i) are requested with respect to payments on any Obligations issued by a Member other than the Member from which such payment is requested, issued for a purpose which is not consistent with the charitable purposes of the Member of the California Obligated Group from which such payment is requested or issued for the benefit of a Member of the California Obligated Group which is not a Tax-Exempt Organization; (ii) are requested to be made from any moneys or assets which are donor-restricted or which are subject to a direct or express trust which does not permit the use of such moneys or assets for such a payment; (iii) would result in the cessation or discontinuation of any material portion of the health care or related services previously provided by the Member of the California Obligated Group from which such payment is requested; or (iv) are requested to be made pursuant to any loan violating applicable usury laws. The extent to which the assets of any future Member of the California Obligated Group may fall within the categories (ii) and (iii) above with respect to the Series 2021 Obligation cannot now be determined. The amount of such assets which could fall within such categories could be substantial.

A Member of the California Obligated Group may not be required to make any payment on any Obligation, or portion thereof, the proceeds of which were not loaned or otherwise disbursed to such Member of the California Obligated Group to the extent that such payment would render such Member of the California Obligated Group insolvent or which would conflict with or not be permitted by or which is subject to recovery for the benefit of other creditors of such Member of the California Obligated Group under applicable laws. There is no clear precedent in the law as to whether such payments from a Member of the California Obligated Group in order to pay debt service on the Series 2021 Obligation may be voided by a trustee in bankruptcy in the event of bankruptcy of a Member of the California Obligated Group, or by third-party creditors in an action brought pursuant to state fraudulent conveyance

statutes. Under the United States Bankruptcy Code, a trustee in bankruptcy and, under state fraudulent conveyance statutes and common law, a creditor of a related guarantor, may avoid any obligation incurred by a related guarantor if, among other bases therefor, (1) the guarantor has not received fair consideration or reasonably equivalent value in exchange for the guaranty and (2) the guaranty renders the guarantor insolvent, as defined in the United States Bankruptcy Code or state fraudulent conveyance statutes, or the guarantor is undercapitalized.

Application by courts of the tests of “insolvency,” “reasonably equivalent value” and “fair consideration” has resulted in a conflicting body of case law. It is possible that, in an action to force a Member of the California Obligated Group to pay debt service on an Obligation for which it was not the direct beneficiary, a court might not enforce such a payment in the event it is determined that the Member of the California Obligated Group is analogous to a guarantor of the debt of the Member of the California Obligated Group who directly benefited from the borrowing and that sufficient consideration for the Member of the California Obligated Group’s guaranty was not received and that the incurrence of such Obligation has rendered or will render the Member of the California Obligated Group insolvent.

Certain Matters Relating to Enforceability of Security Interest in Gross Revenues

The effectiveness of the security interest in the Gross Revenues granted in the Master Indenture may be limited by a number of factors, including: (i) the absence of an express provision permitting assignment of receivables owed to the Members of the California Obligated Group under their contracts, and present or future prohibitions against assignment contained in any applicable statutes or regulations; (ii) certain judicial decisions which cast doubt upon the right of the Master Trustee, in the event of the bankruptcy of a Member of the California Obligated Group, to collect and retain accounts receivable from Medicare, Medicaid and other governmental programs; (iii) commingling of the proceeds of Gross Revenues with other moneys not subject to the security interest in the Gross Revenues; (iv) statutory liens; (v) rights arising in favor of the United States of America or any agency thereof; (vi) constructive trusts, equitable or other rights impressed or conferred by a federal or state court in the exercise of its equitable jurisdiction; (vii) federal bankruptcy laws or state insolvency laws which may affect the enforceability of the Deeds of Trust or the security interest in the Gross Revenues of the Members of the California Obligated Group which are earned by the Members of the California Obligated Group within 90 days, preceding or, in certain circumstances with respect to related corporations, within one year preceding and after any effectual institution of bankruptcy proceedings by or against a Member of the California Obligated Group; (viii) rights of third parties in Gross Revenues converted to cash and not in the possession of the Master Trustee; and (ix) claims that might arise if appropriate financing or continuation statements are not filed or other documents, including the depository account control agreement described under the heading “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Security Interest in Gross Revenues and the Deeds of Trust” herein are not executed in accordance with the Uniform Commercial Code of the State of California, as from time to time in effect.

Accounts receivable of the Members of the California Obligated Group which constitute Gross Revenues and are pledged as security under the Master Indenture may be sold if such sale is in accordance with the provisions of the Master Indenture. Any lien created under the Master Indenture on such accounts receivable would terminate and be immediately released upon any such sale with respect to any such accounts receivable so sold.

Certain Risks Associated with the Deeds of Trust

HumanGood NorCal has previously executed the Deeds of Trust, which will secure the Series 2021 Obligation, the Obligations Securing Outstanding Debt, and all other Obligations issued pursuant to the Master Indenture, until the Deeds of Trust are released, as described herein. In the event that there is

a default under the Master Indenture, the Loan Agreement, the Bond Indenture, or any other financing document to which a Member of the California Obligated Group is a party, the Master Trustee has the right to foreclose on the Property and Collateral under certain circumstances. All amounts collected upon foreclosure of the Property and Collateral pursuant to the Deeds of Trust will be used to pay certain costs and expenses incurred by, or otherwise related to, the foreclosure, the performance of the Master Trustee and/or the beneficiary under the Deeds of Trust, and then to pay amounts owing under the Master Indenture with respect to the Series 2021 Obligation, the Obligations Securing Outstanding Debt, and all other Obligations issued pursuant to the Master Indenture.

Any valuation of the Property and Collateral is based on future projections of income, expenses, capitalization rates and the availability of the partial or total property tax exemption. Additionally, the value of the Property and Collateral will at all times be dependent upon many factors beyond the control of the California Obligated Group, such as changes in general and local economic conditions, changes in the supply of or demand for competing properties in the same locality, and changes in real estate and zoning laws or other regulatory restrictions. A material change in any of these factors could materially change the value in use of the Property and Collateral. Any weakened market condition may also depress the value of the Property and Collateral. Any reduction in the market value of the Property and Collateral could adversely affect the security available to the owners of the Bonds. There is no assurance that the amount available upon foreclosure of the Property and Collateral after the payment of foreclosure costs will be sufficient to pay the amounts owing by the California Obligated Group with respect to the Series 2021 Obligation, the Obligations Securing Outstanding Debt, and all other Obligations issued pursuant to the Master Indenture.

In the event of foreclosure, a prospective purchaser of some or all of the Property and Collateral may assign less value to that Property and Collateral than the value of the facilities while owned by the California Obligated Group since such purchaser may not enjoy the favorable financing rates associated with the Bonds, real estate tax exemption and other benefits. To the extent that buyers whose income is not tax-exempt may be willing to pay less for the Property and Collateral than nonprofit buyers, then the resale of either of the Property and Collateral after foreclosure may require more time to solicit nonprofit buyers interested in assuming the financing now applicable to the Property and Collateral. In addition, there can be no assurance that any of the facilities could be sold at one hundred percent (100%) of their fair market value in the event of foreclosure. Although the Master Trustee will have available the remedy of foreclosure of the Deeds of Trust in the event of a default (after giving effect to any applicable grace periods, and subject to any legal rights which may operate to delay or stay such foreclosure, such as may be applicable in the event of a California Obligated Group Member's bankruptcy), there are substantial risks that the exercise of such a remedy will not result in recovery of sufficient funds to pay amounts due on the Loan Agreement and with respect to the Series 2021 Obligation, the Obligations Securing Outstanding Debt, and all other Obligations issued pursuant to the Master Indenture.

The Deeds of Trust contain power of sale provisions and are governed by California law. Under California law, the beneficiary of a deed of trust with power of sale may cause the instrument to be foreclosed either judicially (by a court proceeding) or nonjudicially by a trustee's sale.

California has certain statutory prohibitions that limit the remedies of a beneficiary under a deed of trust, such as the Deeds of Trust. For example, under one statute, a deficiency judgment is barred where the foreclosure is accomplished by means of a nonjudicial trustee's sale, except where the deed of trust is given to secure the payment of bonds authorized or permitted to be issued by the California Commissioner of Corporations. Under the latter (not intended to be applicable in this situation), a deficiency judgment is barred where a foreclosed deed of trust secures certain purchase money obligations. Another statute, commonly known as the "one-action" rule, requires the beneficiary to exhaust the security under the Deeds of Trust by foreclosure and prohibits any personal action against the

trust or on the promissory note other than a deficiency judgment following a judicial foreclosure. Yet another statutory provision limits any deficiency judgment obtained by the beneficiary following a judicial sale to the excess of the outstanding debt over the fair market value of the property at the time of sale, thereby preventing a beneficiary from obtaining a large deficiency judgment against the debtor as a result of low bids at the judicial sale. Finally, a statute related to CCRC regulation requires that a provider obtain approval of DSS before consummating any sale or transfer of a CCRC and sets forth certain additional requirements either having the new provider assume all the continuing care obligations of the selling provider or the selling provider setting up a trust fund or securing a performance bond to ensure the fulfillment of all its continuing care contract obligations.

In the event that some or all of the Deeds of Trust are actually foreclosed, then, in addition to the customary costs and expenses of operating and maintaining the Property and Collateral, the party or parties succeeding to the interest of the respective Member of the California Obligated Group in the facilities could be required to bear certain associated costs and expenses, which could include: the cost of complying with federal, state or other laws, ordinances and regulations related to the removal or remediation of certain hazardous or toxic substances; the cost of complying with laws, ordinances and regulations related to health and safety, and the continued use and occupancy of the facilities such as the Americans with Disabilities Act; and costs associated with the potential reconstruction or repair of the facilities in the event of any casualty or condemnation.

In order to realize on its rights under the Deeds of Trust, the Master Trustee will be required to conduct a foreclosure sale of the facilities under the Master Indenture and Deeds of Trust pursuant to Article 9 of the California Commercial Code. Such a foreclosure sale must be held in a “commercially reasonable” manner, and is subject to subsequent claims that the sale was not “commercially reasonable” and therefore was invalid. Because there is no established market for deeds of trust comparable to the Deeds of Trust, little guidance exists for conducting a “commercially reasonable” sale under these circumstances. Therefore, no assurance can be given that a foreclosure sale of the Master Trustee’s interest in the Deeds of Trust will not subsequently be held to be invalid and set aside or that a purchaser could be found for such interests.

IN ORDER TO UNDERSTAND IN FULL THE RISKS AND PROCEDURES INVOLVED IN FORECLOSURE OF THE DEEDS OF TRUST UNDER CALIFORNIA LAW, POTENTIAL OWNERS OF THE BONDS ARE ADVISED, AND EXPECTED, TO CONSULT WITH AN EXPERT IN THE FIELD BEFORE PURCHASING ANY BONDS.

Enforceability of Remedies; Prior Claims

The Bonds are secured by an assignment by the Authority to the Bond Trustee of certain rights under the Loan Agreement (except as provided therein). The practical realization of the value of the property on which the California Obligated Group’s facilities are located upon any default will depend upon the exercise of various remedies specified by the Loan Agreement and the Bond Indenture. These and other remedies may require judicial actions, which are often subject to discretion and delay. Under existing law (including, without limitation, the Bankruptcy Code), the remedies specified by the Loan Agreement may not be readily available or may be limited. The various opinions to be delivered concurrently with the delivery of the Loan Agreement will be qualified as to the enforceability of the various legal instruments by, among others, limitations imposed by state and federal laws, rulings and decisions affecting remedies, and by bankruptcy, reorganization or other laws affecting the enforcement of creditors’ rights generally.

Factors that Could Affect the Validity or Value of the Lien Against the California Obligated Group's Gross Revenues and the Enforceability of the Loan Agreement and Legal Opinions

The legal right and practical ability of the Bond Trustee to enforce the rights and remedies under the Loan Agreement and of the Master Trustee to enforce the rights and remedies under the Master Indenture may be limited by laws relating to bankruptcy (*see* "Bankruptcy" above), insolvency, reorganization, fraudulent conveyance or moratorium and by other similar laws affecting creditors rights. The enforcement of such rights and remedies will also depend upon the exercise of various remedies specified by such documents which may in many instances require judicial actions that are often subject to discretion and delay or that otherwise may not be readily available or may be limited.

In addition, there exists common law authority and certain statutory authority for the ability of the courts to terminate the existence of a nonprofit corporation or undertake supervision of its affairs on various grounds, including a finding that such corporation has insufficient assets to carry out its stated charitable purposes. Such court action may arise on the court's own motion or pursuant to a petition of the State of California Attorney General or such other persons who have interests different from those of the general public, pursuant to the common law and statutory power to enforce charitable trusts and to see the application of their funds to their intended charitable uses.

The various legal opinions to be delivered concurrently with the execution and delivery of the Bonds will be qualified as to the enforceability of the various legal instruments by limitations imposed by California and federal laws, rulings and decisions affecting remedies, and by bankruptcy, reorganization or other laws of general application affecting the enforcement of creditors' rights or the enforceability of certain remedies or document provisions.

Rights of Residents

The Members of the California Obligated Group enter into residency agreements with certain of their residents. Although these agreements give to each resident a contractual right to use space and do not grant any ownership rights in the facilities of the California Obligated Group, in the event that either the Bond Trustee or the holders of the Bonds seek to enforce any of the remedies provided by the Bond Indenture upon the occurrence of a default or the Master Trustee seeks to enforce remedies under the Master Indenture, Management is unable to predict the resolution that a court might make of competing claims between the Bond Trustee, the Master Trustee, the Authority or the holders of the Bonds and a resident of the facilities of the California Obligated Group who has fully complied with all the terms and conditions of his or her residency agreement.

The California Obligated Group may, from time to time, be subject to pressure from organized groups of residents seeking, among other things, to raise the level of services or to maintain the level of monthly service fees with respect to the California Obligated Group's facilities or other charges without increase. Moreover, the California Obligated Group may be subject to conflicting pressures from different groups of residents, some of whom may seek an increase in the level of services while others wish to hold down monthly service fees and other charges. No assurance can be given that the California Obligated Group will be able satisfactorily to meet the needs of such resident groups.

Environmental Matters

Senior living facilities, such as the California Obligated Group's, are subject to a wide variety of federal, state and local environmental and occupational health and safety laws and regulations that address, among other things, operations of facilities and properties owned or operated by such facilities. Among the types of regulatory requirements faced by such facilities are: air and water quality control

requirements; waste management requirements; specific regulatory requirements applicable to asbestos, polychlorinated biphenyls, and radioactive substances; requirements for providing notice to employees and members of the public about hazardous materials handled by or located at such facility; requirements for training employees in the proper handling and management of hazardous materials and wastes; and other requirements. In their role as owners and operators of properties or facilities, such facilities may be subject to liability for investigating and remediating any hazardous substances that have come to be located on the property, including any such substances that may have migrated off of the property. Typical operations of such facilities include to some extent in various combinations, the handling, use, storage, transportation, disposal and discharge of hazardous, infectious, toxic, radioactive, flammable and other hazardous materials, wastes, pollutants or contaminants. For this reason, operations of such facilities are susceptible to the practical, financial and legal risks associated with compliance with such laws and regulations. The Occupational Safety and Health Commission (“*OSHA*”) implemented an Emergency Temporary Standard (“*ETS*”) for COVID-19 that applies to health care and senior living providers with certain limited exceptions. In addition, OSHA announced that it would be focusing its inspection and enforcement efforts on industries with higher COVID-19 risk, such as health care facilities and assisted living facilities. Most recently, President Biden announced a COVID Action Plan that, among other things, will require employers with one hundred or more employees to require their employees to get the COVID vaccine or undergo weekly testing pursuant to a new OSHA ETS that has yet to be released. Compliance with environmental and occupational health and safety laws, including the ETS’s, may increase operating costs or affect the California Obligated Group’s ability to recruit and retain employees. Further, such risks may result in damage to individuals, property or the environment; may interrupt operations or increase their cost or both; may result in legal liability, damages, injunctions or fines, or may trigger investigations, administrative proceedings, penalties or other government agency actions. There can be no assurance that the Members of the California Obligated Group will not encounter such risks in the future, and such risks may result in material adverse consequences to the operations or financial condition of the California Obligated Group.

Under the federal Comprehensive Environmental Response, Compensation and Liability Act and under comparable state law, a secured party which takes a deed in lieu of foreclosure, purchases a mortgaged property at a foreclosure sale or operates a mortgaged property may become liable in certain circumstances for the cost of remedial action if hazardous waste or hazardous substances have been released or disposed of on the property. Such remedial action costs could subject the CCRCs to a lien and reduce or eliminate the amounts otherwise available to pay the owners of the Bonds if such remedial action costs were incurred.

Cyber Attacks

The California Obligated Group relies on information technology (“*IT*”) systems, including electronic health records, to process, transmit and store sensitive and confidential data, including the PHI and personally identifiable information of its patients and employees, and proprietary and confidential business performance data. Although the California Obligated Group routinely monitors and tests the security of its IT systems and processes and implements appropriate security measures, IT systems are often subject to computer viruses, cyber-attacks by hackers, or breaches due to employee error or malfeasance. Cyber-attacks specifically targeted health care providers have been occurring more frequently. Any breach or cyber-attack that compromises patient data could result in negative press and substantial fines or penalties for violation of HIPAA or similar state privacy laws (as discussed above) that may harm the California Obligated Group’s business or financial condition. Although Management is not currently aware of having experienced a material security breach, the California Obligated Group’s IT security measures may not be sufficient to prevent cyber-attacks in the future. As cybersecurity threats continue to evolve, the California Obligated Group may not be able to anticipate certain attack methods in order to implement effective protective measures, and may be required to expend significant additional

resources to continue to modify and strengthen security measures, investigate and remediate any vulnerabilities, or invest in new technology designed to mitigate security risks. Additionally, the California Obligated Group's IT systems routinely interface with and rely on third party systems who are also subject to the risks outlined above and may not have or use appropriate controls to protect confidential information. A breach or attack affecting a third-party service provider could harm the California Obligated Group's business or financial condition. Although the California Obligated Group has insurance against some cyber risks and attacks, it may not be sufficient to offset the impact of a material loss event.

Nursing Home Star Ratings

CMS implemented an online reporting system that allows consumers to compare ratings information of Medicare and Medicaid participating nursing homes. The ratings are a composite metric consisting of one to five stars (five being the best) and intended to convey the overall performance of over 15,000 nursing homes in the U.S. Ratings are posted to CMS's website, Nursing Home Compare. Each nursing home is rated on three components: health inspection results, quality measures, and staffing levels, and also to overall quality. CMS maintains that its star ratings will provide consumers with an important tool for comparing nursing homes both locally and nationwide. The Members of the California Obligated Group are unable to determine what impact such rating may have on the demand for services of these Communities or the financial condition of the Members of the California Obligated Group.

Natural Disasters

The occurrence of natural disasters, including floods, earthquakes and volcanic activity, may damage part or all of the Communities, interrupt utility service to part or all of the Communities or otherwise impair the operation of part or all of the Communities or the generation of revenues from part or all of the Communities beyond existing insurance coverage. No assurance is given as to the continuation of such insurance coverage, which, among other things, may not be available at a reasonable cost in the future.

Seismic Risk. According to the Seismic Safety Commission of the State of California, the State of California is mapped into seismic hazard zones 3 and 4. Seismic hazard zones account for geographic variation in the expected levels of earthquake ground shaking and are based on the historical records of earthquakes and the location of known earthquake faults. Several earthquake faults run through Los Angeles, Santa Clara, San Joaquin, Santa Barbara and Alameda Counties, the location of certain of the Communities. Local building codes take into account the likelihood of ground shaking and are intended to provide safety to the building occupants.

There can be no assurance that the occurrence of a significant seismic event in any area in which the Members of the California Obligated Group operate would not have a material adverse effect on its communities, the operations of the Members of the California Obligated Group or the ability of HumanGood NorCal to pay the principal, premium, if any, and interest on the Bonds. The Members of the California Obligated Group presently carry earthquake insurance on the CCRCs, which management believes to be reasonable and appropriate. No assurance is given as to the continuation of such insurance coverage which, among other things, may not be available at a reasonable cost in the future.

Fires. Wildfires in California have become increasingly common and destructive. Some of the Communities of the California Obligated Group are located in areas susceptible to wildfires. Although these Communities are covered by insurance, a significant wildfire affecting one or more of the Communities could result in material damage and temporary or permanent cessation of operations at the

Communities. Such an event may result in material adverse consequences to the operations or financial condition of the California Obligated Group.

Energy Costs

Deregulation of the electric and natural gas industry in the State of California, together with changes in the supply and sale patterns of electricity and natural gas, has resulted in increased costs of energy to businesses located in California and possible disruption in supply. Significant increases in the cost of energy could materially adversely affect the financial condition of the Members of the California Obligated Group.

Possible Future Changes to Accounting Policies and Procedures

From time to time, accounting policies and procedures change as accounting principles that are generally accepted in the United States change. Such changes may cause a variation in the presentation of the financial information of the California Obligated Group. There can be no assurance that any such changes would not have a material adverse impact on the California Obligated Group's compliance with certain covenants contained in the Master Indenture.

Lack of Marketability for the Bonds

Although the Underwriter intends, but is not obligated, to make a market for the Bonds, there can be no assurance that there will be a secondary market for the Bonds, and the absence of such a market for the Bonds could result in investors not being able to resell the Bonds should they need to or wish to do so.

Other Possible Risk Factors

The occurrence of any of the following events, or other unanticipated events, could adversely affect the operations of the California Obligated Group:

(1) Inability to control increases in operating costs, including salaries, wages and fringe benefits, supplies and other expenses, given an inability to obtain corresponding increases in revenues from residents whose incomes will largely be fixed;

(2) Unionization, employee strikes and other adverse labor actions which could result in a substantial increase in expenditures without a corresponding increase in revenues;

(3) Adoption of other federal, state or local legislation or regulations having an adverse effect on the future operating or financial performance of the California Obligated Group;

(4) A decline in the population, a change in the age composition of the population or a decline in the economic conditions of the market areas of the California Obligated Group;

(5) The cost and availability of energy which could, among other things, affect the cost of utilities of the California Obligated Group's facilities;

(6) Any increase in the quantity of indigent care provided which is mandated by law or required due to increased needs of the community in order to maintain the charitable status of the Members of the California Obligated Group;

(7) Inflation or other adverse economic conditions;

- (8) Reinstatement or establishment of mandatory governmental wage, rent or price controls;
- (9) Changes in tax, pension, social security or other laws and regulations affecting the provisions of health care, retirement benefits and other services to the elderly;
- (10) Inability to control the diminution of residents' assets or insurance coverage with the result that the residents' charges are reimbursed from government reimbursement programs rather than private payments;
- (11) Scientific and technological advances that could reduce demand for services offered by the California Obligated Group;
- (12) Cost and availability of any insurance, such as malpractice, fire, earthquake, automobile and general comprehensive liability, that organizations such as the Members of the California Obligated Group generally carry;
- (13) Increased unemployment or other adverse economic conditions in the service areas of the California Obligated Group and any future member of the California Obligated Group which would increase the proportion of patients who are unable to pay fully for the cost of their care;
- (14) Changes in key management personnel; or
- (15) The occurrence of epidemics, pandemics or natural or man-made disasters, including floods and earthquakes, or terrorist actions, that may damage the facilities of the California Obligated Group or its affiliates, interrupt utility service to the facilities, or otherwise impair the operation and generation of revenues from said facilities.

LITIGATION

The Authority

To the knowledge of the Authority, there is no material litigation pending or threatened against the Authority concerning the validity of the Bonds or any proceedings of the Authority taken with respect to the issuance thereof.

The Members of the California Obligated Group

There is no litigation or proceeding pending or, to the knowledge of the Members of the California Obligated Group, threatened against the Members of the California Obligated Group which (i) seeks to restrain or enjoin the issuance or delivery of the Bonds or the execution or the performance by HumanGood NorCal of its obligations under the Loan Agreement or the Members of the California Obligated Group of their obligations under the Series 2021 Obligation, (b) in any way contests or affects the issuance or the validity of the Bonds or the enforceability of the Loan Agreement or the Series 2021 Obligation, or (c) in any way contests the legal existence or powers of the Members of the California Obligated Group. There is no litigation or proceeding pending or, to the knowledge of the Members of the California Obligated Group, threatened against the Members of the California Obligated Group except for (i) litigation being defended by insurance carriers on behalf of the Members of the California Obligated Group, the claims in which are entirely within the insurance policy limits of the Members of the California Obligated Group, (ii) litigation in which the expected maximum aggregate recovery against the Members of the California Obligated Group could be satisfied from the insurance or the reserves maintained by the Members of the California Obligated Group or (iii) claims for damages arising in the

ordinary course of its operations, none of which is deemed to be material to the operation or condition, financial or otherwise, of the Members of the California Obligated Group. There is no litigation pending or, to the knowledge of the Members of the California Obligated Group, threatened that might have a material adverse effect upon the operations or financial condition of the Members of the California Obligated Group. The California Obligated Group's General Counsel will sign a certificate and deliver an opinion stating such.

LEGAL MATTERS

All legal matters incident to the validity of the Bonds by the Authority are subject to the approval of Chapman and Cutler LLP, Chicago, Illinois, Bond Counsel to the Authority, whose approving opinion will be delivered with the Bonds. Bond Counsel has been retained by the California Obligated Group. The form of Bond Counsel's approving opinion is set forth in APPENDIX E hereto. Copies of the approving opinion of Bond Counsel will be available at the time of issuance and delivery of the Bonds. Certain legal matters will be passed upon for the Members of the California Obligated Group by their special counsel, Dentons US LLP, Chicago, Illinois and by Bethany Ghassemi, General Counsel to the Members of the California Obligated Group; for the Underwriter by its counsel, Ballard Spahr LLP, Phoenix, Arizona; and for the Authority by its counsel, Jones Hall, A Professional Law Corporation, San Francisco, California.

TAX MATTERS

Federal tax law contains a number of requirements and restrictions which apply to the Bonds, including investment restrictions, periodic payments of arbitrage profits to the United States, requirements regarding the proper use of bond proceeds and the facilities financed therewith, and certain other matters. The Authority and the Members of the California Obligated Group have covenanted to comply with all requirements that must be satisfied in order for the interest on the Bonds to be excludable from gross income for federal income tax purposes. Failure to comply with certain of such covenants could cause interest on the Bonds to become includible in gross income for federal income tax purposes retroactively to the date of issuance of the Bonds.

Subject to compliance by the Authority and the Members of the California Obligated Group with the above-referenced covenants, under present law, in the opinion of Bond Counsel, interest on the Bonds is excludable from the gross income of the owners thereof for federal income tax purposes and is not included as an item of tax preference in computing the federal alternative minimum tax for individuals under the Code.

In rendering its opinion, Bond Counsel will rely upon certifications of the Authority and the Members of the California Obligated Group with respect to certain material facts within the Authority's and the Members of the California Obligated Group's knowledge and will rely on an opinion of Dentons US LLP, Chicago, Illinois, as special counsel to the Members of the California Obligated Group and of Bethany Ghassemi, General Counsel to the Members of the California Obligated Group, that each of the Members of the California Obligated Group is a 501(c)(3) organization and certain other matters. Bond Counsel's opinion represents its legal judgment based upon its review of the law and the facts that it deems relevant to render such opinion and is not a guarantee of a result.

Ownership of the Bonds may result in collateral federal income tax consequences to certain taxpayers, including, without limitation, corporations subject to the branch profits tax, financial institutions, certain insurance companies, certain S corporations, individual recipients of Social Security or Railroad Retirement benefits and taxpayers who may be deemed to have incurred (or continued)

indebtedness to purchase or carry tax-exempt obligations. Prospective purchasers of the Bonds should consult their tax advisors as to applicability of any such collateral consequences.

The issue price for original issue discount (as further discussed below) and market discount purposes (the “*OID Issue Price*”) for each maturity of the Bonds is the price at which a substantial amount of such maturity of the Bonds is first sold to the public (excluding bond houses and brokers and similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The *OID Issue Price* of a maturity of the Bonds may be different from the price set forth, or the price corresponding to the yield set forth, on the inside cover page hereof.

If the *OID Issue Price* of a maturity of the Bonds is less than the principal amount payable at maturity, the difference between the *OID Issue Price* of each such maturity of the Bonds (the “*OID Bonds*”) and the principal amount payable at maturity is original issue discount.

For an investor who purchases an *OID Bond* in the initial public offering at the *OID Issue Price* for such maturity and who holds such *OID Bond* to its stated maturity, subject to the condition that the Authority and the Members of the California Obligated Group comply with the covenants discussed above, (a) the full amount of original issue discount with respect to such *OID Bond* constitutes interest which is excludable from the gross income of the owner thereof for federal income tax purposes; (b) such owner will not realize taxable capital gain or market discount upon payment of such *OID Bond* at its stated maturity; (c) such original issue discount is not included as an item of tax preference in computing the alternative minimum tax for individuals under the Code; and (d) the accretion of original issue discount in each year may result in certain collateral federal income tax consequences in each year even though a corresponding cash payment may not be received until a later year. Owners of *OID Bonds* should consult their own tax advisors with respect to the state and local tax consequences of original issue discount on such *OID Bonds*.

Owners of Bonds who dispose of Bonds prior to the stated maturity (whether by sale, redemption or otherwise), purchase Bonds in the public offering, but at a price different from the *OID Issue Price* or purchase Bonds subsequent to the initial public offering should consult their own tax advisors.

If a Bond is purchased at any time for a price that is less than the Bond’s stated redemption price at maturity or, in the case of an *OID Bond*, its *OID Issue Price* plus accreted original issue discount (the “*Revised Issue Price*”), the purchaser will be treated as having purchased a Bond with market discount subject to the market discount rules of the Code (unless a statutory *de minimis* rule applies). Accrued market discount is treated as taxable ordinary income and is recognized when a Bond is disposed of (to the extent such accrued discount does not exceed gain realized) or, at the purchaser’s election, as it accrues. Such treatment would apply to any purchaser who purchases an *OID Bond* for a price that is less than its *Revised Issue Price*. The applicability of the market discount rules may adversely affect the liquidity or secondary market price of such Bond. Purchasers should consult their own tax advisors regarding the potential implications of market discount with respect to the Bonds.

An investor may purchase a Bond at a price in excess of its stated principal amount. Such excess is characterized for federal income tax purposes as “bond premium” and must be amortized by an investor on a constant yield basis over the remaining term of the Bond in a manner that takes into account potential call dates and call prices. An investor cannot deduct amortized bond premium relating to a tax-exempt bond. The amortized bond premium is treated as a reduction in the tax-exempt interest received. As bond premium is amortized, it reduces the investor’s basis in the Bond. Investors who purchase a Bond at a premium should consult their own tax advisors regarding the amortization of bond premium and its effect on the Bond’s basis for purposes of computing gain or loss in connection with the sale, exchange, redemption or early retirement of the Bond.

There are or may be pending in the Congress of the United States legislative proposals, including some that carry retroactive effective dates, that, if enacted, could alter or amend the federal tax matters referred to above or affect the market value of the Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether, if enacted, it would apply to bonds issued prior to enactment. Prospective purchasers of the Bonds should consult their own tax advisors regarding any pending or proposed federal tax legislation. Bond Counsel expresses no opinion regarding any pending or proposed federal tax legislation.

The Internal Revenue Service (the “*Service*”) has an ongoing program of auditing tax-exempt obligations to determine whether, in the view of the Service, interest on such tax-exempt obligations is includible in the gross income of the owners thereof for federal income tax purposes. It cannot be predicted whether or not the Service will commence an audit of the Bonds. If an audit is commenced, under current procedures the Service may treat the Authority as a taxpayer and the Bondholders may have no right to participate in such procedure. The commencement of an audit could adversely affect the market value and liquidity of the Bonds until the audit is concluded, regardless of the ultimate outcome.

Payments of interest on, and proceeds of the sale, redemption or maturity of, tax-exempt obligations, including the Bonds, are in certain cases required to be reported to the Service. Additionally, backup withholding may apply to any such payments to any Bond owner who fails to provide an accurate Form W-9 Request for Taxpayer Identification Number and Certification, or a substantially identical form, or to any Bond owner who is notified by the Service of a failure to report any interest or dividends required to be shown on federal income tax returns. The reporting and backup withholding requirements do not affect the excludability of such interest from gross income for federal tax purposes.

Under the laws of the State of California, as presently enacted and construed, interest on the Bonds is exempt from the Personal Income Tax Law imposed by the State of California under Sections 17001 through 18181 of the California Revenue and Taxation Code. Bond Counsel expresses no opinion regarding taxation of interest on the Bonds under any other provisions of California law. Ownership of the Bonds may result in other state and local tax consequences to certain taxpayers. Bond Counsel expresses no opinion regarding any such collateral consequences arising with respect to the Bonds. Prospective purchasers of the Bonds should consult their tax advisors regarding the applicability of any such state and local taxes.

FINANCIAL STATEMENTS

The audited financial statements of the Members of the California Obligated Group as of and for the years ended December 31, 2018, 2019 and 2020 included as APPENDIX B – “AUDITED FINANCIAL STATEMENTS OF THE HUMANGOOD CALIFORNIA OBLIGATED GROUP FOR THE YEARS ENDED DECEMBER 31, 2018, 2019 AND 2020” have been audited by Baker Tilly US, LLP, independent auditors, as stated in their report appearing therein.

UNDERWRITING

Pursuant to a bond purchase agreement (the “*Bond Purchase Agreement*”) by and among the Authority, B.C. Ziegler and Company, as underwriter (the “*Underwriter*”), and the California Obligated Group Representative, on behalf of itself and the other Members of the California Obligated Group, the Underwriter will purchase the Bonds at an aggregate purchase price of \$132,728,022.25 (representing the total par amount of the Bonds plus original issue premium of \$13,481,022.25 and less an underwriting discount of \$753,000.00). The Bond Purchase Agreement will provide that the Underwriter will purchase all of the Bonds if any are purchased.

The Underwriter reserves the right to join with dealers and other underwriters in offering the Bonds to the public. The Bond Purchase Agreement will provide for the Members of the California Obligated Group to indemnify the Underwriter and the Authority against certain liabilities. The obligation of the Underwriter to accept delivery of the Bonds will be subject to various conditions of the Bond Purchase Agreement.

RATING

The Bonds have received a long-term rating of “A-” from Fitch Rating Group (“*Fitch*”).

The rating and an explanation of its significance may be obtained from Fitch. Such rating reflects only the view of Fitch. The Members of the California Obligated Group have furnished Fitch with certain information and materials relating to the Bonds and its affiliated organizations that have not been included in this Official Statement. Generally, rating agencies base their ratings on the information and materials so furnished and on investigations, studies, and assumptions by such rating agencies. There is no assurance that a particular rating will be maintained for any given period of time or that it will not be suspended, lowered or withdrawn entirely if, in the judgment of the agency originally establishing the rating, circumstances so warrant. Except as set forth above in “CERTAIN COVENANTS OF THE CALIFORNIA OBLIGATED GROUP UNDER THE MASTER INDENTURE – Reporting Requirements,” none of the Authority, the Underwriter or the Members of the California Obligated Group has undertaken any responsibility to bring to the attention of the holders of the Bonds any proposed suspension, revision or withdrawal of the ratings of the Bonds or to oppose any such proposed suspension, revision or withdrawal. Any such suspension, change in or withdrawal of such rating could have an adverse effect on the market price of the Bonds.

CONTINUING DISCLOSURE

The California Obligated Group

Offerings of most municipal securities are subject to Rule 15c2-12 (the “*Rule*”) under the Securities Exchange Act of 1934, as amended. The California Obligated Group Representative, on behalf of itself and the other Members of the California Obligated Group, will covenant for the benefit of the holders and Beneficial Owners of the Bonds pursuant to a Continuing Disclosure Agreement (the “*Continuing Disclosure Agreement*”) to be executed and delivered by the California Obligated Group Representative, on behalf of itself and the other Members of the California Obligated Group, to provide or cause to be provided certain financial information and operating data relating to the California Obligated Group on a quarterly and on an annual basis and to provide notices of the occurrence of certain enumerated events. See APPENDIX F – “FORM OF CONTINUING DISCLOSURE AGREEMENT” herein.

Each of the Members of the California Obligated Group have previously agreed to provide certain financial information and operating data under the Rule pursuant to continuing disclosure undertakings entered into with respect to certain outstanding bonds (the “*Prior CDUs*”). During the last five (5) years, Members of the California Obligated Group had instances of non-compliance related to its continuing disclosure obligations in the Prior CDUs, as described below:

- (i) The California Obligated Group timely filed its quarterly financial information on EMMA as required under the Prior CDUs, however the third quarter of 2019 is missing the Officer’s Certificate and the second quarter of 2019 is missing the Officer’s Certificate and Management Discussion;

- (ii) HumanGood NorCal timely filed its quarterly financial information on EMMA as required under the Prior CDUs, however the second quarter of 2019 is missing the Officer's Certification; and
- (iii) HumanGood Fresno timely filed its quarterly financial information on EMMA as required under the Prior CDUs, however the second quarter of 2019 is missing the Officer's Certificate and Management Discussion;

The Members of the California Obligated Group have implemented written procedures to assure the submittal of future filings in a timely manner in compliance with all of their continuing disclosure obligations.

No Continuing Disclosure from the Authority

Inasmuch as the Bonds are special, limited obligations of the Authority, no financial or operating data concerning it is material to any decision to purchase, hold or sell the Bonds. The Authority has not, and will not, undertake any responsibilities to provide continuing disclosure with respect to the Bonds or the security therefor, and the Authority will have no liability to holders of the Bonds with respect to any such disclosure. The Authority will not monitor the California Obligated Group's compliance with the Continuing Disclosure Agreement.

MISCELLANEOUS

The summaries or descriptions of provisions of the Bonds, the Loan Agreement, the Bond Indenture, the Series 2021 Obligation and the Master Indenture and all references to other materials not purported to be quoted in full are only brief outlines of some of the provisions thereof and do not purport to summarize or describe all of the provisions thereof. Reference is made to the Bonds, the Loan Agreement, the Bond Indenture, the Deeds of Trust, the Series 2021 Obligation and the Master Indenture for a full and complete statement of the provisions thereof. Such documents are on file at the office of the Underwriter and following delivery of the Bonds will be on file at the offices of the Bond Trustee.

So far as any statements made in this Official Statement involve matters of opinion or estimates, whether or not expressly stated, they are set forth as such and not as representations of fact, and no representation is made that any of such statements will be realized. Neither this Official Statement nor any statement which may have been made orally or in writing is to be construed as a contract with the owners of the Bonds.

It is anticipated that CUSIP identification numbers will be printed on the Bonds, but neither the failure to print such numbers nor any error in the printing of such numbers shall constitute grounds for a failure or refusal by any purchaser thereof to accept delivery of and payment for any Bonds.

The attached Appendices are integral parts of this Official Statement and must be read together with all of the foregoing statements.

Each of the Members of the California Obligated Group has reviewed the information contained herein which relates to it, its affiliates and their respective property and operations, and has approved all such information for use within this Official Statement.

This Official Statement has been duly authorized, executed and delivered by the California Obligated Group Representative.

**HUMANGOOD NORCAL, as California Obligated
Group Representative**

By: /s/ Andrew McDonald
Chief Financial Officer

APPENDIX A
INFORMATION CONCERNING
THE HUMANGOOD CALIFORNIA OBLIGATED GROUP

The information contained herein as Appendix A
to this Official Statement has been obtained from
HumanGood NorCal, HumanGood SoCal and HumanGood Fresno

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INTRODUCTION

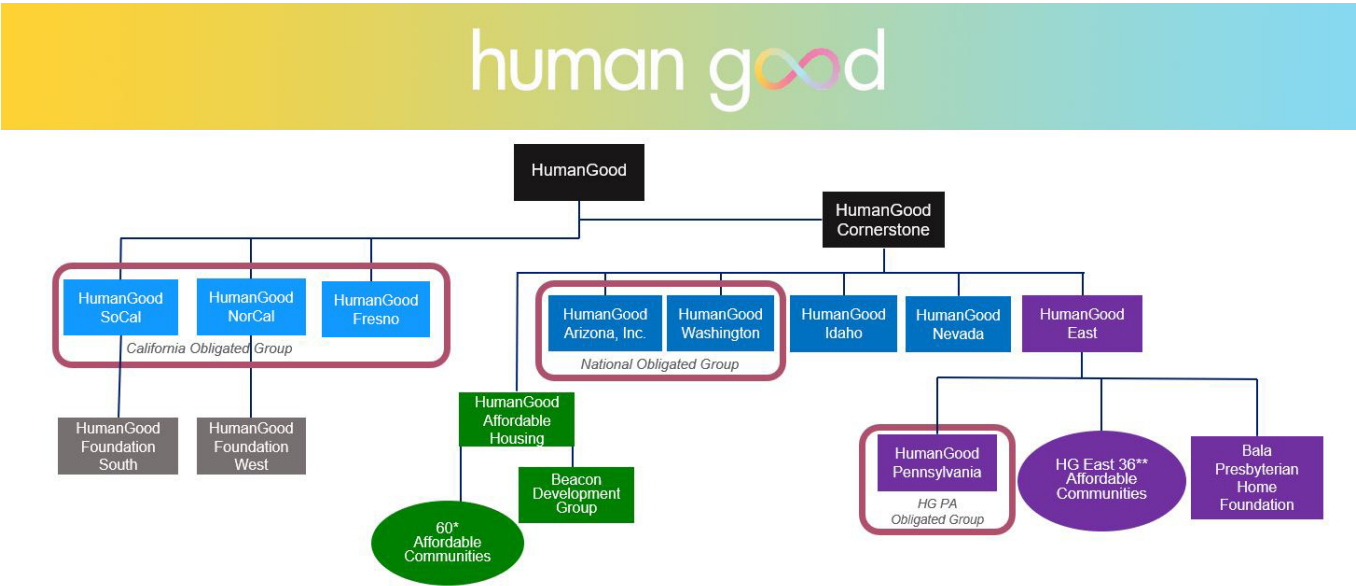
HumanGood is the brand name used by an organization of affiliated entities (the “HumanGood Affiliates”) that own and/or operate 21 continuing care retirement communities (“CCRCs”) or life plan communities (“LPCs”) and 96 affordable housing communities in California, Washington, Arizona, Nevada, Idaho, Oregon, Pennsylvania, and Delaware. The California Obligated Group, as defined herein, has as its Members those HumanGood Affiliates that own and operate CCRCs located in California: HumanGood NorCal (“HG NorCal”), HumanGood SoCal (“HG SoCal”) and HumanGood Fresno (“HG Fresno”). Each of HG NorCal, HG SoCal and HG Fresno (each a “Member” and collectively, the “Members” of the California Obligated Group) is a California nonprofit public benefit corporation that has as its sole corporate member HumanGood (“HumanGood”), a California nonprofit public benefit corporation whose name is the same as the brand name shared by the HumanGood Affiliates. HG NorCal is the Obligated Group Representative under the Master Indenture, as defined herein. HumanGood and the Members of the California Obligated Group are organizations described under Section 501(c)(3) of the Internal Revenue Code of 1986, as amended.

HG NorCal, HG SoCal and HG Fresno are the only Members of the California Obligated Group and the only entities obligated to make payments with respect to the Bonds and the Series 2021 Obligation. OTHER THAN THE MEMBERS OF THE CALIFORNIA OBLIGATED GROUP, NONE OF THE HUMANGOOD AFFILIATES DESCRIBED UNDER THE HEADING “HUMANGOOD AND AFFILIATED ENTITIES” HEREIN IS OBLIGATED TO MAKE PAYMENTS WITH RESPECT TO THE BONDS, THE SERIES 2021 OBLIGATION OR ANY OTHER OBLIGATIONS ISSUED UNDER THE MASTER INDENTURE.

This Appendix A is intended to provide information about the California Obligated Group that is not presented elsewhere in this Official Statement. For additional information about the California Obligated Group, potential investors should refer to the audited financial statements of the HumanGood California Obligated Group for the years ended December 31, 2020, December 31, 2019 and December 31, 2018 that are included in this Official Statement as APPENDIX B. The materials included in this Appendix A and in the front part of this Official Statement and the other appendices to this Official Statement should be read in their entirety.

Capitalized terms used and not otherwise defined herein have the meanings assigned to such terms in the front part of this Official Statement, APPENDIX C to this Official Statement and APPENDIX D to this Official Statement.

HUMANGOOD ORGANIZATIONAL CHART



* Includes 11 managed communities
 ** Includes 19 managed communities

Source: HumanGood

CALIFORNIA OBLIGATED GROUP

HG NorCal, HG SoCal and HG Fresno are the current Members of the California Obligated Group created under the Master Trust Indenture dated as of August 1, 2019, as supplemented and amended (the “Master Indenture”), among HG NorCal, as Obligated Group Representative, the other Members of the California Obligated Group and U.S. Bank National Association, as master trustee. As the only Members of the California Obligated Group, HG NorCal, HG SoCal and HG Fresno are the only entities currently obligated to make payments with respect to the Bonds, the Series 2021 Obligation and any other Obligations issued under the Master Indenture.

The Members of the California Obligated Group own and operate a total of 14 LPCs in California (collectively, the “California Obligated Group Communities”). For a complete description of the LPCs owned by the California Obligated Group, see “CALIFORNIA OBLIGATED GROUP COMMUNITIES” herein.

As the sole corporate member of each Member of the California Obligated Group, HumanGood exercises direction and control of each Member and the two supporting foundations through the appointment of the Member and foundation boards of directors. For a description of the governance and management of HumanGood and the California Obligated Group, see “GOVERNANCE AND MANAGEMENT” herein. For a description of the foundations supporting the Members of the California Obligated Group, see “HumanGood Foundations” herein.

The Master Indenture permits other entities to join the California Obligated Group and permits members to withdraw from the California Obligated Group, in each case upon satisfaction of certain conditions set forth in the Master Indenture. It is possible that other present or future HumanGood-related entities will become members of the California Obligated Group if such conditions are satisfied. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Membership in and Withdrawal From the Obligated Group” in the forepart of this Official Statement and see APPENDIX C — “SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST” for a description of the limitations on admission and release of Members of the California Obligated Group.

HUMANGOOD AND AFFILIATED ENTITIES

History of HumanGood

The *HumanGood* family of entities is the result of the combination, via corporate affiliations and mergers, of multiple organizations with rich histories of serving older adults and their families. Two Members of the California Obligated Group, HG NorCal and HG SoCal, formerly known as American Baptist Homes of the West and Southern California Presbyterian Homes, respectively, originally founded systems of life plan communities throughout the American West.

American Baptist Homes of the West began in 1949 with the establishment of Pilgrim Haven Retirement Community (now known as The Terraces at Los Altos) in Los Altos, California. American Baptist Homes of the West’s original purpose was to provide quality housing and health care for retired ministers and missionaries, but it grew quickly to include older people regardless of occupation or religious affiliation. From one community serving nine residents in 1949, American Baptist Homes of the West and its affiliates expanded to 12 LPCs in five states and 32 affordable housing communities in California and Washington.

Southern California Presbyterian Homes began in 1955 when the leaders of three Southern California presbyteries of the Presbyterian Church recognized the need for communities that would support older adults in their aging journeys. Beginning with the acquisition of properties in La Jolla and Bradbury

to serve older adults in White Sands La Jolla and Royal Oaks, the organization grew to encompass six LPCs and 27 affordable housing communities throughout California. From 2011 to February 2017, Southern California Presbyterian Homes and its affiliates were branded as “be.group.”

American Baptist Homes of the West and Southern California Presbyterian Homes successfully affiliated in May 2016, combining to become California’s largest nonprofit provider of senior housing and services and one of the ten largest organizations of its kind in the nation. On July 10, 2017, the combined organization officially launched its new brand and trademark, *HumanGood*. To align with the new branding, the organization’s corporate parent was renamed “HumanGood,” American Baptist Homes of the West became “HG NorCal,” and Southern California Presbyterian Homes became “HG SoCal.”

On June 30, 2019, HumanGood affiliated with Philadelphia Presbytery Homes and Services for the Aging dba Presby’s Inspired Life (“Presby’s”), a senior living system based in Philadelphia that has provided senior living options to a diverse population for more than 60 years. Since Presby’s opened Rosemont, its first senior living community, in 1955, it has grown to provide continuing care and affordable housing for more than 3,000 residents ages 62 and older, across more than 30 communities throughout the greater Philadelphia area and Delaware. Upon HumanGood’s affiliation with Presby’s, John Cochrane, HumanGood’s President and CEO, became the President and CEO of the Presby’s entities (now HumanGood East, HumanGood Pennsylvania and the other entities described below), and HumanGood became the seventh largest national nonprofit senior living provider in the United States.

The affiliated entities that share the *HumanGood* brand now serve approximately 13,000 residents in 117 communities across California, Arizona, Nevada, Washington, Idaho, Oregon, Pennsylvania and Delaware.

Summary of HumanGood Cornerstone and Subsidiaries

HumanGood exercises direction and control of the HumanGood Affiliates who are not Members of the California Obligated Group (each such affiliate, a “National HumanGood Affiliate”) through HumanGood’s subsidiary, HumanGood Cornerstone, a California nonprofit public benefit corporation (“HG Cornerstone”). HG Cornerstone is the sole corporate member of each of the National HumanGood Affiliates (except for HumanGood Pennsylvania, whose sole corporate member is HumanGood East), HumanGood East, HGAH, and HumanGood Properties, as each is defined and further described below. Together, these HumanGood Affiliates own and operate a total of seven life plan communities located outside California and 96 affordable housing communities.

National HumanGood Affiliates

The seven *HumanGood* LPCs located outside of California are owned by National HumanGood Affiliates that are members of obligated groups other than the California Obligated Group. HumanGood Arizona, Inc., an Arizona nonprofit corporation (“HumanGood Arizona”), owns The Terraces of Phoenix in Phoenix, Arizona (“The Terraces of Phoenix”); HumanGood Washington, a Washington nonprofit corporation (“HumanGood Washington”), owns Judson Park in Des Moines, Washington (“Judson Park”); HumanGood Nevada, a California nonprofit public benefit corporation (“HumanGood Nevada”), owns Las Ventanas at Summerlin in Las Vegas, Nevada (“Las Ventanas”); HumanGood Idaho, a California nonprofit public benefit corporation (“HumanGood Idaho”), owns The Terraces of Boise in Boise, Idaho (“The Terraces of Boise”); and HumanGood Pennsylvania, a Pennsylvania nonprofit corporation formerly known as Philadelphia Presbytery Homes, Inc. (“HumanGood Pennsylvania”), owns Rydal Park (“Rydal Park”), Rosemont (“Rosemont”) and Spring Mill Pointe (“Spring Mill”) in Philadelphia, Pennsylvania. These National HumanGood Affiliates are members of obligated groups with approximately \$334 million of outstanding long-term debt as of December 31, 2020, including interaffiliate debt of \$43.1 million. The

members of the California Obligated Group have no obligation to make any payments with respect to the indebtedness of these other entities; except as set forth in this section below under the paragraph describing “*The Terraces of Boise*”.

HG NorCal manages Judson Park, Las Ventanas and The Terraces of Phoenix pursuant to multi-year management contracts. The Terraces of Boise was separately managed by Greystone Management Services Company Idaho, LLC (“Greystone”). Effective February 2021, HG NorCal succeeded Greystone and entered into a management fee agreement with The Terraces of Boise. HumanGood Pennsylvania owns and manages Rydal Park, Rosemont and Spring Mill.

The following life plan communities are owned by the National HumanGood Affiliates.

Judson Park is a life plan community located on an approximately 10-acre campus near Seattle in Des Moines, Washington. Currently the community has a total of 308 apartments, including 165 residential living apartments, 31 assisted living apartments, a 96-bed health center and 16 memory support suites. HG NorCal manages Judson Park pursuant to a multi-year management agreement with HumanGood Washington whereby Judson Park pays eight and one-half percent (8.5%) of budgeted cash revenues of the community (as defined in the management agreement), with up to 50% of the management fee subject to subordination if such subordination will allow HumanGood Arizona and HumanGood Washington to meet their debt service coverage and days cash on hand covenants.

The Terraces of Phoenix is a life plan community located on an approximately 21-acre campus in Phoenix, Arizona. The Terraces of Phoenix was redeveloped in phases from 1999 through 2008. The Terraces of Phoenix currently has a total of 347 apartments, including 209 residential living apartments, 49 assisted living apartments, a 64-bed health center and 25 memory support suites. HG NorCal manages The Terraces of Phoenix pursuant to a multi-year management agreement with HumanGood Arizona, Inc. whereby The Terraces of Phoenix pays eight and one-half percent (8.5%) of budgeted cash revenues of the community (as defined in the management agreement), with up to 50% of the management fee subject to subordination if such subordination will allow HumanGood Arizona and HumanGood Washington to meet their debt service coverage and days cash on hand covenants.

Las Ventanas is a life plan community located on a 17.7-acre campus in Las Vegas, Nevada. Las Ventanas currently has a total of 313 apartments, including 177 residential living apartments, 60 assisted living apartments, a 60-bed health center and 16 memory support suites. HG NorCal manages Las Ventanas pursuant to a multi-year management agreement with HumanGood Nevada accruing at three percent (3.0%) of total cash revenue of the community annually, with payment contingent upon the achievement of certain operating performance criteria, with a maximum payout of 5% annually.

The Terraces of Boise is a life plan community located on a 12.6-acre campus in Boise, Idaho. The Terraces of Boise currently has a total of 273 apartments, including 161 residential living apartments and cottages, 40 assisted living apartments, a 48-bed health center and 24 memory support suites. As a result of operating losses and defaults on certain bond compliance covenants, HumanGood Idaho has taken several actions to improve financial performance and to allow for a sustainable capital structure. On July 26, 2021, HumanGood Idaho and HG NorCal entered into a restructuring term sheet agreement (the “Debt Restructuring Agreement”) with a majority of existing bondholders, which included a waiver of all existing events of default under its master trust indenture provided certain milestone deadlines described in the Debt Restructuring Agreement are met, as well as anticipated funding from HG NorCal of approximately \$6.5 million and an unfunded liquidity support agreement with HG NorCal of \$1.5 million. Management is actively implementing key operational changes to allow The Terraces of Boise to achieve a sustainable capital structure, including modifications to optimize staffing ratios and increasing resident rates to a level sufficient to allow the community to fully cover its costs. Greystone managed The Terraces of Boise

pursuant to a multi-year management agreement until February 2021, at which time HG NorCal assumed management pursuant to a management agreement. Due to provisions in The Terraces of Boise's original master indenture restricting the payment of a management fee to affiliates for so long as The Terraces of Boise does not meet certain financial covenants, HG NorCal has been deferring collection of management fees under this management agreement. Pursuant to the Debt Restructuring Agreement, The Terraces of Boise's management agreement with HG NorCal will be amended to provide for a management fee equal to five percent (5%) of revenues; provided, however, that HG NorCal must defer a portion of such fee equal to three percent (3%) of revenues until The Terraces of Boise can certify that it (i) is in compliance with the Debt Service Coverage Ratio set forth in its master indenture, and (ii) shall have at least 150 Days Cash on Hand, as defined in its master indenture. Unpaid deferred management fees shall not accrue interest.

Rosemont is a life plan community located on a 10-acre campus in the heart of Philadelphia's Main Line. Rosemont currently has a total of 197 apartments, including 106 residential living apartments, 11 residential cottages and 80 personal care apartments.

Rydal Park is a life plan community located on more than 22 acres in Abington Township, Montgomery County, Pennsylvania, a northern suburb of Philadelphia. Rydal Park currently has a total of 468 apartments, including 300 residential living apartments, 32 personal care apartments, 22 personal care memory support apartments and 114 private skilled nursing rooms. In 2008, approximately 33 adjacent acres was acquired, known as Rydal Waters, upon which 75 residential living cottages or villas are being developed. A construction loan of \$61.6 million was obtained in May 2019 to support the development which is anticipated to be completed in Q1 2022. As of June 30, 2021, 38 cottages have been completed.

Spring Mill is a life plan community located on 15 acres in Whitemarsh Township, Montgomery County, Pennsylvania. Spring Mill currently has a total of 85 apartments, including 29 residential living apartments, 29 personal care apartments and 27 personal care memory support apartments. The centralized management staff of HumanGood Pennsylvania is also located at this community.

None of the National HumanGood Affiliates is obligated to make payments on the Bonds or the Series 2021 Obligation, nor will any of their assets be pledged to secure the Obligations issued under the Master Indenture.

HumanGood East

As noted above, HG Cornerstone is the sole corporate member of HumanGood East, a Pennsylvania nonprofit corporation formerly known as Philadelphia Presbytery Homes and Services for the Aging ("HumanGood East"). HumanGood East does not directly own any communities; rather, it functions as the sole corporate member of the entities that own and operate the life plan communities and affordable housing communities that joined the *HumanGood* family through an affiliation that took place on June 30, 2019. Those entities are: HumanGood Pennsylvania (a National HumanGood Affiliate, as described above), two supporting organizations, Bala Presbyterian Home Foundation and The 58th Street Presbyterian Home, and 17 sponsored affordable housing communities. HumanGood Pennsylvania provides management services to the entities noted above and an additional 19 affordable housing communities sponsored by unrelated entities through multi-year management contracts.

Affordable Housing

HumanGood Affordable Housing (formerly Beacon Communities, Inc. or "HGAH") is a California nonprofit public benefit tax-exempt corporation which provides quality housing and services for older adults and people with limited resources or disabilities in the states of California, Washington and Oregon. HGAH serves as the majority General Partner and controlling organization for 13 tax-credit affordable

housing communities, serves as the sole or majority member and controlling organization for 9 additional affordable housing communities, and provides management services to 11 affordable housing communities. Additionally, during 2019 HG SoCal transferred its affordable housing corporate overhead functions as well as controlling organization interests in 27 affordable housing communities, including 9 tax-credit affordable housing communities, and the management agreements associated thereto to HGAH.

Beacon Development Group, LLC

Beacon Development Group, LLC (“BDG”) is an affordable housing consulting firm which was acquired by HG NorCal in 2015. BDG works with West Coast nonprofits and housing authorities to facilitate the funding, design, and construction of affordable housing developments.

HumanGood Properties

HumanGood Properties is a California for-profit corporation, which was formed in February 2014 for the purpose of holding equity interests in developed and acquired senior housing communities and other similar investments. At present, HumanGood Properties, through a subsidiary LLC, holds a 50% interest in an existing memory support senior housing community in Oklahoma.

HumanGood Foundations

HumanGood Foundation West (“Foundation West”) and HumanGood Foundation South (“Foundation South”) are separate California nonprofit public benefit tax-exempt corporations whose primary purpose is to develop, invest, and administer funds to provide residential and nursing home care on behalf of the residents of HumanGood. The foundations’ principal activity is to administer these funds in a manner consistent with donor intent. Foundation West and Foundation South make annual contributions to the California Obligated Group Communities for benevolence and report such contributions as foundation community benefit in the supplemental schedules to the audited financial statements. Depending on community need, Foundation West and Foundation South may also contribute to capital projects at the California Obligated Group Communities. NorCal is the sole member of Foundation West, and HG SoCal is the sole member of Foundation South. Foundation West guarantees the obligations of HG NorCal on the Series 2015 Bonds. Foundation West’s obligations under the guaranty agreement are limited to Foundation West’s income earned on its unrestricted net assets. Foundation South does not provide guarantees of any of the bond obligations of HG SoCal or any of the other HumanGood Affiliates.

Future Growth

HumanGood was formed in order to enhance services in its markets and the growth potential of its predecessor organizations and plans to pursue market innovations and explore future growth opportunities. These opportunities for growth may include additional developments, acquisitions, affiliations or joint ventures. HumanGood also considers strategic dispositions and repositionings. Evaluation of potential strategic projects would include an assessment of various factors such as financial strength, competitive position, scope and location of services and quality. While management of HumanGood expects that growth opportunities, strategic dispositions and repositionings will be undertaken by entities that are not Members of the California Obligated Group, it is possible that such opportunities would include California Obligated Group members or result in new California Obligated Group members.

Effective April 22, 2021, HG NorCal became the management agent for Living Care Retirement Community (“Living Care”), a single site non-profit, faith-based, 61+ retirement community located in Yakima, Washington. HG Cornerstone will become the sole corporate member of Living Care upon approval of the change of ownership by the Washington State Department of Social and Health Services. Living Care also owns 25 acres in West Yakima for future development.

EXCEPT FOR THE MEMBERS OF THE CALIFORNIA OBLIGATED GROUP, NONE OF THE HUMANGOOD AFFILIATES DESCRIBED UNDER THIS HEADING HAS ANY OBLIGATION TO MAKE PAYMENTS WITH RESPECT TO THE BONDS, THE SERIES 2021 OBLIGATION OR ANY OTHER OBLIGATIONS ISSUED UNDER THE MASTER INDENTURE.

GOVERNANCE AND MANAGEMENT

Boards of Directors

Boards of Directors of the Members of the California Obligated Group

The bylaws of HG NorCal and HG SoCal each provide that the respective boards shall have no less than seven and no more than eleven directors, and that such directors shall consist of the following:

- (1) One “At-Large Director,” who may be a person, in the case of the board of HG NorCal, who concurrently serves on the board of HG SoCal, and in the case of the board of HG SoCal, who concurrently serves on the board of HG NorCal;
- (2) One “Resident Director,” who shall be a resident of a LPC in California operated by, under the bylaws of HG NorCal, HG NorCal, and under the bylaws of HG SoCal, HG SoCal; and
- (3) Voting “Ex Officio Directors,” who shall be the seven individuals who serve as board members of HumanGood.

HG Fresno’s bylaws provide that the board shall have no less than seven and no more than eleven directors, and that such directors shall consist of the following:

- (1) Voting “Ex Officio Directors,” who shall be the seven individuals who serve as board members of HumanGood, selected by HumanGood;
- (2) One “At-Large Director,” who shall be an individual who is not a board member of HumanGood but who is nominated and elected by the HumanGood board.
- (3) One “Resident Director,” who shall be a resident of the LPC in California operated by HG Fresno who is nominated by the residents of such LPC and who is elected by HumanGood.

Pursuant to the above, HG NorCal and HG SoCal share identical boards of nine directors, of which the seven Ex Officio Directors also sit on the HG Fresno Board. When HG NorCal and HG SoCal affiliated on May 1, 2016, all the Ex Officio Directors described above were appointed to an initial four-year term, which ended with the annual meetings of the corporations in the first quarter of 2020. As of the fiscal year commencing in 2020, the terms of the Ex Officio Directors became the same as the terms of those individuals serving as board members of HumanGood. At the 2020 annual meeting, the HumanGood Board, as the Member of the California Obligated Group, assigned the At-Large Directors and the Resident Directors to 1, 2 or 3 year terms in order to create staggered terms.

No director may serve for more than three consecutive terms. A director who has served three consecutive terms may be eligible to serve as a director again after one year has passed since that person was last a director and may serve for a maximum of an additional three consecutive terms.

There are no requirements for a percentage of board members to maintain an affiliation with an American Baptist or Presbyterian Church.

The following are the current members of the HG NorCal and HG SoCal boards of directors.

<u>DIRECTOR</u>	<u>TERM EXPIRES</u>	<u>OCCUPATION</u>
Randall L. Stamper, Chair*	2023	Retired Attorney, Stamper Rubens, P.S.
Albert W. Kelley, Vice Chair*	2022	Retired Banker, Union Bank
Declan Brown, Secretary*	2024	Retired, Partner, The Kingsley Group, Inc.
Judith D. Baker*	2022	Retired, Registered Nurse and Pediatric Consultant to Children's Hospitals
William J. Battison III*	2023	Managing Partner, Angeles Capital Group
Rev. Michelle Holmes*	2024	Retired, CFO, American Baptist Seminary of the West
Alan Griffith*	2023	Retired, Senior VP Finance and Planning, ARAMARK
Sharon Roth**	2022	Retired, BSN, Kaiser Foundation Medical Center; Asst. Professor of Nursing, Samuel Merritt University
Irene Feller***	2024	Retired, Project Management/Development of Systems Integration

* Ex Officio Director

** Resident Director for HG NorCal; At-Large Director for HG SoCal

*** Resident Director for HG SoCal; At-Large Director for HG NorCal

The following are the current members of the HG Fresno board of directors.

<u>DIRECTOR</u>	<u>TERM EXPIRES</u>	<u>OCCUPATION</u>
Randall L. Stamper, Chair*	2023	Retired Attorney, Stamper Rubens, P.S.
Albert W. Kelley, Vice Chair*	2022	Retired Banker, Union Bank
Declan Brown, Secretary*	2024	Retired, Partner, The Kingsley Group, Inc.
Judith D. Baker*	2022	Retired, Registered Nurse and Pediatric Consultant to Children's Hospitals
William J. Battison III*	2023	Managing Partner, Angeles Capital Group
Rev. Michelle Holmes*	2024	Retired, CFO, American Baptist Seminary of the West
Alan Griffith*	2023	Retired, Senior VP Finance and Planning, ARAMARK
Pamela S. Claassen**	2024	Retired, CFO, HumanGood
Gloria Kunz***	2022	Retired, Lawyer, Educator

* Ex Officio Director

** At-Large Director

*** Resident Director

As the corporate member of each of HG NorCal, HG SoCal and HG Fresno, HumanGood has certain reserved powers under the bylaws of those corporations. The reserved powers include the right to vote on the election and removal of directors, the disposition of all or substantially all of the assets of the corporation, any merger and its principal terms and any election to dissolve the corporation, as well as all rights afforded to members under the laws of the respective states of incorporation.

HumanGood Board of Directors

HumanGood is the sole corporate member of each of HG NorCal, HG SoCal and HG Fresno. HumanGood is governed by a board of directors comprised of seven individuals. HumanGood has a self-perpetuating board that nominates and elects its board members. Each director will serve a term of three-years. The following are the current board members of HumanGood.

<u>BOARD MEMBERS</u>	<u>TERM EXPIRES</u>	<u>OCCUPATION</u>
Randall L. Stamper, Chair	2023	Retired Attorney, Stamper Rubens, P.S.
Albert W. Kelley, Vice Chair	2022	Retired Banker, Union Bank
Declan Brown, Secretary	2024	Retired, Partner, The Kingsley Group, Inc.
Judith D. Baker	2022	Retired, Registered Nurse and Pediatric Consultant to Children's Hospitals
William J. Battison III	2023	Managing Partner, Angeles Capital Group
Rev. Michelle Holmes	2024	Retired, CFO, American Baptist Seminary of the West
Alan Griffith	2023	Retired, Senior VP Finance and Planning, ARAMARK

Management of HumanGood and the California Obligated Group

Below are selected biographies of the senior management team of the HumanGood Affiliates, including particularly the team that focuses on the operations of the California Obligated Group.

John H. Cochrane III, President and Chief Executive Officer (age 60). Mr. Cochrane was appointed President and Chief Executive Officer of HumanGood upon the affiliation of HG NorCal and HG SoCal. As President and Chief Executive Officer, Mr. Cochrane is responsible for the strategic direction of the company, overseeing operations and serving as the primary liaison to the Boards of Directors. Mr. Cochrane joined HG SoCal as President and Chief Executive Officer in August 2009. From December 2006 to August 2009, Mr. Cochrane served as Chief Operating Officer of Life Care Retirement Communities, Inc. (now Lifespace Communities), a large nonprofit senior housing provider headquartered in Des Moines, Iowa. He previously worked as a Principal with Glenwood Senior Living in Chicago from April 1997 to December 2006. He started his career in the senior housing industry with Erickson Retirement Communities (a for-profit provider) where he served as Executive Director of Oak Crest Village, Baltimore, Maryland, from September 1993 to April 1997. He received his B.A. in Political Science from Northern Illinois University in 1983 and a J.D. from Northwestern University in 1986. He practiced real estate law in Chicago, Illinois, from June 1986 until September 1993.

Daniel S. Ogus, Chief Operating Officer (age 55). Mr. Ogus joined HG SoCal in 1995, became Vice President of Operations in 2007 and Chief Operating Officer in 2009. He continued as the Chief Operating Officer of HumanGood following the affiliation of HG SoCal with HG NorCal. As Chief Operating Officer, Mr. Ogus oversees HumanGood's operational areas, which include life plan communities and affordable housing communities, as well as human resources, procurement and the resident experience. Prior to February 2007, he served as Executive Director of two of HG SoCal's life plan communities as well as serving as a Regional Executive Director. Prior to joining HG SoCal he was employed at the University of San Diego in student affairs. He received his B.S. degree from the University of Houston and his M.B.A. from the University of Dallas. He also was awarded an M.A. in Gerontology from the University of Southern California in 2004. Mr. Ogus is a licensed nursing home and residential facility for the elderly administrator in California. He has served on several committees of LeadingAge

California, and is a prior member of its board of directors. Mr. Ogus is a trained evaluator and former site chair for the Continuing Care Accreditation Commission, Commission of Accreditation of Rehabilitation Facilities (CARF-CCAC). He is a former board member of Moldaw life plan community, Sunwest Bank, the Boys and Girls Club and the Greater San Diego YMCA.

Andrew McDonald, Chief Financial Officer (age 45). Mr. McDonald serves as the Chief Financial Officer of HumanGood and all of its affiliates, including the members of the California Obligated Group. In addition to leading the finance and accounting function which oversees HumanGood's financial audits, budgets, compliance and financial reporting and analysis, as Chief Financial Officer, Mr. McDonald is responsible for overseeing financial performance optimization, capital sourcing and allocation, strategic initiatives, and evaluation of acquisition and affiliation targets. Mr. McDonald joined HG NorCal in 2007 as Vice President of Finance and Controller after serving as the Controller for a real estate developer in Southern California. Mr. McDonald's professional background includes working on corporate restructurings in Arthur Andersen's Global Corporate Finance group and acting as the lead financial analyst preparing long term financial forecasts for Southern California Edison. Mr. McDonald is a graduate of the Larry Minnix LeadingAge Leadership Academy, a Certified Public Accountant in the state of New Mexico, and has an undergraduate degree in economics and accounting from Claremont McKenna College and an M.B.A. from UCLA.

Bethany Ghassemi, General Counsel (age 41). Ms. Ghassemi joined HG NorCal in June 2015 as Staff Attorney and then as Associate General Counsel. Promoted to General Counsel in May 2019, she oversees legal operations for HumanGood and all of its affiliates, including oversight of HG NorCal, HG SoCal and HG Fresno. She is also accountable for enterprise risk management, governance and advocacy. Previously, she spent seven years in private practice at the law firms Jones Day and Hawkins Delafield & Wood, where she provided clients, including HG NorCal and HG SoCal, with healthcare finance advice. Ms. Ghassemi is licensed to practice law in California and is a member of the California Bar Association and the American Health Lawyers Association. She participates in the General Counsel Group of Leading Age. She has a B.A. from Princeton University and a J.D. from UCLA Law School.

Fleming Meng, Chief Information Officer (age 49). Mr. Meng joined HumanGood in 2018 as Chief Information Officer. He oversees all aspects of the information technology and digitization efforts of HumanGood and its affiliates, from strategy to operation and service. Before joining HumanGood, he had extensive technology leadership experience in various industries including manufacturing, technology, retail and distribution. Most recently, Mr. Meng served as Vice President of Global IT Operations at Ingram Micro. Prior to that, he was Vice President and Divisional CIO at Ecolab. He previously held IT executive roles at several global companies. He began his career with AT&T where he held positions with increasing responsibilities. Mr. Meng has his master's degree in telecommunication from Shanghai Jiao Tong University and a bachelor's degree in electrical engineering from Shanghai University.

Anika Hartounian, Vice President of Finance and Corporate Controller (age 37). Mrs. Hartounian graduated in 2006 from the University of California Santa Barbara, with a bachelor's degree in business economics and an emphasis in accounting. In September 2006, Mrs. Hartounian began her employment with Deloitte providing external audit services to a number of public and private companies, specializing in nonprofit and health care clients, including HG SoCal, prior to her employment at HG SoCal. Mrs. Hartounian joined HG SoCal in 2013 as Director of Finance after serving as an audit manager at Deloitte. She oversees the budgeting, accounting, and financial reporting for life plan communities affiliated with HumanGood. Since with HumanGood, she has led the migration to a common purchasing platform, she has led the migration to a common chart of accounts and general ledger system, and is currently leading the migration to a new financial reporting and budgeting platform as well as co-leading efforts towards a common electronic health records and billing system.

Anita Fraley, Vice President, HumanGood Foundations (age 60). Ms. Fraley serves as Vice President of the two HumanGood Foundations, HumanGood's philanthropic arm, which raise funds to provide assistance to the life plan communities owned and operated by HumanGood. Ms. Fraley joined HumanGood in 2013 as Director of Philanthropy, then in 2017 was promoted to Executive Director of HumanGood Foundation South and then promoted to Vice President of the two foundations in January 2020. Prior to joining HumanGood, Ms. Fraley worked in healthcare philanthropy for the Palomar Health Hospital system in San Diego, California. Ms. Fraley has diverse leadership experience, working previously with non-profits in Nashville, Tennessee and Louisville, Kentucky. She holds a bachelor's degree in business administration with a major in marketing from the University of Kentucky in Lexington, Kentucky.

Tara McGuinness, Vice President Operations (age 59). Ms. McGuinness joined HG NorCal in 1996. She first served as community Executive Director, then as Regional Manager, then as Vice President, Regional Operations Manager and finally as Vice President of Operations with a focus on post-acute and healthcare strategy. She holds Bachelor's and Master's degrees in Economics, is a member of American Society on Aging, Leading Age Board Member, Leading Age Public Policy and Home and Community Based Services Committee Member and ABL Member. She similarly dedicates time to giving back to her local community with volunteer activities ranging from Girl Scouts of the USA to having served as a Commissioner for the City of Orinda and as a member of the YPCO Board, a Berkeley youth Orchestra.

Lisa Holland, Vice President Operations (age 49). Ms. Holland joined HG SoCal in 1995 as the Social Worker at Redwood Elderlink, providing services to individuals with Alzheimer's disease. She is a Licensed Clinical Social Worker and Nursing Home Administrator in the State of California. During her tenure, Ms. Holland has worked in multiple aspects of aging services, including as a Licensed Clinical Social Worker; Administrator of home and community-based services and continuing care retirement community; and in corporate leadership. In her current role as Vice President of Operations, Ms. Holland is responsible for oversight and support of the following operational departments: dining services, building and grounds, procurement and our resident and team member experience. She manages the team responsible for capital expenditures, including project planning and execution. In addition to her current role, she has worked at the corporate level as the Director of Quality Improvement and as Chief of Staff. She has a bachelor's degree from the University of San Diego and a Master's Degree in Social Work from San Diego State University. She is a former board member of ElderHelp of San Diego and past president of the St. Michael's School Parent-Teacher Group in Poway, California.

Tyler A. Ichien, Vice President of Operations (age 38). Mr. Ichien joined HG NorCal in 2001, became an Executive Director in 2014, Regional Director of Operations in 2017 and Vice President of Operations in 2018. As Vice President of Operations, Mr. Ichien oversees eight life plan communities throughout California, Nevada and Idaho. Prior to 2017, he served as Executive Director at Grand Lake Gardens in Oakland, California and The Terraces of Los Gatos in Los Gatos, California. Prior to joining HG NorCal he was employed as an art director with Central Coast Media Group, an advertising/publishing company on California's central coast. He received his B.S. degree from California Polytechnic State University, San Luis Obispo and M.B.A. from California State University, Monterey Bay. Mr. Ichien is a graduate of the inaugural LeadingAge CA leadership academy and Leadership ABHOW. He is licensed in California as a nursing home administrator and residential care facilities for the elderly administrator.

Dennis R. Gradillas, Vice President of Sales (age 53). Mr. Gradillas serves as Vice President of Sales and is responsible for the overall vision, strategy, and management of the sales organization for all HumanGood communities. Mr. Gradillas began his career in aging services as the Executive Director for Las Ventanas at Summerlin in 2011, leading the turnaround of this LifeCare LPC. In 2015 Mr. Gradillas took on the role of Vice President of Operations and most recently was promoted to his current role of Vice President of Sales in 2018. Mr. Gradillas holds a Master of Arts in Gerontology from the University of

Southern California, an M.B.A. from the University of Phoenix, and a Bachelor's of Science from the University of Nevada Las Vegas in Hotel Administration. Mr. Gradillas is a licensed Nursing Home Administrator and licensed RCFE Administrator. Before joining ABHOW/HumanGood, Mr. Gradillas served as a leader in the hospitality industry for 20 years. Mr. Gradillas served as an Adjunct Professor at UNLV for ten years, President of the Hotel College Alumni Association, President of Hotel Managers Association, and Advisory Board Member for Touro University in addition to several other volunteer positions.

Suzanne Nagel, Vice President of Marketing (age 56). Ms. Nagel joined HumanGood in June 2017. In her role as Vice President of Marketing, Ms. Nagel is responsible for brand building and lead generation for all HumanGood life plan communities. Ms. Nagel joined HumanGood with more than 25 years of experience in consumer marketing and brand management across a wide range of industries, from online services to packaged goods. At Edmunds.com, she helped grow the brand into the top automotive research and shopping website. As Senior Director of Marketing and Consumer Insights at eHarmony.com, she played a key marketing leadership role in growing the company from \$15 million in revenue to more than \$250 million. She received an undergraduate degree in Economics from Princeton University, and an M.B.A. from Stanford University's Graduate School of Business.

Marc Herrera, Vice President of Healthcare Services & Quality (age 62). Mr. Herrera joined HG SoCal in 1989 as the Director of Affordable Housing, and served on both the development and management teams in that capacity for five years. For ten years after that, he oversaw the operations of a fully accredited life plan community as its Executive Director. Mr. Herrera became Corporate Risk Manager and Compliance/Privacy Officer in 2004, interfacing with all insurance, loss prevention/loss control and litigation activities. In his current capacity as Vice President of Healthcare & Quality, Mr. Herrera oversees all healthcare services and quality improvement activities across the entire continuum of care and chairs the HumanGood life plan risk management committee. Prior to joining HG SoCal, he was employed at Beverly Enterprises as a nursing home administrator. He received his B.S. degree from the University of California, Davis and his MPA/MS Gerontology and professional certificate in Health Services Administration from the University of Southern California in 1984. Mr. Herrera is licensed in California as a real estate broker, nursing home administrator and residential care for the elderly administrator. He has served on several committees of LeadingAge California, and is a current member of its public policy committee. Mr. Herrera has been certified as a professional in aging services risk management since 2010.

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CALIFORNIA OBLIGATED GROUP COMMUNITIES

A summary table showing the mix of average annual available units for the fiscal year ended December 31, 2020 in each of the California Obligated Group Communities is set forth below.

<u>NAME OF COMMUNITY</u>	<u>LOCATION</u>	<u>YEAR OPENED</u>	<u>NUMBER OF APARTMENTS/BEDS</u>				<u>TOTAL APTS/BEDS</u>
			<u>RL⁽¹⁾</u>	<u>AL⁽²⁾</u>	<u>MS⁽³⁾</u>	<u>HC⁽⁴⁾</u>	
Grand Lake Gardens	Oakland, CA	1966	91	-	-	-	91
Piedmont Gardens	Oakland, CA	1969	177	60	16	86	339
Plymouth Village	Redlands, CA	1961	185	30	11	48	274
Redwood Terrace	Escondido, CA	1977	104	29	11	59	203
Regents Point	Irvine, CA	1982	234	39	8	59	340
Rosewood	Bakersfield, CA	1974	106	31	18	74	229
Royal Oaks	Bradbury, CA	1959	156	26	-	48	230
The Terraces at Los Altos	Los Altos, CA	1949	105	30	16	30	181
Terraces at San Joaquin Gardens	Fresno, CA	1966	262	60	28	54	404
The Terraces of Los Gatos	Los Gatos, CA	1992	175	45	16	59	295
Valle Verde	Santa Barbara, CA	1965	250	26	17	73	366
Westminster Gardens	Duarte, CA	1950	107	30	10	-	147
White Sands La Jolla	La Jolla, CA	1956	163	32	10	38	243
Windsor	Glendale, CA	1937	73	39	-	28	140
TOTAL			2,188	477	161	656	3,482

(1) Residential Living Apartments

(2) Assisted Living Apartments

(3) Memory Support Suites

(4) Health Center (Skilled Nursing) Beds

Source: Corporate Records.

Description of the California Obligated Group Communities

Grand Lake Gardens (HG NorCal). Grand Lake Gardens is a seven-story structure located on approximately 0.9 acres in Oakland, California, one block from Lake Merritt in the Lakeshore shopping district of Oakland. Grand Lake Gardens provides only residential living apartments with certain supplemental assistance to apartment residents available for an additional fee. Higher levels of care are available to contract residents in the nearby Piedmont Gardens community. Through combinations of smaller apartments over the years, the community now has 91 residential living apartments, down from the initial 103 in 1966. As of June 30, 2021, Grand Lake Gardens had 40 Classic Contracts, four Rebtable contracts and 35 rental contracts. Currently only rental contracts are offered at the community.

Piedmont Gardens (HG NorCal). Piedmont Gardens is located on approximately 2.3 acres in the Piedmont Avenue neighborhood of Oakland, California. In 1975, a second 16-story high-rise was added along with the three-story health center. The community has a total of 339 apartments, including 177 residential living apartments, 60 assisted living apartments, 16 memory support suites, and an 86-bed health center. In 2006, HG NorCal acquired the remaining single family home contiguous to the campus providing space for additional expansion and renovation in the future. Piedmont Gardens meets the legally applicable

seismic building standards. Nevertheless, given its proximity to the Hayward fault, HG NorCal is reviewing structural reports and exploring feasible improvements to the structural integrity of its buildings. HG NorCal plans to use proceeds of the Bonds to pay for a portion of such improvements. As of June 30, 2021, Piedmont Gardens had 181 Classic Contracts, four Rebatale contracts and two rental contracts.

Plymouth Village (HG NorCal). Plymouth Village was originally founded in 1959 as a retirement community for church workers located in Redlands, California. In December 1980, Plymouth Village merged with HG NorCal. Over the years through property acquisition the campus grew to its current 32.3 acre size with over 70 one- and two-story structures. In 1978 construction began on the assisted living building and common areas. In 1996, Plymouth Village was the first of the HG NorCal communities to open a dedicated memory support building, known as The Grove. In May 2019, a single-family home was acquired adjacent to the campus that was renovated and added to campus capacity. The community currently has a total of 274 apartments, including 185 residential living apartments, 30 assisted living apartments, 11 memory support suites and a 48-bed health center. As of June 30, 2021, Plymouth Village had 173 Classic Contracts, 13 Rebatale contracts and six rental contracts.

Redwood Terrace (HG SoCal). Opened in 1977 as Redwood Terrace Lutheran Home, Redwood Terrace is located on approximately 6.3 acres in Escondido, California. Redwood Terrace currently has a total of 203 apartments, including 104 residential living apartments, 29 assisted living apartments, 11 memory support suites, and a 59-bed health center. As of June 30, 2021, Redwood Terrace had 102 Classic Contracts, five Rebatale contracts and seven rental contracts.

Regents Point (HG SoCal). Regents Point is located on approximately 15.3 acres in Irvine, California, surrounded by the William R. Mason County Park and Lake, a 347-acre reserve situated near the University of California, Irvine. Regents Point has a total of 340 apartments, including 234 residential living apartments, 39 assisted living apartments, eight memory support suites, and a 59-bed health center. As of June 30, 2021, Regents Point had 186 Classic Contracts, 65 Rebatale contracts and four rental contracts.

Rosewood (HG NorCal). In 1970, HG NorCal purchased and began to develop a retirement community on an 11.5 acre tract in Bakersfield, California that would eventually become the Rosewood campus. Construction of a 9-story building began in 1972 and was first available for occupancy in 1974. In 1978, a health center was added. In 1983, additional residential living garden apartments were added. In 2012, a portion of the assisted living apartments were converted into 14 memory care suites. The community currently has a total of 229 apartments, including 106 residential living apartments, 31 assisted living apartments, 18 memory care suites, and a 74-bed health center. As of June 30, 2021, Rosewood had 99 Classic Contracts, zero Rebatale contracts and 21 rental contracts.

Royal Oaks (HG SoCal). Built in 1959, Royal Oaks is located on approximately 18.5 acres in Bradbury, California, in the foothills of the Angeles National Forest. The campus design takes advantage of the centuries-old oak trees and the mountains to the north. The community has a total of 230 apartments, including 156 residential living apartments, 26 assisted living apartments and Bradbury Oaks, a 48-bed health center completed in 1992. As of June 30, 2021, Royal Oaks had 127 Classic Contracts, 36 Rebatale contracts and 10 rental contracts.

The Terraces at Los Altos (HG NorCal). HG NorCal's first community (formerly known as Pilgrim Haven), opened in 1949 on approximately 6.3 acres in Los Altos, California with licensure to serve 16 ambulatory aged people. Over the next 40 years, various additions were made, including a three-phase redevelopment comprising approximately 180,000 square feet that concluded in December 2016. The redevelopment included the demolition of 112,000 square feet of The Terraces at Los Altos ("TLA") existing campus, the construction of a new 30-bed health center, 16 new memory support suites, a new two-story 30 apartment assisted living building, underground parking, new dining, administration and other

common area amenities, and 81 new residential living apartments, for a campus-wide total of 105 residential living apartments and 181 total apartments for the campus. As a condition to approve some of the variances required for the TLA redevelopment in accordance with an Affordable Housing Agreement with the City of Los Altos, 16 of the new residential living apartments were offered with below market rents. As of June 30, 2021, TLA had 33 Classic Contracts, 92 Rebtable contracts and zero rental contracts.

Terraces at San Joaquin Gardens (HG Fresno). The Terraces at San Joaquin Gardens opened in 1966 on an approximately 24.2 acre campus in Fresno, California. In 2015, The Terraces at San Joaquin Gardens completed a six-year redevelopment to expand its original campus to a total of 404 apartments, including 262 residential living apartments, 60 assisted living apartments, 28 memory support suites, and a 54-bed health center. Until September 2012, The Terraces at San Joaquin Gardens was owned and operated by HG NorCal. HG NorCal manages The Terraces at San Joaquin Gardens pursuant to a multi-year management agreement with HG Fresno. As of June 30, 2021, The Terraces at San Joaquin Gardens had 140 Classic Contracts, 136 Rebtable contracts and 4 rental contracts.

The Terraces of Los Gatos (HG NorCal). The 8.9-acre complex in Los Gatos, California has a total of 295 apartments, including 175 residential living apartments, 45 assisted living apartments, 16 memory support suites, and a 59-bed health center. As of June 30, 2021, The Terraces of Los Gatos had 218 Classic Contracts, 14 Rebtable contracts and zero rental contracts.

Valle Verde (HG NorCal). Valle Verde is a campus that now spans 59.7 acres in Santa Barbara, California, located just below the prestigious Hope Ranch neighborhood. HG NorCal assumed ownership in 1972 and made additions to the campus throughout the 1970s and 1980s. In 2014, 40 additional residential living apartments were completed in four phases along with improvements to common areas. The community currently has a total of 366 apartments, including 250 residential living apartments, 26 assisted living apartments, 17 memory support suites and a 73-bed health center. As of June 30, 2021, Valle Verde had 284 Classic Contracts, 34 Rebtable contracts and zero rental contracts.

Westminster Gardens (HG SoCal). With an area of approximately 32 acres, Westminster Gardens is the largest of HG SoCal's campuses. Located in Duarte, California, it includes a total of 147 apartments, including 107 residential living apartments, 30 assisted living apartments, and 10 memory support suites. HG SoCal assumed management of Westminster Gardens in 2001. Westminster Gardens' residents' skilled nursing needs are met by its sister community, Royal Oaks. As of June 30, 2021, Westminster Gardens had 103 Classic Contracts, 17 Rebtable contracts and three rental contracts.

White Sands La Jolla (HG SoCal). White Sands La Jolla is located on approximately 8.5 acres in La Jolla, California. The front of the building faces the Pacific Ocean. HG SoCal purchased the building, originally built as a hotel in 1955, in 1956 as its first community. White Sands La Jolla completed a major expansion in June 2008, including 45 new residential single level townhomes, 35 new assisted living/dementia memory support units and a 254-space underground parking garage. An additional \$20 million renovation of infrastructure and common areas was completed in 2018. The community currently has a total of 243 apartments, including 163 residential living apartments, 32 assisted living apartments, 10 memory support suites, and a 38-bed health center. As of June 30, 2021, White Sands La Jolla had 150 Classic Contracts, 30 Rebtable contracts and four rental contracts.

Windsor (HG SoCal). Windsor, formerly known as Windsor Manor, is located on an approximately 2.8-acre site in Glendale, California. Originally the two-story home of the mayor of Glendale, the facility opened in 1937. Later, physical additions were made permitting a total population of 40. The original building was razed in 1965 and a new structure was built with a total of 78 living units, with more construction in 1973. Approximately \$2.3 million was spent in 2007-2008 upgrading common areas, including the lobby, lounge, dining room, and courtyards. Currently the community has a total of 140 apartments, including 73 residential living apartments, 39 assisted living apartments, and a 28-bed health center. As of June 30, 2021, Windsor had 52 Classic Contracts, 2 Rebtable contract and 21 rental contracts.

California Obligated Group Projects

During 2018, HumanGood completed facility assessment studies at the majority of its 14 California campuses. Campus infrastructure elements have been entered into a preventative maintenance system and prioritized over the next ten years for upgrade and or replacement. As a result of these studies, 13 of the 14 campuses have been allocated project funds from proceeds of the Bonds for various renovations to existing infrastructure and upgrades to housing units and amenities areas including elevators, HVAC, roofs, generators, lighting, plumbing, balconies and various other areas. A subset of the proceeds of the Bonds has been designated to finance a portion of the cost of a new replacement health center project at Valle Verde, the Crestmont Tower renovations at Piedmont Gardens, and the construction of additional independent living accommodations at Westminster Gardens.

Corporate Office Functions

Corporate overhead expenses are shared proportionately across HumanGood. The HumanGood finance department conducts centralized financial reporting, accounts payable and payment posting for all HumanGood communities and facilities. Other corporate office functions include general administration, management, information services, human resources, legal, facilities management and senior level affordable housing administration. Periodically, HumanGood conducts administrative meetings, often in conjunction with quarterly board meetings of HumanGood and of its managed affiliates, at which time executive directors gather with other corporate executives to review the status of company operations, policies and procedures and to focus on continuous improvement initiatives. These administrative functions are performed out of three corporate headquarters located in a leased office space in Pleasanton, California, leased office space in Glendale, California and an owned office space in Lafayette Hill, Pennsylvania. On May 17, 2021, the office building in Glendale, which is Excluded Property as defined in the Master Indenture, was sold for a purchase price of \$9,000,000, inclusive of a promissory note in the amount of \$2,250,000. A transition to a new corporate office space in Southern California at an existing life plan community is currently underway.

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Historical Occupancy of the California Obligated Group Communities

The following table shows historical annual average occupancy by level of care of the California Obligated Group Communities for the calendar years ended December 31, 2018, 2019 and 2020 and the six months ending June 30, 2020 and 2021.

COMMUNITY NAME	FOR THE YEAR ENDED			SIX MONTHS ENDED	
	DECEMBER 31, 2018	DECEMBER 31, 2019	DECEMBER 31, 2020	JUNE 30, 2020	JUNE 30, 2021
Grand Lake Gardens					
Residential	87.8%	90.9%	85.2%	87.1%	79.8%
Assisted Living	N/A	N/A	N/A	N/A	N/A
Memory Support	N/A	N/A	N/A	N/A	N/A
Health Center	N/A	N/A	N/A	N/A	N/A
Piedmont Gardens					
Residential	89.1%	91.0%	87.5%	92.5%	78.5%
Assisted Living	90.4%	83.2%	81.9%	78.6%	84.5%
Memory Support	77.2%	89.6%	89.9%	90.6%	90.9%
Health Center	80.2%	85.0%	76.9%	78.1%	75.9%
Plymouth Village					
Residential	87.1%	86.1%	82.9%	83.9%	82.2%
Assisted Living	92.4%	94.4%	97.7%	98.0%	91.4%
Memory Support	51.3%	68.1%	54.8%	52.5%	77.2%
Health Center	73.9%	80.5%	67.4%	68.6%	53.4%
Redwood Terrace					
Residential	87.1%	83.5%	78.7%	81.7%	74.4%
Assisted Living	81.2%	80.6%	86.3%	87.2%	82.9%
Memory Support	93.3%	91.5%	88.9%	89.1%	83.5%
Health Center	79.4%	90.5%	80.4%	80.0%	77.6%
Regents Point					
Residential	92.9%	94.1%	90.7%	93.2%	85.2%
Assisted Living	92.8%	97.3%	96.1%	97.2%	91.4%
Memory Support	89.5%	94.7%	95.2%	100.0%	92.0%
Health Center	88.7%	83.0%	73.6%	77.7%	53.5%
Rosewood					
Residential	94.9%	96.1%	88.7%	92.9%	83.7%
Assisted Living	95.5%	93.5%	87.3%	83.5%	74.7%
Memory Support	91.5%	93.0%	75.2%	75.7%	75.0%
Health Center	91.0%	90.6%	74.1%	81.7%	64.4%
Royal Oaks					
Residential	89.4%	91.3%	88.5%	86.6%	89.7%
Assisted Living	92.4%	95.9%	85.3%	88.1%	75.8%
Memory Support	N/A	N/A	N/A	N/A	N/A
Health Center	90.5%	92.0%	80.3%	83.3%	73.8%

The Terraces at Los Altos					
Residential	96.7%	98.4%	95.9%	96.5%	98.3%
Assisted Living	94.4%	97.5%	94.8%	94.2%	92.9%
Memory Support	96.0%	98.9%	80.9%	78.3%	68.6%
Health Center	89.0%	90.7%	70.9%	80.8%	77.4%
Terraces at San Joaquin Gardens					
Residential	86.9%	91.4%	89.9%	91.7%	86.9%
Assisted Living	89.7%	92.8%	88.5%	90.1%	86.6%
Memory Support	88.8%	82.9%	96.9%	96.4%	86.9%
Health Center	94.4%	92.6%	79.9%	84.0%	80.3%
The Terraces of Los Gatos					
Residential	97.8%	98.6%	96.5%	96.8%	95.6%
Assisted Living	96.6%	98.8%	96.7%	98.0%	96.3%
Memory Support	98.4%	98.4%	88.0%	89.3%	92.6%
Health Center	88.6%	84.2%	66.9%	69.4%	69.4%
Valle Verde					
Residential	94.7%	96.4%	95.7%	95.8%	95.2%
Assisted Living	96.8%	97.4%	95.5%	94.2%	94.1%
Memory Support	94.9%	96.8%	97.1%	99.1%	91.7%
Health Center	87.1%	84.9%	78.4%	80.4%	76.3%
Westminster Gardens					
Residential	95.0%	91.3%	87.3%	89.3%	85.9%
Assisted Living	89.1%	88.0%	84.4%	87.2%	79.4%
Memory Support	95.3%	74.1%	95.5%	94.8%	78.5%
Health Center	N/A	N/A	N/A	N/A	N/A
White Sands La Jolla					
Residential	95.4%	94.2%	93.5%	94.5%	92.4%
Assisted Living	95.9%	95.1%	96.6%	96.5%	89.9%
Memory Support	93.8%	83.9%	87.8%	90.5%	83.3%
Health Center	80.2%	82.6%	96.5%	96.9%	94.5%
Windsor					
Residential	88.0%	82.4%	80.0%	81.2%	71.9%
Assisted Living	92.7%	87.8%	78.3%	81.5%	77.8%
Memory Support	N/A	N/A	N/A	N/A	N/A
Health Center	81.9%	76.1%	79.6%	81.0%	77.7%
Total					
Residential Living	91.7%	92.4%	89.6%	91.1%	86.8%
Assisted Living	92.1%	92.1%	89.5%	89.8%	86.2%
Memory Support	88.7%	89.0%	87.2%	87.5%	83.8%
Health Center	85.5%	86.4%	76.6%	79.6%	72.0%

Source: Corporate Records.

Residential Living Turnover

The following table summarizes new resident move-ins, turnover rates, and net entrance fees of the California Obligated Group Communities on a combined basis for the calendar years ended December 31, 2018, 2019 and 2020, and the six months ended June 30, 2020 and 2021. Dollars in thousands.

UNIT TYPE	2018	2019	2020	6/30/2020 (YTD)	06/30/2021 (YTD)
Beginning Number of RL Occupied	2,027	2,031	2,036	2,036	1,920
Attrition	(314)	(300)	(329)	(171)	(156)
Move-ins	318	305	213	87	137
Ending Number of RL Occupied	2,031	2,036	1,920	1,952	1,901
Gross Turnover Entrance Fees	\$71,861	\$66,843	\$60,329	\$21,533	\$34,434
Refunds	(\$20,194)	(\$13,187)	(\$25,143)	(\$11,914)	(\$8,631)
Net Turnover Entrance Fees	\$51,667	\$53,656	\$35,186	\$9,619	\$25,803
Initial Entrance Fees	\$3,172	-	-	-	-
Total Net Entrance Fees Received	\$54,839	\$53,656	\$35,186	\$9,619	\$25,803

Source: Corporate Records.

Levels of Care

Each California Obligated Group Community provides a continuum of care from residential living through skilled nursing on its campus or via a transfer to the campus of another California Obligated Group Community. The levels of care in these communities are described below.

Residential Living Apartments

Residential Living Apartments are for residents functionally capable of independent apartment living. They require minimal assistance, if any. In most instances, an entrance fee is charged prior to beginning occupancy in a residential living apartment and monthly service fees are charged thereafter. See “CARE AND RESIDENCE AGREEMENTS – Entrance Fees and Monthly Service Fees” below.

Basic services include the apartment containing a kitchen equipped with a stove and refrigerator, utilities, interior and exterior maintenance, a meal plan, scheduled activities, certain transportation, security and the use of common areas. Usually residents supply their own furniture.

Residential living accommodations and services are not eligible for Medicare or Medi-Cal reimbursement.

Assisted Living Apartments

Assisted living care is for residents no longer capable of living independently. Residents are generally ambulatory and receive assistance with activities of daily living including dressing and meals. Three meals daily and 24-hour staffing are covered in the basic monthly fee for this level of care. Additional charges for personal supplies and/or services may be assessed. Residents in assisted living generally need only occasional nursing care. Assisted living care is not eligible for Medicare reimbursement. The Members of the California Obligated Group do not currently receive Medi-Cal reimbursement for assisted living services provided at the California Obligated Group Communities, but no assurances can be made that the Members of the California Obligated Group will not accept such reimbursement for such services in the future.

Memory Support Suites

Residents who live in the memory support suites require the attention of specially-trained staff for the treatment of dementia or cognitive impairment. Dementia care programs provide assistance with daily living, including three meals a day. Staff is trained to meet the needs of residents in the dementia care areas. Staffing is more concentrated in the dementia care portion of the assisted living center than in the non-special needs areas. Memory support care is not eligible for Medicare reimbursement. The Members of the California Obligated Group do not currently receive Medi-Cal reimbursement for memory care services provided at the California Obligated Group Communities, but no assurances can be made that the Members of the California Obligated Group will not accept such reimbursement for such services in the future.

Skilled Nursing Care

Skilled nursing provided in the health centers is for residents who require the daily attention of a professional nursing staff – registered nurses or licensed professional nurses. Nurses are on duty 24 hours a day. Rehabilitation and therapy services are provided for residents as needed. Additional charges for personal supplies and/or services may be assessed. This level of care is eligible for Medi-Cal or Medicare reimbursement, as applicable.

Currently 9 of the 12 communities with skilled nursing accept Medi-Cal and 11 accept Medicare as follows:

Community	Medi-Cal	Medicare
Piedmont Gardens	X	X
Plymouth Village	X	X
Redwood Terrace	X	X
Regents Point	X	X
Rosewood	X	X
Royal Oaks	X	X
The Terraces at Los Altos	-	X
Terraces at San Joaquin Gardens	-	X
The Terraces of Los Gatos	X	X
Valle Verde	X	X
White Sands La Jolla	-	-
Windsor	X	X

Payor Mix for Skilled Nursing Care

The following table shows the annual revenue net of contractual allowances by payor in the health centers providing skilled nursing at the California Obligated Group Communities as a percentage of total health center revenue for the fiscal years ended December 31, 2018, 2019 and 2020 and for the six months ending June 30, 2020 and 2021. Dollars in thousands.

Source of Payment	Average Percentage for the Period Ended ⁽¹⁾				
	December 31, 2018	December 31, 2019	December 31, 2020	June 30, 2020	June 30, 2021
Total Obligated Group					
Medicare	39.6%	41.5%	36.0%	37.2%	42.8%
Medicaid	15.5%	15.5%	18.8%	17.5%	19.2%
Private Pay	33.8%	30.3%	31.5%	31.4%	25.7%
Other Managed Care ⁽²⁾	11.1%	12.7%	13.7%	13.9%	12.3%
	100.0%	100.0%	100.0%	100.0%	100.0%
Total Health Center Revenue	\$87,688	\$93,741	\$85,293	\$43,632	\$43,929
Total Cash Revenue	\$249,340	\$260,217	\$262,022	\$132,345	\$129,646
% Attributable to Health Center	35.2%	36.0%	32.6%	33.0%	33.9%

Source: Corporate Records.

- (1) Does not include Grand Lake Gardens or Westminster Gardens, whose campuses have no Health Center.
- (2) Includes Medicare Advantage.

CARE AND RESIDENCE AGREEMENTS

Due to the California Obligated Group's origins as two separate organizations, the LPCs owned by HG NorCal, HG SoCal and HG Fresno have historically offered two distinct sets of continuing care contracts (known as "care and residence agreements"). While many of these legacy contracts remain in effect, in October 2018, the Members of the California Obligated Group began to offer two standardized *HumanGood* forms to new residents: the "Classic Contract" and the "Rebatable Contract." Also, in October of 2018, the California Obligated Group Communities began offering only the Fully Amortizing Contract (and not the Rebatable Contract) to incoming residents 86 and older. See "RISK FACTORS—Present and Prospective Federal and State Regulation" in the front part of this Official Statement.

The Classic Contract provides that during a "cancellation period," which is the first 90 days following initial occupancy, the entrance fee is fully refundable. If the contract is terminated (whether by resident, by the community or due to the resident's death) within the first 44 months after expiration of the 90-day cancellation period, the resident will receive a partial rebate of the entrance fee. This partial rebate decreases each month based on an amortization of 2% of the entrance fee for each month of occupancy after the end of the cancellation period. In the case of double occupancy, no rebate is made until both parties terminate the agreement. After the 44-month amortization period, no portion of the entrance fee is repayable. Prior to October 2018, the CCRCs owned by HG SoCal provided a version of the Classic Contract (the "Legacy Classic Contract") that prorated the entrance fee over 30 months in the case of death and 60 months in the case of voluntary departure. Under the Legacy Classic Contract, if a resident dies more than 30 months or terminates the contract more than 60 months after initial residency, no rebate is

available. This contract is no longer offered at any California Obligated Group Community but constitutes the majority of the total contracts in effect with residents of the California Obligated Group Communities owned by HG SoCal.

The Rebatable Contract also provides that the entrance fee is fully refundable during the initial 90-day cancellation period. Under the Rebatable Contract, termination of the contract by a resident or due to a resident's death after the 90-day cancellation period entitles the resident to a rebate of a fixed percentage (either 50% or 75%) of the entrance fee upon resale of the last residential living apartment the resident occupied. Entrance fees are typically priced at a 40% premium under the 50% Rebatable Contract and at a 70% premium under the 75% Rebatable Contract. Prior to 2018, some LPCs owned by HG NorCal offered an 80% Rebatable Contract at a 100% premium. Also prior to October 2018, the LPCs owned by HG SoCal offered a different version of the Rebatable Contract (the "Legacy Rebatable Contract"). Under the Legacy Rebatable Contract, instituted in 2005, the rebate available to the resident who terminated his or her contract was a 95% rebate immediately upon expiration of the cancellation period; thereafter, the rebate was reduced by 1.67% each month subject to a 75% minimum rebate.

Under California law, any entrance fee rebate owed to a resident or the resident's estate pursuant to a Rebatable Contract entered into on or after January 1, 2017 will accrue interest if unpaid 180 days from the contract termination date. Such interest shall accrue at a simple annual rate of 4% beginning on the 180th day after termination, shall increase to 6% on the 240th day after termination, and shall begin compounding at 6% annually on the 605th day after termination.

The California Obligated Group Communities also offer rental contracts. Some California Obligated Group Communities offer rental contracts for residential living apartments, while others offer them exclusively for direct admissions into assisted living, memory care and health center apartments. Pursuant to California law, these rental contracts are terminable for cause only.

All continuing care contracts offered by the California Obligated Group Communities are classified as "Type B" contracts, but the health benefits offered to residents vary by community. In general, the communities owned by HG SoCal offer discounted rates to residents with continuing care contracts (vs those with rental contracts), and the communities owned by HG NorCal offer a capped monthly credit to residents upon their permanent transfer to skilled nursing.

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The following table presents the resident contract distribution of the California Obligated Group Communities in all levels of care as of June 30, 2021.

CONTRACT DISTRIBUTION BY COMMUNITY

	Classic (1)	Rebatable (2)	Rental	Total
Grand Lake Gardens	51%	5%	44%	100%
Piedmont Gardens	97%	2%	1%	100%
Plymouth Village	90%	7%	3%	100%
Redwood Terrace	90%	4%	6%	100%
Regents Point	73%	25%	2%	100%
Rosewood	83%	0%	17%	100%
Royal Oaks	73%	21%	6%	100%
The Terraces at Los Altos	26%	74%	0%	100%
Terraces at San Joaquin Gardens	50%	49%	1%	100%
The Terraces of Los Gatos	94%	6%	0%	100%
Valle Verde	89%	11%	0%	100%
Westminster Gardens	84%	14%	2%	100%
White Sands La Jolla	82%	16%	2%	100%
Windsor	69%	3%	28%	100%
Combined Total	77%	18%	5%	100%

⁽¹⁾Includes Legacy Classic Contracts.

⁽²⁾Includes Legacy Rebatable Contracts.

Source: Corporate records. Table includes all contracts for residents in all levels of care, except those in higher levels of care with rental contracts.

Entrance Fees and Monthly Service Fees

Entrance fees and monthly service fees are based on the size of the residential apartment as well as the choice of care and residence agreement. The monthly service fees are also based on single or double occupancy. Entrance fees are adjusted at least annually to reflect such factors as the market environment and the anticipated costs of continuing care. Monthly service fees are adjusted annually based on cost of living factors such as projected costs, prior year capital costs and economic indicators. While the adjusted monthly service fees affect all residents under contract, the adjusted entrance fees affect new residents only. Fee increases are announced at least 30 days prior to the new rates taking effect.

The table on the following page indicates the unadjusted (full price) range of 2021 entrance fees and the 2021 monthly service fees for the various apartments/beds in the California Obligated Group Communities.

**ENTRANCE FEES AND MONTHLY SERVICE FEES
IN EFFECT AT JANUARY 1, 2021**

Community Name	Level of Care/Apt Type	No. of Apts.	Non-Rebatable Entrance Fees	Rebatable Entrance Fees	Monthly Service Fees
Grand Lake Gardens	Residential Living				
	-Studio	15	-	-	\$3,951
	-One Bedroom	51	-	-	\$5,273
	-Two Bedroom	25	-	-	\$6,106 - \$7,753
	-2nd Person Fee				\$1,193
	Total	91			
Piedmont Gardens	Residential Living				
	-Studio	18	\$49,950 - \$109,444	\$72,427 - \$186,054	\$3,475 - \$3,948
	-One Bedroom	118	\$113,450 - \$236,022	\$164,503 - \$401,238	\$3,956 - \$7,559
	-Two Bedroom	41	\$189,798 - \$438,323	\$235,398 - \$745,148	\$5,787 - \$8,315
	-2nd Person Fee				\$1,000
	Assisted Living	60			\$6,250 - \$11,282
	Memory Care	16			\$7,802 - \$8,532
	Skilled Nursing	86			\$426 - \$852 per day
	Total	339			
Plymouth Village	Residential Living				
	-1 Bedroom	35	\$68,500 - \$106,190	\$115,710 - \$204,133	\$3,328
	-2 Bedroom	104	\$91,670 - \$243,360	\$154,860 - \$482,328	\$3,459 - \$4,688
	-3 Bedroom	4	\$168,000 - \$283,680		\$3,694
	-Homes	40	\$200,000 - \$500,000	\$302,760 - \$724,680	\$3,940 - \$4,173
	-2nd Person Fee				\$1,723
	Assisted Living	30			\$6,499 - \$6,931
	Memory Care	11			\$7,497 - \$8,205
	Skilled Nursing	48			\$326 per day
	Total	272			

Community Name	Level of Care/Apt Type	No. of Apts.	Non-Rebatable Entrance Fees	Rebatable Entrance Fees	Monthly Service Fees
Redwood Terrace	Residential Living				
	-Studio	1	\$67,000	\$97,150 - \$113,900	\$3,273
	-1 Bedroom	28	\$77,000 - \$157,000	\$111,650 - \$266,900	\$3,498 - \$4,320
	-2 Bedroom	23	\$189,000 - \$220,000	\$274,050 - \$321,300	\$4,952 - \$6,213
	-Homes	45	\$189,000 - \$220,000	\$274,050 - \$374,000	\$4,952 - \$6,213
	-2nd Person Fee				\$1,505
	Assisted Living	36			\$3,273 - \$6,295
	Memory Care	11			\$5,521 - \$8,759
	Skilled Nursing	59			\$322 - \$485 per day
	Total	203			
Regents Point	Residential Living				
	-Studio	40	\$95,000	\$137,750 - \$161,500	\$3,032
	-1 Bedroom	126	\$140,000 - \$280,000	\$203,000 - \$476,000	\$3,413 - \$5,387
	-2 Bedroom	68	\$290,000 - \$550,000	\$420,500 - \$935,000	\$5,387 - \$6,362
	-2nd Person Fee				\$1,224
	Assisted Living	39			\$7,196 - \$8,221
	Memory Care	8			\$8,258
	Skilled Nursing	59			\$360 - \$572 per day
	Total	340			
Rosewood	Residential Living				
	-Studio	21	\$29,300 - \$42,600	-	\$2,482 - \$2,630
	-1 Bedroom	55	\$59,500 - \$79,300	-	\$3,358 - \$3,556
	-2 Bedroom	30	\$103,000 - \$120,800	-	\$4,006 - \$4,223
	-2nd Person Fee				\$696
	Assisted Living	31			\$5,042 - \$5,789
	Memory Care	18			\$6,555 - \$6,628
	Skilled Nursing	74			\$364 - \$485 per day
	Total	229			

Community Name	Level of Care/Apt Type	No. of Apts.	Non-Rebatable Entrance Fees	Rebatable Entrance Fees	Monthly Service Fees
Royal Oaks	Residential Living				
	-Studio	17	\$70,000 - \$80,000	\$101,500 - \$136,000	\$2,472 - \$2,719
	-1 Bedroom	54	\$115,000 - \$275,000	\$166,750 - \$467,500	\$3,164 - \$4,833
	-2 Bedroom	68	\$160,000 - \$395,000	\$232,000 - \$671,500	\$4,324 - \$5,268
	-Cottage	16	\$525,000 and up	\$761,250 and up	\$6,177
	-2nd Person Fee				\$462
	Assisted Living	26			\$6,996 - \$7,338
	Skilled Nursing	48			\$337 - \$488 per day
	Total	229			
The Terraces at Los Altos	Residential Living				
	-1 Bedroom	58	\$338,769 - \$442,178	\$563,715 - \$1,207,075	\$5,319 - \$6,115
	-2 Bedroom	47	\$609,043 - \$717,740	\$883,112 - \$1,829,190	\$6,601 - \$7,263
	-2nd Person Fee				\$1,528
	Assisted Living	30			\$6,690 - \$8,709
	Memory Care	16			\$8,667
	Skilled Nursing	30			\$466 - \$575 per day
	Total	181			
The Terraces at San Joaquin Gardens	Residential Living				
	-1 Bedroom	102	\$95,000 - \$259,000	\$118,750 - \$380,730	\$2,807 - 4,307
	-2 Bedroom	160	\$185,000 - \$370,000	\$231,250 - \$543,900	\$3,203 - \$5,796
	-2nd Person Fee				\$1,100
	Assisted Living	60			\$4,614 - \$7,399
	Memory Care	28			\$5,439 - \$7,532
	Skilled Nursing	54			\$344 - \$402 per day
	Total	404			

Community Name	Level of Care/Apt Type	No. of Apts.	Non-Rebatable Entrance Fees	Rebatable Entrance Fees	Monthly Service Fees
The Terraces of Los Gatos	Residential Living				
	-Alcove	10	\$251,000	\$364,000 - \$427,000	\$4,059
	-1 Bedroom	73	\$388,000	\$563,000 - \$660,000	\$4,701
	-2 Bedroom	82	\$549,000 - \$618,000	\$796,000 - \$1,050,000	\$6,107 - \$6,427
	-Patio Home	10	\$801,000	\$1,162,000 - \$1,584,000	\$7,917
	-2nd Person Fee				\$1,471
	Assisted Living	45			\$6,806 - \$11,053
	Memory Care	16			\$10,197 - \$11,629
	Skilled Nursing	59			\$451 - \$587 per day
	Total	295			
Valle Verde	Residential Living				
	-Studio	7	\$63,017	\$91,375 - \$107,130	\$3,217
	-1 Bedroom	90	\$130,352 - \$247,635	\$189,010 - \$420,980	\$3,217 - \$4,710
	-2 Bedroom	126	\$263,422 - \$795,675	\$381,962 - \$1,352,648	\$5,273 - \$6,458
	-Cottage	27	\$710,803 - \$795,675	\$1,030,664 - \$1,352,647	\$6,153 - \$6,891
	-2nd Person Fee (one bedroom only)				\$1,169
	Assisted Living	26			\$6,349 - \$9,786
	Memory Care	17			\$9,328 - \$11,486
	Skilled Nursing	73			\$362 - \$665 per day
	Total	366			
Westminster Gardens	Residential Living				
	-1 Bedroom	19	\$80,000 - \$100,000	\$116,000 - \$170,500	\$3,172
	-2 Bedroom	88	\$98,000 - \$335,000	\$142,100 - \$569,500	\$3,962 - \$4,981
	-2nd Person Fee		\$10,000	\$14,500 - \$17,000	\$484
	Assisted Living	30			\$5,037 - \$5,841
	Memory Care	10			\$6,667 - \$8,472
	Total	147			

Community Name	Level of Care/Apt Type	No. of Apts.	Non-Rebatable Entrance Fees	Rebatable Entrance Fees	Monthly Service Fees
White Sands La Jolla	Residential Living				
	-Studio	34	\$100,000 - \$250,000	\$130,500 - \$510,000	\$3,706 - \$5,334
	-1 Bedroom	55	\$200,000 - \$850,000	\$290,000 - \$1,530,000	\$6,486 - \$6,631
	-2 Bedroom	74	\$500,000 - \$1,500,000	\$725,000 - \$2,550,000	\$6,943 - \$9,043
	-2nd Person Fee				\$1,628
	Assisted Living	32			\$6,210 - \$9,848
	Memory Care	10			\$8,667 - \$11,182
	Skilled Nursing	38			\$321 - \$604 per day
	Total	243			
	Residential Living				
Windsor	-Studio	42	-	-	\$3,807 - \$5,004
	-1 Bedroom	26	-	-	\$5,264
	-2 Bedroom	5	-	-	\$5,600 - 6,500
	-2nd Person Fee				\$1,200
	Assisted Living	39			\$6,047 - \$8,549
	Skilled Nursing	28			\$290 - \$313 per day
	Total	140			

Services

Upon payment in full of the applicable entrance fee and ongoing payment of the applicable monthly service fee, each resident is provided a residential living apartment and receives certain basic services. Services provided include: (i) a meal plan at the Community's dining facilities; (ii) except for Plymouth Village, basic utilities, except telephone and cable television services; (iii) certain housekeeping services; (iv) access to parking; (v) maintenance of all common areas and equipment; (vi) repair, maintenance or replacement of furnishings provided in the residential living apartment; (vii) certain local transportation services; (viii) monitoring of emergency alert systems; (ix) a variety of social, recreational, educational, cultural, and health and wellness programs; and (x) access to all indoor and outdoor recreational spaces, lounges, dining room, and the barber and beauty shop. Services available for an extra fee include, but are not limited to: (i) guest meals; (ii) additional storage space; (iii) additional housekeeping services; (iv) personal laundry services; and (v) additional medical transportation services.

Each resident is entitled to receive basic nursing care at their community's skilled nursing care center (the "Health Center") or, in the case of Grand Lake Gardens and Westminster Gardens, the Health Center of a nearby California Obligated Group Community, 24 hours per day upon a physician's written order. Assisted living services or nursing services are charged to residents at the then-applicable rates for such services.

Admission Criteria

The Members of the California Obligated Group operate the California Obligated Group Communities on a nondiscriminatory basis and afford equal treatment and access to services to all persons regardless of race, color, creed, religion, gender, sexual orientation, national origin, ancestry, familial status or marital status. In order to qualify for admission into a community, the prospective resident (or one of a couple) must be at least 62 years of age. Additionally, the prospective resident must qualify financially and pass a health screening. Applicants who meet the financial criteria are required to provide medical records prior to admission. The Members of the California Obligated Group reserve the right to revise pricing or admission criteria at any time in accordance with regulatory requirements.

Benevolence

The California Obligated Group Communities are committed to making their services and facilities available to those residents who can no longer meet the financial obligations of residency, to the extent that it is feasible to do so without jeopardizing the financial stability of the Community for all of its residents. If a resident is unable to pay monthly fees or other charges through no fault of their own, the California Obligated Group Communities may, in their sole discretion, agree to grant an extension of time to make any payments that are due or to work out another mutually acceptable alternative payment arrangement, including a benevolence adjustment to future fees. Benevolence is not available to residents who made material misrepresentations about their finances in their application for admission to the community or if, at any time during their residency, they transferred their assets for less than fair market value or encumbered their assets or otherwise diluted their value. A portion of benevolence provided is covered through distributions from the respective HumanGood foundations.

MARKETING AND COMPETITION

Sales and Marketing

The marketing and sales programs for the California Obligated Group Communities are managed by a Vice President of Marketing and a Vice President of Sales who are members of the HumanGood home office team. Each California Obligated Group Community has its own sales department that reports to the local Executive Director of the respective community. Detailed sales and marketing plans are prepared yearly for each community. These plans focus personnel and budget resources on the sales and marketing strategies and tactics necessary to achieve revenue objectives. The sales and marketing staff at the communities utilize a variety of techniques such as digital marketing, direct mail, special events, print media advertising, telephone contact and personal presentations to secure deposits and sales.

Competition

Each California Obligated Group Community faces competition from similar communities operating in or near its market area and may face additional competition in the future as a result of the construction of new competitive communities or expansion of existing competitive communities.

A community is considered by management to be competitive with one of the California Obligated Group Communities if it is a life plan community or a community offering similar continuing care services, such as residential living accommodations with congregate meal services in combination with assisted living, memory support and/or nursing care services, and is located within that California Obligated Group Community's market service area. The market service area is generally defined as a five-to-ten mile radius of a community.

Some of the key competitive advantages of the California Obligated Group Communities, in the opinion of the management of the California Obligated Group, are the following:

- Grand Lake Gardens is a residential living community in the heart of Oakland's Grand-Lakeshore District, offering rental apartment homes with a vibrant lifestyle and engagement inside and outside the community. Grand Lake Gardens supports resident's future needs by offering preferred access to higher levels of care at its sister community Piedmont Gardens.
- Piedmont Gardens is the closest LPC community to the more affluent areas of Piedmont and North Oakland and is located on Piedmont Avenue which hosts a wide variety of walkable restaurants, eclectic shops, entertainment, beautiful parks and pathways.
- Plymouth Village, whose unique neighborhood design features single-story cottage style residences and single-family homes, is the only community in Redlands offering four levels of living and is walking distance to the town center.
- Redwood Terrace is a well-recognized LPC with a strong market presence and long-standing reputation. Distinguished by its tight-knit family atmosphere, suburban setting and local resident population base.
- Regents Point is ideally located in the heart of Irvine with William R. Mason Regional Park hugging half of the campus's boundaries, providing peace and quiet. Located less than a mile away from UC Irvine, the partnership with UCI presents a unique influx of residents from differing fields of study and work.
- Rosewood is the annual sponsor of the senior Olympics and the only Nonprofit Entrance Fee LPC in Kern County offering four levels of living with a five-star nursing home in Bakersfield.
- Royal Oaks is nestled on 18.5 acres at the base of the San Gabriel Mountains, which provides a unique environment for retirement living. Walking trails, towering oaks and mountain views offer sanctuary from city life with easy access to transportation and conveniences of urban living.
- The Terraces at Los Altos is nestled in a quiet and safe residential neighborhood and is the only LPC in the town of Los Altos. It is in close proximity to a bustling downtown with easy access to major highways and airports.
- The Terraces at San Joaquin Gardens is the original and largest LPC in Fresno offering four levels of living including a five-star nursing home with a peerless reputation. No other community in the region has the level of amenities, services, and apartment styles offered at The Terraces at San Joaquin Gardens.
- The Terraces of Los Gatos has a prime location in an upscale residential neighborhood near local amenities, as well as a positive reputation in the greater Los Gatos area. The community's strong operational performance is also a key point of differentiation and is demonstrated through a commitment to robust lifestyle opportunities and programming and a consistent focus on wellness.
- Valle Verde is the only LPC in Santa Barbara that features a campus of single-story garden homes, nestled in a beautiful garden setting, and includes a five-star nursing home. It is known for its active, informal, and pet-friendly lifestyle.

- Westminster Gardens' rustic outdoors, beautiful gardens, and spaciousness of the community add to its unique feel of a secluded oasis amidst the Los Angeles metropolitan area. The single-story residences and common areas enhance the feeling of home-like community, while offering easy access to desired destinations via freeways and nearby public transportation.
- White Sands La Jolla is the only LPC that is set on the edge of the Pacific Ocean. The community is located in La Jolla, which is known for world-renowned restaurants, galleries, arts events, and its golf course.
- Windsor is the only LPC in the city of Glendale that occupies most of a city block in a quiet residential neighborhood, among homes, the local elementary school, Windsor Park, and a church. The community has easy access to Glendale's many services and shopping opportunities and is located within a mile of The Americana at Brand.

The table on the following page identifies the most competitive communities for each California Obligated Group Community and provides information about those communities relative to their market areas. The entrance fees and monthly fees for the competitors are latest available data and for the California Obligated Group Communities are the fees effective January 1, 2021.

COMPETITIVE MARKET ANALYSIS

Latest Available Competitor Fees and HumanGood Fees as of January 1, 2021

Source: Corporate Records and publicly available information.

Community	Average Studio Monthly Fee	Average Studio Entrance Fee	Average Studio Square Foot	Average 1-Bedroom Monthly Fee	Average 1-Bedroom Entrance Fee	Average 1-Bedroom Square Feet	Average 2-Bedroom Monthly Fee	Average 2-Bedroom Entrance Fee	Average 2-Bedroom Square Feet	Average 2nd Person Entrance Fee	Average 2nd Person Monthly Fee
Grand Lake Gardens	\$3,951	-	400	\$5,273	-	522	\$6,575	-	1100.5	-	\$1,193
<i>Key Competitors</i>											
Merrill Gardens at Rockridge	\$5,000	\$10,000	451	\$7,150	\$10,000	688	\$10,125	\$10,000	1100.5	\$7,500+	\$1,500
The Point at Rockridge	\$5,595	\$6,000	342	\$7,145	\$6,000	684	-	-	-	\$0	\$1,800
The Lake Merritt	\$4,995	\$6,000	520	\$6,195	\$6,000	620	\$7,645	\$6,000	900	\$0	\$975
Piedmont Gardens	\$3,695	\$89,434	323	\$4,715	\$148,273	630	\$6,914	\$266,157	980	-	\$1,000
<i>Key Competitors</i>											
Belmont Village Albany	-	-	-	\$7,152	\$17,880	540	\$9,500	\$23,750	1039	\$2,282	\$1,141
Lake Park	\$3,323	\$96,745	501	\$4,423	\$196,050	794	\$6,030	\$299,367	1191	\$0	\$1,630
St. Paul's Towers	\$4,346	\$96,745	400	\$5,388	\$264,822	708	\$6,539	\$451,826	1100	\$32,230	\$2,237

Community	Average Studio Monthly Fee	Average Studio Entrance Fee	Average Studio Square Foot	Average 1-Bedroom Monthly Fee	Average 1-Bedroom Entrance Fee	Average 1-Bedroom Square Feet	Average 2-Bedroom Monthly Fee	Average 2-Bedroom Entrance Fee	Average 2-Bedroom Square Feet	Average 2nd Person Entrance Fee	Average 2nd Person Monthly Fee
Plymouth Village	-	-	-	\$3,328	\$81,016	707.5	\$3,299	\$121,745	987.5	\$0	\$1,723
<i>Key Competitors</i>											
Altavita	\$2,402	\$134,081	644	\$2,744	\$194,132	904	\$3,293	\$287,658	1318	\$0	\$1,428
Mission Commons	\$3,000	-	432	\$3,524	-	578	\$4,400	-	978	-	-
The Village at Redlands	-	-	-	\$1,700	-	632	\$2,200	-	903	-	-
Redwood Terrace	\$3,273	\$67,000	325	\$4,106	\$138,700	800	\$4,934	\$188,173	1200	\$0	\$1,505
<i>Key Competitors</i>											
Silvergate	-	-	-	\$7,000	\$20,000	745	\$8,500	\$50,000	1300	-	\$800
Meadowbrook Village	-	-	-	\$1,226	\$320,000	788	\$1,226	\$422,200	1542	-	-
Casa de Las Campanas	-	-	-	\$3,111	\$276,525	651	\$4,075	\$432,234	1135	\$30,000	\$1,814
The Remington Club in Rancho Bernardo	-	-	-	\$3,508	-	670	\$5,188	-	1055	-	\$1,000
Regents Point	\$3,032	\$95,000	462	\$3,820	\$177,063	702	\$5,462	\$394,852	1100	\$0	\$1,224
<i>Key Competitors</i>											
The Covington	-	-	-	\$4,812	\$567,956 (90% REB)	1054	\$6,540	\$827,771 (90% REB)	1487	-	\$1,422

Community	Average Studio Monthly Fee	Average Studio Entrance Fee	Average Studio Square Foot	Average 1-Bedroom Monthly Fee	Average 1-Bedroom Entrance Fee	Average 1-Bedroom Square Feet	Average 2-Bedroom Monthly Fee	Average 2-Bedroom Entrance Fee	Average 2-Bedroom Square Feet	Average 2nd Person Entrance Fee	Average 2nd Person Monthly Fee
Reata Glen	-	-	-	\$3,755	430,747 (75% REB)	809	\$5,115	\$801,956 (75% REB)	1384	-	\$1,731
Freedom Village	\$2,200	\$99,000	350	\$2,850	\$125,000	712	\$3,938	\$219,500	1125	\$10,000	895
Rosewood	\$2,594	\$35,845	370	\$3,425	\$69,934	688	\$4,136	\$112,500	1157	\$0	\$696
<i>Key Competitors</i>											
Brookdale at Riverwalk	\$2,695	-	460	\$3,712	-	695	\$4,375	-	1021	-	-
Solstice	\$2,375	-	448	\$3,199	-	663.5	\$3,749	-	1099	-	\$525
Columbus Estates	\$2,150	-	420	\$2,700	-	542	\$2,850	-	866	-	\$500
Royal Oaks	\$2,588	\$74,235	314	\$3,677	\$160,925	577	\$4,645	\$315,375	884	-	\$484
<i>Key Competitors</i>											
Montecedro	-	-	-	\$4,624	\$585,775	1055	\$6,181	\$1,010,000	1527	-	\$1,159
Villa Gardens	\$2,973	\$290,500	523	\$3,560	\$365,500	672	\$4,473	\$531,000	990	\$11,000	\$600
Hillcrest	-	-	-	\$2,732	\$238,841	840	\$3,656	\$379,208	1312	\$22,000	\$750
Mt. San Antonio Gardens	\$3,744	\$126,410	422	\$3,744	\$258,656	727	\$4,434	-	1510	-	\$2,956
Claremont	\$3,938	-	320	\$4,500	-	750	\$5,400	-	972	-	\$1,223
The Terraces at Los Altos	-	-	-	\$5,784	\$399,315	792	\$6,885	\$664,291	1098	\$0	\$1,528
<i>Key Competitors</i>											
Saratoga Retirement Community	-	-	-	\$3,420	\$308,000	881	\$6,338	\$504,875	1380	\$0	\$1,516

Community	Average Studio Monthly Fee	Average Studio Entrance Fee	Average Studio Square Foot	Average 1-Bedroom Monthly Fee	Average 1-Bedroom Entrance Fee	Average 1-Bedroom Square Feet	Average 2-Bedroom Monthly Fee	Average 2-Bedroom Entrance Fee	Average 2-Bedroom Square Feet	Average 2nd Person Entrance Fee	Average 2nd Person Monthly Fee
The Forum	-	-	-	\$3,387	\$722,500 (50% REB)	835	\$4,678	\$1,368,750 (50% REB)	1212	\$15,000	\$1,579
Vi at Palo Alto	-	-	-	\$5,385	\$970,725	959	\$6,505	\$1,373,950	1348	\$40,000	\$2,220
Moldaw Residences	-	-	-	\$4,205	\$807,750 (85% REB)	800	\$5,288	\$1,079,500 (85% REB)	1120	\$30,000	\$1,093
Sequoias at Portola Valley	\$3,677	\$99,800	-	\$4,614	\$270,600	-	\$5,931	\$467,500	-	\$24,000	\$2,103
The Terraces at San Joaquin Gardens	-	-	-	\$3,302	\$185,333	942	\$4,461	\$269,475	1206	-	\$1,100
<i>Key Competitors</i>											
The Windham	\$2,865	-	468	\$3,200	-	750	\$3,560	-	1005	-	\$600
The California Armenian Home	\$2,341	-	450	\$3,306	-	800	\$4,283	-	1125	-	\$900
Fig Garden	\$2,339	-	472	\$2,909	-	647	\$3,900	-	867	-	\$600
Fairwinds	\$2,795	-	410	\$4,072	-	822	\$5,015	-	1116	-	\$900
The Terraces of Los Gatos	\$4,059	\$251,000	623	\$4,701	\$388,000	788	\$6,995	\$567,792	1070	\$0	\$1,471
<i>Key Competitors</i>											
The Rancho at Forum San Antonio	-	-	-	\$3,178	\$665,000	760	\$4,105	\$1,372,500	1140	\$0	\$1,500

Community	Average Studio Monthly Fee	Average Studio Entrance Fee	Average Studio Square Foot	Average 1-Bedroom Monthly Fee	Average 1-Bedroom Entrance Fee	Average 1-Bedroom Square Feet	Average 2-Bedroom Monthly Fee	Average 2-Bedroom Entrance Fee	Average 2-Bedroom Square Feet	Average 2nd Person Entrance Fee	Average 2nd Person Monthly Fee
Saratoga Retirement Community	-	-	-	\$3,288	\$295,500	-	\$5,797	\$446,625	-	\$0	\$1,458
Los Gatos Meadows	\$4,877	-	472	\$5,930	-	592	\$7,374	-	1015	-	\$1,000
Merril Gardens	\$4,295	-	428	\$5,795	-	713	\$7,195	-	910	-	\$950
Valle Verde	\$3,217	\$63,017	366	\$3,650	\$195,436	657	\$6,005	\$455,980	1215	\$0	\$1,169
<i>Key Competitors</i>											
University Village	-	-	-	\$4,582	\$650,000 (75% REB)	946	\$5,587	\$964,500 (75% REB)	1267	\$25,000	\$1,962
Casa Dorinda	\$4,315	\$239,000	440	\$5,475	\$773,401	806	\$9,647	\$1,127,330	1361	\$161,500	\$3,760
Maravilla	-	-	-	\$4,213	\$177,500	755	\$4,853	\$270,750	1070	\$0	\$1,250
Vista del Monte	\$3,915	\$108,000	-	\$4,705	\$333,553	-	\$8,460	\$340,007	-	\$0	\$840
The Samarkand	\$2,466	\$127,613	370	\$3,667	\$229,088	700	\$4,346	\$509,938	1005	\$53,650	\$973
Westminster Gardens	-	-	-	\$3,172	\$82,105	609	\$3,962	\$151,540	1075	\$10,000	\$484
<i>Key Competitors</i>											
Atherton	-	-	-	\$2,495	\$133,500	872	\$2,990	\$177,000	1350	\$20,000	\$625
Montecedro	-	-	-	\$4,624	\$585,775	1055	\$6,181	\$1,010,000	1527	-	\$1,159
Hillcrest	-	-	-	\$2,732	\$238,841	840	\$3,656	\$379,208	1312	\$22,000	\$750
Mt. San Antonio Gardens	\$3,744	\$126,410	422	\$3,744	\$258,656	727	\$4,434	-	1510	-	\$2,956
Villa Gardens	\$2,973	\$290,500	523	\$3,560	\$365,500	672	\$4,473	\$531,000	990	\$11,000	\$600

Community	Average Studio Monthly Fee	Average Studio Entrance Fee	Average Studio Square Foot	Average 1-Bedroom Monthly Fee	Average 1-Bedroom Entrance Fee	Average 1-Bedroom Square Feet	Average 2-Bedroom Monthly Fee	Average 2-Bedroom Entrance Fee	Average 2-Bedroom Square Feet	Average 2nd Person Entrance Fee	Average 2nd Person Monthly Fee
White Sands La Jolla	\$3,808	\$196,911	378	\$6,559	\$476,000	705	\$7,169	\$754,166	1283	\$0	\$1,628
<i>Key Competitors</i>											
Vi at La Jolla Village	-	-	-	\$5,102	\$458,325	928	\$7,705	\$781,325	1777	\$33,787	\$2,030
Wesley Palms	\$3,722	-	455	\$5,615	-	600	\$7,135	-	1020	\$0	\$1,200
Casa de Manana	\$3,942	-	350	\$4,500	-	532	\$5,997	-	900	\$0	\$500
Windsor	\$4,045	-	407	\$5,264	-	650	\$5,600	-	1100	\$0	\$1,200
<i>Key Competitors</i>											
Scholl Canyon	\$2,975	-	446	\$3,960	-	571	\$5,845	-	924	-	\$600
Solheim Senior Community	\$3,270	\$64,000	275	\$4,350	\$114,000	550	-	-	-	-	\$780
Belmont Village	\$4,700	-	-	\$6,880	-	-	\$7,200	-	-	-	\$1,415

Interaffiliate Advances and Transfers

From time to time, the Members of the Obligated Group have advanced funds to other affiliates to assist in a variety of ways to support the working capital needs of their communities. These intercompany advances were made, in general, to strengthen the capital access capabilities of HumanGood affiliates.

A break-out of advanced funds for the periods presented follows. All numbers in thousands.

	2018	2019	2020	6/30/2020	6/30/2021
Due from Terraces of Phoenix	\$4,315	\$4,315	\$4,315	\$4,315	\$4,315
Due from HGAH and Other Affordable Housing	3,232	3,120	3,007	3,064	2,952
Due from Beacon Development Group	2,350	2,350	1,000	2,350	1,000
Due from Terraces of Boise	2,000	3,000	4,250	4,250	4,250 ⁽¹⁾
Subordinated Notes Receivable, Net	\$11,897	\$12,785	\$12,572	\$13,979	\$12,517
Deferred Affiliate Management Fees	\$2,412	\$2,412	\$2,662	\$4,012	\$2,662
Interest Receivable on Subordinated Notes	423	529	17	-	39
Interest and Management Fees Due from Affiliates	\$2,835	\$2,941	\$2,679	\$4,012	\$2,701
Due from HGAH and Other Affordable Housing	\$6,942	\$6,193	\$3,473	\$2,972	\$3,640
Due from HG East	-	-	289	(37)	686
Due from Judson Park	3,173	1,906	3,326	3,058	2,866
Due from HumanGood Cornerstone and Certain Affiliates	2,269	621	587	796	2,278
Due from Foundations and Other Affiliates	(14)	(154)	187	266	303
Intercompany Advances Due	\$12,370	\$8,566	\$7,862	\$7,054	\$9,772

- (1) The Due from Terraces of Boise of \$4.25 million will be replaced with a subordinated note for \$2.25 million as part of the current restructuring.

As part of the annual budget process, the California Obligated Group and HumanGood Pennsylvania budget for cash equity transfers necessary to support governance, affiliation and integration and other strategic activities outside of the California Obligated Group. A summary of net cash equity transfers made (which, among other things, are included in the other interaffiliate distributions and equity transfers line item in the statement of operations) for the periods presented follows:

	2018	2019	2020	06/30/2020	06/30/2021
Net Transfers Out/(In)					
\$ in thousands	\$5,949	\$11,555	\$5,204	\$2,695	\$-

RESPONSE TO COVID-19

The World Health Organization declared the spread of Novel Coronavirus Disease (“COVID-19”) a worldwide pandemic on March 11, 2020. The COVID-19 pandemic has had and continues to have significant effects on global markets, supply chains, businesses, and communities. COVID-19 has impacted various parts of the California Obligated Group’s fiscal 2020-21 operations and financial results including, but not limited to, additional costs for emergency preparedness, disease control and containment, potential shortages of healthcare personnel, or loss of revenue due to reductions in certain revenue streams. Management believes they are taking appropriate actions to mitigate the negative impact.

Since the first reports of COVID-19 diagnoses in the United States, HumanGood has been working to ensure resident safety and to ensure that team members are prepared to respond to the virus as needed. Management continually reviews guidance and recommendations from the Centers for Disease Control and Prevention (the “CDC”) as well as state and local public health department directives, and incorporates this guidance into operational policy and protocol.

Even before the state of California was instituting COVID-related executive orders and restrictions on health facilities, HumanGood was preparing the California Obligated Group Communities with strategic stocking of personal protective equipment (“PPE”), including N95 masks, medical masks, eye protection, face shields, gowns, and gloves. PPE usage was tracked daily and inventory was assessed weekly to analyze amounts required for normal operations. The California Obligated Group Communities issued policies requiring masks to be worn in common areas of the Communities at all times. Team members continue to be required to wear masks throughout the Community and to complete screening, including temperature-taking, prior to working any shift.

Periodically throughout 2020 and 2021, the California Obligated Group Communities closed certain amenities and services, such as dining venues, salon service areas and fitness centers, suspended group activities and secured certain areas of the campus by prohibiting non-essential visitors. In June 2020, as testing became available, the California Obligated Group Communities required testing of all team members at all levels of care and residents residing in assisted living and skilled nursing. Skilled nursing facilities at the California Obligated Group Communities have established red, yellow and green zones to isolate positive and exposed residents. Resident cohorting is re-evaluated by the infection preventionist(s) and/or clinical staff periodically based on test results, symptom screening, and other guidelines in accordance with CDC and California Department of Public Health recommendations.

Since the implementation of various policies and protocols related to COVID-19, management has endeavored to assist both residents and team members through transparency of communication, additional services, and resources. Weekly updates with information about COVID cases across the organization are posted on HumanGood’s website. Management issues regular updates to residents via email or letter providing information on the California Obligated Group Communities’ response to COVID-19.

The California Obligated Group Communities also added or enhanced services provided to residents during this time including:

- While dining venues were closed, meals were delivered to residents’ homes.
- The California Obligated Group Communities provided a list of groceries available for purchase through local food stores and created a personal shopping service for residents to allow them to avoid going off-campus.
- The California Obligated Group Communities provided technical assistance to residents, supporting their connections with family and friends through computer-based communication platforms such as Zoom, TouchTown and Cubigo.

- The California Obligated Group Communities held on-site vaccination clinics for residents and team members. As of August 31, 2021, vaccination rates were 94% for residents and 72% for employees at the California Obligated Group Communities.

HumanGood has made COVID vaccinations mandatory for team members at the California Obligated Group Communities and across the organization, subject to exemptions required by applicable law. Team members who are not eligible for an exemption must have received both doses of a two-shot vaccine or one dose of a one-dose vaccine by October 15, 2021 (healthcare workers in skilled nursing must meet this deadline by September 30, 2021 as required under California law). Management can provide no assurance, however, that this measure will not adversely affect staffing at the California Obligated Group Communities.

For additional information regarding the impact of COVID-19 on the financial condition of HumanGood, see “Management’s Discussion and Analysis of Operations” in this Appendix A.

FINANCIAL INFORMATION

The following unaudited combined financial information for the California Obligated Group for the six months ended June 30, 2020 and 2021 has been prepared by management from the financial records of the California Obligated Group and should be read in conjunction with the financial statements and related notes that are included in APPENDIX B to this Official Statement.

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Combined Statements of Operations and Changes in Net Assets of the California Obligated Group

The following table shows the California Obligated Group combined statements of operations and changes in net assets (deficit) that were derived from supplemental statements included within the audited financial statements for 2018, 2019 and 2020, and unaudited combined statements of operations and changes in net assets (deficit) for the six-month periods ended June 30, 2020 and 2021.

COMBINED STATEMENTS OF OPERATIONS AND CHANGES IN NET ASSETS (\$ in thousands)

	For the Years Ended December 31,				
	Audited	Audited	Audited	Unaudited	Unaudited
	2018	2019	2020	6/30/2020	6/30/2021
Operating Revenues					
Residential living	\$100,209	\$106,681	\$107,674	\$54,836	\$54,575
Assisted living	31,712	33,364	34,053	16,952	16,971
Health center	87,688	93,741	85,293	43,632	43,929
Memory support	12,947	14,089	13,854	6,963	6,979
Other residential services	1,912	1,627	3,757	1,469	1,993
Amortization of entrance fees	41,164	43,129	44,275	21,461	20,668
COVID relief funding	-	-	8,338	3,816	787
Other operating revenue	11,834	9,531	7,692	3,967	3,865
Affordable housing fees	1,677	-	-	-	-
Foundation community benefit	1,361	1,184	1,361	710	547
Total operating revenues	\$290,504	\$303,346	\$306,297	\$153,806	\$150,314
Operating Expenses					
Salaries and wages	\$123,573	\$131,926	\$128,744	\$65,166	\$66,342
Employee benefits	28,678	31,884	34,497	17,075	17,517
Supplies	21,289	21,545	23,095	11,113	13,716
Ancillary services	13,756	15,248	12,178	6,430	6,134
Repairs and maintenance	4,515	4,440	4,682	2,071	2,222
Marketing and advertising	3,248	3,352	3,916	1,939	2,045
Purchased services	15,670	14,300	15,765	7,028	7,397
Utilities	11,928	11,901	12,311	5,902	6,173
Travel and related	2,855	2,684	1,017	588	544
Leases and rents	1,794	1,788	1,884	954	877
Insurance	3,408	3,677	4,072	1,980	2,273
Other operating expenses	4,673	2,820	4,732	1,182	1,497
Total operating expenses	\$235,387	\$245,565	\$246,893	\$121,428	\$126,737
Income Before Other					
Operating Income (Expense)	\$55,117	\$57,781	\$59,404	\$32,378	\$23,577

	For the Years Ended December 31,				
	Audited 2018	Audited 2019	Audited 2020	Unaudited 6/30/2020	Unaudited 6/30/2021
Other Operating Income (Expense)					
Realized gains (losses) on investments, net	\$585	\$4,258	(\$132)	(\$2,992)	\$4,329
Change in unrealized gains (losses) on investments, net	(12,459)	13,751	15,315	(1,399)	1,868
Unrealized gains on investment in HumanGood Nevada Bonds	727	412	(535)	-	-
Investment income, net	7,938	7,067	5,384	2,698	4,497
Mortgage interest	(19,095)	(17,411)	(12,946)	(6,872)	(5,171)
Depreciation	(38,994)	(41,633)	(42,461)	(21,302)	(20,671)
Loss on early retirement of debt		(7,564)	(7,620)	-	-
Loss on disposal of fixed assets	(381)	(90)	-	-	-
Gain on sale of Glendale office	-	-	-	-	5,021
Income (loss) from operations	(\$6,562)	\$16,571	\$16,409	\$2,511	\$13,450
Other Changes in Net Assets Without Donor Restrictions	-	-	-	-	(\$142)
Change in minimum pension liability	3,891	(2,567)	(875)	-	-
Net equity transfers from SoCal Affordable Housing	27,831	-	-	-	-
Other interaffiliate distributions and equity transfers	(5,618)	(10,404)	(4,686)	(2,428)	342
Unrealized gains on interest rate caps	172	(157)	808	15	3,543
Change in net assets without donor restrictions	\$19,714	\$3,443	\$11,656	\$98	\$17,193
Net Assets, Beginning of Year	\$2,694	\$9,742	\$13,185	\$13,185	\$24,841
Accounting Pronouncement	(12,666)	-	-	-	-
Beginning Net Assets As Adjusted for Adoption of Accounting Pronouncement	(9,972)	-	-	-	-
Net Assets, End of Year	\$9,742	\$13,185	\$24,841	\$13,283	\$42,034

COMBINED BALANCE SHEETS OF THE CALIFORNIA OBLIGATED GROUP

The following table shows the California Obligated Group combined balance sheets that were derived from supplemental statements included within the audited financial statements as of December 31, 2018, 2019 and 2020 and unaudited combined balance sheets for June 30, 2020 and 2021.

COMBINED BALANCE SHEETS (\$ IN THOUSANDS)

	As of December 31,			As of June 30,	
	Audited 2018	Audited 2019	Audited 2020	Unaudited 6/30/2020	Unaudited 6/30/2021
ASSETS					
Cash and Cash Equivalents	\$33,535	\$32,410	\$21,442	\$40,635	\$48,152
Resident Accounts Receivable, Net	11,857	15,026	12,678	12,202	16,205
Other Receivables	7,335	5,619	7,156	4,807	7,527
Restricted Cash	5,054	5,088	5,105	5,101	12,582
Investments	167,102	191,665	216,979	180,894	222,389
Designated Investments	59,177	64,861	64,953	61,400	65,100
Investments in Las Ventanas Bonds	4,606	5,018	4,242	4,778	4,242
Restricted Investments	33,628	45,588	38,647	49,727	44,716
Subordinated Notes Receivable, Net	11,897	12,785	12,572	13,979	12,517
Prepaid Expenses, Deposits and Other Assets	9,242	8,469	13,659	7,591	9,799
Land, Building, and Equipment, Net	490,257	482,351	474,624	478,418	468,550
Interest and Management Fees Due from Affiliates	2,835	2,941	2,679	4,012	2,701
Intercompany Advances Due	12,370	8,566	7,862	7,054	9,772
Total Assets	\$848,895	\$880,387	\$882,598	\$870,598	\$924,252
LIABILITIES AND NET ASSETS					
Accounts Payable and Accrued Expenses	\$31,383	\$33,544	\$35,643	\$33,672	\$38,075
Deposits	3,354	2,363	2,871	3,204	3,352
Accrued Interest	3,855	3,385	2,349	3,346	2,138
Notes and Bonds Payable, Net	341,102	354,888	347,653	354,030	367,966
Rebatable Entrance Fees Due	175,158	180,696	178,597	177,610	177,256
Entrance Fees Subject to Refund	90,735	89,811	75,827	75,299	74,889
Entrance Fees Non-Refundable	173,739	181,180	187,787	185,267	193,689
Retirement Liabilities	63	2,720	3,991	2,115	4,187
Workers' Compensation Liability	15,281	14,379	16,112	15,187	17,040
Other Liabilities	4,483	4,236	6,927	7,585	3,626
Total Liabilities	\$839,153	\$867,202	\$857,757	\$857,315	\$882,218
Net Assets without Donor Restrictions	9,742	13,185	24,841	13,283	42,034
Total Net Assets	9,742	13,185	24,841	13,283	42,034
Total Liabilities and Net Assets	\$848,895	\$880,387	\$882,598	\$870,598	\$924,252

Debt Service Coverage Ratios

The following table presents coverage of historical annual and historical maximum annual debt service of the California Obligated Group for each of the three years ended December 31, 2018, 2019 and 2020 and for the 12-months ended June 30, 2020 and 2021. It also shows coverage of pro forma maximum annual debt service assuming issuance of the Bonds in the amount of \$120 million.

DEBT SERVICE COVERAGE (\$ in thousands)

Debt Service Coverage Ratio	For the Years Ended December 31,			For the 12 Months Ended June 30,	
	Audited 2018 (2)	Audited 2019	Audited 2020	Unaudited 2020	Unaudited 2021
Income (Loss) from Operations	(\$6,562)	\$16,571	\$16,409	\$4,316	\$27,350
Add:					
Depreciation	38,994	41,633	42,461	42,290	41,828
Mortgage interest	19,095	17,411	12,946	14,610	11,242
Entrance fees received, net	51,667	53,656	35,186	41,055	51,370
Loss on early retirement of debt	-	7,564	7,620	7,564	7,620
Gain on sale of Glendale office	-	-	-	-	(5,021)
Increase (decrease) in accrual of claims	172	(2,225)	514	180	825
Increase (decrease) in accrual for workers' compensation	916	(386)	1,288	(6)	1,408
Amortization of entrance fees	(41,164)	(43,129)	(44,275)	(43,910)	(43,482)
Unrealized losses (gains)	11,732	(14,163)	(14,780)	(389)	(18,048)
Income Available for Debt Service	74,850	76,932	57,369	65,710	75,092
Annual Debt Service	26,648	25,444	21,453	23,231	20,054
Debt Service Coverage Ratio (1)	2.81	3.02	2.67	2.83	3.74
Maximum Annual Debt Service	\$28,889	\$23,052	\$22,827	\$22,975	\$22,827
Debt Service Coverage Ratio - MADS	2.59	3.34	2.51	2.86	3.29
Proforma Maximum Annual Debt Service	\$27,523	\$27,523	\$27,523	\$27,523	\$27,523
Debt Service Coverage Ratio - Proforma MADS	2.72	2.80	2.08	2.39	2.73

(1) Minimum Required Debt Service Coverage Ratio per Master Indenture is 1.20x

(2) The calculations for individual members were audited, but not for the California Obligated Group.

Liquidity

The following table is a summary of the Days Cash on Hand of the California Obligated Group as of December 31, 2018, 2019 and 2020 and for the periods ended June 30, 2020 and 2021.

HISTORICAL DAYS CASH ON HAND (\$ in thousands)

Days Cash on Hand	For the Years Ended December 31,			For the 12 Months Ended June 30,	
	Audited 2018 ⁽¹⁾	Audited 2019	Audited 2020	Unaudited 6/30/2020	Unaudited 6/30/2021
Unrestricted Cash and Investments					
Cash and cash equivalents	\$33,535	\$32,410	\$21,442	\$40,635	\$48,152
Investments	167,102	191,665	216,979	180,894	222,389
Designated investments	59,177	64,861	64,953	61,400	65,100
LESS: Collateral for standby letter of credit	(2,311)	-	-	-	-
LESS: Foundation amounts due to other funds	(326)	-	-	-	-
Unrestricted Cash and Investments	\$257,177	\$288,936	\$303,374	\$282,929	\$335,641
Expenses					
Operating expenses	\$235,387	\$245,565	\$246,893	\$245,071	\$251,952
Mortgage interest	19,095	17,411	12,946	14,610	11,242
Expenses	\$254,482	\$262,976	\$259,839	\$259,681	\$263,194
Number of Days in Fiscal Year	365	365	366	366	365
Daily Expenses	697	720	710	710	721
Days Cash on Hand	369	401	427	399	465

- (1) The calculations for individual members were audited, but not for the California Obligated Group.

MANAGEMENT'S DISCUSSION AND ANALYSIS OF OPERATIONS

The information below is an analysis of the results of the operations of the HumanGood California Obligated Group. The HumanGood California Obligated Group (including its two supporting charitable Foundations), was audited in accordance with U.S. Generally Accepted Accounting Principles for the years ended December 31, 2018, 2019 and 2020, including combining supplemental statements for each member. The six-month information for the periods ended June 30, 2020 and 2021 is based upon unaudited information prepared by management.

Overview of Operations of the HumanGood California Obligated Group for the Six Month Period Ended June 30, 2021 Compared to the Six Month Period Ended June 30, 2020

Total revenue for the six months ended June 30, 2021 was \$150.3 million versus \$153.8 million in the prior year period, a 2.3% decrease. Income from operations increased to \$13.5 million for the six-month period ended June 30, 2021 versus \$2.5 million in the prior year period. Current period results for the six months ended June 30, 2021 display an overall decrease in average occupancy, which is largely offset by annual rate increases across all levels of living. Investment income and realized gains are favorable by \$9.1 million for the six-month period ended June 30, 2021 versus the comparative six-month period in 2020, and income from operations for June 30, 2021 also includes a gain on sale of the Glendale office building of \$5.0 million. COVID provider relief funding recognized as revenue was \$787,000 for the six months ended June 30, 2021 compared to \$3.8 million for the prior year period. At June 30, 2021, days cash on hand based on existing debt was 465 days and debt service coverage for the four quarters ended June 30, 2021 was 3.74 times.

Results of Operations of the HumanGood California Obligated Group for the Year Ended December 31, 2020 Compared to the Year Ended December 31, 2019

Residential Living occupancy decreased from 92.4% for 2019 to 89.6% for 2020 with a slight increase in apartments available from 2,183 to 2,188. Assisted Living occupancy decreased from 92.1% for 2019 to 89.5% with a slight increase in apartments available from 475 to 477. Memory Care occupancy decreased from 89.0% for 2019 to 87.2% for 2020 with apartments available remaining flat at 161.

Skilled nursing occupancy declined from 86.4% in 2019 to 76.6% for 2020. Skilled nursing available beds decreased slightly from 657 for 2019 to 656 for 2020. HG NorCal skilled occupancy was 73.3%, HG SoCal skilled occupancy was 81.2% and HG Fresno skilled occupancy was 79.9% for 2020. Comparing 2019 to 2020, Medicare as a portion of skilled nursing revenue decreased from 41.5% to 36%, Medi-Cal and managed care combined increased from 28.2% for 2019 to 32.5% for 2020, and private pay increased from 30.3% to 31.5%.

Resident and net patient service revenues decreased 2.0% from \$249.5 million for 2019 to \$244.6 million for 2020 due to overall occupancy disruptions attributable to the pandemic across all levels of care, but most notably in the health centers. Annual fee increases of 2.4% to 4.4% took effect January 1, 2020. Amortization of entrance fees increased from \$43.1 million for 2019 to \$44.3 million for 2020. Total operating revenue increased 1.0% from \$303.3 million for 2019 to \$306.3 million for 2020.

Total operating expenses (excluding interest and depreciation) increased 0.5% from \$245.6 million for 2019 to \$246.9 million for 2020, largely due to a decrease in year over year salaries and wages, and ancillary services. In response to occupancy disruptions attributable to the pandemic, numerous initiatives to improve operating margin through cost-cutting measures were implemented in the first half of 2020 in the form of limited layoffs and furloughs, hours and overtime reductions, compensation reductions for key leaders, and cutbacks to travel and other non-wage expenses. COVID-related revenue and expenses included in the twelve months ending December 31, 2020 results were \$8.3 million and \$6.3 million, respectively. Interest expense declined from \$17.4 million for 2019 to \$12.9 million for 2020.

Income from operations decreased slightly from \$16.6 million in 2019 to \$16.4 million in 2020. The 2020 income from operations included COVID provider relief funding recognized as revenue of \$8.3 million, which largely offset the unfavorable year over year variance in resident revenues and incremental operating costs due to the ongoing impacts of the COVID 19 pandemic. The cash operating margin (cash operating revenue less cash operating expenses including interest) improved from a loss of (\$2.8) million

in 2019 to a gain of \$2.2 million for 2020, largely the result of a decrease in interest expense due to debt refinancing activities in late 2019 and 2020.

Results of Operations of the HumanGood California Obligated Group for the Year Ended December 31, 2019 Compared to the Year Ended December 31, 2018

Residential Living occupancy increased from 91.7% for 2018 to 92.4% for 2019 with a slight decrease in available apartments from 2,184 to 2,183. Assisted Living occupancy remained flat at 92.1% for both 2018 and 2019, with a slight increase in available apartments from 474 to 475. Memory Care occupancy increased from 88.7% for 2018 to 89.0% for 2019, with available apartments remaining flat at 161.

Skilled nursing occupancy improved from 85.5% in 2018 to 86.4% for 2019. Skilled nursing available beds decreased slightly from 658 to 657 beds. HG NorCal skilled occupancy was 85.8%, HG SoCal skilled occupancy was 85.9% and HG Fresno skilled occupancy was 92.6% for 2019. Comparing 2019 to 2018, Medicare as a portion of skilled nursing revenue increased from 39.6% to 41.5%, Medi-Cal and managed care increased from 26.6% to 28.2%, and private pay decreased from 33.8% to 30.3%.

Resident and net patient service revenues increased 6.4% from \$234.5 million for 2018 to \$249.5 million for 2019 largely from fee increases of 2.0% to 5.9% taking effect January 1, 2019 and an increase in average occupied apartments from 3,145 to 3,166. Amortization of entrance fees increased from \$41.2 million for 2018 to \$43.1 million for 2019. Total operating revenue increased 4.4% from \$290.5 million for 2018 to \$303.3 million for 2019.

Total operating expenses (excluding interest and depreciation) increased 4.3% from \$235.4 million for 2018 to \$245.6 million for 2019. Interest expense declined from \$19.1 million for 2018 to \$17.4 million for 2019.

Income (loss) from operations improved from a loss of (\$6.6) million in 2018 to income from operations of \$16.6 million in 2019, primarily from favorable investment income and realized and unrealized gains. The cash operating margin (cash operating revenue less cash operating expenses including interest) improved from (\$5.1) million in 2018 to (\$2.8) million in 2019, largely due to improved operating performance year over year.

MISCELLANEOUS

Licensure

The California Obligated Group Communities are subject to regulation by the State of California. Each California Obligated Group Member, as well as HumanGood, currently holds a Certificate of Authority (“COA”), issued by the Continuing Care Contracts Branch of the California Department of Social Services (“DSS”), to enter into continuing care contracts with residents of the California Obligated Group Communities.

The residential living apartments at the California Obligated Group Communities are licensed by the Community Care Licensing Division of DSS as a Residential Care Facility for the Elderly (“RCFE”). HG NorCal is currently licensed to operate as an RCFE 135 apartments at Grand Lake Gardens, 321 apartments at Piedmont Gardens, 303 apartments at Plymouth Village, 220 apartments at Rosewood, 250 apartments at The Terraces at Los Altos, 458 apartments at The Terraces of Los Gatos and 547 apartments at Valle Verde. HG SoCal is currently licensed to operate as an RCFE 210 apartments at Redwood Terrace, 399 apartments at Regents Point, 250 apartments at Royal Oaks, 200 apartments at Westminster Gardens,

299 apartments at White Sands La Jolla and 175 apartments at Windsor. HG Fresno is currently licensed to operate as an RCFE 652 apartments at The Terraces of San Joaquin Gardens.

The Health Center beds at each California Obligated Group Community are licensed by the California Department of Public Health (“DPH”) in the name of the California Obligated Group Member that owns the community. The California Obligated Group Members also have provider agreements with the Centers for Medicare & Medicaid Services (“CMS”) of the United States Department of Health and Human Services to provide Medicare-reimbursed skilled nursing care at their Health Centers. Additionally, California Obligated Group Members have arrangements with the California Department of Health Care Services to provide Medicaid-reimbursed skilled nursing care to eligible Health Center residents at nine of the California Obligated Group Communities.

The foregoing licenses are subject to annual surveys and renewal. Management believes the California Obligated Group Members are in material compliance with applicable regulations.

Memberships

The California Obligated Group Members maintain active memberships in LeadingAge and LeadingAge California.

CMS Star Ratings

CMS designed a rating system to help consumers, their families and caregivers compare nursing homes. There is one Overall rating for each nursing home as well as a separate rating for Health Inspections, Staffing and Quality Measures. Ratings are determined by conducting assessments that include detailed inspections, surveys, nursing staff to resident ratio (adjusted based on residents’ care need), and various physical and clinical measures for residents. Out of the 11 California Obligated Group skilled nursing facilities that are Medicare certified, 10 currently hold 4 or 5-star ratings in the Overall category and in the Quality Measures category.

Insurance

The California Obligated Group currently carries property (including business interruption), automobile, cyber liability and general liability insurance in such amounts as management thereof believes is customarily carried by similar institutions in the State of California. Workers compensation insurance coverage is provided by a self-insured pool with commercial insurance for claims in excess of \$500,000. Professional liability, general liability, management liability and crime insurance are provided through participation in a captive insurance company formed by nonprofit providers in the retirement living industry, including the HumanGood Affiliates.

Employees

As of June 30, 2021, the California Obligated Group employed 2,856 team members of which 2,130 were full time benefited, 9 were part time benefited and 717 were casual or on call. An average of 2,487 full time equivalent team members worked at the communities of the California Obligated Group for the year-to-date period ended June 30, 2021. Management believes that the salary levels and benefit packages for its employees are competitive and that its relationship with employees is satisfactory.

HG NorCal’s Grand Lake Gardens and Piedmont Gardens communities have 206 employees as of June 30, 2021 under collective bargaining agreements managed by Service Employees International Union (“SEIU”). The collective bargaining agreements expired on September 30, 2020 and the parties entered

into an extension agreement which expired on September 1, 2021. The employees covered by the agreements continue to work, as management negotiates new collective bargaining agreements with SEIU, which are intended to be retroactive to September 1. There is no assurance such negotiations will be successful.

On June 24, 2019 the HG SoCal Board voted to terminate the Southern California Presbyterian Homes defined benefit plan. Formal notice of the intent to terminate was given to plan participants on May 2, 2019 with an anticipated termination date at the time of early 2021. As of December 31, 2020, the fair value of the plan assets was \$41.7 million, \$1.0 million less than the accrued benefit obligation of \$42.7 million. As a result of recent downward pressure on interest rates and its consequent impact on the accrued benefit obligation, the plan termination has been placed on hold until the rate environment effectively returns to levels closer than when termination was originally contemplated.

Investment Policy

HumanGood's investment policy (the "Investment Policy") provides direction for management with respect to the investment of funds in a manner that balances risk and return in a way that safeguards the assets of the California Obligated Group. The HumanGood investment policy is overseen by the Finance Committee of the HumanGood Board with specific investment policies for the members of the California Obligated Group. Day to day oversight has been delegated to the Chief Financial Officer working with an investment consultant. The primary goal of the Investment Policy is to prudently deploy assets in various equity and fixed income asset classes in an effort to generate a return on those assets while managing risk.

Investment earnings and realized gains on sales of securities constitute a portion of the California Obligated Group's total operating revenue. Due to variations in market performance as well as timing of the sale of securities, the level of investment earnings and realized gains reflected in the California Obligated Group's statement of operations may vary significantly from year-to-year.

Actuarial Reports

As part of the annual audit, an evaluation of contract liabilities is performed to determine if an accrual is necessary to reflect a future service benefit obligation. As residents of the California Obligated Group are under Type B contracts with a minimal health care benefit, no accrual has been necessary and actuarial evaluation reports have been obtained on a 5 year rotational basis since 2019.

APPENDIX B

**AUDITED FINANCIAL STATEMENTS OF THE HUMANGOOD CALIFORNIA OBLIGATED
GROUP FOR THE YEARS ENDED DECEMBER 31, 2018, 2019 AND 2020**

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HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Combined Financial Statements and
Combining Supplementary Information

December 31, 2020 and 2019

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

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December 31, 2020 and 2019

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Independent Auditors' Report

To the Boards of Directors of
HumanGood California Obligated Group & Foundation Affiliates

Report on the Financial Statements

We have audited the accompanying combined financial statements of the HumanGood California Obligated Group & Foundation Affiliates (the Corporations), which comprise the combined balance sheets as of December 31, 2020 and 2019, and the related combined statements of operations and changes in net assets and cash flows for the years then ended, and the related notes to the combined financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these combined financial statements in accordance with the accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of the combined financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these combined financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the combined financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the combined financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the combined financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the combined financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the combined financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the combined financial statements referred to above present fairly, in all material respects, the financial position of the Corporations as of December 31, 2020 and 2019, and the results of their operations and changes in net assets and cash flows for the years then ended, in accordance with accounting principles generally accepted in the United States of America.

Report on Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the combined financial statements as a whole. The supplementary information is presented for the purpose of additional analysis rather than to present the financial position, results of operations and changes in net assets and cash flows of the individual entities and is not a required part of the combined financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the combined financial statements. The information has been subjected to the auditing procedures applied in the audits of the combined financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the combined financial statements or to the combined financial statements themselves, and other additional procedures in accordance with the auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the combined financial statements as a whole.

Baker Tilly US, LLP

Philadelphia, Pennsylvania
April 30, 2021

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combined Balance Sheets
December 31, 2020 and 2019
(In Thousands)

	2020	2019		2020	2019
Assets			Liabilities and Net Assets		
Current Assets			Current Liabilities		
Cash and cash equivalents	\$ 23,013	\$ 33,220	Accounts payable and accrued expenses	\$ 35,755	\$ 33,803
Resident accounts receivable, less allowances for doubtful accounts of \$3,769 in 2020 and \$3,897 in 2019	12,682	15,026	Deposits	2,871	2,363
Other receivables	7,789	6,155	Accrued interest	2,349	3,385
Current portion of restricted investments	3,665	9,776	Current portion of notes and bonds payable	9,149	8,551
Intercompany advances due	7,675	8,720	Entrance fee rebates payable	431	1,563
Prepaid expenses, deposits and other assets	8,905	6,232			
			Total current liabilities	50,555	49,665
Total current assets	63,729	79,129	Notes and Bonds Payable, Net	338,504	346,337
Restricted Cash	5,105	5,088	Rebatable Entrance Fees Due	178,166	179,133
Investments	226,580	200,927	Entrance Fees Subject to Refund	75,827	89,811
Designated Investments	123,966	121,046	Entrance Fees Nonrefundable	187,787	181,180
Investments in HumanGood Nevada Bonds	4,242	5,018	Revocable Trusts	275	315
Restricted Investments	74,690	73,170	Obligations Under Annuity Agreements	3,399	3,362
Subordinated Notes Receivable, Net	12,572	12,785	Retirement Liabilities	3,991	2,720
Land, Buildings and Equipment, Net	474,624	482,351	Workers' Compensation Liability	16,112	14,379
Interest and Management Fees Due From Affiliates	2,679	2,941	Other Liabilities	6,927	4,236
Other Noncurrent Assets	4,754	2,237			
			Total liabilities	861,543	871,138
			Net Assets		
			Without donor restrictions	93,789	79,140
			With donor restrictions	37,609	34,414
			Total net assets	131,398	113,554
Total assets	\$ 992,941	\$ 984,692	Total liabilities and net assets	\$ 992,941	\$ 984,692

See notes to combined financial statements

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combined Statements of Operations and Changes in Net Assets

Years Ended December 31, 2020 and 2019

(In Thousands)

	<u>2020</u>	<u>2019</u>
Changes in Net Assets Without Donor Restrictions		
Operating revenues:		
Residential living	\$ 107,674	\$ 106,681
Assisted living	34,053	33,364
Health center	85,293	93,741
Memory care	13,854	14,089
Other residential services	3,757	1,627
Amortization of entrance fees	44,275	43,129
COVID relief funding	8,338	-
Other operating revenues	7,692	9,531
Net assets released from restrictions	4,125	4,485
Unrestricted contributions	1,333	2,633
	<u>310,394</u>	<u>309,280</u>
Total operating revenues		
Operating expenses:		
Salaries and wages	129,105	132,661
Employee benefits	34,592	32,017
Supplies	23,113	21,548
Ancillary services	12,178	15,248
Repairs and maintenance	4,682	4,443
Marketing and advertising	3,916	3,352
Purchased services	15,819	14,348
Utilities	12,313	11,905
Travel and related	1,030	2,735
Leases and rents	1,884	1,798
Insurance	4,072	3,677
Other operating expenses	8,156	6,461
	<u>250,860</u>	<u>250,193</u>
Total operating expenses		
Income before other operating income (expense)	59,534	59,087
Other operating income (expense):		
Realized (losses) gains on investments, net	(2,543)	4,751
Change in unrealized gains on investments, net	19,817	20,583
Unrealized (losses) gains on investment in		
HumanGood Nevada Bonds	(535)	412
Investment income, net	6,612	8,512
Mortgage interest	(12,946)	(17,411)
Depreciation	(42,461)	(41,633)
Losses on early retirement of debt	(7,620)	(7,564)
Losses on disposal of fixed assets	-	(90)
	<u>19,858</u>	<u>26,647</u>
Income from operations		

See notes to combined financial statements

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combined Statements of Operations and Changes in Net Assets
Years Ended December 31, 2020 and 2019
(In Thousands)

	<u>2020</u>	<u>2019</u>
Changes in Net Assets Without Donor Restrictions (Continued)		
Other changes in net assets without donor restrictions:		
Change in minimum pension liability	\$ (875)	\$ (2,567)
Other affiliate distributions and equity transfers	(5,142)	(9,343)
Unrealized gains (losses) on interest rate swaps and caps	<u>808</u>	<u>(157)</u>
Change in net assets without donor restrictions	<u>14,649</u>	<u>14,580</u>
Changes in Net Assets With Donor Restrictions		
Dividend and interest income	698	1,331
Unrealized gains on investments with donor restrictions, net	2,039	2,869
Restricted equity contributions	456	2,033
Contributions	5,875	5,662
Net assets released from restrictions for benevolence	(227)	(286)
Contractual payments to beneficiaries	(1,558)	(1,662)
Realized (losses) gains on investments, net	(688)	135
Contractual liability adjustments	498	444
Net assets released from restrictions for special project funds	<u>(3,898)</u>	<u>(4,199)</u>
Change in net assets with donor restrictions	<u>3,195</u>	<u>6,327</u>
Change in net assets	17,844	20,907
Net Assets, Beginning	<u>113,554</u>	<u>92,647</u>
Net Assets, Ending	<u><u>\$ 131,398</u></u>	<u><u>\$ 113,554</u></u>

See notes to combined financial statements

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combined Statements of Cash Flows
Years Ended December 31, 2020 and 2019
(In Thousands)

	<u>2020</u>	<u>2019</u>
Cash Flows From Operating Activities		
Cash received for resident services	\$ 245,689	\$ 244,662
Cash received from nonrebtable entrance fees from reoccupancy	43,923	54,159
Cash received from COVID relief funding	8,489	-
Cash received from other operating activities	5,879	10,415
Cash received from bequests and trust maturities	1,333	2,633
Cash earnings realized from investments	4,011	13,259
Cash paid for employee salaries	(118,407)	(118,868)
Cash paid for employee benefits	(32,646)	(29,741)
Cash paid for temporary labor	(9,920)	(11,275)
Cash paid to vendors	(80,369)	(82,489)
Cash paid for interest	(14,622)	(17,378)
	<u>53,360</u>	<u>65,377</u>
Net cash provided by operating activities		
Cash Flows From Investing Activities		
Acquisition of land, buildings and equipment	(35,322)	(32,918)
Net purchases of unrestricted investments	(8,968)	(20,569)
Net sales of restricted investments	1,351	5,849
Cash received from intercompany and affiliate transactions	1,047	3,687
	<u>(41,892)</u>	<u>(43,951)</u>
Net cash used in investing activities		
Cash Flows From Financing Activities		
Proceeds from rebatable entrance fees	16,406	12,684
Refunds of deposits and refundable entrance fees	(25,143)	(13,187)
Proceeds from issuance of notes and bonds payable	2,043	13,408
Principal payments on notes and bonds payable	(8,551)	(5,479)
Cash paid for bond issuance costs	(1,633)	(2,211)
Cash paid for interest rate cap	(223)	-
Cash paid for other trust activity	(5,166)	(4,327)
Affiliate cash distributions	(5,142)	(9,344)
Cash received from restricted contributions	5,864	5,635
	<u>(21,545)</u>	<u>(2,821)</u>
Net cash used in financing activities		
(Decrease) increase in cash, cash equivalents and restricted cash	(10,077)	18,605
Cash, Cash Equivalents and Restricted Cash, Beginning	<u>78,578</u>	<u>59,973</u>
Cash, Cash Equivalents and Restricted Cash, Ending	<u><u>\$ 68,501</u></u>	<u><u>\$ 78,578</u></u>

See notes to combined financial statements

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combined Statements of Cash Flows
Years Ended December 31, 2020 and 2019
(In Thousands)

	<u>2020</u>	<u>2019</u>
Noncash Disclosures		
Long-term debt repaid with proceeds from Series 2019 Bonds	\$ -	\$ 168,110
Long-term debt repaid with proceeds from Series 2020 Bonds	\$ 79,470	\$ -
Reconciliation of Cash, Cash Equivalents and Restricted Cash to Combined Balance Sheets		
Cash and cash equivalents	\$ 23,013	\$ 33,220
Restricted cash included in restricted investments	40,383	40,270
Restricted cash	5,105	5,088
Total cash, cash equivalents and restricted cash	\$ 68,501	\$ 78,578

See notes to combined financial statements

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2020 and 2019

1. Business and Organization

HumanGood (Parent Organization) is a California nonprofit public benefit tax-exempt corporation providing housing, health care and supportive services for the elderly through its Life Plan Communities (LPCs) and affordable housing communities owned by its subsidiaries. HumanGood is the sole member of HumanGood NorCal (NorCal), HumanGood SoCal (SoCal), HumanGood Fresno (dba Terraces at San Joaquin Gardens, TSJG) and HumanGood Cornerstone (Cornerstone). NorCal is the sole member of HumanGood Foundation West (Foundation West) and SoCal is the sole member of HumanGood Foundation South (Foundation South). NorCal, SoCal and TSJG, which collectively form the HumanGood California Obligated Group, share the common parent entity of HumanGood, and together with Foundation West and Foundation South, constitute the HumanGood California Obligated Group & Foundation Affiliates (collectively, the Corporations).

HumanGood California Obligated Group

On August 1, 2019, concurrent with the date of issuance of the Series 2019A Tax-Exempt Revenue and Refunding Bonds and the Series 2019B Taxable Bonds, the HumanGood California Obligated Group (COG) was formed (Note 6).

HumanGood NorCal

NorCal is a California nonprofit public benefit tax-exempt corporation which owns, operates and manages LPCs in which housing, health care and supportive services are provided for the elderly. Seven of NorCal's nine directors are HumanGood's directors. The executive officers of HumanGood also serve as executive officers of NorCal. As of December 31, 2020, the following LPCs were owned and operated by NorCal:

Terraces at Los Altos	Valle Verde
Grand Lake Gardens	Rosewood
Piedmont Gardens	Terraces of Los Gatos
Plymouth Village	

HumanGood SoCal

SoCal is a California nonprofit public benefit tax-exempt corporation which owns, operates and manages LPCs in which housing, health care and supportive services are provided for the elderly. Seven of SoCal's nine directors are HumanGood's directors. The executive officers of HumanGood also serve as executive officers of SoCal. As of December 31, 2020, the following LPCs were owned and operated by SoCal:

Royal Oaks	Regents Point
White Sands La Jolla	Westminster Gardens
Windsor	Redwood Terrace

Until 2019, Westminster Gardens and Redwood Terrace were affiliates of SoCal and NorCal that also shared HumanGood as their sole corporate member. Westminster Gardens and Redwood Terrace were legally merged into SoCal during 2019.

HumanGood Fresno

TSJG is a California nonprofit public benefit tax-exempt corporation providing housing, health care and supportive services for the elderly in Fresno, California, through its LPC. Seven of TSJG's nine directors are HumanGood's directors. The executive officers of HumanGood also serve as executive officers of TSJG.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2020 and 2019

HumanGood Foundation West

Foundation West is a California nonprofit public benefit tax-exempt corporation whose primary purpose is to develop, invest and administer funds to provide housing and care on behalf of certain residents. Foundation West's principal activity is to administer such funds under donor agreements. NorCal is the sole member of Foundation West, and therefore, elects the directors of Foundation West. As a result, NorCal has control over Foundation West, and therefore, Foundation West is included in these combined financial statements. Foundation West guarantees certain of the NorCal bond obligations. Foundation West's obligations under the guaranty agreement are limited to Foundation West's income earned on its net assets without donor restrictions (see Note 6).

HumanGood Foundation South

Foundation South is a California nonprofit public benefit tax-exempt corporation whose primary purpose is to develop, invest and administer funds to provide housing and care on behalf of certain residents. Foundation South's principal activity is to administer such funds under donor agreements. SoCal is the sole member of Foundation South, and therefore, elects the directors of Foundation South. As a result, SoCal has control over Foundation South, and therefore, Foundation South is included in these combined financial statements.

HumanGood Cornerstone and Related Enterprises

HumanGood Cornerstone, an affiliate of the Corporations, is a California nonprofit public benefit tax-exempt corporation and, as the sole member, exercises its direction and control through the appointment of the Board of Directors of HumanGood Arizona, Inc. (dba Terraces of Phoenix, TOP), HumanGood Washington (dba Judson Park, JP), HumanGood Nevada (dba Las Ventanas), HumanGood Idaho (dba The Terraces of Boise, Boise), Seniority Properties (dba HumanGood Properties), and in conjunction with an affiliation effective June 30, 2019, HumanGood East (formerly Philadelphia Presbytery Homes and Services for the Aging, dba Presby's Inspired Life). In conjunction with finalizing transfer agreements in 2019, Cornerstone is the sole member and exercises its direction and control through the appointment of the Board of Directors of HumanGood Affordable Housing (HGAH) and the managers of Beacon Development Group, LLC (BDG). HumanGood and HumanGood Cornerstone's Boards are composed of the same seven directors. In March 2021, HumanGood Cornerstone approved a resolution to transfer BDG to HumanGood Affordable Housing as its sole member.

HumanGood Affordable Housing

HumanGood Affordable Housing (HGAH) is a California nonprofit public benefit tax-exempt corporation. As described above, during 2019, Cornerstone became the sole member of HGAH, by means of a membership transfer from NorCal.

HGAH serves as the sole or majority General Partner and controlling organization for 21 tax-credit affordable housing communities, serves as the sole or majority member and controlling organization for 28 additional affordable housing communities and provides management services to 11 affordable housing communities.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2020 and 2019

On January 1, 2015, NorCal purchased for \$350,000 in cash and a \$2,000,000 note all of the outstanding membership interests in BDG and simultaneously assigned its rights thereto to HGAH. NorCal then entered into a \$2,350,000 affiliate note with BDG to assign the cost of purchase to the acquired entity.

Simultaneous with this January 1, 2015 purchase, NorCal affordable housing employees became employees of HGAH. All operational activities, assets and liabilities associated with NorCal's affordable housing line of business were also transferred to HGAH. In late fiscal year 2015, following United States Department of Housing and Urban Development (HUD) approval, NorCal transferred its sole memberships in all of its owned affordable housing communities as well as the management agreements for all of its owned and managed communities to HGAH.

In exchange for this transfer of affordable housing related assets and liabilities, HGAH entered into a noninterest bearing affiliate note with NorCal for \$2,242,000 as well as a noninterest bearing contingent note with NorCal for \$1,364,000, which is payable upon HGAH's ability to achieve certain levels of cash flow and operating margin. These notes receivable are included in subordinated notes receivable, net on the combined balance sheets of NorCal. The remaining \$1,542,000 of assets transferred was recorded as a capital contribution from NorCal to HGAH.

In 2019, HUD approval to transfer SoCal's sole memberships and management agreements for all of its seven low-income senior housing tax-credit communities and 20 owned and managed affordable housing communities to HGAH was finalized.

Beacon Development Group, LLC

Beacon Development Group, LLC (BDG) is a professional services firm that consults primarily in the development and construction of affordable housing communities. BDG provides services to affiliates of the Corporations, other nonprofits and housing authorities. In conjunction with transfer agreements finalized in 2019, Cornerstone is the sole member of BDG. In March 2021, HumanGood Cornerstone approved a resolution to transfer BDG to HumanGood Affordable Housing as its sole member.

HumanGood Arizona, Inc.

HumanGood Arizona, Inc. is an Arizona nonprofit tax-exempt corporation providing housing, health care and supportive services for the elderly in Phoenix, Arizona through its LPC, Terraces of Phoenix. Prior to September 29, 2003, TOP was a controlled affiliate of NorCal. The funds previously advanced by NorCal to support TOP's operating and capital needs were retained in the form of a subordinated note receivable from TOP. The note has been recorded as part of subordinated notes receivable, net in the accompanying combined balance sheets at the estimated net realizable value of \$4,315,000 as of December 31, 2020 and 2019.

NorCal manages TOP under a multiyear management agreement at a management fee of 8.5 percent of budgeted cash revenues, with half of this amount subject to subordination upon noncompliance with certain covenants.

HumanGood Washington

HumanGood Washington is a Washington nonprofit public benefit tax-exempt corporation providing housing, health care and supportive services for the elderly in Washington through its LPC, Judson Park. On May 30, 2012, NorCal entered into a ten-year management agreement at a base fee of 8.5 percent of budgeted cash revenues, with half of this amount subject to subordination upon noncompliance with certain covenants.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2020 and 2019

HumanGood Nevada

HumanGood Nevada is a California nonprofit public benefit tax-exempt corporation providing housing, health care and supportive services for the elderly in the Las Vegas, Nevada area, through its LPC, Las Ventanas. On July 1, 2004, NorCal began providing oversight management services to Las Ventanas. On January 1, 2010, NorCal began providing full management services to Las Ventanas. Under the current agreement, management fees accrue at 3.0 percent of total cash revenues, with payment deferred until certain operating metrics have been met as laid out in the agreement. The paydown of deferred fees cannot cause the total fees paid in any one year to exceed 5.0 percent of total revenues.

On September 12, 2012, Las Ventanas, its bondholders and NorCal executed a restructuring agreement of Las Ventanas' debt, ground lease and other key obligations, which involved the exchanging of existing bonded indebtedness for three new series of tax-exempt bonds. NorCal contributed capital and released its interests in the Las Ventanas ground lease and construction loan, and forgave all previously accrued management fees in exchange for interests in the newly issued Las Ventanas Series 2012 A-2, Series B-2, Series B-3 and Series C-2 Bonds. Additionally, NorCal provided an unfunded \$2,000,000 debt service support agreement for the Las Ventanas Series A-1 Bonds, with any resulting funded amounts triggering the issuance to NorCal of an equal amount of the Las Ventanas Series B-4 Bonds, comparable in structure to the Las Ventanas Series B-3 Bonds.

As a result of the aforementioned restructuring, NorCal received \$16,414,000 (par value) of HumanGood Nevada Bonds, which are classified as investments in HumanGood Nevada Bonds in the accompanying combined balance sheets. Annual revaluations of the investments have resulted in unrealized mark-to-market losses on the Bonds, with an aggregate unrealized loss on investments in HumanGood Nevada Bonds of \$8,834,000 and \$8,299,000 as of December 31, 2020 and 2019, respectively.

On February 19, 2019, HumanGood Nevada filed a voluntary public disclosure through the Electronic Municipal Market Access website announcing its intent to explore various options related to tendering, purchasing, refinancing or restructuring all, or portions, of its Series 2012 Bonds. On February 12, 2021, an additional disclosure was filed detailing that NorCal had refined this exploration to potentially contacting holders of the Series 2012B-1 and C-1 Bonds to purchase all or a portion of those Bonds with a current expectation to hold such Series 2012B-1 and C-1 Bonds within its investment portfolio in anticipation of a possible refinancing of the Series 2012 Bonds in the future. On February 18, 2021, NorCal purchased \$4,922,000 par amount of the Series 2012B-1 and \$9,136,000 par amount of the Series 2012C-1 Bonds at a discount.

HumanGood Idaho

HumanGood Idaho is a California nonprofit public benefit tax-exempt corporation, which leased, and subsequently purchased from NorCal, a site in Boise, Idaho, upon which the Terraces of Boise was constructed and began operations in July 2015, with the community fully operational in all levels of care on June 1, 2016. The obligations of Boise are nonrecourse to NorCal.

To support the Boise financing, in 2014 NorCal provided \$3,000,000 in equity at financing along with \$1,000,000 of funded liquidity support and an additional \$1,250,000 of unfunded liquidity support. At the same time, Boise purchased the parcel of land upon which the Terraces of Boise is built from NorCal for \$5,000,000. This purchase price consisted of \$3,000,000 in cash and a \$2,000,000 interest bearing subordinated note receivable. On March 18, 2020, Boise entered into a Second Supplemental Master Trust Indenture for which one of the amendments required NorCal to deposit \$1,250,000 with the Master Trustee by March 31, 2020 in full satisfaction of the previously unfunded liquidity support obligation. The funds were timely deposited consistent with requirements.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2020 and 2019

Boise had a Sales and Marketing Oversight Services Agreement with NorCal. Additionally, under Boise's Development Administration Services Agreement, NorCal was entitled to a Development Administrative Support Services Fee equal to \$17,000 per month for each month that Greystone Development Corporation (GDC) was entitled to a management fee during the term.

On May 31, 2017, the Sales and Marketing Oversight Services and Development Administration Service Agreements were terminated, thus ending the accrual of further amounts owing. These fees are subject to subordination under the Boise master trust indenture, and as such, NorCal has fully reserved the accrual of this revenue.

Effective February 2021, NorCal succeeded Greystone Management Services Company Idaho, LLC and entered into a management fee agreement with Boise at a base fee of \$32,000 monthly through May 2021 and 5 percent of budgeted cash revenues thereafter.

Seniority Properties dba HumanGood Properties

HumanGood Properties is a California for-profit corporation, which was formed in February 2014 for the purpose of holding equity interests in developed and acquired senior housing communities and other similar investments.

On September 1, 2015, HumanGood Properties, through a subsidiary LLC, purchased a 49 percent equity interest, and later, through a purchase option, an additional 1 percent interest in a memory care senior housing community in Oklahoma.

HumanGood East

HumanGood East (formerly Philadelphia Presbytery Homes and Services for the Aging dba Presby's Inspired Life) is a Pennsylvania nonprofit tax-exempt corporation providing housing, health care and supportive services for the elderly through its three LPCs, 17 owned and managed affordable housing communities and 19 additional affordable housing communities managed for unrelated entities. On June 30, 2019, in conjunction with the HumanGood and Presby's Inspired Life affiliation, Cornerstone became the sole member of Presby's Inspired Life. On June 30, 2019, amendments to the articles of incorporation of Presby's Inspired Life took effect and the Presby's Inspired Life corporation name was changed to HumanGood East.

Basis of Presentation and Principles of Combination

The accompanying combined financial statements combine the accounts of NorCal, SoCal, TSJG, Foundation West and Foundation South (HumanGood California Obligated Group & Foundation Affiliates) in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP). All entities except Foundation West and Foundation South share a common parent, HumanGood, which has the sole corporate membership and controlling financial interest in each of these organizations, and Foundation West and Foundation South are affiliates of NorCal and SoCal, respectively.

All interaffiliate transactions between the Corporations eliminate in combination.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2020 and 2019

2. Summary of Significant Accounting Policies

Use of Estimates

The preparation of the combined financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the combined financial statements and the reported amounts of revenues and expenses during the reported periods. Significant items subject to such estimates and assumptions include the fair values of interest rate swaps and caps assets and liabilities; allowances for contractual and uncollectible accounts receivable; fair values of notes receivable; fair values of investments; future service benefit obligations; rebatable entrance fees due; entrance fees subject to refund; entrance fees nonrefundable; liabilities for self-insured workers' compensation; self-insured health insurance; liabilities for pension and retirement plans; and valuation of split-interest agreements. Actual results could differ from those estimates.

Cash and Cash Equivalents

Cash and cash equivalents are defined as cash on hand, demand deposits with financial institutions and overnight investments considered to be cash equivalents. For the purposes of the combined statements of cash flows, cash, cash equivalents and restricted cash include investments purchased with an initial maturity of three months or less.

Restricted Cash

Restricted cash is defined as cash and cash equivalents, which are restricted in their use by debt agreements.

Resident Accounts Receivable

The Corporations assess collectability on all resident accounts prior to providing services. An allowance for uncollectible accounts is recognized to reduce accounts receivable to its net realizable value for impairment of revenues for changes in resident credit worthiness. The allowance is estimated by management based on factors such as aging of the accounts receivable (outstanding balances over 150 days are fully reserved), and anticipated collection of the consideration. Accounts are written off through bad debt expense when the Corporations have exhausted all collection efforts and accounts are deemed impaired.

Investments

Investments include certain cash equivalents held by investment managers, mutual funds, commodities and structure products, equity securities, corporate debt, U.S. and foreign government securities and certain cash equivalents and securities held by trustees for capital project expenditures and debt service, and are stated at fair value in the accompanying combined balance sheets.

Investment income or loss (including interest, dividends and fees), realized gains and losses and unrealized gains and losses on investments are included in income from operations and changes in net assets without donor restrictions. Interest income is measured as earned on the accrual basis. Dividends are measured based on the ex-dividend date. Purchases and sales of securities and realized gains and losses are recorded on a trade-date basis.

The Corporations' investments are comprised of a variety of financial instruments and are managed by investment advisors. The fair value reported is subject to various risks, including changes in the equity markets, the interest rate environment and general economic conditions. Due to the level of risk associated with certain investment securities and the level of uncertainty related to changes in the fair value of investment securities, it is reasonably possible that the amounts reported could change materially in the near term.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2020 and 2019

Restricted Investments

Certain investments are restricted as assets held in trust. These include assets held by trustees in accordance with the indentures relating to debt agreements and assets set aside in accordance with various trust agreements with third parties, including donors. Assets held in trust as well as assets managed with donor restrictions are classified as restricted investments in the accompanying combined balance sheets (see Note 4).

Designated Investments

Other investments of \$123,966,000 and \$121,046,000 as of December 31, 2020 and 2019, respectively, are designated by the Board of Directors primarily for future capital projects, to advance strategic corporate initiatives and for Foundation West Board-designated benevolence funds (see Note 4).

Investments in HumanGood Nevada Bonds

Investments include holdings in three tranches of the Las Ventanas Series 2012 Bonds (see HumanGood Nevada Subsection in Note 1). These investments are recorded at fair market value as of December 31, 2020 and 2019, in the accompanying combined balance sheets. Changes in fair market value are included in unrealized (losses) gains on investments in HumanGood Nevada Bonds in the accompanying combined statements of operations and changes in net assets.

Subordinated Notes Receivable, Net

Subordinated notes receivable, net as of December 31, 2020 and 2019 include the interest bearing subordinated note from Boise for \$2,000,000, the \$4,315,000 note receivable from Terraces of Phoenix, the liquidity support funded to Boise of \$2,250,000 and \$1,000,000 at December 31, 2020 and 2019, respectively, and the notes related to the BDG purchase and the HGAH assets and liability transfers from NorCal. All subordinated notes receivable are further described in HumanGood Cornerstone Related Enterprises Subsection in Note 1.

Subordinated notes amongst members of the affiliated Corporations are included in the accompanying supplemental combining balance sheets but eliminated in the accompanying combined financial statements.

Prior to September 26, 2012, TSJG was one of eight LPCs constituting NorCal's Obligated Group. Effective September 26, 2012, by vote of the NorCal Board of Directors, and consistent with the rights and abilities granted in NorCal's Master Trust Indenture, sole corporate membership and control of TSJG was transferred from NorCal to Cornerstone, in conjunction with the issuance of the TSJG Series 2012 Bonds. Furthermore, at this time, the portion of NorCal's Series 2006 Bonds previously allocated to TSJG was replaced with a \$23,336,000 variable rate subordinated note, and a portion of NorCal's Series 2010 Bonds previously allocated to TSJG was replaced with a \$6,438,000 fixed rate subordinated note. Debt service payments on these subordinated notes are contingent upon TSJG being in compliance with certain performance metrics. These subordinated notes receivable from TSJG are included in NorCal's subordinated notes receivable in the accompanying supplemental combining balance sheets as of December 31, 2020 and 2019. Both subordinated notes payable are included in TSJG's notes and bonds payable in the accompanying supplemental combining balance sheets as of December 31, 2020 and 2019, respectively. Upon meeting certain performance criteria, interest payments of \$4,150,000 and \$900,000 were made to NorCal for the years ended 2020 and 2019, respectively, for interest expense that had been deferred in previous fiscal years, and principal payments of \$1,634,000 were made in 2020. Interest expense of \$804,000 and \$3,548,000 at December 31, 2020 and 2019, respectively, related to these notes was accrued but not fully paid. All amounts related to these notes and their debt service payments eliminate in the accompanying combined financial statements.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements

December 31, 2020 and 2019

Concurrent with the 2012 financing, NorCal and TSJG entered into a ten-year management agreement at a base fee of 8.5 percent of budgeted cash revenues, with half of this fee subject to subordination. During 2019, the recognition \$1,020,000 of TSJG management fee revenues were deferred by NorCal, with collection pending achievement of certain TSJG operating performance criteria. No amounts were deferred in 2020.

At December 31, 2020 and 2019, \$6,396,000 of management fees have been accrued but not paid and are included in other liabilities in the accompanying supplemental combining balance sheets of TSJG and are eliminated in the accompanying combined financial statements.

Land, Buildings and Equipment, Net

Land, buildings and equipment are recorded at cost, or fair value when received, if donated. The cost basis includes any interest, finance charges and other related costs capitalized during construction. Maintenance and repair costs are charged to operations when incurred.

Depreciation of buildings and equipment is computed on the straight-line method using estimated useful lives of 3 to 40 years. When assets are retired or otherwise disposed of, the cost of the asset and its related accumulated depreciation are removed from the accounts, and any resulting gain or loss is recognized in income for the period.

Asset Impairment

The Corporations periodically evaluate the carrying value of their long-lived assets for impairment. The evaluations address the estimated recoverability of the assets' carrying value, which is principally determined based on projected undiscounted cash flows generated by the underlying tangible assets. When the carrying value of an asset exceeds estimated recoverability, an asset impairment is recognized. No asset impairment was recorded during the years ended December 31, 2020 and 2019.

Other Noncurrent Assets

Other noncurrent assets are primarily comprised of membership interests in Caring Communities, a Reciprocal Risk Retention Group (CCrRRG) and limited partner interests in Ziegler's Longevity Funds.

Deferred Debt Issuance Costs

Expenses incurred in connection with the issuance of debt are deferred and are amortized over the term of the related financing agreements using the interest method. These unamortized amounts are presented in the combined balance sheets as a direct deduction from the carrying amount of that debt liability, consistent with debt discounts. Amortization expense, which is included as a component of mortgage interest, in the accompanying combined statements of operations and changes in net assets was \$311,000 in 2020 and \$427,000 in 2019.

Revocable Trusts

Revocable trusts are trust agreements that are revocable by trustors at any time, with specific terms for each agreement. Consequently, a liability is reflected in revocable trusts in the accompanying combined balance sheets equal to those related trust assets in restricted investments in the accompanying combined balance sheets.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
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Obligations Under Annuity Agreements

In conjunction with certain giving arrangements, Foundation West and Foundation South are required to pay a certain sum of money to the donor or a designated beneficiary, and, consequently, a liability is reflected in obligations under annuity agreements in the accompanying combined balance sheets.

These types of arrangements are summarized as follows:

Gift Annuities Fund

As consideration for gifts made to Foundation West and Foundation South, the Foundations enter into agreements to pay fixed annual payments to the donors or their beneficiaries for life. In accordance with Section 11521 of the California Insurance Code, a liability has been established for the future payments under the outstanding annuity contracts. The annual computation of the restricted amount of the gift is based upon the 2000 Group Annuity Mortality Table, with an interest assumption at 5 percent per annum. Assets in excess of liabilities, if any, related to these annuities are available for the use of the Foundations with the approval of the California Department of Insurance.

Annuity Trusts

Annuity trusts are trust agreements that provide for a fixed annual payment of not less than 6 percent of the initial value of trust assets to one or more income beneficiaries, with an irrevocable remainder interest contributed to charity. The annual payment never varies, regardless of trust income or the appreciation or depreciation in the value of trust assets.

Unitrusts

Unitrusts are trust agreements that are similar to annuity trusts, except that the annual payout generally is a fixed percentage, of not less than 6 percent, of the value of the trust assets valued annually. In general, the unitrust beneficiary payment amounts rise and fall in proportion to the value of trust assets. In certain cases, the payout from unitrusts may be tied to trust income.

Obligation to Provide Future Services

If the present value of future outflows to provide future services, adjusted for certain noncash items, exceeds the present value of future cash in-flows, a liability is recognized. An evaluation of the future service obligation for residents indicated a liability was not considered necessary as of December 31, 2020 or 2019. The discount rate used to calculate the obligation to provide future service is 5 percent for the years ended December 31, 2020 and 2019.

Types of Entrance Fees

The Care and Residence Agreements between the Corporations and the residents provide for the payment of an entrance fee. Entrance fees received by the Corporations are categorized into two types: initial entrance fees and entrance fees from reoccupancy, and are recorded as either rebatable entrance fees due, entrance fees subject to refund or entrance fees nonrefundable. Initial entrance fees, which are the initial fees on new or expanded facilities, are used to provide funds for acquisition and construction of physical facilities, debt retirement and to defray anticipated deficits in the operations of new homes for a period of time. Entrance fees from reoccupancy in existing homes are used for general purposes, including capital expenditures, support of operations (including benevolence), new development and funding of reserves.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2020 and 2019

Refund Policy on Entrance Fees

The current Care and Residence Agreement provides the resident with the right to a refund of the entrance fee, less 2 percent for each month of residency for 44 months after an initial reduction to the original fee, under certain circumstances. For a majority of contracts, upon the move out of a resident, the unamortized balance of the entrance fee becomes the property of the Corporations and is included in amortization of entrance fees in the combined statements of operations and change in net assets.

The Corporations had nonrefundable entrance fees of \$187,787,000 and \$181,180,000 as of December 31, 2020 and 2019, respectively, related to entrance fees received that will be recognized as revenues in future years. Additionally, the Corporations had entrance fees subject to refund of \$75,827,000 and \$89,811,000 as of December 31, 2020 and 2019, respectively, which will be recognized as revenues in future years unless refunded.

The Corporations have offered contract options whereby a specified percentage between 50 percent and 100 percent of the entrance fee is rebatable at termination of the contract and subsequent reoccupancy of their apartment. As of December 31, 2020 and 2019, respectively, \$178,597,000 and \$180,696,000 of the entrance fees related to these types of contracts are contractually rebatable and are included in rebatable entrance fees due and entrance fee rebates payable in the accompanying combined balance sheets.

Actual refunds and rebates of entrance fees were \$25,143,000 and \$13,187,000 for the years ended December 31, 2020 and 2019, respectively. Based on historical experience, management expects to pay refunds in future years of approximately \$19,000,000 per year.

Interest Rate Swaps and Caps

The Corporations use interest rate swaps and caps as part of its overall debt management policy. The Corporations account for interest rate swaps and caps in accordance with the Financial Accounting Standards Board (FASB) Accounting Standards Codification (ASC) Topic 815, *Derivatives and Hedging*. The topic requires that all derivatives be carried at fair value in the combined balance sheets (see Note 7).

Net Assets

Net assets, revenues, gains and losses are classified based on the existence or absence of donor-imposed restrictions. Accordingly, net assets and changes therein are classified and reported as follows:

Net Assets Without Donor Restrictions - Net assets available for use in general operations and not subject to donor restrictions. All revenues not restricted by donors and donor-restricted contributions whose restrictions are met in the same period in which they are received are accounted for in net assets without donor restrictions.

Net Assets With Donor Restrictions - Net assets subject to donor-imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity. All revenues restricted by donors as to either timing or purpose of the related expenditures or required to be maintained in perpetuity as a source of investment income are accounted for in net assets with donor restrictions. When a donor restriction expires, that is when a stipulated time restriction ends or purpose restriction is accomplished, net assets with donor restrictions are reclassified to net assets without donor restrictions.

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Also included in net assets with donor restrictions are assets held in trust under life annuity gifts. The assets are valued at fair value in accordance with the requirements of the specific trust agreements. Foundation West and Foundation South are required to pay a certain portion of the annual income from these assets to the donor or a designated beneficiary for the life of the donor or the beneficiary. Such amounts have been estimated and are reflected as obligations under annuity agreements in the accompanying combined balance sheets. The remaining assets will revert to the Foundations at the donor or beneficiary's death. The portion of assets received in excess of that required to meet the annuity's obligations has been recognized as a contribution at the time received.

Assets received from external trusts that are controlled by third-party trustees are recognized at the present value of the estimated future distributions to be received by the Corporations over the term of the agreement.

Net assets with donor restrictions for the years ended December 31, 2020 and 2019 are comprised of the following:

	2020	2019
Benevolence	\$ 10,550	\$ 9,067
Purpose restricted	15,416	13,965
Funds held by trustee	5,971	5,716
Restricted in perpetuity	5,672	5,666
Total	<u>\$ 37,609</u>	<u>\$ 34,414</u>

Endowment Funds

Foundation South's endowment funds consist of approximately 16 individual donor-restricted funds established primarily for benevolence and are recorded in net assets with donor restrictions in the accompanying combined balance sheets.

Foundation South has interpreted the Uniform Prudent Management of Institutional Funds Act (UPMIFA) as requiring the preservation of the fair value of the original gift as of the gift date of the donor-restricted endowment funds absent explicit donor stipulations to the contrary. As a result of this interpretation, Foundation South classifies net assets with donor restrictions of the original value of gifts donated to the permanent endowment and the original value of subsequent gifts to the permanent endowment. The investment earnings of the donor-restricted endowment funds are classified as donor-restricted until those amounts are appropriated for expenditure by the organization in a manner consistent with the standard of prudence prescribed by UPMIFA.

The changes in endowment net assets with donor restriction for the years ended December 31, 2020 and 2019, are as follows (in thousands):

Endowment net assets, December 31, 2018	\$ 7,700
Contributions	222
Net investment returns	553
Disbursements	<u>(217)</u>
Endowment net assets, December 31, 2019	8,258
Contributions	6
Net investment returns	373
Disbursements	<u>(332)</u>
Endowment net assets, December 31, 2020	<u>\$ 8,305</u>

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The endowment net assets with donor restrictions were comprised of the following as of December 31, 2020 and 2019 (in thousands):

	2020	2019
Endowment gains with donor restrictions	\$ 2,633	\$ 2,592
Endowment funds held in perpetuity, the portion of perpetual endowment funds that is required to be retained permanently either by explicit donor stipulation or by UPMIFA	5,672	5,666
Total	<u>\$ 8,305</u>	<u>\$ 8,258</u>

From time to time, the fair value of assets associated with individual donor-restricted endowment funds may fall below the level that the donor or UPMIFA requires Foundation South to retain as a fund of perpetual duration. There were no deficiencies of this nature as of December 31, 2020 and 2019.

Foundation South has adopted investment and spending policies for endowment assets that attempt to provide a predictable stream of funding to programs supported by its endowment while seeking to maintain the purchasing power of the endowment assets. Endowment assets include those assets of donor-restricted funds that the organization must hold in perpetuity or for donor-specified periods. Under this policy, as approved by the Board of Directors, the endowment assets are invested in a manner that is intended to produce results that exceed the price and yield results of the S&P 500 index while assuming a moderate level of investment risk.

To satisfy its long-term rate of return objectives, Foundation South relies on a total return strategy in which investment returns are achieved through both capital appreciation (realized and unrealized) and current yield (interest and dividends). Foundation South targets a diversified asset allocation to achieve its long-term return objectives within prudent risk constraints.

Net Resident Service Revenues

Net resident service revenues are reported at the amount that reflects the consideration the Corporations expect to receive in exchange for the services provided. These amounts are due from residents or third-party payors and include variable consideration for retroactive adjustments, if any, under reimbursement programs. Performance obligations are determined based on the nature of the services provided. Net resident service revenues are recognized as performance obligations are satisfied.

Payment terms and conditions for the Corporations' resident contracts vary by contract type and payor source, although terms generally include payment to be made within 30 days. Net resident service revenues for recurring and routine monthly services are generally billed monthly in advance. Net resident service revenues for ancillary services are generally billed monthly in arrears. Additionally, entrance fees are generally billed and collected in advance of move-in.

Net resident service revenues are primarily comprised of the following revenues streams:

Health Center

Health center revenues are primarily derived from providing nursing services to residents at a stated daily fee, net of any explicit and implicit price concessions. The Corporations have determined that health center services are considered one performance obligation, which is satisfied over time as services are provided. Therefore, health center revenues are recognized on a daily basis as services are rendered.

Health center revenues, including monthly service fees, ancillary and other services fees are reported at the estimated net realizable amounts from residents, third-party payors and others for services rendered, including estimated retroactive adjustments under reimbursement agreements with third-party payors.

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The Corporations receive revenues for services under third-party payor programs, including Medicare, MediCal and other third-party payors. Nursing and ancillary services provided to Medicare and MediCal beneficiaries are paid at prospectively determined rates per day. These rates vary according to a resident-specific classification system that is based on clinical, diagnostic and other factors and the reimbursement methodology is subject to various limitations and adjustments. The determination of these rates is partially based on the Corporations' clinical assessment of their residents. The Corporations are required to clinically assess its residents at predetermined time periods throughout the year. The documented assessments are subject to review and adjustment by Medicare and MediCal. The basis for payment to the Corporations for other payor agreements includes prospectively determined rates per day or discounts from established charges. Laws and regulations governing the Medicare and MediCal programs are complex and subject to interpretation. Compliance with such laws and regulations can be subject to future government review and interpretation as well as significant regulatory action, including fines, penalties and exclusion from the Medicare and MediCal programs.

Settlements with third-party payors for retroactive adjustments due to audits, reviews or investigations are considered variable consideration and are included in the determination of the estimated transaction price for providing resident care. These settlements are estimated based on the terms of the payment agreement with the payor, correspondence with the payor and the Corporations' historical settlement activity, including an assessment to ensure that it is probable that a significant reversal in the amount of cumulative revenues recognized will not occur when the uncertainty associated with the retroactive adjustment is subsequently resolved. Estimated settlements are adjusted in future periods as adjustments become known (that is, new information becomes available), or as years are settled or no longer subject to such audits, reviews and investigations. Adjustments arising from a change in the transaction price were not significant in 2020 or 2019.

Assisted Living and Memory Care

Assisted living and memory care revenues are primarily derived from providing housing and personal care services to residents at a stated monthly fee. The Corporations have determined that the services included in the monthly fee have the same timing and pattern of transfer and are a series of distinct services that are considered one performance obligation for each of these levels of care, which is satisfied over time as services are provided. Therefore, assisted living and memory care revenues are recognized on a month-to-month basis.

Residential Living

Residential living revenues are primarily derived from providing housing and services to residents. The Corporations have determined that the services included in the monthly fee have the same timing and pattern of transfer and are a series of distinct services that are considered one performance obligation, which is satisfied over time as services are provided. Therefore, residential living monthly fees are recognized on a month-to-month basis.

Entrance fees collected from residents in advance are recognized as deferred revenues from entrance fees until performance obligations are satisfied and are included in entrance fees nonrefundable in the accompanying combined balance sheets. The Corporations recognized amortization income of \$44,275,000 and \$43,129,000 in 2020 and 2019, respectively. The Corporations apply the practical expedient in ASC 606, and therefore, do not disclose amounts for remaining performance obligations that have original expected durations of one year or less.

The guaranteed refund component of entrance fees is not amortized to income and is classified as rebatable entrance fees due in the accompanying combined balance sheets.

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For residents with Type B contracts, revenues from entrance fees other than rebatable entrance fees received are recognized through amortization using the straight-line method over annually adjusted estimated life expectancies of the residents, which approximates the period of time the goods and services under the agreements are expected to be transferred to residents. Amortization of entrance fees other than rebatable entrance fees is included as amortization of entrance fees in the accompanying combined statements of operations and changes in net assets.

Contractual Allowances

A portion of the Corporations' health center revenues are subject to explicit price concessions (contractual allowances) under contracts with third-party payors. These price concessions, were \$8,774,000 and \$13,552,000 for the years ended December 31, 2020 and 2019, respectively.

COVID Relief Funding

COVID relief funding includes amounts received from federal and state funding sources related to the COVID-19 pandemic. The Corporations account for this funding in accordance with the FASB ASC Topic 958-605 guidance for conditional contributions and, accordingly, revenues are measured and recognized when barriers are substantially met, which occurs when the Corporations comply with the terms and conditions related to the purpose of the grant rather than those that are administrative in nature.

In March 2020, the Coronavirus Aid, Relief, and Economic Security (CARES) Act was signed into law to combat the financial effects of COVID-19. The CARES Act created a Provider Relief Fund to provide financial support for hospitals and other healthcare providers. The Corporations received approximately \$9,089,000 in the year ended December 31, 2020 related to this funding. In accordance with the terms and conditions in place at December 31, 2020, the Corporations could apply the funding first against eligible expenses, and then lost revenues, which the Corporations' methodology for calculating lost revenues was the difference between 2020 budgeted and 2020 actual patient care revenues. \$600,000 of CARES Act funding was transferred to Terraces of Phoenix, an affiliated organization with a common parent, HumanGood, as allowed under the CARES Act Provider Relief Fund terms and conditions.

Noncompliance with the terms and conditions could result in repayment of some or all of the support, which can be subject to government review and interpretation. The Department of Health and Human Services (HHS) has indicated Provider Relief Fund payments are subject to future reporting and audit requirements. These matters could cause reversal or claw-back of amounts previously recognized; however, an estimate of the possible effects cannot be made as of the date these financial statements were issued. In addition, as of the date these combined financial statements were issued, it is unknown whether there will be further developments in the regulatory guidance.

The Corporations have incurred lost revenues and eligible expenses sufficient to allow it, in accordance with the original terms and conditions of the Provider Relief Fund as of December 31, 2020, to recognize revenues of \$8,338,000 which are included in COVID relief funding in the accompanying combined statement of operations and changes in net assets for the year ended December 31, 2020.

COVID-19 related expenses of \$3,687,000, including personal protective equipment and other equipment or supplies, are included in supplies in the combined statement of operations and changes in net assets for the year ended December 31, 2020. COVID-19 testing expenses of \$2,187,000 are included in other operating expenses in the combined statement of operations and changes in net assets for the year ended December 31, 2020. COVID-19 direct team member costs of \$217,000 and \$446,000 are included in salaries and wages and employee benefits, respectively, in the combined statement of operations and changes in net assets for the year ended December 31, 2020.

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Performance Indicator

Income from operations as reflected in the accompanying combined statements of operations and changes in net assets is the performance indicator. Income from operations includes all changes in net assets without donor restrictions other than changes in minimum pension liability, other affiliate distributions and equity transfers, and unrealized gains (losses) on interest rate swap and caps.

Tax-Exempt Status

The Corporations are comprised of several California nonprofit corporations as described in Section 501(c)(3) of the Internal Revenue Code and have been granted tax-exempt status by the Internal Revenue Service and the California Franchise Tax Board.

Due to a failure to timely file an annual report with the Attorney General, NorCal received notice in August 2019 that the California Franchise Tax Board revoked the State income tax exemption of NorCal. NorCal reapplied for exempt status in October 2019 and, in June 2020, was granted a retroactive reinstatement of its exempt status. No associated California income taxes, interest or penalties have been levied or paid to date.

The Corporations assess uncertain tax positions in accordance with the provisions of the FASB ASC Topic 740-10, *Income Taxes*. The Corporations recognize the tax benefit from uncertain tax positions only if it is more likely than not that the tax positions will be sustained on examination by the tax authorities, based on the technical merits of the position. The tax benefit is measured based on the largest benefit that has a greater than 50 percent likelihood of being realized upon ultimate settlement. The Corporations recognize interest and penalties related to income tax matters in operating expenses. As of December 31, 2020 and 2019, and for the year ended December 31, 2020, there were no such uncertain tax positions.

Reclassifications

Certain items in the 2019 combined financial statements have been reclassified to conform with the 2020 combined financial statements presentation.

3. Liquidity and Availability of Resources

The Corporations have financial assets available for utilization within one year of the combined balance sheets date, which consist of the following as of December 31, 2020 and 2019 (in thousands):

	2020	2019
Cash and cash equivalents	\$ 23,013	\$ 33,220
Resident accounts receivable	12,682	15,026
Entrance fee notes receivable	870	368
Investments	226,580	200,927
Total	<u>\$ 263,145</u>	<u>\$ 249,541</u>

The Corporations have investments, which are available for utilization within one year in the normal course of operations. Accordingly, these assets have been included above.

The Corporations have other assets held by trustee under trust indenture, and assets reserved for future gift annuity payments and donor-restricted purposes. Additionally, certain other Board-designated assets are internally designated for long-term purposes and an operating reserve. These investments, which are more fully described in Note 4 are not used for general expenditure within the next year; however, the Board-designated amounts could be made available, if necessary.

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As part of the Corporations' liquidity management plan, cash in excess of daily requirements is invested in short-term investments and money market funds. These funds may be drawn upon, if necessary, to meet unexpected liquidity needs.

4. Investments, Designated Investments, Restricted Investments and Fair Value Measurements

The composition of investments, designated investments and restricted investments is set forth in the following table (in thousands):

	2020	2019
Investments (including designated investments and investments in HumanGood Nevada Bonds):		
Cash and cash equivalents	\$ 13,783	\$ 30,001
Mutual funds	119,506	87,588
Equity securities	68,916	57,497
Exchange-traded funds and closed-end funds	38,509	31,272
Domestic corporate debt	50,270	43,508
U.S. government securities	42,428	56,617
Municipal bonds	13,314	14,183
Foreign government securities	1,496	474
Alternative investments	2,324	833
Investments in HumanGood Nevada Bonds	4,242	5,018
Total investments (including designated investments and investments in HumanGood Nevada Bonds):	354,788	326,991
Restricted investments:		
Cash and cash equivalents	40,383	40,270
Mutual funds	9,390	7,515
Equity securities	1,672	2,397
Exchange-traded funds and closed-end funds	15,356	18,983
Domestic corporate debt	4,583	5,092
U.S. government securities	4,437	6,498
Municipal bonds	1,667	848
Foreign government securities	116	872
Alternative investments	751	471
Total restricted investments	78,355	82,946
Total investments, designated investments and restricted investments	\$ 433,143	\$ 409,937

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Investments held as of December 31, 2020 and 2019 were comprised of the following (at fair value)
(in thousands):

	2020	2019
Restricted investments:		
Principal, interest and other reserves held in trust under bond indenture or mortgage agreements	\$ 6,716	\$ 12,783
Undrawn funds held for LPC construction projects	31,931	32,805
Donor-restricted investments, including investments held in trust under revocable trust, gift annuity, annuity trust or unitrust agreements	39,708	37,358
Total restricted investments	78,355	82,946
Investments in HumanGood Nevada Bonds	4,242	5,018
Investments, unrestricted	226,580	200,927
Investments, designated	123,966	121,046
Total investments, designated investments and restricted investments	\$ 433,143	\$ 409,937

The following disclosure is made pursuant to Section 1790(a)(3) of the California Health and Safety Code. The Corporations have identified certain corporate initiatives and contingencies listed below to which assets without restriction assets may be exposed, and therefore, have designated reserves as a safeguard against such contingencies. Although not restricted in accordance with FASB ASC Topic 958, *Not-for-Profit Entities*, the designations are as follows (in thousands):

	2020	2019
Designated for Endowment	\$ 59,013	\$ 56,185
Designated for Retirement	4,953	4,460
Designated for Innovation	10,000	10,000
Designated for Capital Projects	50,000	50,401
Total designations	\$ 123,966	\$ 121,046

Investment Return

Investment return for the years ended December 31, 2020 and 2019 is as follows (in thousands):

	2020	2019
Total dividend, interest and other investment income, net of expense	\$ 7,310	\$ 9,843
Total realized (losses) gains on investments	(3,231)	4,886
Total net change in unrealized gains on investments	21,856	23,452
Unrealized (losses) gains on investment in HumanGood Nevada Bonds	(535)	412
Total	\$ 25,400	\$ 38,593

Investment income is net of investment expenses of \$1,123,000 and \$1,113,000 for the years ended December 31, 2020 and 2019, respectively.

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Fair Value Measurements

FASB ASC Topic 820 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. FASB ASC Topic 820 also establishes a fair value hierarchy, which requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The standard describes three levels of inputs that may be used to measure fair value:

Level 1 - Quoted prices in active markets for identical assets or liabilities.

Level 2 - Observable inputs other than Level 1 prices, such as quoted prices for similar assets or liabilities; quoted prices in markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities; or net asset value (NAV) per share (or its equivalent) with the ability to redeem the investments in the near term.

Level 3 - Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets or liabilities.

Following is a description of the valuation methodologies used for instruments measured at fair value on a recurring basis and recognized in the accompanying combined financial statements, as well as the general classification of such instruments pursuant to the valuation hierarchy:

- Mutual funds - Mutual funds registered with the Securities and Exchange Commission as mutual funds under the Investment Company Act of 1940 are valued based on quoted market prices, which represent the NAV of shares, and are categorized as Level 1.
- Equities, exchange-traded funds and closed-end funds - Equity securities that are actively traded on a securities exchange are valued based on quoted prices from the applicable exchange and are categorized as Level 1.
- Corporate debt (domestic and foreign) - Investment-grade bonds are valued using inputs and techniques which include third-party pricing vendors, dealer quotations and recently executed transactions in securities of the issuer or comparable issuers. To the extent that these inputs are observable and timely, the values are categorized as Level 2.
- Government securities (U.S. and foreign) - Government securities are valued based on prices provided by third-party vendors that obtain feeds from a number of live data sources, including active market makers and interdealer brokers. To the extent that these inputs are observable and timely, values are categorized as Level 2.
- Municipal bonds - Municipal bonds are valued using inputs and techniques which include identification of similar issues and market activity. To the extent that these inputs are observable and timely, values are categorized as Level 2.
- Investments in HumanGood Nevada Bonds - The fair value is estimated by a third-party using a small sample of sales comparables of other nonrelated LPC fixed rate bonds. Due to a lack of available Level 1 and Level 2 inputs, the investments have been classified as Level 3.
- Alternative investments valued at NAV - Primarily hedge funds are valued at NAV per share of the underlying investment fund. In accordance with Accounting Standards Update (ASU) No. 2015-07, *Disclosures for Investments in Certain Entities That Calculate NAV per Share (or Its Equivalent)*, investments are not categorized within the fair value hierarchy.
- Interest rate swaps and caps agreements - The fair value is estimated by a third-party using inputs that are observable or that can be corroborated by observable market data and, therefore, are classified as Level 2.

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The following table presents the fair value measurements of financial instruments recognized in the accompanying combined balance sheets measured at fair value on a recurring basis and the level within the FASB ASC Topic 820 fair value hierarchy in which the fair value measurements fall as of December 31, 2020 and 2019 (in thousands):

	2020			
	Level 1	Level 2	Level 3	Total
Investments, designated investments and restricted investments:				
Mutual funds:				
Equity	\$ 18,879	\$ -	\$ -	\$ 18,879
Fixed income	92,671	-	-	92,671
Open funds	17,346	-	-	17,346
Equity securities	70,588	-	-	70,588
Exchange-traded funds and closed-end funds	53,865	-	-	53,865
Domestic corporate debt	-	54,853	-	54,853
U.S. government securities	-	46,865	-	46,865
Municipal bonds	-	14,981	-	14,981
Foreign government securities	-	1,612	-	1,612
Investments in HumanGood Nevada Bonds	-	-	4,242	4,242
Total investments, designated investments and restricted investments measured at fair value	<u>\$ 253,349</u>	<u>\$ 118,311</u>	<u>\$ 4,242</u>	375,902
Alternative investments valued at NAV				3,075
Cash and cash equivalents				<u>54,166</u>
Total investments, designated investments and restricted investments				<u>\$ 433,143</u>
Interest rate swaps and caps measured at fair value	<u>\$ -</u>	<u>\$ 1,011</u>	<u>\$ -</u>	<u>\$ 1,011</u>

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	2019			
	Level 1	Level 2	Level 3	Total
Investments, designated investments and restricted investments:				
Mutual funds:				
Equity	\$ 8,889	\$ -	\$ -	\$ 8,889
Fixed income	74,588	-	-	74,588
Open funds	11,626	-	-	11,626
Equity securities	59,894	-	-	59,894
Exchange-traded funds and closed-end funds	50,255	-	-	50,255
Domestic corporate debt	-	48,600	-	48,600
U.S. government securities	-	63,115	-	63,115
Municipal bonds	-	15,031	-	15,031
Foreign government securities	-	1,346	-	1,346
Investments in HumanGood Nevada Bonds	-	-	5,018	5,018
Total investments, designated investments and restricted investments measured at fair value	<u>\$ 205,252</u>	<u>\$ 128,092</u>	<u>\$ 5,018</u>	338,362
Alternative investments valued at NAV				1,304
Cash and cash equivalents				<u>70,271</u>
Total investments, designated investments and restricted investments				<u>\$ 409,937</u>
Interest rate cap measured at fair value	<u>\$ -</u>	<u>\$ 36</u>	<u>\$ -</u>	<u>\$ 36</u>

The following table reconciles the beginning and ending balances of recurring fair value measurements recognized in the accompanying combined financial statements using significant unobservable (Level 3) inputs (in thousands):

Balance, December 31, 2018	\$ 4,606
Unrealized gains on investment in HumanGood Nevada Bonds	<u>412</u>
Balance, December 31, 2019	5,018
Purchases, issuances and settlements	(241)
Unrealized losses on investment in HumanGood Nevada Bonds	<u>(535)</u>
Balance, December 31, 2020	<u>\$ 4,242</u>

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5. Land, Buildings and Equipment, Net

Land, buildings and equipment, net at cost as of December 31, 2020 and 2019, consisted of the following (in thousands):

	2020	2019
Land	\$ 19,674	\$ 19,674
Land improvements	16,553	16,200
Buildings and improvements	762,074	753,881
Furnishings, equipment and automotive	74,172	74,904
Total	872,473	864,659
Accumulated depreciation	(423,882)	(397,654)
Total	448,591	467,005
Construction in progress	26,033	15,346
Total	\$ 474,624	\$ 482,351

Depreciation expense for the years ended December 31, 2020 and 2019, respectively, was \$42,461,000 and \$41,633,000.

Fully depreciated assets of \$16,227,000 and \$20,983,000 were disposed of during the years ended 2020 and 2019, respectively.

6. Notes and Bonds Payable, Net

A summary of the Corporations' notes and bonds payable as of December 31, 2020 and 2019, is as follows (in thousands):

	2020	2019
Secured		
Bonds used to refinance existing debt and renovate HumanGood California Obligated Group communities, all secured under a Master Trust Indenture on HumanGood California Obligated Group's gross revenues pledge with certain others secured by the HumanGood California Obligated Group's assets:		
NorCal Series 2015 Tax-Exempt Revenue Bonds issued by the California Statewide Communities Development Authority (dated May 28, 2015). Serial certificates in the aggregate amount of \$30,550 maturing annually through 2028 with annual principal payable commencing on October 1, 2016, in varying amounts ranging from \$1,885 to \$3,080 through 2028; interest at fixed rates ranging from 2.0% to 5.0%, payable semiannually on April 1 and October 1. Term bond in the amount of \$21,530 with annual principal payments commencing on October 1, 2037, in varying amounts ranging from \$345 to \$4,780 through 2045; interest at the fixed rate of 5.0%, payable semiannually on April 1 and October 1. Bonds are secured under a Master Trust Indenture on HumanGood California Obligated Group's assets and gross revenues pledge and a Foundation West limited guaranty.	\$ 42,710	\$ 44,680

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	2020	2019
NorCal Series 2012 Tax-Exempt Revenue Bonds issued by the California Statewide Communities Development Authority and subsequently sold and delivered to PNC Bank. The loan matures on October 1, 2036; interest accrues at tax-exempt LIBOR plus 1.19% (PNC Bank has the option to tender the bonds to NorCal for purchase option upon the 5 th , 10 th , 15 th and 20 th anniversary of issuance. The bonds were refunded during the refinancing in October 2020.	\$ -	\$ 15,950
NorCal Series 2013 Revenue Bonds issued by the California Statewide Communities Development Authority (dated February 1, 2013) to finance the costs of acquiring, constructing, expanding, remodeling, renovating, furnishing and equipping Terraces at Los Altos. Annual principal payable in varying amounts ranging from \$420 to \$1,350 through 2043; interest at fixed rates ranging from 2.1% to 5.0%. Bonds are secured under a Master Trust Indenture on HumanGood California Obligated Group's assets and gross revenues pledge and a Foundation West limited guaranty. The bonds were defeased during the refinancing in October 2020.	-	19,580
SoCal Series 2015 Tax-Exempt Revenue Bonds issued by the California Municipal Finance Authority in December 2015 and maturing in December 2036 to refund existing Series 2006 Bonds as well as to support additional construction projects at White Sands La Jolla and Westminster Gardens. Annual principal payable in varying amounts ranging from \$0 to \$990 through 2020, and amounts ranging from \$1,045 to \$5,130 through 2036; interest at variable rate of the current index, 65.1% of the one-month LIBOR, plus 1.5%, which was 1.64% at December 31, 2020.	43,255	44,245
Fresno Series 2012 Tax-Exempt Revenue Bonds issued by the California Statewide Communities Development Authority (dated September 26, 2012), Serial certificates, to fund redevelopment spending at TSJG, with annual principal payable commencing on April 1, 2014, in varying amounts depending on initial entrance fee collections through 2016; interest at fixed rates ranging from 4.00% to 6.00%, payable annually on October 1. The bonds were defeased during the refinancing in October 2020.	-	45,760
Series 2019A Tax-Exempt Revenue and Refunding Bonds issued by the California Municipal Finance Authority (dated August 1, 2019) to refund existing NorCal Series 2010 and SoCal Series 2009 Bonds and as well as to support additional construction projects for COG communities, with annual principal payable commencing on October 1, 2028, in varying amounts ranging from \$2,865 to \$5,370 through 2036, and \$11,810 to \$13,370 through 2044, interest at fixed rate of 4% through 2039 and ranging from 4.00% to 5.00% through 2044, payable annually on October 1.	141,705	141,705

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	2020	2019
Series 2019B Taxable Bonds issued concurrently with Series 2019A in August 2019 and maturing in 2028 with annual principal payable in varying amounts ranging from \$2,995 in 2020 to \$3,415 in 2027 and \$650 in 2028; interest at fixed rate of 3% through 2028, payable annually on October 1.	\$ 22,615	\$ 25,610
Series 2020A Tax-Exempt Revenue and Refunding Bonds issued by the California Municipal Finance Authority (dated October 1, 2020) and subsequently sold and delivered to Washington Federal Bank to refund existing NorCal Series 2012A Bonds in a tax-exempt variable rate mode with interest payable monthly based on the sum of one-month LIBOR, plus a bank credit spread multiplied by a factor of 79%. Interest rate at December 31, 2020 was 1.26%. Principal payments are payable annually commencing on October 1, 2021, in varying amounts ranging from \$770 to \$1,125 through 2036. In connection with the issuance of the Series 2020A Bonds, an interest rate cap was purchased with an "all in" strike price of 3.50% and an expiration of November 1, 2035. Bonds are secured under a Master Trust Indenture on HumanGood California Obligated Group's gross revenues pledge.	15,480	-
Series 2020B taxable Revenue and Refunding Bonds issued by the California Municipal Finance Authority (dated October 1, 2020) and subsequently sold and delivered to Washington Federal Bank to refund existing NorCal Series 2013A Bonds and TSJG Series 2012A Bonds, initially in a taxable variable rate mode with interest payable monthly based on one-month LIBOR, plus a bank credit spread, convertible to a tax-exempt variable rate mode after August 1, 2022 with interest payable monthly based on the sum of one-Month LIBOR, plus a bank credit spread multiplied by a factor of 79%. Interest rate at December 31, 2020 was 1.56%. Principal payments on the Series 2020B Bonds are payable annually commencing on October 1, 2021, through 2047. In connection with the Series 2020B Bonds, an interest rate cap was purchased with an "all in" strike price of 1.6% and an expiration of August 1, 2022 and a forward starting swap was entered into, beginning August 1, 2022 at a fixed rate of 0.768% and expiring November 1, 2035. Bonds are secured under a Master Trust Indenture on HumanGood California Obligated Group's gross revenues pledge.	64,765	-

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	2020	2019
Series 2020 Taxable Bank Loan for \$33,755, with loan draws available over the initial 24 months subsequent to issuance, issued directly to HumanGood California Obligated Group (dated October 1, 2020) by Washington Federal Bank in a taxable variable rate mode with interest payable monthly based on one-month LIBOR plus a bank credit spread. Principal payments are payable monthly, commencing December 1, 2022 in varying amounts ranging from \$90 to \$190 through October 1, 2047. In connection with the Series 2020 Taxable Loan, a forward starting swap for the full loan amount was entered into, beginning November 1, 2022 at a fixed rate of 0.996% and expiring November 1, 2035. Interest rate at December 31, 2020 was 1.56%.	2,110	-
Other Secured Obligations		
Terraces of Los Altos equipment loan issued in February 2013 and maturing in February 2020. Monthly principal and interest payments in the amount of \$38 began March 2013; interest at a fixed rate of 2.07%. The Equipment Loan is secured by the respective equipment.	\$ -	\$ 74
Piedmont Gardens Elevator Construction Loan issued in December 2016 and maturing in December 2023. Monthly principal and interest payments in the amount of \$46 began upon completion of construction; interest at a fixed rate of 2.89%. The Elevator Construction Loan is secured by the respective elevator.	1,584	2,083
Total	334,224	339,687
Unsecured		
Note payable to individual bearing interest at 4.5%	1,000	1,200
Total	335,224	340,887
Less current portion of notes and bonds payable	(9,149)	(8,551)
Add unamortized bond premium	17,754	20,043
Less unamortized bond issuance costs, net	(5,325)	(6,042)
Notes and bonds payable, net	\$ 338,504	\$ 346,337

Scheduled maturities of notes and bonds payable are as follows (in thousands):

Years ending December 31:	
2021	\$ 9,149
2022	9,524
2023	10,761
2024	11,050
2025	11,380
Thereafter	283,360
Total	\$ 335,224

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The Corporations maintain a standby letter of credit with a bank for workers' compensation as discussed in Note 9.

The Corporations are subject to financial covenants on debt, which include debt service coverage ratios and minimum days of cash-on-hand requirements.

Loss on Early Retirement of Debt

During August 2019, the HumanGood California Obligated Group completed a financing transaction through the issuance of the Series 2019A and Series 2019B Bonds to provide for overall debt service savings and to join the previously separated Obligated Groups into one combined HumanGood California Obligated Group under a common master trust indenture. The majority of the proceeds were used to refund the NorCal Series 2010 Bonds and the HumanGood SoCal Series 2009 Bonds. In conjunction with this transaction, the HumanGood California Obligated Group recorded a loss on early retirement of debt that is included in the combined statement of operations and changes in net assets.

The loss consists of the following (in thousands):

Deposit to escrow deposit fund	\$	173,103
NorCal Series 2010 Bonds outstanding		(100,130)
SoCal Series 2009 Bonds outstanding		(67,980)
Accrued interest		(3,659)
Subtotal		1,334
Unamortized debt issuance costs		3,157
Unamortized bond issuance discounts		3,073
Total	\$	<u>7,564</u>

During October 2020, HumanGood California Obligated Group completed a financing transaction and closed \$125,000,000 of bank capital with Washington Federal Bank, which was comprised of:

- \$15,480,000 Series 2020A Tax-Exempt Revenue and Refunding Bonds, refunding the existing Tax-Exempt Series 2012 Private Placement Bonds with PNC Bank;
- \$64,765,000 Series 2020B Taxable Revenue and Refunding Bonds (through a so-called Cinderella Financing), which used taxable proceeds to legally defease the existing Tax-Exempt Series 2012A and 2013A Bonds, and then is convertible to tax-exempt bonds subsequent to the advanced refunding of the defeased bonds.
- \$33,755,000 Taxable Term Loan with the loan draws available over the initial 24 months subsequent to issuance; and
- \$11,000,000 million Taxable Revolving Line of Credit with a five-year term and a taxable variable rate with interest payable monthly based on one-month LIBOR plus a bank credit spread.

The majority of the proceeds were used to refund the NorCal Series 2012 Bonds, and to defease the NorCal Series 2013 and HumanGood Fresno Series 2012 Bonds. In conjunction with this transaction, the HumanGood California Obligated Group recorded a loss on early retirement of debt that is included in the combined statement of operations and changes in net assets.

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The loss consists of the following (in thousands):

Deposit to escrow deposit fund	\$	86,476
NorCal Series 2012 Bonds outstanding		(15,275)
NorCal Series 2013 Bonds outstanding		(19,140)
Fresno 2012 Bonds outstanding		(45,055)
Accrued interest		(292)
Subtotal		6,714
Unamortized debt issuance costs		2,233
Unamortized bond issuance premiums		(1,327)
Total	\$	7,620

7. Interest Rate Caps and Swaps

On December 1, 2015, HumanGood SoCal entered into an interest rate cap agreement with a counterparty to extend the management of interest rate risk on \$25,000,000 of its Series 2015 Tax-Exempt Variable Rate Revenue Bonds from December 1, 2015 to December 1, 2025. The agreement establishes that when 65.1 percent of the one-month LIBOR rate exceeds 2.50 percent, SoCal is reimbursed for the excess by the counterparty to the transaction.

On October 16, 2020, in conjunction with the aforementioned Series 2020 financing, NorCal, as an obligated group representative, entered into four derivative agreements with two counterparties. The first agreement is an interest rate cap agreement with a counterparty to extend the management of interest rate risk on the \$15,480,000 Tax-Exempt Series 2020A Variable Rate Bonds from October 28, 2020 to October 1, 2035. The agreement establishes that when 79 percent of the one-month LIBOR rate exceeds 2.394 percent, NorCal is reimbursed for the excess by the counterparty to the transaction. The second agreement is an interest rate cap agreement with a counterparty to extend the management of interest rate risk on the \$64,675,000 Series 2020B Variable Rate Bonds during the anticipated period that the bonds would be taxable from October 28, 2020 to August 1, 2022. The agreement establishes that when the one-month LIBOR rate exceeds 1.6 percent, NorCal is reimbursed for the excess by the counterparty to the transaction. The third agreement is a forward-starting interest rate swap agreement with a counterparty to extend the management of interest rate risk on the outstanding \$63,270,000 Series 2020B Variable Rate Bonds during the anticipated period that the bonds would be tax-exempt from August 1, 2022 to October 1, 2035. The agreement establishes that when 79 percent of the one-month LIBOR rate exceeds 0.768 percent, NorCal is reimbursed for the excess by the counterparty to the transaction and conversely when 79 percent of the one-month LIBOR rate is less than 0.768 percent, NorCal pays the shortfall to the counterparty. The fourth agreement is a forward-starting interest rate swap agreement with a counterparty to extend the management of interest rate risk on the \$33,755,000 Series 2020 taxable variable rate bank loan from November 1, 2022 to October 1, 2035. The agreement establishes that when the one-month LIBOR rate exceeds 0.9957 percent, NorCal is reimbursed for the excess by the counterparty to the transaction and conversely when the one-month LIBOR rate is less than 0.9957 percent, NorCal pays the shortfall to the counterparty.

For the years ended December 31, 2020 and 2019, the aforementioned floating interest rates for the cap and swap agreements failed to exceed the respective cap and strike rates, and thus none of the aforementioned cap and swap agreements had an impact on interest expense.

The fair value of the interest rate caps and swaps was \$1,011,000 and \$36,000 as of December 31, 2020 and 2019, respectively. The unrealized gain (loss) from mark-to-market of floating to fixed rate interest rate caps was \$808,000 and \$(157,000) for the years ended December 31, 2020 and 2019, respectively.

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8. Employee Benefit Plans

Defined Benefit Pension Plan

HumanGood SoCal has a defined benefit retirement plan (the Plan) which, prior to being frozen, provided retirement benefits through a noncontributory defined benefit retirement plan for substantially all full-time SoCal employees. On October 22, 2009, the Board of Directors of SoCal froze the Plan, whereby effective October 31, 2009, further accrual of benefits ceased for participants in the Plan. SoCal has not taken action to terminate the Plan.

Prior to October 31, 2009, the benefits were based upon years of service and the employee's compensation during the years of employment. SoCal's funding policy, at a minimum, was to contribute amounts to the Plan sufficient to meet the minimum funding requirements of the Employee Retirement Income Security Act of 1974, plus additional amounts deemed to be appropriate.

The plan assets include separate investment accounts with underlying mutual funds invested in fixed-income and equity securities whose values are subject to fluctuations of the securities markets. Changes in these values attributable to the differences between actual and assumed returns on plan assets were deferred as unrecognized gains or losses and were included in the determination of the net pension expense over time.

A summary of the components of net periodic pension cost as of the date of the actuarial valuation for the years ended December 31, 2020 and 2019 is as follows (in thousands):

	2020	2019
Changes in projected benefit obligation:		
Projected benefit obligation, January 1	\$ 40,083	\$ 35,301
Service cost	-	-
Interest cost	1,314	1,473
Benefits paid	(1,173)	(2,499)
Settlement payments	(1,544)	-
Actuarial loss	4,039	5,808
Projected benefit obligation, December 31	42,719	40,083
Changes in plan assets:		
Fair value of plan assets, January 1	40,303	37,718
Actual return on plan assets	3,227	4,219
Employer contributions	1,000	1,000
Expenses	(94)	(135)
Settlement payments	(1,544)	-
Benefits paid	(1,173)	(2,499)
Fair value of plan assets, December 31	41,719	40,303
Funded status	\$ (1,000)	\$ 220
Accumulated benefit obligation	\$ (42,719)	\$ (40,083)
Amounts recognized in retirement liabilities in the accompanying combined balance sheets	\$ (1,000)	\$ 220

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	<u>2020</u>	<u>2019</u>
Components of net periodic benefit cost:		
Interest cost	\$ 1,314	\$ 1,473
Expected return on plan assets	(1,561)	(1,500)
Net loss amortization	1,152	656
Net periodic benefit cost	905	629
Settlement charge	441	-
Total benefit expense	<u>\$ 1,346</u>	<u>\$ 629</u>
Net losses recognized in net assets without donor restrictions	<u>\$ (875)</u>	<u>\$ (2,567)</u>
Amounts not yet reflected in periodic benefit costs and recognized in accumulated net assets without donor restrictions, net actuarial loss	<u>\$ 12,209</u>	<u>\$ 11,334</u>
Total accumulated charge to net assets without donor restrictions	<u>\$ 12,209</u>	<u>\$ 11,334</u>

In 2020, SoCal offered a one-time lump sum payout for certain terminated vested participants. Approximately \$1,544,000 was paid out during the 2020 plan year under this program.

Weighted-average assumptions used to determine benefit obligations as of December 31, 2020 and 2019, are as follows:

	<u>2020</u>	<u>2019</u>
Discount rate	2.67 %	3.43 %
Rate of compensation	N/A	N/A

Weighted-average assumptions used to determine net periodic pension cost for the years ended December 31, 2020 and 2019, are as follows:

	<u>2020</u>	<u>2019</u>
Discount rate	3.43 %	4.26 %
Expected long-term rate of return on plan assets	4.00	4.00
Rate of compensation	N/A	N/A

SoCal determines the estimates of expected long-term rate of return on assets. These estimates are primarily driven by actual historical asset class returns and advice from external actuarial firms, while incorporating specific asset class risk factors. For the years ended December 31, 2020 and 2019, the expected long-term rate of return used in determining net periodic pension cost was 4.00 percent.

The Plan invests primarily in asset categories to permit conservative investments with minimal risk of loss of principal. The Plan invests in asset categories that provide diversification benefits and are easily measured. Maximum and minimum holding ranges for each of these asset categories are set by the investment committee and defined in an investment policy. The current target allocations for equity and fixed income are 20 percent and 80 percent, respectively, for the years ended December 31, 2020 and 2019. Actual asset allocation within these approved ranges is based on a variety of economic and market conditions and consideration of specific asset category risk. To assess the Plan's investment performance, a long-term asset allocation policy benchmark has been established. The Plan's assets are invested in separate accounts which are considered Level 2 securities and the asset allocation was in line with the target allocations as of December 31, 2020 and 2019.

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SoCal expects to contribute approximately \$1,000,000 to the Plan during the year ending December 31, 2021. SoCal estimates that benefit payments will be paid over the next ten years as follows (in thousands):

Years ending December 31:		
2021	\$	3,972
2022		2,741
2023		2,240
2024		2,710
2025		3,759
2026 - 2030		<u>12,097</u>
Total	\$	<u>27,519</u>

Actuarial losses of \$711,000 related to the Plan are expected to be recognized as a component of the net periodic pension cost during the year ending December 31, 2021. Management has included the net periodic pension cost in SoCal's 2021 operating budget.

Supplemental Retirement Income Plan Agreements

Certain NorCal management employees or retirees of NorCal participate in supplemental retirement income plans, and have individually entered into agreements with NorCal whereby the employees will be provided specific amounts of annual retirement income for the balance of their lifetime following retirement. During 2005, accrued benefits for active participants in the supplemental retirement income plan were transferred into a new nonqualified plan under IRC 457(f) that distributes a lump-sum payment at age 65. On October 2, 2015, the plan was frozen to new entrants. On December 1, 2017, the HumanGood Board of Directors elected to terminate the plan and, in 2018, final termination payouts of \$2,143,000 were made. Subsequent to the termination and payout of the IRC 457(f) plan, the remaining NorCal frozen supplemental retirement income plan had a present value of future payments to participants of \$1,680,000 as of December 31, 2020 and 2019. Assets available for benefits to this remaining pool of participants are subject to the claims of the NorCal's creditors. The assets are included in designated investments and amounted to \$4,953,000 and \$4,460,000 as of December 31, 2020 and 2019, respectively.

In 2020, a separate IRC 457(f) plan was established for certain key executive leadership where the plan will fund based on predetermined annual contributions and earn a return equal to the Barclay's Intermediate Government Credit Index, with a present value of future anticipated participant distributions of \$318,000 as of December 31, 2020.

Defined Contribution Plan

The Corporations also participate in a defined contribution retirement plan covering all eligible employees. The Corporations' contribution is a match of employee contributions up to 4 percent of eligible earnings in a calendar year. Annual expenses incurred under the plan for the years ended December 31, 2020 and 2019, respectively, were approximately \$3,294,000 and \$2,934,000.

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9. Self-Insured Programs

Workers' Compensation Plan

The Corporations are partially self-insured under an occurrence form insurance policy for 2020 and 2019. Claims are accrued under the plan as the incidents that give rise to them occur. The estimate of incurred but not reported claims is based on actuarial projections of the ultimate cost of settlement, including claim settlement expenses, using the Corporations' historical claim payment experience. The estimated liability is continually monitored and reviewed and, as settlements are made or estimates are adjusted, differences are reflected in current operations. The Corporations have recorded a total liability for claims payable of \$16,112,000 and \$14,379,000, including an estimate of incurred but not reported claims as of December 31, 2020 and 2019, respectively. The estimated insurance recovery receivables of \$4,948,000 and \$4,503,000 are recorded under other receivables in the accompanying combined balance sheets as of December 31, 2020 and 2019, respectively. As required by the insurer, the Corporations have obtained a letter of credit for \$1,108,000 in connection with this program, subject to annual renewal, with the next scheduled renewal date on September 30, 2021.

Given the inherent variability of such estimates, the actual liability could differ significantly from the estimates. While the ultimate payments of self-insured workers' compensation claims are dependent upon future developments, management is of the opinion that the recorded liability is adequate.

Health Insurance Plan

Effective in 2019, the Corporations are self-insured for health insurance claims for eligible active employees with certain self-insured retention limits. Based on claims incurred through December 31, an estimated liability for claims incurred, but not paid of \$2,074,000 and 2,048,000 is included in accounts payable and accrued expenses in the accompanying combined balance sheets as of December 31, 2020 and 2019, respectively. The estimate of incurred but not paid claims is based on actuarial projections using the Corporations' historical claim payment experience and previous patterns of payments. While estimates are based on the information and data available at a point in time, management is of the opinion that the recorded liability has been properly accounted for and accrued at December 31, 2020 and 2019.

Professional Liability Insurance

The Corporations have secured claims-made policies for malpractice and general liability insurance with certain self-insured retentions. The Corporations have accrued liabilities of \$1,375,000 and \$341,000 as its best estimate of the cost of known claims incurred prior to December 31, 2020 and 2019, respectively. Related insurance recovery receivables of \$765,000 and \$245,000 as of December 31, 2020 and 2019, respectively, are recorded under other receivables in the accompanying combined balance sheets. In addition, the Corporations have accrued liabilities of \$2,308,000 as of December 31, 2020 and 2019, as its best estimate of the cost of claims incurred but not yet reported. These liabilities are included in accounts payable and accrued expenses in the accompanying combined balance sheets.

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10. Net Resident Service Revenues

The Corporations disaggregate revenues from contracts with customers by type of service and payor source as this depicts the nature, amount, timing and uncertainty of their revenues and cash flows as affected by economic factors. Resident services and patient revenues consist of the following for the years ended December 31, 2020 and 2019 (in thousands):

	2020				
	Residential Living	Assisted Living	Health Center	Memory Care	Total
Private (contract)	\$ 101,138	\$ 24,066	\$ 15,315	\$ 9,305	\$ 149,824
Private (noncontract)	6,536	9,987	11,549	4,549	32,621
Medicare (Part A)	-	-	29,139	-	29,139
Medicare (Part B)	-	-	1,540	-	1,540
MediCal	-	-	16,038	-	16,038
Managed care	-	-	11,712	-	11,712
Subtotal	107,674	34,053	85,293	13,854	240,874
Amortization of entrance fees	-	-	-	-	44,275
Total	<u>\$ 107,674</u>	<u>\$ 34,053</u>	<u>\$ 85,293</u>	<u>\$ 13,854</u>	<u>\$ 285,149</u>

	2019				
	Residential Living	Assisted Living	Health Center	Memory Care	Total
Private (contract)	\$ 100,270	\$ 22,654	\$ 15,609	\$ 9,611	\$ 148,144
Private (noncontract)	6,411	10,710	12,832	4,478	34,431
Medicare (Part A)	-	-	37,263	-	37,263
Medicare (Part B)	-	-	1,591	-	1,591
MediCal	-	-	14,541	-	14,541
Managed care	-	-	11,905	-	11,905
Subtotal	106,681	33,364	93,741	14,089	247,875
Amortization of entrance fees	-	-	-	-	43,129
Total	<u>\$ 106,681</u>	<u>\$ 33,364</u>	<u>\$ 93,741</u>	<u>\$ 14,089</u>	<u>\$ 291,004</u>

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11. Functional Expenses

The Corporations provide housing, healthcare and other related services to residents within their geographic location. Financial statements report certain expense categories that are attributable to more than one program service or support function. Therefore, these expenses require an allocation on a reasonable basis that is consistently applied. Expenses relating to providing these services are approximately as follows at December 31, 2020 and 2019 (in thousands):

	2020		
	Residential Services	General and Administrative	Total
Salaries and wages	\$ 106,469	\$ 22,636	\$ 129,105
Employee benefits	27,895	6,697	34,592
Supplies	22,296	817	23,113
Ancillary services	12,178	-	12,178
Repairs and maintenance	4,678	4	4,682
Marketing and advertising	3,869	47	3,916
Purchased services	9,371	6,448	15,819
Utilities	10,990	1,323	12,313
Travel and related	651	379	1,030
Leases and rents	715	1,169	1,884
Insurance	4,072	-	4,072
Other operating expenses	6,817	1,339	8,156
Depreciation	42,461	-	42,461
Mortgage interest	12,946	-	12,946
Total expenses	\$ 265,408	\$ 40,859	\$ 306,267

	2019		
	Residential Services	General and Administrative	Total
Salaries and wages	\$ 107,628	\$ 25,033	\$ 132,661
Employee benefits	25,009	7,008	32,017
Supplies	20,646	902	21,548
Ancillary services	15,248	-	15,248
Repairs and maintenance	4,435	8	4,443
Marketing and advertising	3,262	90	3,352
Purchased services	10,264	4,084	14,348
Utilities	10,639	1,266	11,905
Travel and related	1,169	1,566	2,735
Leases and rents	864	934	1,798
Insurance	3,677	-	3,677
Other operating expenses	4,331	2,130	6,461
Depreciation	41,633	-	41,633
Mortgage interest	17,411	-	17,411
Total expenses	\$ 266,216	\$ 43,021	\$ 309,237

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12. Transactions With Affiliates

The Corporations manage rental housing communities and LPCs (see Note 1) under management agreements whereby the Corporations and its affiliates provide administrative and management services to all communities and sales management services to the LPCs.

Management fees for providing these services for the years ended December 31, 2020 and 2019, are included in other operating revenues earned by the Corporations in the accompanying combined statements of operations and changes in net assets and are as follows (in thousands):

	2020	2019
HumanGood LPCs Management Fee:		
Terraces of Phoenix	\$ 1,968	\$ 1,881
Judson Park	1,888	1,878
Las Ventanas	612	592
HumanGood Affordable Housing Cost Allocation	300	520
Total	<u>\$ 4,768</u>	<u>\$ 4,871</u>

Interest and management fees due from affiliates in the accompanying combined balance sheets includes deferred management fees due from Las Ventanas in the amounts of \$2,662,000 and \$2,412,000 as of December 31, 2020 and 2019, respectively, as well as interest income receivable from Beacon Development Group in the amounts of \$17,000 and \$529,000 as of December 31, 2020 and 2019, respectively, related to the outstanding purchase note described further in Note 1.

Amounts due from affiliates for management fees and cost recoveries for other services such as dining, purchase cards, payroll, benefits and insurance are included in intercompany advances due as of December 31, 2020 and 2019 in the accompanying combined balance sheets, and are as follows (in thousands):

	2020	2019
Due from HumanGood Affordable Housing and Affiliates	\$ 2,600	\$ 4,000
Due from HumanGood SoCal Affordable Housing Communities	873	2,193
Due from HumanGood Washington	3,326	1,906
Due (to) HumanGood Arizona, Inc.	(337)	(49)
Due from HumanGood Idaho	76	277
Due from HumanGood Nevada	755	239
Due from HumanGood East	289	-
Due from HumanGood Cornerstone and certain affiliates	93	154
Total	<u>\$ 7,675</u>	<u>\$ 8,720</u>

These balances are settled in the normal course of operations with no fixed repayment terms.

During the year ended December 31, 2020, affiliate distributions and transfers in the accompanying combined statements of operations and changes in net assets is primarily comprised of cash distributions of \$5,000,000 from NorCal and SoCal to Cornerstone.

During the year ended December 31, 2019, affiliate distributions and transfers in the accompanying combined statements of operations and changes in net assets is primarily comprised of cash distributions of \$8,151,000 from NorCal and SoCal to Cornerstone.

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13. Commitments and Contingencies

The Corporations are party to various claims and legal actions in the normal course of business. In the opinion of management, based upon current facts and circumstances the resolution of these matters is not expected to have a material adverse effect on the financial position of the Corporations.

The Corporations are aware of the existence of asbestos in certain of its buildings. The Corporations have not recorded a liability for any asbestos abatement costs because the cost cannot be reasonably estimated at this time. At such time in the future that plans are made to make changes to structures with asbestos and the related asbestos removal cost estimates are completed, the Corporations will record an estimate of the costs of the required asbestos abatement.

On September 12, 2012, Las Ventanas closed on the restructuring of its indebtedness. As discussed in Note 1, NorCal provided an unfunded \$2,000,000 debt service support agreement for the Las Ventanas Series A-1 Bonds, with any resulting funded amounts triggering the issuance to NorCal of an equal amount of Las Ventanas Series B-4 Bonds.

For the tax-credit financed affordable housing communities in which HGAH serves as a General Partner (see Note 1), NorCal and HGAH, as co-guarantors, have issued on-going guarantees to cover operating deficits and guarantees to ensure compliance with certain on-going aspects of the Limited Partnership Agreement (LPA). NorCal periodically evaluates the potential exposure from these on-going guarantees. NorCal has not provided support under these guarantees in the past and based on the current evaluation, management believes they cumulatively do not constitute a material future financial risk exposure for NorCal.

In addition to operating deficit and LPA guarantees, NorCal and HGAH, as co-guarantors, also issue, unconditional project completion guarantees for tax-credit financed affordable housing communities in which HGAH serves as a General Partner (see Note 1). NorCal has not provided support under these guarantees in the past and based on the current evaluation, management believes they cumulatively do not constitute a material future financial risk exposure for NorCal.

Senior Living Services Industry

The senior living services industry is subject to numerous laws, regulations and administrative directives of federal, state and local governments and agencies. Compliance with these laws, regulations and administrative directives is subject to future government review and interpretation as well as regulatory actions unknown or unasserted at this time. Government activity continues to increase with respect to investigations and allegations concerning possible violations by healthcare providers of fraud and abuse statutes and regulations, which could result in the imposition of significant fines and penalties as well as significant repayments for resident services previously billed. Management is not aware of any material incidents of noncompliance; however, the possible future effects of this matter on the Corporations, if any, are not presently determinable.

COVID-19

The spread of COVID-19 around the world has caused significant volatility in U.S. and international markets, supply chains and businesses. The Corporations' evaluation of the effects of these events is ongoing as of the date the accompanying combined financial statements were issued. COVID-19 may impact various parts of the Corporations' 2021 operations and financial performance, including but not limited to additional costs for emergency preparedness, disease control and containment, COVID testing and vaccinations, potential shortages of personnel, supply chain disruption, declines in revenue related to decreases in occupancy or volumes of certain revenue streams. The extent of the impact will depend on future developments, including the duration and spread of the outbreak and related governmental or other regulatory actions. Throughout the pandemic, the Corporations have provided up to date information on their COVID-19 response through a dedicated page on the Corporations' website.

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14. Concentrations of Credit Risk

The Corporations grant credit without collateral to their residents, some of whom are insured under third-party payor arrangements.

The Corporations maintain cash accounts, which, at times, may exceed federally insured limits. The Corporations have not experienced any losses from maintaining cash accounts in excess of federally insured limits. Management believes it is not subject to any significant credit risk on its cash accounts.

15. Subsequent Events

Subsequent events are events or transactions that occur after the combined balance sheet date but before the combined financial statements are issued. The Corporations recognize in the combined financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the combined balance sheet, including the estimates inherent in the process of preparing the combined financial statements. The Corporations' combined financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the combined balance sheet but arose after the combined balance sheet date and before the combined financial statements are issued.

In April 2021, the Corporations applied and were approved for loans pursuant to the Paycheck Protection Program (PPP), administered by the U.S. Small Business Administration. The Corporations signed agreements with an effective date of April 29, 2021 for HumanGood NorCal, HumanGood SoCal and HumanGood Fresno in the amounts of \$10,000,000, \$9,246,000 and \$1,814,000, respectively. The loans carry no collateral or guarantee requirements. Under the terms of the loans, interest and principal payments are deferred for six months from the date of issuance. The PPP loans bear interest at 1 percent per annum and mature five years after issuance. Subject to certain eligibility and certification requirements under the PPP, some or all of the loan amounts may be forgiven; however, the amount and timing of any forgiveness is uncertain.

The Corporations have evaluated subsequent events through April 30, 2021, which is the date the combined financial statements were issued.

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Balance Sheet Schedule
December 31, 2020
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Assets										
Current Assets										
Cash and cash equivalents	\$ 17,771	\$ 1,787	\$ 1,884	\$ -	\$ 21,442	\$ 721	\$ 850	\$ 1,571	\$ -	\$ 23,013
Resident accounts receivable, net	7,575	4,580	523	-	12,678	4	-	4	-	12,682
Other receivables	3,033	4,118	5	-	7,156	633	-	633	-	7,789
Current portion of restricted investments	3,661	-	4	-	3,665	-	-	-	-	3,665
Intercompany advances due	10,276	(1,150)	(1,264)	-	7,862	(168)	(19)	(187)	-	7,675
Prepaid expenses, deposits and other assets	6,234	1,350	1,321	-	8,905	-	-	-	-	8,905
Total current assets	48,550	10,685	2,473	-	61,708	1,190	831	2,021	-	63,729
Restricted Cash	-	5,105	-	-	5,105	-	-	-	-	5,105
Investments	102,124	98,966	15,889	-	216,979	-	9,601	9,601	-	226,580
Designated Investments	51,017	13,936	-	-	64,953	59,013	-	59,013	-	123,966
Investments in HumanGood Nevada Bonds	4,242	-	-	-	4,242	-	-	-	-	4,242
Restricted Investments	34,982	-	-	-	34,982	12,839	26,869	39,708	-	74,690
Subordinated Notes Receivable, Net	40,713	-	-	(28,141)	12,572	-	-	-	-	12,572
Land, Buildings and Equipment, Net	230,823	163,754	80,047	-	474,624	-	-	-	-	474,624
Interest and Management Fees Due From Affiliates	9,879	-	-	(7,200)	2,679	-	-	-	-	2,679
Other Noncurrent Assets	1,714	3,040	-	-	4,754	-	-	-	-	4,754
Total assets	<u>\$ 524,044</u>	<u>\$ 295,486</u>	<u>\$ 98,409</u>	<u>\$ (35,341)</u>	<u>\$ 882,598</u>	<u>\$ 73,042</u>	<u>\$ 37,301</u>	<u>\$ 110,343</u>	<u>\$ -</u>	<u>\$ 992,941</u>

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Balance Sheet Schedule
December 31, 2020
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Liabilities and Net Assets (Deficit)										
Current Liabilities										
Accounts payable and accrued expenses	\$ 26,932	\$ 6,812	\$ 8,295	\$ (6,396)	\$ 35,643	\$ 83	\$ 29	\$ 112	\$ -	\$ 35,755
Deposits	1,983	766	122	-	2,871	-	-	-	-	2,871
Accrued interest	2,225	124	804	(804)	2,349	-	-	-	-	2,349
Current portion of notes and bonds payable	5,894	2,206	1,049	-	9,149	-	-	-	-	9,149
Entrance fee rebates payable	-	233	198	-	431	-	-	-	-	431
Total current liabilities	37,034	10,141	10,468	(7,200)	50,443	83	29	112	-	50,555
Notes and Bonds Payable, Net	182,983	112,027	71,635	(28,141)	338,504	-	-	-	-	338,504
Rebatable Entrance Fees Due	94,877	50,537	32,752	-	178,166	-	-	-	-	178,166
Entrance Fees Subject to Refund	34,265	35,016	6,546	-	75,827	-	-	-	-	75,827
Entrance Fees Nonrefundable	113,160	57,140	17,487	-	187,787	-	-	-	-	187,787
Revocable Trusts	-	-	-	-	-	275	-	275	-	275
Obligations Under Annuity Agreements	-	-	-	-	-	1,770	1,629	3,399	-	3,399
Retirement Liabilities	2,652	1,339	-	-	3,991	-	-	-	-	3,991
Workers' Compensation Liability	7,072	9,040	-	-	16,112	-	-	-	-	16,112
Other Liabilities	13,713	373	41	(7,200)	6,927	-	-	-	-	6,927
Total liabilities	485,756	275,613	138,929	(42,541)	857,757	2,128	1,658	3,786	-	861,543
Net Assets (Deficit)										
Without donor restrictions	38,288	19,873	(40,520)	7,200	24,841	59,168	9,780	68,948	-	93,789
With donor restrictions	-	-	-	-	-	11,746	25,863	37,609	-	37,609
Total net assets (deficit)	38,288	19,873	(40,520)	7,200	24,841	70,914	35,643	106,557	-	131,398
Total liabilities and net assets (deficit)	\$ 524,044	\$ 295,486	\$ 98,409	\$ (35,341)	\$ 882,598	\$ 73,042	\$ 37,301	\$ 110,343	\$ -	\$ 992,941

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Statement of Operations and Changes in Net Assets Schedule

Year Ended December 31, 2020

(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Changes in Net Assets Without Donor Restrictions										
Operating revenues:										
Residential living	\$ 55,956	\$ 40,417	\$ 11,301	\$ -	\$ 107,674	\$ -	\$ -	\$ -	\$ -	\$ 107,674
Assisted living	16,706	13,467	3,880	-	34,053	-	-	-	-	34,053
Health center	51,572	26,429	7,292	-	85,293	-	-	-	-	85,293
Memory care	8,491	3,125	2,238	-	13,854	-	-	-	-	13,854
Other residential services	1,755	1,933	69	-	3,757	-	-	-	-	3,757
Amortization of entrance fees	24,457	15,979	3,839	-	44,275	-	-	-	-	44,275
COVID relief funding	4,529	2,873	936	-	8,338	-	-	-	-	8,338
Other operating revenues	8,424	1,248	182	(2,162)	7,692	-	-	-	-	7,692
Net assets released from restrictions	-	-	-	-	-	2,515	1,610	4,125	-	4,125
Unrestricted contributions	-	-	-	-	-	1,338	(5)	1,333	-	1,333
Foundation community benefit	841	265	255	-	1,361	-	-	-	(1,361)	-
Total operating revenues	172,731	105,736	29,992	(2,162)	306,297	3,853	1,605	5,458	(1,361)	310,394
Operating expenses:										
Salaries and wages	71,955	47,546	9,243	-	128,744	206	155	361	-	129,105
Employee benefits	18,294	13,856	2,347	-	34,497	50	45	95	-	34,592
Supplies	11,789	8,814	2,492	-	23,095	1	17	18	-	23,113
Ancillary services	7,912	2,850	1,416	-	12,178	-	-	-	-	12,178
Repairs and maintenance	2,385	1,910	387	-	4,682	-	-	-	-	4,682
Marketing and advertising	1,831	1,510	575	-	3,916	-	-	-	-	3,916
Purchased services	8,577	6,165	1,023	-	15,765	40	14	54	-	15,819
Corporate allocations	-	-	2,162	(2,162)	-	-	-	-	-	-
Utilities	5,896	4,970	1,445	-	12,311	1	1	2	-	12,313
Travel and related	589	393	35	-	1,017	12	1	13	-	1,030
Leases and rents	1,334	402	148	-	1,884	-	-	-	-	1,884
Insurance	2,290	1,414	368	-	4,072	-	-	-	-	4,072
Foundation community distributions	-	-	-	-	-	1,096	265	1,361	(1,361)	-
Other operating expenses	1,458	2,687	587	-	4,732	2,312	1,112	3,424	-	8,156
Total operating expenses	134,310	92,517	22,228	(2,162)	246,893	3,718	1,610	5,328	(1,361)	250,860
Income (loss) before other operating income (expense)	38,421	13,219	7,764	-	59,404	135	(5)	130	-	59,534
Other operating income (expense):										
Realized (losses) gains on investments, net	(2,434)	1,946	356	-	(132)	(2,072)	(339)	(2,411)	-	(2,543)
Change in unrealized gains (losses) on investments, net	6,561	8,848	(94)	-	15,315	3,876	626	4,502	-	19,817
Unrealized losses on investment in HumanGood Nevada Bonds	(535)	-	-	-	(535)	-	-	-	-	(535)
Investment income, net	6,817	2,433	284	(4,150)	5,384	1,043	185	1,228	-	6,612
Mortgage interest	(6,984)	(3,562)	(3,806)	1,406	(12,946)	-	-	-	-	(12,946)
Depreciation	(20,165)	(17,538)	(4,758)	-	(42,461)	-	-	-	-	(42,461)
Losses on early retirement of debt	(1,774)	-	(5,846)	-	(7,620)	-	-	-	-	(7,620)
Income (loss) from operations	19,907	5,346	(6,100)	(2,744)	16,409	2,982	467	3,449	-	19,858

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Statement of Operations and Changes in Net Assets Schedule

Year Ended December 31, 2020

(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Changes in Net Assets Without Donor Restrictions (Continued)										
Other changes in net assets without donor restrictions:										
Change in minimum pension liability	\$ -	\$ (875)	\$ -	\$ -	\$ (875)	\$ -	\$ -	\$ -	\$ -	\$ (875)
Other affiliate distributions and equity transfers	(3,886)	(806)	6	-	(4,686)	-	(456)	(456)	-	(5,142)
Unrealized gains on interest rate swaps and caps	754	54	-	-	808	-	-	-	-	808
Change in net assets without donor restrictions	16,775	3,719	(6,094)	(2,744)	11,656	2,982	11	2,993	-	14,649
Changes in Net Assets With Donor Restrictions										
Dividend and interest income	-	-	-	-	-	224	474	698	-	698
Unrealized gains on investments with donor restrictions, net	-	-	-	-	-	577	1,462	2,039	-	2,039
Restricted equity contributions	-	-	-	-	-	-	456	456	-	456
Contributions	-	-	-	-	-	2,914	2,961	5,875	-	5,875
Net assets released from restrictions for benevolence	-	-	-	-	-	-	(227)	(227)	-	(227)
Contractual payments to beneficiaries	-	-	-	-	-	(359)	(1,199)	(1,558)	-	(1,558)
Realized losses on investments, net	-	-	-	-	-	(35)	(653)	(688)	-	(688)
Contractual liability adjustments	-	-	-	-	-	151	347	498	-	498
Net assets released from restrictions for special project funds	-	-	-	-	-	(2,515)	(1,383)	(3,898)	-	(3,898)
Change in net assets with donor restrictions	-	-	-	-	-	957	2,238	3,195	-	3,195
Change in net assets	16,775	3,719	(6,094)	(2,744)	11,656	3,939	2,249	6,188	-	17,844
Net Assets (Deficit), Beginning	21,513	16,154	(34,426)	9,944	13,185	66,975	33,394	100,369	-	113,554
Net Assets (Deficit), Ending	<u>\$ 38,288</u>	<u>\$ 19,873</u>	<u>\$ (40,520)</u>	<u>\$ 7,200</u>	<u>\$ 24,841</u>	<u>\$ 70,914</u>	<u>\$ 35,643</u>	<u>\$ 106,557</u>	<u>\$ -</u>	<u>\$ 131,398</u>

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Statement of Cash Flows Schedule
Year Ended December 31, 2020
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Cash Flows From Operating Activities										
Cash received for resident services	\$ 135,641	\$ 84,810	\$ 25,238	\$ -	\$ 245,689	\$ -	\$ -	\$ -	\$ -	\$ 245,689
Cash received from nonrebatable entrance fees										
from reoccupancy	25,441	15,866	2,616	-	43,923	-	-	-	-	43,923
Cash received from COVID relief funding	4,680	2,873	936	-	8,489	-	-	-	-	8,489
Cash received from other operating activities	6,314	1,477	602	(1,052)	7,341	(116)	15	(101)	(1,361)	5,879
Cash received from bequests and trust maturities	-	-	-	-	-	1,338	(5)	1,333	-	1,333
Cash earnings realized from investments	4,351	4,352	640	(4,150)	5,193	(1,028)	(154)	(1,182)	-	4,011
Cash paid for employee salaries	(67,102)	(42,181)	(8,599)	-	(117,882)	(317)	(208)	(525)	-	(118,407)
Cash paid for employee benefits	(17,586)	(12,618)	(2,347)	-	(32,551)	(50)	(45)	(95)	-	(32,646)
Cash paid for temporary labor	(4,563)	(4,827)	(530)	-	(9,920)	-	-	-	-	(9,920)
Cash paid to vendors	(42,376)	(29,880)	(10,904)	2,162	(80,998)	(919)	187	(732)	1,361	(80,369)
Cash paid for interest	(5,098)	(3,819)	(7,111)	1,406	(14,622)	-	-	-	-	(14,622)
Net cash provided by (used in) operating activities	39,702	16,053	541	(1,634)	54,662	(1,092)	(210)	(1,302)	-	53,360
Cash Flows From Investing Activities										
Acquisition of land, buildings and equipment	(20,927)	(12,546)	(1,849)	-	(35,322)	-	-	-	-	(35,322)
Net (purchases) sales of unrestricted investments	(5,448)	(4,356)	(499)	-	(10,303)	1,048	287	1,335	-	(8,968)
Net (purchases) sales of restricted investments	(1,423)	258	(734)	-	(1,899)	1,001	2,249	3,250	-	1,351
Cash (paid for) received from intercompany and affiliate transactions	(6,332)	6,747	290	-	705	263	79	342	-	1,047
Net cash (used in) provided by investing activities	(34,130)	(9,897)	(2,792)	-	(46,819)	2,312	2,615	4,927	-	(41,892)
Cash Flows From Financing Activities										
Proceeds from rebatable entrance fees	12,235	3,432	739	-	16,406	-	-	-	-	16,406
Refunds of deposits and refundable entrance fees	(11,096)	(10,421)	(3,626)	-	(25,143)	-	-	-	-	(25,143)
Proceeds from issuance of notes and bonds payable	2,043	-	-	-	2,043	-	-	-	-	2,043
Principal payments on notes and bonds payable	(5,645)	(2,201)	(2,339)	1,634	(8,551)	-	-	-	-	(8,551)
Cash paid for bond issuance costs	(1,633)	-	-	-	(1,633)	-	-	-	-	(1,633)
Cash paid for interest rate cap	(223)	-	-	-	(223)	-	-	-	-	(223)
Cash paid for other trust activity	-	-	-	-	-	(2,696)	(2,470)	(5,166)	-	(5,166)
Affiliate cash distributions	(3,886)	(806)	6	-	(4,686)	-	(456)	(456)	-	(5,142)
Cash received from restricted contributions	-	-	-	-	-	2,904	2,960	5,864	-	5,864
Net cash (used in) provided by financing activities	(8,205)	(9,996)	(5,220)	1,634	(21,787)	208	34	242	-	(21,545)
(Decrease) increase in cash, cash equivalents and restricted cash	(2,633)	(3,840)	(7,471)	-	(13,944)	1,428	2,439	3,867	-	(10,077)
Cash, Cash Equivalents and Restricted Cash, Beginning	56,010	10,732	9,359	-	76,101	859	1,618	2,477	-	78,578
Cash, Cash Equivalents and Restricted Cash, Ending	<u>\$ 53,377</u>	<u>\$ 6,892</u>	<u>\$ 1,888</u>	<u>\$ -</u>	<u>\$ 62,157</u>	<u>\$ 2,287</u>	<u>\$ 4,057</u>	<u>\$ 6,344</u>	<u>\$ -</u>	<u>\$ 68,501</u>

HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)

Combining Statement of Cash Flows Schedule
Year Ended December 31, 2020
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Noncash Disclosures										
Long-term debt repaid with proceeds from Series 2020 Bonds	\$ 34,415	\$ -	\$ 45,055	\$ -	\$ 79,470	\$ -	\$ -	\$ -	\$ -	\$ 79,470
Reconciliation of Cash, Cash Equivalents and Restricted Cash to Combining Balance Sheet										
Cash and cash equivalents	\$ 17,771	\$ 1,787	\$ 1,884	\$ -	\$ 21,442	\$ 721	\$ 850	\$ 1,571	\$ -	\$ 23,013
Restricted cash included in restricted investments	35,606	-	4	-	35,610	1,566	3,207	4,773	-	40,383
Restricted cash	-	5,105	-	-	5,105	-	-	-	-	5,105
Total cash, cash equivalents and restricted cash	\$ 53,377	\$ 6,892	\$ 1,888	\$ -	\$ 62,157	\$ 2,287	\$ 4,057	\$ 6,344	\$ -	\$ 68,501

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2020
(In Thousands)

	Terraces at Los Altos	Grand Lake Gardens	Piedmont Gardens	Plymouth Village	Valle Verde	Rosewood	Terraces of Los Gatos	NorCal Community Support Center	Eliminations	HumanGood NorCal
Changes in Net Assets Without Donor Restrictions										
Operating revenues:										
Residential living	\$ 7,028	\$ 4,037	\$ 8,733	\$ 7,086	\$ 13,875	\$ 4,000	\$ 11,197	\$ -	\$ -	\$ 55,956
Assisted living	2,903	-	4,058	2,207	2,072	1,940	3,526	-	-	16,706
Health center	5,300	-	12,444	4,370	10,348	8,927	10,183	-	-	51,572
Memory care	1,738	-	1,469	445	1,904	1,156	1,779	-	-	8,491
Other residential services	66	139	654	226	233	145	292	-	-	1,755
Amortization of entrance fees	4,522	369	3,498	2,222	6,627	607	6,612	-	-	24,457
COVID relief funding	486	-	844	581	885	763	970	-	-	4,529
Other operating revenues	174	132	113	169	834	140	166	18,573	(11,877)	8,424
Net assets released from restrictions	-	-	-	-	-	-	-	-	-	-
Unrestricted contributions	-	-	-	-	-	-	-	-	-	-
Foundation community benefit	111	42	60	187	301	140	-	-	-	841
Total operating revenues	22,328	4,719	31,873	17,493	37,079	17,818	34,725	18,573	(11,877)	172,731
Operating expenses:										
Salaries and wages	7,264	1,964	12,871	6,882	12,142	7,649	11,696	11,487	-	71,955
Employee benefits	1,748	469	3,396	1,746	3,118	1,966	2,754	3,097	-	18,294
Supplies	1,217	506	2,075	1,539	2,754	1,393	1,972	333	-	11,789
Ancillary services	900	6	1,386	757	1,124	1,922	1,817	-	-	7,912
Repairs and maintenance	296	32	477	275	560	253	473	19	-	2,385
Marketing and advertising	257	163	244	454	241	286	182	4	-	1,831
Purchased services	859	258	956	662	862	892	1,248	2,840	-	8,577
Corporate allocations	1,607	372	2,394	1,335	2,354	1,605	2,210	-	(11,877)	-
Utilities	665	408	1,091	852	1,150	585	945	200	-	5,896
Travel and related	21	23	39	74	84	31	51	266	-	589
Leases and rents	86	18	147	159	101	44	83	696	-	1,334
Insurance	245	61	388	259	439	306	381	211	-	2,290
Foundation community distributions	-	-	-	-	-	-	-	-	-	-
Other operating expenses	534	145	670	535	574	497	713	(2,210)	-	1,458
Total operating expenses	15,699	4,425	26,134	15,529	25,503	17,429	24,525	16,943	(11,877)	134,310
Income (loss) before other operating income (expense)	6,629	294	5,739	1,964	11,576	389	10,200	1,630	-	38,421
Other operating income (expense):										
Realized (losses) gains on investments, net	-	-	-	-	-	-	-	(2,434)	-	(2,434)
Change in unrealized gains (losses) on investments, net	-	-	-	-	-	-	-	6,561	-	6,561
Unrealized losses on investment in HumanGood Nevada Bonds	-	-	-	-	-	-	-	(535)	-	(535)
Investment income, net	-	-	-	-	-	-	-	6,817	-	6,817
Mortgage interest	(845)	(132)	(429)	(310)	(742)	(389)	(1,222)	(2,915)	-	(6,984)
Depreciation	(3,893)	(769)	(2,354)	(2,737)	(4,942)	(1,331)	(3,862)	(277)	-	(20,165)
Losses on early retirement of debt	179	-	-	-	14	-	-	(1,967)	-	(1,774)
Income (loss) from operations	2,070	(607)	2,956	(1,083)	5,906	(1,331)	5,116	6,880	-	19,907

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2020
(In Thousands)

	Terraces at Los Altos	Grand Lake Gardens	Piedmont Gardens	Plymouth Village	Valle Verde	Rosewood	Terraces of Los Gatos	NorCal Community Support Center	Eliminations	HumanGood NorCal
Changes in Net Assets Without Donor Restrictions (Continued)										
Other changes in net assets without donor restrictions:										
Change in minimum pension liability	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Other affiliate distributions and equity transfers	-	14	16	44	12	-	-	(3,972)	-	(3,886)
Unrealized gains on interest rate swaps and caps	-	-	-	-	-	-	-	754	-	754
Change in net assets without donor restrictions	2,070	(593)	2,972	(1,039)	5,918	(1,331)	5,116	3,662	-	16,775
Changes in Net Assets With Donor Restrictions										
Dividend and interest income	-	-	-	-	-	-	-	-	-	-
Unrealized gains on investments with donor restrictions, net	-	-	-	-	-	-	-	-	-	-
Restricted equity contributions	-	-	-	-	-	-	-	-	-	-
Contributions	-	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for benevolence	-	-	-	-	-	-	-	-	-	-
Contractual payments to beneficiaries	-	-	-	-	-	-	-	-	-	-
Realized losses on investments, net	-	-	-	-	-	-	-	-	-	-
Contractual liability adjustments	-	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for special project funds	-	-	-	-	-	-	-	-	-	-
Change in net assets with donor restrictions	-	-	-	-	-	-	-	-	-	-
Change in net assets	2,070	(593)	2,972	(1,039)	5,918	(1,331)	5,116	3,662	-	16,775
Net Assets (Deficit), Beginning	468	(10,155)	37,990	3,958	57,930	(19,574)	46,441	(95,545)	-	21,513
Net Assets (Deficit), Ending	<u>\$ 2,538</u>	<u>\$ (10,748)</u>	<u>\$ 40,962</u>	<u>\$ 2,919</u>	<u>\$ 63,848</u>	<u>\$ (20,905)</u>	<u>\$ 51,557</u>	<u>\$ (91,883)</u>	<u>\$ -</u>	<u>\$ 38,288</u>

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2020
(In Thousands)

	Royal Oaks	White Sands La Jolla	Windsor	Regents Point	Westminster Gardens	Redwood Terrace	SoCal Community Support Center	Eliminations	HumanGood SoCal
Changes in Net Assets Without Donor Restrictions									
Operating revenues:									
Residential living	\$ 7,185	\$ 10,385	\$ 3,000	\$ 10,817	\$ 4,453	\$ 4,577	\$ -	\$ -	\$ 40,417
Assisted living	1,763	2,856	2,441	3,346	1,456	1,605	-	-	13,467
Health center	5,538	4,650	2,944	5,910	-	7,387	-	-	26,429
Memory care	-	933	-	730	737	725	-	-	3,125
Other residential services	353	164	73	949	217	177	-	-	1,933
Amortization of entrance fees	2,796	5,054	466	4,604	1,391	1,668	-	-	15,979
COVID relief funding	626	285	373	842	113	634	-	-	2,873
Other operating revenues	132	156	60	387	99	95	7,299	(6,980)	1,248
Net assets released from restrictions	-	-	-	-	-	-	-	-	-
Unrestricted contributions	-	-	-	-	-	-	-	-	-
Foundation community benefit	27	47	5	20	77	89	-	-	265
Total operating revenues	18,420	24,530	9,362	27,605	8,543	16,957	7,299	(6,980)	105,736
Operating expenses:									
Salaries and wages	7,931	8,309	5,053	10,320	3,283	7,711	4,939	-	47,546
Employee benefits	2,388	2,485	1,459	3,048	834	2,363	1,279	-	13,856
Supplies	1,600	1,857	978	2,208	639	1,397	135	-	8,814
Ancillary services	495	60	316	637	16	1,326	-	-	2,850
Repairs and maintenance	581	317	229	458	184	133	8	-	1,910
Marketing and advertising	300	306	200	246	222	234	2	-	1,510
Purchased services	1,249	1,073	497	1,213	307	1,125	701	-	6,165
Corporate allocations	1,289	1,473	709	1,748	562	1,199	-	(6,980)	-
Utilities	779	1,084	460	1,134	466	899	148	-	4,970
Travel and related	43	23	64	56	24	75	108	-	393
Leases and rents	39	17	24	35	8	102	177	-	402
Insurance	250	280	150	331	113	253	37	-	1,414
Foundation community distributions	-	-	-	-	-	-	-	-	-
Other operating expenses	361	350	266	684	180	397	449	-	2,687
Total operating expenses	17,305	17,634	10,405	22,118	6,838	17,214	7,983	(6,980)	92,517
Income (loss) before other operating income (expense)	1,115	6,896	(1,043)	5,487	1,705	(257)	(684)	-	13,219
Other operating income (expense):									
Realized (losses) gains on investments, net	4	-	1	-	-	-	1,941	-	1,946
Change in unrealized gains (losses) on investments, net	-	-	-	-	-	-	8,848	-	8,848
Unrealized losses on investment in HumanGood Nevada Bonds	-	-	-	-	-	-	-	-	-
Investment income, net	-	16	-	-	1	-	2,416	-	2,433
Mortgage interest	(800)	(1,936)	(59)	(579)	(169)	-	(19)	-	(3,562)
Depreciation	(2,856)	(5,901)	(812)	(3,148)	(1,597)	(2,549)	(675)	-	(17,538)
Losses on early retirement of debt	-	-	-	-	-	-	-	-	-
Income (loss) from operations	(2,537)	(925)	(1,913)	1,760	(60)	(2,806)	11,827	-	5,346

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2020
(In Thousands)

	Royal Oaks	White Sands La Jolla	Windsor	Regents Point	Westminster Gardens	Redwood Terrace	SoCal Community Support Center	Eliminations	HumanGood SoCal
Changes in Net Assets Without Donor Restrictions (Continued)									
Other changes in net assets without donor restrictions:									
Change in minimum pension liability	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ (875)	\$ -	\$ (875)
Other affiliate distributions and equity transfers	104	327	3	214	80	42	(1,576)	-	(806)
Unrealized gains on interest rate swaps and caps	-	49	-	-	5	-	-	-	54
Change in net assets without donor restrictions	(2,433)	(549)	(1,910)	1,974	25	(2,764)	9,376	-	3,719
Changes in Net Assets With Donor Restrictions									
Dividend and interest income	-	-	-	-	-	-	-	-	-
Unrealized gains on investment with donor restrictions, net	-	-	-	-	-	-	-	-	-
Restricted equity contributions	-	-	-	-	-	-	-	-	-
Contributions	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for benevolence	-	-	-	-	-	-	-	-	-
Contractual payments to beneficiaries	-	-	-	-	-	-	-	-	-
Realized losses on investments, net	-	-	-	-	-	-	-	-	-
Contractual liability adjustments	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for special project funds	-	-	-	-	-	-	-	-	-
Change in net assets with donor restrictions	-	-	-	-	-	-	-	-	-
Change in net assets	(2,433)	(549)	(1,910)	1,974	25	(2,764)	9,376	-	3,719
Net Assets (Deficit), Beginning	(4,607)	(21,681)	(1,306)	38,245	6,772	(14,510)	13,241	-	16,154
Net Assets (Deficit), Ending	<u>\$ (7,040)</u>	<u>\$ (22,230)</u>	<u>\$ (3,216)</u>	<u>\$ 40,219</u>	<u>\$ 6,797</u>	<u>\$ (17,274)</u>	<u>\$ 22,617</u>	<u>\$ -</u>	<u>\$ 19,873</u>

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2020
(In Thousands)

	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Changes in Net Assets Without Donor Restrictions								
Operating revenues:								
Residential living	\$ 11,301	\$ -	\$ 107,674	\$ -	\$ -	\$ -	\$ -	\$ 107,674
Assisted living	3,880	-	34,053	-	-	-	-	34,053
Health center	7,292	-	85,293	-	-	-	-	85,293
Memory care	2,238	-	13,854	-	-	-	-	13,854
Other residential services	69	-	3,757	-	-	-	-	3,757
Amortization of entrance fees	3,839	-	44,275	-	-	-	-	44,275
COVID relief funding	936	-	8,338	-	-	-	-	8,338
Other operating revenues	182	(2,162)	7,692	-	-	-	-	7,692
Net assets released from restrictions	-	-	-	2,515	1,610	4,125	-	4,125
Unrestricted contributions	-	-	-	1,338	(5)	1,333	-	1,333
Foundation community benefit	255	-	1,361	-	-	-	(1,361)	-
Total operating revenues	29,992	(2,162)	306,297	3,853	1,605	5,458	(1,361)	310,394
Operating expenses:								
Salaries and wages	9,243	-	128,744	206	155	361	-	129,105
Employee benefits	2,347	-	34,497	50	45	95	-	34,592
Supplies	2,492	-	23,095	1	17	18	-	23,113
Ancillary services	1,416	-	12,178	-	-	-	-	12,178
Repairs and maintenance	387	-	4,682	-	-	-	-	4,682
Marketing and advertising	575	-	3,916	-	-	-	-	3,916
Purchased services	1,023	-	15,765	40	14	54	-	15,819
Corporate allocations	2,162	(2,162)	-	-	-	-	-	-
Utilities	1,445	-	12,311	1	1	2	-	12,313
Travel and related	35	-	1,017	12	1	13	-	1,030
Leases and rents	148	-	1,884	-	-	-	-	1,884
Insurance	368	-	4,072	-	-	-	-	4,072
Foundation community distributions	-	-	-	1,096	265	1,361	(1,361)	-
Other operating expenses	587	-	4,732	2,312	1,112	3,424	-	8,156
Total operating expenses	22,228	(2,162)	246,893	3,718	1,610	5,328	(1,361)	250,860
Income (loss) before other operating income (expense)	7,764	-	59,404	135	(5)	130	-	59,534
Other operating income (expense):								
Realized (losses) gains on investments, net	356	-	(132)	(2,072)	(339)	(2,411)	-	(2,543)
Change in unrealized gains (losses) on investments, net	(94)	-	15,315	3,876	626	4,502	-	19,817
Unrealized losses on investment in HumanGood Nevada Bonds	-	-	(535)	-	-	-	-	(535)
Investment income, net	284	(4,150)	5,384	1,043	185	1,228	-	6,612
Mortgage interest	(3,806)	1,406	(12,946)	-	-	-	-	(12,946)
Depreciation	(4,758)	-	(42,461)	-	-	-	-	(42,461)
Losses on early retirement of debt	(5,846)	-	(7,620)	-	-	-	-	(7,620)
Income (loss) from operations	(6,100)	(2,744)	16,409	2,982	467	3,449	-	19,858

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2020
(In Thousands)

	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Changes in Net Assets Without Donor Restrictions (Continued)								
Other changes in net assets without donor restrictions:								
Change in minimum pension liability	\$ -	\$ -	\$ (875)	\$ -	\$ -	\$ -	\$ -	\$ (875)
Other affiliate distributions and equity transfers	6	-	(4,686)	-	(456)	(456)	-	(5,142)
Unrealized gains on interest rate swaps and caps	-	-	808	-	-	-	-	808
Change in net assets without donor restrictions	(6,094)	(2,744)	11,656	2,982	11	2,993	-	14,649
Changes in Net Assets With Donor Restrictions								
Dividend and interest income	-	-	-	224	474	698	-	698
Unrealized gains on investments with donor restrictions, net	-	-	-	577	1,462	2,039	-	2,039
Restricted equity contributions	-	-	-	-	456	456	-	456
Contributions	-	-	-	2,914	2,961	5,875	-	5,875
Net assets released from restrictions for benevolence	-	-	-	-	(227)	(227)	-	(227)
Contractual payments to beneficiaries	-	-	-	(359)	(1,199)	(1,558)	-	(1,558)
Realized losses on investments, net	-	-	-	(35)	(653)	(688)	-	(688)
Contractual liability adjustments	-	-	-	151	347	498	-	498
Net assets released from restrictions for special project funds	-	-	-	(2,515)	(1,383)	(3,898)	-	(3,898)
Change in net assets with donor restrictions	-	-	-	957	2,238	3,195	-	3,195
Change in net assets	(6,094)	(2,744)	11,656	3,939	2,249	6,188	-	17,844
Net Assets (Deficit), Beginning	(34,426)	9,944	13,185	66,975	33,394	100,369	-	113,554
Net Assets (Deficit), Ending	<u>\$ (40,520)</u>	<u>\$ 7,200</u>	<u>\$ 24,841</u>	<u>\$ 70,914</u>	<u>\$ 35,643</u>	<u>\$ 106,557</u>	<u>\$ -</u>	<u>\$ 131,398</u>

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Balance Sheet Schedule
December 31, 2019
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Assets										
Current Assets										
Cash and cash equivalents	\$ 18,428	\$ 5,644	\$ 8,338	\$ -	\$ 32,410	\$ 229	\$ 581	\$ 810	\$ -	\$ 33,220
Resident accounts receivable, net	9,349	4,539	1,138	-	15,026	-	-	-	-	15,026
Other receivables	2,357	3,098	164	-	5,619	521	15	536	-	6,155
Current portion of restricted investments	5,169	-	4,607	-	9,776	-	-	-	-	9,776
Intercompany advances due	8,269	369	(72)	-	8,566	95	59	154	-	8,720
Prepaid expenses, deposits and other assets	4,645	1,303	284	-	6,232	-	-	-	-	6,232
Total current assets	48,217	14,953	14,459	-	77,629	845	655	1,500	-	79,129
Restricted Cash	-	5,088	-	-	5,088	-	-	-	-	5,088
Investments	88,433	87,748	15,484	-	191,665	-	9,262	9,262	-	200,927
Designated Investments	50,925	13,936	-	-	64,861	56,185	-	56,185	-	121,046
Investments in HumanGood Nevada Bonds	5,018	-	-	-	5,018	-	-	-	-	5,018
Restricted Investments	35,812	-	-	-	35,812	12,327	25,031	37,358	-	73,170
Subordinated Notes Receivable, Net	42,560	-	-	(29,775)	12,785	-	-	-	-	12,785
Land, Buildings and Equipment, Net	230,655	168,740	82,956	-	482,351	-	-	-	-	482,351
Interest and Management Fees Due From Affiliates	12,885	-	-	(9,944)	2,941	-	-	-	-	2,941
Other Noncurrent Assets	1,224	1,013	-	-	2,237	-	-	-	-	2,237
Total assets	<u>\$ 515,729</u>	<u>\$ 291,478</u>	<u>\$ 112,899</u>	<u>\$ (39,719)</u>	<u>\$ 880,387</u>	<u>\$ 69,357</u>	<u>\$ 34,948</u>	<u>\$ 104,305</u>	<u>\$ -</u>	<u>\$ 984,692</u>

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Balance Sheet Schedule
December 31, 2019
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Liabilities and Net Assets (Deficit)										
Current Liabilities										
Accounts payable and accrued expenses	\$ 27,030	\$ 5,230	\$ 7,680	\$ (6,396)	\$ 33,544	\$ 164	\$ 95	\$ 259	\$ -	\$ 33,803
Deposits	1,530	723	110	-	2,363	-	-	-	-	2,363
Accrued interest	2,594	193	4,146	(3,548)	3,385	-	-	-	-	3,385
Current portion of notes and bonds payable	5,645	2,201	705	-	8,551	-	-	-	-	8,551
Entrance fee rebates payable	184	1,366	13	-	1,563	-	-	-	-	1,563
Total current liabilities	36,983	9,713	12,654	(9,944)	49,406	164	95	259	-	49,665
Notes and Bonds Payable, Net	193,519	108,934	73,659	(29,775)	346,337	-	-	-	-	346,337
Rebatable Entrance Fees Due	91,082	52,712	35,339	-	179,133	-	-	-	-	179,133
Entrance Fees Subject to Refund	38,793	42,194	8,824	-	89,811	-	-	-	-	89,811
Entrance Fees Nonrefundable	110,649	53,721	16,810	-	181,180	-	-	-	-	181,180
Revocable Trusts	-	-	-	-	-	315	-	315	-	315
Obligations Under Annuity Agreements	-	-	-	-	-	1,903	1,459	3,362	-	3,362
Retirement Liabilities	2,506	214	-	-	2,720	-	-	-	-	2,720
Workers' Compensation Liability	6,811	7,568	-	-	14,379	-	-	-	-	14,379
Other Liabilities	13,873	268	39	(9,944)	4,236	-	-	-	-	4,236
Total liabilities	494,216	275,324	147,325	(49,663)	867,202	2,382	1,554	3,936	-	871,138
Net Assets (Deficit)										
Without donor restrictions	21,513	16,154	(34,426)	9,944	13,185	56,186	9,769	65,955	-	79,140
With donor restrictions	-	-	-	-	-	10,789	23,625	34,414	-	34,414
Total net assets (deficit)	21,513	16,154	(34,426)	9,944	13,185	66,975	33,394	100,369	-	113,554
Total liabilities and net assets (deficit)	\$ 515,729	\$ 291,478	\$ 112,899	\$ (39,719)	\$ 880,387	\$ 69,357	\$ 34,948	\$ 104,305	\$ -	\$ 984,692

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Changes in Net Assets Without Donor Restrictions										
Operating revenues:										
Residential living	\$ 55,438	\$ 40,227	\$ 11,016	\$ -	\$ 106,681	\$ -	\$ -	\$ -	\$ -	\$ 106,681
Assisted living	16,210	13,219	3,935	-	33,364	-	-	-	-	33,364
Health center	59,356	26,311	8,074	-	93,741	-	-	-	-	93,741
Memory care	9,307	2,874	1,908	-	14,089	-	-	-	-	14,089
Other residential services	1,487	129	11	-	1,627	-	-	-	-	1,627
Amortization of entrance fees	22,729	16,589	3,811	-	43,129	-	-	-	-	43,129
Other operating revenue	7,795	2,292	464	(1,020)	9,531	-	-	-	-	9,531
Net assets released from restrictions	-	-	-	-	-	2,905	1,580	4,485	-	4,485
Unrestricted contributions	-	-	-	-	-	2,633	-	2,633	-	2,633
Foundation community benefit	702	286	196	-	1,184	-	-	-	(1,184)	-
Total operating revenues	173,024	101,927	29,415	(1,020)	303,346	5,538	1,580	7,118	(1,184)	309,280
Operating expenses:										
Salaries and wages	73,880	48,285	9,761	-	131,926	473	262	735	-	132,661
Employee benefits	17,498	12,038	2,348	-	31,884	72	61	133	-	32,017
Supplies	11,080	8,008	2,457	-	21,545	1	2	3	-	21,548
Ancillary services	10,300	3,067	1,881	-	15,248	-	-	-	-	15,248
Repairs and maintenance	2,260	1,800	380	-	4,440	3	-	3	-	4,443
Marketing and advertising	1,485	1,292	575	-	3,352	-	-	-	-	3,352
Purchased services	7,099	6,359	842	-	14,300	35	13	48	-	14,348
Corporate allocations	-	-	2,040	(2,040)	-	-	-	-	-	-
Utilities	5,585	5,049	1,267	-	11,901	2	2	4	-	11,905
Travel and related	1,631	962	91	-	2,684	28	23	51	-	2,735
Leases and rents	1,239	401	148	-	1,788	10	-	10	-	1,798
Insurance	1,959	1,398	320	-	3,677	-	-	-	-	3,677
Foundation community distributions	-	-	-	-	-	898	286	1,184	(1,184)	-
Other operating expenses	696	1,815	309	-	2,820	2,709	932	3,641	-	6,461
Total operating expenses	134,712	90,474	22,419	(2,040)	245,565	4,231	1,581	5,812	(1,184)	250,193
Income (loss) before other operating income (expense)	38,312	11,453	6,996	1,020	57,781	1,307	(1)	1,306	-	59,087
Other operating income (expense):										
Realized gains (losses) on investments, net	1,172	3,000	86	-	4,258	501	(8)	493	-	4,751
Change in unrealized gains (losses) on investments, net	7,374	6,234	143	-	13,751	5,577	1,255	6,832	-	20,583
Unrealized gains on investment in HumanGood Nevada Bonds	412	-	-	-	412	-	-	-	-	412
Investment income, net	3,491	3,236	340	-	7,067	1,182	263	1,445	-	8,512
Mortgage interest	(8,155)	(5,557)	(4,383)	684	(17,411)	-	-	-	-	(17,411)
Depreciation	(20,377)	(16,755)	(4,501)	-	(41,633)	-	-	-	-	(41,633)
Losses on early retirement of debt	(4,155)	(3,409)	-	-	(7,564)	-	-	-	-	(7,564)
Gains (losses) on disposal of fixed assets	480	(570)	-	-	(90)	-	-	-	-	(90)
Income (loss) from operations	18,554	(2,368)	(1,319)	1,704	16,571	8,567	1,509	10,076	-	26,647

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Changes in Net Assets Without Donor Restrictions (Continued)										
Other changes in net assets without donor restrictions:										
Change in minimum pension liability	\$ -	\$ (2,567)	\$ -	\$ -	\$ (2,567)	\$ -	\$ -	\$ -	\$ -	\$ (2,567)
Other affiliate distributions and equity transfers	(7,309)	(3,107)	12	-	(10,404)	2,980	(1,919)	1,061	-	(9,343)
Unrealized losses on interest rate caps	-	(157)	-	-	(157)	-	-	-	-	(157)
Change in net assets without donor restrictions	11,245	(8,199)	(1,307)	1,704	3,443	11,547	(410)	11,137	-	14,580
Changes in Net Assets With Donor Restrictions										
Dividend and interest income	-	-	-	-	-	779	552	1,331	-	1,331
Unrealized gains on investments with donor restrictions, net	-	-	-	-	-	574	2,295	2,869	-	2,869
Restricted equity contributions	-	-	-	-	-	-	2,033	2,033	-	2,033
Contributions	-	-	-	-	-	2,479	3,183	5,662	-	5,662
Net assets released from restrictions for benevolence	-	-	-	-	-	-	(286)	(286)	-	(286)
Contractual payments to beneficiaries	-	-	-	-	-	(364)	(1,298)	(1,662)	-	(1,662)
Realized gains on investments, net	-	-	-	-	-	16	119	135	-	135
Contractual liability adjustments	-	-	-	-	-	209	235	444	-	444
Net assets released from restrictions for special project funds	-	-	-	-	-	(2,905)	(1,294)	(4,199)	-	(4,199)
Change in net assets with donor restrictions	-	-	-	-	-	788	5,539	6,327	-	6,327
Change in net assets	11,245	(8,199)	(1,307)	1,704	3,443	12,335	5,129	17,464	-	20,907
Net Assets (Deficit), Beginning	10,268	24,353	(33,119)	8,240	9,742	54,640	28,265	82,905	-	92,647
Net Assets (Deficit), Ending	\$ 21,513	\$ 16,154	\$ (34,426)	\$ 9,944	\$ 13,185	\$ 66,975	\$ 33,394	\$ 100,369	\$ -	\$ 113,554

HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)

Combining Statement of Cash Flows Schedule
Year Ended December 31, 2019
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Cash Flows From Operating Activities										
Cash received for resident services	\$ 138,662	\$ 81,367	\$ 24,633	\$ -	\$ 244,662	\$ -	\$ -	\$ -	\$ -	\$ 244,662
Cash received from nonrebatable entrance fees from reoccupancy	23,527	22,781	7,851	-	54,159	-	-	-	-	54,159
Cash received from other operating activities	9,251	2,591	659	(1,019)	11,482	119	-	119	(1,186)	10,415
Cash received from bequests and trust maturities	-	-	-	-	-	2,633	-	2,633	-	2,633
Cash earnings realized from investments	4,663	6,234	425	-	11,322	1,683	254	1,937	-	13,259
Cash paid for employee salaries	(63,421)	(45,650)	(9,239)	-	(118,310)	(355)	(203)	(558)	-	(118,868)
Cash paid for employee benefits	(14,492)	(12,768)	(2,348)	-	(29,608)	(72)	(61)	(133)	-	(29,741)
Cash paid for temporary labor	(5,914)	(4,811)	(550)	-	(11,275)	-	-	-	-	(11,275)
Cash paid to vendors	(42,801)	(31,591)	(9,870)	1,019	(83,243)	(756)	324	(432)	1,186	(82,489)
Cash paid for interest	(7,713)	(6,041)	(3,624)	-	(17,378)	-	-	-	-	(17,378)
Net cash provided by operating activities	41,762	12,112	7,937	-	61,811	3,252	314	3,566	-	65,377
Cash Flows From Investing Activities										
Acquisition of land, buildings and equipment	(15,988)	(13,235)	(3,695)	-	(32,918)	-	-	-	-	(32,918)
Net sales (purchases) of unrestricted investments	(16,193)	2,850	(3,286)	-	(16,629)	(6,104)	2,164	(3,940)	-	(20,569)
Net sales (purchases) of restricted investments	3,532	4,606	(87)	-	8,051	(1,302)	(900)	(2,202)	-	5,849
Cash received from (paid to) intercompany and affiliate transactions	1,930	2,092	(220)	-	3,802	(34)	(81)	(115)	-	3,687
Net cash (used in) provided by investing activities	(26,719)	(3,687)	(7,288)	-	(37,694)	(7,440)	1,183	(6,257)	-	(43,951)
Cash Flows From Financing Activities										
Proceeds from rebatable entrance fees	6,295	3,329	3,060	-	12,684	-	-	-	-	12,684
Refunds of deposits and refundable entrance fees	(4,013)	(6,709)	(2,465)	-	(13,187)	-	-	-	-	(13,187)
Proceeds from issuance of notes and bonds payable	14,577	(1,169)	-	-	13,408	-	-	-	-	13,408
Principal payments on notes and bonds payable	(3,834)	(970)	(675)	-	(5,479)	-	-	-	-	(5,479)
Cash paid for bond issuance costs	(2,211)	-	-	-	(2,211)	-	-	-	-	(2,211)
Cash paid for other trust activity	-	-	-	-	-	(2,154)	(2,173)	(4,327)	-	(4,327)
Affiliate cash distributions	(7,309)	(3,108)	12	-	(10,405)	2,980	(1,919)	1,061	-	(9,344)
Cash received from restricted contributions	-	-	-	-	-	2,452	3,183	5,635	-	5,635
Net cash provided by (used in) financing activities	3,505	(8,627)	(68)	-	(5,190)	3,278	(909)	2,369	-	(2,821)
Increase (decrease) in cash, cash equivalents and restricted cash	18,548	(202)	581	-	18,927	(910)	588	(322)	-	18,605
Cash, Cash Equivalents and Restricted Cash, Beginning	37,462	10,934	8,778	-	57,174	1,769	1,030	2,799	-	59,973
Cash, Cash Equivalents and Restricted Cash, Ending	\$ 56,010	\$ 10,732	\$ 9,359	\$ -	\$ 76,101	\$ 859	\$ 1,618	\$ 2,477	\$ -	\$ 78,578

HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)

Combining Statement of Cash Flows Schedule
Year Ended December 31, 2019
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Noncash Disclosures										
Long-term debt repaid with proceeds from Series 2019 Bonds	\$ 100,130	\$ 67,980	\$ -	\$ -	\$ 168,110	\$ -	\$ -	\$ -	\$ -	\$ 168,110
Reconciliation of Cash, Cash Equivalents and Restricted Cash to Combining Balance Sheet										
Cash and cash equivalents	\$ 18,428	\$ 5,644	\$ 8,338	\$ -	\$ 32,410	\$ 229	\$ 581	\$ 810	\$ -	\$ 33,220
Restricted cash included in restricted investments	37,582	-	1,021	-	38,603	630	1,037	1,667	-	40,270
Restricted cash	-	5,088	-	-	5,088	-	-	-	-	5,088
Total cash, cash equivalents and restricted cash	\$ 56,010	\$ 10,732	\$ 9,359	\$ -	\$ 76,101	\$ 859	\$ 1,618	\$ 2,477	\$ -	\$ 78,578

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	Terraces at Los Altos	Grand Lake Gardens	Piedmont Gardens	Plymouth Village	Valle Verde	Rosewood	Terraces of Los Gatos	NorCal Community Support Center	Eliminations	HumanGood NorCal
Changes in Net Assets Without Donor Restrictions										
Operating revenues:										
Residential living	\$ 6,888	\$ 4,112	\$ 8,708	\$ 7,085	\$ 13,483	\$ 4,191	\$ 10,971	\$ -	\$ -	\$ 55,438
Assisted living	2,821	-	3,847	2,024	2,089	1,891	3,538	-	-	16,210
Health center	6,976	-	12,731	4,838	10,767	10,891	13,153	-	-	59,356
Memory care	2,034	-	1,473	688	1,834	1,368	1,910	-	-	9,307
Other residential services	81	101	627	96	232	229	121	-	-	1,487
Amortization of entrance fees	3,025	397	3,080	2,433	6,882	710	6,202	-	-	22,729
Other operating revenues	165	138	273	262	990	237	333	16,530	(11,133)	7,795
Net assets released from restrictions	-	-	-	-	-	-	-	-	-	-
Unrestricted contributions	-	-	-	-	-	-	-	-	-	-
Foundation community benefit	66	18	88	178	250	97	5	-	-	702
Total operating revenues	22,056	4,766	30,827	17,604	36,527	19,614	36,233	16,530	(11,133)	173,024
Operating expenses:										
Salaries and wages	8,389	1,953	13,158	7,381	11,643	7,988	11,704	11,664	-	73,880
Employee benefits	1,800	444	3,264	1,581	2,835	1,976	2,644	2,954	-	17,498
Supplies	1,249	482	1,853	1,255	2,605	1,420	1,918	298	-	11,080
Ancillary services	1,392	1	1,594	989	1,398	2,514	2,412	-	-	10,300
Repairs and maintenance	173	24	423	500	558	206	375	1	-	2,260
Marketing and advertising	234	130	220	339	201	203	124	34	-	1,485
Purchased services	860	275	1,009	805	976	970	1,239	965	-	7,099
Corporate allocations	1,493	325	2,270	1,273	2,166	1,559	2,047	-	(11,133)	-
Utilities	414	404	1,004	744	1,200	578	1,040	201	-	5,585
Travel and related	54	39	89	84	191	65	117	992	-	1,631
Leases and rents	57	22	116	151	101	55	56	681	-	1,239
Insurance	202	65	344	257	358	272	328	133	-	1,959
Foundation community distributions	-	-	-	-	-	-	-	-	-	-
Other operating expenses	217	118	429	855	519	270	591	(2,303)	-	696
Total operating expenses	16,534	4,282	25,773	16,214	24,751	18,076	24,595	15,620	(11,133)	134,712
Income (loss) before other operating income (expense)	5,522	484	5,054	1,390	11,776	1,538	11,638	910	-	38,312
Other operating income (expense):										
Realized (losses) gains on investments, net	-	-	-	-	-	-	-	1,172	-	1,172
Change in unrealized gains (losses) on investments, net	-	-	-	-	-	-	-	7,374	-	7,374
Unrealized gains on investment in HumanGood Nevada Bonds	-	-	-	-	-	-	-	412	-	412
Investment income, net	-	-	-	-	-	-	-	3,491	-	3,491
Mortgage interest	(1,228)	(176)	(573)	(354)	(1,038)	(520)	(1,754)	(2,512)	-	(8,155)
Depreciation	(3,892)	(828)	(2,234)	(2,795)	(5,087)	(1,392)	(3,786)	(363)	-	(20,377)
Losses on early retirement of debt	-	-	-	-	-	-	-	(4,155)	-	(4,155)
Gains (losses) on disposal of fixed assets	-	-	-	-	-	-	-	480	-	480
Income (loss) from operations	402	(520)	2,247	(1,759)	5,651	(374)	6,098	6,809	-	18,554

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	Terraces at Los Altos	Grand Lake Gardens	Piedmont Gardens	Plymouth Village	Valle Verde	Rosewood	Terraces of Los Gatos	NorCal Community Support Center	Eliminations	HumanGood NorCal
Changes in Net Assets Without Donor Restrictions (Continued)										
Other changes in net assets without donor restrictions:										
Change in minimum pension liability	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Other affiliate distributions and equity transfers	-	-	99	12	-	21	-	(7,441)	-	(7,309)
Unrealized gains on interest rate caps	-	-	-	-	-	-	-	-	-	-
Change in net assets without donor restrictions	402	(520)	2,346	(1,747)	5,651	(353)	6,098	(632)	-	11,245
Changes in Net Assets With Donor Restrictions										
Dividend and interest income	-	-	-	-	-	-	-	-	-	-
Unrealized gains on investments with donor restrictions, net	-	-	-	-	-	-	-	-	-	-
Restricted equity contributions	-	-	-	-	-	-	-	-	-	-
Contributions	-	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for benevolence	-	-	-	-	-	-	-	-	-	-
Contractual payments to beneficiaries	-	-	-	-	-	-	-	-	-	-
Realized losses on investments, net	-	-	-	-	-	-	-	-	-	-
Contractual liability adjustments	-	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for special project funds	-	-	-	-	-	-	-	-	-	-
Change in net assets with donor restrictions	-	-	-	-	-	-	-	-	-	-
Change in net assets	402	(520)	2,346	(1,747)	5,651	(353)	6,098	(632)	-	11,245
Net Assets (Deficit), Beginning	66	(9,635)	35,644	5,705	52,279	(19,221)	40,343	(94,913)	-	10,268
Net Assets (Deficit), Ending	<u>\$ 468</u>	<u>\$ (10,155)</u>	<u>\$ 37,990</u>	<u>\$ 3,958</u>	<u>\$ 57,930</u>	<u>\$ (19,574)</u>	<u>\$ 46,441</u>	<u>\$ (95,545)</u>	<u>\$ -</u>	<u>\$ 21,513</u>

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	Royal Oaks	White Sands La Jolla	Windsor	Regents Point	Westminster Gardens	Redwood Terrace	SoCal Community Support Center	Eliminations	HumanGood SoCal
Changes in Net Assets Without Donor Restrictions									
Operating revenues:									
Residential living	\$ 7,207	\$ 10,291	\$ 2,845	\$ 10,860	\$ 4,497	\$ 4,527	\$ -	\$ -	\$ 40,227
Assisted living	1,906	2,547	2,604	3,184	1,531	1,447	-	-	13,219
Health center	5,893	3,986	2,588	6,417	-	7,427	-	-	26,311
Memory care	-	860	-	690	565	759	-	-	2,874
Other residential services	54	29	-	46	-	-	-	-	129
Amortization of entrance fees	2,840	4,893	718	4,755	1,561	1,822	-	-	16,589
Other operating revenues	298	489	100	316	160	327	6,853	(6,251)	2,292
Net assets released from restrictions	-	-	-	-	-	-	-	-	-
Unrestricted contributions	-	-	-	-	-	-	-	-	-
Foundation community benefit	24	32	12	30	33	155	-	-	286
Total operating revenues	18,222	23,127	8,867	26,298	8,347	16,464	6,853	(6,251)	101,927
Operating expenses:									
Salaries and wages	7,646	8,316	4,587	10,262	3,192	8,116	6,166	-	48,285
Employee benefits	2,044	2,118	1,154	2,533	711	2,109	1,369	-	12,038
Supplies	1,499	1,693	835	2,081	554	1,180	166	-	8,008
Ancillary services	430	61	200	822	12	1,542	-	-	3,067
Repairs and maintenance	477	537	248	282	151	90	15	-	1,800
Marketing and advertising	245	311	153	158	242	166	17	-	1,292
Purchased services	1,448	1,196	530	1,220	333	1,078	554	-	6,359
Corporate allocations	1,192	1,604	610	1,472	393	980	-	(6,251)	-
Utilities	955	1,108	398	1,088	389	938	173	-	5,049
Travel and related	103	42	74	91	28	135	489	-	962
Leases and rents	39	10	19	28	7	77	221	-	401
Insurance	233	317	140	305	146	238	19	-	1,398
Foundation community distributions	-	-	-	-	-	-	-	-	-
Other operating expenses	(309)	164	454	420	210	413	463	-	1,815
Total operating expenses	16,002	17,477	9,402	20,762	6,368	17,062	9,652	(6,251)	90,474
Income (loss) before other operating income (expense)	2,220	5,650	(535)	5,536	1,979	(598)	(2,799)	-	11,453
Other operating income (expense):									
Realized (losses) gains on investments, net	-	-	-	-	-	-	3,000	-	3,000
Change in unrealized gains (losses) on investments, net	-	-	-	-	-	-	6,234	-	6,234
Unrealized gains on investment in HumanGood Nevada Bonds	-	-	-	-	-	-	-	-	-
Investment income, net	-	25	1	-	2	1	3,207	-	3,236
Mortgage interest	(1,296)	(2,960)	(96)	(938)	(257)	-	(10)	-	(5,557)
Depreciation	(2,610)	(5,759)	(769)	(3,005)	(1,450)	(2,326)	(836)	-	(16,755)
Losses on early retirement of debt	-	-	-	-	-	-	(3,409)	-	(3,409)
Gains (losses) on disposal of fixed assets	-	-	-	-	(34)	-	(536)	-	(570)
Income (loss) from operations	(1,686)	(3,044)	(1,399)	1,593	240	(2,923)	4,851	-	(2,368)

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	Royal Oaks	White Sands La Jolla	Windsor	Regents Point	Westminster Gardens	Redwood Terrace	SoCal Community Support Center	Eliminations	HumanGood SoCal
Changes in Net Assets Without Donor Restrictions (Continued)									
Other changes in net assets without donor restrictions:									
Change in minimum pension liability	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ (2,567)	\$ -	\$ (2,567)
Other affiliate distributions and equity transfers	111	682	3	19	111	81	(4,114)	-	(3,107)
Unrealized losses on interest rate caps	-	(144)	-	-	(13)	-	-	-	(157)
Change in net assets without donor restrictions	(1,575)	(2,506)	(1,396)	1,612	338	(2,842)	(1,830)	-	(8,199)
Changes in Net Assets With Donor Restrictions									
Dividend and interest income	-	-	-	-	-	-	-	-	-
Unrealized gains on investment with donor restrictions, net	-	-	-	-	-	-	-	-	-
Restricted equity contributions	-	-	-	-	-	-	-	-	-
Contributions	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for benevolence	-	-	-	-	-	-	-	-	-
Contractual payments to beneficiaries	-	-	-	-	-	-	-	-	-
Realized losses on investments, net	-	-	-	-	-	-	-	-	-
Contractual liability adjustments	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for special project funds	-	-	-	-	-	-	-	-	-
Change in net assets with donor restrictions	-	-	-	-	-	-	-	-	-
Change in net assets	(1,575)	(2,506)	(1,396)	1,612	338	(2,842)	(1,830)	-	(8,199)
Net Assets (Deficit), Beginning	(3,032)	(19,175)	90	36,633	6,434	(11,668)	15,071	-	24,353
Net Assets (Deficit), Ending	<u>\$ (4,607)</u>	<u>\$ (21,681)</u>	<u>\$ (1,306)</u>	<u>\$ 38,245</u>	<u>\$ 6,772</u>	<u>\$ (14,510)</u>	<u>\$ 13,241</u>	<u>\$ -</u>	<u>\$ 16,154</u>

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Changes in Net Assets Without Donor Restrictions								
Operating revenues:								
Residential living	\$ 11,016	\$ -	\$ 106,681	\$ -	\$ -	\$ -	\$ -	\$ 106,681
Assisted living	3,935	-	33,364	-	-	-	-	33,364
Health center	8,074	-	93,741	-	-	-	-	93,741
Memory care	1,908	-	14,089	-	-	-	-	14,089
Other residential services	11	-	1,627	-	-	-	-	1,627
Amortization of entrance fees	3,811	-	43,129	-	-	-	-	43,129
Other operating revenues	464	(1,020)	9,531	-	-	-	-	9,531
Net assets released from restrictions	-	-	-	2,905	1,580	4,485	-	4,485
Unrestricted contributions	-	-	-	2,633	-	2,633	-	2,633
Foundation community benefit	196	-	1,184	-	-	-	(1,184)	-
Total operating revenues	29,415	(1,020)	303,346	5,538	1,580	7,118	(1,184)	309,280
Operating expenses:								
Salaries and wages	9,761	-	131,926	473	262	735	-	132,661
Employee benefits	2,348	-	31,884	72	61	133	-	32,017
Supplies	2,457	-	21,545	1	2	3	-	21,548
Ancillary services	1,881	-	15,248	-	-	-	-	15,248
Repairs and maintenance	380	-	4,440	3	-	3	-	4,443
Marketing and advertising	575	-	3,352	-	-	-	-	3,352
Purchased services	842	-	14,300	35	13	48	-	14,348
Corporate allocations	2,040	(2,040)	-	-	-	-	-	-
Utilities	1,267	-	11,901	2	2	4	-	11,905
Travel and related	91	-	2,684	28	23	51	-	2,735
Leases and rents	148	-	1,788	10	-	10	-	1,798
Insurance	320	-	3,677	-	-	-	-	3,677
Foundation community distribution	-	-	-	898	286	1,184	(1,184)	-
Other operating expenses	309	-	2,820	2,709	932	3,641	-	6,461
Total operating expenses	22,419	(2,040)	245,565	4,231	1,581	5,812	(1,184)	250,193
Income (loss) before other operating income (expense)	6,996	1,020	57,781	1,307	(1)	1,306	-	59,087
Other operating income (expense):								
Realized gains (losses) on investments, net	86	-	4,258	501	(8)	493	-	4,751
Change in unrealized gains (losses) on investments, net	143	-	13,751	5,577	1,255	6,832	-	20,583
Unrealized gains on investment in HumanGood Nevada Bonds	-	-	412	-	-	-	-	412
Investment income, net	340	-	7,067	1,182	263	1,445	-	8,512
Mortgage interest	(4,383)	684	(17,411)	-	-	-	-	(17,411)
Depreciation	(4,501)	-	(41,633)	-	-	-	-	(41,633)
Losses on early retirement of debt	-	-	(7,564)	-	-	-	-	(7,564)
Gains (losses) on disposal of fixed assets	-	-	(90)	-	-	-	-	(90)
Income (loss) income from operations	(1,319)	1,704	16,571	8,567	1,509	10,076	-	26,647

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Changes in Net Assets Without Donor Restrictions (Continued)								
Other changes in net assets without donor restrictions:								
Change in minimum pension liability	\$ -	\$ -	\$ (2,567)	\$ -	\$ -	\$ -	\$ -	\$ (2,567)
Other affiliate distributions and equity transfers	12	-	(10,404)	2,980	(1,919)	1,061	-	(9,343)
Unrealized losses on interest rate caps	-	-	(157)	-	-	-	-	(157)
Change in net assets without donor restrictions	(1,307)	1,704	3,443	11,547	(410)	11,137	-	14,580
Changes in Net Assets With Donor Restrictions								
Dividend and interest income	-	-	-	779	552	1,331	-	1,331
Unrealized gains on investments with donor restrictions, net	-	-	-	574	2,295	2,869	-	2,869
Restricted equity contributions	-	-	-	-	2,033	2,033	-	2,033
Contributions	-	-	-	2,479	3,183	5,662	-	5,662
Net assets released from restrictions for benevolence	-	-	-	-	(286)	(286)	-	(286)
Contractual payments to beneficiaries	-	-	-	(364)	(1,298)	(1,662)	-	(1,662)
Realized gains on investments, net	-	-	-	16	119	135	-	135
Contractual liability adjustments	-	-	-	209	235	444	-	444
Net assets released from restrictions for special project funds	-	-	-	(2,905)	(1,294)	(4,199)	-	(4,199)
Change in net assets without donor restrictions	-	-	-	788	5,539	6,327	-	6,327
Change in net assets	(1,307)	1,704	3,443	12,335	5,129	17,464	-	20,907
Net Assets (Deficit), Beginning	(33,119)	8,240	9,742	54,640	28,265	82,905	-	92,647
Net Assets (Deficit), Ending	<u>\$ (34,426)</u>	<u>\$ 9,944</u>	<u>\$ 13,185</u>	<u>\$ 66,975</u>	<u>\$ 33,394</u>	<u>\$ 100,369</u>	<u>\$ -</u>	<u>\$ 113,554</u>

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Combined Financial Statements
and Supplementary Information

December 31, 2019 and 2018

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

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Independent Auditors' Report

To the Boards of Directors of
HumanGood California Obligated Group & Foundation Affiliates

Report on the Financial Statements

We have audited the accompanying combined financial statements of the HumanGood California Obligated Group & Foundation Affiliates (the Corporations) which comprise the combined balance sheets as of December 31, 2019 and 2018, and the related combined statements of operations and changes in net assets and cash flows for the years then ended, and the related notes to the combined financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these combined financial statements in accordance with the accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of the combined financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these combined financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the combined financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the combined financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the combined financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the combined financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the combined financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the combined financial statements referred to above present fairly, in all material respects, the financial position of the Corporations as of December 31, 2019 and 2018, and the results of their operations and changes in net deficit, and cash flows for the years then ended, in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matters, Accounting Changes

As discussed in Note 2 to the combined financial statements, in 2019, the Corporations changed their accounting policy related to the accounting for investments. Our opinion is not modified with respect to this change.

In addition, as discussed in Note 2 to the combined financial statements, in 2019, the Corporations retrospectively adopted new accounting guidance on the presentation of amounts generally described as restricted cash and restricted cash equivalents in the combined statements of cash flows. Our opinion is not modified with respect to this matter.

Report on Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the combined financial statements as a whole. The supplementary information is presented for the purpose of additional analysis and is not a required part of the combined financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the combined financial statements. The information has been subjected to the auditing procedures applied in the audit of the combined financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the combined financial statements or to the combined financial statements themselves, and other additional procedures in accordance with the auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the combined financial statements as a whole.

A handwritten signature in black ink that reads "Baker Tilly Virchow Krause, LLP". The signature is written in a cursive, flowing style.

Philadelphia, Pennsylvania
April 29, 2020

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combined Balance Sheets
December 31, 2019 and 2018
(In Thousands)

	2019	2018		2019	2018
Assets			Liabilities and Net Assets		
Current Assets			Current Liabilities		
Cash and cash equivalents	\$ 33,220	\$ 34,418	Accounts payable and accrued expenses	\$ 33,803	\$ 31,439
Resident accounts receivable, less allowances for doubtful accounts of \$3,897 in 2019 and \$3,505 in 2018	15,026	11,857	Deposits	2,363	3,354
Other receivables	6,155	7,989	Accrued interest	3,385	3,855
Investments	200,927	173,449	Current portion of long-term debt	8,551	7,919
Current portion of restricted investments	4,447	6,324	Entrance fee rebates payable	1,563	-
Intercompany advances due	8,720	12,410			
Prepaid expenses, deposits and other assets	9,469	9,242	Total current liabilities	49,665	46,567
Total current assets	277,964	255,689			
Noncurrent Assets			Noncurrent Liabilities		
Restricted cash	5,088	5,054	Notes and bonds payable, net	346,337	333,183
Designated investments	121,046	107,506	Rebatable entrance fees due	179,133	175,158
Investments in HumanGood Nevada Bonds	5,018	4,606	Entrance fees subject to refund	89,811	90,735
Restricted investments	78,499	57,806	Entrance fees nonrefundable	181,180	173,739
Subordinated notes receivable, net	11,785	11,897	Revocable trusts	315	289
Land, building and equipment, net	482,351	490,257	Obligations under annuity agreements	3,362	3,504
Interest and management fees due from affiliates	2,941	2,835	Retirement liabilities	2,720	63
Total noncurrent assets	706,728	679,961	Workers' compensation liability	14,379	15,281
			Other liabilities	4,236	4,484
			Total noncurrent liabilities	821,473	796,436
			Total liabilities	871,138	843,003
			Net Assets		
			Without donor restrictions	79,140	64,558
			With donor restrictions	34,414	28,089
			Total net assets	113,554	92,647
Total assets	\$ 984,692	\$ 935,650	Total liabilities and net assets	\$ 984,692	\$ 935,650

See notes to combined financial statements

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combined Statements of Operations and Changes in Net Assets
Years Ended December 31, 2019 and 2018
(In Thousands)

	<u>2019</u>	<u>2018</u>
Operating Revenues		
Residential living	\$ 106,681	\$ 100,209
Assisted living	33,364	31,712
Health center	93,741	87,688
Memory care	14,089	12,947
Other residential services	1,627	1,912
Amortization of entrance fees	43,129	41,164
Other operating revenue	9,531	11,834
Affordable housing fees	-	1,677
Net assets released from restrictions	4,485	3,960
Unrestricted contributions	2,633	2,110
	<u>309,280</u>	<u>295,213</u>
Operating Expenses		
Salaries and wages	132,661	124,288
Employee benefits	32,017	28,817
Supplies	21,548	21,292
Ancillary services	15,248	13,756
Repairs and maintenance	4,443	4,519
Marketing and advertising	3,352	3,256
Purchased services	14,348	15,750
Utilities	11,905	11,932
Travel and related	2,735	2,900
Leases and rents	1,798	1,819
Insurance	3,677	3,434
Other operating expenses	6,461	7,783
	<u>250,193</u>	<u>239,546</u>
Income before other operating income (expense)	59,087	55,667
Other Operating Income (Expense)		
Realized gains on investments, net	4,751	6,795
Change in unrealized gains (losses) on investments, net	20,583	(24,044)
Unrealized gains on investment in HumanGood Nevada bonds	412	727
Investment income, net	8,512	9,343
Mortgage interest	(17,411)	(19,095)
Depreciation	(41,633)	(38,994)
Loss on early retirement of debt	(7,564)	-
Loss on disposal of fixed assets	(90)	(381)
	<u>26,647</u>	<u>(9,982)</u>
Income (loss) from operations	<u>26,647</u>	<u>(9,982)</u>

See notes to combined financial statements

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combined Statements of Operations and Changes in Net Assets
Years Ended December 31, 2019 and 2018
(In Thousands)

	<u>2019</u>	<u>2018</u>
Other Changes in Net Assets Without Donor Restrictions		
Change in minimum pension liability	\$ (2,567)	\$ 3,891
Net equity transfers from SoCal Affordable Housing	-	27,831
Other affiliate distributions and equity transfers	(9,343)	(4,560)
Unrealized (losses) gains on interest rate caps	<u>(157)</u>	<u>172</u>
Change in net assets without donor restrictions	<u>14,580</u>	<u>17,352</u>
Net Assets With Donor Restrictions		
Dividend and interest income	1,331	865
Unrealized gains (losses) on investments with donor restrictions, net	2,869	(4,922)
Restricted equity contributions	2,033	1,240
Contributions	5,662	4,640
Net assets released from restrictions for benevolence	(286)	(358)
Contractual payments to beneficiaries	(1,662)	(807)
Realized gains on investments, net	135	2,695
Contractual liability adjustments	444	259
Net assets released from restrictions for special project funds	<u>(4,199)</u>	<u>(3,602)</u>
Change in net assets with donor restrictions	<u>6,327</u>	<u>10</u>
Change in net assets	<u>20,907</u>	<u>17,362</u>
Net Assets, Beginning	92,647	87,951
Adjustment for adoption of accounting pronouncement	<u>-</u>	<u>(12,666)</u>
Beginning net assets as adjusted for adoption of accounting pronouncement	<u>92,647</u>	<u>75,285</u>
Net Assets, Ending	<u><u>\$ 113,554</u></u>	<u><u>\$ 92,647</u></u>

See notes to combined financial statements

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combined Statements of Cash Flows
Years Ended December 31, 2019 and 2018
(In Thousands)

	<u>2019</u>	<u>2018</u> (As Adjusted)
Cash Flows From Operating Activities		
Cash received for resident services	\$ 244,662	\$ 232,543
Cash received from nonrebatable entrance fees from reoccupancy	54,159	57,341
Cash received from other operating activities	10,415	14,504
Cash received from bequests and trust maturities	2,633	2,110
Cash earnings realized from investments	13,259	15,968
Cash paid for employee salaries	(118,868)	(114,510)
Cash paid for employee benefits	(29,741)	(31,767)
Cash paid for temporary labor	(11,275)	(11,162)
Cash paid to vendors	(82,489)	(83,440)
Cash paid for interest	(17,378)	(18,296)
	<u>65,377</u>	<u>63,291</u>
Net cash provided by operating activities	<u>65,377</u>	<u>63,291</u>
Cash Flows From Investing Activities		
Acquisition of land, buildings and equipment	(32,918)	(36,270)
Net purchases of unrestricted investments	(20,569)	(51,684)
Net sales of restricted investments	5,849	29,732
Cash received from intercompany and affiliate transactions	3,687	16,755
	<u>(43,951)</u>	<u>(41,467)</u>
Net cash used in investing activities	<u>(43,951)</u>	<u>(41,467)</u>
Cash Flows From Financing Activities		
Cash received from initial entrance fees and deposits	-	3,172
Proceeds from rebatable entrance fees	12,684	14,520
Refunds of deposits and refundable entrance fees	(13,187)	(20,194)
Proceeds from issuance of notes and bonds payable	13,408	-
Principal payments on notes and bonds payable	(5,479)	(7,604)
Cash paid for bond issuance costs	(2,211)	-
Cash paid from other trust activity	(4,327)	(1,229)
Affiliate cash distributions	(9,344)	(3,372)
Cash received from restricted contributions	5,635	4,606
	<u>(2,821)</u>	<u>(10,101)</u>
Net cash used in financing activities	<u>(2,821)</u>	<u>(10,101)</u>
Increase in cash, cash equivalents and restricted cash	18,605	11,723
Cash, Cash Equivalents and Restricted Cash, Beginning	<u>59,973</u>	<u>48,250</u>
Cash, Cash Equivalents and Restricted Cash, Ending	<u><u>\$ 78,578</u></u>	<u><u>\$ 59,973</u></u>

See notes to combined financial statements

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Combined Statements of Cash Flows
Years Ended December 31, 2019 and 2018
(In Thousands)

	<u>2019</u>	<u>2018</u> (As Adjusted)
Cash Flows From Operating Activities		
Change in net assets	\$ 20,907	\$ 17,362
Adjustments to reconcile change in net assets to net cash provided by operating activities:		
Amortization of entrance fees	(43,129)	(41,164)
Proceeds from nonrebatable entrance fees from reoccupancy	54,159	57,341
Depreciation	41,633	38,994
Amortization of debt issuance costs and bond discounts	463	640
Amortization of bond premium	(512)	(306)
Unrealized (gains) losses on investments, net	(20,583)	24,044
Unrealized losses (gains) on investments with donor restrictions, net	(2,869)	4,922
Unrealized gains on investments in HumanGood Nevada bonds	(412)	(727)
Change in unrecognized pension obligations	2,567	(3,891)
Loss on early retirement of debt	7,564	-
Unrealized losses (gains) on interest rate caps	157	(172)
Net equity transfers from SoCal Affordable Housing	-	(27,831)
Other affiliate distributions and equity transfers	9,344	4,560
Change in accounts receivable from residents and others	(1,335)	8,130
Change in prepaid expenses, deposits and other assets	(227)	9,869
Other changes in operating assets and liabilities, net	(2,350)	(28,480)
Net cash provided by operating activities	<u>\$ 65,377</u>	<u>\$ 63,291</u>
Noncash Disclosures		
Long-term debt repaid with proceeds from Series 2019 Bonds	<u>\$ 168,110</u>	<u>\$ -</u>
Reconciliation of Cash, Cash Equivalents and Restricted Cash to Combined Balance Sheets		
Cash and cash equivalents	\$ 33,220	\$ 34,418
Restricted cash included in restricted investments	40,270	20,501
Restricted cash	<u>5,088</u>	<u>5,054</u>
Total cash, cash equivalents and restricted cash	<u>\$ 78,578</u>	<u>\$ 59,973</u>

See notes to combined financial statements

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2019 and 2018

1. Business and Organization

HumanGood (Parent Organization) is a California nonprofit public benefit tax-exempt corporation providing housing, health care and supportive services for the elderly through Life Plan Communities (LPC, formerly Continuing Care Retirement Community or CCRC) and affordable housing communities owned by its subsidiaries. HumanGood is the sole member of HumanGood NorCal (NorCal, formerly American Baptist Homes of the West), HumanGood SoCal (SoCal, formerly Southern California Presbyterian Homes and its affiliates Westminster Gardens and Redwood Senior Homes and Services), HumanGood Fresno (dba Terraces at San Joaquin Gardens, TSJG), and HumanGood Cornerstone (Cornerstone). NorCal is the sole member of HumanGood Foundation West (Foundation West, formerly American Baptist Homes Foundation of the West, Inc.) and SoCal is the sole member of HumanGood Foundation South (Foundation South, formerly Southern California Presbyterian Homes Foundation). NorCal, SoCal, and TSJG, which collectively form the HumanGood California Obligated Group, share the common parent entity of HumanGood, and together with Foundation West and Foundation South, constitute the HumanGood California Obligated Group and Foundation Affiliates (collectively, the Corporations).

HumanGood California Obligated Group

On August 21, 2019, concurrent with the date of issuance of the Series 2019A Revenue and Refunding Bonds and the Series 2019B Taxable Bonds, the HumanGood California Obligated Group (COG) was formed (Note 6).

HumanGood NorCal

NorCal is a California nonprofit public benefit tax-exempt corporation which owns, operates and manages LPCs in which housing, health care and supportive services are provided for the elderly. Seven of NorCal's nine directors are HumanGood's directors. The executive officers of HumanGood also serve as executive officers of NorCal. As of December 31, 2019, the following LPCs were owned and operated by NorCal:

Terraces at Los Altos	Valle Verde
Grand Lake Gardens	Rosewood
Piedmont Gardens	Terraces of Los Gatos
Plymouth Village	

HumanGood SoCal

SoCal is a California nonprofit public benefit tax-exempt corporation which owns, operates and manages LPCs in which housing, health care and supportive services are provided for the elderly. Seven of SoCal's nine directors are HumanGood's directors. The executive officers of HumanGood also serve as executive officers of SoCal. As of December 31, 2019, the following LPCs were owned and operated by SoCal:

Royal Oaks	Regents Point
White Sands La Jolla	Westminster Gardens
Windsor	Redwood Senior Homes and Services, now Redwood Terrace

Until 2019, Westminster Gardens and Redwood Senior Homes and Services were affiliates of SoCal and NorCal that also shared HumanGood as their sole corporate member. Westminster Gardens and Redwood Senior Homes and Services, now Redwood Terrace, were legally merged into SoCal during 2019.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2019 and 2018

HumanGood Fresno

TSJG is a California nonprofit public benefit tax-exempt corporation providing housing, healthcare and supportive services for the elderly in Fresno, California, through its LPC. Four of TSJG's nine directors are HumanGood's directors. The executive officers of HumanGood also serve as executive officers of TSJG.

HumanGood Foundation West

Foundation West is a California nonprofit public benefit tax-exempt corporation whose primary purpose is to develop, invest and administer funds to provide housing and care on behalf of the residents of certain owned and managed communities of NorCal and TSJG. Foundation West's principal activity is to administer such funds under donor agreements. NorCal is the sole member of Foundation West, and therefore, elects the directors of Foundation West. As a result, NorCal has control over Foundation West, and therefore, Foundation West is included in these combined financial statements. Foundation West guarantees certain of the NorCal bond obligations. Foundation West's obligations under the guaranty agreement are limited to Foundation West's income earned on its net assets without donor restrictions (see Note 6).

HumanGood Foundation South

Foundation South is a California nonprofit public benefit tax-exempt corporation whose primary purpose is to develop, invest and administer funds to provide housing and care on behalf of the SoCal residents. Foundation South's principal activity is to administer such funds under donor agreements. SoCal is the sole member of Foundation South, and therefore, elects the directors of Foundation South. As a result, SoCal has control over Foundation South, and therefore, Foundation South is included in these combined financial statements.

HumanGood Cornerstone and Related Enterprises

HumanGood Cornerstone, an affiliate of the Corporations, is a California nonprofit public benefit tax-exempt corporation and as the sole member exercises its direction and control through the appointment of the Board of Directors of HumanGood Arizona (formerly American Baptist Estates, Inc., dba Terraces of Phoenix, TOP), HumanGood Washington (formerly American Baptist Homes of Washington, dba Judson Park), HumanGood Nevada (formerly Las Ventanas Retirement Community, Las Ventanas), HumanGood Idaho (formerly Boise Retirement Community, dba The Terraces of Boise, Boise), HumanGood Properties, and in conjunction with an affiliation effective June 30, 2019, HumanGood East (formerly Philadelphia Presbytery Homes and Services for the Aging, dba Presby's Inspired Life). In conjunction with finalizing transfer agreements in 2019, Cornerstone is the sole member and exercises its direction and control through the appointment of the Board of Directors of HumanGood Affordable Housing (HGAH, formerly Beacon Communities, Inc.) and the managers of Beacon Development Group (BDG). HumanGood and HumanGood Cornerstone's boards are composed of the same seven directors.

HumanGood Affordable Housing

HumanGood Affordable Housing (HGAH) is a California nonprofit public benefit tax-exempt corporation. As described above, during 2019, Cornerstone became the sole member of HGAH, by means of a membership transfer from NorCal.

HGAH serves as the sole or majority General Partner and controlling organization for 19 tax-credit affordable housing communities, serves as the sole or majority member and controlling organization for 29 additional affordable housing communities, and provides management services to 10 affordable housing communities.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2019 and 2018

On January 1, 2015, NorCal purchased for \$350,000 in cash and a \$2,000,000 note (see Note 6) all of the outstanding membership interests in the Beacon Development Group (BDG) and simultaneously assigned its rights thereto to HGAH. NorCal then entered into a \$2,350,000 affiliate note with BDG to assign the cost of purchase to the acquired entity.

Simultaneous with this January 1, 2015 purchase, NorCal affordable housing employees became employees of HGAH. All operational activities, assets and liabilities associated with NorCal's affordable housing line of business were also transferred to HGAH. In late fiscal year 2015, following United States Department of Housing and Urban Development approval, NorCal transferred its sole memberships in all of its owned affordable housing communities as well as the management agreements for all of its owned and managed communities to HGAH.

In exchange for this transfer of affordable housing related assets and liabilities, HGAH entered into a noninterest bearing affiliate note with NorCal for \$2,242,000 as well as a noninterest bearing contingent note with NorCal for \$1,364,000, which is payable upon HGAH's ability to achieve certain levels of cash flow and operating margin. These notes receivable are included in subordinated notes receivable, net on the combined balance sheets of NorCal. The remaining \$1,542,000 of assets transferred was recorded as a capital contribution from NorCal to HGAH.

Prior to December 31, 2018, SoCal provided noninterest-bearing advances to partially finance the construction of its low-income senior housing tax-credit communities. These advances along with other assets and liabilities related to SoCal's affordable housing business line, including the tax-credit communities and its owned and managed affordable housing communities, were all transferred from SoCal to HGAH on December 31, 2018. This gave rise to a \$6,464,000 equity distribution in 2018, recorded in net equity transfers from SoCal Affordable Housing in the accompanying combined statement of operations and changes in net assets. Simultaneous with this transaction SoCal affordable Housing employees became employees of HGAH.

In 2019, United States Department of Housing and Urban Development approval to transfer SoCal's sole memberships and management agreements for all of its seven low-income senior housing tax-credit communities and 20 owned and managed affordable housing communities was finalized.

Beacon Development Group

Beacon Development Group, LLC (BDG) is a professional services firm that consults in the development and construction of affordable housing communities. BDG provides services to affiliates of the Corporations, other nonprofits and housing authorities. In conjunction with transfer agreements finalized in 2019, Cornerstone is the sole member of BDG.

HumanGood Arizona

HumanGood Arizona (TOP) is an Arizona nonprofit tax-exempt corporation providing housing, health care and supportive services for the elderly in Phoenix, Arizona through its LPC, Terraces of Phoenix. Prior to September 29, 2003, TOP was a controlled affiliate of NorCal. The funds previously advanced by NorCal to support TOP's operating and capital needs were retained in the form of a subordinated note receivable from TOP. The note has been recorded as part of subordinated notes receivable, net in the accompanying combined balance sheets at the estimated net realizable value of \$4,315,000 as of December 31, 2019 and 2018, respectively.

NorCal manages Terraces of Phoenix under a multiyear management agreement. During 2018, the TOP management agreement with NorCal was amended and restated such that the management fee was increased from 6 percent of actual cash revenues to 8.5 percent of budgeted cash revenues, with half of this amount subject to subordination upon noncompliance with certain covenants.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2019 and 2018

HumanGood Washington

HumanGood Washington (dba Judson Park) is a Washington nonprofit public benefit tax-exempt corporation providing housing, health care and supportive services for the elderly in Washington through its LPC, Judson Park. On May 30, 2012, NorCal entered into a 10-year management agreement at a base fee of 8.5 percent of budgeted cash revenues, with half of this amount subject to subordination upon noncompliance with certain covenants.

HumanGood Nevada

HumanGood Nevada (dba Las Ventanas) is a California nonprofit public benefit tax-exempt corporation providing housing, health care and supportive services for the elderly in the Las Vegas, Nevada area, through its LPC. On July 1, 2004, NorCal began providing oversight management services to Las Ventanas. On January 1, 2010, NorCal began providing full management services to Las Ventanas. Under the current agreement, management fees accrue at 3.0 percent of total cash revenues, with payment deferred until certain operating metrics have been met as laid out in the agreement. The paydown of deferred fees cannot cause the total fees paid in any one year to exceed 5.0 percent of total revenues.

On September 12, 2012, Las Ventanas, its bondholders and NorCal executed a restructuring agreement of Las Ventanas' debt, ground lease, and other key obligations, which involved the exchanging of existing bonded indebtedness for three new series of tax-exempt bonds. NorCal contributed capital and released its interests in the Las Ventanas ground lease and construction loan, and forgave all previously accrued management fees in exchange for interests in the newly issued Las Ventanas Series 2012 A-2, Series B-2, Series B-3 and Series C-2 bonds. Additionally, NorCal provided an unfunded \$2,000,000 debt service support agreement for the Las Ventanas Series A-1 bonds, with any resulting funded amounts triggering the issuance to NorCal of an equal amount of the Las Ventanas Series B-4 bonds, comparable in structure to the Las Ventanas Series B-3 bonds.

As a result of the aforementioned restructuring, NorCal received \$16,414,000 (par value) of HumanGood Nevada bonds, which were revalued to \$8,250,000 in the year of receipt and classified as investments in HumanGood Nevada bonds in the accompanying combined balance sheets. Subsequent annual revaluations of the investments have resulted in additional adjustments to the unrealized mark-to-market loss on the bonds, for an aggregate unrealized loss on investments in HumanGood Nevada bonds of \$8,299,000 and \$8,711,000 as of December 31, 2019 and 2018, respectively.

HumanGood Idaho

HumanGood Idaho (dba Terraces of Boise or Boise) is a California nonprofit public benefit tax-exempt corporation, which leased, and subsequently purchased from NorCal, a site in Boise, Idaho, upon which the Terraces of Boise was constructed and began operations in July 2015, with the community fully operational in all levels of care on June 1, 2016. The obligations of Boise are nonrecourse to NorCal.

To support the Boise financing, in 2014 NorCal provided \$3,000,000 in equity at financing along with \$1,000,000 of funded liquidity support and an additional \$1,250,000 of unfunded liquidity support. At the same time, Boise purchased the parcel of land upon which the Terraces of Boise is built from NorCal for \$5,000,000. This purchase price consisted of \$3,000,000 in cash and a \$2,000,000 interest-bearing subordinated note receivable. On March 18, 2020, Boise entered into a Second Supplemental Master Trust Indenture for which one of the amendments required NorCal to deposit \$1,250,000 with the Master Trustee by March 31, 2020 in full satisfaction of the previously unfunded liquidity support obligation. The funds were timely deposited consistent with requirements.

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Boise had a Sales and Marketing Oversight Services Agreement with NorCal. Additionally, under Boise's Development Administration Services Agreement, NorCal was entitled to a Development Administrative Support Services Fee equal to \$17,000 per month for each month that Greystone Development Corporation (GDC) was entitled to a management fee during the term.

On May 31, 2017, the Sales and Marketing Oversight Services and Development Administration Service agreements were terminated, thus ending the accrual of further amounts owing. These fees are subject to subordination under the Boise master indenture, and as such, NorCal has fully reserved the accrual of this revenue.

HumanGood Properties

HumanGood Properties is a California for-profit corporation, which was formed in February 2014 for the purpose of holding equity interests in developed and acquired senior housing communities and other similar investments.

On September 1, 2015, HumanGood Properties, through a subsidiary LLC, purchased a 49 percent equity interest, and later, through a purchase option, an additional 1 percent interest in an existing memory care senior housing community in Oklahoma.

HumanGood East

HumanGood East (formerly Philadelphia Presbytery Homes and Services for the Aging dba Presby's Inspired Life) is a Philadelphia nonprofit tax-exempt corporation providing housing, health care and supportive services for the elderly through its three LPCs and 36 affordable housing communities. On June 30, 2019, in conjunction with the HumanGood and Presby's Inspired Life affiliation, Cornerstone became the sole member of Presby's Inspired Life. On June 30, 2019, amendments to the articles of incorporation of Presby's Inspired Life took effect and the Presby's Inspired Life corporation name was changed to HumanGood East.

Basis of Presentation and Principles of Combination

The accompanying combined financial statements combine the accounts of NorCal, SoCal, Foundation West, Foundation South and TSJG (HumanGood California Obligated Group & Foundation Affiliates) in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP). All entities except Foundation West and Foundation South share a common parent, HumanGood, which has the sole corporate membership and controlling financial interest in each of these organizations, and Foundation West and Foundation South are affiliates of NorCal and SoCal, respectively.

All interaffiliate transactions between the Corporations eliminate in combination.

The 2018 combined financial statements were prepared in accordance with the financial reporting agreements of the prior master trust indentures and loan agreements after the effect of the Material Event Notice (the Notice) to bond holders, which disclosed the anticipated 2019 refinancing (Note 6), and formation of a new economic reporting entity (COG). The creation of this new reporting entity in 2018 resulted in combining previously separate reporting entities and the exclusion of NorCal and SoCal's affordable housing subsidiaries. The exclusion of certain subsidiaries was not in accordance with U.S. GAAP, and therefore, special-purpose combined financial statements were presented during 2018. During 2019, the affordable housing subsidiaries transfer to HumanGood Affordable Housing was completed in conjunction with the transfer of HumanGood Affordable Housing to HumanGood Cornerstone (as described above) and the refinancing occurred, resulting in the formation of COG. Therefore, the economic reporting entity in these combined financial statements is the same for 2018 and 2019, which are now in accordance with U.S. GAAP.

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2. Summary of Significant Accounting Policies

Use of Estimates

The preparation of the combined financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the combined financial statements and the reported amounts of revenues and expenses during the reported periods. Significant items subject to such estimates and assumptions include the fair values of interest rate caps assets and liabilities; allowances for contractual and uncollectible accounts receivable; fair values of notes receivable; fair values of investments; future service benefit obligations; rebatable entrance fees due; entrance fees subject to refund; entrance fees nonrefundable; liabilities for self-insured workers' compensation; self-insured health insurance; liabilities for pension and retirement plans; and valuation of split-interest agreements. Actual results could differ from those estimates.

Cash and Cash Equivalents

Cash and cash equivalents are defined as cash on hand, demand deposits with financial institutions and overnight investments considered to be cash equivalents. For the purposes of the combined statements of cash flows, cash, cash equivalents and restricted cash include investments purchased with an initial maturity of three months or less.

Resident Accounts Receivable

The Corporations assess collectability on all resident accounts prior to providing services. An allowance for uncollectible accounts is recognized to reduce accounts receivable to its net realizable value for impairment of revenues for changes in resident credit worthiness. The allowance is estimated by management based on factors such as aging of the accounts receivable (outstanding balances over 150 days are fully reserved), and anticipated collection of the consideration. Accounts are written off through bad debt expense when the Corporations have exhausted all collection efforts and accounts are deemed impaired.

Investments

Investments include certain cash equivalents held by investment managers, mutual funds, commodities and structure products, equity securities, corporate debt, U.S. government securities, and certain cash equivalents and securities held by trustees for capital project expenditures and debt service, and are stated at fair value in the accompanying combined balance sheets.

In 2019, the Corporations were required to adopt the Financial Accounting Standards Board's (FASB) Accounting Standards Update (ASU) No. 2016-01, which requires equity investments to be measured at fair value with changes in fair value recognized in the performance indicator. The Corporations manage their investments, restricted investments and designated investments under one investment policy and as one portfolio, and accordingly, elected in 2019 to also change their accounting policy for all securities, by electing to adopt the fair value option for all financial assets included within investments, restricted investments and designated investments. That election requires, including changes in the unrealized gains and losses for those financial assets in the performance indicator. In accordance with U.S. GAAP, this change has been applied retrospectively to the combined financial statements. Prior to this change and the adoption of ASU No. 2016-01, the Corporations had reported the change in unrealized gains and losses on investments, restricted investments and designated investments outside of the performance indicator. There was no effect on net assets of the combined balance sheets as a result of the change.

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The following line items on the combined statements of operations and changes in net assets for the year ended December 31, 2018 were affected by the changes in accounting principle (in thousands):

	As Previously Reported	As Adjusted	Effect of Change
Other operating income (expense):			
Change in unrealized losses on investments, net	\$ -	\$ (24,044)	\$ (24,044)
Unrealized gains on investment in HumanGood Nevada bonds	-	727	727
Income (loss) from operations	13,335	(9,982)	(23,317)
Other changes in net assets without donor restrictions:			
Change in unrealized losses on investments, net	(24,044)	-	(24,044)
Unrealized gains on investment in HumanGood Nevada bonds	727	-	727

Investment income or loss (including interest, dividends and fees), realized gains and losses and unrealized gains and losses on investments are included in income (loss) from operations and change in net assets without donor restrictions. Interest income is measured as earned on the accrual basis. Dividends are measured based on the ex-dividend date. Purchases and sales of securities and realized gains and losses are recorded on a trade-date basis.

Restricted Investments

Certain investments are restricted as assets held in trust. These include assets held by trustees in accordance with the indentures relating to debt agreements and assets set aside in accordance with various trust agreements with third parties, including donors. Assets held in trust as well as assets managed with donor restrictions are classified as restricted investments in the accompanying combined balance sheets (see Note 4).

Designated Investments

Other investments of \$121,046,000 and \$107,506,000 as of December 31, 2019 and 2018, respectively, are designated by the Board of Directors primarily for future capital projects, to advance major corporate initiatives and for Foundation West board-designated benevolence funds (see Note 4).

Investments in HumanGood Nevada bonds

Investments include holdings in three tranches of the Las Ventanas Series 2012 bonds (see HumanGood Nevada Subsection in Note 1). These investments are recorded at fair market value as of December 31, 2019 and 2018, in the accompanying combined balance sheets. Changes in fair market value are included in unrealized gains on investments in HumanGood Nevada bonds in the combined statements of operations and changes in net assets.

Subordinated Notes Receivable, Net

Subordinated notes receivable, net as of December 31, 2019 and 2018 include the interest bearing subordinated note from Boise for \$2,000,000, the \$4,315,000 note receivable from Terraces of Phoenix and the notes related to the BDG purchase and the HGAH assets and liability transfers from NorCal. All subordinated notes receivable are further described in the Cornerstone Related Enterprises Subsection in Note 1.

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Subordinated notes amongst members of the affiliated Corporations are included in the accompanying supplemental combining balance sheets but eliminated in the accompanying combined financial statements. Prior to September 26, 2012, TSJG was one of eight LPCs constituting NorCal's Obligated Group. Effective September 26, 2012, by vote of the NorCal Board of Directors, and consistent with the rights and abilities granted in NorCal's Master Trust Indenture, sole corporate membership and control of TSJG was transferred from NorCal to Cornerstone, in conjunction with the issuance of the TSJG Series 2012 bonds. Furthermore, at this time, the portion of NorCal's Series 2006 bonds previously allocated to TSJG was replaced with a \$23,336,000 variable rate subordinated note, and a portion of NorCal's Series 2010 bonds previously allocated to TSJG was replaced with a \$6,438,000 fixed rate subordinated note. Debt service payments on these subordinated notes are contingent upon TSJG being in compliance with certain performance metrics. These subordinated notes receivable from TSJG are included in NorCal's subordinated notes receivable in the accompanying supplemental combining balance sheets as of December 31, 2019 and 2018. The recognition of \$1,584,000 and \$1,333,000, respectively, of interest income for 2019 and 2018 was fully deferred pending collection. Both subordinated notes payable are included in TSJG's notes and bonds payable in the accompanying supplemental combining balance sheets as of December 31, 2019 and 2018, respectively. Interest expense of \$3,548,000 and \$2,864,000 at December 31, 2019 and 2018, respectively, related to these notes was accrued but not fully paid. Upon meeting certain performance criteria, interest payments of \$900,000 were made to NorCal during 2019 for interest expense that had been deferred in previous fiscal years. There were no interest payments made for the year ended December 31, 2018. All amounts related to these notes and their debt service payments eliminate in the accompanying combined financial statements.

Concurrent with the 2012 financing, NorCal and TSJG entered into a 10-year management agreement at a base fee of 8.5 percent of budgeted cash revenues, with half of this fee subject to subordination. During the years ended December 31, 2019 and 2018, the recognition of \$1,020,000 and \$973,000, respectively, of TSJG management fee revenues were deferred by NorCal, with collection pending achievement of certain TSJG operating performance criteria. \$6,396,000 and \$5,376,000 of management fees have been accrued but not paid and are included in other liabilities in the accompanying supplemental combining balance sheets of TSJG and are eliminated in the accompanying combined financial statements.

Land, Building and Equipment, Net

Land, building and equipment are recorded at cost, or fair value when received, if donated. The cost basis includes any interest, finance charges and other related costs capitalized during construction. Maintenance and repair costs are charged to operations when incurred.

Depreciation of buildings and equipment is computed on the straight-line method using estimated useful lives of 3 to 40 years. When assets are retired or otherwise disposed of, the cost of the asset and its related accumulated depreciation are removed from the accounts, and any resulting gain or loss is recognized in income for the period.

Leases

The Corporations adopted a new leasing standard, ASU No. 2016-02, *Leases (Topic 842)* (ASC 842), on January 1, 2019 and elected the option to apply the transition requirements thereof at the effective date. Consequently, financial information has not been updated for periods prior to January 1, 2019. See New Accounting Pronouncements Subsection in Note 2.

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Under ASC 842, the Corporations evaluate at contract inception whether a lease exists and recognizes a lease liability and right-of-use (ROU) asset for all leases with a term greater than 12 months. Leases are classified as either finance or operating. All lease liabilities are measured as the present value of the future lease payments using a discount rate, which is the Corporations' risk free rate. The future lease payments used to measure the lease liability include fixed payments, as well as the exercise price of any options to purchase the underlying asset that have been deemed reasonably certain of being exercised, if applicable. Future lease payments for optional renewal periods that are not reasonably certain of being exercised are excluded from the measurement of the lease liability. For all leases, the ROU asset is initially derived from the measurement of the lease liability and adjusted for certain items, such as initial direct costs and lease incentives received. ROU assets are subject to long-lived impairment testing.

Operating lease expense is recognized on a straight-line basis over the lease term and is included within leases and rents expense in the combined statements of operations and changes in net assets. The lease term is determined based on the date the Corporations acquire control of the leased premises through the end of the lease term. Optional renewal periods are initially not included in the lease term unless they are deemed to be reasonably certain of being exercised at lease commencement.

Asset Impairment

The Corporations periodically evaluate the carrying value of their long-lived assets for impairment. The evaluations address the estimated recoverability of the assets' carrying value, which is principally determined based on projected undiscounted cash flows generated by the underlying tangible assets. When the carrying value of an asset exceeds estimated recoverability, an asset impairment is recognized. No impairment was recorded during the years ended December 31, 2019 and 2018.

Deferred Debt Issuance Costs

Expenses incurred in connection with the issuance of debt are deferred and are amortized over the term of the related financing agreements using the interest method. These unamortized amounts are presented in the combined balance sheets as a direct deduction from the carrying amount of that debt liability, consistent with debt discounts. Amortization is included as a component of interest expense. Unamortized deferred debt issuance costs amounted to \$6,042,000 and \$7,415,000 at December 31, 2019 and 2018, respectively. Accumulated amortization of deferred debt issuance costs was \$1,882,000 and \$3,349,000 at December 31, 2019 and 2018, respectively.

Revocable Trusts

Revocable trusts are trust agreements that are revocable by trustors at any time, with specific terms for each agreement. Consequently, a liability is reflected in revocable trusts in the accompanying combined balance sheets equal to those related trust assets in restricted investments in the accompanying combined balance sheets.

Obligations Under Annuity Agreements

In conjunction with certain giving arrangements, Foundation West and Foundation South are required to pay a certain sum of money to the donor or a designated beneficiary, and, consequently, a liability is reflected in obligations under annuity agreements in the accompanying combined balance sheets.

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These types of arrangements are summarized as follows:

Gift Annuities Fund

As consideration for gifts made to Foundation West and Foundation South, the foundations enter into agreements to pay fixed annual payments to the donors or their beneficiaries for life. In accordance with Section 11521 of the California Insurance Code, a liability has been established for the future payments under the outstanding annuity contracts. The annual computation of the restricted amount of the gift is based upon the 2000 Group Annuity Mortality Table, with an interest assumption at 5 percent per annum. Assets in excess of liabilities, if any, related to these annuities are available for the use of the Foundation with the approval of the California Department of Insurance.

Annuity Trusts

Annuity trusts are trust agreements that provide for a fixed annual payment of not less than 6 percent of the initial value of trust assets to one or more income beneficiaries, with an irrevocable remainder interest contributed to charity. The annual payment never varies, regardless of trust income or the appreciation or depreciation in the value of trust assets.

Unitrusts

Unitrusts are trust agreements that are similar to annuity trusts, except that the annual payout generally is a fixed percentage, of not less than 6 percent, of the value of the trust assets valued annually. In general, the unitrust beneficiary payment amounts rise and fall in proportion to the value of trust assets. In certain cases, the payout from unitrusts may be tied to trust income.

Obligation to Provide Future Services

If the present value of future outflows to provide future services, adjusted for certain noncash items, exceeds the present value of future cash in-flows, a liability is recognized. An evaluation of the future service obligation for residents indicated a liability was not considered necessary as of December 31, 2019 or 2018. The discount rate used to calculate the obligation to provide future service is 5 percent for the years ended December 31, 2019 and 2018.

Types of Entrance Fees

The Care and Residence Agreements between the Corporations and the residents provide for the payment of an entrance fee. Entrance fees received by the Corporations are categorized into two types: initial entrance fees and entrance fees from reoccupancy, and are recorded as either rebatable entrance fees due, entrance fees subject to refund, or entrance fees nonrefundable. Initial entrance fees, which are the initial fees on new or expanded facilities, are used to provide funds for acquisition and construction of physical facilities, debt retirement, and to defray anticipated deficits in the operations of new homes for a period of time. Entrance fees from reoccupancy in existing homes are used for general purposes, including capital expenditures, support of operations (including benevolence), new development and funding of reserves.

Refund Policy on Entrance Fees

The current Care and Residence Agreement provides the resident with the right to a refund of the entrance fee, less 2 percent for each month of residency for 44 months after an initial reduction to the original fee, under certain circumstances. For a majority of contracts, upon the move out of a resident, the unamortized balance of the entrance fee becomes the property of the Corporations and is included in amortization of entrance fees in the combined statements of operations and changes in net assets.

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The Corporations had nonrefundable entrance fees of \$181,180,000 and \$173,739,000 as of December 31, 2019 and 2018, respectively, related to entrance fees received that will be recognized as revenues in future years. Additionally, the Corporations had entrance fees subject to refund of \$89,811,000 and \$90,735,000 as of December 31, 2019 and 2018, respectively, which will be recognized as revenues in future years unless refunded.

The Corporations have offered contract options whereby a specified percentage between 50 percent and 100 percent of the entrance fee is rebatable at termination of the contract and subsequent reoccupancy of their apartment. As of December 31, 2019 and 2018, respectively, \$180,696,000 and \$175,158,000 of the entrance fees related to these types of contracts are contractually rebatable and are included in rebatable entrance fees due and entrance fee rebates payable in the accompanying combined balance sheets.

Actual refunds and rebates of entrance fees were \$13,187,000 and \$20,194,000 for the years ended December 31, 2019 and 2018, respectively. Based on historical experience, management expects to pay refunds in future years of approximately \$18,000,000 per year.

Interest Rate Caps

The Corporations use interest rate caps as part of its overall debt management policy. The Corporations account for interest rate caps in accordance with the FASB Accounting Standards Codification (ASC) Topic 815, *Derivatives and Hedging*. The topic requires that all derivatives be carried at fair value in the combined balance sheets (see Note 7).

Net Assets

Net assets, revenues, gains and losses are classified based on the existence or absence of donor-imposed restrictions. Accordingly, net assets and changes therein are classified and reported as follows:

Net Assets Without Donor Restrictions

Net assets available for use in general operations and not subject to donor restrictions. All revenues not restricted by donors and donor-restricted contributions whose restrictions are met in the same period in which they are received are accounted for in net assets without donor restrictions.

Net Assets With Donor Restrictions

Net assets subject to donor-imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity. All revenues restricted by donors as to either timing or purpose of the related expenditures or required to be maintained in perpetuity as a source of investment income are accounted for in net assets with donor restrictions. When a donor restriction expires, that is when a stipulated time restriction ends or purpose restriction is accomplished, net assets with donor restrictions are reclassified to net assets without donor restrictions.

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Also included in net assets with donor restrictions are assets held in trust under life annuity gifts. The assets are valued at fair value in accordance with the requirements of the specific trust agreements. Foundation West and Foundation South are required to pay a certain portion of the annual income from these assets to the donor or a designated beneficiary for the life of the donor or the beneficiary. Such amounts have been estimated and are reflected as obligations under annuity agreements in the accompanying combined balance sheets. The remaining assets will revert to the foundations at the donor or beneficiary's death. The portion of assets received in excess of that required to meet the annuity's obligations has been recognized as a contribution at the time received.

Assets received from external trusts that are controlled by third-party trustees are recognized at the present value of the estimated future distributions to be received by the Corporations over the term of the agreement.

Endowment Funds

Foundation South's endowment funds consist of approximately 16 individual donor-restricted funds established primarily for benevolence and are recorded in net assets with donor restrictions in the accompanying combined balance sheets.

Foundation South has interpreted the Uniform Prudent Management of Institutional Funds Act (UPMIFA) as requiring the preservation of the fair value of the original gift as of the gift date of the donor-restricted endowment funds absent explicit donor stipulations to the contrary. As a result of this interpretation, Foundation South classifies net assets with donor restrictions of the original value of gifts donated to the permanent endowment and the original value of subsequent gifts to the permanent endowment. The investment earnings of the donor-restricted endowment funds are classified as donor-restricted until those amounts are appropriated for expenditure by the organization in a manner consistent with the standard of prudence prescribed by UPMIFA.

The changes in endowment net assets with donor restriction for the years ended December 31, 2019 and 2018, are as follows (in thousands):

Endowment net assets, December 31, 2017	\$ 7,711
Contributions	187
Net investment returns	81
Disbursements	<u>(279)</u>
Endowment net assets, December 31, 2018	7,700
Contributions	222
Net investment returns	553
Disbursements	<u>(217)</u>
Endowment net assets, December 31, 2019	<u>\$ 8,258</u>

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The endowment net assets with donor restrictions were comprised of the following as of December 31, 2019 and 2018 (in thousands):

	2019	2018
Endowment gains with donor restrictions	\$ 2,592	\$ 2,256
Endowment funds held in perpetuity, the portion of perpetual endowment funds that is required to be retained permanently either by explicit donor stipulation or by UPMIFA	5,666	5,444
Total	\$ 8,258	\$ 7,700

From time to time, the fair value of assets associated with individual donor-restricted endowment funds may fall below the level that the donor or UPMIFA requires Foundation South to retain as a fund of perpetual duration. There were no deficiencies of this nature as of December 31, 2019 and 2018.

Foundation South has adopted investment and spending policies for endowment assets that attempt to provide a predictable stream of funding to programs supported by its endowment while seeking to maintain the purchasing power of the endowment assets. Endowment assets include those assets of donor-restricted funds that the organization must hold in perpetuity or for donor-specified periods. Under this policy, as approved by the Board of Directors, the endowment assets are invested in a manner that is intended to produce results that exceed the price and yield results of the S&P 500 index while assuming a moderate level of investment risk.

To satisfy its long-term rate of return objectives, Foundation South relies on a total return strategy in which investment returns are achieved through both capital appreciation (realized and unrealized) and current yield (interest and dividends). Foundation South targets a diversified asset allocation to achieve its long-term return objectives within prudent risk constraints.

Net Resident Service Revenues

Net resident service revenues are reported at the amount that reflects the consideration the Corporations expect to receive in exchange for the services provided. These amounts are due from residents or third-party payors and include variable consideration for retroactive adjustments, if any, under reimbursement programs. Performance obligations are determined based on the nature of the services provided. Net resident service revenues are recognized as performance obligations are satisfied.

Payment terms and conditions for the Corporations' resident contracts vary by contract type and payor source, although terms generally include payment to be made within 30 days. Net resident service fee revenues for recurring and routine monthly services are generally billed monthly in advance. Net resident service revenues for ancillary services are generally billed monthly in arrears. Additionally, entrance fees are generally billed and collected in advance of move-in.

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Net resident service revenues are primarily comprised of the following revenues streams:

Health Center

Health center revenues are primarily derived from providing nursing services to residents at a stated daily fee, net of any explicit and implicit price concessions. The Corporations have determined that health center services are considered one performance obligation, which is satisfied over time as services are provided. Therefore, health center revenues are recognized on a daily basis as services are rendered.

Health Center revenues, including monthly service fees, ancillary and other services fees are reported at the estimated net realizable amounts from residents, third-party payors and others for services rendered, including estimated retroactive adjustments under reimbursement agreements with third-party payors.

The Corporations receive revenues for services under third-party payor programs, including Medicare, Medicaid and other third-party payors. Laws and regulations governing the Medicare and Medicaid programs are complex and subject to interpretation. Compliance with such laws and regulations can be subject to future government review and interpretation as well as significant regulatory action, including fines, penalties and exclusion from the Medicare and Medicaid programs.

Settlements with third-party payors for retroactive adjustments due to audits, reviews or investigations are considered variable consideration and are included in the determination of the estimated transaction price for providing resident care. These settlements are estimated based on the terms of the payment agreement with the payor, correspondence with the payor and the Corporations' historical settlement activity, including an assessment to ensure that it is probable that a significant reversal in the amount of cumulative revenues recognized will not occur when the uncertainty associated with the retroactive adjustment is subsequently resolved. Estimated settlements are adjusted in future periods as adjustments become known (that is, new information becomes available), or as years are settled or no longer subject to such audits, reviews and investigations. Adjustments arising from a change in the transaction price were not significant in 2019 or 2018.

Assisted Living and Memory Care

Assisted living and memory care revenues are primarily derived from providing housing and personal care services to residents at a stated monthly fee. The Corporations have determined that the services included in the monthly fee have the same timing and pattern of transfer and are a series of distinct services that are considered one performance obligation for each of these levels of care, which is satisfied over time as services are provided. Therefore, assisted living and memory care revenues are recognized on a month-to-month basis.

Residential Living

Residential living revenues are primarily derived from providing housing and services to residents. The Corporations have determined that the services included in the monthly fee have the same timing and pattern of transfer and are a series of distinct services that are considered one performance obligation, which is satisfied over time as services are provided. Therefore, residential living monthly fees are recognized on a month-to-month basis.

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Entrance fees collected from residents in advance are recognized as deferred revenues from entrance fees until performance obligations are satisfied and are included in entrance fees nonrefundable in the accompanying combined balance sheets. The Corporations recognized amortization income of \$43,129,000 and \$41,164,000 in 2019 and 2018, respectively. The Corporations apply the practical expedient in ASC 606, and therefore, do not disclose amounts for remaining performance obligations that have original expected durations of one year or less.

The guaranteed refund component of entrance fees is not amortized to income and is classified as rebatable entrance fees due in the accompanying combined balance sheets.

For residents with Type B contracts, revenues from entrance fees other than rebatable entrance fees received are recognized through amortization using the straight-line method over annually adjusted estimated life expectancies of the residents, which approximates the period of time the goods and services under the agreements are expected to be transferred to residents. Amortization of entrance fees other than rebatable entrance fees is included as amortization of entrance fees in the accompanying combined statements of operations and changes in net assets.

Contractual Allowances

A portion of the Corporations' health center revenues are subject to explicit price concessions (contractual allowances) under contracts with third-party payors. These price concessions, were \$13,552,000 and \$12,986,000 for the years ended December 31, 2019 and 2018, respectively.

Performance Indicator

Income (loss) from operations as reflected in the accompanying combined statements of operations and changes in net assets is the performance indicator. Income (loss) from operations includes all changes in net assets without donor restrictions other than changes in minimum pension liability, net equity transfers from SoCal Affordable Housing, other affiliate distributions and equity transfers, and unrealized (loss) gains on interest rate caps.

Workers' Compensation Plan

The Corporations are partially self-insured for the first \$500,000 of each workers' compensation claim under an occurrence form insurance policy for the years ended December 31, 2019 and 2018. Claims are accrued under the plan as the incidents that give rise to them occur. The estimate of incurred but not reported claims is based on actuarial projections of the ultimate cost of settlement, including claim settlement expenses, using the Corporations' historical claim payment experience. The estimated liability is continually monitored and reviewed and, as settlements are made or estimates are adjusted, differences are reflected in current operations. Given the inherent variability of such estimates, the actual liability could differ significantly from the estimates. While the ultimate payments of self-insured workers' compensation claims are dependent upon future developments, management is of the opinion that the recorded liability is adequate (see Note 9). Any related insurance recovery receivables are recorded in other receivables in the accompanying combined balance sheets.

Health Insurance Plan

The Corporations are self-insured for health insurance claims for eligible active employees up to an annual maximum of \$200,000 for each claimant. Claims above this amount are insured by a third-party for an unlimited amount for each claimant. Additionally, in the event that aggregate claims exceed 120 percent of anticipated claims totals, a separate aggregate stop loss policy will provide reimbursement for up to the first \$1,000,000 of amounts in excess of the 120 percent. The estimate of incurred but not paid claims is based on actuarial projections using the Corporations' historical claim payment experience and previous patterns of payments. While estimates are based on the information and data available at a point in time, management is of the opinion that the recorded liability has been properly accounted for and accrued at December 31, 2019.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

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Professional Liability Insurance

The Corporations have secured claims-made policies for malpractice and general liability insurance with self-insured retentions of \$100,000 for each claim as of December 31, 2019 and 2018. The Corporations have accrued liabilities of \$341,000 and \$2,804,000 as its best estimate of the cost of known claims incurred prior to December 31, 2019 and 2018, respectively. In addition, the Corporations have accrued liabilities of \$2,308,000 and \$2,585,000 as of December 31, 2019 and 2018, respectively, as its best estimate of the cost of claims incurred but not yet reported. These liabilities are included in accounts payable and accrued expenses in the accompanying combined balance sheets. Related insurance recovery receivables of \$245,000 and \$760,000 as of December 31, 2019 and 2018, respectively, are recorded under other receivables in the accompanying combined balance sheets.

Tax-Exempt Status

The Corporations are comprised of several California nonprofit corporations as described in Section 501(c)(3) of the Internal Revenue Code and have been granted tax-exempt status by the Internal Revenue Service and the California Franchise Tax Board.

Due to a failure to timely file an annual report with the Attorney General, NorCal received notice in August 2019 that the California Franchise Tax Board revoked the State income tax exemption of NorCal. NorCal reapplied for exempt status on October 2019 and, at the time of issuance of this report, is awaiting the Franchise Tax Board's approval of that application. In the unlikely event that its exempt status is not retroactively granted, the state of California may require NorCal to file California income tax returns. No associated California income taxes have been levied or paid to date.

The Corporations assess uncertain tax positions in accordance with the provisions of the FASB ASC Topic 740-10, *Income Taxes*. The Corporations recognize the tax benefit from uncertain tax positions only if it is more likely than not that the tax positions will be sustained on examination by the tax authorities, based on the technical merits of the position. The tax benefit is measured based on the largest benefit that has a greater than 50 percent likelihood of being realized upon ultimate settlement. The Corporations recognize interest and penalties related to income tax matters in operating expenses. As of December 31, 2019 and 2018, and for the year ended December 31, 2019, there were no such uncertain tax positions.

New Accounting Pronouncements

In February 2016, the FASB issued ASU No. 2016-02, *Leases (Topic 842)*. ASU No. 2016-02 was issued to increase transparency and comparability among organizations by recognizing lease assets and lease liabilities on the balance sheets and disclosing key information about leasing arrangements. Under the provisions of ASU No. 2016-02, a lessee is required to recognize a right-to-use (ROU) asset and lease liability, initially measured at the present value of the lease payments, in the balance sheet. In addition, lessees are required to provide qualitative and quantitative disclosures that enable users to understand more about the nature of the Corporations' leasing activities.

The Corporations adopted the new standard on January 1, 2019. The Corporations elected the option to apply the transition requirements in Topic 842 at the effective date of January 1, 2019. Consequently, financial information has not been updated and the disclosures required under the new standard have not been provided for dates and periods before January 1, 2019.

The Corporations make certain assumptions and judgements in determining the discount rate. As most of the Corporations' leases do not provide an implicit rate, the Corporations use the risk free rate in determining the present value of lease payments.

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The new standard provides a number of optional practical expedients in transition. The Corporations elected the short-term lease recognition exemption for all leases that qualify. This means, for those leases that qualify, the Corporations do not recognize ROU assets or lease liabilities and includes not recognizing ROU assets or lease liabilities for existing short-term leases of those assets in transition.

In 2019, the Corporations retrospectively adopted FASB's ASU No. 2016-18, *Statement of Cash Flows (Topic 230): Restricted Cash*. The amendments in this update require that a statement of cash flows explain the change during the period in total of cash, cash equivalents and amounts generally described as restricted cash or restricted cash equivalents. Amounts generally described as restricted cash and restricted cash equivalents should be included with cash and cash equivalents when reconciling the beginning-of-period and end-of-period total amounts shown on the combined statements of cash flows. Net cash used in investing activities on the combined statement of cash flows for the year ended December 31, 2018 was increased by \$9,925,000 as a result of this change in accounting principles. Cash and cash equivalents and restricted cash and cash equivalents on the combined statement of cash flows for the year ended December 31, 2018 was increased by \$25,555,000.

Reclassifications

Certain items in the 2018 combined financial statements have been reclassified to conform with the 2019 combined financial statement presentation.

3. Liquidity and Availability of Resources

The Corporations have financial assets available for general expenditure within one year of the combined balance sheet date, which consist of the following as of December 31, 2019 and 2018 (in thousands):

	2019	2018
Cash and cash equivalents	\$ 33,220	\$ 34,418
Resident accounts receivable	15,026	11,857
Entrance fee notes receivable	368	560
Investments	200,927	173,449
Total	<u>\$ 249,541</u>	<u>\$ 220,284</u>

The Corporations have investments, which are available for general expenditure within one year in the normal course of operations. Accordingly, these assets have been included in the quantitative information above.

The Corporations have other assets held by trustee under trust indenture, assets reserved for future gift annuity payments and donor-restricted purposes. Additionally, certain other board-designated assets are designed for long-term purposes and an operating reserve. These investments, which are more fully described in Note 4 are not available for general expenditure within the next year and are not reflected in the amounts above. However, the board-designated amounts could be made available, if necessary.

As part of the Corporations' liquidity management plan, cash in excess of daily requirements is invested in short-term investments and money market funds. These funds may be drawn upon, if necessary, to meet unexpected liquidity needs.

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4. Investments, Designated Investments Restricted Investments and Fair Value Measurements

The composition of investments, designated investments and restricted investments is set forth in the following table (in thousands):

	2019	2018
Investments (including designated investments and investments in HumanGood Nevada bonds):		
Cash and cash equivalents	\$ 21,276	\$ 13,109
Mutual funds	96,313	70,680
Equities	57,497	48,848
Exchange-traded funds and closed-end funds	31,272	23,638
Domestic corporate debt securities	43,508	53,150
International corporate debt securities	-	866
U.S. government securities	56,617	55,480
Municipal bonds	14,183	14,800
Foreign issues	474	384
Alternative investments	833	-
Investments in HumanGood Nevada bonds	5,018	4,606
Total investments (including designated investments and investments in HumanGood Nevada bonds):	326,991	285,561
Restricted investments:		
Cash and cash equivalents	40,270	20,501
Mutual funds	7,515	3,151
Equities	2,397	2,887
Exchange-traded funds and closed-end funds	18,983	13,426
Domestic corporate debt securities	5,092	9,587
U.S. government securities	6,498	12,877
Municipal bonds	848	938
Foreign issues	872	763
Alternative investments	471	-
Total restricted investments	82,946	64,130
Total investments, designated investments and restricted investments	\$ 409,937	\$ 349,691

Investments held as of December 31, 2019 and 2018 were comprised of the following (at fair value) (in thousands):

	2019	2018
Investments:		
Principal, interest and other reserves held in trust under bond indenture or mortgage agreements	\$ 12,783	\$ 29,358
Undrawn funds held for LPC Construction projects	32,805	4,270
Investments held in trust under revocable trust, gift annuity, annuity trust or unitrust agreements	37,358	30,502
Total restricted investments	82,946	64,130
Investments in HumanGood Nevada bonds	5,018	4,606
Investments, unrestricted	200,927	173,449
Investments, designated	121,046	107,506
Total investments, designated investments and restricted investments	\$ 409,937	\$ 349,691

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The following disclosure is made pursuant to Section 1790(a)(3) of the California Health and Safety Code. The Corporations have identified certain corporate initiatives and contingencies listed below to which assets without restriction assets may be exposed, and therefore, have designated reserves as a safeguard against such contingencies. Although not restricted in accordance with FASB ASC Topic 958, *Not-for-Profit Entities*, the designations are as follows (in thousands):

	2019	2018
Designated for Endowment	\$ 56,185	\$ 44,504
Designated for Retirement	4,460	3,825
Designated for Innovation	10,000	13,500
Designated for Capital Projects	50,401	33,877
Designated for Foundation	-	6,200
Designated for Growth and Liability Reduction	-	5,600
Total designations	<u>\$ 121,046</u>	<u>\$ 107,506</u>

Investment Return

Investment return for the years ended December 31, 2019 and 2018 is as follows (in thousands):

	2019	2018
Total dividend, interest and other investment income, net of expense	\$ 9,843	\$ 10,208
Total realized gains on investments	4,886	9,490
Total net change in unrealized gains (losses) on investments	23,452	(28,966)
Unrealized gains on investment in HumanGood Nevada bonds	412	727
Total	<u>\$ 38,593</u>	<u>\$ (8,541)</u>

Investment income is net of investment expenses of \$1,113,000 and \$907,000 for the years ended December 31, 2019 and 2018, respectively.

Fair Value Measurements

FASB ASC Topic 820 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. FASB ASC Topic 820 also establishes a fair value hierarchy, which requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The standard describes three levels of inputs that may be used to measure fair value:

Level 1 - Quoted prices in active markets for identical assets or liabilities.

Level 2 - Observable inputs other than Level 1 prices, such as quoted prices for similar assets or liabilities; quoted prices in markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities; or net asset value per share (or its equivalent) with the ability to redeem the investments in the near term.

Level 3 - Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets or liabilities.

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Following is a description of the valuation methodologies used for instruments measured at fair value on a recurring basis and recognized in the accompanying combined financial statements, as well as the general classification of such instruments pursuant to the valuation hierarchy:

- **Mutual Funds** - Mutual funds registered with the Securities and Exchange Commission as mutual funds under the Investment Company Act of 1940 are valued based on quoted market prices, which represent the net asset value of shares, and are categorized as Level 1.
- **Equities, exchange-traded funds and closed-end funds** - Equity securities that are actively traded on a securities exchange are valued based on quoted prices from the applicable exchange and are categorized as Level 1.
- **Corporate Debt (domestic and foreign)** - Investment-grade bonds are valued using inputs and techniques which include third-party pricing vendors, dealer quotations, and recently executed transactions in securities of the issuer or comparable issuers. To the extent that these inputs are observable and timely, the values are categorized as Level 2.
- **Government securities (U.S. and foreign)** - Government securities are valued based on prices provided by third-party vendors that obtain feeds from a number of live data sources, including active market makers and interdealer brokers. To the extent that these inputs are observable and timely, values are categorized as Level 2.
- **Municipal bonds** - Municipal bonds are valued using inputs and techniques which include identification of similar issues and market activity. To the extent that these inputs are observable and timely, values are categorized as Level 2.
- **Investments in HumanGood Nevada bonds** - The fair value is estimated by a third-party using a small sample of sales comparables of other nonrelated LPC fixed rate bonds. Due to a lack of available Level 1 and Level 2 inputs, the investments have been classified as Level 3.
- **Alternative investments valued at net asset value (NAV)** - Primarily hedge funds are valued at NAV per share of the underlying investment fund. In accordance with ASU 2015-07, *Disclosures for Investments in Certain Entities That Calculate NAV per Share (or Its Equivalent)*, investments are not categorized within the fair value hierarchy.
- **Interest rate caps agreements** - The fair value is estimated by a third-party using inputs that are observable or that can be corroborated by observable market data and, therefore, are classified as Level 2.

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The following table presents the fair value measurements of financial instruments recognized in the accompanying combined balance sheets measured at fair value on a recurring basis and the level within the FASB ASC Topic 820 fair value hierarchy in which the fair value measurements fall as of December 31, 2019 and 2018 (in thousands):

	2019			
	Level 1	Level 2	Level 3	Total
Investments, designated investments and restricted investments:				
Mutual funds	\$ 103,828	\$ -	\$ -	\$ 103,828
Equities	59,894	-	-	59,894
Exchange-traded funds and closed-end funds	50,255	-	-	50,255
Domestic corporate debt	-	48,600	-	48,600
U.S. government securities	-	63,115	-	63,115
Municipal bonds	-	15,031	-	15,031
Foreign government securities	-	1,346	-	1,346
Investments in HumanGood Nevada bonds	-	-	5,018	5,018
Total investments, designated investments and restricted investments measured at fair value	<u>\$ 213,977</u>	<u>\$ 128,092</u>	<u>\$ 5,018</u>	347,087
Alternative Investments valued at NAV				1,304
Cash and cash equivalents				<u>61,546</u>
Total investments, designated investments and restricted investments				<u>\$ 409,937</u>
Interest rate cap measured at fair value	<u>\$ -</u>	<u>\$ 36</u>	<u>\$ -</u>	<u>\$ 36</u>

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	2018			
	Level 1	Level 2	Level 3	Total
Investments, designated investments and restricted investments:				
Mutual funds	\$ 73,831	\$ -	\$ -	\$ 73,831
Equities	51,735	-	-	51,735
Exchange-traded funds and closed-end funds	37,064	-	-	37,064
Domestic corporate debt	-	62,737	-	62,737
Foreign corporate debt	-	866	-	866
U.S. government securities	-	68,357	-	68,357
Municipal bonds	-	15,738	-	15,738
Foreign government securities	-	1,147	-	1,147
Investments in HumanGood Nevada bonds	-	-	4,606	4,606
Total investments, designated investments and restricted investments measured at fair value	<u>\$ 162,630</u>	<u>\$ 148,845</u>	<u>\$ 50,666</u>	316,081
Cash and cash equivalents				<u>33,610</u>
Total investments, designated investments and restricted investments				<u>\$ 349,691</u>
Interest rate cap measured at fair value	<u>\$ -</u>	<u>\$ 246</u>	<u>\$ -</u>	<u>\$ 246</u>

There were no significant transfers between Levels 1, 2 and 3 for the years ended December 31, 2019 and 2018.

The following table reconciles the beginning and ending balances of recurring fair value measurements recognized in the accompanying combined financial statements using significant unobservable (Level 3) inputs (in thousands):

Balance, December 31, 2017	\$ 5,788
Purchases, issuances, and settlements	(1,909)
Unrealized gain on investment in HumanGood Nevada bonds	<u>727</u>
Balance, December 31, 2018	4,606
Unrealized gain on investment in HumanGood Nevada bonds	<u>412</u>
Balance, December 31, 2019	<u>\$ 5,018</u>

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Notes to Combined Financial Statements
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5. Land, Buildings and Equipment, Net

Land, buildings and equipment, net at cost as of December 31, 2019 and 2018, consisted of the following (in thousands):

	<u>2019</u>	<u>2018</u>
Land	\$ 19,674	\$ 19,674
Land improvements	16,200	15,864
Buildings and improvements	753,881	734,768
Furnishings, equipment and automotive	<u>74,904</u>	<u>75,550</u>
Total	864,659	845,856
Accumulated depreciation	<u>(397,654)</u>	<u>(377,325)</u>
Total	467,005	468,531
Construction in progress	<u>15,346</u>	<u>21,726</u>
Total	<u>\$ 482,351</u>	<u>\$ 490,257</u>

Depreciation expense for the years ended December 31, 2019 and 2018, respectively, were \$41,633,000 and \$38,994,000.

Fully depreciated assets of \$20,983,000 and \$12,641,000 were disposed of during the years ended 2019 and 2018, respectively.

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6. Notes and Bonds Payable

A summary of the Corporations' notes and bonds payable as of December 31, 2019 and 2018, is as follows (in thousands):

	2019	2018
Secured		
Bonds used to refinance existing debt and renovate HumanGood California Obligated Group communities, all secured under a Master Trust Indenture on HumanGood California Obligated Group's assets and gross revenues pledge:		
NorCal Series 2015 tax-exempt Revenue Bonds issued by the California Statewide Communities Development Authority (dated May 28, 2015). Serial certificates in the aggregate amount of \$30,550 maturing annually through 2028 with annual principal payable commencing on October 1, 2016, in varying amounts ranging from \$1,885 to \$3,080 through 2028; interest at fixed rates ranging from 2.0% to 5.0%, payable semiannually on April 1 and October 1. Term bond in the amount of \$21,530 with annual principal payments commencing on October 1, 2037, in varying amounts ranging from \$345 to \$4,780 through 2045; interest at the fixed rate of 5.0%, payable semiannually on April 1 and October 1. Bonds are secured under a Master Trust Indenture on HumanGood California Obligated Group's assets and gross revenues pledge and Foundation limited guaranty.	\$ 44,680	\$ 46,310
NorCal Series 2010 tax-exempt Revenue Bonds issued by the California Statewide Communities Development Authority (dated February 16, 2010). Serial certificates, annual principal was payable commencing on October 1, 2011, in varying amounts ranging from \$690 to \$1,045 through 2020, amounts ranging from \$1,100 to \$6,105 through 2030, and amounts ranging from \$6,490 to \$10,560 through 2039; interest at fixed rates ranging from 4.25% to 6.25%, was payable semi-annually on April 1 and October 1. The bonds were refunded during the refinancing in August 2019.	-	100,130
NorCal Series 2012 tax-exempt Revenue Bonds issued by the California Statewide Communities Development Authority and subsequently sold and delivered to PNC Bank. The loan matures on October 1, 2036; interest accrues at tax-exempt LIBOR plus 1.19% (2.38% at December 31, 2019). PNC Bank has the option to tender the bonds to NorCal for purchase option upon the 5 th , 10 th , 15 th and 20 th anniversary of issuance.	15,950	16,595

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	2019	2018
NorCal Series 2013 Revenue Bonds issued by the California Statewide Communities Development Authority (dated February 1, 2013) to finance the costs of acquiring, constructing, expanding, remodeling, renovating, furnishing and equipping Terraces at Los Altos. Annual principal payable in varying amounts ranging from \$420 to \$1,350 through 2043; interest at fixed rates ranging from 2.1% to 5.0%. Bonds are secured under a Master Trust Indenture on HumanGood California Obligated Group's assets and gross revenues pledge and Foundation limited guaranty.	\$ 19,580	\$ 20,000
SoCal Series 2009 tax-exempt Revenue Bonds issued by the California Statewide Communities Development Authority in August 2009 and originally maturing in November 2041 to refund existing Series 1998 and 2006B bonds as well as to support additional construction projects. Annual principal was payable in varying amounts ranging from \$0 to \$1,455 through 2019, and amounts ranging from \$1,545 to \$9,370 through 2041; interest was at fixed rates ranging from 5.25% to 7.25%. The bonds were refunded during the refinancing in August 2019.	-	67,980
SoCal Series 2015 tax-exempt Revenue bonds issued by the California Municipal Finance Authority in December 2015 and maturing in December 2036 to refund existing Series 2006 bonds as well as to support additional construction projects at White Sands and Westminster Gardens. Annual principal payable in varying amounts ranging from \$0 to \$970 through 2019, and amounts ranging from \$990 to \$5,130 through 2036; interest at variable rate of the current index, 65.1% of the one-month LIBOR, plus 1.5%, which was 2.74% at December 31, 2019.	44,245	45,215
Fresno Series 2012 tax-exempt Revenue Bonds issued by the California Statewide Communities Development Authority (dated September 26, 2012), Serial certificates, to fund redevelopment spending at TSJG, with annual principal payable commencing on April 1, 2014, in varying amounts depending on initial entrance fee collections through 2016; interest at fixed rates ranging from 4.00% to 6.00%, payable annually on October 1.	45,760	46,435

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	<u>2019</u>	<u>2018</u>
Series 2019A tax-exempt Revenue and Refunding Bonds issued by the California Municipal Finance Authority (dated August 1, 2019) to refund existing NorCal Series 2010 and SoCal Series 2009 bonds and as well as to support additional construction projects for COG communities, with annual principal payable commencing on October 1, 2028, in varying amounts ranging from \$2,865 to \$5,370 through 2036, and \$11,810 to \$13,370 through 2044, interest at fixed rate of 4% through 2039 and ranging from 4.00% to 5.00% through 2044, payable annually on October 1.	\$ 141,705	\$ -
Series 2019B taxable bonds issued concurrently with Series 2019A in August 2019 and maturing in 2028 with annual principal payable in varying amounts ranging from \$2,995 in 2020 to \$3,415 in 2027 and \$650 in 2028; interest at fixed rate of 3% through 2028, payable annually on October 1.	25,610	-
Other Secured Obligations		
Terraces of Los Altos Equipment Loan issued in February 2013 and maturing in February 2020. Monthly principal and interest payments in the amount of \$38 began March 2013; interest at a fixed rate of 2.07%. The Equipment Loan is secured by the respective equipment.	74	528
Piedmont Gardens Elevator Construction Loan issued in December 2016 and maturing in December 2023. Monthly principal and interest payments in the amount of \$46 began upon completion of construction; interest at a fixed rate of 2.89%. The Elevator Construction Loan is secured by the respective elevator.	2,083	2,568
	<u>339,687</u>	<u>345,761</u>
Unsecured		
Note payable to individual bearing interest at 4.5%	<u>1,200</u>	<u>1,400</u>
Total secured notes and bonds payable	340,887	347,161
Less current portion of long-term debt	(8,551)	(7,919)
Add unamortized bond premium	20,043	4,521
Less unamortized bond issuance costs, net	(6,042)	(7,415)
Less unamortized bond discount	<u>-</u>	<u>(3,165)</u>
Total	<u>\$ 346,337</u>	<u>\$ 333,183</u>

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Scheduled maturities of notes and bonds payable are as follows (in thousands):

Years ending December 31:		
2020	\$	8,551
2021		8,784
2022		9,114
2023		9,451
2024		9,242
Thereafter		295,745
Total	\$	<u>340,887</u>

The Corporations maintain a standby letter of credit with a bank for workers' compensation as discussed in Note 9.

The Corporations are subject to financial covenants on debt, which include debt service coverage ratios and minimum days of cash-on-hand requirements.

Loss on Early Retirement of Debt

During August 2019, the HumanGood California Obligated Group completed a financing transaction through the issuance of the Series 2019A and Series 2019B bonds to provide for overall debt service savings and to join the previously separated Obligated Groups into one combined HumanGood California Obligated Group under a common master trust indenture. The majority of the proceeds were used to refund the HumanGood NorCal Series 2010 bonds and the HumanGood SoCal Series 2009 bonds. In conjunction with this transaction, the HumanGood California Obligated Group recorded a loss on early retirement of debt that is included in the combined statement of operations and changes in net assets. The loss consists of the following (in thousands):

Deposit to escrow deposit fund	\$	173,103
NorCal Series 2010 bonds outstanding		(100,130)
SoCal Series 2009 bonds outstanding		(67,980)
Accrued interest		<u>(3,659)</u>
Subtotal		1,334
Unamortized debt issuance costs		3,157
Unamortized bond issuance discounts		<u>3,073</u>
Total	\$	<u>7,564</u>

7. Interest Rate Caps

On June 20, 2012, HumanGood NorCal entered into a forward starting interest rate cap agreement with a counterparty to extend the management of interest rate risk on \$19,000,000 of its now retired Series 2006 tax-exempt variable rate demand revenue bonds from December 1, 2015 to December 1, 2018.

The agreement established that when 70 percent of the one-month LIBOR rate exceeds 2.50 percent, NorCal was reimbursed for the excess by the counterparty to the transaction. With the refunding of the Series 2006 bonds with fixed rate obligations, the interest rate cap agreement was utilized to manage interest rate risk on the Series 2012 Revenue Bonds with PNC Bank. On December 1, 2018, this cap agreement matured.

On December 1, 2015, HumanGood SoCal entered into an interest rate cap agreement with a counterparty to extend the management of interest rate risk on \$25,000,000 of its Series 2015 tax-exempt variable rate revenue bonds from December 1, 2015 to December 1, 2025. The agreement establishes that when 65.1 percent of the one-month LIBOR rate exceeds 2.50 percent, SoCal is reimbursed for the excess by the counterparty to the transaction.

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For the years ended December 31, 2019 and 2018, the aforementioned floating interest rates for the cap agreements failed to exceed the respective cap strike rates, and thus none of the cap agreements had an impact on interest expense.

The fair value of the interest rate caps was \$36,000 and \$246,000 as of December 31, 2019 and 2018, respectively. The unrealized (loss) gain from mark-to-market of floating to fixed rate interest rate caps was (\$157,000) and \$172,000 for the years ended December 31, 2019 and 2018, respectively.

8. Employee Benefit Plans

Defined Benefit Pension Plan

HumanGood SoCal has a defined benefit retirement plan (the Plan) which, prior to being frozen, provided retirement benefits through a noncontributory defined benefit retirement plan for substantially all full-time SoCal employees. On October 22, 2009, the Board of Directors of SoCal froze the Plan, whereby effective October 31, 2009, further accrual of benefits ceased for participants in the Plan. SoCal has not taken action to terminate the Plan.

Prior to October 31, 2009, the benefits were based upon years of service and the employee's compensation during the years of employment. SoCal's funding policy, at a minimum, was to contribute amounts to the Plan sufficient to meet the minimum funding requirements of the Employee Retirement Income Security Act of 1974, plus additional amounts deemed to be appropriate.

The plan assets include separate investment accounts with underlying mutual funds invested in fixed-income and equity securities whose values are subject to fluctuations of the securities markets. Changes in these values attributable to the differences between actual and assumed returns on plan assets were deferred as unrecognized gains or losses and were included in the determination of the net pension expense over time.

A summary of the components of net periodic pension cost as of the date of the actuarial valuation for the years ended December 31, 2019 and 2018 are as follows (in thousands):

	2019	2018
Changes in projected benefit obligation:		
Projected benefit obligation, January 1	\$ 35,301	\$ 40,065
Service cost	-	-
Interest cost	1,473	1,557
Benefits paid	(2,499)	(1,981)
Actuarial loss (gain)	5,808	(4,340)
Projected benefit obligation, December 31	40,083	35,301
Changes in plan assets:		
Fair value of plan assets, January 1	37,718	37,930
Actual return on plan assets	4,219	865
Employer contributions	1,000	1,000
Expenses	(135)	(96)
Benefits paid	(2,499)	(1,981)
Fair value of plan assets, December 31	40,303	37,718
Funded status	\$ 220	\$ 2,417
Accumulated benefit obligation	\$ (40,083)	\$ (35,301)
Amounts overfunded recognized in the combined balance sheets, netted in retirement liabilities	\$ 220	\$ 2,417

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2019 and 2018

	2019	2018
Components of net periodic benefit cost:		
Interest cost	\$ 1,473	\$ 1,557
Expected return on plan assets	(1,500)	(2,510)
Net loss amortization	656	1,292
Net benefit cost	<u>\$ 629</u>	<u>\$ 339</u>
Net (gains) losses recognized in net assets without donor restrictions	<u>\$ (2,567)</u>	<u>\$ 3,891</u>
Amounts not yet reflected in periodic benefit costs and recognized in accumulated net assets without donor restrictions, net actuarial loss	<u>\$ 11,334</u>	<u>\$ 8,767</u>
Total accumulated charge to net assets without donor restrictions	<u>\$ 11,334</u>	<u>\$ 8,767</u>

Weighted-average assumptions used to determine benefit obligations as of December 31, 2019 and 2018, are as follows:

	2019	2018
Discount rate	3.43 %	4.26 %
Rate of compensation	N/A	N/A

Weighted-average assumptions used to determine net periodic pension cost for the years ended December 31, 2019 and 2018, are as follows:

	2019	2018
Discount rate	4.26 %	3.98 %
Expected long-term rate of return on plan assets	4.00 %	6.75 %
Rate of compensation	N/A	N/A

SoCal determines the estimates of expected long-term rate of return on assets. These estimates are primarily driven by actual historical asset class returns and advice from external actuarial firms, while incorporating specific asset class risk factors. For the years ended December 31, 2019 and 2018, the expected long-term rate of return used in determining net periodic pension cost was 4.00 percent and 6.75 percent, respectively.

The Plan invests primarily in asset categories to permit conservative investments with minimal risk of loss of principal. The Plan invests in asset categories that provide diversification benefits and are easily measured. Maximum and minimum holding ranges for each of these asset categories are set by the investment committee and defined in an investment policy. The current target allocations for equity and fixed income are 20 percent and 80 percent, respectively, for the years ended December 31, 2019 and 2018. Actual asset allocation within these approved ranges is based on a variety of economic and market conditions and consideration of specific asset category risk. To assess the Plan's investment performance, a long-term asset allocation policy benchmark has been established. The Plan's assets are invested in separate accounts which are considered Level 2 securities and the asset allocation was in line with the target allocations as of December 31, 2019.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2019 and 2018

SoCal expects to contribute approximately \$1,000,000 to the Plan during the year ending December 31, 2020. SoCal estimates that benefit payments will be paid over the next 10 years as follows (in thousands):

Years ending December 31:		
2020	\$	3,557
2021		3,598
2022		2,838
2023		2,228
2024		2,630
2024 - 2028		12,480
Total	\$	27,331

Actuarial losses of \$905,000 related to the Plan are expected to be recognized as a component of the net periodic pension cost during the year ending December 31, 2020. Management has included the net periodic pension cost in SoCal's 2020 operating budget.

Supplemental Retirement Income Plan Agreements

Certain HumanGood NorCal management employees or retirees of NorCal participate in supplemental retirement income plans, and have individually entered into agreements with NorCal whereby the employees will be provided specific amounts of annual retirement income for the balance of their lifetime following retirement. During 2005, accrued benefits for active participants in the supplemental retirement income plan were transferred into a new nonqualified plan under IRC 457(f) that distributes a lump-sum payment at age 65. On October 2, 2015, the plan was frozen to new entrants. On December 1, 2017, the HumanGood Board of Directors elected to terminate the plan and, in 2018, final termination payouts of \$2,143,000 were made. Subsequent to the termination and payout of the IRC 457(f) plan, the remaining NorCal frozen supplemental retirement income plan had a present value of future payments to participants of \$1,680,000 and \$1,467,000 as of December 31, 2019 and 2018, respectively.

Assets available for benefits to this remaining pool of participants are subject to the claims of the NorCal's creditors. The assets are included in designated investments and amounted to \$4,460,000 and \$3,825,000 as of December 31, 2019 and 2018, respectively. Actual payments made to retirees under the remaining plan agreement were \$191,000 and \$196,000 for the years ended December 31, 2019 and 2018, respectively, in addition to the aforementioned IRC 457(f) termination payment.

Defined Contribution Plan

The Corporations also participate in a defined contribution retirement plan covering all eligible employees. The Corporations' contribution was a match of employee contributions up to 4 percent of eligible earnings in calendar year 2019. Annual expenses incurred under the Plan for the years ended December 31, 2019 and 2018, respectively, were approximately \$2,934,000 and \$2,800,000.

9. Self-Insured Programs

The Corporations are partially self-insured for the first \$500,000 of each workers' compensation claim under an occurrence form insurance policy for 2019 and 2018. The Corporations have recorded a total liability for claims payable of \$14,379,000 and \$15,281,000, including an estimate of incurred but not reported claims as of December 31, 2019 and 2018, respectively. The estimated insurance recovery receivables of \$4,503,000 and \$5,018,000 are recorded under other receivables in the accompanying combined balance sheets as of December 31, 2019 and 2018, respectively. As required by the insurer, the Corporations have obtained a letter of credit for \$2,311,000 in connection with this program, subject to annual renewal, with the next scheduled renewal date on September 30, 2020.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2019 and 2018

Effective in 2019, the Corporations are self-insured for health insurance claims for eligible active employees up to an annual maximum of \$200,000 for each claimant. Claims above this amount are insured by a third-party for an unlimited amount for each claimant. Additionally, in the event that aggregate claims exceed 120 percent of anticipated claims totals, a separate aggregate stop loss policy will provide reimbursement for up to the first \$1,000,000 of amounts in excess of 120 percent. Based on claims incurred through December 31, an estimated liability for claims incurred, but not paid of \$2,048,000 is included in accounts payable and accrued expenses in the accompanying combined balance sheets as of December 31, 2019.

10. Net Resident Service Revenues

The Corporations disaggregate revenues from contracts with customers by type of service and payor source as this depicts the nature, amount, timing and uncertainty of their revenues and cash flows as affected by economic factors. Resident services and patient revenues consist of the following for the years ended December 31, 2019 and 2018 (in thousands):

	2019				
	Residential Living	Assisted Living	Health Center	Memory Care	Total
Private (contract)	\$ 100,270	\$ 22,654	\$ 15,609	\$ 9,611	\$ 148,144
Private (noncontract)	6,411	10,710	12,832	4,478	34,431
Medicare (Part A)	-	-	37,263	-	37,263
Medicare (Part B)	-	-	1,591	-	1,591
Medicaid	-	-	14,541	-	14,541
Managed care	-	-	11,905	-	11,905
Subtotal	106,681	33,364	93,741	14,089	247,875
Amortization of nonrebatable entrance fees	-	-	-	-	43,129
Total	<u>\$ 106,681</u>	<u>\$ 33,364</u>	<u>\$ 93,741</u>	<u>\$ 14,089</u>	<u>\$ 291,004</u>
	2018				
	Residential Living	Assisted Living	Health Center	Memory Care	Total
Private (contract)	\$ 94,584	\$ 20,645	\$ 17,386	\$ 8,484	\$ 141,099
Private (noncontract)	5,625	11,067	12,284	4,463	33,439
Medicare (Part A)	-	-	33,160	-	33,160
Medicare (Part B)	-	-	1,550	-	1,550
Medicaid	-	-	13,562	-	13,562
Managed care	-	-	9,746	-	9,746
Subtotal	100,209	31,712	87,688	12,947	232,556
Amortization of nonrebatable entrance fees	-	-	-	-	41,164
Total	<u>\$ 100,209</u>	<u>\$ 31,712</u>	<u>\$ 87,688</u>	<u>\$ 12,947</u>	<u>\$ 273,720</u>

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2019 and 2018

Approximately 74 percent and 75 percent of the Corporations' resident services and patient revenues are derived from private pay in 2019 and 2018, respectively. The Corporations also have agreements with third-party payors. The Medicare Part A program makes up approximately 15 percent and 14 percent of the Corporations' resident services and patient revenues in 2019 and 2018, respectively. Nursing and ancillary services provided to Medicare beneficiaries are paid at prospectively determined rates per day. These rates vary according to a resident-specific classification system that is based on clinical, diagnostic and other factors and the reimbursement methodology is subject to various limitations and adjustments. The determination of these rates is partially based on the Corporations' clinical assessment of their residents. The Corporations are required to clinically assess its residents at predetermined time periods throughout the year. The documented assessments are subject to review and adjustment by Medicare. The basis for payment to the Corporations for other payer agreements includes prospectively determined rates per day or discounts from established charges.

11. Functional Expenses

The Corporations provide housing, healthcare and other related services to residents within their geographic location. Financial statements report certain expense categories that are attributable to more than one program service or support function. Therefore, these expenses require an allocation on a reasonable basis that is consistently applied. Expenses relating to providing these services are approximately as follows at December 31, 2019 and 2018 (in thousands):

	2019		
	Residential services	General and Administrative	Total
Salaries and wages	\$ 107,628	\$ 25,033	\$ 132,661
Employee benefits	25,009	7,008	32,017
Supplies	20,646	902	21,548
Ancillary services	15,248	-	15,248
Repairs and maintenance	4,435	8	4,443
Marketing and advertising	3,262	90	3,352
Purchased services	10,264	4,084	14,348
Utilities	10,639	1,266	11,905
Travel and related	1,169	1,566	2,735
Leases and rents	864	934	1,798
Insurance	3,677	-	3,677
Other operating expenses	4,331	2,130	6,461
Depreciation	41,633	-	41,633
Mortgage interest	17,411	-	17,411
Total expenses	<u>\$ 266,216</u>	<u>\$ 43,021</u>	<u>\$ 309,237</u>

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2019 and 2018

	2018		
	Residential services	General and Administrative	Total
Salaries and wages	\$ 100,223	\$ 24,065	\$ 124,288
Employee benefits	21,278	7,539	28,817
Supplies	20,392	900	21,292
Ancillary services	13,756	-	13,756
Repairs and maintenance	4,509	10	4,519
Marketing and advertising	3,214	42	3,256
Purchased services	10,127	5,623	15,750
Utilities	10,701	1,231	11,932
Travel and related	1,311	1,589	2,900
Leases and rents	928	891	1,819
Insurance	3,408	26	3,434
Other operating expenses	3,878	3,905	7,783
Depreciation	38,994	-	38,994
Mortgage interest	19,095	-	19,095
Total expenses	<u>\$ 251,814</u>	<u>\$ 45,821</u>	<u>\$ 297,635</u>

12. Transactions With Affiliates

The Corporations manage rental housing communities and LPCs (see Note 1) under management agreements whereby the Corporations and its affiliates provide administrative and management services to all communities and sales management services to the LPCs.

Management fees for providing these services for the years ended December 31, 2019 and 2018, are included in other operating revenues earned by the Corporations in the accompanying combined statements of operations and changes in net assets and are as follows (in thousands):

	2019	2018
HumanGood LPCs		
Terraces of Phoenix	\$ 1,881	\$ 1,539
Judson Park	1,878	1,851
Las Ventanas	592	1,047
Affordable Housing Communities	-	2,169
HumanGood Affordable Housing	520	-
Total	<u>\$ 4,871</u>	<u>\$ 6,606</u>

Interest and management fees due from affiliates in the accompanying combined balance sheets includes deferred management fees due from Las Ventanas in the amounts of \$2,412,000 as of December 31, 2019 and 2018, as well as interest income receivable from Beacon Development Group in the amounts of \$529,000 and \$423,000 as of December 31, 2019 and 2018, respectively, related to the outstanding purchase note described further in Note 1.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2019 and 2018

Amounts due from affiliates for management fees and cost recoveries for other services such as dining, purchase cards, payroll, and insurance as of December 31, 2019 and 2018, are included intercompany advances due in the accompanying combined balance sheets, and are as follows (in thousands):

	2019	2018
Due from HumanGood Affordable Housing and Affiliates	\$ 4,000	\$ 4,203
Due from HumanGood SoCal Affordable Housing Communities	2,193	2,739
Due from HumanGood Washington	1,906	3,173
Due (to) from HumanGood Arizona	(49)	1,724
Due from HumanGood Idaho	276	126
Due from HumanGood Nevada	239	16
Due from HumanGood Cornerstone and certain affiliates	155	429
Total	<u>\$ 8,720</u>	<u>\$ 12,410</u>

During the year ended December 31, 2019, affiliate distributions and transfers in the accompanying combined statements of operations and changes in net assets is primarily comprised of cash distributions of \$8,151,000 from NorCal and SoCal to Cornerstone, and benevolence match distributions of \$2,980,000 from NorCal and \$520,000 from SoCal to Foundation West and Foundation South, respectively.

During the year ended December 31, 2018, Net equity transfers from SoCal Affordable Housing in the accompanying combined statements of operations and changes in net assets includes noncash contributions of \$34,296,000 to SoCal from certain of its owned affordable housing communities and noncash distributions of \$6,464,000 related to the SoCal to HGAH asset and liability transfer further described in Note 1.

Also for the year ended December 31, 2018, other affiliate distributions and transfers in the accompanying combined statements of operations and changes in net assets is primarily comprised of the following: cash distributions of \$3,480,000 from NorCal and SoCal to Cornerstone, cash distributions of \$5,000,000 to HGAH and \$1,000,000 to BDG to fund working capital, cash contributions of \$2,230,000 from HumanGood Properties to NorCal and a cash contribution of \$3,600,000 from an affordable housing community to SoCal subsequent to its conversion to tax-credit financing.

13. Leases and Rents

The Corporations lease office space for one of their community support centers which is recorded as an operating lease. The current lease term expires on December 31, 2021 and there are no options to extend. Lease expense under the office space lease was \$374,000 and \$363,000 for the years ended December 31, 2019 and 2018, respectively, and is included in leases and rents in the accompanying combined statements of operations and changes in net assets. After adoption of ASC 842, right of use asset and lease liability for the community support center operating lease of \$866,000 was recorded within land, building and equipment and other liabilities, respectively, in the accompanying combined balance sheets as of December 31, 2019. The maturity and future minimum commitments of total operating lease obligations at December 31, 2019 is expected to approximate \$433,000 for the next two years.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2019 and 2018

The following tables include supplemental lease information as of and for the year ended December 31, 2019:

Lease Term and Discount Rate	December 31, 2019
Weighted-average remaining lease term (years): Community support center operating lease	2 years
Weighted-average discount rate: Community support center operating lease	1.58%

14. Commitments and Contingencies

The Corporations are party to various claims and legal actions in the normal course of business. In the opinion of management, based upon current facts and circumstances the resolution of these matters is not expected to have a material adverse effect on the financial position of the Corporations.

The Corporations are aware of the existence of asbestos in certain of its buildings. The Corporations have not recorded a liability for any asbestos abatement costs because the cost cannot be reasonably estimated at this time. At such time in the future that plans are made to make changes to structures with asbestos and the related asbestos removal cost estimates are completed, the Corporations will record an estimate of the costs of the required asbestos abatement.

On September 12, 2012, Las Ventanas closed on the restructuring of its indebtedness. As discussed in Note 1, NorCal provided an unfunded \$2,000,000 debt service support agreement for the Las Ventanas Series A-1 bonds, with any resulting funded amounts triggering the issuance to NorCal of an equal amount of Las Ventanas Series B-4 bonds.

For all the tax-credit financed affordable housing communities in which HGAH serves as a General Partner (see Note 1), NorCal and HGAH, as co-guarantors, have issued on-going guarantees to cover operating deficits and guarantees to ensure compliance with certain on-going aspects of the Limited Partnership Agreement (LPA). NorCal periodically evaluates the potential exposure from these on-going guarantees. NorCal has not provided support under these guarantees in the past and based on the current evaluation, management believes they cumulatively do not constitute a material future financial risk exposure for NorCal.

In addition to operating deficit and LPA guarantees, NorCal and HGAH, as co-guarantors, also issue, unconditional project completion guarantees for tax-credit financed affordable housing communities in which HGAH serves as a General Partner (see Note 1). NorCal has not provided support under these guarantees in the past and based on the current evaluation, management believes they cumulatively do not constitute a material future financial risk exposure for NorCal.

Senior Living Services Industry

The senior living services industry is subject to numerous laws, regulations and administrative directives of federal, state and local governments and agencies. Compliance with these laws, regulations and administrative directives is subject to future government review and interpretation as well as regulatory actions unknown or unasserted at this time. Government activity continues to increase with respect to investigations and allegations concerning possible violations by healthcare providers of fraud and abuse statutes and regulations, which could result in the imposition of significant fines and penalties as well as significant repayments for resident services previously billed. Management is not aware of any material incidents of noncompliance; however, the possible future effects of this matter on the Corporations, if any, are not presently determinable.

HumanGood California Obligated Group & Foundation Affiliates (Members of HumanGood)

Notes to Combined Financial Statements
December 31, 2019 and 2018

15. Concentrations of Credit Risk

The Corporations grant credit without collateral to their residents, some of whom are insured under third-party payor arrangements.

The Corporations maintain cash accounts, which, at times, may exceed federally insured limits. The Corporations have not experienced any losses from maintaining cash accounts in excess of federally insured limits. Management believes it is not subject to any significant credit risk on its cash accounts.

16. Subsequent Events

Subsequent events are events or transactions that occur after the combined balance sheet date but before the combined financial statements are issued. The Corporations recognize in the combined financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the combined balance sheet, including the estimates inherent in the process of preparing the combined financial statements. The Corporations' combined financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the combined balance sheet but arose after the combined balance sheet date and before the combined financial statements are issued.

In December 2019, a novel strain of coronavirus (COVID-19) surfaced. The spread of COVID-19 around the world in 2020 has caused significant volatility in U.S. and international markets, supply chains, businesses and communities. The Corporations' evaluation of the effects of these events is ongoing as of the date the accompanying combined financial statements were available to be issued. COVID-19 may impact various parts of the Corporations' 2020 operations and financial performance, including but not limited to additional costs for emergency preparedness, disease control and containment, potential shortages of personnel, supply chain disruption, sales of residential living units or declines in revenues related to decreases in occupancy or volumes of certain revenues streams. The extent of the impact will depend on future developments, including the duration and spread of the outbreak and related governmental or other regulatory actions.

The Corporations have evaluated subsequent events through April 29, 2020, which is the date the combined financial statements were issued.

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Balance Sheet Schedule
December 31, 2019
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Assets										
Current Assets										
Cash and cash equivalents	\$ 18,428	\$ 5,644	\$ 8,338	\$ -	\$ 32,410	\$ 229	\$ 581	\$ 810	\$ -	\$ 33,220
Resident accounts receivable, net	9,349	4,539	1,138	-	15,026	-	-	-	-	15,026
Other receivables	2,357	3,098	164	-	5,619	521	15	536	-	6,155
Investments	88,433	87,748	15,484	-	191,665	-	9,262	9,262	-	200,927
Current portion of restricted investments	3,593	-	854	-	4,447	-	-	-	-	4,447
Intercompany advances due	8,269	369	(72)	-	8,566	95	59	154	-	8,720
Prepaid expenses, deposits and and other assets	6,869	2,316	284	-	9,469	-	-	-	-	9,469
Total current assets	137,298	103,714	26,190	-	267,202	845	9,917	10,762	-	277,964
Noncurrent Assets										
Restricted cash	-	5,088	-	-	5,088	-	-	-	-	5,088
Designated investments	50,925	13,936	-	-	64,861	56,185	-	56,185	-	121,046
Investments in HumanGood Nevada Bonds	5,018	-	-	-	5,018	-	-	-	-	5,018
Restricted investments	37,388	-	3,753	-	41,141	12,327	25,031	37,358	-	78,499
Subordinated notes receivable, net	41,560	-	-	(29,775)	11,785	-	-	-	-	11,785
Land, building and equipment, net	230,655	168,740	82,956	-	482,351	-	-	-	-	482,351
Interest and management fees due from affiliates	12,885	-	-	(9,944)	2,941	-	-	-	-	2,941
Total noncurrent assets	378,431	187,764	86,709	(39,719)	613,185	68,512	25,031	93,543	-	706,728
Total assets	\$ 515,729	\$ 291,478	\$ 112,899	\$ (39,719)	\$ 880,387	\$ 69,357	\$ 34,948	\$ 104,305	\$ -	\$ 984,692

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Balance Sheet Schedule
December 31, 2019
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Liabilities and Net Assets										
Current Liabilities										
Accounts payable and accrued expenses	\$ 27,030	\$ 5,230	\$ 7,680	\$ (6,396)	\$ 33,544	\$ 164	\$ 95	\$ 259	\$ -	\$ 33,803
Deposits	1,530	723	110	-	2,363	-	-	-	-	2,363
Accrued interest	2,594	193	4,146	(3,548)	3,385	-	-	-	-	3,385
Current portion of long-term debt	5,645	2,201	705	-	8,551	-	-	-	-	8,551
Entrance fee rebates payable	184	1,366	13	-	1,563	-	-	-	-	1,563
Total current liabilities	36,983	9,713	12,654	(9,944)	49,406	164	95	259	-	49,665
Noncurrent Liabilities										
Notes and bonds payable, net	193,519	108,934	73,659	(29,775)	346,337	-	-	-	-	346,337
Rebatable entrance fees due	91,082	52,712	35,339	-	179,133	-	-	-	-	179,133
Entrance fees subject to refund	38,793	42,194	8,824	-	89,811	-	-	-	-	89,811
Entrance fees nonrefundable	110,649	53,721	16,810	-	181,180	-	-	-	-	181,180
Revocable trusts	-	-	-	-	-	315	-	315	-	315
Obligations under annuity agreements	-	-	-	-	-	1,903	1,459	3,362	-	3,362
Retirement liabilities	2,506	214	-	-	2,720	-	-	-	-	2,720
Workers' compensation liability	6,811	7,568	-	-	14,379	-	-	-	-	14,379
Other liabilities	13,873	268	39	(9,944)	4,236	-	-	-	-	4,236
Total noncurrent liabilities	457,233	265,611	134,671	(39,719)	817,796	2,218	1,459	3,677	-	821,473
Total liabilities	494,216	275,324	147,325	(49,663)	867,202	2,382	1,554	3,936	-	871,138
Net Assets										
Without donor restrictions	21,513	16,154	(34,426)	9,944	13,185	56,186	9,769	65,955	-	79,140
With donor restrictions	-	-	-	-	-	10,789	23,625	34,414	-	34,414
Total net assets (deficit)	21,513	16,154	(34,426)	9,944	13,185	66,975	33,394	100,369	-	113,554
Total liabilities and net assets (deficit)	\$ 515,729	\$ 291,478	\$ 112,899	\$ (39,719)	\$ 880,387	\$ 69,357	\$ 34,948	\$ 104,305	\$ -	\$ 984,692

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Operating Revenues										
Residential living	\$ 55,438	\$ 40,227	\$ 11,016	\$ -	\$ 106,681	\$ -	\$ -	\$ -	\$ -	\$ 106,681
Assisted living	16,210	13,219	3,935	-	33,364	-	-	-	-	33,364
Health center	59,356	26,311	8,074	-	93,741	-	-	-	-	93,741
Memory care	9,307	2,874	1,908	-	14,089	-	-	-	-	14,089
Other residential services	1,487	129	11	-	1,627	-	-	-	-	1,627
Amortization of entrance fees	22,729	16,589	3,811	-	43,129	-	-	-	-	43,129
Other operating revenue	7,795	2,292	464	(1,020)	9,531	-	-	-	-	9,531
Net assets released from restrictions	-	-	-	-	-	2,905	1,580	4,485	-	4,485
Unrestricted contributions	-	-	-	-	-	2,633	-	2,633	-	2,633
Foundation community benefit	702	286	196	-	1,184	-	-	-	(1,184)	-
Total operating revenues	173,024	101,927	29,415	(1,020)	303,346	5,538	1,580	7,118	(1,184)	309,280
Operating Expenses										
Salaries and wages	73,880	48,285	9,761	-	131,926	473	262	735	-	132,661
Employee benefits	17,498	12,038	2,348	-	31,884	72	61	133	-	32,017
Supplies	11,080	8,008	2,457	-	21,545	1	2	3	-	21,548
Ancillary services	10,300	3,067	1,881	-	15,248	-	-	-	-	15,248
Repairs and maintenance	2,260	1,800	380	-	4,440	3	-	3	-	4,443
Marketing and advertising	1,485	1,292	575	-	3,352	-	-	-	-	3,352
Purchased services	7,099	6,359	842	-	14,300	35	13	48	-	14,348
Corporate allocations	-	-	2,040	(2,040)	-	-	-	-	-	-
Utilities	5,585	5,049	1,267	-	11,901	2	2	4	-	11,905
Travel and related	1,631	962	91	-	2,684	28	23	51	-	2,735
Leases and rents	1,239	401	148	-	1,788	10	-	10	-	1,798
Insurance	1,959	1,398	320	-	3,677	-	-	-	-	3,677
Foundation community distribution	-	-	-	-	-	898	286	1,184	(1,184)	-
Other operating expenses	696	1,815	309	-	2,820	2,709	932	3,641	-	6,461
Total operating expenses	134,712	90,474	22,419	(2,040)	245,565	4,231	1,581	5,812	(1,184)	250,193
Income (loss) before other operating income (expense)	38,312	11,453	6,996	1,020	57,781	1,307	(1)	1,306	-	59,087
Other Operating Income (Expense)										
Realized gains (losses) on investments, net	1,172	3,000	86	-	4,258	501	(8)	493	-	4,751
Change in unrealized gains on investments, net	7,374	6,234	143	-	13,751	5,577	1,255	6,832	-	20,583
Unrealized gains on investment in HumanGood Nevada Bonds	412	-	-	-	412	-	-	-	-	412
Investment income, net	3,491	3,236	340	-	7,067	1,182	263	1,445	-	8,512
Mortgage interest	(8,155)	(5,557)	(4,383)	684	(17,411)	-	-	-	-	(17,411)
Depreciation	(20,377)	(16,755)	(4,501)	-	(41,633)	-	-	-	-	(41,633)
Loss on early retirement of debt	(4,155)	(3,409)	-	-	(7,564)	-	-	-	-	(7,564)
Gain (loss) on disposal of fixed assets	480	(570)	-	-	(90)	-	-	-	-	(90)
Income (loss) from operations	18,554	(2,368)	(1,319)	1,704	16,571	8,567	1,509	10,076	-	26,647

HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)

Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Other Changes in Net Assets Without Donor Restrictions										
Change in minimum pension liability	\$ -	\$ (2,567)	\$ -	\$ -	\$ (2,567)	\$ -	\$ -	\$ -	\$ -	\$ (2,567)
Other affiliate distributions and equity transfers	(7,309)	(3,107)	12	-	(10,404)	2,980	(1,919)	1,061	-	(9,343)
Unrealized losses on interest rate caps	-	(157)	-	-	(157)	-	-	-	-	(157)
Change in net assets without donor restrictions	11,245	(8,199)	(1,307)	1,704	3,443	11,547	(410)	11,137	-	14,580
Net Assets With Donor Restrictions										
Dividend and interest income	-	-	-	-	-	779	552	1,331	-	1,331
Unrealized gains on investments with donor restrictions, net	-	-	-	-	-	574	2,295	2,869	-	2,869
Restricted equity contributions	-	-	-	-	-	-	2,033	2,033	-	2,033
Contributions	-	-	-	-	-	2,479	3,183	5,662	-	5,662
Net assets released from restrictions for benevolence	-	-	-	-	-	-	(286)	(286)	-	(286)
Contractual payments to beneficiaries	-	-	-	-	-	(364)	(1,298)	(1,662)	-	(1,662)
Realized losses on investments, net	-	-	-	-	-	16	119	135	-	135
Contractual liability adjustments	-	-	-	-	-	209	235	444	-	444
Net assets released from restrictions for special project funds	-	-	-	-	-	(2,905)	(1,294)	(4,199)	-	(4,199)
Change in net assets with donor restrictions	-	-	-	-	-	788	5,539	6,327	-	6,327
Change in net assets	11,245	(8,199)	(1,307)	1,704	3,443	12,335	5,129	17,464	-	20,907
Net Assets (Deficit), Beginning	10,268	24,353	(33,119)	8,240	9,742	54,640	28,265	82,905	-	92,647
Net Assets (Deficit), Ending	\$ 21,513	\$ 16,154	\$ (34,426)	\$ 9,944	\$ 13,185	\$ 66,975	\$ 33,394	\$ 100,369	\$ -	\$ 113,554

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Statement of Cash Flows Schedule
Year Ended December 31, 2019
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Cash Flows From Operating Activities										
Cash received for resident services	\$ 138,662	\$ 81,367	\$ 24,633	\$ -	\$ 244,662	\$ -	\$ -	\$ -	\$ -	\$ 244,662
Cash received from nonrebatable entrance fees from reoccupancy	23,527	22,781	7,851	-	54,159	-	-	-	-	54,159
Cash received from other operating activities	9,251	2,591	659	(1,019)	11,482	119	-	119	(1,186)	10,415
Cash received from bequests and trust maturities	-	-	-	-	-	2,633	-	2,633	-	2,633
Cash earnings realized from investments	4,663	6,234	425	-	11,322	1,683	254	1,937	-	13,259
Cash paid for employee salaries	(63,421)	(45,650)	(9,239)	-	(118,310)	(355)	(203)	(558)	-	(118,868)
Cash paid for employee benefits	(14,492)	(12,768)	(2,348)	-	(29,608)	(72)	(61)	(133)	-	(29,741)
Cash paid for temporary labor	(5,914)	(4,811)	(550)	-	(11,275)	-	-	-	-	(11,275)
Cash paid to vendors	(42,801)	(31,591)	(9,870)	1,019	(83,243)	(756)	324	(432)	1,186	(82,489)
Cash paid for interest	(7,713)	(6,041)	(3,624)	-	(17,378)	-	-	-	-	(17,378)
Net cash provided by operating activities	41,762	12,112	7,937	-	61,811	3,252	314	3,566	-	65,377
Cash Flows From Investing Activities										
Acquisition of land, buildings and equipment	(15,988)	(13,235)	(3,695)	-	(32,918)	-	-	-	-	(32,918)
Net purchases (sales) of unrestricted investments	(16,193)	2,850	(3,286)	-	(16,629)	(6,104)	2,164	(3,940)	-	(20,569)
Net sales (purchases) of restricted investments	3,532	4,606	(87)	-	8,051	(1,302)	(900)	(2,202)	-	5,849
Cash received from intercompany and affiliate transactions	1,930	2,092	(220)	-	3,802	(34)	(81)	(115)	-	3,687
Net cash (used in) provided by investing activities	(26,719)	(3,687)	(7,288)	-	(37,694)	(7,440)	1,183	(6,257)	-	(43,951)
Cash Flows From Financing Activities										
Proceeds from rebatable entrance fees	6,295	3,329	3,060	-	12,684	-	-	-	-	12,684
Refunds of deposits and refundable entrance fees	(4,013)	(6,709)	(2,465)	-	(13,187)	-	-	-	-	(13,187)
Proceeds from issuance of notes and bonds payable	14,577	(1,169)	-	-	13,408	-	-	-	-	13,408
Principal payments on notes and bonds payable	(3,834)	(970)	(675)	-	(5,479)	-	-	-	-	(5,479)
Cash paid for bond issuance costs	(2,211)	-	-	-	(2,211)	-	-	-	-	(2,211)
Cash paid from other trust activity	-	-	-	-	-	(2,154)	(2,173)	(4,327)	-	(4,327)
Affiliate cash distributions	(7,309)	(3,108)	12	-	(10,405)	2,980	(1,919)	1,061	-	(9,344)
Cash received from restricted contributions	-	-	-	-	-	2,452	3,183	5,635	-	5,635
Net cash provided by (used in) financing activities	3,505	(8,627)	(68)	-	(5,190)	3,278	(909)	2,369	-	(2,821)
Increase (decrease) in cash, cash equivalents and restricted cash	18,548	(202)	581	-	18,927	(910)	588	(322)	-	18,605
Cash, Cash Equivalents and Restricted Cash, Beginning	37,462	10,934	8,778	-	57,174	1,769	1,030	2,799	-	59,973
Cash, Cash Equivalents, and Restricted Cash, Ending	<u>\$ 56,010</u>	<u>\$ 10,732</u>	<u>\$ 9,359</u>	<u>\$ -</u>	<u>\$ 76,101</u>	<u>\$ 859</u>	<u>\$ 1,618</u>	<u>\$ 2,477</u>	<u>\$ -</u>	<u>\$ 78,578</u>

HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)

Combining Statement of Cash Flows Schedule
Year Ended December 31, 2019
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Cash Flows From Operating Activities										
Change in net assets	\$ 11,245	\$ (8,199)	\$ (1,307)	\$ 1,704	\$ 3,443	\$ 12,335	\$ 5,129	\$ 17,464	\$ -	\$ 20,907
Adjustments to reconcile change in net assets to net cash provided by operating activities:										
Amortization of entrance fees	(22,729)	(16,589)	(3,811)	-	(43,129)	-	-	-	-	(43,129)
Proceeds from nonrebatable entrance fees from reoccupancy	23,527	22,781	7,851	-	54,159	-	-	-	-	54,159
Depreciation	20,377	16,755	4,501	-	41,633	-	-	-	-	41,633
Amortization of debt issuance costs and bond discounts	239	166	58	-	463	-	-	-	-	463
Amortization of bond premium	(497)	-	(15)	-	(512)	-	-	-	-	(512)
Unrealized gains on investments, net	(7,374)	(6,234)	(143)	-	(13,751)	(5,577)	(1,255)	(6,832)	-	(20,583)
Unrealized gains on investments with donor restrictions, net	-	-	-	-	-	(574)	(2,295)	(2,869)	-	(2,869)
Unrealized gains on investments in HumanGood Nevada bonds	(412)	-	-	-	(412)	-	-	-	-	(412)
Change in unrecognized pension obligations	-	2,567	-	-	2,567	-	-	-	-	2,567
Loss on early retirement of debt	4,155	3,409	-	-	7,564	-	-	-	-	7,564
Unrealized loss on interest rate caps	-	157	-	-	157	-	-	-	-	157
Other affiliate distributions and equity transfers	7,309	3,108	(12)	-	10,405	(2,980)	1,919	(1,061)	-	9,344
Change in accounts receivable from residents and others	(1,152)	(271)	(30)	-	(1,453)	118	-	118	-	(1,335)
Change in prepaid expenses, deposits and other assets	(170)	223	(280)	-	(227)	-	-	-	-	(227)
Other changes in operating assets and liabilities, net	7,244	(5,761)	1,125	(1,704)	904	(70)	(3,184)	(3,254)	-	(2,350)
Net cash provided by operating activities	\$ 41,762	\$ 12,112	\$ 7,937	\$ -	\$ 61,811	\$ 3,252	\$ 314	\$ 3,566	\$ -	\$ 65,377
Noncash Disclosures										
Long-term debt repaid with proceeds from Series 2019 Bonds	\$ 100,130	\$ 67,980	\$ -	\$ -	\$ 168,110	\$ -	\$ -	\$ -	\$ -	\$ 168,110
Reconciliation of Cash, Cash Equivalents and Restricted Cash to Combining Balance Sheets										
Cash and cash equivalents	\$ 18,428	\$ 5,644	\$ 8,338	\$ -	\$ 32,410	\$ 229	\$ 581	\$ 810	\$ -	\$ 33,220
Restricted cash included in restricted investments	37,582	-	1,021	-	38,603	630	1,037	1,667	-	40,270
Restricted cash	-	5,088	-	-	5,088	-	-	-	-	5,088
Total cash, cash equivalents and restricted cash	\$ 56,010	\$ 10,732	\$ 9,359	\$ -	\$ 76,101	\$ 859	\$ 1,618	\$ 2,477	\$ -	\$ 78,578

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	Terraces at Los Altos	Grand Lake Gardens	Piedmont Gardens	Plymouth Village	Valle Verde	Rosewood	Terraces of Los Gatos	NorCal Community Support Center	Eliminations	HumanGood NorCal
Operating Revenues										
Residential living	\$ 6,888	\$ 4,112	\$ 8,708	\$ 7,085	\$ 13,483	\$ 4,191	\$ 10,971	\$ -	\$ -	\$ 55,438
Assisted living	2,821	-	3,847	2,024	2,089	1,891	3,538	-	-	16,210
Health center	6,976	-	12,731	4,838	10,767	10,891	13,153	-	-	59,356
Memory care	2,034	-	1,473	688	1,834	1,368	1,910	-	-	9,307
Other residential services	81	101	627	96	232	229	121	-	-	1,487
Amortization of entrance fees	3,025	397	3,080	2,433	6,882	710	6,202	-	-	22,729
Other operating revenue	165	138	273	262	990	237	333	16,530	(11,133)	7,795
Net assets released from restrictions	-	-	-	-	-	-	-	-	-	-
Unrestricted contributions	-	-	-	-	-	-	-	-	-	-
Foundation community benefit	66	18	88	178	250	97	5	-	-	702
Total operating revenues	22,056	4,766	30,827	17,604	36,527	19,614	36,233	16,530	(11,133)	173,024
Operating Expenses										
Salaries and wages	8,389	1,953	13,158	7,381	11,643	7,988	11,704	11,664	-	73,880
Employee benefits	1,800	444	3,264	1,581	2,835	1,976	2,644	2,954	-	17,498
Supplies	1,249	482	1,853	1,255	2,605	1,420	1,918	298	-	11,080
Ancillary services	1,392	1	1,594	989	1,398	2,514	2,412	-	-	10,300
Repairs and maintenance	173	24	423	500	558	206	375	1	-	2,260
Marketing and advertising	234	130	220	339	201	203	124	34	-	1,485
Purchased services	860	275	1,009	805	976	970	1,239	965	-	7,099
Corporate allocations	1,493	325	2,270	1,273	2,166	1,559	2,047	-	(11,133)	-
Utilities	414	404	1,004	744	1,200	578	1,040	201	-	5,585
Travel and related	54	39	89	84	191	65	117	992	-	1,631
Leases and rents	57	22	116	151	101	55	56	681	-	1,239
Insurance	202	65	344	257	358	272	328	133	-	1,959
Foundation community distribution	-	-	-	-	-	-	-	-	-	-
Other operating expenses	217	118	429	855	519	270	591	(2,303)	-	696
Total operating expenses	16,534	4,282	25,773	16,214	24,751	18,076	24,595	15,620	(11,133)	134,712
Income before other operating income (expense)	5,522	484	5,054	1,390	11,776	1,538	11,638	910	-	38,312
Other Operating Income (Expense)										
Realized gains on investments, net	-	-	-	-	-	-	-	1,172	-	1,172
Change in unrealized gains on investments, net	-	-	-	-	-	-	-	7,374	-	7,374
Unrealized gains on investment in HumanGood Nevada bonds	-	-	-	-	-	-	-	412	-	412
Investment income, net	-	-	-	-	-	-	-	3,491	-	3,491
Mortgage interest	(1,228)	(176)	(573)	(354)	(1,038)	(520)	(1,754)	(2,512)	-	(8,155)
Depreciation	(3,892)	(828)	(2,234)	(2,795)	(5,087)	(1,392)	(3,786)	(363)	-	(20,377)
Loss on early retirement of debt	-	-	-	-	-	-	-	(4,155)	-	(4,155)
Gain on disposal of fixed assets	-	-	-	-	-	-	-	480	-	480
Income (loss) from operations	402	(520)	2,247	(1,759)	5,651	(374)	6,098	6,809	-	18,554

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	Terraces at Los Altos	Grand Lake Gardens	Piedmont Gardens	Plymouth Village	Valle Verde	Rosewood	Terraces of Los Gatos	NorCal Community Support Center	Eliminations	HumanGood NorCal
Other Changes in Net Assets Without Donor Restrictions										
Change in minimum pension liability	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Net equity transfers from SoCal Affordable Housing	-	-	-	-	-	-	-	-	-	-
Other affiliate distributions and equity transfers	-	-	99	12	-	21	-	(7,441)	-	(7,309)
Unrealized gains on interest rate caps	-	-	-	-	-	-	-	-	-	-
Change in net assets without donor restrictions	402	(520)	2,346	(1,747)	5,651	(353)	6,098	(632)	-	11,245
Net Assets With Donor Restrictions										
Dividend and interest income	-	-	-	-	-	-	-	-	-	-
Unrealized gains on investments with donor restrictions, net	-	-	-	-	-	-	-	-	-	-
Restricted equity contributions	-	-	-	-	-	-	-	-	-	-
Contributions	-	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for benevolence	-	-	-	-	-	-	-	-	-	-
Contractual payments to beneficiaries	-	-	-	-	-	-	-	-	-	-
Realized losses on investments, net	-	-	-	-	-	-	-	-	-	-
Contractual liability adjustments	-	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for special project funds	-	-	-	-	-	-	-	-	-	-
Change in net assets with donor restrictions	-	-	-	-	-	-	-	-	-	-
Change in net assets	402	(520)	2,346	(1,747)	5,651	(353)	6,098	(632)	-	11,245
Net Assets (Deficit), Beginning	66	(9,635)	35,644	5,705	52,279	(19,221)	40,343	(94,913)	-	10,268
Net Assets (Deficit), Ending	\$ 468	\$ (10,155)	\$ 37,990	\$ 3,958	\$ 57,930	\$ (19,574)	\$ 46,441	\$ (95,545)	\$ -	\$ 21,513

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	Royal Oaks	White Sands La Jolla	Windsor	Regents Point	Westminster Gardens	Redwood Terrace	SoCal Community Support Center	Eliminations	HumanGood SoCal
Operating Revenues									
Residential living	\$ 7,207	\$ 10,291	\$ 2,845	\$ 10,860	\$ 4,497	\$ 4,527	\$ -	\$ -	\$ 40,227
Assisted living	1,906	2,547	2,604	3,184	1,531	1,447	-	-	13,219
Health center	5,893	3,986	2,588	6,417	-	7,427	-	-	26,311
Memory care	-	860	-	690	565	759	-	-	2,874
Other residential services	54	29	-	46	-	-	-	-	129
Amortization of entrance fees	2,840	4,893	718	4,755	1,561	1,822	-	-	16,589
Other operating revenue	298	489	100	316	160	327	6,853	(6,251)	2,292
Net assets released from restrictions	-	-	-	-	-	-	-	-	-
Unrestricted contributions	-	-	-	-	-	-	-	-	-
Foundation community benefit	24	32	12	30	33	155	-	-	286
Total operating revenues	18,222	23,127	8,867	26,298	8,347	16,464	6,853	(6,251)	101,927
Operating Expenses									
Salaries and wages	7,646	8,316	4,587	10,262	3,192	8,116	6,166	-	48,285
Employee benefits	2,044	2,118	1,154	2,533	711	2,109	1,369	-	12,038
Supplies	1,499	1,693	835	2,081	554	1,180	166	-	8,008
Ancillary services	430	61	200	822	12	1,542	-	-	3,067
Repairs and maintenance	477	537	248	282	151	90	15	-	1,800
Marketing and advertising	245	311	153	158	242	166	17	-	1,292
Purchased services	1,448	1,196	530	1,220	333	1,078	554	-	6,359
Corporate allocations	1,192	1,604	610	1,472	393	980	-	(6,251)	-
Utilities	955	1,108	398	1,088	389	938	173	-	5,049
Travel and related	103	42	74	91	28	135	489	-	962
Leases and rents	39	10	19	28	7	77	221	-	401
Insurance	233	317	140	305	146	238	19	-	1,398
Foundation community distribution	-	-	-	-	-	-	-	-	-
Other operating expenses	(309)	164	454	420	210	413	463	-	1,815
Total operating expenses	16,002	17,477	9,402	20,762	6,368	17,062	9,652	(6,251)	90,474
Income (loss) before other operating income (expense)	2,220	5,650	(535)	5,536	1,979	(598)	(2,799)	-	11,453
Other Operating Income (Expense)									
Realized gains on investments, net	-	-	-	-	-	-	3,000	-	3,000
Change in unrealized gains on investments	-	-	-	-	-	-	6,234	-	6,234
Unrealized gains on investment in HumanGood Nevada bonds	-	-	-	-	-	-	-	-	-
Investment income, net	-	25	1	-	2	1	3,207	-	3,236
Mortgage interest	(1,296)	(2,960)	(96)	(938)	(257)	-	(10)	-	(5,557)
Depreciation	(2,610)	(5,759)	(769)	(3,005)	(1,450)	(2,326)	(836)	-	(16,755)
Loss on early retirement of debt	-	-	-	-	-	-	(3,409)	-	(3,409)
Loss on disposal of fixed assets	-	-	-	-	(34)	-	(536)	-	(570)
(Loss) income from operations	(1,686)	(3,044)	(1,399)	1,593	240	(2,923)	4,851	-	(2,368)

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	Royal Oaks	White Sands La Jolla	Windsor	Regents Point	Westminster Gardens	Redwood Terrace	SoCal Community Support Center	Eliminations	HumanGood SoCal
Other Changes in Net Assets Without Donor Restrictions									
Change in minimum pension liability	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ (2,567)	\$ -	\$ (2,567)
Net equity transfers from SoCal Affordable Housing	-	-	-	-	-	-	-	-	-
Other affiliate distributions and equity transfers	111	682	3	19	111	81	(4,114)	-	(3,107)
Unrealized losses on interest rate caps	-	(144)	-	-	(13)	-	-	-	(157)
Change in net assets without donor restrictions	(1,575)	(2,506)	(1,396)	1,612	338	(2,842)	(1,830)	-	(8,199)
Net Assets With Donor Restrictions									
Dividend and interest income	-	-	-	-	-	-	-	-	-
Unrealized gains on investment with donor restrictions, net	-	-	-	-	-	-	-	-	-
Restricted equity contributions	-	-	-	-	-	-	-	-	-
Contributions	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for benevolence	-	-	-	-	-	-	-	-	-
Contractual payments to beneficiaries	-	-	-	-	-	-	-	-	-
Realized losses on investments, net	-	-	-	-	-	-	-	-	-
Contractual liability adjustments	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for special project funds	-	-	-	-	-	-	-	-	-
Change in net assets with donor restrictions	-	-	-	-	-	-	-	-	-
Change in net assets	(1,575)	(2,506)	(1,396)	1,612	338	(2,842)	(1,830)	-	(8,199)
Net Assets (Deficit), Beginning	(3,032)	(19,175)	90	36,633	6,434	(11,668)	15,071	-	24,353
Net Assets (Deficit), Ending	<u>\$ (4,607)</u>	<u>\$ (21,681)</u>	<u>\$ (1,306)</u>	<u>\$ 38,245</u>	<u>\$ 6,772</u>	<u>\$ (14,510)</u>	<u>\$ 13,241</u>	<u>\$ -</u>	<u>\$ 16,154</u>

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Operating Revenues								
Residential living	\$ 11,016	\$ -	\$ 106,681	\$ -	\$ -	\$ -	\$ -	\$ 106,681
Assisted living	3,935	-	33,364	-	-	-	-	33,364
Health center	8,074	-	93,741	-	-	-	-	93,741
Memory care	1,908	-	14,089	-	-	-	-	14,089
Other residential services	11	-	1,627	-	-	-	-	1,627
Amortization of entrance fees	3,811	-	43,129	-	-	-	-	43,129
Other operating revenue	464	(1,020)	9,531	-	-	-	-	9,531
Net assets released from restrictions	-	-	-	2,905	1,580	4,485	-	4,485
Unrestricted contributions	-	-	-	2,633	-	2,633	-	2,633
Foundation community benefit	196	-	1,184	-	-	-	(1,184)	-
Total operating revenues	29,415	(1,020)	303,346	5,538	1,580	7,118	(1,184)	309,280
Operating Expenses								
Salaries and wages	9,761	-	131,926	473	262	735	-	132,661
Employee benefits	2,348	-	31,884	72	61	133	-	32,017
Supplies	2,457	-	21,545	1	2	3	-	21,548
Ancillary services	1,881	-	15,248	-	-	-	-	15,248
Repairs and maintenance	380	-	4,440	3	-	3	-	4,443
Marketing and advertising	575	-	3,352	-	-	-	-	3,352
Purchased services	842	-	14,300	35	13	48	-	14,348
Corporate allocations	2,040	(2,040)	-	-	-	-	-	-
Utilities	1,267	-	11,901	2	2	4	-	11,905
Travel and related	91	-	2,684	28	23	51	-	2,735
Leases and rents	148	-	1,788	10	-	10	-	1,798
Insurance	320	-	3,677	-	-	-	-	3,677
Foundation community distribution	-	-	-	898	286	1,184	(1,184)	-
Other operating expenses	309	-	2,820	2,709	932	3,641	-	6,461
Total operating expenses	22,419	(2,040)	245,565	4,231	1,581	5,812	(1,184)	250,193
Income (loss) before other operating income (expense)	6,996	1,020	57,781	1,307	(1)	1,306	-	59,087
Other Operating Income (Expense)								
Realized gains (losses) on investments, net	86	-	4,258	501	(8)	493	-	4,751
Change in unrealized gains on investments, net	143	-	13,751	5,577	1,255	6,832	-	20,583
Unrealized gains on investment in HumanGood Nevada bonds	-	-	412	-	-	-	-	412
Investment income, net	340	-	7,067	1,182	263	1,445	-	8,512
Mortgage interest	(4,383)	684	(17,411)	-	-	-	-	(17,411)
Depreciation	(4,501)	-	(41,633)	-	-	-	-	(41,633)
Loss on early retirement of debt	-	-	(7,564)	-	-	-	-	(7,564)
Loss on disposal of fixed assets	-	-	(90)	-	-	-	-	(90)
(Loss) income from operations	(1,319)	1,704	16,571	8,567	1,509	10,076	-	26,647

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2019
(In Thousands)

	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Other Changes in Net Assets Without Donor Restrictions								
Change in minimum pension liability	\$ -	\$ -	\$ (2,567)	\$ -	\$ -	\$ -	\$ -	\$ (2,567)
Other affiliate distributions and equity transfers	12	-	(10,404)	2,980	(1,919)	1,061	-	(9,343)
Unrealized losses on interest rate caps	-	-	(157)	-	-	-	-	(157)
Change in net assets without donor restrictions	(1,307)	1,704	3,443	11,547	(410)	11,137	-	14,580
Net Assets With Donor Restrictions								
Dividend and interest income	-	-	-	779	552	1,331	-	1,331
Unrealized gains on investments with donor restrictions, net	-	-	-	574	2,295	2,869	-	2,869
Restricted equity contributions	-	-	-	-	2,033	2,033	-	2,033
Contributions	-	-	-	2,479	3,183	5,662	-	5,662
Net assets released from restrictions for benevolence	-	-	-	-	(286)	(286)	-	(286)
Contractual payments to beneficiaries	-	-	-	(364)	(1,298)	(1,662)	-	(1,662)
Realized gains on investments, net	-	-	-	16	119	135	-	135
Contractual liability adjustments	-	-	-	209	235	444	-	444
Net assets released from restrictions for special project funds	-	-	-	(2,905)	(1,294)	(4,199)	-	(4,199)
Change in net assets without donor restrictions	-	-	-	788	5,539	6,327	-	6,327
Change in net assets	(1,307)	1,704	3,443	12,335	5,129	17,464	-	20,907
Net Assets (Deficit), Beginning	(33,119)	8,240	9,742	54,640	28,265	82,905	-	92,647
Net Assets (Deficit), Ending	<u>\$ (34,426)</u>	<u>\$ 9,944</u>	<u>\$ 13,185</u>	<u>\$ 66,975</u>	<u>\$ 33,394</u>	<u>\$ 100,369</u>	<u>\$ -</u>	<u>\$ 113,554</u>

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Balance Sheet Schedule
December 31, 2018
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Assets										
Current Assets										
Cash and cash equivalents	\$ 21,439	\$ 4,281	\$ 7,815	\$ -	\$ 33,535	\$ 421	\$ 462	\$ 883	\$ -	\$ 34,418
Resident accounts receivable, net	7,280	3,671	906	-	11,857	-	-	-	-	11,857
Other receivables	3,274	3,695	366	-	7,335	639	15	654	-	7,989
Investments	66,790	84,432	12,055	-	163,277	-	10,172	10,172	-	173,449
Current portion of restricted investments	4,407	1,064	853	-	6,324	-	-	-	-	6,324
Intercompany advances due	10,200	2,462	(292)	-	12,370	62	(22)	40	-	12,410
Prepaid expenses, deposits and and other assets	6,699	2,539	4	-	9,242	-	-	-	-	9,242
Total current assets	120,089	102,144	21,707	-	243,940	1,122	10,627	11,749	-	255,689
Noncurrent Assets										
Restricted cash	-	5,054	-	-	5,054	-	-	-	-	5,054
Designated investments	49,066	13,936	-	-	63,002	44,504	-	44,504	-	107,506
Investments in HumanGood Nevada Bonds	4,606	-	-	-	4,606	-	-	-	-	4,606
Restricted investments	18,547	5,147	3,610	-	27,304	11,169	19,333	30,502	-	57,806
Subordinated notes receivable, net	41,672	-	-	(29,775)	11,897	-	-	-	-	11,897
Land, building and equipment, net	234,220	172,275	83,762	-	490,257	-	-	-	-	490,257
Interest and management fees due from affiliates	11,075	-	-	(8,240)	2,835	-	-	-	-	2,835
Total noncurrent assets	359,186	196,412	87,372	(38,015)	604,955	55,673	19,333	75,006	-	679,961
Total assets	<u>\$ 479,275</u>	<u>\$ 298,556</u>	<u>\$ 109,079</u>	<u>\$ (38,015)</u>	<u>\$ 848,895</u>	<u>\$ 56,795</u>	<u>\$ 29,960</u>	<u>\$ 86,755</u>	<u>\$ -</u>	<u>\$ 935,650</u>

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Balance Sheet Schedule
December 31, 2018
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Liabilities and Net Assets										
Current Liabilities										
Accounts payable and accrued expenses	\$ 20,240	\$ 9,425	\$ 7,094	\$ (5,376)	\$ 31,383	\$ 21	\$ 35	\$ 56	\$ -	\$ 31,439
Deposits	2,348	810	196	-	3,354	-	-	-	-	3,354
Accrued interest	2,445	845	3,429	(2,864)	3,855	-	-	-	-	3,855
Current portion of long-term debt	4,829	2,415	675	-	7,919	-	-	-	-	7,919
Total current liabilities	29,862	13,495	11,394	(8,240)	46,511	21	35	56	-	46,567
Noncurrent Liabilities										
Notes and bonds payable, net	181,354	107,283	74,321	(29,775)	333,183	-	-	-	-	333,183
Rebatable entrance fees due	87,610	53,366	34,182	-	175,158	-	-	-	-	175,158
Entrance fees subject to refund	42,868	39,895	7,972	-	90,735	-	-	-	-	90,735
Entrance fees nonrefundable	106,364	53,075	14,300	-	173,739	-	-	-	-	173,739
Revocable trusts	-	-	-	-	-	289	-	289	-	289
Obligations under annuity agreements	-	-	-	-	-	1,844	1,660	3,504	-	3,504
Retirement liabilities	2,028	(1,965)	-	-	63	-	-	-	-	63
Workers' compensation liability	6,794	8,487	-	-	15,281	-	-	-	-	15,281
Other liabilities	12,127	567	29	(8,240)	4,483	1	-	1	-	4,484
Total noncurrent liabilities	439,145	260,708	130,804	(38,015)	792,642	2,134	1,660	3,794	-	796,436
Total liabilities	469,007	274,203	142,198	(46,255)	839,153	2,155	1,695	3,850	-	843,003
Net Assets										
Without donor restrictions	10,268	24,353	(33,119)	8,240	9,742	44,638	10,178	54,816	-	64,558
With donor restrictions	-	-	-	-	-	10,002	18,087	28,089	-	28,089
Total net assets (deficit)	10,268	24,353	(33,119)	8,240	9,742	54,640	28,265	82,905	-	92,647
Total liabilities and net assets (deficit)	\$ 479,275	\$ 298,556	\$ 109,079	\$ (38,015)	\$ 848,895	\$ 56,795	\$ 29,960	\$ 86,755	\$ -	\$ 935,650

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2018
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Operating Revenues										
Residential living	\$ 51,547	\$ 38,625	\$ 10,037	\$ -	\$ 100,209	\$ -	\$ -	\$ -	\$ -	\$ 100,209
Assisted living	15,372	12,650	3,690	-	31,712	-	-	-	-	31,712
Health center	54,772	25,129	7,787	-	87,688	-	-	-	-	87,688
Memory care	8,233	2,800	1,914	-	12,947	-	-	-	-	12,947
Other residential services	1,623	103	186	-	1,912	-	-	-	-	1,912
Amortization of entrance fees	21,980	15,718	3,466	-	41,164	-	-	-	-	41,164
Other operating revenue	7,838	4,447	522	(973)	11,834	-	-	-	-	11,834
Affordable housing fees	-	1,677	-	-	1,677	-	-	-	-	1,677
Net assets released from restrictions	-	-	-	-	-	2,285	1,675	3,960	-	3,960
Unrestricted contributions	-	-	-	-	-	2,110	-	2,110	-	2,110
Foundation community benefit	825	358	178	-	1,361	-	-	-	(1,361)	-
Total operating revenues	162,190	101,507	27,780	(973)	290,504	4,395	1,675	6,070	(1,361)	295,213
Operating Expenses										
Salaries and wages	69,885	44,681	9,007	-	123,573	467	248	715	-	124,288
Employee benefits	15,859	10,691	2,128	-	28,678	72	67	139	-	28,817
Supplies	11,059	7,875	2,355	-	21,289	3	-	3	-	21,292
Ancillary services	9,302	2,797	1,657	-	13,756	-	-	-	-	13,756
Repairs and maintenance	2,737	1,311	467	-	4,515	4	-	4	-	4,519
Marketing and advertising	1,567	1,118	563	-	3,248	7	1	8	-	3,256
Purchased services	7,048	7,719	903	-	15,670	65	15	80	-	15,750
Corporate allocations	-	-	1,946	(1,946)	-	-	-	-	-	-
Utilities	5,776	4,768	1,384	-	11,928	2	2	4	-	11,932
Travel and related	1,752	999	104	-	2,855	32	13	45	-	2,900
Leases and rents	1,318	399	77	-	1,794	25	-	25	-	1,819
Insurance	1,465	1,668	275	-	3,408	26	-	26	-	3,434
Foundation community distribution	-	-	-	-	-	1,003	358	1,361	(1,361)	-
Other operating expenses	1,692	2,581	400	-	4,673	2,139	971	3,110	-	7,783
Total operating expenses	129,460	86,607	21,266	(1,946)	235,387	3,845	1,675	5,520	(1,361)	239,546
Income before other operating income (expense)	32,730	14,900	6,514	973	55,117	550	-	550	-	55,667
Other Operating Income (Expense)										
Realized gains (losses) on investments, net	318	317	(50)	-	585	5,041	1,169	6,210	-	6,795
Change in unrealized gains (losses) on investments, net	(5,730)	(6,802)	73	-	(12,459)	(9,635)	(1,950)	(11,585)	-	(24,044)
Unrealized gains on investment in HumanGood Nevada bonds	727	-	-	-	727	-	-	-	-	727
Investment income, net	3,355	4,331	252	-	7,938	1,105	300	1,405	-	9,343
Mortgage interest	(9,897)	(6,389)	(4,142)	1,333	(19,095)	-	-	-	-	(19,095)
Depreciation	(18,982)	(15,422)	(4,590)	-	(38,994)	-	-	-	-	(38,994)
Losses on disposal of fixed assets	(73)	(308)	-	-	(381)	-	-	-	-	(381)
Income (loss) from operations	2,448	(9,373)	(1,943)	2,306	(6,562)	(2,939)	(481)	(3,420)	-	(9,982)

HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)

Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2018
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Other Changes in Net Assets Without Donor Restrictions										
Change in minimum pension liability	\$ -	\$ 3,891	\$ -	\$ -	\$ 3,891	\$ -	\$ -	\$ -	\$ -	\$ 3,891
Net equity transfers from SoCal Affordable Housing	-	27,831	-	-	27,831	-	-	-	-	27,831
Other affiliate distributions and equity transfers	(4,255)	(1,390)	27	-	(5,618)	1,635	(577)	1,058	-	(4,560)
Unrealized gains on interest rate caps	56	116	-	-	172	-	-	-	-	172
Change in net assets without donor restrictions	(1,751)	21,075	(1,916)	2,306	19,714	(1,304)	(1,058)	(2,362)	-	17,352
Net Assets With Donor Restrictions										
Dividend and interest income	-	-	-	-	-	298	567	865	-	865
Unrealized losses on investments with donor restrictions, net	-	-	-	-	-	(1,155)	(3,767)	(4,922)	-	(4,922)
Restricted equity contributions	-	-	-	-	-	-	1,240	1,240	-	1,240
Contributions	-	-	-	-	-	3,435	1,205	4,640	-	4,640
Net assets released from restrictions for benevolence	-	-	-	-	-	-	(358)	(358)	-	(358)
Contractual payments to beneficiaries	-	-	-	-	-	(426)	(381)	(807)	-	(807)
Realized gains on investments, net	-	-	-	-	-	450	2,245	2,695	-	2,695
Contractual liability adjustments	-	-	-	-	-	73	186	259	-	259
Net assets released from restrictions for special project funds	-	-	-	-	-	(2,285)	(1,317)	(3,602)	-	(3,602)
Change in net assets with donor restrictions	-	-	-	-	-	390	(380)	10	-	10
Change in net assets	(1,751)	21,075	(1,916)	2,306	19,714	(914)	(1,438)	(2,352)	-	17,362
Net Assets (Deficit), Beginning	18,745	3,278	(25,263)	5,934	2,694	55,554	29,703	85,257	-	87,951
Adjustment for adoption of accounting pronouncement	(6,726)	-	(5,940)	-	(12,666)	-	-	-	-	(12,666)
Beginning net assets as adjusted for adoption of accounting pronouncement	12,019	3,278	(31,203)	5,934	(9,972)	55,554	29,703	85,257	-	75,285
Net Assets (Deficit), Ending	\$ 10,268	\$ 24,353	\$ (33,119)	\$ 8,240	\$ 9,742	\$ 54,640	\$ 28,265	\$ 82,905	\$ -	\$ 92,647

HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)

Combining Statement of Cash Flows Schedule (As Adjusted)
Year Ended December 31, 2018
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Cash Flows From Operating Activities										
Cash received for resident services	\$ 130,030	\$ 78,786	\$ 23,727	\$ -	\$ 232,543	\$ -	\$ -	\$ -	\$ -	\$ 232,543
Cash received from nonrebatable entrance fees										
from reoccupancy	29,775	20,782	6,784	-	57,341	-	-	-	-	57,341
Cash received from other operating activities	9,993	6,148	703	(973)	15,871	(11)	-	(11)	(1,356)	14,504
Cash received from bequests and trust maturities	-	-	-	-	-	2,110	-	2,110	-	2,110
Cash earnings realized from investments	3,674	4,477	202	-	8,353	6,146	1,469	7,615	-	15,968
Cash paid for employee salaries	(62,134)	(43,095)	(8,591)	-	(113,820)	(458)	(232)	(690)	-	(114,510)
Cash paid for employee benefits	(17,744)	(11,786)	(2,098)	-	(31,628)	(72)	(67)	(139)	-	(31,767)
Cash paid for temporary labor	(6,647)	(4,030)	(485)	-	(11,162)	-	-	-	-	(11,162)
Cash paid to vendors	(41,682)	(34,515)	(8,770)	973	(83,994)	(1,106)	304	(802)	1,356	(83,440)
Cash paid for interest	(9,343)	(6,213)	(2,740)	-	(18,296)	-	-	-	-	(18,296)
Net cash provided by operating activities	35,922	10,554	8,732	-	55,208	6,609	1,474	8,083	-	63,291
Cash Flows From Investing Activities										
Acquisition of land, buildings and equipment	(19,715)	(15,045)	(1,510)	-	(36,270)	-	-	-	-	(36,270)
Net (purchases) sales of unrestricted investments	(46,237)	2,800	(223)	-	(43,660)	(8,415)	391	(8,024)	-	(51,684)
Net sales (purchases) of restricted investments	33,251	1,173	(100)	-	34,324	(590)	(4,002)	(4,592)	-	29,732
Cash received from intercompany and affiliate transactions	16,664	711	80	-	17,455	(519)	(181)	(700)	-	16,755
Net cash used in investing activities	(16,037)	(10,361)	(1,753)	-	(28,151)	(9,524)	(3,792)	(13,316)	-	(41,467)
Cash Flows From Financing Activities										
Cash received from initial entrance fees and deposits	3,172	-	-	-	3,172	-	-	-	-	3,172
Proceeds from rebatable entrance fees	5,989	7,211	1,320	-	14,520	-	-	-	-	14,520
Refunds of deposits and refundable entrance fees	(8,310)	(6,465)	(5,419)	-	(20,194)	-	-	-	-	(20,194)
Principal payments on notes and bonds payable	(4,664)	(2,300)	(640)	-	(7,604)	-	-	-	-	(7,604)
Cash paid from other trust activity	-	-	-	-	-	(2,028)	799	(1,229)	-	(1,229)
Affiliate cash distributions	(4,255)	(1,443)	27	-	(5,671)	1,635	664	2,299	-	(3,372)
Cash received from restricted contributions	-	-	-	-	-	3,401	1,205	4,606	-	4,606
Net cash provided by (used in) financing activities	(8,068)	(2,997)	(4,712)	-	(15,777)	3,008	2,668	5,676	-	(10,101)
Increase (decrease) in cash, cash equivalents and restricted cash	11,817	(2,804)	2,267	-	11,280	93	350	443	-	11,723
Cash, Cash Equivalents and Restricted Cash, Beginning	25,645	13,738	6,511	-	45,894	1,676	680	2,356	-	48,250
Cash, Cash Equivalents, and Restricted Cash, Ending	\$ 37,462	\$ 10,934	\$ 8,778	\$ -	\$ 57,174	\$ 1,769	\$ 1,030	\$ 2,799	\$ -	\$ 59,973

HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)

Combining Statement of Cash Flows Schedule (As Adjusted)
Year Ended December 31, 2018
(In Thousands)

	HumanGood NorCal	HumanGood SoCal	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Cash Flows From Operating Activities										
Change in net assets	\$ (1,751)	\$ 21,075	\$ (1,916)	\$ 2,306	\$ 19,714	\$ (914)	\$ (1,438)	\$ (2,352)	\$ -	\$ 17,362
Adjustments to reconcile change in net assets to net cash provided by operating activities:										
Amortization of entrance fees	(21,980)	(15,718)	(3,466)	-	(41,164)	-	-	-	-	(41,164)
Proceeds from nonrebatable entrance fees from reoccupancy	29,775	20,782	6,784	-	57,341	-	-	-	-	57,341
Depreciation	18,982	15,422	4,590	-	38,994	-	-	-	-	38,994
Amortization of debt issuance costs and bond discounts	319	259	62	-	640	-	-	-	-	640
Amortization of bond premium	(291)	-	(15)	-	(306)	-	-	-	-	(306)
Unrealized (gains) losses on investments, net	5,730	6,802	(73)	-	12,459	9,635	1,950	11,585	-	24,044
Unrealized losses on investments with donor restrictions, net	-	-	-	-	-	1,155	3,767	4,922	-	4,922
Unrealized gains on investments in HumanGood Nevada bonds	(727)	-	-	-	(727)	-	-	-	-	(727)
Change in unrecognized pension obligations	-	(3,891)	-	-	(3,891)	-	-	-	-	(3,891)
Unrealized gains on interest rate caps	(56)	(116)	-	-	(172)	-	-	-	-	(172)
Net equity transfers from SoCal Affordable Housing	-	(27,831)	-	-	(27,831)	-	-	-	-	(27,831)
Other affiliate distributions and equity transfers	4,255	1,390	(27)	-	5,618	(1,635)	577	(1,058)	-	4,560
Change in accounts receivable from residents and others	1,633	6,323	130	-	8,086	15	29	44	-	8,130
Change in prepaid expenses, deposits and other assets	5,992	3,775	86	-	9,853	5	11	16	-	9,869
Other changes in operating assets and liabilities, net	(5,959)	(17,718)	2,577	(2,306)	(23,406)	(1,652)	(3,422)	(5,074)	-	(28,480)
Net cash provided by operating activities	\$ 35,922	\$ 10,554	\$ 8,732	\$ -	\$ 55,208	\$ 6,609	\$ 1,474	\$ 8,083	\$ -	\$ 63,291
Reconciliation of Cash, Cash Equivalents and Restricted Cash to Combining Balance Sheets										
Cash and cash equivalents	\$ 21,439	\$ 4,281	\$ 7,815	\$ -	\$ 33,535	\$ 421	\$ 462	\$ 883	\$ -	\$ 34,418
Restricted cash included in restricted investments	16,023	1,599	963	-	18,585	1,348	568	1,916	-	20,501
Restricted cash	-	5,054	-	-	5,054	-	-	-	-	5,054
Total cash, cash equivalents and restricted cash	\$ 37,462	\$ 10,934	\$ 8,778	\$ -	\$ 57,174	\$ 1,769	\$ 1,030	\$ 2,799	\$ -	\$ 59,973

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2018
(In Thousands)

	Terraces at Los Altos	Grand Lake Gardens	Piedmont Gardens	Plymouth Village	Valle Verde	Rosewood	Terraces of Los Gatos	NorCal Community Support Center	Eliminations	HumanGood NorCal
Operating Revenues										
Residential living	\$ 6,475	\$ 3,532	\$ 7,942	\$ 6,708	\$ 12,508	\$ 3,929	\$ 10,453	\$ -	\$ -	\$ 51,547
Assisted living	2,466	-	3,719	1,930	2,056	1,898	3,303	-	-	15,372
Health center	6,763	-	11,415	4,293	9,717	10,494	12,090	-	-	54,772
Memory care	1,770	-	1,242	425	1,715	1,258	1,823	-	-	8,233
Other residential services	105	111	629	106	356	178	138	-	-	1,623
Amortization of entrance fees	3,145	433	2,746	2,395	7,562	598	5,101	-	-	21,980
Other operating revenue	213	159	319	240	997	297	399	15,945	(10,731)	7,838
Affordable housing fees	-	-	-	-	-	-	-	-	-	-
Net assets released from restrictions	-	-	-	-	-	-	-	-	-	-
Unrestricted contributions	-	-	-	-	-	-	-	-	-	-
Foundation community benefit	66	27	143	177	300	92	20	-	-	825
Total operating revenues	21,003	4,262	28,155	16,274	35,211	18,744	33,327	15,945	(10,731)	162,190
Operating Expenses										
Salaries and wages	8,152	1,846	12,364	6,650	11,227	7,716	10,771	11,159	-	69,885
Employee benefits	1,687	387	3,033	1,408	2,651	1,857	2,346	2,490	-	15,859
Supplies	1,287	496	1,937	1,253	2,517	1,437	1,874	258	-	11,059
Ancillary services	1,255	-	1,435	719	1,106	2,595	2,192	-	-	9,302
Repairs and maintenance	384	14	516	450	509	261	601	2	-	2,737
Marketing and advertising	310	129	202	345	225	222	115	19	-	1,567
Purchased services	648	328	1,097	656	839	825	1,319	1,336	-	7,048
Corporate allocations	1,416	316	2,255	1,230	2,081	1,501	1,932	-	(10,731)	-
Utilities	845	400	981	707	1,168	514	890	271	-	5,776
Travel and related	93	46	73	88	240	83	148	981	-	1,752
Leases and rents	73	32	225	126	113	80	40	629	-	1,318
Insurance	132	43	295	202	281	229	243	40	-	1,465
Foundation community distribution	-	-	-	-	-	-	-	-	-	-
Other operating expenses	400	94	562	372	432	370	388	(926)	-	1,692
Total operating expenses	16,682	4,131	24,975	14,206	23,389	17,690	22,859	16,259	(10,731)	129,460
Income (loss) before other operating income (expense)	4,321	131	3,180	2,068	11,822	1,054	10,468	(314)	-	32,730
Other Operating Income (Expense)										
Realized gains (losses) on investments, net	(37)	-	-	-	-	-	-	355	-	318
Change in unrealized losses on investments, net	(50)	-	-	-	-	-	-	(5,680)	-	(5,730)
Unrealized gains on investment in HumanGood Nevada bonds	-	-	-	-	-	-	-	727	-	727
Investment income, net	279	-	-	-	-	-	-	3,076	-	3,355
Mortgage interest	(2,392)	(207)	(626)	(395)	(1,220)	(592)	(2,082)	(2,383)	-	(9,897)
Depreciation	(3,729)	(759)	(1,839)	(2,364)	(4,936)	(1,320)	(3,678)	(357)	-	(18,982)
Gains (losses) on disposal of fixed assets	(21)	-	(42)	8	-	-	(6)	(12)	-	(73)
(Loss) income from operations	(1,629)	(835)	673	(683)	5,666	(858)	4,702	(4,588)	-	2,448

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2018
(In Thousands)

	Terraces at Los Altos	Grand Lake Gardens	Piedmont Gardens	Plymouth Village	Valle Verde	Rosewood	Terraces of Los Gatos	NorCal Community Support Center	Eliminations	HumanGood NorCal
Other Changes in Net Assets Without Donor Restrictions										
Change in minimum pension liability	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Net equity transfers from SoCal Affordable Housing	-	-	-	-	-	-	-	-	-	-
Other affiliate distributions and equity transfers	-	-	-	-	-	-	-	(4,255)	-	(4,255)
Unrealized gains on interest rate caps	-	-	-	-	-	-	-	56	-	56
Change in net assets without donor restrictions	(1,629)	(835)	673	(683)	5,666	(858)	4,702	(8,787)	-	(1,751)
Net Assets With Donor Restrictions										
Dividend and interest income	-	-	-	-	-	-	-	-	-	-
Unrealized gains on investments with donor restrictions, net	-	-	-	-	-	-	-	-	-	-
Restricted equity contributions	-	-	-	-	-	-	-	-	-	-
Contributions	-	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for benevolence	-	-	-	-	-	-	-	-	-	-
Contractual payments to beneficiaries	-	-	-	-	-	-	-	-	-	-
Realized losses on investments, net	-	-	-	-	-	-	-	-	-	-
Contractual liability adjustments	-	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for special project funds	-	-	-	-	-	-	-	-	-	-
Change in net assets with donor restrictions	-	-	-	-	-	-	-	-	-	-
Change in net assets	(1,629)	(835)	673	(683)	5,666	(858)	4,702	(8,787)	-	(1,751)
Net Assets (Deficit), Beginning	7,298	(8,800)	34,971	6,388	47,736	(18,363)	35,641	(86,126)	-	18,745
Adjustment for adoption of accounting pronouncement	(5,603)	-	-	-	(1,123)	-	-	-	-	(6,726)
Beginning net assets as adjusted for adoption of accounting pronouncement	1,695	(8,800)	34,971	6,388	46,613	(18,363)	35,641	(86,126)	-	12,019
Net Assets (Deficit), Ending	\$ 66	\$ (9,635)	\$ 35,644	\$ 5,705	\$ 52,279	\$ (19,221)	\$ 40,343	\$ (94,913)	\$ -	\$ 10,268

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2018
(In Thousands)

	Royal Oaks	White Sands La Jolla	Windsor	Regents Point	Westminster Gardens	Redwood Terrace	SoCal Community Support Center	Eliminations	HumanGood SoCal
Operating Revenues									
Residential living	\$ 6,925	\$ 9,823	\$ 2,908	\$ 10,237	\$ 4,409	\$ 4,323	\$ -	\$ -	\$ 38,625
Assisted living	1,836	2,190	2,695	2,902	1,483	1,544	-	-	12,650
Health center	5,558	3,458	2,654	6,336	-	7,123	-	-	25,129
Memory care	-	893	-	469	665	773	-	-	2,800
Other residential services	10	38	-	55	-	-	-	-	103
Amortization of entrance fees	2,337	5,027	685	4,666	1,424	1,579	-	-	15,718
Other operating revenue	310	522	115	361	199	359	8,434	(5,853)	4,447
Affordable housing fees	-	-	-	-	-	-	1,677	-	1,677
Net assets released from restrictions	-	-	-	-	-	-	-	-	-
Unrestricted contributions	-	-	-	-	-	-	-	-	-
Foundation community benefit	36	55	19	56	57	135	-	-	358
Total operating revenues	17,012	22,006	9,076	25,082	8,237	15,836	10,111	(5,853)	101,507
Operating Expenses									
Salaries and wages	7,284	7,557	4,304	9,713	2,941	6,971	5,911	-	44,681
Employee benefits	1,748	1,823	1,018	2,259	627	1,809	1,407	-	10,691
Supplies	1,439	1,788	828	1,983	532	1,146	159	-	7,875
Ancillary services	267	64	174	649	13	1,630	-	-	2,797
Repairs and maintenance	446	324	170	168	101	76	26	-	1,311
Marketing and advertising	194	198	164	178	195	180	9	-	1,118
Purchased services	1,475	1,503	507	1,104	390	1,005	1,735	-	7,719
Corporate allocations	1,122	1,561	550	1,396	361	863	-	(5,853)	-
Utilities	870	1,175	403	936	312	862	210	-	4,768
Travel and related	107	73	69	90	44	166	450	-	999
Leases and rents	40	50	13	25	6	77	188	-	399
Insurance	214	456	109	260	218	165	246	-	1,668
Foundation community distribution	-	-	-	-	-	-	-	-	-
Other operating expenses	(246)	225	258	502	208	352	1,282	-	2,581
Total operating expenses	14,960	16,797	8,567	19,263	5,948	15,302	11,623	(5,853)	86,607
Income (loss) before other operating income (expense)	2,052	5,209	509	5,819	2,289	534	(1,512)	-	14,900
Other Operating Income (Expense)									
Realized gains (losses) on investments, net	120	240	51	335	25	-	(454)	-	317
Change in unrealized losses on investments, net	(57)	(113)	(24)	(158)	(12)	-	(6,438)	-	(6,802)
Unrealized gains on investment in HumanGood Nevada bonds	-	-	-	-	-	-	-	-	-
Investment income, net	88	194	31	201	19	-	3,798	-	4,331
Mortgage interest	(1,600)	(3,231)	(118)	(1,158)	(282)	-	-	-	(6,389)
Depreciation	(2,339)	(5,375)	(704)	(2,870)	(1,322)	(1,927)	(885)	-	(15,422)
Gains (losses) on disposal of fixed assets	(14)	(131)	3	(44)	(66)	(60)	4	-	(308)
(Loss) income from operations	(1,750)	(3,207)	(252)	2,125	651	(1,453)	(5,487)	-	(9,373)

**HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)**

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2018
(In Thousands)

	Royal Oaks	White Sands La Jolla	Windsor	Regents Point	Westminster Gardens	Redwood Terrace	SoCal Community Support Center	Eliminations	HumanGood SoCal
Other Changes in Net Assets Without Donor Restrictions									
Change in minimum pension liability	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 3,891	\$ -	\$ 3,891
Net equity transfers from SoCal Affordable Housing	-	-	-	-	-	-	27,831	-	27,831
Other affiliate distributions and equity transfers	7	168	-	44	83	2	(1,694)	-	(1,390)
Unrealized gains on interest rate caps	-	106	-	-	10	-	-	-	116
Change in net assets without donor restrictions	(1,743)	(2,933)	(252)	2,169	744	(1,451)	24,541	-	21,075
Net Assets With Donor Restrictions									
Dividend and interest income	-	-	-	-	-	-	-	-	-
Unrealized gains on investments with donor restrictions, net	-	-	-	-	-	-	-	-	-
Restricted equity contributions	-	-	-	-	-	-	-	-	-
Contributions	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for benevolence	-	-	-	-	-	-	-	-	-
Contractual payments to beneficiaries	-	-	-	-	-	-	-	-	-
Realized losses on investments, net	-	-	-	-	-	-	-	-	-
Contractual liability adjustments	-	-	-	-	-	-	-	-	-
Net assets released from restrictions for special project funds	-	-	-	-	-	-	-	-	-
Change in net assets with donor restrictions	-	-	-	-	-	-	-	-	-
Change in net assets	(1,743)	(2,933)	(252)	2,169	744	(1,451)	24,541	-	21,075
Net Assets (Deficit), Beginning	(1,289)	(16,242)	342	34,464	5,690	(10,217)	(9,470)	-	3,278
Adjustment for adoption of accounting pronouncement	-	-	-	-	-	-	-	-	-
Beginning net assets as adjusted for adoption of accounting pronouncement	(1,289)	(16,242)	342	34,464	5,690	(10,217)	(9,470)	-	3,278
Net Assets (Deficit), Ending	<u>\$ (3,032)</u>	<u>\$ (19,175)</u>	<u>\$ 90</u>	<u>\$ 36,633</u>	<u>\$ 6,434</u>	<u>\$ (11,668)</u>	<u>\$ 15,071</u>	<u>\$ -</u>	<u>\$ 24,353</u>

HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2018
(In Thousands)

	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Operating Revenues								
Residential living	\$ 10,037	\$ -	\$ 100,209	\$ -	\$ -	\$ -	\$ -	\$ 100,209
Assisted living	3,690	-	31,712	-	-	-	-	31,712
Health center	7,787	-	87,688	-	-	-	-	87,688
Memory care	1,914	-	12,947	-	-	-	-	12,947
Other residential services	186	-	1,912	-	-	-	-	1,912
Amortization of entrance fees	3,466	-	41,164	-	-	-	-	41,164
Other operating revenue	522	(973)	11,834	-	-	-	-	11,834
Affordable housing fees	-	-	1,677	-	-	-	-	1,677
Net assets released from restrictions	-	-	-	2,285	1,675	3,960	-	3,960
Unrestricted contributions	-	-	-	2,110	-	2,110	-	2,110
Foundation community benefit	178	-	1,361	-	-	-	(1,361)	-
Total operating revenues	27,780	(973)	290,504	4,395	1,675	6,070	(1,361)	295,213
Operating Expenses								
Salaries and wages	9,007	-	123,573	467	248	715	-	124,288
Employee benefits	2,128	-	28,678	72	67	139	-	28,817
Supplies	2,355	-	21,289	3	-	3	-	21,292
Ancillary services	1,657	-	13,756	-	-	-	-	13,756
Repairs and maintenance	467	-	4,515	4	-	4	-	4,519
Marketing and advertising	563	-	3,248	7	1	8	-	3,256
Purchased services	903	-	15,670	65	15	80	-	15,750
Corporate allocations	1,946	(1,946)	-	-	-	-	-	-
Utilities	1,384	-	11,928	2	2	4	-	11,932
Travel and related	104	-	2,855	32	13	45	-	2,900
Leases and rents	77	-	1,794	25	-	25	-	1,819
Insurance	275	-	3,408	26	-	26	-	3,434
Foundation community distribution	-	-	-	1,003	358	1,361	(1,361)	-
Other operating expenses	400	-	4,673	2,139	971	3,110	-	7,783
Total operating expenses	21,266	(1,946)	235,387	3,845	1,675	5,520	(1,361)	239,546
Income before other operating income (expense)	6,514	973	55,117	550	-	550	-	55,667
Other Operating Income (Expense)								
Realized gains (losses) on investments, net	(50)	-	585	5,041	1,169	6,210	-	6,795
Change in unrealized gains (losses) on investments, net	73	-	(12,459)	(9,635)	(1,950)	(11,585)	-	(24,044)
Unrealized gains on investment in HumanGood Nevada bonds	-	-	727	-	-	-	-	727
Investment income, net	252	-	7,938	1,105	300	1,405	-	9,343
Mortgage interest	(4,142)	1,333	(19,095)	-	-	-	-	(19,095)
Depreciation	(4,590)	-	(38,994)	-	-	-	-	(38,994)
Losses on disposal of fixed assets	-	-	(381)	-	-	-	-	(381)
(Loss) income from operations	(1,943)	2,306	(6,562)	(2,939)	(481)	(3,420)	-	(9,982)

HumanGood California Obligated Group & Foundation Affiliates
(Members of HumanGood)

Supplemental Combining Statement of Operations and Changes in Net Assets Schedule
Year Ended December 31, 2018
(In Thousands)

	HumanGood Fresno	Eliminations	COG	HumanGood Foundation West	HumanGood Foundation South	Combined Foundations	Eliminations	Total
Other Changes in Net Assets Without Donor Restrictions								
Change in minimum pension liability	\$ -	\$ -	\$ 3,891	\$ -	\$ -	\$ -	\$ -	\$ 3,891
Net equity transfers from SoCal Affordable Housing	-	-	27,831	-	-	-	-	27,831
Other affiliate distributions and equity transfers	27	-	(5,618)	1,635	(577)	1,058	-	(4,560)
Unrealized gains on interest rate caps	-	-	172	-	-	-	-	172
Change in net assets without donor restrictions	(1,916)	2,306	19,714	(1,304)	(1,058)	(2,362)	-	17,352
Net Assets With Donor Restrictions								
Dividend and interest income	-	-	-	298	567	865	-	865
Unrealized losses on investments with donor restrictions, net	-	-	-	(1,155)	(3,767)	(4,922)	-	(4,922)
Restricted equity contributions	-	-	-	-	1,240	1,240	-	1,240
Contributions	-	-	-	3,435	1,205	4,640	-	4,640
Net assets released from restrictions for benevolence	-	-	-	-	(358)	(358)	-	(358)
Contractual payments to beneficiaries	-	-	-	(426)	(381)	(807)	-	(807)
Realized gains on investments, net	-	-	-	450	2,245	2,695	-	2,695
Contractual liability adjustments	-	-	-	73	186	259	-	259
Net assets released from restrictions for special project funds	-	-	-	(2,285)	(1,317)	(3,602)	-	(3,602)
Change in net assets with donor restrictions	-	-	-	390	(380)	10	-	10
Change in net assets	(1,916)	2,306	19,714	(914)	(1,438)	(2,352)	-	17,362
Net Assets (Deficit), Beginning	(25,263)	5,934	2,694	55,554	29,703	85,257	-	87,951
Adjustment for adoption of accounting pronouncement	(5,940)	-	(12,666)	-	-	-	-	(12,666)
Beginning net assets as adjusted for adoption of accounting pronouncement	(31,203)	5,934	(9,972)	55,554	29,703	85,257	-	75,285
Net Assets (Deficit), Ending	<u>\$ (33,119)</u>	<u>\$ 8,240</u>	<u>\$ 9,742</u>	<u>\$ 54,640</u>	<u>\$ 28,265</u>	<u>\$ 82,905</u>	<u>\$ -</u>	<u>\$ 92,647</u>

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APPENDIX C

SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST

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SUMMARY OF THE MASTER INDENTURE AND THE DEEDS OF TRUST

Brief descriptions of the Master Indenture and the Deeds of Trust are included hereafter in this Appendix C to this Official Statement. Such descriptions do not purport to be comprehensive or definitive. All references herein to the Master Indenture and Deeds of Trust are qualified in their entirety by reference to such document, copies of which are available for review prior to the issuance and delivery of the Bonds as described in this Official Statement.

DEFINITIONS OF CERTAIN TERMS

Where used in this Summary of the Master Indenture and the Deeds of Trust capitalized terms defined under this caption have the meanings indicated. If not defined under this caption, capitalized terms used in this Summary have the meanings set forth for such terms in APPENDIX D or the forepart of this Official Statement.

“Accountant” or “accountant” means any firm of nationally or regionally-recognized independent certified public accountants selected by the Obligated Group Representative.

“Additional Indebtedness” means any Indebtedness incurred subsequent to the execution and delivery of the Master Indenture other than the Indebtedness related to the Obligations issued under the First Supplemental Master Indenture.

“Affiliate” means a corporation, partnership, joint venture, association, limited liability company, business trust or similar entity (a) which controls, is controlled by or is under common control with, directly or indirectly, a Member; or (b) a majority of the members of the Directing Body of which are members of the Directing Body of a Member. For the purposes of this definition, control means with respect to: (a) a corporation having stock, the ownership, directly or indirectly, of more than 50% of the securities (as defined in Section 2(1) of the Securities Act of 1933, as amended) of any class or classes, the holders of which are ordinarily, in the absence of contingencies, entitled to elect a majority of the directors of such corporation; (b) a not for profit corporation not having stock, having the power to elect or appoint, directly or indirectly, a majority of the members of the Directing Body of such corporation; or (c) any other entity, the power to direct the management of such entity through the ownership of at least a majority of its voting securities or the right to designate or elect at least a majority of the members of its Directing Body, by contract or otherwise. For the purposes of this definition, “Directing Body” means with respect to: (a) a corporation having stock, such corporation’s board of directors and the owners, directly or indirectly, of more than 50% of the securities (as defined in Section 2(1) of the Securities Act of 1933, as amended) of any class or classes, the holders of which are ordinarily, in the absence of contingencies, entitled to elect a majority of the corporation’s directors (both of which groups shall be considered a Directing Body); (b) a not for profit corporation not having stock, such corporation’s members if the members have complete discretion to elect the corporation’s directors, or the corporation’s directors if the corporation’s members do not have such discretion; and (c) any other entity, its governing board or body. For the purposes of this definition, all references to directors and members shall be deemed to include all entities performing the function of directors or members however denominated.

“Affiliate Related Subordinated Indebtedness” means fees and other amounts due to an Affiliate of a Member for money borrowed, credit extended or services rendered, the payment of which are deferred or not yet payable at the time of calculation and all of which are subordinate to payments due on all Obligations issued under the Master Indenture in accordance with written agreements between such Affiliates and a Member.

“Annual Debt Service” means for each Fiscal Year the aggregate amount (without duplication) of principal and interest scheduled to become due (either by maturity or by mandatory redemption) and sinking fund payments required to be paid in that Fiscal Year on all Long-Term Indebtedness, less any amounts on irrevocable deposit in escrow to be applied during that Fiscal Year to pay principal or interest on Long-Term Indebtedness; *provided* that (i) any annual fees payable in respect of a credit facility issued to secure any series of Related Bonds, if any (other than annual fees to be paid from proceeds of a bond issue escrowed for such purpose) shall be included in the determination of Annual Debt Service; and (ii) to the extent an Interest Rate Agreement has been entered into in connection with any particular Indebtedness, the actual debt service paid after the effect of payments made to or received from the provider of the Interest Rate Agreement shall be included in the determination of Annual Debt Service. Whenever the term “Annual Debt Service” is used in the calculation of a Debt Service Coverage Ratio, any Guaranties shall be included only to the extent there was an actual payment on the Guaranty in such Fiscal Year.

“Authorized Representative” means, with respect to the Obligated Group Representative or each Member, the chairperson of its Governing Body or its chief executive officer or its chief financial officer or any other person designated an Authorized Representative of the Obligated Group Representative or such Member by a Certificate signed by the chairperson of its Governing Body, its chief executive officer or chief financial officer and filed with the Master Trustee.

“Balloon Indebtedness” means Long-Term Indebtedness of a Member, 25% or more of the principal of which becomes due (either by maturity or mandatory redemption) during any period of 12 consecutive months, which portion of the principal is not required by the documents governing such Indebtedness to be amortized by redemption prior to such date.

“Book Value” means, when used in connection with Principal Property or other Property of any Member, the value of such property, net of accumulated depreciation, as it is carried on the books of such person and in conformity with GAAP, and when used in connection with Principal Property or other Property of the Obligated Group, means the aggregate of the values so determined with respect to such Property of each Member determined in such a way that no portion of such value of Property of any Member is included more than once.

“Business Day” means a day of the year which is not (a) a Saturday, Sunday or legal holiday on which banking institutions located in the city of the Corporate Trust Office are authorized by law to close or (b) a day on which the New York Stock Exchange is closed.

“California Obligated Group” means the Obligated Group.

“California Obligated Group Representative” means the Obligated Group Representative.

“Capital Addition” means any addition, improvements, extensions, alterations, relocations, enlargements, expansions, modifications or replacement of or to the Property.

“Cash and Liquid Investments” means all unrestricted cash and liquid investment balances, including without limitation, such amounts constituting board designated funds, whether classified as current or noncurrent assets, held by the Obligated Group for any of their corporate purposes, but excluding amounts available or drawn under lines of credit, all as set forth in the most recent financial statements delivered under the Master Indenture. For purposes of calculations under the Master Indenture, (i) an unrestricted contribution from an Affiliate of a Member shall be treated as being made during the period of such calculation so long as the unrestricted contribution is made prior to the date the applicable Officer’s Certificate is required to be delivered with respect to such calculation, and (ii) any amounts on deposit in a debt service reserve fund created under a Related Bond Indenture shall be excluded from the calculation of Cash and Liquid Investments for the purposes of determining the number of Days Cash on Hand of the Obligated Group.

“Certificate”, “Statement”, “Request”, “Consent” or “Order” of any Member or of the Master Trustee means, respectively, a written certificate, statement, request, consent or order signed in the name of such Member by its respective Authorized Representative, or in the name of the Master Trustee by its Responsible Officer. Any such instrument and supporting opinions or certificates, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or certificate and the two or more so combined shall be read and construed as a single instrument. If and to the extent required by the provisions of the Master Indenture summarized under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — General — Contents of Certificates and Opinions,” each such instrument shall include the statements provided for in the provisions of the Master Indenture summarized under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — General — Contents of Certificates and Opinions.”

“Code” means the Internal Revenue Code of 1986 and the regulations issued thereunder, or any successor to the Internal Revenue Code of 1986.

“Completion Indebtedness” means any Long-Term Indebtedness incurred by any Member for the purpose of financing the completion of acquiring, constructing, renovating, refurbishing, equipping or improving any project for which Long-Term Indebtedness has previously been incurred in accordance with the provisions of the Master Indenture.

“Construction Consultant” means the architects, engineers, development consultant, supervising contractors or other qualified consultant selected by the Obligated Group or any Member in connection with the acquisition, installation, improvement or construction of a project or a portion thereof for which Long-Term Indebtedness has previously been incurred in accordance with the provisions of the Master Indenture, delivered to the Master Trustee in connection with the issuance of Completion Indebtedness.

“Corporate Trust Office” means an office of the Master Trustee at which its corporate trust business with respect to the Master Indenture is conducted.

“Current Value” means the aggregate sum of the Book Value of personal property plus the fair market value of the real property. The fair market value of real property shall be as reflected in the most recent written report of an appraiser selected by the Obligated Group Representative, which shall be an appraiser who is a member of the American Institute of Real Estate Appraisers (MAI), and the report shall be delivered to the Master Trustee (which report shall be dated not more than three years prior to the date as of which Current Value is to be calculated).

“Days Cash on Hand” means the amount determined by dividing (1) the Cash and Liquid Investments of the Obligated Group as of a particular date by (2) the quotient derived by dividing (a) the Obligated Group’s total operating expenses including interest expense (less depreciation and amortization and other non-cash items, including, without limitation, losses on refinancing of debt) for the most recent preceding Fiscal Year (if calculated for a period ending on the last day of a Fiscal Year) or the preceding twelve months (if calculated with respect to a period ending on a date other than the end of a Fiscal Year), as shown on the most recent audited or unaudited financial statements which have been delivered under the Master Indenture by (b) the number of days in such Fiscal Year.

“Debt Service Coverage Ratio” means, for any period of time, the ratio determined by dividing Income Available for Debt Service by Annual Debt Service.

“Deed of Trust” means and refers to one of the Deeds of Trust individually, as the context requires.

“Deeds of Trust” means the HumanGood NorCal Deeds of Trust and any other similar deed of trust or mortgage granting a lien and security interest on the Principal Property of a member of the Obligated Group for the benefit of the Master Trustee in order to secure the Obligations issued under the Master Indenture.

“Deed Trustee” means Chicago Title Insurance Company.

“EMMA” means the Electronic Municipal Market Access system as described in the Securities Exchange Act of 1934, as amended by Release No. 59062, and maintained by the Municipal Securities Rulemaking Board for purposes of Rule 15c2-12, or any similar system that is acceptable to the Securities and Exchange Commission.

“Entrance Fees” means fees other than security deposits, monthly rentals or monthly service charges, paid to a Member by residents of living units for the purpose of obtaining the right to reside in those living units or to obtain a parking space including any refundable resident deposits described in any lease, Residency Agreement or similar agreement with respect to those living units or parking spaces, but shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any such agreement or a reservation agreement prior to the occupancy of the living unit or parking space covered by such lease, Residency Agreement or similar agreement (which amounts shall be included if and when occupancy occurs).

“Escrow Obligations” means: (1) direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the United States of America; (2) obligations, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following: Banks for Cooperatives, Federal Intermediate Credit Banks, Federal Home Loan Bank System, Export-Import Bank of the United States, Federal Financing Bank, Federal Land Banks, Government National Mortgage Association, Farmer’s Home Administration, Small Business Administration, Federal Home Loan Mortgage Corporation or Federal Housing Administration; (3) certificates which evidence ownership of the right to the payment of the principal of and interest on obligations described in clauses (1) and (2), *provided* that such obligations are held in the custody of a bank or trust company in a special account separate from the general assets of such custodian; and (4) obligations the interest on which is excluded from gross income for purposes of federal income taxation pursuant to Section 103 of the Internal Revenue Code of 1986, and the timely payment of the principal of and interest on which is fully provided for by the deposit in trust or escrow of cash or obligations described in clauses (1), (2) or (3).

“Event of Default” means any of the events described under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Defaults and Remedies — Events of Default.”

“Excluded Property” means any assets of “employee pension benefit plans” as defined in the Employee Retirement Income Security Act of 1974, as amended, maintained by or for the benefit of the Obligated Group, any moneys and securities held as an entrance fee or security deposit, or in a resident trust fund, for any resident of any facility of a Member, any real estate parcels a Member may hold temporarily as a convenience to its Affiliates, and the real estate described in Exhibit C to the Master Indenture, as amended as provided in the Master Indenture from time to time, and all improvements, fixtures, tangible personal property and equipment located thereon and used in connection therewith. Except where explicitly set forth in the Master Indenture, neither Principal Property nor Property include Excluded Property.

“Extendable Indebtedness” means indebtedness which is repayable or subject to purchase at the option of the holder thereof prior to its stated maturity, but only to the extent of money available for the repayment or purchase therefore and not more frequently than once every year.

“Fair Market Value,” when used in connection with Property, means the fair market value of such Property as determined by either (1) an appraisal of the portion of such Property which is real property made within three years of the date of determination by a member of the American Institute of Real Estate Appraisers and by an appraisal of the portion of such Property which is not real property made within three years of the date of determination by any expert, *provided* that any such appraisal shall be performed by a person or firm which (a) is in fact independent, (b) does not have any direct financial interest or any material indirect financial interest in any Member and (c) is not connected with any Member as an officer, employee, promoter, underwriter, trustee, partner, director or person performing similar functions or (2) a bona fide offer for the purchase of such Property made on an arm’s length basis within six months of the date of determination as established by an Officer’s Certificate.

“Financing” means a borrowing pursuant to any Obligation authorized by the Master Indenture.

“First Supplemental Master Indenture” means the First Supplemental Master Trust Indenture dated as of August 1, 2019 between the Obligated Group Representative and the Master Trustee.

“Fiscal Year” means that period adopted by the Obligated Group Representative as its annual accounting period. Initially the Fiscal Year is the period from January 1 of a year to December 31 of the next year.

“Fitch” means Fitch Ratings Inc., a corporation organized and existing under the laws of the State of New York, its successors and assigns, and if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Fitch” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative.

“Fourth Supplemental Master Indenture” means the Fourth Supplemental Master Trust Indenture dated as of September 1, 2021 between the Obligated Group Representative and the Master Trustee.

“GAAP” means accounting principles generally accepted in the United States as of the date of any calculation under the Master Indenture.

“Governing Body” means, when used with respect to the Obligated Group Representative or any Member, its board of directors, board of trustees, or other board or group of individuals in which all of the powers of such Member are vested except for those powers reserved to the corporate membership thereof by the articles of incorporation or bylaws of such Member.

“Government Issuer” means any municipal corporation, political subdivision, state, territory or possession within the United States, or any constituted authority or agency or instrumentality of any of the foregoing empowered to issue obligations on behalf thereof, which obligations would constitute Related Bonds under the Master Indenture.

“Gross Revenue Fund” means the fund by that name established pursuant to the Master Indenture. See “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Pledge of Gross Revenues” below.

“Gross Revenues” means all receipts, revenues, income and other money received by or on behalf of any Member of the Obligated Group from any source whatsoever, including, but not limited to, (a) revenues derived from the operation and possession of each Member’s facilities, including accounts receivable, (b) gifts, bequests, grants, donations and contributions, exclusive of any gifts, bequests, grants, donations or contributions to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Required Payments or for the payment of operating expenses, and (c) revenues derived from (1) condemnation proceeds, (2) inventory and other tangible and intangible property, (3) private and governmental health care

reimbursement programs and agreements, (4) insurance proceeds, (5) contract rights and other rights now or hereafter owned by each Member, and (6) realized investment earnings.

“Guaranty” means all loan commitments and all obligations of any Member guaranteeing in any manner whatsoever, whether directly or indirectly, any obligation of any other Person which would, if such other Person were a Member, constitute Indebtedness; *provided, however*, that contracts described in the last paragraph under “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Limitation on Guaranties” shall not be considered Guaranties for the purposes of the Master Indenture.

“Holder” means the registered owner of any Obligation in registered form or the bearer of any Obligation in coupon form which is not registered or is registered to bearer.

“HumanGood” means HumanGood, a California nonprofit public benefit corporation, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets.

“HumanGood Fresno” means HumanGood Fresno, formerly known as The Terraces at San Joaquin Gardens, a California nonprofit public benefit corporation, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets of HumanGood Fresno permitted under the Master Indenture.

“HumanGood NorCal” means HumanGood NorCal, formerly known as American Baptist Homes of the West, a California nonprofit public benefit corporation, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets of HumanGood NorCal permitted under the Master Indenture.

“HumanGood NorCal Deeds of Trust” means the seven Deeds of Trust, Security Agreements and Fixture Filings with Assignments of Rents and Leases, each dated October 1, 1997, as amended and supplemented, from HumanGood NorCal to Deed Trustee for the benefit of the Master Trustee.

“HumanGood SoCal” means HumanGood SoCal, formerly known as Southern California Presbyterian Homes and the successor by merger to Redwoods Senior Homes and Services and Westminster Gardens, a California nonprofit public benefit corporation, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets of HumanGood SoCal permitted under the Master Indenture.

“Income Available for Debt Service” means, with respect to the Obligated Group, as to any period of time, the excess of revenues over expenses (or, in the case of for-profit Members, net income after taxes) of the Obligated Group for such period, to which shall be added depreciation, amortization and interest, all as determined in accordance with GAAP, *provided* that no such determination shall include any gain or loss resulting from (i) the extinguishment of Indebtedness, (ii) any disposition of capital assets not made in the ordinary course of business or any revenue of an Affiliate which is not a Member, (iii) any unrealized gain or loss resulting from changes in the valuation of Indebtedness, investment securities or any Interest Rate Agreement,

(iv) the application of changes in accounting principles, (v) any other extraordinary or non-recurring losses or gains, (vi) Initial Entrance Fees, or (vii) any other non-cash revenue or expense items. For purposes of this definition, revenues shall include (1) resident service revenues, (2) other operating revenues, (3) non-operating revenues or contributions (other than restricted contributions, income derived from the sale or other disposition of assets not in the ordinary course of business or any gain from the extinguishment of debt or other extraordinary item or earnings which constitute funded interest or earnings on amounts which are irrevocably deposited in escrow to pay the principal of or interest on Indebtedness), and (4) Entrance Fees received minus (a) Entrance Fees amortized during such Fiscal Year and (b) Entrance Fees refunded to residents.

“Indebtedness” means, for any Person, (a) all Guaranties by such Person, (b) all liabilities (exclusive of trade payables and liabilities such as those established for workers compensation, pension obligations or litigation) recorded or required to be recorded as such on the audited financial statements of such Person in accordance with GAAP, and (c) all obligations for the payment of money incurred or assumed by such Person (i) due and payable in all events or (ii) if incurred or assumed primarily to assure the repayment of money borrowed or credit extended, due and payable upon the occurrence of a condition precedent or upon the performance of work, possession of Property as lessee, rendering of services by others or otherwise; *provided* that Indebtedness shall not include Indebtedness of one Member to another Member, any Guaranty by any Member of Indebtedness of any other Member, the joint and several liability of any Member on Indebtedness issued by another Member, Interest Rate Agreements, operating leases or any obligation to repay moneys deposited by patients or others with a Member as security for or as prepayment of the cost of patient care or any rights of residents of life care, elderly housing or similar facilities to Entrance Fees (whether amortized into income or not), endowment or similar funds deposited by or on behalf of such residents including but not limited to any deferred obligations for the refund or repayment of Entrance Fees, any rent, development, marketing, operating or other fees that have been deferred from the year in which they were originally due as a result of deferral or subordination.

“Independent Consultant” means a firm (but not an individual) which (1) is in fact independent of and has no relationship with the Obligated Group Representative or a Member other than as provided within the scope of a consulting engagement including, but not limited to, subparagraphs (2) and (3) below, (2) has no direct financial interest nor any material indirect financial interest in any Member or any Affiliate and (3) is not connected with any Member nor any Affiliate as an officer, employee, trustee, partner, director or person performing similar functions, and is designated by the Obligated Group Representative, as being qualified to pass upon questions relating to the financial affairs of facilities of the type or types operated by the Obligated Group and has a favorable reputation for skill and experience in the financial affairs of such facilities, it being understood that a firm that has an arm’s length contract with any Member for the performance of consulting, accounting, investment banking or financial analysis or other services is not thereby regarded as having any such disqualifying interest or employee relationship.

“Industry Restrictions” means federal, state or other applicable governmental laws or regulations or general industry standards or general industry conditions placing restrictions and limitations on the rates, fees and charges to be fixed, charged and collected by the Members.

“Initial Entrance Fees” means fees received upon the initial occupancy of any newly-constructed independent living units (including any such fees collected for the purpose of obtaining a parking space) not previously occupied, other than security deposits, monthly rentals or monthly service charges, paid to a Member by residents of living units for the purpose of obtaining the right to reside in those living units or to obtain a parking space including any refundable resident deposits described in any lease, Residency Agreement or similar agreement with respect to those living units or parking spaces, but shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any such agreement or a reservation agreement prior to the occupancy of the living unit or parking space covered by such lease, Residency Agreement or similar agreement (which amounts shall be included if and when occupancy occurs).

“Insurance Consultant” means a person or firm (which may be an insurance broker or agent of a Member) who is not, and no member, director, officer or employee of which is, an officer or employee of any Member or any Affiliate, designated by the Obligated Group Representative and qualified to survey risks and to recommend insurance coverage for hospitals, health-related facilities and services and organizations engaged in such operations.

“Interest Rate Agreement” means an interest rate exchange, hedge or similar agreement, expressly identified in an Officer’s Certificate of the Obligated Group Representative delivered to the Master Trustee as being entered into in order to hedge the interest payable on all or a portion of any Indebtedness, which agreement may include, without limitation, an interest rate swap, a forward or futures contract or an option (e.g., a call, put, cap, floor or collar) and which agreement does not constitute an obligation to repay money borrowed, credit extended or the equivalent thereof. An Interest Rate Agreement shall not constitute Indebtedness under the Master Indenture.

“Interim Indebtedness” means Long-Term Indebtedness with a final maturity 60 months or less from the date of incurrence, certified in an Officer’s Certificate filed with the Master Trustee to have been incurred in anticipation of refinancing with the proceeds of other Long-Term Indebtedness other than Interim Indebtedness prior to the final maturity thereof.

“Kroll” means Kroll Bond Rating Agency, its successors and assigns, and, if such corporation is dissolved or liquidated or does not any longer perform the functions of a securities rating agency, “Kroll” will be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative by notice to the Master Trustee.

“Lien” means any mortgage or pledge of, or security interest in, or lien or encumbrance on, any Property, excluding Liens applicable to Property in which any Member has only a leasehold interest unless the Lien is with respect to such leasehold interest.

“Long-Term Debt Service Coverage Ratio” means, for any period of time, the ratio determined by dividing Income Available for Debt Service by Maximum Annual Debt Service.

“Long-Term Indebtedness” means Indebtedness having an original maturity greater than one year or renewable at the option of a Member for a period greater than one year from the date of original incurrence or issuance thereof unless, by the terms of such Indebtedness, no Indebtedness is permitted to be outstanding thereunder for a period of at least 30 consecutive days

during each calendar year; *provided, however*, that fees and other amounts due to an Affiliate of a Member for money borrowed, credit extended or services rendered, which are subordinate to payments due on all Obligations issued under the Master Indenture in accordance with written agreements between such Affiliate and a Member shall not be considered Long-Term Indebtedness.

“Master Indenture” means the Master Trust Indenture, dated as of August 1, 2019 among HumanGood SoCal, HumanGood Fresno and HumanGood NorCal, as Obligated Group Representative, and the Master Trustee, as originally executed and as it may from time to time be supplemented, modified or amended, including by the Fourth Supplemental Master Indenture.

“Master Trustee” means U.S. Bank National Association, a national banking association organized and existing under and by virtue of the laws of the United States of America and, subject to the limitations contained in the Master Indenture, any other corporation or association which may be co-trustee with the Master Trustee and any successor or successors to said trustee or co-trustee in the trusts created under the Master Indenture.

“Maximum Annual Debt Service” means the greatest amount of Annual Debt Service becoming due and payable in any Fiscal Year including the Fiscal Year in which the calculation is made or any subsequent Fiscal Year; *provided, however*, that for the purposes of computing Maximum Annual Debt Service:

(a) There shall be included in the Long-Term Indebtedness of any Member, 20% of the annual principal and interest requirements with respect to the debt of any Person subject to a Guaranty by such Member. If any Member has been required by reason of its Guaranty to make a payment in respect of another Person’s Indebtedness within the immediately preceding two Fiscal Years, all of the annual principal and interest requirements with respect to the debt subject to the Guaranty shall be included in Long-Term Indebtedness.

(b) For any Long-Term Indebtedness for which a binding commitment, letter of credit or other credit arrangement providing for the extension of such Indebtedness beyond its original maturity date exists, the computation of Maximum Annual Debt Service shall, at the option of the Obligated Group Representative, be made on the assumption that such Long-Term Indebtedness will be amortized in accordance with such credit arrangement.

(c) For any Balloon Indebtedness, Put Indebtedness and Interim Indebtedness, the computation of Maximum Annual Debt Service shall, at the option of the Obligated Group Representative, assume that such Long-Term Indebtedness is to be amortized (i) over a period specified by the Obligated Group Representative up to 30 years in duration, beginning on the date of calculation assuming level debt service or (ii) according to the actual principal amortization schedule for such Indebtedness, in each case, assuming a rate of interest equal to the Projected Rate.

(d) For any Extendable Indebtedness, the computation of Maximum Annual Debt Service shall, at the option of the Obligated Group Representative, assume that such Extendable Indebtedness is to be amortized over the period until its stated maturity, assuming level debt service and a fixed rate of interest equal to the current rate of interest on such Extendable Indebtedness.

(e) If interest on Long-Term Indebtedness is payable pursuant to a variable interest rate formula (including Balloon Indebtedness, Put Indebtedness and Interim Indebtedness, if the Obligated Group Representative does not choose to use paragraph (c) above, and including Extendable Indebtedness, if the Obligated Group Representative does not choose to use paragraph (d) above), the interest rate on such Long-Term Indebtedness for periods when the actual interest rate cannot yet be determined shall be assumed to be a fixed rate of interest equal to the most recently published average of the Securities Industry and Financial Markets Association (SIFMA) Municipal Swap Index over the preceding ten years (or a similar index if unavailable), plus the cost of any credit enhancement fees and any credit spread applicable to such Long-Term Indebtedness.

(f) Anything in the Master Indenture to the contrary notwithstanding, any portion of any Indebtedness of any Member for which an Interest Rate Agreement has been obtained by such Member shall be deemed to bear interest for the period of time that such Interest Rate Agreement is in effect at a net rate which takes into account the interest payments made by such Member on such Indebtedness and the payments made or received by such Member on such Interest Rate Agreement.

“Member” means HumanGood NorCal, HumanGood SoCal and HumanGood Fresno, together with each other Person which is obligated under the Master Indenture, to the extent and in accordance with the provisions of the Master Indenture described under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — The California Obligated Group — Membership in the California Obligated Group,” from and after the date upon which such Person joins the Obligated Group, but excluding any Member of the Obligated Group which withdraws from the Obligated Group to the extent and in accordance with the provisions of the Master Indenture described under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — The California Obligated Group — Withdrawal from the California Obligated Group,” from and after the date of such withdrawal.

“MMD Index” means the Municipal Market Data “AAA” scale published by Thomson Reuters for the maturity that most closely matches the Indebtedness to which the calculation relates, or if such index is no longer published, any similar index selected by the Obligated Group Representative, published in a nationally recognized financial publication and acceptable to the Master Trustee.

“Moody’s” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and assigns, and, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Moody’s” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative.

“Obligated Group” means all Members.

“Obligated Group Representative” means HumanGood NorCal or such other Person as may have been designated pursuant to written notice to the Master Trustee executed by the Obligated Group Representative and all of the Members.

“Obligation” means any obligation of the Obligated Group issued under the Master Indenture, as a joint and several obligation of each Member, which may be in any form set forth in a Related Supplement, including, but not limited to, bonds, obligations, debentures, reimbursement agreements, loan agreements or leases. Reference to a “Series of Obligations” or to “Obligations of a Series” means Obligations or series of Obligations issued pursuant to a single Related Supplement.

“Occupied” means any unit for which a Residency Agreement has been executed, and related Entrance Fee has been paid or a promissory note for such Entrance Fee has been executed and the occupant continues to reside therein or, with respect to units for which no Entrance Fee is due, such units that are occupied by a resident or patient for which monthly service fees are currently charged and paid.

“Officer’s Certificate” means a certificate signed by the Authorized Representative of the Obligated Group Representative.

“Opinion of Bond Counsel” means an opinion of nationally recognized municipal bond counsel, which opinion may be based upon a ruling or rulings of the Internal Revenue Service, and which counsel and opinion, including the scope, form, substance and other aspects thereof is acceptable to the Master Trustee.

“Opinion of Independent Counsel” means an opinion in writing signed by an attorney or firm of attorneys, duly admitted to practice law before the highest court of any state and, without limitation, may include independent legal counsel for the Obligated Group Representative.

“Outstanding” when used with reference to Indebtedness, means, as of any date of determination, all Indebtedness theretofore issued or incurred and not paid and discharged other than (a) Obligations theretofore cancelled by the Master Trustee or delivered to the Master Trustee for cancellation, (b) Obligations in lieu of which other Obligations have been authenticated and delivered or have been paid pursuant to the provisions of a Related Supplement regarding mutilated, destroyed, lost or stolen Obligations unless proof satisfactory to the Master Trustee has been received that any such Obligation is held by a bona fide purchaser, (c) any Obligation held by any Member, and (d) Indebtedness deemed paid and no longer outstanding pursuant to the terms thereof; *provided, however*, that if two or more Obligations which constitute Indebtedness represent the same underlying obligation (as when an Obligation secures an issue of Related Bonds and another Obligation secures repayment obligations to a bank under a letter of credit which secures such Related Bonds) for purposes of the various financial covenants contained in the Master Indenture, but only for such purposes, only one of such Obligations shall be deemed Outstanding. Interest Rate Agreements shall not be deemed Outstanding as they are not deemed Indebtedness.

“Permitted Encumbrances” shall have the meaning and include:

- (a) Liens securing any Member’s Obligations;
- (b) Liens arising by reason of good faith deposits by any Member in the ordinary course of business (for other than borrowed money), deposits by any Member to secure public or statutory obligations or deposits to secure, or in lieu of, surety, stay or appeal bonds, and deposits as security for the payment of taxes or assessments or other similar charges;
- (c) any Lien arising by reason of deposits with, or the giving of any form of security to, any governmental regulation as a condition to the transaction of any business or the exercise of any privilege or license, or to enable any Member to maintain self-insurance or to participate in any funds established to cover any insurance risks or in connection with worker’s compensation, unemployment insurance, pension or profit-sharing plans or other similar social security plans, or to share in the privileges or benefits required for companies participating in such arrangements;
- (d) any judgment Lien against any Member so long as such judgment is being contested in good faith and execution thereon is stayed;
- (e) rights reserved to or vested in any municipality or public authority by the terms of any right, power, franchise, grant, license, permit or provision of law affecting any Property, to:
 - (1) terminate such right, power, franchise, grant, license, or permit, *provided*, that the exercise of such right would not materially impair the use of such Property or materially and adversely affect the value thereof, or
 - (2) purchase, condemn appropriate or recapture, or designate a purchaser of, the Property or any portion thereof;
- (f) any Liens on any of the Property for taxes, assessments, levies, fees, water and sewer rents, and other governmental and similar charges and any Liens of mechanics, materialmen, laborers, suppliers or vendors for work or services performed or materials furnished in connection with such Property, which are not due and payable or which are not delinquent or which, or the amount or validity of which, are being contested and execution thereon is stayed or, with respect to Liens of mechanics, materialmen, laborers, suppliers or vendors, have been due for less than 90 days;
- (g) utility, access and other easements, rights-of-way, servitudes, restrictions, oil, gas, or other mineral reservations and other minor defects, encumbrances, and irregularities in the title to any of the Property that may arise after the date of execution of the Master Indenture, but which do not materially impair the use of such Property or materially and adversely affect the value thereof;

(h) rights reserved to or vested in any municipality or public authority to control or regulate any of the Property or to use such Property in any manner, which rights do not materially impair the use of such Property or materially and adversely affect the value thereof, to the extent that it affects title to any Property;

(i) landlord's Liens;

(j) Liens on moneys deposited with any Member as security for or as prepayment for the cost of patient care;

(k) Liens on Property received by any Member through gifts, grants or bequests, such Liens being related only to restrictions on such gifts, grants or bequests or the income thereon;

(l) Liens on Property resulting solely from rights of third-party payors for recoupment of amounts paid to any Member;

(m) purchase money security interests and security interests existing on any of the Property prior to the time of its acquisition through purchase, merger, consolidation or otherwise, or placed upon Property to secure a portion of the purchase price thereof, or lessee's interest in leases required to be capitalized in accordance with GAAP;

(n) any Lien described in Exhibit A to the Master Indenture which is existing on the date of execution thereof provided that no such Lien (or the amount of Indebtedness secured thereby) may be increased, extended, renewed or modified to apply to any Property of any Member not subject to such Lien on such date, unless such Lien as so extended, renewed or modified otherwise qualifies as a Permitted Encumbrance under the Master Indenture;

(o) Liens on funds or securities posted in a collateral account held by a counterparty to an Interest Rate Agreement, or by a third party custodian therefore;

(p) Liens on Excluded Property;

(q) The Deeds of Trust;

(r) Liens resulting from a right of set-off granted to a financial institution in connection with credit or Indebtedness;

(s) sale/saleback or lease/leaseback or similar arrangements in connection with the issuance of Related Bonds; and any leases, licenses or similar rights to use Property whereunder a Member is lessee, licensee or the equivalent thereof upon fair and reasonable terms no less favorable to the lessee or licensee than would be obtained in a comparable arm's-length transaction;

(t) Residency Agreements and leases, licenses or similar use agreements which relate to Property of the Obligated Group which is of a type that is customarily the subject of such leases, licenses or use agreements such as office space for physicians and educational institutions, food service facilities, gift shops, commercial, beauty shop, banking, parking for residents, other similar specialty services, pharmacy and similar departments or employee rental apartments;

(u) such Liens, defects, irregularities of title and encroachments on adjoining property as normally exist with respect to property similar in character to the Property involved and which do not materially adversely affect the value of, or materially impair, the Property affected thereby for the purpose for which it was acquired or is held by the owner thereof, including without limitation statutory liens granted to banks or other financial institutions, which liens have not been specifically granted to secure Indebtedness and which do not apply to Property which has been deposited as part of a plan to secure Indebtedness; and

(v) such Liens, covenants, conditions and restrictions, if any, which do not secure Indebtedness and which are other than those of the type referred to above, as are set forth in Exhibit A to the Master Indenture, and which (i) in the case of Property owned by the Obligated Group on the date of execution of the Master Indenture, do not and will not, so far as can reasonably be foreseen, materially adversely affect the value of the Property currently affected thereby or materially impair the same, and (ii) in the case of any other Property, do not materially impair or materially interfere with the operation or usefulness thereof for the purpose for which such Property was acquired or is held by a Member.

“*Person*” means any natural person, firm, joint venture, association, partnership, business trust, corporation, limited liability company, public body, agency or political subdivision thereof or any other similar entity.

“*Primary Obligor*” means that Member or those Members primarily obligated to make Required Payments with respect to any particular Obligation as set forth in a Related Supplement.

“*Principal Property*” means that portion of the Property, Plant and Equipment, wherever situated and whether now owned or hereafter acquired that: (a) is material and integral to or a material and integral part of the primary operations of a Member, and (b) is so designated pursuant to the provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Designation of Principal Property” below.

“*Projected Rate*” means the projected yield at par of an obligation as set forth in the report of an Independent Consultant. The Projected Rate in such report shall be based on (i) in the case of obligations the interest on which is expected to be exempt from federal income taxes, the MMD Index plus 2.0% per annum as published not more than seven Business Days prior to the calculation date, or if the MMD Index is not available, another index plus a spread which index and spread, together, are reasonably comparable in the view of the Independent Consultant to the current market rate for similar tax-exempt indebtedness, (ii) in the case of taxable indebtedness, the rate on U.S. Treasuries with a maturity as close as available to the Indebtedness for which the

Projected Rate is being determined plus a spread provided by an Independent Consultant which spread will result in a Projected Rate that is reasonably comparable in the view of the Independent Consultant to the current market rate for other similar taxable indebtedness or (iii) the Projected Rate determined by the Independent Consultant whose report shall state that in determining the Projected Rate such Independent Consultant reviewed the yield evaluations at par of no fewer than three obligations selected by such Independent Consultant, the interest on which is entitled to the exemption from federal income tax afforded by Section 103(a) of the Code or any successor thereto (or, if it is not expected that it will be reasonably possible to issue such tax-exempt obligations, then obligations the interest on which is subject to federal income taxation) which obligations such Independent Consultant states in its report are reasonable comparators for utilizing in developing such Projected Rate and which obligations: (A) were outstanding on a date selected by the Independent Consultant which date so selected occurred during the 90-day period preceding the date of the calculation utilizing the Projected Rate in question, (B) to the extent practicable, are obligations of Persons engaged in operations similar to those of the Obligated Group and having a credit rating similar to that of the Obligated Group, (C) are not entitled to the benefits of any credit enhancement, including without limitation any letter or line of credit or insurance policy, and (D) to the extent practicable, have a remaining term and amortization schedule substantially the same as the obligation with respect to which such Projected Rate is being developed.

“Property” means any and all rights, titles and interests in and to any and all assets of the Obligated Group, whether real or personal, tangible or intangible and wherever situated, as shown on the most recent audited financial statements for the Obligated Group for the most recent Fiscal Year for which they are available. Property shall not include the land, leasehold interests, buildings, fixtures or equipment constituting Excluded Property

“Property, Plant and Equipment” means any Property of the Obligated Group which constitutes property, plant and equipment in accordance with GAAP.

“Put Indebtedness” means Long-Term Indebtedness which is (a) payable or required to be purchased or redeemed by or on behalf of the underlying obligor, at the option of the owner thereof, prior to its stated maturity date or (b) payable or required to be purchased or redeemed from the owner by or on behalf of the underlying obligor (other than at the option of the owner) prior to its stated maturity date, other than pursuant to any mandatory sinking fund or other similar fund, other than by reason of an event of taxability with respect to any Related Bond or other than by reason of acceleration upon the occurrence of an Event of Default.

“Rating Agency” means any of Moody’s, Standard & Poor’s, Fitch or Kroll, and their respective successors and assigns.

“Related Bond Indenture” means any indenture, trust agreement, bond resolution or other comparable instrument pursuant to which a series of Related Bonds are issued or executed and delivered.

“Related Bond Issuer” means the Government Issuer of any issue of Related Bonds.

“Related Bond Trustee” means the trustee and its successors in the trusts created under any Related Bond Indenture, and if there is no such trustee, means the Related Bond Issuer.

“Related Bonds” means any revenue bonds, certificates of participation or other obligations issued or executed and delivered by any Government Issuer, pursuant to a single Related Bond Indenture, the proceeds of which are loaned or otherwise made available to a Member in consideration of the execution, authentication and delivery of an Obligation or Obligations to or for the order of such Government Issuer.

“Related Loan Document” means any document or documents (including without limitation any loan agreement, lease, sublease or installment sales contract) pursuant to which any proceeds of any Related Bonds are advanced to any Member (or any Property financed or refinanced with such proceeds is loaned, leased, subleased or sold to a Member).

“Related Supplement” means an indenture supplemental to the Master Indenture or an amendment or supplement to a Deed of Trust, authorized and executed pursuant to the terms of the Master Indenture or such Deed of Trust, as the case may be.

“Required Information Recipients” means the Master Trustee, any Related Bond Trustee, EMMA or any other nationally recognized municipal securities information repositories identified by the Securities and Exchange Commission, and each Related Bond Issuer, which requests information required to be sent to Required Information Recipients.

“Required Payment” means any payment whether at maturity, by acceleration, upon proceeding for redemption or otherwise, required to be made by any Member under the Master Indenture, any Related Supplement, any Obligation or otherwise in connection with a Financing, including, but not limited to, the payment of principal, interest and premium and lease payments.

“Residency Agreement” means any written agreement or contract, as amended from time to time, between a Member and a resident or potential resident of a Member’s community giving the resident certain rights of occupancy in a living unit in such community, including without limitation, independent living units, assisted living units, memory support units, nursing beds or specialty care beds and providing for certain services to such resident including any reservation agreement or other agreement or contract reserving rights of occupancy.

“Responsible Officer” means, with respect to the Master Trustee, the chairman and vice chairman of the board of directors, the chairman of the executive committee of the board of directors, the vice chairman of the executive committee of the board of directors, the chairman of the trust committee, the president, any vice president, any assistant vice president, the cashier, any assistant cashier, the secretary, any assistant secretary, the treasurer, any assistant treasurer, any trust officer, any assistant trust officer or any other officer of the Master Trustee customarily performing functions similar to those performed by the persons above-designated or to whom any corporate trust matter is referred because of such person’s knowledge of and familiarity with the particular subject. With respect to the Obligated Group Representative or any Member, *“Responsible Officer”* means the president, chief executive officer, chief financial officer or any executive vice president of such entity.

“Rule 15c2-12” means Rule 15c2-12 of the Securities and Exchange Commission promulgated under the Securities Exchange Act of 1934, as amended.

“Securities Act of 1933” means the Securities Act of 1933, as amended, or similar legislation subsequently enacted.

“Short-Term Indebtedness” means all Indebtedness having an original maturity less than or equal to one year and not renewable at the option of a Member for a term greater than one year.

“Stable Occupancy” means with respect to any Capital Addition financed with Indebtedness for which the Master Trustee was furnished an Independent Consultant’s report pursuant to the Master Indenture (or, if no Independent Consultant’s report was required by the Master Indenture, an Officer’s Certificate), the percentage of Occupied units in that Capital Addition at the level reflected as substantially at the sustainable capacity for which such Capital Addition was designed or “stabilized occupancy” for that Capital Addition in the Independent Consultant’s report or the Officer’s Certificate.

“Standard & Poor’s” or *“S&P”* means S&P Global Ratings, a corporation organized and existing under the laws of the State of New York, its successors and assigns, and, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Standard & Poor’s” or “S&P” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative.

“Start-Up Period” shall have the meaning set forth under the heading “RATES AND CHARGES; DEBT COVERAGE” herein.

“Subordinated Indebtedness” means (i) Affiliate Related Subordinated Indebtedness, and (ii) Indebtedness incurred by a Member which by its terms is specifically subordinated with respect to any security therefor and with respect to right of payment to all Outstanding Obligations and to all other obligations of a Member not containing such subordination provisions.

“Tax-Exempt Organization” means a Person organized under the laws of the United States of America or any State thereof which is an organization described in Section 501(c)(3) of the Code and exempt from federal income taxation under Section 501(a) of the Internal Revenue Code of 1986 or corresponding provisions of federal income tax laws from time to time in effect.

“Total Operating Revenues” means the sum of total unrestricted operating revenues as shown on the consolidated or combined financial statements of the Obligated Group, determined in accordance with GAAP.

SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE

GENERAL

Authorization of Obligations. Under the Master Indenture, each Member authorizes to be issued from time to time Obligations or Series of Obligations, without limitation as to amount, except as provided in the Master Indenture or as may be limited by law, and subject to the terms, conditions and limitations established in the Master Indenture and in any Related Supplement. The issuance, authentication and delivery of any Obligation or Series of Obligations is subject to the following specific conditions:

(a) The Obligated Group Representative and the Master Trustee shall have entered into a Related Supplement providing for the terms and conditions of such Obligations and the repayment thereof.

(b) The Master Trustee shall have received an Officer's Certificate to the effect that each Member is in full compliance with all warranties, covenants and agreements set forth in the Master Indenture and in any Related Supplement.

(c) The Master Trustee shall have received an Officer's Certificate to the effect that neither an Event of Default nor any event which with the passage of time or the giving of notice or both would become an Event of Default has occurred or would occur upon issuance of such Obligations or is continuing under the Master Indenture or any Related Supplement.

(d) All requirements and conditions to the issuance of such Obligations, if any, set forth in the Related Supplement shall have been complied with and satisfied, as provided in an Officer's Certificate, an executed copy of which shall be delivered to the Master Trustee.

(e) An Opinion of Independent Counsel to the effect that registration of the Obligation under the Securities Act of 1933 is not required, or, if such registration is required, that the Obligated Group has complied with all applicable provisions of said Securities Act of 1933.

(f) If each Obligation constitutes Indebtedness, the applicable requirements of the Master Indenture described below under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Limitations on Additional Indebtedness" with respect to the incurrence of Additional Indebtedness shall have been satisfied.

Contents of Certificates and Opinions. Any Certificate or opinion made or given by an officer of a Member or the Master Trustee to comply with the provisions of the Master Indenture may be based, insofar as it relates to legal, accounting or management matters, upon a Certificate or opinion or representation of counsel, an accountant, financial institution, financial advisor or Independent Consultant unless such officer knows, or in the exercise of reasonable care should have known, that the Certificate, opinion or representation with respect to the matters upon which

such Certificate, opinion or representation may be based, as aforesaid, is erroneous. Any such Certificate, opinion or representation made or given by counsel, an accountant, financial institution, financial advisor or an Independent Consultant, may be based, insofar as it relates to factual matters (with respect to which information is in the possession of any Member) upon the Certificate or opinion of, or representation by an officer of any Member unless such counsel, accountant, financial institution, financial advisor or Independent Consultant knows, or in the exercise or reasonable care should have known, that the Certificate, opinion of or representation by such officer, with respect to the factual matters upon which such Person's Certificate or opinion may be based, as aforesaid, is erroneous. The same officer of any Member or the same counsel, accountant financial institution, financial advisor or Independent Consultant, as the case may be, need not certify as to all the matters required to be certified under any provision of the Master Indenture, but different officers, counsel, accountants or Independent Consultants may certify as to different matters, respectively.

PAYMENT OF PRINCIPAL AND INTEREST

Under the Master Indenture, each Member jointly and severally covenants and agrees to pay or cause to be paid promptly all Required Payments at the place, on the dates and in the manner provided in the Master Indenture, in any Related Supplement and in the Obligations whether at maturity, upon proceedings for redemption, by acceleration or otherwise, and that each Member shall faithfully observe and perform all of the conditions, covenants and requirements of the Master Indenture, any Related Supplement and any Obligation, and that the time of such payment and performance is of the essence concerning the obligations under the Master Indenture.

The obligation of each Member with respect to Required Payments shall not be abrogated, prejudiced or affected by:

- (1) the granting of any extension, waiver or other concession given to any Member by the Master Trustee or any Holder or by any compromise, release, abandonment, variation, relinquishment or renewal of any of the rights of the Master Trustee or any Holder or anything done or omitted or neglected to be done by the Master Trustee or any Holder in exercise of the authority, power and discretion vested in them by the Master Indenture, or by any other dealing or thing which, but for this provision, might operate to abrogate, prejudice or affect such obligation;
- (2) the liability of any Member under the Master Indenture ceasing for any cause whatsoever, including the release of any Member pursuant to the provisions of the Master Indenture or any Related Supplement from membership in the Obligated Group; or
- (3) any Member's becoming incompetent or otherwise failing to become liable as, or losing eligibility to become, a Member with respect to an Obligation.

The obligation of each Member to make Required Payments is a continuing one and is to remain in effect until all Required Payments have been paid in full in accordance with the Master Indenture. All moneys from time to time received by the Obligated Group Representative or the Master Trustee to reduce indebtedness on Obligations, whether from or on account of the Members

or otherwise, shall be regarded as payments in gross without any right on the part of any one or more of the Members to claim the benefit of any moneys so received until the whole of the amounts owing on Obligations has been paid or satisfied and so that if any Member files bankruptcy, the Obligated Group Representative or the Master Trustee shall be entitled to prove up the total Indebtedness on Obligations Outstanding as to which the liability of such Member has become fixed.

Each such Obligation shall be a primary obligation and shall not be treated as ancillary to or collateral with any other obligation and shall be independent of any other security so that the obligation of each Member shall be enforceable without first having recourse to any such security or source of payment and without first taking any steps or proceedings against any other Person. The Obligated Group Representative and the Master Trustee, and each of them, are empowered to enforce each such obligation, as provided in the Master Indenture, and to enforce the making of Required Payments; and each Member authorizes the Obligated Group Representative and the Master Trustee, and each of them, to enforce or refrain from enforcing any obligation and to make any arrangement or compromise with any particular Member or Members as the Obligated Group Representative or the Master Trustee may deem appropriate, consistent with the Master Indenture and any Related Supplement, and waives in favor of the Obligated Group Representative and the Master Trustee all rights against the Obligated Group Representative, the Master Trustee and any other Member, insofar as is necessary to give effect to any of the provisions of the Master Indenture summarized under this caption.

PLEDGE OF GROSS REVENUES

Each Member covenants and agrees that, so long as any Obligation remains Outstanding, all of the Gross Revenues of the Obligated Group shall be deposited as soon as practicable upon receipt in a fund (in one or more accounts at such banking institution or institutions as the Obligated Group Representative shall from time to time designate in writing to the Master Trustee for such purpose (the “*Depository Bank(s)*”)) designated as the “Gross Revenue Fund” which the Members shall establish and maintain, subject to the provisions of the Master Indenture summarized in the next paragraph. Subject only to the provisions of the Master Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Master Indenture, each Member pledges, and to the extent permitted by law, grants a security interest to the Master Trustee, in the Gross Revenue Fund and all of the Gross Revenues of the Obligated Group to secure the payment of Required Payments and the performance by the Members of their other obligations under the Master Indenture; *provided, however*, that each Member may create, assume or suffer to exist Permitted Encumbrances, including with respect to the Gross Revenues. Each Member shall execute a depository account control agreement with each Depository Bank, and shall execute and deliver such other documents as may be necessary or reasonably requested by the Master Trustee in order to perfect or maintain as perfected such security interest or give public notice thereof.

Amounts in the Gross Revenue Fund may be used and withdrawn by any Member at any time for any lawful purpose, except as provided in the Master Indenture. If any Member is delinquent for more than one Business Day in the payment of any Required Payment with respect to any Obligation issued pursuant to a Related Supplement, the Master Trustee shall notify the

Obligated Group Representative and the Depository Bank(s) of such delinquency, and, unless such Required Payment is paid, or provision for payment is duly made in a manner satisfactory to the Master Trustee in its sole discretion, within five days after receipt of such notice, the Obligated Group Representative or the appropriate Member shall cause the Depository Bank(s) to transfer the Gross Revenue Fund to the name and credit of the Master Trustee. The Master Trustee shall continue to hold the Gross Revenue Fund until amounts on deposit in said fund are sufficient to pay in full, or have been used to pay in full, all Required Payments in default and all other Events of Default actually known to a Responsible Officer of the Master Trustee shall have been made good or cured to the satisfaction of the Master Trustee in its sole discretion or provision deemed by the Master Trustee in its sole discretion to be adequate shall have been made therefor, whereupon the Gross Revenue Fund (except for the Gross Revenues required to make such payments or cure such defaults) shall be returned to the name and credit of the appropriate Members. During any period that the Gross Revenue Fund is held in the name and to the credit of the Master Trustee, the Master Trustee shall use and withdraw amounts in said fund from time to time to make Required Payments as such payments become due (whether by maturity, redemption, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments due on any date, then to the payment of debt service on Obligations ratably, without any discrimination or preference, and to such other payments in the order which the Master Trustee, in its discretion, shall determine to be in the best interests of the Holders, without discrimination or preference. During any period that the Gross Revenue Fund is held in the name and to the credit of the Master Trustee, the Members shall not be entitled to use or withdraw any of the Gross Revenues of the Obligated Group unless and to the extent that the Master Trustee at its sole discretion so directs for the payment of current or past due operating expenses of the Members; *provided, however*, that the Members shall be entitled to use or withdraw any amounts in the Gross Revenue Fund which do not constitute Gross Revenues of the Obligated Group. Each Member agrees to execute and deliver all instruments as may be required to implement the provisions of the Master Indenture summarized under this caption. Each Member further agrees that a failure to comply with the terms of the provisions of the Master Indenture summarized under this caption shall cause irreparable harm to the Holders and shall entitle the Master Trustee, with or without notice, to take immediate action to compel the specific performance of the obligations of the Members as provided under this caption.

COVENANTS AS TO MAINTENANCE OF PROPERTIES, ETC.

Each Member, respectively, covenants and agrees in the Master Indenture:

(a) That it will operate and maintain its Principal Property in accordance with all valid and applicable governmental laws, ordinances, approvals and regulations including, without limitation, such zoning, sanitary, pollution and safety ordinances and laws and such rules and regulations thereunder as may be binding upon it; *provided, however*, that no Member shall be required to comply with any law, ordinance, approval or regulation as long as it shall in good faith contest the validity thereof. Each Member, respectively, further covenants and agrees under the Master Indenture, that it will maintain and operate its Principal Property and all engines, boilers, pumps, machinery, apparatus, fixtures, fittings and equipment of any kind in or that shall be placed in any building or structure now or thereafter at any time constituting part of its Principal Property in good

repair, working order and condition, and that it will from time to time make or cause to be made all needful and proper replacements, repairs, renewals and improvements so that the operations of such Member will not be materially impaired.

(b) That it will pay and discharge all applicable taxes, assessments, governmental charges of any kind whatsoever, water rates, meter charges and other utility charges which may be or have been assessed or which may have become liens upon the Principal Property and will make such payments or cause such payments to be made, respectively, in due time to prevent any delinquency thereon or any forfeiture or sale of the Principal Property or any part thereof, and, upon request, will furnish to the Master Trustee receipts for all such payments, or other evidences satisfactory to the Master Trustee; *provided, however*, that no Member shall be required to pay any tax, assessment, rate or charge as provided in the Master Indenture as long as it shall in good faith contest the validity thereof, *provided* that such Member shall have set aside reserves with respect thereto that, in the opinion of the Obligated Group Representative, are adequate.

(c) That it will pay or otherwise satisfy and discharge all of its obligations and Indebtedness and all demands and claims against it as and when the same become due and payable, other than any thereof (exclusive of the Obligations issued and Outstanding under the Master Indenture) whose validity, amount or collectability is being contested in good faith.

(d) That it will at all times comply with all terms, covenants and provisions of any Lien at such time existing upon its Property or any part thereof or securing any of its Indebtedness noncompliance with which would have a material adverse effect on the operations of the Obligated Group or its Property.

(e) That it will use its best efforts (as long as it is in its best interest and will not materially adversely affect the interests of the Holders) to procure and maintain all material permits, licenses and other governmental approvals necessary for the operation of its Property and to maintain its qualification for participation in and payment under private insurance programs having broad application and federal, state and local governmental programs providing for payment or reimbursement for services rendered.

(f) That it will neither take any action nor suffer any action to be taken by others which would result in the interest on any Related Bonds issued as tax-exempt bonds becoming subject to federal income taxation.

INSURANCE

Each Member covenants and agrees that it will keep its Property and all of its operations insured at all times and carry and maintain such insurance in amounts which are commercially feasible, customarily carried, subject to customary deductibles, and against such risks as are customarily insured against by other corporations in connection with the ownership and operation of facilities of similar character and size. For the purpose of this caption summarizing the Master Indenture, the term Property shall be deemed to include Excluded Property.

The Obligated Group Representative is required to employ an Insurance Consultant at least every two years to review the insurance requirements of the Members. If the Insurance Consultant makes recommendations for the increase of any Members' insurance coverage, the Obligated Group Representative shall increase or cause to be increased such coverage in accordance with such recommendations, subject to a good faith determination of the Obligated Group Representative that such recommendations, in whole or in part, are in the best interests of the Obligated Group. In lieu of maintaining insurance coverage that the Obligated Group Representative deems necessary, the Members shall have the right to adopt alternative risk management programs that the Obligated Group Representative determines to be reasonable and that shall not have a material adverse impact on reimbursement from third party payors; including, without limitation, the right to self-insure in whole or in part individually or in connection with other institutions, to participate in programs of captive insurance companies, to participate with other health care institutions in mutual or other cooperative insurance or other risk management programs, to participate in state or federal insurance programs, to take advantage of state or federal laws in existence on or after the date of the Master Indenture limiting medical and malpractice liability, or to establish or participate in other alternative risk management programs; all as may be approved, in writing, as reasonable and appropriate risk management by the Insurance Consultant and reviewed each year thereafter.

The Master Trustee shall not be responsible for the sufficiency of any insurance required in the Master Indenture or for the obtaining of such insurance and in all events shall be fully protected in accepting payment on account of such insurance or any adjustment, compromise or settlement of any loss agreed to by any Member. The Obligated Group Representative shall cause to be delivered to the Master Trustee every two years, commencing with the Fiscal Year ended December 31, 2019, no later than within 270 days following the end of each Fiscal Year, an Officer's Certificate stating that the Obligated Group is in compliance with the provisions of the Master Indenture summarized under this caption. The Master Trustee may conclusively rely on such Certificate.

LIMITATIONS ON ENCUMBRANCES

Each Member, respectively, covenants and agrees that it will not create, assume or suffer to exist any Lien upon the Gross Revenues or the Principal Property other than Permitted Encumbrances. Each Member, respectively, further covenants and agrees under the Master Indenture that, if such a Lien is created or assumed by any Member, it will make or cause to be made effective a provision whereby all Obligations will be secured prior to any such Indebtedness or other obligation secured by such Lien. Nothing in the Master Indenture is intended to create an equitable or legal lien or interest on or in the Property, though the Deeds of Trust pledge certain Property to the Master Trustee for the benefit of the Holders of the Obligations.

Notwithstanding the paragraph above under this caption, a Lien on Property of any Member securing Indebtedness or an Interest Rate Agreement shall be classified a Permitted Encumbrance (as provided in clause (a) of the definition thereof) and therefore be permitted if:

- (a) such Lien secures Non-Recourse Indebtedness; or

(b) (1) after giving effect to such Lien and all other Liens classified as Permitted Encumbrances under this subparagraph (b), the Book Value or, at the option of the Obligated Group Representative, the Current Value of the Property of the Obligated Group which is encumbered is not more than 10% of the value of all of the Property of the Obligated Group (calculated on the same basis as the value of the encumbered Property as shown on the most recently available audited financial statements delivered in accordance with the provisions of the Master Indenture summarized under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Filing of Financial Statements, Reports and Other Information”) and (2) the Obligated Group Representative delivers an Officer’s Certificate stating that the conditions described in subparagraph (a) under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Limitations on Additional Indebtedness” below are met for allowing the incurrence of one dollar of additional Long-Term Indebtedness.

LIMITATIONS ON ADDITIONAL INDEBTEDNESS

Each Member, respectively, agrees not to incur any Additional Indebtedness except as follows:

(a) Long-Term Indebtedness, *provided* that:

(1) the aggregate principal amount of such Long-Term Indebtedness and all other Outstanding Long-Term Indebtedness incurred pursuant to the provisions of the Master Indenture summarized in this paragraph (1) does not exceed 10% of the Total Operating Revenues of the Obligated Group for the most recent Fiscal Year for which audited financial statements are available immediately preceding the issuance of such Long-Term Indebtedness (*provided* that, to the extent Long-Term Indebtedness initially incurred pursuant to this clause subsequently complies with any other incurrence requirement, such Long-Term Indebtedness shall, at the option of the Obligated Group Representative, thereafter not be deemed to be incurred pursuant to this clause); or

(2) the Master Trustee receives an Officer’s Certificate certifying the Long-Term Debt Service Coverage Ratio, taking into account all Outstanding Long-Term Indebtedness and the Long-Term Indebtedness proposed to be incurred, for the most recent complete Fiscal Year for which audited financial statements are available, which Long-Term Debt Service Coverage Ratio is not less than 1.20:1; or

(3) the Master Trustee receives:

(A) an Officer’s Certificate certifying that, taking into account all Outstanding Long-Term Indebtedness but not the Long-Term Indebtedness proposed to be incurred, for the most recent Fiscal Year for which audited financial statements are available, the Long-Term Debt Service Coverage Ratio is not less than 1.20:1; and

(B) either

(i) an Officer's Certificate, accompanied by the written report of an Independent Consultant, stating the forecasted Long-Term Debt Service Coverage Ratio, taking into account the Long-Term Indebtedness proposed to be incurred, for (x) in the case of Long-Term Indebtedness to finance capital improvements, the Fiscal Year succeeding the date on which such capital improvements are expected to be in operation or (y) in the case of Long-Term Indebtedness issued for other purposes than are described in (x), the Fiscal Year succeeding the date on which the proposed Long-Term Indebtedness is to be incurred, is not less than 1.25:1, as shown by forecasted statements of revenues and expenses for such Fiscal Year, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based; or

(ii) an Officer's Certificate stating the forecasted Long-Term Debt Service Coverage Ratio, taking into account the Long-Term Indebtedness proposed to be incurred, for (x) in the case of Long-Term Indebtedness to finance capital improvements, the two Fiscal Years succeeding the date on which such capital improvements are expected to be in operation or (y) in the case of Long-Term Indebtedness issued for other purposes than are described in (x), the two Fiscal Years succeeding the date on which the proposed Long-Term Indebtedness is to be incurred, is not less than 1.50:1, as shown by forecasted statements of revenues and expenses for such Fiscal Year, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based; or

(4) the Master Trustee receives an Officer's Certificate, accompanied by the written report of an Independent Consultant, stating the forecasted Long-Term Debt Service Coverage Ratio, taking into account the Long-Term Indebtedness proposed to be incurred, for (A) in the case of Long-Term Indebtedness to finance capital improvements, the Fiscal Year succeeding the date on which such capital improvements are expected to be in operation or (B) in the case of Long-Term Indebtedness issued for other purposes than are described in (A), the Fiscal Year succeeding the date on which the proposed Long-Term Indebtedness is to be incurred, is not less than 1.50:1, as shown by forecasted statements of revenues and expenses for such Fiscal Year, accompanied by a statement of the relevant assumptions upon which such forecasted statements are based.

(b) Completion Indebtedness in an amount up to 10% of the principal amount of the Long-Term Indebtedness incurred for the subject project, if there is delivered (A) to the Master Trustee a Construction Consultant's certificate to the effect that the Completion

Indebtedness proposed to be incurred is (i) necessary to provide a completed and fully equipped facility of the type and scope contemplated at the time the original Long-Term Indebtedness was incurred, and (ii) necessary to complete the acquisition, construction and/or equipping in accordance with the general plans and specifications for such facility as originally prepared and approved in connection with the incurrence of the Long-Term Indebtedness, and (iii) in an amount estimated to be sufficient, together with other identified funds of the relevant Member, to complete the facility within the parameters described in clauses (i) and (ii) above and (B) an Officer's Certificate stating that the amount of the original Long-Term Indebtedness was expected to provide sufficient funds to complete the subject project including an explanation outlining the reasoning for such expectation.

(c) Long-Term Indebtedness incurred for the purpose of refunding, refinancing or replacing any Outstanding Long-Term Indebtedness so as to render it no longer Outstanding if the Master Trustee receives an Officer's Certificate to the effect that Maximum Annual Debt Service, taking into account the Long-Term Indebtedness proposed to be incurred, will not be increased by more than 15% as a result of such refunding, refinancing or replacement.

(d) Short-Term Indebtedness *provided* that: (1) such Short-Term Indebtedness is incurred in compliance with subparagraph (a) above, treating such Short-Term Indebtedness for such purposes only as if it were Long-Term Indebtedness; or (2) (A) the total amount of such Short-Term Indebtedness does not exceed 15% of Total Operating Revenues of the Obligated Group for the most recent Fiscal Year for which audited financial statements are available; and (B) in every Fiscal Year, there shall be at least a 30-day period when the balance of such Short-Term Indebtedness is reduced to an amount which shall not exceed 5% of Total Operating Revenues of the Obligated Group for the most recent Fiscal Year for which audited financial statements of the Obligated Group are available.

(e) Subordinated Indebtedness without limitation.

(f) Balloon Indebtedness, Put Indebtedness or Interim Indebtedness *provided* that the conditions described in subparagraph (a) above are satisfied with respect to the incurrence of such Balloon Indebtedness, Put Indebtedness or Interim Indebtedness utilizing the assumptions specified in clause (c) of the definition of "Maximum Annual Debt Service" provided under the caption "DEFINITIONS OF CERTAIN TERMS" herein.

(g) Extendable Indebtedness *provided* that the conditions described in subparagraph (a) above are satisfied with respect to the incurrence of such Extendable Indebtedness utilizing the assumptions specified in clause (d) of the definition of "Maximum Annual Debt Service" provided under the caption "DEFINITIONS OF CERTAIN TERMS" herein

(h) Reimbursement and other obligations arising under reimbursement agreements relating to letters of credit or similar credit facilities used to secure Indebtedness otherwise permitted under this caption.

(i) Indebtedness which is non-recourse to any Member of the Obligated Group.

(j) Indebtedness to fund a Capital Addition if, prior to incurrence thereof, there is delivered to the Master Trustee (i) a written report of an Independent Consultant (prepared in accordance with industry standards) to the effect that the estimated projected Long-Term Debt Service Coverage Ratio of the Obligated Group will be not less than 1.25:1 for the first full Fiscal Year following the later of (A) the estimated completion of the Capital Addition, or (B) the first full Fiscal Year following achievement of Stable Occupancy of the Capital Addition, *provided* that the achievement of Stable Occupancy is projected to occur no later than during the sixth full Fiscal Year following the incurrence of such Capital Addition Indebtedness; *provided* that such report shall include forecast balance sheets, statements of revenues and expenses and statements of changes in financial position for such Fiscal Years and a statement of the relevant assumptions upon which such forecasted statements are based, which financial statements must indicate that sufficient revenues and cash flow could be generated to pay the operating expenses of the Obligated Group's proposed and existing facilities and the debt service on the Obligated Group's other existing Indebtedness during such Fiscal Year, and (ii) an Officer's Certificate of the Obligated Group Representative dated the date of the incurrence of the Capital Addition indebtedness to the effect that (A) the Obligated Group is then in compliance with all covenants in the Master Indenture and no Event of Default or event that with the passage of time could become an Event of Default then exists with respect to the Master Indenture, (B) the Primary Obligor has executed and delivered a guaranteed maximum price construction contract, stipulated sum construction contract or such other construction contract that establishes the complete construction cost with respect to the Capital Addition, (C) for Capital Additions with construction costs of \$25 million or more, a construction monitor having the skill and experience necessary to perform its duties with respect to the monitoring of the construction process and having a favorable reputation for such skill and experience has been engaged with respect to the Capital Addition, (D) all permits required to be obtained for the commencement of construction of the Capital Addition have been obtained or receipt of any such permit is perfunctory and will be received prior to such commencement; and (E) the facilities constituting the Capital Addition will be constructed on the Principal Property.

LIMITATIONS ON GUARANTIES

Each Member covenants and agrees that it will not enter into, or become liable with respect to, any Guaranty except:

- (a) Guaranties of Indebtedness of another Member;
- (b) Guaranties of Obligations issued under the Master Indenture;

(c) Any other Guaranty *provided* that the conditions of the Master Indenture summarized in subparagraph (a) above under “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Limitations on Additional Indebtedness” are satisfied with respect to the issuance of such Guaranty utilizing the assumptions specified in clause (a) of the definition of “Maximum Annual Debt Service” provided under the caption “DEFINITIONS OF CERTAIN TERMS” herein;

(d) Guaranties of loans to provide affordable and middle market housing (which shall include households with income that is 150% or less than the Area Median Income, as most recently published by the United States Department of Housing and Urban Development, for the county in which the housing unit is located), if the aggregate of all such Guaranties total no more than \$45,000,000 in principal amount, adjusted for each Fiscal Year from and after the Fiscal Year ending December 31, 2018 by the increase in the Consumer Price Index calculated by the U.S. Bureau of Labor Statistics or such similar index for the preceding calendar year; and

(e) All Guaranties if the aggregate of all Guaranties permitted under the provisions of the Master Indenture summarized in this subparagraph (e) is less than \$18,000,000 in principal amount, adjusted for each Fiscal Year from and after the Fiscal Year ending December 31, 2018, by the increase in the Consumer Price Index calculated by the U.S. Bureau of Labor Statistics or such similar index for the preceding calendar year.

For avoidance of doubt, the definition of Guaranty and the provisions of the Master Indenture summarized under this caption limiting Guaranties by the Obligated Group shall not apply to contracts executed by HumanGood NorCal on behalf of the Obligated Group or other Affiliates of HumanGood for goods and services in the ordinary course of business which contracts are not executed primarily for the repayment of money borrowed or credit extended including, without limitation, any service agreements, license agreements, employment contracts, routine equipment leases or contracts for purchases of equipment and supplies.

RATES AND CHARGES; DEBT COVERAGE

Each Member covenants and agrees to operate all of its Principal Property in the aggregate on a revenue-producing basis and to charge such fees and rates for its facilities and services and to exercise such skill and diligence, including obtaining payment for services provided, as to provide income from its facilities together with other available funds sufficient to pay promptly all payments of principal and interest on its Indebtedness, all expenses of operation, maintenance and repair of its Property and all other payments required to be made by it under the Master Indenture to the extent permitted by law. Each Member further covenants and agrees that it will from time to time as often as necessary and to the extent permitted by law, revise its rates, fees and charges in such manner as may be necessary or proper to comply with the following provisions.

(a) Within 150 days after the end of each Fiscal Year (commencing with the first full Fiscal Year following the execution of the Master Indenture) the Obligated Group Representative shall compute Income Available for Debt Service, Annual Debt Service and

the Debt Service Coverage Ratio of the Obligated Group and promptly furnish to the Required Information Recipients an Officer's Certificate setting forth the results of such computation. For purpose of the provisions of the Master Indenture summarized under this caption, principal and interest payable on any Affiliate Related Subordinated Indebtedness shall be excluded from Annual Debt Service.

(b) If the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year is less than 1.20:1, the Master Trustee shall require the Obligated Group Representative, at the Obligated Group's expense, to select an Independent Consultant within 30 days following the calculation described in the immediately preceding paragraph to make recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group's methods of operation and other factors affecting its financial condition in order to increase such Debt Service Coverage Ratio to at least 1.20:1 for the following Fiscal Year. The Independent Consultant selected as required by the provisions of the Master Indenture summarized under this caption shall be approved and retained as set forth in the provisions of the Master Indenture summarized under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Approval of Consultants."

The provisions of the Master Indenture summarized in the preceding paragraph (b) are subject to the provisions of the Master Indenture summarized in the following paragraph (e) with respect to Additional Indebtedness for certain projects and Capital Additions.

The Obligated Group shall not be required to engage an Independent Consultant more than one time in any twelve-month period.

For purposes of calculations under this caption, an unrestricted contribution from any other Affiliate of any Member of the Obligated Group may, at the sole discretion of the Obligated Group Representative, be treated as Income Available for Debt Service being earned during the period of such calculation so long as the unrestricted contribution is made prior to the date the applicable Certificate is required to be delivered with respect to such calculation. If the unrestricted contribution is counted in a period prior to the date of such transfer in accordance with the previous sentence, it shall not be included in the calculation for the period in which such contribution was actually made.

If a written report of an Independent Consultant is delivered to the Master Trustee stating that Industry Restrictions have made it impossible for the ratio in subparagraph (b) above to be met, then such ratio shall be reduced to 1.00:1 for such Fiscal Year.

(c) A copy of the Independent Consultant's report and recommendations, if any, shall be filed with each of the Required Information Recipients within 60 days of retaining the Independent Consultant. Each Member shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of such Member) and permitted by law. The provisions of the Master Indenture summarized under this caption shall not be construed to prohibit any Member

from serving indigent patients to the extent required for such Member to continue its qualification as a Tax-Exempt Organization or from serving any other class or classes of patients without charge or at reduced rates so long as such service does not prevent the Obligated Group from satisfying the other requirements of the provisions of the Master Indenture summarized under this caption.

(d) Notwithstanding any other provisions of the Master Indenture, an Event of Default arising from the Debt Service Coverage Ratio shall only occur under under the Master Indenture if: (i) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.20:1 and fails to take all necessary action to comply with the procedures set forth in the provisions of the Master Indenture summarized under this caption for preparing a report, adopting a plan, and following all recommendations contained in such report or plan to the extent feasible (as determined by the Obligated Group Representative) and permitted by law; (ii) the Days Cash on Hand of the Obligated Group is less than 125 at the end of a Fiscal Year in which the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1; or (iii) the Obligated Group fails to achieve a Debt Service Coverage Ratio of at least 1.00:1 for two consecutive Fiscal Years.

(e) Notwithstanding any other provisions of the Master Indenture, in the event that any Member of the Obligated Group incurs any Additional Indebtedness for any acquisition, construction, renovation or replacement project or Capital Addition, the Annual Debt Service requirements on such Additional Indebtedness and the Gross Revenues relating to the project or Capital Addition financed with the proceeds of such Additional Indebtedness shall be excluded from the calculation of the Debt Service Coverage Ratio of the Obligated Group for the purposes of complying with the provisions of the Master Indenture summarized under this caption until the first full Fiscal Year following the later of (i) the estimated completion of the acquisition, construction, renovation or replacement project being paid for with the proceeds of such Additional Indebtedness *provided* that such completion occurs no later than six months following the completion date for such project set forth in the Independent Consultant's report described in (1) below, or (ii) the first full Fiscal Year in which Stable Occupancy is achieved in the case of construction, renovation or replacement of revenue producing facilities financed with the proceeds of such Additional Indebtedness, which Stable Occupancy shall be projected in the report of the Independent Consultant referred to in paragraph (1) below to occur no later than during the sixth full Fiscal Year following the incurrence of such Additional Indebtedness, or (iii) the end of the sixth full Fiscal Year after the incurrence of such Additional Indebtedness (the period commencing on the date of the incurrence of such Additional Indebtedness and ending on the later of (i), (ii), or (iii) above is referred to as the "*Start-Up Period*") if the following conditions are met:

(1) there is delivered to the Master Trustee a report or opinion of an Independent Consultant to the effect that the projected Debt Service Coverage Ratio for the first full Fiscal Year following the Start-Up Period, will be not less than 1.20:1 after giving effect to the incurrence of such Additional Indebtedness and the application of the proceeds thereof; *provided, however*, that in the event that an Independent Consultant shall deliver a report to the Master Trustee to the effect that

state or Federal laws or regulations or administrative interpretations of such laws or regulations then in existence do not permit or by their application make it impracticable for Members to produce the required ratio, then such ratio shall be reduced to the highest practicable ratio then permitted by such laws or regulations but in no event less than 1.00:1; *provided further, however*, that in the event an Independent Consultant's report is not required to incur such Additional Indebtedness, the Obligated Group may deliver an Officer's Certificate to the Master Trustee in lieu of the Independent Consultant's report described in this subparagraph (1);

(2) such Independent Consultant's Report or Officer's Certificate demonstrates that the interest on such Additional Indebtedness and any projected start-up losses during the Start-Up Period are each funded from the proceeds of Additional Indebtedness or other funds designated by the Obligated Group, and continues to be available for such purposes during the Start-Up Period; and

(3) such Independent Consultant's Report or Officer's Certificate demonstrates that no principal of such Additional Indebtedness shall be payable during the Start-Up Period, excluding any Additional Indebtedness which may become due as the result of the collection of Entrance Fees during the Start-Up Period.

If the conditions of subparagraph (2) or (3) are not satisfied because interest is not funded through the end of the Start-Up Period or because principal is due by maturity or bond sinking fund redemption prior to the end of the Start-Up Period, the provisions of the Master Indenture summarized under this caption shall apply only during the portion of the Start-Up Period for which interest has been funded and no principal payments are due.

The provisions summarized in the initial paragraph of clause (e) above are amended by the Fourth Supplemental Master Indenture to read as follows (new language shown in **bold underline**):

“(e) Notwithstanding any other provisions of the Master Indenture, in the event that any Member of the Obligated Group incurs any Additional Indebtedness for any acquisition, construction, renovation or replacement project or Capital Addition, the Annual Debt Service requirements on such Additional Indebtedness and the Gross Revenues **and expenses** relating to the project or Capital Addition financed with the proceeds of such Additional Indebtedness shall be excluded from the calculation of the Debt Service Coverage Ratio of the Obligated Group for the purposes of complying with the provisions of the Master Indenture summarized under this caption until the first full Fiscal Year following the later of (i) the estimated completion of the acquisition, construction, renovation or replacement project being paid for with the proceeds of such Additional Indebtedness *provided* that such completion occurs no later than six months following the completion date for such project set forth in the Independent Consultant's report described in (1) below, or (ii) the first full Fiscal Year in which Stable Occupancy is achieved in the case of construction, renovation or replacement of revenue producing

facilities financed with the proceeds of such Additional Indebtedness, which Stable Occupancy shall be projected in the report of the Independent Consultant referred to in paragraph (1) below to occur no later than during the sixth full Fiscal Year following the incurrence of such Additional Indebtedness, or (iii) the end of the sixth full Fiscal Year after the incurrence of such Additional Indebtedness (the period commencing on the date of the incurrence of such Additional Indebtedness and ending on the later of (i), (ii), or (iii) above is referred to as the “*Start-Up Period*”) if the following conditions are met:”

As described in this Official Statement, the purchasers of the Series 2021 Bonds will be deemed to have consented to the amendment to the Master Indenture described in the preceding paragraph. Such amendment will not be effective upon the issuance of the Series 2021 Bonds but will become effective upon the receipt by the Master Trustee by the requisite consents.

SALE, LEASE OR OTHER DISPOSITION OF PROPERTY

Each Member agrees that it will not transfer any Property except as permitted in the provisions of the Master Indenture summarized below:

(a) Each Member may sell, lease or otherwise dispose (including without limitation any involuntary disposition) of Property (either real or personal, including cash and investments) to another Member, except that none of the Property or any other Property financed with the proceeds of any Related Bonds issued as tax-exempt bonds shall be transferred by the Member to any other Member unless the Related Bond Trustee has received an Opinion of Bond Counsel to the effect that such transfer shall not adversely affect the validity of the Related Bonds or any exemption from federal income taxation to which such Related Bonds would otherwise be entitled.

(b) A Member may transfer Property, including cash or cash equivalents, to an Affiliate if the Property sold, leased or otherwise disposed of in accordance with the provisions of this subparagraph (b) does not, for any consecutive 12-month period, exceed 3% of the total assets (based on Fair Market Value) of the Obligated Group (as shown on the most recent audited financial statements of the Obligated Group) and the Debt Service Coverage Ratio was not less than 1.25:1 for the last Fiscal Year for which audited financial statements have been delivered to the Master Trustee, *provided* that, (i) in calculating the Debt Service Coverage Ratio for purposes of this payment, the Income Available for Debt Service will be reduced by one year’s estimated interest earnings attributable the moneys to be used for payment using, at the option of the Obligated Group Representative, either (1) the current budgeted investment rate, as certified in an Officer’s Certificate, or (2) the actual average investment rate on the transferred funds, as certified in a report of an Independent Consultant; and (ii) as of the end of the last fiscal quarter for which financial statements have been delivered to the Master Trustee as required under the Master Indenture, the Obligated Group had not less than 125 Days Cash on Hand after giving effect to the transaction. If the Debt Service Coverage Ratio is not less than 1.25:1, the foregoing percentage of the total Book Value or Current Value may be increased as follows under the following conditions:

(1) up to 5%, if Days Cash on Hand would not be less than 200 after the effect of such sale, lease or disposition of assets; or

(2) up to 7.5%, if Days Cash on Hand would not be less than 300 after the effect of such sale, lease or disposition of assets; or

(3) up to 10%, if Days Cash on Hand would not be less than 400 after the effect of such sale, lease or disposition of assets;

(c) If the amount of such Property sold, leased or otherwise disposed of in accordance with the provisions of this subparagraph (c) does not, for any consecutive twelve-month period, exceed 1% of the total Book Value (or Current Value if the Obligated Group Representative so elects) of all Property of the Obligated Group;

(d) A Member may transfer Property, including cash or cash equivalents, to a Person other than a Member or an Affiliate without limitation if:

(1) the transfer is:

(A) in return for other Property of equal or greater value; or

(B) in the ordinary course of business upon fair and reasonable terms; or

(2) such Property has, or within the next succeeding 24 calendar months is reasonably expected to, become inadequate, obsolete, worn out, unsuitable, unprofitable, undesirable or unnecessary and the sale, lease or other disposition thereof will not impair the structural soundness, efficiency or economic value of the remaining Property; or

(3) such Property consists solely of assets which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for payment on the Obligations.

(e) If any Property to be disposed in accordance with the provisions of the Master Indenture summarized under this caption, is subject to a Lien, the Master Trustee shall, upon the request of the Obligated Group Representative, release such Property from the Lien pursuant to the terms of any documentation creating the Lien.

Nothing in the Master Indenture shall prohibit any Member from making secured or unsecured loans *provided* that (1) any such loan is evidenced in writing, (2) the Obligated Group Representative reasonably expects such loan to be repaid and (3) such loan bears interest at a reasonable rate of interest as determined in good faith by the Obligated Group Representative.

If any Property to be disposed in accordance with the provisions of the Master Indenture summarized under this caption is subject to a Deed of Trust, the Master Trustee shall, upon the

request of the Obligated Group Representative, release such Property from the Deed of Trust pursuant to the terms of such Deed of Trust.

LIQUIDITY COVENANT

The Obligated Group covenants in the Master Indenture that it will calculate the Days Cash on Hand of the Obligated Group as of June 30 and December 31 of each Fiscal Year (each such date being a “*Testing Date*”). The Obligated Group shall include such calculations in the Officer’s Certificate that is delivered pursuant to the Master Indenture as described under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Filing of Financial Statements, Reports and Other Information.”

Each Obligated Group Member is required to conduct its business so that on each Testing Date the Obligated Group shall have not less than 125 Days Cash on Hand.

If the amount of Days Cash on Hand as of any Testing Date is less than 125, the Obligated Group Representative shall, within 30 days after receipt of the Officer’s Certificate disclosing such deficiency, deliver an Officer’s Certificate of the Obligated Group Representative to the Master Trustee setting forth in reasonable detail the reasons for such deficiency and adopting a specific plan (which plan shall be developed in consultation with the Governing Body of the Obligated Group Representative) setting forth steps to be taken designed to achieve the required level of Days Cash on Hand for future periods.

If the Obligated Group has not achieved 125 Days Cash on Hand by the next Testing Date following delivery of the Officer’s Certificate required in the preceding paragraph, the Obligated Group Representative shall, within 30 days after receipt of the Officer’s Certificate disclosing such continued deficiency, select an Independent Consultant to make recommendations with respect to the rates, fees and charges of the Obligated Group and the Obligated Group’s methods of operation and other factors affecting its financial condition in order to increase the Days Cash on Hand to the required level for future periods. Such Independent Consultant selected as required by the provisions of the Master Indenture summarized under this caption shall be retained as described under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Approval of Consultants.” A copy of the Independent Consultant’s report and recommendations, if any, shall be filed with each of the Required Information Recipients within 60 days of the date such Independent Consultant is retained. Each Member of the Obligated Group shall follow each recommendation of the Independent Consultant applicable to it to the extent feasible (as determined in the reasonable judgment of the Member) and permitted by law. The Obligated Group shall not be required to engage an Independent Consultant more than one time in any twelve-month period.

Notwithstanding any other provision of the Master Indenture, failure of the Obligated Group to achieve the required liquidity covenant for any Fiscal Year shall not constitute an Event of Default under the Master Indenture if the Obligated Group takes all action necessary to comply with the procedures set forth above for preparing a report and adopting a plan and follows each recommendation contained in such report to the extent feasible (as determined by the Obligated Group Representative) and permitted by law.

APPROVAL OF CONSULTANTS

(a) If at any time the Members of the Obligated Group are required to engage an Independent Consultant under the provisions of the Master Indenture summarized above under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Rates and Charges; Debt Coverage” and “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Liquidity Covenant,” such Independent Consultant shall be engaged in the manner set forth below. If an Independent Consultant is required with respect to other calculations required by the Master Indenture, including any determination of the Projected Rate, the provisions of the Master Indenture summarized under this caption shall not apply.

(b) Upon selecting an Independent Consultant as required by the provisions of the Master Indenture summarized above under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Rates and Charges; Debt Coverage” and “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Liquidity Covenant,” the Obligated Group Representative will notify the Master Trustee of such selection. The Master Trustee shall, as soon as practicable but in no case longer than five Business Days after receipt of notice, notify the Holders of all Obligations outstanding of such selection. Such notice shall (i) include the name of the Independent Consultant and a brief description of the Independent Consultant to the extent provided to the Master Trustee by the Obligated Group Representative, (ii) state the reason that the Independent Consultant is being engaged including a description of the covenant(s) of the Master Indenture that require the Independent Consultant to be engaged, and (iii) state that the holder of the Obligation will be deemed to have consented to the selection of the Independent Consultant named in such notice unless such Obligation holder submits an objection to the selected Independent Consultant in writing (in a manner acceptable to the Master Trustee) to the Master Trustee within 30 days of the date that the notice is sent to the Obligation Holders. No later than two Business Days after the end of the 30-day objection period, the Master Trustee shall notify the Obligated Group of the number of objections received by the Master Trustee. If two-thirds (66.6%) or more in aggregate principal amount of the Holders of the outstanding Obligations have been deemed to have consented to the selection of the Independent Consultant, the Obligated Group Representative may engage the Independent Consultant within five days of receiving notice of that consent. If more than one-third (33.3%) in aggregate principal amount of the owners of the Obligations outstanding have objected to the Independent Consultant selected, the Obligated Group Representative shall select another Independent Consultant within 14 days after receiving notice of such objection which may be engaged upon compliance with the procedures of the provisions of the Master Indenture summarized under this caption.

All Independent Consultant reports required under the Master Indenture shall be prepared in accordance with then-effective industry-appropriate standards.

(c) When the Master Trustee notifies the Holders of Obligations of such selection, the Master Trustee shall also request any Related Bond Trustee send a notice containing the information required by subparagraph (b) above to the owners of all of the Related Bonds outstanding. Such Related Bond Trustee shall, as the owner of an Obligation securing such Related Bonds, consent or object to the selection of the Independent Consultant in accordance with the response of the owners of such Related Bonds. If the owners of two-thirds (66.6%) or more in

aggregate principal amount of the Related Bonds have been deemed to have consented to the selection of the Independent Consultant, the Related Bond Trustee shall approve the Independent Consultant within five days of receiving notice of that consent. If the owners of more than one-third (33.3%) in aggregate principal amount of the Related Bonds have objected to the Independent Consultant selected, the Related Bond Trustee shall reject the Independent Consultant within 14 days after receiving notice of such objection.

The 30-day notice period described in subparagraph (b) above may be extended by the Master Trustee in order to permit each Related Bond Trustee to give the owners of the Related Bonds 30 days to respond to the notice given by the Related Bond Trustee. By acceptance of an Obligation securing any Related Bonds, the Related Bond Trustee agrees to comply with the provisions of the Master Indenture summarized under this caption.

(d) If an Independent Consultant is required to be engaged under two or more provisions of the Master Indenture, the requirements of those provisions may (but need not be) satisfied through the engagement of a single Independent Consultant under a single engagement in lieu of multiple engagements. Any requirement for an Independent Consultant's report under the Master Indenture may be satisfied by an update of a previous Independent Consultant's Report so long as the update when taken together with the previous report satisfies the requirements of the Master Indenture.

CONSOLIDATION, MERGER, SALE OR CONVEYANCE

Each Member agrees that it will not merge into, or consolidate with, one or more corporations which are not Members, or allow one or more of such corporations to merge into it, or sell or convey all or substantially all of its Property to any Person who is not a Member, unless:

(a) Any successor corporation to such Member (including without limitation any purchaser of all or substantially all the Property of such Member) is a Person (other than a natural person) organized and existing under the laws of the United States of America or a state thereof and shall execute and deliver to the Master Trustee an appropriate instrument containing the agreement of such successor to assume, jointly and severally, the due and punctual payment of the principal of, premium, if any, and interest on all Obligations according to their tenor and the due and punctual performance and observance of all the covenants and conditions of the Master Indenture to be kept and performed by such Member;

(b) Immediately after such merger or consolidation, or such sale or conveyance, no Member would be in default in the performance or observance of any covenant or condition of any Related Loan Document or the Master Indenture;

(c) Assuming that any Indebtedness of any successor or acquiring corporation is Indebtedness of such Member and that the revenues and expenses of the Member for such most recent Fiscal Year include the revenues and expenses of such other corporation (1) immediately after such merger or consolidation, sale or conveyance, the Debt Service Coverage Ratio of the Obligated Group for the most recent Fiscal Year for which financial

statements that have been reported upon by independent certified public accountants are available, if calculated on a pro forma basis including the effect of such merger or consolidation, sale or conveyance, would have been not less than 1.20:1, or that such pro forma Debt Service Coverage Ratio of the Obligated Group is not less than the Debt Service Coverage Ratio of the Obligated Group was for such Fiscal Year prior to such merger or consolidation, sale or conveyance and (2) immediately after such merger or consolidation, sale or conveyance, the Days Cash on Hand of the Obligated Group as set forth on the most recent quarterly financial statements delivered to the Master Trustee pursuant to the Master Indenture would be not less than 125 or that such calculation of Days Cash on Hand of the Obligated Group is greater than such calculation would be immediately prior to such merger or consolidation, sale or conveyance;

(d) If all amounts due or to become due on all tax-exempt Related Bonds have not been fully paid to the holders thereof or fully provided for, there shall be delivered to the Master Trustee an Opinion of Bond Counsel to the effect that under then existing law the consummation of such merger, consolidation, sale or conveyance would not adversely affect the validity of such Related Bonds or the exemption otherwise available from federal or state income taxation of interest payable on such Related Bonds; and

(e) If any Related Bonds were rated by a Rating Agency (based on the credit of the Obligated Group without regard to any credit enhancement) prior to such merger, consolidation, sale or conveyance, written evidence that, (i) after such merger, consolidation, sale or conveyance, all Related Bonds will have a rating of at least “BBB-” (or an equivalent rating) from at least one Rating Agency or (ii) in the event that prior to such merger, consolidation, sale or conveyance, any Related Bonds had a credit rating below “BBB-” (or its equivalent), the rating on such Related Bonds will not be lowered or withdrawn (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) as a result of the merger, consolidation, sale or conveyance.

In case of any such consolidation, merger, sale or conveyance and upon any such assumption by the successor corporation, such successor corporation shall succeed to and be substituted for its predecessor, with the same effect as if it had been named under the Master Indenture as such Member. Each successor, assignee, surviving, resulting or transferee corporation of a Member must agree to become, and satisfy the conditions described in the Master Indenture to becoming, a Member of the Obligated Group prior to any such succession, assignment or other change in such Member’s corporate status. Any successor corporation to such Member thereupon may cause to be signed and may issue in its own name Obligations under the Master Indenture and the predecessor corporation shall be released from its obligations under the Master Indenture and under any Obligations, if such predecessor corporation shall have conveyed all Property owned by it (or all such Property shall be deemed conveyed by operation of law) to such successor corporation. All Obligations so issued by such successor corporation under the Master Indenture shall in all respects have the same legal rank and benefit under the Master Indenture as Obligations theretofore or thereafter issued in accordance with the terms of the Master Indenture as though all of such Obligations had been issued under the Master Indenture by such prior Member without any such consolidation, merger, sale or conveyance having occurred.

In case of any such consolidation, merger, sale or conveyance such changes in phraseology and form (but not in substance) may be made in Obligations thereafter to be issued as may be appropriate.

The Master Trustee may rely upon an Opinion of Independent Counsel as conclusive evidence that any such consolidation, merger, sale or conveyance, and any such assumption, complies with the provisions of the Master Indenture summarized under this caption and that it is proper for the Master Trustee under the provisions of the Master Indenture to join in the execution of any instrument required to be executed and delivered by the Master Indenture.

FILING OF FINANCIAL STATEMENTS, REPORTS AND OTHER INFORMATION

(a) The Members covenant that they will keep or cause to be kept proper books of records and accounts in which full, true and correct entries will be made of all dealings or transactions of or in relation to the business and affairs of the Obligated Group in accordance with GAAP consistently applied except as may be disclosed in the notes to the audited financial statements referred to in subparagraph (b) below. To the extent that GAAP would require consolidation of certain financial information of entities which are not Members of the Obligated Group with financial information of one or more Members, consolidated financial statements prepared in accordance with GAAP which include information with respect to entities which are not Members of the Obligated Group may be delivered in satisfaction of the requirements summarized under this caption so long as: (1) supplemental information in sufficient detail to separately identify the information with respect to the Members of the Obligated Group is delivered to the Master Trustee with the audited financial statements; (2) such supplemental information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements delivered to the Master Trustee and, in the opinion of the accountant, is fairly stated in all material respects in relation to the consolidated financial statements taken as a whole; and (3) such supplemental information is used for the purposes of the Master Indenture or for any agreement, document or certificate executed and delivered in connection or pursuant thereto.

(b) The Obligated Group Representative will furnish or cause to be furnished to the Required Information Recipients the following:

(1) As soon as practicable after they are available but in no event more than 45 days after the completion of such fiscal quarter or 60 days after the completion of the fiscal quarter in the case of a fiscal quarter ending on December 31, (A) Quarterly unaudited financial statements of the Obligated Group including a combined or combining statement of revenues and expenses and statement of cash flows of the Obligated Group during such period, a combined or combining balance sheet as of the end of each such fiscal quarter, (B) a calculation of the Days Cash on Hand for such fiscal quarter, (C) a calculation of Debt Service Coverage Ratio for such fiscal quarter, (D) occupancy levels of all of the facilities operated by the Obligated Group by level of care as of the end of each such quarter, and (E) combined payor mix for skilled nursing facilities of the Members, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Obligated Group Representative, and an Officer's Certificate of the Obligated Group Representative stating that the Obligated Group is in compliance with all of the terms,

provisions and conditions of the Master Indenture or if not, specify all such defaults and the nature thereof.

(2) Within 150 days of the end of each Fiscal Year, an annual audited financial report of the Obligated Group prepared by a firm of certified public accountants, including a combined and an unaudited combining balance sheet as of the end of such Fiscal Year and a combined and an unaudited combining statement of changes in fund balances for such Fiscal Year and a combined and an unaudited combining statement of revenues and expenses and statement of cash flows of the Obligated Group for such Fiscal Year, together with a separate written statement of the accountants preparing such report containing calculations of the Obligated Group's Debt Service Coverage Ratio for said Fiscal Year and of the Obligated Group's Days Cash on Hand as of the last day of such Fiscal Year.

(3) A summary of the annual budget of the Members of the Obligated Group delivered within 60-days of the approval thereof by the Governing Bodies of the Members or the Obligated Group Representative, as the case may be.

(4) If the Debt Service Coverage Ratio of the Obligated Group for any Fiscal Year is less than 1.00:1 for any Testing Date as provided in the Master Indenture, the Obligated Group will deliver the financial information and the calculations described in paragraph (b)(1) above on a monthly basis, with the Debt Service Coverage Ratio calculated on a year-to-date basis each month, within 45 days of the end of each month until the Debt Service Coverage Ratio of the Obligated Group is at least 1.00:1.

(c) The Obligated Group Representative shall furnish or cause to be furnished to the Master Trustee or any Related Bond Trustee, such additional information as the Master Trustee or any Related Bond Trustee may reasonably request concerning any Member in order to enable the Master Trustee or such Related Bond Trustee to determine whether the covenants, terms and provisions of the Master Indenture have been complied with by the Members and for that purpose all pertinent books, documents and vouchers relating to the business, affairs and Property (other than patient, donor and personnel records) of the Members shall, to the extent permitted by law, at all times during regular business hours be open to the inspection of such accountant or other agent (who may make copies of all or any part thereof) as shall from time to time be designated by the Master Trustee or such Related Bond Trustee.

(d) Under the Master Indenture, the Members also agree that, within ten (10) days after its receipt thereof, the Obligated Group Representative will file with each Required Information Recipient a copy of each Independent Consultant's report or counsel's opinion required to be prepared under the terms of the Master Indenture.

(e) The Obligated Group Representative shall give prompt written notice of a change of accountants by the Obligated Group to the Master Trustee and each Related Bond Trustee. The notice shall state (1) the effective date of such change; (2) whether there were any unresolved disagreements with the former accountants on any matter of accounting principles or practices, financial statement disclosure, or auditing scope or procedure, which the accountants claimed would have caused them to refer to the disagreement in a report on the disputed matter, if it was

not resolved to their satisfaction; and (3) such additional information relating thereto as such Related Bond Trustee or the Master Trustee may reasonably request.

(f) Without limiting the foregoing, each Member will permit, upon reasonable notice, the Master Trustee or any Related Bond Trustee (or such persons as they may designate) to visit and inspect, at the expense of such Person, its Property and to discuss the affairs, finances and accounts of the Obligated Group with its officers and independent accountants, all at such reasonable times and locations and as often as the Master Trustee or the Related Bond Trustee may reasonably desire, *provided* that the Master Trustee shall have no duty to visit or inspect.

(g) The Obligated Group Representative may designate a different Fiscal Year for the Members of the Obligated Group by delivering a notice to the Master Trustee designating the first and last day of such new Fiscal Year and whether or not there will be any interim fiscal period (the "*Interim Period*") preceding such new Fiscal Year. No Interim Period shall exceed 18 months in duration. The Members covenant under the Master Indenture that they will furnish to the Required Information Recipients, as soon as practicable after they are available, but in no event more than 150 days after the last day of such Interim Period, a financial report for such Interim Period certified by a firm of independent certified public accountants selected by the Obligated Group Representative covering the operations of the Obligated Group for such Interim Period and containing a combined balance sheet as of the end of such Interim Period and a combined statement of changes in fund balances and changes in financial position for such Interim Period and a combined statement of revenues and expenses for such Interim Period, together with a separate written statement of the accountants preparing such report containing a calculation of the Obligated Group's Debt Service Coverage Ratio for the Interim Period.

(h) Notwithstanding any other provisions of the Master Indenture requiring certain financial and operating information or Independent Consultant reports to Required Information Recipients, the failure by the Obligated Group to provide such information to EMMA will not constitute an Event of Default under the Master Indenture.

THE CALIFORNIA OBLIGATED GROUP

Membership in the California Obligated Group. Additional Members may be added to the Obligated Group from time to time, *provided* that prior to such addition, the Master Trustee receives:

(a) a copy of a resolution of the proposed new Member which authorizes the execution and delivery of the Master Indenture or a Related Supplement and compliance with the terms of the Master Indenture;

(b) a Related Supplement pursuant to which the proposed new Member:
(1) agrees to become a Member; (2) agrees to be bound by the terms and restrictions imposed by the Master Indenture and Indebtedness represented by the Obligations; (3) irrevocably appoints the Obligated Group Representative as its agent and attorney-in-fact and grants to the Obligated Group Representative all of the powers of the Obligated Group Representative as set forth in the Master Indenture, including the power to execute

Related Supplements authorizing the issuance of Obligations or series of Obligations; and (4) designates any or all of its Property as Principal Property consistent with the determination of the Obligated Group Representative that such Property is Principal Property, pursuant to the Master Indenture;

(c) an Opinion of Independent Counsel to the proposed new Member, which opinion states that the proposed new Member has taken all necessary action to become a Member, and upon execution of a Related Supplement, such proposed new Member will be bound by the terms of the Master Indenture;

(d) a description of any existing Long-Term Indebtedness of the proposed new Member and any Indebtedness which the proposed new Member plans to incur simultaneously with the execution of the Related Supplement;

(e) an Officer's Certificate (i) (A) (accompanied by a written report of an Independent Consultant if required by paragraph (a) under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Limitations on Additional Indebtedness" above) meeting the requirements of the Master Indenture summarized under subparagraphs (a)(2), (3) or (4) under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Limitations on Additional Indebtedness" showing that the Obligated Group could issue at least one dollar of Long-Term Indebtedness immediately following the addition of such Member to the Obligated Group, or (B) demonstrating that an Event of Default under the Master Indenture will be cured if the new Member becomes a Member of the Obligated Group, or (C) to the effect that the Debt Service Coverage Ratio of the Obligated Group for each of the two most recent Fiscal Years would have been equal to or greater than that required in the provisions of the Master Indenture summarized above under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Rates and Charges; Debt Coverage" and (ii) demonstrating that immediately after the addition of such Member to the Obligated Group, the Obligated Group (A) would be in compliance with Days Cash on Hand requirement in the provisions of the Master Indenture summarized under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Liquidity Covenant" or (B) would have a greater number of Days Cash on Hand than immediately prior to the addition of such Member to the Obligated Group based on the most recent audited financial statement or unaudited quarterly financial statements delivered to the Master Trustee pursuant to the provisions of the Master Indenture summarized above under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Filing of Financial Statements, Reports and Other Information";

(f) an Opinion of Bond Counsel to the effect that the addition of such Member (1) under then existing law, would not adversely affect the validity of any Related Bond or any exemption from federal or state income taxation of interest payable on such Related Bond otherwise entitled to such exemption; and (2) will not cause the Master Indenture or the Obligations issued thereunder to be subject to registration under federal securities laws or the Trust Indenture Act of 1939, as amended (or that any such registration, if required, has occurred);

(g) an Officer's Certificate to the effect that no Member, immediately after the addition of such new Member, would be in default in the performance or observance of any covenant or condition of the Master Indenture;

(h) if any Related Bonds were rated by a Rating Agency (based on the credit of the Obligated Group and without regard to any credit enhancement) prior to the proposed new Member becoming a Member of the Obligated Group, written evidence from such Rating Agency that, (i) after such proposed new Member becomes a Member, all Related Bonds will have a rating of at least "BBB-" (or an equivalent rating) from at least one Rating Agency or (ii) in the event that prior to the proposed new Member entering the Obligated Group, any Related Bonds had a credit rating below "BBB-" (or its equivalent), the rating on such Related Bonds will not be lowered or withdrawn (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) as a result of the proposed new Member entering the Obligated Group; and

(i) such additional documentation as may be required by the Related Supplements.

Withdrawal from the California Obligated Group. Any Member may withdraw from the Obligated Group, and be released from further liability or obligation under the provisions of the Master Indenture, *provided* that prior to such withdrawal, the Master Trustee receives:

(a) an Officer's Certificate stating that immediately following withdrawal of such Member, no Member would be in default in the performance or observance of any covenant or condition of the Master Indenture;

(b) an Officer's Certificate stating that such Member is not a party to any Related Loan Documents with respect to Related Bonds which remain outstanding;

(c) an Officer's Certificate (1)(A) (accompanied by a written report of an Independent Consultant if required by paragraph (a) under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Limitations on Additional Indebtedness" above) meeting the requirements of the Master Indenture summarized under subparagraphs (a)(2), (3) or (4) under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Limitations on Additional Indebtedness" showing that the Obligated Group could issue at least one dollar of Long-Term Indebtedness immediately following the withdrawal of such Member from the Obligated Group, or (B) demonstrating that an Event of Default under the Master Indenture will be cured if the Member withdraws from the Obligated Group, or (C) to the effect that the Debt Service Coverage Ratio of the Obligated Group for each of the two most recent Fiscal Years would have been equal to or greater than that required in the provisions of the Master Indenture summarized above under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Rates and Charges; Debt Coverage" and (ii) demonstrating that immediately after the withdrawal of such Member from the Obligated Group, the Obligated Group would (a) be in compliance with the Days Cash on Hand requirement in the provisions of the Master

Indenture summarized under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Liquidity Covenant” or (b) have a greater number of Days Cash on Hand than immediately prior to the withdrawal of such Member, based on the most recently audited financial statements or unaudited quarterly financial statements delivered to the Master Trustee pursuant to the provisions of the Master Indenture summarized above under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Filing of Financial Statements, Reports and Other Information”;

(d) an Opinion of Bond Counsel to the effect that the withdrawal of such Member, under then existing law, would not adversely affect the validity of any Related Bond or any exemption from federal or state income taxation of interest payable on such Related Bond to which such Bond would otherwise be entitled; and

(e) if any Related Bonds were rated by a Rating Agency (based on the credit of the Obligated Group and without regard to any credit enhancement) prior to the Member withdrawing from the Obligated Group, evidence from such Rating Agency that, (i) after such Member withdraws from the Obligated Group, all Related Bonds will have a rating of at least “BBB-” (or an equivalent rating) from at least one Rating Agency or (ii) in the event that prior to the Member withdrawing from the Obligated Group, any Related Bonds had a credit rating below “BBB-“ (or its equivalent), the rating on such Related Bonds will not be lowered or withdrawn (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) as a result of the Member withdrawing from the Obligated Group.

Upon compliance with the conditions contained under this caption, the Master Trustee shall execute any documents reasonably requested by the withdrawing Member to evidence the termination of such Member’s obligations under the Master Indenture, under any Related Supplements and under all Obligations

INSURANCE AND CONDEMNATION PROCEEDS

Subject to the next paragraph, any insurance proceeds, condemnation award or payment in lieu of condemnation in an amount more than \$1,000,000 shall, at the option of the Obligated Group Representative:

(a) Be deposited with the Master Trustee to apply to the prepayment or redemption of Obligations outstanding, on a pro rata basis; or

(b) Be applied by the Obligated Group to repair, renovate or rebuild the facilities subject to the payment; or

(c) For any other legitimate purpose, in the sole discretion of the Obligated Group Representative.

Notwithstanding the foregoing, in the case of the destruction of the Obligated Group’s facilities or any portion thereof as a result of fire or other casualty, or any damage to such facilities

or portion thereof as a result of fire or other casualty, any related proceeds in an amount more than \$1,000,000 shall be applied pursuant to the applicable Deed of Trust in accordance with subparagraph (b) above.

Any Member may make agreements and covenants with the holder of any Indebtedness which is incurred in compliance with the provisions of the Master Indenture and which is secured by a Permitted Encumbrance with respect to the application or use to be made of insurance proceeds or condemnation awards which may be received in connection with Property which is subject to such Permitted Encumbrance.

The provisions summarized in the second preceding paragraph above are amended by the Fourth Supplemental Master Indenture to read as follows (new language shown in **bold underline**):

“Notwithstanding the foregoing, in the case of the destruction of the Obligated Group’s facilities or any portion thereof as a result of fire or other casualty, or any damage to such facilities or portion thereof as a result of fire or other casualty, any related proceeds in an amount more than \$1,000,000 shall be applied pursuant to the applicable Deed of Trust in accordance with subsection (b) above; **provided, however, that in the case of the damage or destruction of at least two-thirds (2/3) of the Book Value of the facilities of the Obligated Group as a result of fire or other casualty, any related proceeds shall be applied in accordance with subsection (a) or (b) above or any combination of (a) or (b).**”

As described in this Official Statement, the purchasers of the Series 2021 Bonds will be deemed to have consented to the amendment to the Master Indenture described in the preceding paragraph. Such amendment will not be effective upon the issuance of the Series 2021 Bonds but will become effective upon the receipt by the Master Trustee by the requisite consents.

DESIGNATION OF PRINCIPAL PROPERTY

The Obligated Group Representative:

(a) shall monitor the Property of the Members at least annually to determine whether such Property meets the qualifications contained in clause (a) of the definition of Principal Property; and

(b) shall determine, at the time a Member is added to the Obligated Group, whether any property of the Member (that will constitute Property upon such Member joining the Obligated Group) satisfies the description contained in clause (a) of the definition of Principal Property.

Upon such determination, the Obligated Group Representative shall designate by resolution such Property as Principal Property under the Master Indenture, and, pursuant to the Master Indenture, each Member, upon joining the Obligated Group, shall designate

such Property as Principal Property. Any such designation by the Obligated Group Representative is conclusive and binding upon the Members.

(c) *Additions to Excluded Property.* Exhibit C attached to the Master Indenture (Description of Excluded Property) may be amended to include additional real property acquired by a Member subsequent to the effective date of the Master Indenture and all improvements, fixtures, tangible personal property and equipment located thereon and used in connection therewith upon the receipt by the Master Trustee of an Officer's Certificate of such Member stating that (1) such Property does not constitute a portion of the Principal Property, and (2) the total value of such Property included on Exhibit C to the Master Indenture does not exceed 10% of the total value of Property of the Obligated Group (calculated on the basis of the Book Value of the assets shown on the asset side of the balance sheet in the combined financial statements of the Obligated Group for the most recent Fiscal Year next preceding the date of such amendment to Exhibit C to the Master Indenture for which combined financial statements reported on by independent certified public accountants are available or, if the Obligated Group Representative so elects, on the basis of Current Value).

PAYMENTS ON AFFILIATE RELATED SUBORDINATED INDEBTEDNESS

A Member will not make payments on Affiliate Related Subordinated Indebtedness to Affiliates, unless the Obligated Group Representative delivers an Officer's Certificate to the Master Trustee prior to any such payment certifying that the following conditions are satisfied:

(a) If the proposed payment had occurred as of the last day of the most recent fiscal quarter for which financial statements have been delivered under the provisions of the Master Indenture summarized under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Filing of Financial Statements, Reports and Other Information," the Obligated Group would have had at least 125 Days Cash on Hand after that payment;

(b) If the proposed payment had occurred during the most recent Fiscal Year for which audited financial statements of the Obligated Group are available and is included in Annual Debt Service for the purposes of this calculation, the Debt Service Coverage Ratio for that Fiscal Year would have been not less than 1.20:1;

(c) There is no event existing that constitutes, or with the giving of notice or the passing of time or both would constitute, an Event of Default under the Master Indenture; and

(d) The proposed payment would not result in a default under any continuing covenant agreement, subordination agreement or similar agreement into which the Obligated Group has entered with any Holder of an Obligation.

DEFAULTS AND REMEDIES

Events of Default. Each of the following events is an Event of Default under the Master Indenture:

(a) Failure on the part of the Obligated Group to make due and punctual payment of the principal of, redemption premium, if any, or interest on an Obligation.

(b) Failure of any Member to duly observe and perform any other covenant or agreement under the Master Indenture (including covenants or agreements contained in any Obligation) for a period of 60 days after the date on which written notice of such failure, requiring the same to be remedied, shall have been given to the Obligated Group Representative by the Master Trustee or to the Obligated Group Representative and the Master Trustee by the Holders of 25% in aggregate principal amount of Outstanding Obligations; *provided* that, if in the judgment of the Master Trustee, such default cannot with due diligence and dispatch be wholly cured so that such failure no longer constitutes an “Event of Default” under the Master Indenture within 60 days but can be wholly cured, the failure of the Member to remedy such default within such 60 day period shall not constitute an Event of Default under the Master Indenture if the Member shall immediately upon receipt of such notice commence with due diligence and dispatch the curing of such default, and, having so commenced the curing of such default shall thereafter prosecute and complete the same with due diligence and dispatch within 365 days of the date of delivery of such default notice.

(c) Default by any Member in the payment of any Indebtedness for borrowed moneys (other than an Obligation), whether such Indebtedness now exists, or shall be created after the date of execution of the Master Indenture, and any period of grace with respect thereto shall have expired, or an Event of Default, as defined in any mortgage, indenture or instrument, under which there may be secured or evidenced any Indebtedness, whether such Indebtedness now exists, or shall be created after, the date of the Master Indenture, shall occur; *provided, however*, that such default shall not constitute an Event of Default within the meaning of the provisions of the Master Indenture summarized under this caption if within 60 days, or within the time allowed for service of a responsive pleading if any proceeding to enforce payment of the Indebtedness is commenced (1) any Member in good faith commences proceedings to contest the existence or payment of such Indebtedness, and (2) sufficient moneys are escrowed with a bank or trust company or a bond acceptable to the Master Trustee is posted for the payment of such Indebtedness.

(d) Entry by a court having jurisdiction of a decree or order for (1) relief with respect to any Member in an involuntary case under any applicable federal or state bankruptcy, insolvency or other similar law in effect on or after the date of the Master Indenture, or (2) appointment of a receiver, liquidator, assignee, custodian, trustee, sequestrator (or similar official) for any Member or for any substantial part of the property of any Member, or (3) winding up or liquidation of its affairs, and such decree or order remain unstayed and in effect for a period of 60 consecutive days.

(e) Occurrence of the following actions of any Member: (1) commencement of a voluntary case under any applicable federal or state bankruptcy, insolvency or other similar law in effect on or after the date of the Master Indenture, (2) consent to the entry of an order for relief in an involuntary case under any such law, or (3) consent to the appointment of or taking possession by a receiver, liquidator, assignee, trustee, custodian, sequestrator (or similar official) of any Member or for any substantial part of its property, or (4) making any general assignment for the benefit of creditors, or (5) failure to generally pay its debts as they become due, or (6) taking any corporate action in furtherance of the foregoing.

(f) An event of default shall exist under any Related Bond Indenture or under any Deed of Trust.

Acceleration; Annulment of Acceleration. Upon the occurrence and during the continuation of an Event of Default, the Master Trustee may and, upon (a) the written request of the Holders of not less than 25% in aggregate principal amount of Outstanding Obligations or of any Holder if an Event of Default under paragraph (a) under the caption “DEFAULTS AND REMEDIES — Events of Default” has occurred or (2) the acceleration of any Obligation pursuant to the terms of the Related Supplement under which such Obligation was issued, shall, by notice to the Members, declare all Outstanding Obligations immediately due and payable. Upon such declaration of acceleration, all Outstanding Obligations shall become and be immediately due and payable. If the terms of any Related Supplement give a Person the right to consent to acceleration of the Obligations issued pursuant to such Related Supplement, the Obligations issued pursuant to such Related Supplement may not be accelerated by the Master Trustee unless such consent is properly obtained pursuant to the terms of such Related Supplement. In the event of acceleration, an amount equal to the aggregate principal amount of all Outstanding Obligations, plus all interest accrued thereon and, to the extent permitted by applicable law, which accrues on such principal and interest to the date of payment, shall be due and payable on the Obligations.

At any time after the Master Trustee has declared the principal of the Obligations to be due and payable, and before the entry of final judgment or decree in any suit, action or proceeding instituted on account of an Event of Default, the Master Trustee may annul such declaration and its consequences if: (1) the Obligated Group has paid or caused to be paid (or deposited with the Master Trustee moneys sufficient to pay) all payments then due on all Outstanding Obligations (other than the principal or other payments then due only because of such declaration); (2) the Obligated Group has paid (or caused to be paid or deposited with the Master Trustee) moneys sufficient to pay the charges, compensation, expenses, disbursements, advances and liabilities, including without limitation fees and expenses of attorneys and advisors of the Master Trustee and any paying agents; (3) the Obligated Group has paid all other amounts then payable by the Obligated Group under the Master Indenture (or a sum sufficient to pay the same shall have been deposited with the Master Trustee); and (4) every Event of Default (other than a default in the payment of the principal or other payments of such Obligations then due only because of such declaration) shall have been remedied.

No such annulment shall extend to or affect any subsequent Event of Default or impair any right consequent thereon.

Additional Remedies and Enforcement of Remedies. Upon the occurrence and continuance of any Event of Default, the Master Trustee may, and upon the request of (a) the Holders of not less than 25% in aggregate principal amount of the Obligations Outstanding, (b) any Holder which, pursuant to a Related Supplement, is given the right to require the Master Trustee to institute actions pursuant to this paragraph, or (c) any Holder if an Event of Default under paragraph (a) under the caption “DEFAULTS AND REMEDIES — Events of Default” has occurred, shall upon the indemnification of the Master Trustee to its satisfaction therefor, proceed forthwith to protect and enforce its rights and the rights of the Holders under the Master Indenture by such suits, actions or proceedings as the Master Trustee, being advised by its counsel, shall deem expedient, including but not limited to:

- (1) Enforcement of the right of the Holders to collect and enforce the payment of amounts due or becoming due under the Obligations and exercise of the Master Trustee’s rights under the Master Indenture to direct the transfer of the Gross Revenue Fund to the Master Trustee and to hold and use the same in accordance with the provisions of the Master Indenture summarized above under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Pledge of Gross Revenues”;
- (2) Suit upon all or any part of the Obligations;
- (3) Civil action to require any Person holding moneys, documents or other property pledged to secure payment of amounts due or to become due on the Obligations to account as if it were the trustee of an express trust for the Holders of Obligations;
- (4) Judicial or nonjudicial foreclosure of any Deed of Trust including, in the case of a judicial foreclosure, pursuing a deficiency judgment, if applicable;
- (5) Civil action to enjoin any acts or things, which may be unlawful or in violation of the rights of the Holders of Obligations; and
- (6) Enforcement of any other right or remedy of the Holders conferred under the Master Indenture or by law.

Regardless of the happening of an Event of Default, the Master Trustee shall, if requested in writing by the Holders of not less than 25% in aggregate principal amount of the Obligations then Outstanding and upon being indemnified to its satisfaction therefor, institute and maintain such suits and proceedings as it may be advised shall be necessary or expedient (A) to prevent any impairment of the security under the Master Indenture by any acts which may be unlawful or in violation thereof, or (B) to preserve or protect the interests of the Holders. However, the Master Trustee shall not comply with any such request or institute and maintain any such suits or proceedings that are in conflict with any applicable law or the provisions of the Master Indenture or that, in the sole judgment of the Master Trustee, is unduly prejudicial to the interest of the Holders of Obligations not making such request.

Application of Revenues and Other Moneys After Default. During the continuance of an Event of Default, all moneys received by the Master Trustee pursuant to any right given or action

taken under the provisions of the Master Indenture, after payment of the costs and expenses of any action, proceeding or the like resulting in the collection of such moneys and payment of the fees, costs, expenses, advances and all other amounts owed to the Master Trustee, including, without limitation fees and expenses of its attorneys and advisors, shall be applied as follows:

(a) If the Master Trustee has not declared the principal of all Outstanding Obligations due and payable:

First: To the payment of all installments of interest then due on the Obligations in the order of their due dates, and, if the amount available is not sufficient to pay in full all installments due on the same date, then to the payment thereof ratably, according to the amounts of interest due on such date, without any discrimination or preference; and

Second: To the payment of the unpaid installments of principal then due on the Obligations, whether at maturity or by call for redemption, in the order of their due dates, and, if the amount available is not sufficient to pay in full all installments due on the same date, then to the payment thereof ratably, according to the amounts of principal due on such date, to the Persons entitled thereto, without any discrimination or preference.

(b) If the Master Trustee has declared all Outstanding Obligations due and payable (and has not annulled such declaration under the terms of the Master Indenture), to the payment of the principal and interest then due and unpaid upon the Obligations and, if the amount available is not sufficient to pay in full the whole amount then due and unpaid, then to the payment thereof ratably, without preference or priority of principal over interest, of interest over principal, of any installment over any other installment, or of any Obligation over any other Obligation, according to the amounts due, without any discrimination or preference.

Such moneys shall be applied by the Master Trustee as it shall determine, having due regard for the amount of moneys available for application and the likelihood of additional moneys becoming available in the future. Whenever the Master Trustee shall apply such moneys, it shall fix the date upon which such application is to be made and upon such date interest on the amounts of principal to be paid on such dates shall cease to accrue. The Master Trustee shall give such notices as it may deem appropriate of the deposit with it of any such moneys and of the fixing of any such date. The Master Trustee shall not be required to make payment to the Holder of any unpaid Obligation until such Obligation (and all unmatured coupons, if any) is presented to the Master Trustee for appropriate endorsement of any partial payment or for cancellation if fully paid.

Whenever all Obligations have been paid under the terms of the Master Indenture summarized under this caption and all expenses and charges of the Master Trustee have been paid, any balance remaining shall be paid to the Person entitled to receive such balance. If no other Person shall be entitled thereto, then the balance shall be paid to the Members, their successors, or as a court of competent jurisdiction may direct.

Master Trustee to Represent Holders. Under the Master Indenture, the Master Trustee is irrevocably appointed (and the successive respective Holders of the Obligations, by taking and holding the same, shall be conclusively deemed to have so appointed the Master Trustee) as trustee and true and lawful attorney-in-fact of the Holders of the Obligations for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Holders under the provisions of the Master Indenture, the Obligations, any Related Supplement, and applicable provisions of any other law. In addition to the provisions of the Master Indenture summarized under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Defaults and Remedies — Additional Remedies and Enforcement of Remedies,” upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Master Trustee to represent the Holders, the Master Trustee may, and upon the written direction of the Holders of not less than 25% in aggregate principal amount of the Obligations then Outstanding, and upon being indemnified to its satisfaction therefor, shall, proceed to protect or enforce its rights or the rights of such Holders by such appropriate action, suit, mandamus or other proceedings as it shall deem most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Master Indenture, or in aid of the execution of any power granted in the Master Indenture, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Master Trustee or in such Holders under the Master Indenture, the Obligations, any Related Supplement, or any other law; and upon instituting such proceeding, the Master Trustee shall be entitled, as a matter of right, to the appointment of a receiver of the assets pledged under the Master Indenture, pending such proceedings. All rights of action under the Master Indenture, the Obligations or Related Supplement, or otherwise may be prosecuted and enforced by the Master Trustee without the possession of any of the Obligations or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Master Trustee shall be brought in the name of the Master Trustee for the benefit and protection of all the Holders of such Obligations, subject to the provisions of the Master Indenture.

Holders’ Control of Proceedings. If an Event of Default shall have occurred and be continuing, notwithstanding anything in the Master Indenture to the contrary, the Holders of at least a majority in aggregate principal amount of Obligations then Outstanding shall have the right, at any time, by any instrument in writing executed and delivered to the Master Trustee, to direct the method and place of conducting any proceeding to be taken in connection with the enforcement of the terms and conditions of the Master Indenture or for the appointment of a receiver or any other proceedings under the Master Indenture. However, the Master Trustee shall not follow any such direction that is in conflict with any applicable law or the provisions thereof or, in the sole judgment of the Master Trustee, is unduly prejudicial to the interest of Holders not joining in such direction. Nothing in this paragraph shall impair the right of the Master Trustee in its discretion to take any other action authorized by the Master Indenture that it may deem proper and which is not inconsistent with such direction by Holders. Nothing in the Master Indenture shall affect or impair the rights of any Holder to enforce the payment of principal of, interest on and other amounts due under the Obligation held by such Holder or any agreement or instrument secured by such Obligation, by suit or other action available pursuant thereto or in law or in equity.

Termination of Proceedings. In case any proceeding taken by the Master Trustee on account of an Event of Default is discontinued or abandoned for any reason or is determined

adversely to the Master Trustee or to the Holders, then the Members, the Master Trustee and the Holders shall be restored to their former positions and rights under the Master Indenture, and all rights, remedies and powers of the Master Trustee and the Holders shall continue as if no such proceeding had been taken.

Waiver of Event of Default. No delay or omission of the Master Trustee or of any Holder to exercise any right or power accruing upon any Event of Default shall impair any such right or power or shall be construed to be a waiver of or acquiescence to any such Event of Default. Every power and remedy given by the provisions of the Master Indenture summarized under this caption to the Master Trustee and the Holders may be exercised from time to time and as often as may be deemed expedient by them. The Master Trustee may waive any Event of Default which in its opinion shall have been remedied before the entry of final judgment or decree in any suit, action or proceeding instituted by it under the provisions of the Master Indenture, or before the completion of the enforcement of any other remedy thereunder. Notwithstanding anything contained in the Master Indenture to the contrary, upon the written request of the Holders of at least a majority of the aggregate principal amount of Obligations then Outstanding, the Master Trustee shall waive any Event of Default under the Master Indenture and its consequences; *provided, however,* that, except under the circumstances set forth in the second paragraph of “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Defaults and Remedies — Acceleration; Annulment of Acceleration,” a default in the payment of the principal of, premium, if any, or interest on any Obligation when due may not be waived without the written consent of the Holders of all Outstanding Obligations. If the Master Trustee waives an Event of Default under the Master Indenture, the Members, the Master Trustee and the Holders shall be restored to their former positions and rights. No such waiver shall extend to, or impair any right with respect to any other Event of Default.

Notice of Default. Within ten days after the Master Trustee has actual knowledge or has received written notice of the occurrence of an Event of Default, the Master Trustee shall mail to all Holders notice of such Event of Default, unless such Event of Default shall have been cured before the giving of such notice. For the purposes of the provisions of the Master Indenture summarized in this paragraph, the term “Event of Default” is defined to be the events specified in subparagraphs (a)-(f) under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Defaults and Remedies — Events of Default,” irrespective of the giving of written notice specified in subparagraph (b) thereof. Except in the case of default in the payment of the principal of or premium, if any, or interest on any of the Obligations and the Events of Default specified in subparagraphs (d) and (e) under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Defaults and Remedies — Events of Default,” the Master Trustee shall be protected in withholding such notice if and so long as the Master Trustee in good faith determines that the withholding of such notice is in the best interests of the Holders.

RELATED BOND TRUSTEE OR BONDHOLDERS DEEMED TO BE OBLIGATION HOLDERS

For the purposes of the Master Indenture, unless a Related Bond Trustee elects to the contrary or contrary provision is made in a Related Bond Indenture, each Related Bond Trustee shall be deemed the holder of the Obligation or Obligations pledged to secure the Related Bonds with respect to which such Related Bond Trustee is acting as trustee. If such a Related Bond

Trustee so elects or the Related Bond Indenture so provides, the holders of each series of Related Bonds shall be deemed the Holders of the Obligations to the extent of the principal amount of the Obligations to which their bonds relate.

REMOVAL AND RESIGNATION OF MASTER TRUSTEE

The Master Trustee may be removed at any time by an instrument or instruments in writing signed by the Holders of not less than a majority of the principal amount of Obligations then Outstanding or, unless an Event of Default has occurred and is then continuing, the Obligated Group Representative.

The Master Trustee may at any time resign by giving written notice of such resignation to the Obligated Group Representative and by giving the Holders of all Obligations then Outstanding notice of such resignation by mail at the addresses shown on the registration books maintained by the Master Trustee.

No such resignation or removal shall become effective unless and until a successor Master Trustee has been appointed and has assumed the trusts created by the Master Indenture. Written notice of removal shall be given to the Members and to each Holder at the address then reflected on the books of the Master Trustee. A successor Master Trustee may be appointed at the direction of the Holders of not less than a majority in aggregate principal amount of Obligations Outstanding, or, if the Master Trustee has resigned or has been removed by the Obligated Group Representative, by the Obligated Group Representative. If a successor Master Trustee has not been appointed and qualified within 60 days of the date notice of resignation is given, the Master Trustee, any Member or any Holder may apply to any court of competent jurisdiction for the appointment of an interim successor Master Trustee to act until such time as a permanent successor is appointed.

Unless otherwise ordered by a court or regulatory body having competent jurisdiction, or unless required by law, any successor Master Trustee shall be a trust company or bank having the powers of a trust company as to trusts, qualified to do and doing trust business in one or more states of the United States of America and having an officially reported combined capital, surplus, undivided profits and reserves (or if the Master Trustee is a subsidiary of such financial institution, the parent institution shall satisfy these requirements) aggregating at least \$50,000,000, if there is such an institution willing, qualified and able to accept the trust upon reasonable or customary terms.

Every successor Master Trustee howsoever appointed under the Master Indenture shall execute, acknowledge and deliver to its predecessor and also to each Member an instrument in writing, accepting such appointment. Upon the delivery of such acceptance, such successor Master Trustee shall, without further action, become fully vested with all the rights, immunities, powers, trusts, duties and obligations of its predecessor. The predecessor Master Trustee shall execute and deliver an instrument transferring to such successor Master Trustee all the rights, powers and trusts of such predecessor Master Trustee. The predecessor Master Trustee shall execute any and all documents necessary or appropriate to convey all interest it may have to the successor Master Trustee. The predecessor Master Trustee shall promptly deliver all records relating to the trust or

copies thereof and communicate all material information it may have obtained concerning the trust to the successor Master Trustee.

Each successor Master Trustee, not later than 10 days after its assumption of the duties under the Master Indenture, shall mail a notice of such assumption to each Holder.

SUPPLEMENTS AND AMENDMENTS

Supplements Not Requiring Consent of Holders. The Obligated Group Representative, acting for itself and as agent for each Member, and the Master Trustee may, without the consent of or notice to any of the Holders, enter into one or more Related Supplements, one or more amendments to a Deed of Trust or one or more amendments to any depository account control agreement for one or more of the following purposes: (a) to cure any ambiguity or formal defect or omission in the Master Indenture or in the Deeds of Trust or any depository account control agreement; (b) to correct or supplement any provision in the Master Indenture, in any Deed of Trust or in any depository account control agreement which may be inconsistent with any other provision in the Master Indenture or therein, or to make any other provisions with respect to matters or questions arising under the Master Indenture or under the Deeds of Trust or in any depository account control agreement which shall not materially and adversely affect the interests of the Holders; (c) to grant or confer ratably upon all of the Holders any additional rights, remedies, powers or authority, or to add to the covenants of and restrictions on the Members; (d) to qualify the Master Indenture under the Trust Indenture Act of 1939, as amended, or corresponding provisions of federal laws from time to time in effect; (e) to create and provide for the issuance of an Obligation or Series of Obligations as permitted under the Master Indenture; (f) to obligate a successor to any Member as permitted in the Master Indenture; (g) to add a new Member or have a Member withdraw as permitted in the Master Indenture; (h) to provide for the release in accordance with the provisions of the Master Indenture and the Deeds of Trust of any Property subject to the lien of such Deed of Trust; or (i) to amend any provision of the Master Indenture after a change in GAAP as permitted by the Master Indenture such that the Master Indenture and the provisions thereof, including any definitions included therein, will equitably reflect such change in GAAP, with the desired result that the criteria for calculating such covenant shall be the same after such change as if such change in GAAP had not been made.

Supplements Requiring Consent of Holders. (a) Other than Related Supplements and amendments to the Deeds of Trust or any depository account control agreement referred to above and subject to the terms and provisions and limitations contained in the Master Indenture, the Holders of not less than a majority in aggregate principal amount of the Outstanding Obligations shall have the right to consent to and approve the execution by the Obligated Group Representative, acting for itself and as agent for each Member, and the Master Trustee of such Related Supplements and amendments to the Deeds of Trust or any depository account control agreement as shall be deemed necessary and desirable for the purpose of modifying, altering, amending, adding to or rescinding, in any particular, any of the terms or provisions contained in the Master Indenture and in the Deeds of Trust. No Related Supplement shall be permitted, however, which would: (1) extend the stated maturity of or time for paying interest on any Obligation or reduce the principal amount of or the redemption premium or rate of interest or method of calculating interest payable on any Obligation without the consent of the Holder of such Obligation;

(2) modify, alter, amend, add to or rescind any of the terms or provisions of the Master Indenture summarized under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE — Defaults and Remedies,” so as to affect the right of the Holders of any Obligations in default as to payment to compel the Master Trustee to declare the principal of all Obligations to be due and payable, without the consent of the Holders of all Obligations then Outstanding; or (3) reduce the aggregate principal amount of Obligations then Outstanding (the consent of the Holders of which is required to authorize such Related Supplement) without the consent of the Holders of all Obligations then Outstanding.

(b) The Master Trustee may execute a Related Supplement and amendments to the Deeds of Trust or any depository account control agreement (in substantially the form delivered to it as described below) without liability or responsibility to any Holder (whether or not such Holder has consented to the execution of such Related Supplement) if the Master Trustee receives: (1) a Request of the Obligated Group Representative to enter into such Related Supplement or supplement or amendment to the Deeds of Trust or any depository account control agreement; (2) the proposed Related Supplement or supplement or amendment to the Deeds of Trust or any depository account control agreement; and (3) an instrument or instruments executed by the Holders of not less than the aggregate principal amount or number of Obligations specified in subparagraph (a) above for the Related Supplement in question which instrument or instruments shall refer to the proposed Related Supplement and shall specifically consent to and approve the execution thereof in substantially the form of the copy thereof as on file with the Master Trustee.

(c) Any such consent shall be binding upon the Holder of the Obligation giving such consent and upon any subsequent Holder of such Obligation and of any Obligation issued in exchange therefor (whether or not such subsequent Holder thereof has notice thereof), unless such consent is revoked in writing by the Holder of such Obligation giving such consent or by a subsequent Holder thereof by filing with the Master Trustee, prior to the execution by the Master Trustee of such Related Supplement, such revocation and, if such Obligation or Obligations are transferable by delivery, proof that such Obligations are held by the signer of such revocation. At any time after the Holders of the required principal amount or number of Obligations shall have filed their consents to the Related Supplement, the Master Trustee shall deliver a written statement to that effect to the Obligated Group Representative. Such written statement shall be conclusive that such consents have been so filed.

(d) If the Holders of the required principal amount or number of the Outstanding Obligations shall have consented to and approved the execution of such Related Supplement, no Holder of any Obligation shall have any right to object to the execution thereof, or to object to any of the terms and provisions contained therein or the operation thereof, or to question the propriety of the execution thereof, or to enjoin or restrain the Master Trustee or the Obligated Group Representative from executing the same or from taking any action pursuant to the provisions thereof.

RELEASE AND SUBSTITUTION OF OBLIGATIONS UPON DELIVERY OF REPLACEMENT MASTER
TRUST INDENTURE

Unless otherwise provided in a Related Supplement or other Related Bond Document, each Related Bond Trustee or other holder of an Obligation issued under the Master Indenture will surrender such Obligation upon presentation to such Related Bond Trustee or Obligation holder prior to such surrender of the following:

(A) a copy of an original executed counterpart of a master indenture (the “*Replacement Master Indenture*”) executed by or on behalf of a different credit group (collectively, the “*New Group*”) and an independent corporate trustee (the “*Replacement Trustee*”);

(B) an original replacement note or similar obligation issued by or on behalf of the New Group (the “*Substitute Note*”) under and pursuant to and secured by the Replacement Master Indenture, which Substitute Note has been duly authenticated by the Replacement Trustee;

(C) an Opinion of Independent Counsel addressed to the Bond Trustee (in form and substance not unacceptable to the Bond Trustee) to the effect that: (1) the Replacement Master Indenture has been duly authorized, executed and delivered by or on behalf of the New Group, all Substitute Notes have been duly authorized, executed and delivered by or on behalf of the New Group and the Replacement Master Indenture and the Substitute Notes are each a legal, valid and binding obligation of the New Group, subject in each case to customary exceptions for bankruptcy, insolvency and other laws generally affecting enforcement of creditors’ rights and application of general principles of equity and to customary qualifications with respect to the joint and several obligations of the members of the New Group to make payments of debt service on the Substitute Notes; (2) all requirements and conditions to the issuance of the Substitute Notes as set forth in the Replacement Master Indenture have been complied with and satisfied; and (3) registration of the Substitute Notes under the Securities Act of 1933, as amended, is not required or, if registration is required, the Substitute Notes have been so registered;

(D) an Opinion of Bond Counsel that the surrender of the Obligations and the delivery of the Substitute Notes will not adversely affect the validity of any Related Bonds or any exemption for the purposes of federal income taxation to which interest on any Related Bonds would otherwise be entitled; and

(E) written notice from each Rating Agency or Rating Agencies then maintaining a rating on any Related Bonds confirming that the rating on such Related Bonds will not be lowered or withdrawn from the rating (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) in effect prior to the substitution, *provided* that in connection with the request for a review of the ratings on such Related Bonds, each Rating Agency is provided a copy of the Replacement Master Indenture and such information as such Rating

Agency may request with respect to the operations and financial condition of the New Group.

In connection with the delivery of a Replacement Master Indenture and the substitution of an outstanding Obligation with a Substitute Note, the provisions of the Master Indenture summarized under this caption shall not permit, or be construed as permitting, (i) a change in the times, amounts or currency of payment of the principal of, premium, if any, and interest on the Obligation or the underlying Indebtedness it secures, (ii) a reduction in the principal amount of the Obligation or the underlying Indebtedness it secures, (iii) a change in the redemption premiums or rates of interest on the Obligation or the underlying Indebtedness it secures, or (iv) a preference or priority of any Obligation over any other Obligation, unless the Master Trustee and any Related Bond Trustee so affected receive the prior written consent of the Holders of all the outstanding Obligations the priority of which will be adversely affected.

RELEASE OF HUMANGOOD NORCAL DEEDS OF TRUST

Unless otherwise provided in a Related Supplement or other Related Bond Document, the Master Trustee shall cause the Deed Trustee to reconvey any Property subject to the security interests granted under the HumanGood NorCal Deeds of Trust and take all actions necessary to terminate the HumanGood NorCal Deeds of Trust upon presentation to the Master Trustee of the following:

(A) Evidence of the cancellation of Direct Note Obligation No. 5 and the payment, redemption or defeasance of the Series 2013A NorCal Bonds (as such terms are defined in the First Supplemental Master Indenture) secured thereby;

(B) Evidence of the cancellation of Direct Note Obligation No. 6 and the payment, redemption or defeasance of the Series 2015 NorCal Bonds (as such terms are defined in the First Supplemental Master Indenture) secured thereby;

(C) An Opinion of Independent Counsel addressed to the Master Trustee (in form and substance not unacceptable to the Bond Trustee) to the effect that all requirements and conditions precedent to the release of the HumanGood NorCal Deeds of Trust have been complied with and satisfied; and

(D) An Opinion of Bond Counsel that the release of the HumanGood NorCal Deeds of Trust will not adversely affect the validity of any Related Bonds or any exemption for the purposes of federal income taxation to which interest on any Related Bonds would otherwise be entitled.

SATISFACTION AND DISCHARGE OF MASTER INDENTURE

If (a) the Members shall deliver to the Master Trustee for cancellation all Obligations previously authenticated (other than any Obligations which shall have been mutilated, destroyed, lost or stolen and which shall have been replaced or paid as provided in any Related Supplement) and not cancelled, or (b) upon payment of all Obligations not previously cancelled or delivered to

the Master Trustee for cancellation, or (c) all Obligations that have not become due and payable and have not been cancelled or delivered to the Master Trustee for cancellation shall be deemed to have been paid and discharged pursuant to the terms of the Related Supplement under which such Obligations were issued, or (d) the Members shall deposit with the Master Trustee (or with a bank or trust company pursuant to an agreement between a Member and such bank or trust company) as cash or Escrow Obligations or both, sufficient to pay at maturity or upon redemption, all Obligations not previously cancelled or delivered to the Master Trustee for cancellation, including without limitation principal and interest due or to become due to such date of maturity or redemption date, as the case may be, and if in any case the Members shall also pay or cause to be paid all other sums payable under the Master Indenture by the Members, then the Master Indenture shall cease to be of further effect, and the Master Trustee, on demand of the Members and at the cost and expense of the Members, shall execute proper instruments acknowledging satisfaction of and discharging the Master Indenture. The Members shall cause a report to be prepared by a firm nationally recognized for providing verification services regarding the sufficiency of funds for such discharge and satisfaction, upon which report the Master Trustee may rely.

SUMMARY OF CERTAIN PROVISIONS OF THE DEEDS OF TRUST

The following information summarizes certain provisions of the HumanGood NorCal Deeds of Trust. All seven of the HumanGood NorCal Deeds of Trust contain substantially similar provisions and therefore have been summarized together. Reference is made to the Deeds of Trust for a full and complete statement of their provisions.

HUMANGOOD NORCAL DEEDS OF TRUST

The following information summarizes certain provisions of the HumanGood NorCal Deeds of Trust. Reference is made to the HumanGood NorCal Deeds of Trust for a full and complete statement of their provisions.

The HumanGood NorCal Deeds of Trust will be released, and the property conveyed and security interests granted thereby will be reconveyed and/or released of record, as applicable, upon presentation to the Master Trustee of (i) evidence of the cancellation of Direct Note Obligation No. 5 and the payment, redemption or defeasance of the Series 2013A NorCal Bonds, (ii) evidence of the cancellation of Direct Note Obligation No. 6 and the payment, redemption or defeasance of the Series 2015 NorCal Bonds, and (iii) certain opinions of counsel required by the Master Indenture (as each such term is defined in the front part of this Official Statement). See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Release of Existing Deeds of Trust” in the front part of this Official Statement.

GENERAL

Grant of Certain Property. Under the HumanGood NorCal Deeds of Trust, HumanGood NorCal granted to Deed Trustee, to be held for the benefit of the Master Trustee, with power of sale and right of entry and possession, all right, title and interest of HumanGood NorCal in and to

the real property more fully described therein (the “*HumanGood NorCal Land*”), together with all right, title and interest of HumanGood NorCal in and to:

(a) *Improvements.* All buildings and other improvements located on the HumanGood NorCal Land, as of or after the execution date of the HumanGood NorCal Deeds of Trust, all water and water rights (whether riparian, appropriative or otherwise, and whether or not appurtenant), pumps and pumping stations used in connection therewith and all shares of stock evidencing the same, all machinery, equipment, appliances, furnishings, inventory, fixtures and other goods and property used or usable in connection with the HumanGood NorCal Land and improvements thereon, including, but limited to, all storage tanks and pipelines, all gas, electric, heating, cooling, air conditioning, refrigeration and plumbing fixtures and equipment, which have been or may be attached or affixed in any manner to any building located on the HumanGood NorCal Land, as of or after the execution date of the HumanGood NorCal Deeds of Trust (the “*HumanGood NorCal Improvements*”);

(b) *Rights of Way.* All the rights, rights of way, easements, licenses, profits, privileges, tenements, hereditaments and appurtenances, in any way appertaining and belonging to or used in connection with the HumanGood NorCal Land and/or the HumanGood NorCal Improvements, as of or after the execution date of the HumanGood NorCal Deeds of Trust, and any part thereof or as a means of access thereto, including, but not limited to, any claim at law or in equity, and any after acquired title and reversion in or to each and every party of all streets, roads, highways and alleys adjacent to and adjoining the same;

(c) *Income.* All rentals, earnings, income, deposits, security deposits, receipts, royalties, revenues, issues and profits which, while any portion of the indebtedness and obligations secured by the HumanGood NorCal Deeds of Trust remain outstanding, may accrue from the HumanGood NorCal Land and/or the HumanGood NorCal Improvements and any part thereof, subject to a license in favor of HumanGood NorCal to collect and use the same prior to an Event of Default (as defined below under the heading “EVENT OF DEFAULT”);

(d) *Leasehold Estates.* All leasehold estates and all leases and subleases covering the HumanGood NorCal Land and/or the HumanGood NorCal Improvements or any portion thereof or interest therein existing as of the execution date of the HumanGood NorCal Deeds of Trust or entered into thereafter (the “*HumanGood NorCal Leases*”); and

(e) *Deposits.* All deposits made with or other security given to utility companies by HumanGood NorCal with respect to the HumanGood NorCal Land and/or the HumanGood NorCal Improvements, and all advance payments of insurance premiums made by HumanGood NorCal with respect thereto and claims or demands relating to insurance.

All of the foregoing arising or acquired by HumanGood NorCal on or after the execution date of the HumanGood NorCal Deeds of Trust including, without limitation, the HumanGood

NorCal Land and the property described above in subparagraphs (a), (b), (c), (d) and (e) is collectively referred to herein as the “*HumanGood NorCal Property*.”

Grant of Additional Collateral. Under the HumanGood NorCal Deeds of Trust, HumanGood NorCal also granted a security interest to the Master Trustee in all of HumanGood NorCal’s right, title and interest in and to the HumanGood NorCal Property (to the extent such HumanGood NorCal Property is deemed to be personal property under the Uniform Commercial Code from time to time in effect in the State of California (the “*California Commercial Code*”)) and the following described property and any and all products and proceeds thereof, then or thereafter acquired by HumanGood NorCal:

(a) *Tangible Property.* All existing and future goods and tangible personal property located on the HumanGood NorCal Property or wherever located and used or usable in connection with the use, operation or occupancy of the HumanGood NorCal Property or in construction of the HumanGood NorCal Improvements, including, but not limited to, all appliances, furniture and furnishings, fittings, materials, supplies, equipment and fixtures, and all building material, supplies and equipment delivered to the HumanGood NorCal Property and installed or used or intended to be installed or used therein whether stored on the HumanGood NorCal Property or elsewhere as of or after the execution date of the HumanGood NorCal Deeds of Trust; and all renewals or replacements thereof or articles in substitution thereof;

(b) *General Intangibles.* All general intangibles relating to design, development, operation, management and use of the HumanGood NorCal Property or construction of the HumanGood NorCal Improvements, including, but no limited to: (i) all names under which or by which the HumanGood NorCal Property or the HumanGood NorCal Improvements may at any time be operated or known, all rights to carry on business under any such names or any variant thereof, and all goodwill in any way relating to the HumanGood NorCal Property; (ii) all permits, licenses, authorizations, variances, land use entitlements, approvals and consents issued or obtained in connection with the construction of the HumanGood NorCal Improvements; (iii) all permits, licenses, approvals, consents, authorizations, franchises and agreements issued or obtained in connection with the use, occupancy or operation of the HumanGood NorCal Property; (iv) all materials prepared for filing or filed with any governmental agency in connection with the HumanGood NorCal Property or the HumanGood NorCal Improvements; and (v) all rights under any contract in connection with the development, design, use, operation, management and construction of the HumanGood NorCal Property;

(c) *Contracts.* All construction, service, engineering, consulting, architectural and other similar contracts of any nature (including, without limitation, those of any general contractors, subcontractors and materialmen), as such may be modified, amended or supplemented from time to time, concerning the design, construction, management, operation, occupancy, use, and/or disposition of any portion of or all of the HumanGood NorCal Property;

(d) *Leases.* All HumanGood NorCal Leases to the extent the same are deemed to be personal property;

(e) *Plans and Reports.* All architectural drawings, plans, specifications, soil tests and reports, feasibility studies, appraisals, engineering reports and similar materials relating to any portion of or all of the HumanGood NorCal Property;

(f) *Sureties.* All payment and performance bonds or guarantees and any and all modifications and extensions thereof relating to the HumanGood NorCal Property;

(g) *Payments.* All reserves, deferred payments, deposits, refunds, costs savings, letters of credit and payments of any kind relating to the construction, design, development, operation, occupancy, use and disposition of all or any portion of the HumanGood NorCal Property;

(h) *Financing Commitments.* All proceeds of any commitment by any lender to extend permanent or construction financing to HumanGood NorCal relating to the HumanGood NorCal Property;

(i) *Claims.* All proceeds and claims arising on account of any damage to or taking of the HumanGood NorCal Property or any part thereof, and all causes of action and recoveries for any loss or diminution in the value of the HumanGood NorCal Property;

(j) *Insurance.* All policies of, and proceeds resulting from, insurance relating to the HumanGood NorCal Property or any of the above collateral, and any and all riders, amendments, extensions, renewals, supplements or extensions thereof, and all proceeds thereof;

(k) *Stock.* All shares of stock or other evidence of ownership of any part of the HumanGood NorCal Property that is owned by HumanGood NorCal in common with others, including all water stock relating to the HumanGood NorCal Property, if any, and all documents or rights of membership in any owners' or members' association or similar group having responsibility for managing or operating any part of the HumanGood NorCal Property;

(l) *Proceeds.* All proceeds, whether cash, promissory notes, contract rights or otherwise, of the sale or other disposition of all or any part of the estate of HumanGood NorCal pertaining to the HumanGood NorCal Property existing thereon as of or after the execution date of the HumanGood NorCal Deeds of Trust;

(m) *Sale Contracts.* All sales contracts, escrow agreements and broker's agreements concerning the sale of any or all of the HumanGood NorCal Property; and

including, without limiting the above items, all Goods, Accounts, Documents, Instruments, Deposit Accounts, Money, Chattel Paper and General Intangibles, as those terms are defined in the California Commercial Code.

Obligations Secured by the HumanGood NorCal Deeds of Trust. The HumanGood NorCal Deeds of Trust secure, in such order of priority as the Master Trustee may determine:

(a) Payment and performance of each and every obligation, covenant, agreement and undertaking of HumanGood NorCal under the Master Indenture and each other financing documents which HumanGood NorCal is a party (the “*Obligor Agreements*”);

(b) Payment of such further sums or obligations as HumanGood NorCal, or any successor in ownership to the HumanGood NorCal Property or any part thereof, thereafter may incur to the Master Trustee through borrowing or otherwise, when evidenced by another written agreement or instrument reciting it is so secured, payable to the Master Trustee or order, and all renewals, extensions, modifications or amendments of such agreements or instruments;

(c) Payment of all other moneys in the HumanGood NorCal Deeds of Trust agreed or provided to be paid by HumanGood NorCal and performance of all other obligations of HumanGood NorCal contained in the HumanGood NorCal Deeds of Trust and any amendment, modification or change to the HumanGood NorCal Deeds of Trust; and

(d) Performance of each agreement of HumanGood NorCal contained in any other agreement given by HumanGood NorCal to the Master Trustee which is for the purpose of further securing any indebtedness or obligation secured by the HumanGood NorCal Deeds of Trust.

REPRESENTATIONS AND WARRANTIES

HumanGood NorCal warrants and represents to the Master Trustee that: (i) HumanGood NorCal is the sole owner of the entire lessor’s interest in the HumanGood NorCal Leases and has not executed any prior assignment of any of HumanGood NorCal’s interest in the HumanGood NorCal Leases or the rights thereunder; (ii) HumanGood NorCal has not done anything which might prevent the Master Trustee from or limit the Master Trustee in operating under any of the provisions of the HumanGood NorCal Deeds of Trust with respect to the HumanGood NorCal Leases and the Lessees (as defined in the HumanGood NorCal Deeds of Trust) of the HumanGood NorCal Leases thereunder; (iii) without prior written notice to, and prior written consent of, the Master Trustee, HumanGood NorCal has not accepted and will not accept Rent (as defined in the HumanGood NorCal Deeds of Trust) under the HumanGood NorCal Leases more than one (1) month in advance of its due date (or, if permitted by the HumanGood NorCal Deeds of Trust, an amount in excess of the sum of first and last months’ rent plus an appropriate security deposit); (iv) there are no material defaults now existing under any of the HumanGood NorCal Leases and there exists no state of facts which, with the giving of notice or the passing of time, or both, would constitute a material default under any of the HumanGood NorCal Leases; and (v) the HumanGood NorCal Leases are in full force and effect and have not been materially modified, altered, amended, terminated, extended or renewed, nor have any of the material terms and conditions thereof been waived in any manner whatsoever, except as previously disclosed in writing to the Master Trustee.

LIENS

HumanGood NorCal shall pay and promptly discharge when due, at HumanGood NorCal's cost and expense, all Liens, encumbrances and charges upon the HumanGood NorCal Property or any part thereof or interest therein, other than Permitted Encumbrances; *provided* that the existence of any mechanic's, laborer's, materialman's, supplier's or vendor's lien or right thereto shall not constitute a violation of the provisions of the HumanGood NorCal Deeds of Trust summarized under this heading if payment is not yet due under the contract which is the foundation thereof. HumanGood NorCal shall have the right to contest in good faith the validity of any such lien, encumbrance or charge, provided HumanGood NorCal shall first deposit with the Master Trustee a bond or other security satisfactory to the Master Trustee in such amounts as the Master Trustee shall reasonably require, but not more than one hundred fifty percent (150%) of the amount of the claim or such higher amount as may be required by applicable law to release such lien, encumbrance or charge; and provided further that HumanGood NorCal shall thereafter diligently proceed to cause such lien, encumbrance or charge to be removed and discharged. If HumanGood NorCal shall fail either to remove and discharge any such lien, encumbrance or charge or to deposit security in accordance with the preceding sentence, if applicable, then, in addition to any other right or remedy of the Master Trustee under the HumanGood NorCal Deeds of Trust or under any of the other Obligor Agreements, the Master Trustee may, but shall not be obligated to, discharge the same, without inquiring into the validity of such lien, encumbrance or charge nor into the existence of any defense or offset thereto, either by paying the amount claimed to be due, or by procuring the discharge of such lien, encumbrance or charge by depositing in a court a bond or the amount claimed or otherwise giving security for such claim, or in such manner as is or may be prescribed by law. HumanGood NorCal shall, within five days of demand therefor by the Master Trustee, pay to the Master Trustee an amount equal to all costs and expenses incurred by the Master Trustee in connection with the exercise by the Master Trustee of the foregoing right to discharge any such lien, encumbrance or charge, together with interest thereon from the date such amounts are due and payable by HumanGood NorCal at the Default Rate (as defined in the HumanGood NorCal Deeds of Trust), and such sums shall be secured by the HumanGood NorCal Deeds of Trust.

MAINTENANCE OF LIEN

HumanGood NorCal agrees to execute such documents and take such action as the Master Trustee shall reasonably determine to be necessary or desirable to further evidence, perfect, maintain or continue the perfection and/or the priority, as applicable, of the lien and security interest granted by HumanGood NorCal under the HumanGood NorCal Deeds of Trust.

EVENT OF DEFAULT

HumanGood NorCal shall be in default under the HumanGood NorCal Deeds of Trust upon the occurrence of an Event of Default under the Master Indenture.

REMEDIES

No remedy conferred upon, or reserved to, Deed Trustee or the Master Trustee under the HumanGood NorCal Deeds of Trust is intended to be exclusive of any other remedy under the HumanGood NorCal Deeds of Trust, under any of the other Obligor Agreements or by law provided or permitted, but each shall be cumulative and shall be in addition to every other remedy provided under the HumanGood NorCal Deeds of Trust or now or hereafter existing at law or in equity or by statute. Every power or remedy given by the HumanGood NorCal Deeds of Trust to Deed Trustee or the Master Trustee or to which any of them may be otherwise entitled may be exercised concurrently or independently, from time to time and as often as may be deemed expedient by Deed Trustee or the Master Trustee, and any of them may pursue inconsistent remedies. Without limiting the foregoing, with respect to the security interest granted under the HumanGood NorCal Deeds of Trust, the Master Trustee shall have all the rights and remedies granted to a secured party under Division 9 of the California Commercial Code (including, without limitation, the right to conduct a unified sale of all or any portion of the HumanGood NorCal Property).

ACCELERATION AND FORECLOSURE

Upon the occurrence and during the continuance of an event of default under the HumanGood NorCal Deeds of Trust, then and in each such event, the Master Trustee may declare all sums secured thereby immediately due and payable either by commencing an action to foreclose the HumanGood NorCal Deeds of Trust as a mortgage, or by the delivery to Deed Trustee of a written declaration of default and demand for sale and of written notice of default and of election to cause the HumanGood NorCal Property to be sold, which notice Deed Trustee shall cause to be duly filed for record in case of foreclosure by exercise of the power of sale in the HumanGood NorCal Deeds of Trust. Should the Master Trustee elect to foreclose by exercise of the power of sale in the HumanGood NorCal Deeds of Trust, the Master Trustee shall also deposit with Deed Trustee the HumanGood NorCal Deeds of Trust and such receipts and evidence of expenditures made and secured by the HumanGood NorCal Deeds of Trust as Deed Trustee may require, and notice of sale having been given as then required by law and after lapse of such time as may then be required by law after recordation of such notice of default, Deed Trustee, without demand on HumanGood NorCal, shall sell the HumanGood NorCal Property at the time and place of sale fixed by it in said notice of sale, either as a whole or in separate parcels, and in such order as it may determine, at public auction to the highest bidder for cash in lawful money of the United States, payable at time of sale. Deed Trustee may postpone sale of all or any portion of the HumanGood NorCal Property by public announcement at such time and place of sale, and from time to time thereafter may postpone such sale by public announcement at the time fixed by the preceding postponement. Deed Trustee shall deliver to such purchaser its deed or deeds conveying the HumanGood NorCal Property, or any portion thereof, so sold, but without any covenant or warranty, express or implied. The recitals in such deed or deeds of any matters or facts shall be conclusive proof of the truthfulness thereof. Any person, including HumanGood NorCal, Deed Trustee or the Master Trustee may purchase at such sale.

DEED TRUSTEE'S POWERS

At any time, or from time to time, without liability therefor and without notice, upon written request of the Master Trustee and presentation of the HumanGood NorCal Deeds of Trust for endorsement, and without affecting the personal liability of any person for payment of all or any portion of the indebtedness secured by the HumanGood NorCal Deeds of Trust or the effect of the HumanGood NorCal Deeds of Trust upon the remainder of the HumanGood NorCal Property, Deed Trustee may (i) reconvey any part of the HumanGood NorCal Property; (ii) consent in writing to the making of any map or plat thereof; (iii) join in granting any easement thereon, or (iv) join in any extension agreement or any agreement subordinating the lien or charge of the HumanGood NorCal Deeds of Trust.

MASTER TRUSTEE'S RIGHT TO ENTER, INSPECT AND CURE

The Master Trustee is authorized by itself, its contractors, agents, employees or workmen, to enter at any reasonable time upon any part of the HumanGood NorCal Property for the purpose of inspecting the same, and for the purpose of performing any of the acts it is authorized to perform under the terms of the HumanGood NorCal Deeds of Trust.

RECEIVER

Upon the occurrence and during the continuance of an Event of Default, the Master Trustee, as a matter of right and without regard to the then value of the HumanGood NorCal Property or the interest of HumanGood NorCal therein, shall have the right to apply to any court having jurisdiction to appoint a receiver or receivers of the HumanGood NorCal Property or any portion thereof, and HumanGood NorCal irrevocably consents in the HumanGood NorCal Deeds of Trust to such appointment. Any such receiver or receivers shall have all the usual powers and duties of receivers in like or similar cases and all the powers and duties of the Master Trustee in case of entry as provided in the HumanGood NorCal Deeds of Trust and shall continue as such and exercise all such powers until the date of confirmation of sale of the HumanGood NorCal Property unless such receivership is sooner terminated. Without limiting the generality of the foregoing such receiver, or receivers, may: (i) either with or without taking possession of the HumanGood NorCal Property, in its (or their) own name, make demand for, sue or otherwise collect and receive all Rents, including, but not limited to, those past due and unpaid, and apply the same, less costs and expenses of operation and collection, including reasonable attorneys' fees, upon any indebtedness secured by the HumanGood NorCal Deeds of Trust in such order as the Master Trustee may determine and direct; (ii) enter upon, take possession of, and operate the HumanGood NorCal Property; (iii) make, enforce, modify and accept the surrender of HumanGood NorCal Leases; (iv) obtain and evict Lessees of the HumanGood NorCal Property; (v) fix or modify Rents; and (vi) do any acts which the Master Trustee deems proper to protect the security of the HumanGood NorCal Deeds of Trust until all of the obligations secured by the HumanGood NorCal Deeds of Trust have been fully satisfied.

TRANSFER OF PROPERTY; RIGHT TO DECLARE OBLIGATIONS DUE ON TRANSFER

HumanGood NorCal covenants and agrees that except as may be otherwise expressly provided by the terms of the Obligor Agreements, there shall be no transfer of all or any portion of the HumanGood NorCal Property without the prior written consent of the Master Trustee. Consent to one such transaction shall not be deemed to be a waiver of the Master Trustee's right to require separate written consent to future or successive transactions. The Master Trustee may grant or deny such consent in its sole and absolute discretion; and if such consent is given, any such transfer shall be subject to the applicable HumanGood NorCal Deed of Trust, the other Obligor Agreements and the Environmental Indemnity Agreements (as defined in the HumanGood NorCal Deeds of Trust), and any such transferee shall assume all obligations of the transferee under the HumanGood NorCal Deeds of Trust, under the other Obligor Agreements and under the Environmental Indemnity Agreements and agree to be bound by all provisions contained therein (subject to any exculpation provisions provided therein), and HumanGood NorCal and such transferee shall comply in all other aspects with any requirements set forth in the Obligor Agreements relating to such transfer and shall furnish to the Master Trustee such documentation and opinions of counsel as the Master Trustee may reasonably request in connection with such transfer and assumption. Such assumption shall not, however, release HumanGood NorCal or any other party from any liability to the Master Trustee under the HumanGood NorCal Deeds of Trust or under any other Borrower Agreement or the Environmental Indemnity Agreements or except as otherwise expressly agreed in writing by the Master Trustee.

As used in the HumanGood NorCal Deeds of Trust, a "transfer" of the HumanGood NorCal Property shall include (i) any sale, agreement to sell, transfer or conveyance of the HumanGood NorCal Property, or any portion thereof or interest therein, whether voluntary, involuntary, by operation of law or otherwise, or the lease of all or any portion of the HumanGood NorCal Property, other than a Lease entered into by HumanGood NorCal in accordance with the terms and conditions of the HumanGood NorCal Deeds of Trust; (ii) except to the extent of any mineral or other subsurface rights presently held by third parties as of the date of the HumanGood NorCal Deeds of Trust, the use of any part of the surface, or subsurface to a depth of 500 feet below the surface, of the HumanGood NorCal Land for the prospecting for, drilling for, production (including injection and other producing or withdrawal operations), mining, extraction, storing or removal of any oil, gas or other minerals whether from the HumanGood NorCal Land or elsewhere; (iii) any sale, transfer, hypothecation, assignment, pledge or conveyance, of any interest, in whole or in part, whether direct or indirect, voluntary, involuntary, by operation of law or otherwise in HumanGood NorCal; (iv) any transfer by way of security, including the placing or the permitting of the placing of any mortgage, deed of trust, assignment of rents or other security device on the HumanGood NorCal Land or HumanGood NorCal Improvements or any part thereof; and (v) any other encumbrance of the HumanGood NorCal Property, except as expressly permitted under the HumanGood NorCal Deeds of Trust or under the other Obligor Agreements. This covenant shall run with the HumanGood NorCal Land and remain in full force and effect until all of the indebtedness secured under the HumanGood NorCal Deeds of Trust is paid in full, and the Master Trustee may, without notice to HumanGood NorCal, deal with any transferees with reference to the indebtedness secured by the HumanGood NorCal Deeds of Trust in the same manner as with HumanGood NorCal, without in any way altering or discharging HumanGood NorCal's liability under the HumanGood NorCal Deeds of Trust or the indebtedness secured by the HumanGood

NorCal Deeds of Trust or the liability of any guarantor with respect thereto. Upon the occurrence of any transfer without the prior written consent of the Master Trustee, the Master Trustee may declare all indebtedness and obligations secured by the HumanGood NorCal Deeds of Trust to be immediately due and payable without any presentment, demand, protest or notice of any kind. In the event that the Master Trustee does not elect to declare such indebtedness and obligations immediately due and payable, then, unless expressly released in writing by the Master Trustee, HumanGood NorCal shall nevertheless remain primarily liable for all such indebtedness and obligations. This provision shall apply to each and every sale, transfer, hypothecation, encumbrance, pledge, assignment or conveyance, regardless whether or not the Master Trustee has consented to, or waived, the Master Trustee's rights under the HumanGood NorCal Deeds of Trust, whether by action or non-action in connection with any previous sale, transfer, hypothecation, encumbrance, pledge, assignment or conveyance.

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APPENDIX D

SUMMARY OF THE BOND INDENTURE AND THE LOAN AGREEMENT

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APPENDIX D

SUMMARY OF THE BOND INDENTURE AND THE LOAN AGREEMENT

Brief descriptions of the Bond Indenture and the Loan Agreement are included hereafter in this Appendix D of the Official Statement. Such descriptions do not purport to be comprehensive or definitive. All references herein to the Bond Indenture and the Loan Agreement are qualified in their entirety by reference to each such document, copies of which are available for review prior to the issuance and delivery of the Bonds at the offices of the Authority and thereafter at the offices of the Bond Trustee. All references to the Bonds are qualified in their entirety by reference to the definitive forms thereof and the information with respect thereto included in the Bond Indenture.

DEFINITIONS OF CERTAIN TERMS

“Authority” means the California Municipal Finance Authority, or its successors and assigns, a joint exercise of powers authority formed by a Joint Exercise of Powers Agreement, dated as of January 1, 2004 by and among certain California cities, counties and special districts, as may be amended from time to time (the *“Joint Powers Agreement”*) pursuant to the provisions of the Joint Exercise of Powers Act, comprising Articles 1, 2, 3 and 4 of Chapter 5 of Division 7 of Title 1 (commencing with Section 6500) of the Government Code of the State of California (the *“Act”*).

“Authority Representative” means with respect to the Authority, any member of the Board of Directors of the Authority (the *“Board”*) or the Executive Director of the Authority, or any other person designated as an Authority Representative by a certificate signed by a member of the Board or such Executive Director and filed with the Bond Trustee.

“Authorized Denomination” means \$5,000 and integral multiples thereof.

“Bond Financed Property” means all of the property of the Members of the Obligated Group financed with the proceeds of the Bonds.

“Bond Indenture” means the Bond Trust Indenture dated as of September 1, 2021, between the Authority and the Bond Trustee, as it may from time to time be amended or supplemented.

“Bond Register” means the registration books of the Authority kept by the Bond Trustee to evidence the registration and transfer of Bonds.

“Bond Registrar” means the Bond Trustee, as keeper of the Bond Register.

“Bond Trustee” means U.S. Bank National Association, as bond trustee, or any successor trustee under the Bond Indenture.

“Bond Year” means any 12-month period beginning October 1 of a calendar year and ending on September 30 of the following calendar year. For the purpose of calculating debt service on the Bonds payable in any Bond Year, principal and interest payable on the Bonds on October 1 of any Bond Year shall be deemed to be payable during the preceding Bond Year.

“Bondholder,” “holder” and *“owner of the Bonds”* means any registered owner of any Bond.

“Bonds” means the California Municipal Finance Authority Revenue Bonds, Series 2021 (HumanGood – California Obligated Group) authorized to be issued pursuant to the terms and conditions of the Bond Indenture.

“Borrower” means HumanGood NorCal.

“Borrower Agreements” means the Master Indenture, the Loan Agreement, the Series 2021 Obligation, the Purchase Contract, the Continuing Disclosure Agreement, the Tax Exemption Agreement and each other financing document to which HumanGood NorCal is a party.

“Business Day” means any day other than (i) a Saturday, Sunday or legal holiday or a day on which banks in the State of California, the State of New York or in any city in which the designated corporate trust office of the Bond Trustee is located are required or authorized by law to remain closed, (ii) a day on which the New York Stock Exchange is closed, or (iii) a day on which the Federal Reserve Bank of San Francisco is closed.

“Closing Date” means the date of original issuance and delivery of the Bonds.

“Code” means the Internal Revenue Code of 1986, as amended from time to time. Each reference to a Section of the Code in the Bond Indenture shall be deemed to include the United States Treasury Regulations, including temporary and proposed regulations, relating to such Section which are applicable to the Bonds or the use of the proceeds thereof.

“Continuing Disclosure Agreement” means the Continuing Disclosure Undertaking dated the Closing Date of HumanGood NorCal, as Obligated Group Representative.

“Defaulted Interest” means interest on any Bond which is payable but not duly paid on the date due.

“Environmental Regulations” means any federal, state or local law, statute, code, ordinance, regulation, requirement or rule relating to dangerous, toxic or hazardous pollutants, Hazardous Substances, chemical waste, materials or substances.

“Escrow Obligations” means Government Obligations.

“Fiscal Year” means that period adopted by the Obligated Group Representative as its annual accounting period. Initially, the Fiscal Year is the period from January 1 to December 31.

“Fitch” means Fitch Ratings Inc., a corporation organized and existing under the laws of the State of New York, its successors and assigns, and if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, *“Fitch”* shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative, by written notice to the Bond Trustee.

“Fourth Supplemental Master Indenture” means the Fourth Supplemental Master Trust Indenture dated as of September 1, 2021 between HumanGood NorCal, as Obligated Group Representative, and the Master Trustee.

“501(c)(3) Organization” means an organization described in Section 501(c)(3) of the Code.

“Government Obligations” means securities which consist of (a) United States Government Obligations or (b) evidences of a direct ownership in future interest or principal payments on United States Government Obligations, which obligations are held in a custody account by a custodian pursuant to the terms of a custody agreement.

“Governmental Unit” shall have the meaning set forth in Section 150 of the Code.

“Hazardous Substances” means (a) any oil, flammable substance, explosives, radioactive materials, hazardous wastes or substances, toxic wastes or substances or any other wastes, materials or pollutants which (i) pose a hazard to the Project or to persons on or about the Project or (ii) cause the Project to be in violation of any Environmental Regulation; (b) asbestos in any form which is or could become friable, urea formaldehyde foam insulation, transformers or other equipment which contain dielectric fluid containing levels of polychlorinated biphenyls, or radon gas; (c) any chemical, material or substance defined as or included in the definition of *“waste,”* *“hazardous substances,”* *“hazardous wastes,”* *“hazardous materials,”* *“extremely hazardous waste,”* *“restricted hazardous waste,”* or *“toxic substances”* or words of similar import under any Environmental Regulation including, but not limited to, the Comprehensive Environmental Response, Compensation and Liability Act (*“CERCLA”*), 42 USC §§ 9601 *et seq.*; the Resource Conservation and Recovery Act (*“RCRA”*), 42 USC §§ 6901 *et seq.*; the Hazardous Materials Transportation Act, 49 USC §§ 1801 *et seq.*; the Federal Water Pollution Control Act, 33 USC §§ 1251 *et seq.*; the California Hazardous Waste Control Law (*“HWCL”*), Cal. Health & Safety Code §§ 25100 *et seq.*; the Hazardous Substance Account Act (*“HSAA”*), Cal. Health & Safety Code §§ 25300 *et seq.*; the Underground Storage of Hazardous Substances Act, Cal. Health & Safety Code §§ 25280 *et seq.*; the Porter-Cologne Water Quality Control Act (the *“Porter-Cologne Act”*), Cal. Water Code §§ 13000 *et seq.*, the Safe Drinking Water and Toxic Enforcement Act of 1986 (Proposition 65); and Title 22 of the California Code of Regulations, Division 4, Chapter 30; (d) any other chemical, material or substance, exposure to which is prohibited, limited or regulated by any governmental authority or agency or may or could pose a hazard to the health and safety of the occupants of the Project or the owners and/or occupants of property adjacent to or surrounding the Project, or any other person coming upon the Project or adjacent property; or (e) any other chemical, materials or substance which may or could pose a hazard to the environment.

“HumanGood Fresno” means HumanGood Fresno, a California nonprofit public benefit corporation, and its successors and assigns and any surviving, resulting or transferee corporation.

“HumanGood NorCal” means HumanGood NorCal, a California nonprofit public benefit corporation, and its successors and assigns and any surviving, resulting or transferee corporation.

“HumanGood SoCal” means HumanGood SoCal, a California nonprofit public benefit corporation, and its successors and assigns and any surviving, resulting or transferee corporation.

“Independent Counsel” means an attorney, duly admitted to practice law before the highest court of any state and, without limitation, may include independent legal counsel for the Authority, the Borrower, any other Obligated Group Member, the Bond Trustee or the Master Trustee.

“Interest Payment Date” means each April 1 and October 1, commencing April 1, 2022. In each case, if any date so specified is not a Business Day, the Interest Payment Date shall be the immediately following Business Day.

“Loan Agreement” means the Loan Agreement dated as of September 1, 2021 between the Authority and the Borrower relating to the Bonds, as it may from time to time be amended and supplemented.

“Master Indenture” means the Restated Master Indenture, as supplemented and amended by the Fourth Supplemental Master Indenture and as it may from time to time be further amended or supplemented in accordance with its terms.

“Master Trustee” means U.S. Bank National Association, as master trustee, or any successor trustee under the Master Indenture.

“Member” or *“Member of the Obligated Group”* means any Person who is designated as a Member of the Obligated Group pursuant to the terms and conditions of the Master Indenture. As of the date of issuance of the Bonds, the Members of the Obligated Group are HumanGood NorCal, HumanGood SoCal and HumanGood Fresno.

“Moody’s” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and assigns, and, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Moody’s” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative, by written notice to the Bond Trustee.

“Obligated Group Representative” means the person designated as such pursuant to the provisions of the Master Indenture, which designation has been delivered to the Bond Trustee.

“Officer’s Certificate” means a certificate signed, in the case of a certificate delivered by a corporation, by its President, Chief Executive Officer, Administrator, any Vice President, Treasurer or any other officer authorized to sign by resolution of the Governing Body of such

corporation or, in the case of a certificate delivered by any other Person, the chief executive or chief financial officer of such other Person.

“Official Statement” means this Official Statement prepared in connection with the issuance and sale of the Bonds.

“Opinion of Bond Counsel” means an opinion of nationally recognized municipal bond counsel, which opinion may be based upon a ruling or rulings of the Internal Revenue Service, and which counsel and opinion, including the scope, form, substance and other aspects thereof, are acceptable to the Authority.

“Outstanding,” “Outstanding Bonds,” “Bonds outstanding,” “Bonds Outstanding” or *“outstanding,”* means all Bonds which have been duly authenticated and delivered by the Bond Trustee under the Bond Indenture, except:

- (a) Bonds canceled after purchase in the open market or because of payment at or redemption prior to maturity;

- (b) Bonds for the payment or redemption of which cash or Government Obligations shall have been theretofore deposited with the Bond Trustee (whether upon or prior to the maturity or redemption date of any such Bonds) in accordance with the provisions of the Bond Indenture; *provided* that if such Bonds are to be redeemed prior to maturity thereof, notice of such redemption shall have been given or arrangements satisfactory to the Bond Trustee shall have been made therefor, or waiver of such notice satisfactory in form to the Bond Trustee shall have been filed with the Bond Trustee;

- (c) Bonds in lieu of which others have been authenticated under the Bond Indenture;

- (d) For the purpose of determining whether the owners of a requisite aggregate principal amount of outstanding Bonds have concurred in any request, demand, authorization, direction, notice, consent or waiver under the provisions of the Bond Indenture, Bonds which are owned or held by a Member. In determining whether the Bond Trustee shall be protected in relying upon any such request, demand, authorization, direction, notice, consent or waiver only Bonds (i) which are registered in the name of a Member or (ii) which the Bond Trustee knows to be so owned shall be disregarded; and

- (e) For the purpose of all consents, approvals, waivers and notices required to be obtained or given under the Bond Indenture, Bonds held or owned by any Member or any Affiliate thereof.

“Person” means any natural person, firm, joint venture, association, partnership, business trust, corporation, limited liability company, public body, agency or political subdivision thereof or any other similar entity.

“Project” means the construction, expansion, renovation, furnishing, remodeling and equipping of the property of the Members of the Obligated Group financed, directly or indirectly, with the proceeds of the Bonds, as more fully described in the Official Statement.

“Project Certificate” means the Project Certificate dated the Closing Date delivered by the Obligated Group Representative.

“Project Gifts” means gifts, grants, donations, bequests or other charitable contributions or below market rate loans regardless of form or source thereof, the proceeds of which when received will be restricted to be used for payment of the costs directly related to all or a portion of the Project or were raised to pay the costs related directly to all or a portion of the Project; excluding, however, proceeds intended to be ancillary to the Project.

“Purchase Contract” means the Bond Purchase Contract among the Authority, B.C. Ziegler and Company and HumanGood NorCal, as Obligated Group Representative, providing for the sale of the Bonds.

“Qualified Investments” means, if and to the extent the same are at the time legal for investment of funds held under the Bond Indenture, dollar denominated investments in any of the following:

- (a) Government Obligations;
- (b) debt obligations which are (i) issued by any state or political subdivision thereof or any agency or instrumentality of such state or political subdivision, and (ii) at the time of purchase, rated in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency;
- (c) any bond, debenture, note, participation certificate or other similar obligation issued by a government sponsored agency (such as the Federal National Mortgage Association, the Federal Home Loan Bank System, the Federal Home Loan Mortgage Corporation or the Federal Farm Credit Bank) which is either (i) at the time of purchase, rated in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency, or (ii) backed by the full faith and credit of the United States of America;
- (d) U.S. denominated deposit account, certificates of deposit and banker’s acceptances of any bank, trust company, or savings and loan association, including the Master Trustee or the Bond Trustee or their affiliates, which have a rating on their short-term certificates of deposit on the date of purchase in one of the two highest short-term rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency, and which mature not more than 365 days after the date of purchase;

(e) commercial paper which is rated at the time of purchase in one of the two highest short-term rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency, and which matures not more than 270 days after the date of purchase;

(f) bonds, notes, debentures or other evidences of indebtedness issued or guaranteed by a corporation which are, at the time of purchase, rated by any Rating Agency in any of the three highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise);

(g) investment agreements with banks that at the time the agreement is executed are at the time of purchase rated in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) assigned by any Rating Agency or investment agreements with non-bank financial institutions, *provided* that (1) all of the unsecured, direct long-term debt of either the non-bank financial institution or the related guarantor of such non-bank financial institution is rated by any Rating Agency at the time the agreement is executed in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise) for obligations of that nature; or (2) if the non-bank financial institution and any related guarantor have no outstanding long-term debt that is rated, all of the short-term debt of either the non-bank financial institution or the related guarantor of the non-bank financial institution is at the time of purchase rated by any Rating Agency in one of the two highest rating categories (without regard to any refinement or gradation of the rating category by numerical modifier or otherwise) assigned to short term indebtedness by any Rating Agency. If such non-bank financial institution and any guarantor do not have any short-term or long-term debt, but do have a rating in one of the two highest rating categories (without regard to any refinement or gradation of rating category by numerical modifier or otherwise), then investment agreements with the non-bank financial institution will be permitted;

(h) repurchase agreements with respect to and secured by Government Obligations or by obligations described in clauses (b) and (c) above, which agreements may be entered into with a bank (including the Bond Trustee or its affiliates), a trust company, financial services firm or a broker dealer which is a member of the Securities Investors Protection Corporation, *provided* that (i) the Bond Trustee or a custodial agent of the Bond Trustee has possession of the collateral and that the collateral is free and clear of third-party claims, (ii) a master repurchase agreement or specific written repurchase agreement governs the transaction, (iii) the collateral securities are valued no less frequently than monthly, and (iv) the fair market value of the collateral securities in relation to the amount of the repurchase obligation, including principal and interest, is equal to at least 103%, and (v) such obligations must be held in the custody of the Bond Trustee or the Bond Trustee's agent;

(i) investments in a money market fund, rated (at the time of purchase) in the highest rating category for this type of investment by any Rating Agency, including such funds for which the Bond Trustee, its affiliates or subsidiaries provide investment

advisory or other management services or for which the Bond Trustee or an affiliate of the Bond Trustee serves as investment administrator, shareholder servicing agent, and/or custodian or subcustodian, notwithstanding that (i) the Bond Trustee or an affiliate of the Bond Trustee receives fees from funds for services rendered, (ii) the Bond Trustee collects fees for services rendered pursuant to the Bond Indenture, which fees are separate from the fees received from such funds, and (iii) services performed for such funds and pursuant to the Bond Indenture may at times duplicate those provided to such funds by the Bond Trustee or an affiliate of the Bond Trustee; and

(j) shares in any investment company, money market mutual fund, fixed income mutual fund, Exchange Traded Fund or other collective investment fund registered under the federal Investment Company Act of 1940, whose shares are registered under the Securities Act of 1933, and whose investments consist solely of Qualified Investments as defined in paragraphs (a) through (i) above, including money market mutual funds from which the Bond Trustee or its affiliates derive a fee for investment advisory or other services to the fund.

The Bond Trustee shall be entitled to assume that any investment which at the time of purchase is a Qualified Investment remains a Qualified Investment thereafter, absent receipt of written notice or information to the contrary.

For the purposes of this definition, obligations issued or held in the name of the Bond Trustee (or in the name of the Authority and payable to the Bond Trustee) in book-entry form on the books of the Department of Treasury of the United States shall be deemed to be deposited with the Bond Trustee.

“Rating Agency” means Moody’s, Standard & Poor’s or Fitch and their respective successors and assigns.

“Rating Category” means one of the general rating categories of the Rating Agencies without regard to any refinement or gradation of such rating category by numerical modifier or otherwise.

“Rebate Fund” means the Rebate Fund created by the Tax Exemption Agreement to comply with Section 148(f) of the Code.

“Record Date” means the fifteenth day of the calendar month (whether or not a Business Day) preceding an Interest Payment Date.

“Restated Master Indenture” means the Master Trust Indenture dated as of August 1, 2019, as previously supplemented and amended, among HumanGood NorCal, as Obligated Group Representative, HumanGood SoCal, HumanGood Fresno and the Master Trustee.

“Series 2021 Obligation” means the Direct Note Obligation No. 19, dated the Closing Date, from HumanGood NorCal, as Obligated Group Representative, to the Authority issued under the Master Indenture.

“Special Record Date” means the date fixed by the Bond Trustee pursuant to the terms of the Bond Indenture for the payment of Defaulted Interest.

“Standard & Poor’s” means Standard & Poor’s Ratings Services, a division of The McGraw-Hill Companies Inc., a corporation organized and existing under the laws of the State of New York, its successors and assigns, and, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, “Standard & Poor’s” or “S&P” shall be deemed to refer to any other nationally recognized securities rating agency designated by the Obligated Group Representative by written notice to the Bond Trustee.

“State” means the State of California.

“Surplus Project Fund Moneys” means all moneys (including moneys earned pursuant to the provisions of the Bond Indenture summarized under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE BOND INDENTURE – INVESTMENT OF FUNDS”) remaining in the Project Fund after completion or termination of the Project (as evidenced by the completion certificate relating to the Project) and payment of all other costs then due and payable from the Project Fund.

“Tax-Exempt Organization” means a Person organized under the laws of the United States of America or any state thereof which is an organization described in Section 501(c)(3) of the Code which is exempt from federal income taxes under Section 501(a) of the Code (except for unrelated business taxable income under Section 511 of the Code) and which is not a “private foundation” within the meaning of Section 509(a) of the Code, or corresponding provisions of federal income tax laws from time to time in effect.

“Tax Exemption Agreement” means the Tax Exemption Certificate and Agreement relating to the Bonds dated the Closing Date among HumanGood NorCal, as Obligated Group Representative, the Authority and the Bond Trustee, as it may from time to time be amended or supplemented.

“Unassigned Rights” means the right of the Authority to receive payment of its fees and expenses, the Authority’s right to indemnification in certain circumstances, the Authority’s right to receive notices under the Bond Indenture, the Loan Agreement, the Purchase Contract, the Tax Exemption Agreement or any other Bond document, and the Authority’s right to execute and deliver supplements and amendments to the Loan Agreement.

“United States Government Obligations” means noncallable direct obligations of, or obligations the timely payment of the principal of and interest on which is fully guaranteed by, the United States of America including obligations issued or held in book entry form on the books of the Department of the Treasury of the United States of America.

“Unrelated Trade or Business” means an activity which constitutes an “unrelated trade or business” within the meaning of Section 513(a) of the Code without regard to whether such activity results in unrelated trade or business income subject to taxation under Section 512(a) of the Code.

“*Written Request*” with reference to the Authority, means a request in writing (which may be by electronic means acceptable to the Bond Trustee) signed by the Authority Representative, and, with reference to a Member of the Obligated Group, means a request in writing signed by the President, a Vice President, Secretary or Assistant Secretary of such Member of the Obligated Group, or any other officers designated by the Authority or the Member of the Obligated Group, as the case may be.

SUMMARY OF CERTAIN PROVISIONS OF THE BOND INDENTURE

The Bond Indenture contains various covenants, security provisions, terms and conditions, certain of which are summarized below. Reference is made to the Bond Indenture for a full and complete statement of its provisions. All references to the Interest Fund, Expense Fund, Bond Sinking Fund, Optional Redemption Fund and Project Fund under this heading shall mean such funds created under and pursuant to the Bond Indenture.

FUNDS

Project Fund. There is established by the Bond Indenture a separate fund to be known as the “Project Fund – HumanGood – Series 2021” (the “*Project Fund*”). Moneys deposited in the Project Fund shall be paid from time to time by the Bond Trustee upon receipt by the Bond Trustee of a funding request from the Borrower.

If after payment by the Bond Trustee of all funding requests for the Project and after receipt by the Bond Trustee of the completion certificate relating to the Project there shall be any Surplus Project Fund Moneys, HumanGood NorCal may (a) elect to retain all or a portion of such moneys in the Project Fund and withdraw such moneys by submission of additional funding requests for the Project with respect to additional costs of a continuing care facility; *provided* that no such additional costs may be paid if (i) such payment would cause the average maturity of the Bonds to exceed 120% of the average reasonably expected economic life of the Project, or (ii) such health care facility is not located on the real estate described in the notice of public hearing published in connection with the issuance of the Bonds; *provided*, that the Bond Trustee is entitled to rely on the Written Request of HumanGood NorCal with respect to a request for funds pursuant to (a) above, that such payment is permitted under the Bond Indenture and that the conditions of (i) and (ii) of this paragraph have been satisfied; (b) direct the Bond Trustee to transfer such moneys to the Optional Redemption Fund to redeem the Bonds; or (c) direct the Bond Trustee to apply such moneys in any other manner, provided there shall be delivered to the Bond Trustee and the Authority an Opinion of Bond Counsel to the effect that such application will not adversely affect the validity of the Bonds or any exemption from federal income taxation to which the interest on the Bonds would otherwise be entitled.

As soon as practicable after HumanGood NorCal has made an election or direction pursuant to (a), (b) or (c) of the immediately preceding paragraph, HumanGood NorCal shall recalculate the average reasonably expected economic life of the Bond Financed Property, which calculation shall include (i) the average reasonably expected economic life of any additional projects undertaken with moneys remaining on deposit in the Project Fund at the completion of

the Project as originally described, and (ii) the amount of moneys transferred from the Project Fund to the Optional Redemption Fund as an asset with an economic life of zero.

If the Project has been abandoned and moneys remain on deposit in the Project Fund, such moneys must be deposited in the Optional Redemption Fund to optionally redeem the Bonds.

Expense Fund. The Authority shall establish with the Bond Trustee a separate fund to be known as the “Expense Fund – HumanGood – Series 2021” (the “*Expense Fund*”). Amounts on deposit in the Expense Fund shall be disbursed upon the Written Request of HumanGood NorCal for the payment of expenses for any recording, Bond Trustee’s, Master Trustee’s and depository’s fees and expenses, accounting and legal fees, financing costs (including costs of acquiring investments for the funds), and other fees and expenses incurred or to be incurred by or on behalf of the Authority or HumanGood NorCal in connection with or incident to the issuance and sale of the Bonds. At such time as the Bond Trustee is furnished with a Written Request stating that all such fees and expenses have been paid, the Bond Trustee shall transfer any moneys remaining in the Expense Fund to HumanGood NorCal.

Interest Fund. The Authority shall establish with the Bond Trustee and maintain so long as any of the Bonds are outstanding a separate fund to be known as the “Interest Fund – HumanGood – Series 2021” (the “*Interest Fund*”).

On or before the 25th day of each month, commencing October 25, 2021, after taking into account the amount of interest, if any, on deposit in the Interest Fund, the Bond Trustee shall deposit into the Interest Fund from moneys received by the Bond Trustee from HumanGood NorCal as payments under the Loan Agreement an amount which is not less than one-sixth (1/6) of the interest to become due on the Bonds on the next succeeding Interest Payment Date of the Bonds. No monthly deposit pursuant to this paragraph need be made to the extent that there is a sufficient amount already on deposit in the Interest Fund for that purpose. If the 25th day of any calendar month is not a Business Day, the deposit required to be made under the Bond Indenture shall be made on the next succeeding Business Day. Moneys on deposit in the Interest Fund, other than income earned thereon which is to be transferred to other funds created under the Bond Indenture, must be used to pay interest on the Bonds.

In connection with any partial redemption or defeasance prior to maturity of the Bonds, the Bond Trustee may, at the request of HumanGood NorCal, use any amounts on deposit in the Interest Fund in excess of the amount needed to pay the interest on the Bonds remaining outstanding on the first Interest Payment Date occurring on or after the date of such redemption or defeasance to pay the principal of and interest on the Bonds to be redeemed or defeased.

Bond Sinking Fund. The Authority shall establish with the Bond Trustee and maintain so long as any of the Bonds are outstanding a separate account to be known as the “Bond Sinking Fund – HumanGood – Series 2021” (the “*Bond Sinking Fund*”).

On or before the 25th day of each month commencing October 25, 2023, after making the deposits required by the provisions of the Bond Indenture summarized under the caption

“INTEREST FUND” above, the Bond Trustee shall deposit in the Bond Sinking Fund from moneys received from HumanGood NorCal an amount which is not less than one-twelfth (1/12) of the principal of the Bonds coming due by maturity or mandatory Bond Sinking Fund redemption, as the case may be, on the next succeeding principal payment date of the Bonds. No deposit pursuant to this paragraph need be made if and to the extent that there is a sufficient amount already on deposit and available for such purpose in the Bond Sinking Fund. If the 25th day of any month is not a Business Day, the deposit required to be made under the Bond Indenture shall be made on the next succeeding Business Day.

In lieu of required mandatory Bond Sinking Fund redemption, if any, under the Bond Indenture, the Bond Trustee may, at the request of HumanGood NorCal, purchase an equal principal amount of Bonds of the maturity required to be redeemed in the open market at prices not exceeding the principal amount of the Bonds being purchased plus accrued interest. In addition, the amount of Bonds to be redeemed on any date pursuant to the mandatory Bond Sinking Fund redemption schedule, if any, shall be reduced by the principal amount of Bonds assigned to such mandatory Bond Sinking Fund redemption date or to the period during which such Bond Sinking Fund redemption date occurs which are acquired by HumanGood NorCal and delivered to the Bond Trustee for cancellation.

In connection with any partial redemption or defeasance prior to maturity of the Bonds, the Bond Trustee shall, at the request of HumanGood NorCal, use any amounts on deposit in the Bond Sinking Fund in excess of the amount needed to pay principal on the Bonds remaining outstanding on the first principal or mandatory sinking fund payment date, if any, occurring on or after the date of such redemption or defeasance to pay the principal of and interest on the Bonds to be redeemed or defeased.

Optional Redemption Fund. The Authority shall establish with the Bond Trustee and maintain so long as any of the Bonds are outstanding a separate fund to be known as the “Optional Redemption Fund – HumanGood – Series 2021” (the “*Optional Redemption Fund*”). In the event of (a) prepayment by or on behalf of HumanGood NorCal of amounts payable under the Loan Agreement, (b) receipt by the Bond Trustee of condemnation awards or insurance proceeds for purposes of redeeming the Bonds or (c) deposit with the Bond Trustee by HumanGood NorCal or the Authority of moneys from any other source for redeeming the Bonds, such moneys shall be deposited in the Optional Redemption Fund.

Moneys on deposit in the Optional Redemption Fund shall be used first to make up any deficiencies existing in the Interest Fund and the Bond Sinking Fund (in the order listed) and second for the purchase or redemption of Bonds in accordance with the provisions of the Bond Indenture.

INVESTMENT OF FUNDS

Upon a Written Request of HumanGood NorCal filed with the Bond Trustee, moneys in the Interest Fund, Bond Sinking Fund, Optional Redemption Fund, Expense Fund and Project Fund shall be invested in Qualified Investments. In the absence of written investment directions,

the Bond Trustee is directed to hold such moneys uninvested. All such investments shall be made in investments which mature on or prior to the scheduled maturity date of the Bonds.

The Bond Trustee, when authorized by HumanGood NorCal, may purchase or sell securities authorized under the Bond Indenture through itself or a related subsidiary as principal or agent, in the purchase and sale of securities for such investments; *provided, however*, that in no case shall any investment be otherwise than in accordance with the investment limitations contained in the Bond Indenture and in the Tax Exemption Agreement. The Bond Trustee shall not be liable or responsible for any loss resulting from any such investments.

Investment income on amounts on deposit in the Project Fund shall be retained therein or transferred to the Interest Fund and, until further written notice from HumanGood NorCal to the Bond Trustee, investment earnings on the Project Fund will be transferred to the Interest Fund for payment of interest on the Bonds, in the discretion of HumanGood NorCal, by the Bond Trustee.

All income in excess of the requirements of the other funds held under the Bond Indenture derived from the investment of moneys on deposit in any such funds shall be deposited in:

- (a) The Bond Sinking Fund to the extent of the amount required to be deposited therein to make the next required principal payment on the Bonds occurring within 13 months of the date of deposit;
- (b) The Interest Fund to the extent of the estimated amount required to be deposited therein to make any interest payment on the Bonds occurring within 13 months of the date of deposit; and
- (c) The balance, if any, in the Optional Redemption Fund.

Notwithstanding anything to the contrary contained under this caption, all investments held by the Bond Trustee under the Bond Indenture shall be invested pursuant to a Written Request of HumanGood NorCal, which shall comply with the provisions of the Tax Exemption Agreement.

ARBITRAGE; COMPLIANCE WITH TAX EXEMPTION AGREEMENT

The Authority covenants and agrees that it will not take any action or fail to take any action reasonably requested in writing by HumanGood NorCal with respect to the investment of the proceeds of the Bonds (regardless of the source thereof and whether or not held under the Bond Indenture) or with respect to the payments derived from the Series 2021 Obligation pledged under the Bond Indenture or from the Loan Agreement or any other moneys regardless of source or where held, relating to the payment of the Bonds, which may, notwithstanding compliance with the other provisions of the Bond Indenture, the Loan Agreement and the Tax Exemption Agreement, result in constituting the Bonds “arbitrage bonds” within the meaning of such term as used in Section 148 of the Code. The Authority further covenants that it will

comply with and take all actions required to be taken by the Authority pursuant to the provisions of the Tax Exemption Agreement. HumanGood NorCal has agreed under the Loan Agreement that it will pay the cost of all calculations required to be made pursuant to the provisions of the Tax Exemption Agreement.

HumanGood NorCal has covenanted and agreed in the Loan Agreement that it will not sell, lease or otherwise dispose of (including, without limitation, any involuntary disposition), directly or indirectly, in whole or in part, any portion of the Bond Financed Property unless the conditions set forth in the Tax Exemption Agreement related to the preservation of the tax-exempt status of interest on the Bonds are satisfied.

RELEASE AND SUBSTITUTION OF SERIES 2021 OBLIGATION UPON DELIVERY OF REPLACEMENT MASTER TRUST INDENTURE

The Bond Trustee will surrender the Series 2021 Obligation upon presentation to the Bond Trustee prior to such surrender of the following:

- (A) a copy of an original executed counterpart of a master indenture (the “*Replacement Master Indenture*”) executed by or on behalf of a different credit group (collectively, the “*New Group*”) and an independent corporate trustee (the “*Replacement Trustee*”);
- (B) an original replacement note or similar obligation issued by or on behalf of the New Group (the “*Substitute Note*”) under and pursuant to and secured by the Replacement Master Indenture, which Substitute Note has been duly authenticated by the Replacement Trustee;
- (C) an Opinion of Independent Counsel addressed to the Bond Trustee to the effect that: (1) the Replacement Master Indenture has been duly authorized, executed and delivered by or on behalf of the New Group, the Substitute Note has been duly authorized, executed and delivered by or on behalf of the New Group and the Replacement Master Indenture and the Substitute Note are each a legal, valid and binding obligation of the New Group, subject in each case to customary exceptions for bankruptcy, insolvency and other laws generally affecting enforcement of creditors’ rights and application of general principles of equity and to customary qualifications with respect to the joint and several obligations of the members of the New Group to make payments of debt service on the Substitute Note; (2) all requirements and conditions to the issuance of the Substitute Note as set forth in the Replacement Master Indenture have been complied with and satisfied; and (3) registration of the Substitute Note under the Securities Act of 1933, as amended, is not required or, if registration is required, the Substitute Note has been so registered;
- (D) an Opinion of Bond Counsel that the surrender of the Series 2021 Obligation and the delivery of the Substitute Note will not adversely affect the validity of the

Bonds or any exemption for the purposes of federal income taxation to which interest on the Bonds would otherwise be entitled; and

- (E) written notice from each Rating Agency or Rating Agencies then maintaining a rating on the Bonds confirming that the rating on the Bonds will not be lowered or withdrawn from the rating (taking into account any refinement or gradation of rating category by numerical modifier or otherwise, but without regard to any rating outlooks) in effect prior to the substitution, *provided* that in connection with the request for a review of the ratings on the Bonds, each Rating Agency is provided a copy of the Replacement Master Indenture and such information as such Rating Agency may request with respect to the operations and financial condition of the New Group.

In connection with the delivery of a Replacement Master Indenture and the substitution of the Series 2021 Obligation with a Substitute Note, the provisions of the Bond Indenture summarized under this caption shall not permit, or be construed as permitting, (i) a change in the times, amounts or currency of payment of the principal of, premium, if any, and interest on the Series 2021 Obligation or the Bonds, (ii) a reduction in the principal amount of the Series 2021 Obligation or the Bonds, or (iii) a change in the redemption premiums or rates of interest on the Series 2021 Obligation or the Bonds.

SUPPLEMENTAL BOND INDENTURES

Subject to the limitations contained in clauses (a) through (e) of the next paragraph, the Authority and the Bond Trustee may, without the consent of, or notice to, any of the Bondholders, enter into an indenture or indentures supplemental to the Bond Indenture for any one or more of the following purposes: (a) to cure any ambiguity or formal defect or omission in the Bond Indenture; (b) to grant to or confer upon the Bond Trustee for the benefit of the Bondholders any additional covenants, rights, remedies, powers or authority that may lawfully be granted to or conferred upon the Bondholders and the Bond Trustee, or either of them; (c) to assign and pledge under the Bond Indenture additional revenues, properties or collateral; (d) to evidence the appointment of a separate bond trustee or the succession of a new bond trustee under the Bond Indenture; (e) to permit the qualification of the Bond Indenture under the Trust Indenture Act of 1939, as then amended, or any similar federal statute in effect after the execution date of the Bond Indenture or to permit the qualification of the Bonds for sale under the securities laws of any state of the United States of America; (f) to permit the issuance of coupon bonds under the Bond Indenture and to permit the exchange of Bonds from fully registered form to coupon form and vice versa; (g) to permit the issuance of Bonds in uncertificated form; (h) to facilitate or implement a book-entry system; (i) to provide for the refunding or advance refunding of the Bonds in accordance with the provisions of the Bond Indenture, including the right to establish and administer an escrow fund and to take related action in connection therewith; (j) to permit continued compliance with the Tax Exemption Agreement; or (k) to provide for any other change that, in the opinion of Independent Counsel, does not materially adversely affect the rights of any Bondholder or the Bond Trustee. The Authority and the Bond Trustee may not enter into an indenture supplemental to the Bond Indenture pursuant to paragraphs (f) and (i) above unless they shall have received an Opinion of

Bond Counsel to the effect that all conditions precedent to its execution have been satisfied and that such supplement will not result in the loss of any exemption for purposes of federal income taxation to which the interest on the Bonds would otherwise be entitled.

In addition to supplemental indentures covered by the first paragraph under this caption, and subject to the terms and provisions contained in this paragraph and the following two paragraphs under this caption, and not otherwise, the holders of a majority in aggregate principal amount of the Bonds which are outstanding under the Bond Indenture at the time of the execution of such indenture or supplemental indenture, shall have the right, from time to time, anything contained in the Bond Indenture to the contrary notwithstanding, to consent to and approve the execution by the Authority and the Bond Trustee of such other indenture or indentures supplemental to the Bond Indenture as shall be deemed necessary and desirable by the Authority for the purpose of modifying, altering, amending, adding to or rescinding, in any particular, any of the terms or provisions contained in the Bond Indenture or in any supplemental indenture; *provided, however*, that nothing summarized under this caption shall permit, or be construed as permitting, a supplemental indenture to effect: (a) an extension of the stated maturity or reduction in the principal amount of, or reduction in the rate or extension of the time of paying of interest on, or a change in the timing of payments with respect to, a change in the currency of payment of, or reduction of any premium payable on the redemption of, any Bonds, without the consent of the holders of such Bonds; (b) a reduction in the amount or extension of the time of any payment required to be made to or from the Interest Fund or the Bond Sinking Fund, as provided in the Bond Indenture, without the consent of the holders of all of the Bonds at the time outstanding; (c) the creation of any lien prior to or on a parity with the lien of the Bond Indenture, without the consent of the holders of all the Bonds at the time outstanding; (d) a reduction in the aggregate principal amount of Bonds the holders of which are required to consent to any such supplemental indenture, without the consent of the holders of all the Bonds at the time outstanding which would be affected by the action to be taken; or (e) the modification of the rights, duties or immunities of the Bond Trustee, without the prior written consent of the Bond Trustee, which would adversely affect the rights of any holder of Bonds, without the consent of the holders of all Bonds at the time outstanding.

The Authority and the Bond Trustee may not enter into an indenture supplemental to the Bond Indenture pursuant to paragraphs (a) through (e) of the previous paragraph unless they shall have received an Opinion of Bond Counsel to the effect that all conditions precedent to its execution have been satisfied and that such supplement will not result in the loss of any exemption for purposes of federal income taxation to which the interest on the Bonds would otherwise be entitled.

If at any time the Authority shall request the Bond Trustee to enter into any such supplemental indenture for any of the purposes described in the second paragraph under this heading, the Bond Trustee shall, upon being satisfactorily indemnified with respect to expenses, cause notice of the proposed execution of such supplemental indenture to be mailed by first class mail, postage prepaid, or other carrier with tracking capability, to the registered owners of the Bonds at their addresses as the same shall appear on the Bond Register. Such notice shall briefly set forth the nature of the proposed supplemental indenture and shall state that copies thereof are on file at the corporate trust office of the Bond Trustee listed in the notice for inspection by all

Bondholders. The Bond Trustee shall not, however, be subject to any liability to any Bondholder by reason of its failure to mail such notice, and any such failure shall not affect the validity of such supplemental indenture when consented to and approved as provided in the second paragraph under this heading. If the owners of the requisite principal amount of Bonds shall have consented to and approved the execution thereof as provided in the Bond Indenture, no holder of any Bond shall have any right to object to any of the terms and provisions contained therein, or the operation thereof, or in any manner to question the propriety of the execution thereof, or to enjoin or restrain the Bond Trustee or the Authority from executing the same or from taking any action pursuant to the provisions thereof. Upon the execution of any such supplemental indenture permitted and provided in the Bond Indenture as summarized in the second paragraph under this heading, the Bond Indenture shall be and be deemed to be modified and amended in accordance therewith.

Anything in the Bond Indenture to the contrary notwithstanding, so long as no event of default exists under the Loan Agreement or the Master Indenture, a supplemental indenture, as permitted and provided in the Bond Indenture, which adversely affects the rights of HumanGood NorCal under the Loan Agreement or any Member of the Obligated Group under the Master Indenture shall not become effective unless and until HumanGood NorCal shall have consented in writing to the execution and delivery of such supplemental indenture.

DEFEASANCE

If the Authority shall pay or provide for the payment of the entire indebtedness on all Bonds outstanding (including, for the purpose of the Bond Indenture, any Bonds held by HumanGood NorCal), in any one or more of the following ways:

- (a) by paying or causing to be paid the principal of and interest on all Bonds outstanding, as and when the same shall become due and payable;
- (b) by depositing with the Bond Trustee, in trust, at or before maturity, moneys in an amount sufficient to pay or redeem (when redeemable) all Bonds outstanding (including the payment of interest payable on such Bonds to the maturity or redemption date thereof), *provided* that such moneys, if invested, shall be invested in Escrow Obligations in an amount, without consideration of any income or increment to accrue thereon, sufficient to pay or redeem (when redeemable) and discharge the indebtedness on all Bonds outstanding at or before their respective maturity dates; it being understood that the investment income on such Escrow Obligations may be used for any other purpose under the Act;
- (c) by delivering to the Bond Trustee, for cancellation by it, all Bonds outstanding; or
- (d) by depositing with the Bond Trustee, in trust, cash and/or Escrow Obligations in such amount as specified in a certified public accountant's verification report, will, together with the income or increment to accrue thereon, without consideration of any reinvestment thereof and any uninvested cash, be fully sufficient to

pay or redeem (when redeemable) and discharge all the Bonds outstanding (including the payment of interest payable on such Bonds to the maturity or redemption date thereof), at or before their respective maturity dates;

and if the Authority shall also pay or cause to be paid all other sums payable under the Bond Indenture by the Authority, then and in that case the Bond Indenture and the estate and rights granted thereunder shall cease, determine and become null and void, and thereupon the Bond Trustee shall, upon receipt by the Bond Trustee of an Officer's Certificate and an opinion of Independent Counsel, each stating that in the opinion of the signers all conditions precedent to the satisfaction and discharge of the Bond Indenture have been complied with, forthwith execute proper instruments acknowledging satisfaction of and discharging the Bond Indenture and the lien of the Bond Indenture. The satisfaction and discharge of the Bond Indenture shall be without prejudice to the rights of the Bond Trustee to charge and be reimbursed by the Authority and HumanGood NorCal for any expenditures which it may thereafter incur in connection with the Bond Indenture.

After the Bond Trustee's and the Authority's fees and expenses are paid, all moneys, funds, securities, or other property remaining on deposit in the Interest Fund, Bond Sinking Fund, Optional Redemption Fund, Project Fund, Expense Fund or in any other fund or investment under the Bond Indenture (other than said Escrow Obligations or other moneys deposited in trust as above provided) shall, upon the full satisfaction of the Bond Indenture, forthwith be transferred, paid over and distributed to HumanGood NorCal.

The Authority or HumanGood NorCal or any other Member of the Obligated Group may at any time surrender to the Bond Trustee for cancellation by it any Bonds previously authenticated and delivered which the Authority, HumanGood NorCal or any other Member of the Obligated Group may have acquired in any manner whatsoever, and such Bonds, upon such surrender and cancellation, shall be deemed to be paid and retired.

Notwithstanding anything to the contrary to the provisions of the Bond Indenture described under this caption, upon the provision for payment of the Bonds (or a portion thereof), as specified in subparagraphs (b) or (d) above, the right to call such Bonds for optional redemption prior to maturity upon proper notice (notwithstanding provision for the payment of such Bonds having been made through a date after the first optional redemption date provided for under the Bond Indenture) shall remain available to the Authority, upon direction of HumanGood NorCal, unless, in connection with making the deposits referred to in those subparagraphs, the Authority, at the direction of HumanGood NorCal, shall have irrevocably elected to waive any future right to call the Bonds or portions thereof for redemption prior to maturity. Notwithstanding anything to the contrary in the Bond Indenture, upon the provision for payment of the Bonds or a portion thereof, prior to the maturity thereof as specified in subparagraphs (b) or (d) above, the Authority, upon direction of HumanGood NorCal, may elect to pay such Bonds on the respective maturity dates therefor unless, in connection with making the deposits referred to in such subparagraphs, the Authority, at the direction of HumanGood NorCal, shall have irrevocably elected to waive the right to provide for the payment thereof on the maturity date. No such redemption or restructuring shall occur, however, unless HumanGood NorCal shall deliver on behalf of the Authority to the Bond Trustee (a) Escrow

Obligations and/or cash sufficient to discharge such Bonds (or portion thereof) on the redemption date or dates selected, (b) an opinion of an independent certified public accountant or other nationally recognized verification agent verifying that such Escrow Obligations, together with the expected earnings thereon, and/or cash will be sufficient to provide for the payment of such Bonds to the redemption or maturity dates and (c) an Opinion of Bond Counsel to the effect that such earlier redemption or restructuring will not result in the loss of any exemption for purposes of federal income taxation to which interest on the Bonds would otherwise be entitled. The Bond Trustee will give written notice of any such redemption or restructuring to the owners of the Bonds affected thereby.

EVENTS OF DEFAULT; ACCELERATION

Each of the following events is declared an “event of default” in the Bond Indenture:

(a) payment of any installment of interest on any of the Bonds shall not be made when the same shall become due and payable; or

(b) payment of the principal of any of the Bonds shall not be made when the same shall become due and payable, whether such payment is at maturity or by proceedings for redemption, and whether such payment is expected to be paid from any fund under the Bond Indenture or otherwise; or

(c) the occurrence of an event of default under the provisions of the Loan Agreement summarized under the caption “SUMMARY OF CERTAIN PROVISIONS OF THE LOAN AGREEMENT – DEFAULTS AND REMEDIES” below (other than an event of default described in clause (a) under such caption) shall occur and, after expiration of all applicable cure periods, such event of default shall be continuing for a period of 30 days from and after the date either (i) on which the Bond Trustee is entitled as the holder of an Obligation to request that the Master Trustee declare amounts due under such Obligation immediately due and payable, or (ii) on which the Master Trustee is entitled under the Master Indenture to declare any Obligation immediately due and payable; or

(d) an event of default under the Loan Agreement relating to the payment of amounts payable pursuant to the Loan Agreement as to principal and interest on the Bonds shall occur and be continuing; or

(e) the Authority shall for any reason be rendered incapable of fulfilling its obligations under the Bond Indenture; or

(f) the Authority shall default in the due and punctual performance of any other of the covenants, conditions, agreements and provisions contained in the Bonds or in the Bond Indenture or in any supplemental indenture to the Bond Indenture on the part of the Authority to be performed, and such covenant, condition, agreement or provision is not being performed by the Bond Trustee or HumanGood NorCal, and such default shall continue for 30 days after written notice specifying such default and requiring the same to be remedied shall have been given to the Authority and HumanGood NorCal by the Bond

Trustee; *provided* that the Bond Trustee may give such notice in its discretion and shall give such notice at the written request of the holders of not less than 25% in aggregate principal amount of the Bonds then outstanding under the Bond Indenture; *provided, however*, if such failure to perform can be remedied by the Authority (or by HumanGood NorCal on behalf of the Authority) but cannot be remedied within the 30-day period described above, such failure shall not constitute an event of default if remedial action is instituted by or on behalf of the Authority and diligently pursued until such failure is remedied; or

(g) the Authority or HumanGood NorCal shall default in the performance of any covenant, condition, agreement or provision of the Tax Exemption Agreement, and such default shall continue for a period of 30 days after written notice specifying such default and requiring the same to be remedied shall have been given to HumanGood NorCal and the Bond Trustee, as the case may be, by any other party; *provided* that if such default cannot with due diligence and dispatch be wholly cured within 30 days but can be wholly cured, the failure of the Authority or HumanGood NorCal to remedy such default within such 30-day period shall not constitute a default under the Bond Indenture if any of the foregoing shall immediately upon receipt of such notice commence with due diligence and dispatch the curing of such default and, having so commenced the curing of such default, shall thereafter prosecute and complete the same with due diligence and dispatch; or

(h) any event of default as defined in the Master Indenture shall occur and such event of default shall be continuing from and after the date the Authority is entitled to request that the Master Trustee declare the Series 2021 Obligation to be immediately due and payable, or such event of default shall be continuing from and after the date on which the Master Trustee is entitled under the Master Indenture to declare any Obligation immediately due and payable, or the Master Trustee shall declare any Obligation immediately due and payable.

Upon the happening of any event of default specified in subparagraphs (c), (d), (e), (f), (g) or (h) above and the continuance of the same for the period, if any, specified in said paragraphs, the Bond Trustee may, without any action on the part of the Bondholders, or upon the happening of an event of default specified in subparagraphs (a) or (b) above, the Bond Trustee shall, or upon the happening and continuance of an event of default specified in subparagraphs (c), (d), (e), (f), (g) or (h) above and the written request of the owners of not less than 25% in aggregate principal amount of the Bonds then outstanding under the Bond Indenture exclusive of Bonds then owned by the Authority, the Bond Trustee shall, declare the entire principal amount of the Bonds then outstanding under the Bond Indenture and the interest accrued thereon, immediately due and payable, and the entire principal and interest shall thereupon become and be immediately due and payable, subject, however, to the provisions of the Bond Indenture with respect to waivers of events of default summarized below under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE BOND INDENTURE – WAIVER OF EVENTS OF DEFAULT" and to the Bond Trustee being indemnified to its satisfaction. Upon the acceleration of the Bonds after an event of default, interest on the Bonds shall cease to accrue on the date of acceleration.

REMEDIES

Upon the occurrence of any event of default under the Bond Indenture, the Bond Trustee may pursue any available remedy including a suit at law or in equity to enforce the payment of the principal of and interest on the Bonds outstanding under the Bond Indenture.

If an event of default under the Bond Indenture shall have occurred, and if it shall have been requested so to do by the holders of 25% in aggregate principal amount of the Bonds outstanding and shall have been indemnified as provided in the Bond Indenture, the Bond Trustee shall be obligated to exercise such one or more of the rights and powers conferred by the provisions of the Bond Indenture as the Bond Trustee shall deem most expedient in the interests of the holders of the Bonds; *provided, however*, that the Bond Trustee shall have the right to decline to comply with any such request if the Bond Trustee shall be advised by counsel (who may be its own counsel) that the action so requested may not lawfully be taken and the Bond Trustee in good faith shall determine that such action would be unjustly prejudicial to the holders of the Bonds not parties to such request.

No remedy by the terms of the Bond Indenture conferred upon or reserved to the Bond Trustee (or to the holders of the Bonds) is intended to be exclusive of any other remedy, but each and every such remedy shall be cumulative and shall be in addition to any other remedy given to the Bond Trustee or to the holders of the Bonds under the Bond Indenture existing at law or in equity or by statute on or after the execution date of the Bond Indenture.

No delay or omission to exercise any right or power accruing upon any default or event of default under the Bond Indenture shall impair any such right or power or shall be construed to be a waiver of any such default or event of default under the Bond Indenture, or acquiescence therein; and every such right and power may be exercised from time to time and as often as may be deemed expedient.

No waiver of any default or event of default under the Bond Indenture, whether by the Bond Trustee or by the holders of the Bonds, shall extend to or shall affect any subsequent default or event of default under the Bond Indenture or shall impair any rights or remedies consequent thereon.

WAIVER OF EVENTS OF DEFAULT

The Bond Trustee may in its discretion waive any event of default under the Bond Indenture and its consequences and rescind any declaration of maturity of principal, and shall do so (I) upon the occurrence of an event of default specified in the provisions of the Bond Indenture summarized in subparagraph (g) under the caption "SUMMARY OF CERTAIN PROVISIONS OF THE BOND INDENTURE – EVENTS OF DEFAULT; ACCELERATION" above if the Master Trustee shall waive, rescind and annul any acceleration of the entire principal amount due under the Loan Agreement in accordance with the provisions of the Master Indenture or (II) upon written request of the holders of (1) at least a majority in aggregate principal amount of all the Bonds outstanding in respect of which default in the payment of principal and/or interest exists, or (2) at least a majority in aggregate principal amount of all the Bonds outstanding in the

case of any other event of default under the Bond Indenture; *provided, however*, that there shall not be waived (a) any event of default in the payment of the principal of any outstanding Bonds when due whether by mandatory redemption or at maturity specified therein or (b) any default in the payment when due (other than as a result of the acceleration of the Bonds) of the interest on any such Bonds, unless prior to such waiver or rescission all arrears of interest, with interest thereon (to the extent permitted by law) at the rate borne by the Bonds in respect of which such default shall have occurred or all arrears of payments of principal when due, as the case may be, and all expenses of the Bond Trustee, in connection with such default, shall have been paid or provided for. In case of any such waiver or rescission or in case any proceeding taken by the Bond Trustee on account of any such default shall have been discontinued or abandoned or determined adversely, then and in every such case the Authority, the Bond Trustee and the Bondholders shall, subject to any determination in such proceeding, be restored to their former positions and rights under the Bond Indenture, respectively, but no such waiver or rescission shall extend to any subsequent or other event of default, or impair any right consequent thereon.

DIRECTION OF PROCEEDINGS

The holders of a majority in aggregate principal amount of the Bonds then outstanding shall have the right, at any time, by an instrument or instruments in writing executed and delivered to the Bond Trustee and upon provision of indemnity satisfactory to the Bond Trustee, to direct the method and place of conducting all proceedings to be taken in connection with the enforcement of the terms and conditions of the Bond Indenture, including enforcement of the rights of the Authority under the Loan Agreement and the rights of the Bond Trustee as the holder of the Series 2021 Obligation or for the appointment of a receiver or any other proceedings under the Bond Indenture; *provided*, that such direction shall be in accordance with the provisions of law and of the Bond Indenture.

APPLICATION OF MONEYS

Subject to the provisions of the Tax Exemption Agreement, all moneys received by the Bond Trustee, by any receiver or by any Bondholder pursuant to any right given or action taken under the provisions of the Bond Indenture shall, after payment of the costs and expenses of the proceedings resulting in the collection of such moneys (including, without limitation, reasonable compensation to the Authority, the Master Trustee and the Bond Trustee and their agents, attorneys and counsel) and of the fees and the expenses, liabilities and advances incurred or made by the Bond Trustee, and all moneys so deposited during the continuance of an event of default under the Bond Indenture (other than moneys for the payment of Bonds which have previously matured or otherwise become payable prior to such event of default under the Bond Indenture or for the payment of interest due prior to such event of default under the Bond Indenture), together with all moneys in the funds maintained by the Bond Trustee under the Bond Indenture shall be applied as follows:

(a) Unless the principal of all the Bonds shall have become or shall have been declared due and payable, all such moneys shall be applied:

FIRST: To the payment of amounts, if any, payable pursuant to the Tax Exemption Agreement;

SECOND: To the payment to the Persons entitled thereto of all installments of interest then due on the Bonds, in the order of the maturity of the installments of such interest, and, if the amount available shall not be sufficient to pay in full any particular installment, then to the payment ratably, according to the amounts due on such installment, to the Persons entitled thereto, without any discrimination or privilege;

THIRD: To the payment to the Persons entitled thereto of the unpaid principal of any of the Bonds which shall have become due (other than the Bonds called for redemption for the payment of which moneys are held pursuant to the provisions of the Bond Indenture), and, if the amount available shall not be sufficient to pay in full the Bonds, then to the payment ratably, according to the amount of principal due, to the Persons entitled thereto without any discrimination or privilege; and

FOURTH: To the payment to the Persons entitled thereto of unpaid principal of and interest due and owing on any Bonds, the payment of principal and interest of which has been extended in the manner described in the Bond Indenture.

(b) If the principal of all the Bonds shall have become due or shall have been declared due and payable, all such moneys shall be applied:

FIRST: To the payment of amounts, if any, payable pursuant to the Tax Exemption Agreement;

SECOND: To the payment of the principal and interest then due and unpaid upon the Bonds, without preference or priority of principal over interest, or of interest over any other installment of interest, or of any Bond over any other Bond, ratably, according to the amounts due respectively for principal and interest, to the Persons entitled thereto without any discrimination or privilege; and

THIRD: To the payment of the principal and interest then due and unpaid upon Bonds with respect to which the payment of principal and interest has been extended as described in the Bond Indenture.

(c) If the principal of all the Bonds shall have been declared due and payable, and if such declaration shall thereafter have been rescinded and annulled under the provisions of the Bond Indenture, then, subject to the provisions of the next paragraph, in

the event that the principal of all the Bonds shall later become due or be declared due and payable, the moneys shall be applied in accordance with the provisions of this paragraph.

Whenever moneys are to be applied by the Bond Trustee pursuant to the provisions of the Bond Indenture summarized under this caption, such moneys shall be applied by it at such times, and from time to time, as the Bond Trustee shall determine, having due regard for the amount of such moneys available for application and the likelihood of additional moneys becoming available for such application in the future. Whenever the Bond Trustee shall apply such moneys, it shall fix the date (which shall be an Interest Payment Date unless it shall deem another date more suitable or, with respect to payments of Defaulted Interest, shall be such date as is required by the Bond Indenture) upon which such application is to be made and upon such date interest on the amounts of principal to be paid on such date shall cease to accrue. The Bond Trustee shall give such notice of the deposit with it of any such moneys and of the fixing of any such date and of the Special Record Date in accordance with the provisions of the Bond Indenture ten days prior to the Special Record Date. The Bond Trustee shall not be required to make payment to the holder of any unpaid Bond until such Bond shall be presented to the Bond Trustee for appropriate endorsement or for cancellation if fully paid.

Whenever all Bonds and interest thereon have been paid under the provisions of the Bond Indenture summarized under this caption and all expenses and charges of the Bond Trustee have been paid, any balance remaining shall be paid to the person entitled to receive the same; if no other person shall be entitled thereto, then the balance shall be paid to HumanGood NorCal.

REMOVAL OF THE BOND TRUSTEE

The Bond Trustee and any successor Bond Trustee may at any time resign from the trusts created by the Bond Indenture by giving written notice to the Authority and HumanGood NorCal and by first class mail, postage prepaid, or other carrier with tracking capability, to each registered owner of the Bonds then outstanding, as shown by the Bond Register.

The Bond Trustee may be removed at any time by the Authority or by an instrument or concurrent instruments in writing delivered to the Bond Trustee and the Authority and signed by the owners of a majority in aggregate principal amount of Bonds then outstanding. The foregoing notwithstanding, so long as no default has occurred and is continuing under the Bond Indenture or the Loan Agreement and so long as no event has occurred which would, with the giving of notice or the passage of time become an event of default under the Bond Indenture or the Loan Agreement, the Bond Trustee may be removed at any time upon the Written Request of HumanGood NorCal, and delivered to the Bond Trustee and the Authority. The foregoing notwithstanding, the Bond Trustee may not be removed by HumanGood NorCal unless written notice of the delivery of such instrument or instruments signed by HumanGood NorCal is mailed to the owners of all Bonds outstanding under the Bond Indenture, which notice indicates the Bond Trustee will be removed and replaced by the successor trustee named in such notice, such removal and replacement to become effective upon the later of the acceptance of the appointment by the successor Bond Trustee, or the 60th day next succeeding the date of such notice, unless the owners of 10% or more in aggregate principal amount of such Bonds then outstanding under the Bond Indenture shall object in writing to such removal and replacement. Such notice shall be

mailed by first class mail postage prepaid to the owners of all such Bonds then outstanding at the address of such owners then shown on the Bond Register and to the Authority.

BOND TRUSTEE AS HOLDER OF THE SERIES 2021 OBLIGATION

The Bond Trustee, unless it elects to the contrary by a notice in writing delivered to the Master Trustee, shall be considered the holder of the Series 2021 Obligation for the purpose of giving certain consents and approvals under the Master Indenture.

SUMMARY OF CERTAIN PROVISIONS OF THE LOAN AGREEMENT

The following is a summary of certain provisions of the Loan Agreement. Reference is made to the Loan Agreement for a full and complete statement of its provisions. HumanGood NorCal agrees that the proceeds of the Bonds being loaned to HumanGood NorCal shall be deposited with the Bond Trustee and applied as provided in the Bond Indenture.

REPRESENTATIONS

HumanGood NorCal is a California nonprofit public benefit corporation duly incorporated and in good standing under the laws of the State of California and has full legal right, power and authority to enter into the Borrower Agreements, as applicable, and to carry out all of its obligations under and consummate all transactions contemplated by the Loan Agreement and by the Borrower Agreements, as applicable, and by proper corporate action it has duly authorized the execution, delivery and performance of the Borrower Agreements.

There is no action, suit, proceeding, inquiry or investigation, before or by any court or federal, state, municipal or other governmental authority, pending, or to the knowledge of HumanGood NorCal, after reasonable investigation, threatened, against or affecting HumanGood NorCal or the assets, properties or operations of HumanGood NorCal which, if determined adversely to HumanGood NorCal or its interests, would have a material adverse effect upon the consummation of the transactions contemplated by, or the validity of, the Borrower Agreements, or upon the financial condition, assets, properties or operations of HumanGood NorCal and HumanGood NorCal is not in default (and no event has occurred and is continuing which with the giving of notice or the passage of time or both could constitute a default) with respect to any order or decree of any court or any order, regulation or demand of any federal, state, municipal or other governmental authority, which default might have consequences that would materially and adversely affect the consummation of the transactions contemplated by the Borrower Agreements, or the financial condition, assets, properties or operations of HumanGood NorCal. All tax returns (federal, state and local) required to be filed by or on behalf of HumanGood NorCal have been filed, and all taxes shown thereon to be due, including interest and penalties, except such, if any, as are being actively contested by HumanGood NorCal in good faith, have been paid or adequate reserves have been made for the payment thereof which reserves, if any, are reflected in the audited financial statements described therein. Each Member of the Obligated Group enjoys the peaceful and undisturbed possession of all of the premises upon which it is operating its respective facilities.

ASSIGNMENT AND PLEDGE OF AUTHORITY'S RIGHTS

As security for the payment of the Bonds, the Authority will assign and pledge to the Bond Trustee all right, title and interest of the Authority in and to the Loan Agreement, and the Bond Trustee is the holder of the Series 2021 Obligation, including the right to receive payments thereunder and under the Loan Agreement (except its Unassigned Rights, including, without limitation, the right to receive payment of expenses, fees, indemnification and the rights to make determinations and receive notices as provided in the Loan Agreement) and directs HumanGood NorCal to make said payments directly to the Bond Trustee. HumanGood NorCal therewith assents to such assignment and pledge and will make payments directly to the Bond Trustee without defense or set-off by reason of any dispute between HumanGood NorCal and the Authority or the Bond Trustee, and agrees that its obligation to make payments under the Loan Agreement and to perform the other agreements contained in the Loan Agreement are absolute and unconditional. Until the principal of and interest on the Bonds shall have been fully paid or provision for the payment of the Bonds made in accordance with the Bond Indenture, HumanGood NorCal (a) will not suspend or discontinue any payments provided for in the Loan Agreement, (b) will perform all its other duties and responsibilities called for by the Loan Agreement, and (c) will not terminate the Loan Agreement for any cause including any acts or circumstances that may constitute failure of consideration, destruction of or damage to the facilities, commercial frustration of purpose, any change in the laws of the United States or of the State or any agency or political subdivision of either or any failure of the Authority to perform any of its agreements, whether express or implied, or any duty, liability or obligation arising from or connected with the Loan Agreement.

PAYMENTS IN RESPECT OF THE SERIES 2021 OBLIGATION AND THE LOAN AGREEMENT

Under the terms of the Loan Agreement, HumanGood NorCal agrees to pay the Bond Trustee such amounts at such times as to provide for payment of the principal of, and interest on, the outstanding Bonds under the Bond Indenture when due, whether upon a scheduled Interest Payment Date, at maturity or by mandatory or optional redemption, if any, acceleration or otherwise. The Loan Agreement also requires that HumanGood NorCal pay certain other charges which may be incurred for such items as the Bond Trustee's fees, the Authority's fees and expenses, taxes and assessments, if any, and costs incurred in connection with the Bonds. All payments due on the Series 2021 Obligation, except for certain enumerated payments described in the Loan Agreement, shall be paid directly to the Bond Trustee and applied in the manner provided in the Bond Indenture.

HUMANGOOD NORCAL'S OBLIGATIONS UNCONDITIONAL

HumanGood NorCal shall bear all risk of damage or destruction in whole or in part to its facilities or any part thereof including, without limitation, any loss, complete or partial, or interruption in the use, occupancy or operation of such facilities, or any manner or thing which for any reason interferes with, prevents or renders burdensome, the use or occupancy of such facilities or the compliance by HumanGood NorCal with any of the terms of the Loan Agreement. In furtherance of the foregoing, but without limiting any of the other provisions of the Loan Agreement, HumanGood NorCal agrees that its obligations to pay the principal and

interest on the amounts due under the Loan Agreement and on the Series 2021 Obligation, to pay the other sums provided for in the Loan Agreement and to perform and observe the other agreements contained in the Loan Agreement shall be absolute and unconditional and that HumanGood NorCal shall not be entitled to any abatement or diminution thereof nor to any termination of the Loan Agreement for any reason whatsoever.

CERTAIN COVENANTS OF HUMANGOOD NORCAL RELATING TO THE USE AND OPERATION OF CERTAIN OF ITS PROPERTY

No portion of the proceeds of the Bonds shall be used to finance or refinance any facility, place or building to be used (1) primarily for sectarian instruction or study or as a place for devotional activities or religious worship or (2) by a Person that is not an organization described in Section 501(c)(3) of the Code or a Governmental Unit, or by an organization described in Section 501(c)(3) of the Code (including HumanGood NorCal) in an “unrelated trade or business” (as set forth in Section 513(a) of the Code), in such a manner or to such extent as would result in any of the Bonds being treated as an obligation not described in Section 103(a) of the Code.

INDEMNIFICATION OF THE AUTHORITY AND THE BOND TRUSTEE

To the fullest extent permitted by law, HumanGood NorCal shall indemnify, hold harmless and defend the Authority, the Bond Trustee, and each of their respective past, present and future officers, governing members, directors, officials, employees, attorneys and agents (collectively, the “*Indemnified Parties*”), against any and all losses, damages, claims, actions, liabilities, costs and expenses of any conceivable nature, kind or character (including, without limitation, reasonable attorneys’ fees, litigation and court costs, amounts paid in settlement and amounts paid to discharge judgments) to which the Indemnified Parties, or any of them, may become subject under or any statutory law (including federal or state securities laws) or at common law or otherwise, arising out of or based upon or in any way relating to:

- (i) the Bonds, the Bond Indenture, the Loan Agreement, the other Borrower Agreements or the execution or amendment of the aforementioned documents or in connection with transactions contemplated by the aforementioned documents, including the issuance, sale or resale of the Bonds;

- (ii) any act or omission of HumanGood NorCal or any of its agents, contractors, servants, employees, tenants or licensees in connection with the Project or the facilities, the operation of the Project or the facilities, or the condition, environmental or otherwise, occupancy, use, possession, conduct or management of work done in or about, or from the planning, design, acquisition, installation or construction of, the Project or the facilities or any part thereof;

- (iii) any lien or charge upon payments by HumanGood NorCal to the Authority and the Bond Trustee under the Loan Agreement, or any taxes (including, without limitation, all ad valorem taxes and sales taxes), assessments, impositions and

other charges imposed on the Authority or the Bond Trustee in respect of any portion of the Project or the facilities;

(iv) any violation of any Environmental Regulations with respect to, or the release of any Hazardous Substances from, the Project or the facilities or any part thereof;

(v) the defeasance and/or redemption, in whole or in part, of the Bonds;

(vi) any untrue statement or misleading statement or alleged untrue statement or alleged misleading statement of a material fact contained in any offering statement or disclosure or continuing disclosure document for the Bonds or any of the documents relating to the Bonds, or any omission or alleged omission from any offering statement or disclosure or continuing disclosure document for the Bonds of any material fact necessary to be stated therein in order to make the statements made therein, in the light of the circumstances under which they were made, not misleading;

(vii) any declaration of taxability of interest on the Bonds, or allegations that interest on the Bonds is taxable or any regulatory audit or inquiry regarding whether interest on the Bonds is taxable; or

(viii) the Bond Trustee's acceptance or administration of the trust of the Bond Indenture, or the exercise or performance of any of its powers or duties thereunder or under any of the documents relating to the Bonds to which it is a party; except (A) in the case of the foregoing indemnification of the Bond Trustee or any of its officers, members, directors, officials, employees, attorneys and agents, to the extent such damages are caused by the negligence or willful misconduct of such Indemnified Party; or (B) in the case of the foregoing indemnification of the Authority or any of its officers, members, directors, officials, employees, attorneys and agents, to the extent such damages are caused by the willful misconduct of such Indemnified Party. In the event that any action or proceeding is brought against any Indemnified Party with respect to which indemnity may be sought under the Loan Agreement, HumanGood NorCal, upon written notice from the Indemnified Party, shall assume the investigation and defense thereof, including the employment of counsel selected by the Indemnified Party, and shall assume the payment of all expenses related thereto, with full power to litigate, compromise or settle the same in its sole discretion; *provided* that the Indemnified Party shall have the right to review and approve or disapprove any such compromise or settlement. Each Indemnified Party shall have the right to employ separate counsel in any such action or proceeding and participate in the investigation and defense thereof, and HumanGood NorCal shall pay the reasonable fees and expenses of such separate counsel; *provided, however*, that such Indemnified Party may only employ separate counsel at the expense of HumanGood NorCal if in the judgment of such Indemnified Party a conflict of interest exists by reason of common representation or if all parties commonly represented do not agree as to the action (or inaction) of counsel.

The rights of any persons to indemnity under the Loan Agreement and rights to payment of fees and reimbursement of expenses pursuant to the Loan Agreement and the portions of the

Loan Agreement summarized under this heading shall survive the final payment or defeasance of the Bonds and in the case of the Bond Trustee any resignation or removal. The provisions of the Loan Agreement summarized under this heading shall survive the termination of the Loan Agreement.

MAINTENANCE OF CORPORATE EXISTENCE AND STATUS

As long as any Bonds are outstanding, HumanGood NorCal will maintain its existence, not dissolve, liquidate or otherwise dispose of all or substantially all of its assets, and not consolidate with or merge into another corporation or permit one or more other corporations to consolidate with or merge into it. Any dissolution, liquidation, disposition, consolidation or merger shall be subject to the following conditions:

(a) HumanGood NorCal provides a certificate to the Authority and the Bond Trustee, in form and substance reasonably satisfactory to such parties, to the effect that no event of default exists under the Loan Agreement or under the Bond Indenture and that no event of default will be caused by the dissolution, liquidation, disposition, consolidation or merger;

(b) the entity surviving the dissolution, liquidation, disposition, consolidation or merger assumes in writing and without condition or qualification the obligations of HumanGood NorCal under the Loan Agreement, the Tax Exemption Agreement and the Master Indenture (or any replacement master trust indenture), as applicable;

(c) HumanGood NorCal or the entity surviving the dissolution, liquidation, disposition, consolidation or merger, within ten (10) days after execution thereof, furnishes to the Authority and the Bond Trustee a true and complete copy of the instrument of dissolution, liquidation, disposition, consolidation or merger;

(d) neither the validity nor the enforceability of the Bonds or the Bond Indenture is adversely affected by the dissolution, liquidation, disposition, consolidation or merger;

(e) the dissolution, liquidation, disposition, consolidation or merger will not adversely affect any exemption from federal income taxation to which interest on the Bonds would otherwise be entitled;

(f) evidence that no rating on the Bonds, if the Bonds are then rated, is reduced or withdrawn as a result of the dissolution, liquidation, disposition, consolidation or merger; and

(g) (i) neither the validity or enforceability of the Loan Agreement, the Master Indenture (or any replacement master trust indenture) or the Tax Exemption Agreement, as applicable, will be adversely affected by the dissolution, liquidation, disposition, consolidation or merger and (ii) the provisions of the Act, the Bond Indenture, the Loan Agreement, the Master Indenture (or any replacement master trust indenture), and the

Tax Exemption Agreement, as applicable, are complied with concerning the dissolution, liquidation, disposition, consolidation or merger.

As of the effective date of the dissolution, liquidation, disposition, consolidation or merger, HumanGood NorCal (at its cost) shall furnish to the Authority and the Bond Trustee (i) an Opinion of Bond Counsel, in form and substance satisfactory to the Authority, as to items (d) and (e) above, and (ii) an opinion of Independent Counsel, in form and substance satisfactory to the Authority, as to the legal, valid and binding nature of item (c) above.

HumanGood NorCal will not act or fail to act in any other manner which would adversely affect any exemption from federal income taxation of the interest earned by the owners of the Bonds to which such Bonds would otherwise be entitled.

LICENSURE

HumanGood NorCal warrants, on behalf of itself and the Members of the Obligated Group, that their facilities have or are expected to obtain in due course all material state and local licenses required for the operation thereof. Each Member of the Obligated Group will obtain and maintain or cause to be obtained and maintained all such licenses required for the operation of their facilities, including the Project, and will use their best efforts to obtain and maintain or cause to be obtained and maintained such licensure, so long as it is in the best interests of the Members and the Bondholders, as determined by the Governing Bodies of the Members.

FINANCIAL STATEMENTS

HumanGood NorCal will keep proper books of records and accounts in which full, true and correct entries will be made of all dealings or transactions of, or in relation to, the business and affairs of HumanGood NorCal in accordance with generally accepted principles of accounting consistently applied (except as stated in the notes thereto), and will furnish the materials and notices required to be delivered to the Master Trustee under the Master Indenture to the Authority, to the Bond Trustee and to any requesting holder or holders of the Bonds.

SUPPLEMENTS AND AMENDMENTS TO THE LOAN AGREEMENT

Subject to the terms and provisions of the Bond Indenture summarized in the third paragraph under this heading, the Authority and HumanGood NorCal may, with the prior written consent of the Bond Trustee, amend or modify the Loan Agreement, or any provision thereof, or may consent to the amendment or modification thereof, in any manner not inconsistent with the terms and provisions of the Bond Indenture, for any one or more of the following purposes: (a) to cure any ambiguity or formal defect in the Loan Agreement; (b) to grant to or confer upon the Authority or the Bond Trustee, for the benefit of the Bondholders, any additional rights, remedies, powers or authorities that lawfully may be granted to or conferred upon the Authority or the Bond Trustee; (c) to amend or modify the Loan Agreement, or any part thereof, in any manner specifically required or permitted by the terms thereof, including, without limitation, as may be necessary to maintain the exclusion from gross income for purposes of federal income

taxation of the interest on the Bonds; (d) to modify, amend or supplement the Loan Agreement, or any part thereof, or any supplement thereto, in such manner as HumanGood NorCal deems necessary in order to comply with any statute, regulation, judicial decision or other law relating to secondary market disclosure requirements with respect to tax-exempt obligations of the type that includes the Bonds; (e) to provide that Bonds may be secured by additional security not otherwise provided for in the Bond Indenture or the Loan Agreement; (f) to provide for the appointment of a successor securities depository; (g) to provide for the availability of certificated Bonds; and (h) to make any other change which does not, in the opinion of the Bond Trustee, have a material adverse effect upon the interests of the Bondholders. In addition, subject to the terms and provisions of the Bond Indenture summarized in the third paragraph under this heading, the Bond Trustee may grant such waivers of compliance by HumanGood NorCal with the provisions of the Loan Agreement as to which the Bond Trustee may deem necessary or desirable to effectuate the purposes of the intent of the Loan Agreement and which, in the opinion of the Bond Trustee, do not have a material adverse effect upon the interests of the Bondholders.

Except for the amendments, changes or modifications summarized in the immediately preceding paragraph, neither the Authority nor the Bond Trustee shall consent to any other amendment, change or modification of the Loan Agreement without the written approval or consent of the holders of a majority in aggregate principal amount of the Bonds which are outstanding under the Bond Indenture at the time of execution of any such amendment, change or modification; *provided, however*, that no such amendment, change or modification shall ever affect the obligation of HumanGood NorCal to make payments on the Series 2021 Obligation as they become due and payable. If at any time the Authority or HumanGood NorCal shall request the consent of the Bond Trustee to any such proposed amendment, change or modification of the Loan Agreement, the Bond Trustee shall, upon being satisfactorily indemnified with respect to expenses, cause notice of such proposed amendment, change or modification to be mailed in the same manner as provided by the provisions of the Bond Indenture summarized in the last three paragraphs under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE BOND INDENTURE – SUPPLEMENTAL BOND INDENTURES” above with respect to supplemental bond indentures. Such notice shall briefly set forth the nature of such proposed amendment, change or modification and shall state that copies of the instrument embodying the same are on file at the principal office of the Bond Trustee for inspection by all Bondholders. The Bond Trustee shall not, however, be subject to any liability to any Bondholder by reason of its failure to mail such notice, and any such failure shall not affect the validity of such amendment, change or modification when consented to and approved as provided by the terms of the Bond Indenture summarized in this paragraph. If the holders of a majority in aggregate principal amount of the Bonds outstanding under the Bond Indenture at the time of the execution of any such amendment, change or modification shall have consented to and approved the execution thereof as provided in the Bond Indenture, no holder of any Bond shall have any right to object to any of the terms and provisions contained therein, or the operation thereof, or in any manner to question the propriety of the execution thereof, or to enjoin or restrain the Bond Trustee or the Authority from executing the same or from taking any action pursuant to the provisions thereof.

Under no circumstances shall any amendment to the Loan Agreement alter the Series 2021 Obligation pledged under the Bond Indenture regarding the payments of principal of and interest thereon, without the consent of the owners of all the Bonds outstanding.

DEFAULTS AND REMEDIES

The occurrence and continuance of any of the following events shall constitute an “event of default” under the Loan Agreement:

(a) failure of HumanGood NorCal to pay any installment of principal or interest or any other payment required by the Loan Agreement, and failure of the Obligated Group to pay any installment of principal or interest on the Series 2021 Obligation, when the same shall become due and payable, whether upon a scheduled Interest Payment Date, at maturity, upon any date fixed for prepayment or by acceleration or otherwise, and the continuance of such failure for five days; or

(b) failure by HumanGood NorCal to perform or comply with any of the covenants, conditions or provisions of the Loan Agreement or of the Tax Exemption Agreement and failure to remedy such default within 30 days after notice thereof from the Authority to HumanGood NorCal; *provided, however*, that if failure to comply or perform with such covenants, conditions or provisions cannot be remedied within 30 days, but can be remedied, no “event of default” shall be deemed to have occurred or to exist if the Authority, in its discretion, shall consent to HumanGood NorCal commencing corrective action and HumanGood NorCal diligently pursues such corrective action until it shall have complied with or performed such covenants, conditions or provisions; or

(c) if any representation or warranty made by HumanGood NorCal in the Loan Agreement or in any statement or certificate furnished to the Authority or the Bond Trustee or the purchaser of any Bonds in connection with the sale of Bonds or furnished by HumanGood NorCal pursuant to the Loan Agreement including, without limitation, statements in this Official Statement, proves untrue in any material respect as of the date of the issuance or making thereof and shall not be made good within 60 days after notice thereof to HumanGood NorCal by the Authority or the Bond Trustee; *provided, however*, that if such default cannot be remedied within 60 days, but can be remedied, no “event of default” shall be deemed to have occurred or to exist if the Authority in its sole discretion, shall consent to HumanGood NorCal commencing corrective action and HumanGood NorCal diligently pursues such corrective action until such default has been cured; or

(d) any event of default shall occur under the Bond Indenture or the Master Indenture which would permit the acceleration of any Obligation; or

(e) if HumanGood NorCal admits insolvency or bankruptcy or its inability to pay its debts as they mature, or is generally not paying its debts as such debts become due, or makes an assignment for the benefit of creditors or applies for or consents to the

appointment of a trustee, custodian or receiver for HumanGood NorCal or for the major part of its facilities; or

(f) if a trustee, custodian or receiver is appointed for HumanGood NorCal or for the major part of its facilities and is not discharged within 60 days after such appointment; or

(g) if bankruptcy, reorganization, arrangement, insolvency or liquidation proceedings, proceedings under Title 11 of the United States Code, as amended, or other proceedings for relief under any bankruptcy law or similar law for the relief of debtors are instituted by or against HumanGood NorCal (other than bankruptcy proceedings instituted by HumanGood NorCal against third parties), and if instituted against HumanGood NorCal are allowed against HumanGood NorCal or are consented to or are not dismissed, stayed or otherwise nullified within 60 days after such institution; or

(h) if payment of any installment of interest or principal on any Bond shall not be made when the same shall become due and payable under the provisions of the Bond Indenture.

Whenever any event of default shall have occurred and be continuing under the Loan Agreement:

(i) The Authority may at its discretion, by written notice to HumanGood NorCal, request that the Bond Trustee declare the principal due under the Loan Agreement and on the Series 2021 Obligation (if not then due and payable) to be due and payable immediately and such principal shall thereupon become immediately due and payable as if all of the sums of money payable thereunder were originally stipulated to be paid on such accelerated payment date, anything in the Series 2021 Obligation or in the Loan Agreement to the contrary notwithstanding. The Authority shall request that the Bond Trustee declare the principal due under the Loan Agreement and on the Series 2021 Obligation due and payable immediately upon the occurrence of any of the defaults described in (a), (e), (f), (g), or (h) in the immediately preceding paragraph. This provision, however, is subject to the condition that if, at any time after the principal of the Series 2021 Obligation shall have been so declared and become due and payable, all arrears of interest, if any, upon the amounts due under the Loan Agreement and on the Series 2021 Obligation and the expenses of the Authority shall be paid by HumanGood NorCal, and every other default in the observance or performance of any covenant, condition or agreement in the Series 2021 Obligation or in the Loan Agreement contained shall be made good, or be secured, to the satisfaction of the Authority, or provision deemed by the Authority to be adequate shall be made therefor, then and in every such case the Authority, by written notice to HumanGood NorCal shall waive the event of default by reason of which the principal due under the Loan Agreement and on the Series 2021 Obligation shall have been so declared and become due and payable and shall rescind and annul such declaration and its consequences; *provided, however*, that there shall not be waived any event of default in the payment of the principal payable on the Bonds when due whether by mandatory or optional redemption or at the date of maturity

specified therein; and *provided, further*, that no such waiver, rescission or annulment shall extend to or affect any subsequent event of default or impair any right consequent thereon. The Authority may by written notice to the Master Trustee, request that it declare the principal of the Series 2021 Obligation (if not then due and payable) to be due and payable immediately, subject to the provisions of the Master Indenture summarized in Appendix C under the heading “SUMMARY OF CERTAIN PROVISIONS OF THE MASTER INDENTURE – DEFAULTS AND REMEDIES – Waiver of Event of Default” regarding waiver of events of default, anything in the Series 2021 Obligation or in the Loan Agreement contained to the contrary notwithstanding.

(ii) The Authority, personally or by attorney, may in its discretion proceed to protect and enforce its rights by pursuing any available remedy including a suit or suits in equity or at law, whether for damages or for the specific performance of any obligation, covenant or agreement contained in the Series 2021 Obligation, in the Loan Agreement or in the Bond Indenture, or in aid of the execution of any power granted in the Loan Agreement, or for the enforcement of any other appropriate legal or equitable remedy, as the Authority shall deem most effectual to collect the payments then due and thereafter to become due under the Loan Agreement or on the Series 2021 Obligation, to enforce performance and observance of any obligation, agreement or covenant of HumanGood NorCal under the Loan Agreement, under the Series 2021 Obligation or under the Bond Indenture or to protect and enforce any of the Authority’s rights or duties under such documents.

REQUIRED OPTIONAL REDEMPTION AND APPLICATION OF CERTAIN GIFTS

HumanGood NorCal acknowledges in the Loan Agreement that a Member of the Obligated Group or any affiliated organization may from time to time receive Project Gifts. HumanGood NorCal covenants and agrees in the Loan Agreement that if and when a Member of the Obligated Group or any affiliated organization receives any Project Gifts, HumanGood NorCal will (i) amend the Project Documents as provided in the Loan Agreement in order to exclude from the Project Certificate and the Bond Financed Property any costs which are to be paid from Project Gifts and in order to provide for the application of all of the funds on deposit in the Project Fund to the payment of the costs of a “project” as such term is defined in the Act, (ii) apply the proceeds thereof or cause the proceeds thereof to be applied to the prepayment of the principal of the Series 2021 Obligation and the Bonds as soon as practicable after such proceeds become available to such Member or any affiliated organization or (iii) apply such Project Gifts in any manner with respect to which HumanGood NorCal has received an Opinion of Bond Counsel to the effect that such use of the Project Gifts will not adversely affect the validity of any exemption from federal income taxation to which the Bonds would otherwise be entitled.

APPENDIX E

FORM OF APPROVING OPINION OF BOND COUNSEL

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September 29, 2021

California Municipal Finance Authority
Carlsbad, California

B.C. Ziegler and Company
Scottsdale, Arizona

U.S. Bank National Association, as Bond Trustee
San Francisco, California

Re: \$120,000,000
California Municipal Finance Authority
Revenue Bonds, Series 2021
(HumanGood – California Obligated Group)

Ladies and Gentlemen:

We have acted as bond counsel to the California Municipal Finance Authority (the “Authority”) in connection with the issuance on the date hereof of its \$120,000,000 California Municipal Finance Authority Revenue Bonds, Series 2021 (HumanGood – California Obligated Group) (the “Series 2021 Bonds”). The Series 2021 Bonds are being issued under the provisions of the Joint Exercise of Powers Act, constituting Chapter 5 of Division 7 of Title 1 of the Government Code of the State of California, as amended (the “Act”), and under and pursuant to the Bond Trust Indenture dated as of September 1, 2021 (the “Bond Indenture”), between the Authority and U.S. Bank National Association, as bond trustee (the “Bond Trustee”).

The proceeds of the Series 2021 Bonds are being loaned by the Authority to HumanGood NorCal, a California nonprofit public benefit corporation (the “Borrower”), pursuant to the Loan Agreement dated as of September 1, 2021 (the “Loan Agreement”), between the Borrower and the Authority, for the purpose of providing funds to be used, together with other available funds, to (i) finance or reimburse the costs of renovating, remodeling, furnishing and equipping long-term care facilities owned and operated by the Borrower, HumanGood SoCal, a California nonprofit public benefit corporation (“HumanGood SoCal”), and HumanGood Fresno, a California nonprofit public benefit corporation (“HumanGood Fresno”); and (ii) pay certain costs of issuance of the Series 2021 Bonds.

In order to secure the payment of the Series 2021 Bonds, the Borrower, concurrently with the issuance and delivery of the Series 2021 Bonds, is issuing and delivering to the Authority, and the Authority is assigning to the Bond Trustee all of its right, title and interest in and to, the \$120,000,000 Direct Note Obligation No. 19 (the “Bond Obligation”). The Bond Obligation is being issued by the Borrower, as Obligated Group Representative, pursuant to the Master Trust Indenture dated as of August 1, 2019, as previously supplemented and amended and as supplemented and amended by that certain Fourth Supplemental Master Trust Indenture dated as of September 1, 2021 (together, the “Master Indenture”), each among the Borrower, HumanGood SoCal and HumanGood Fresno (collectively, the “Members of the Obligated Group”) and U.S. Bank National Association, as master trustee.

The Series 2021 Bonds have been sold to B.C. Ziegler and Company (the “Underwriter”), pursuant to the Bond Purchase Agreement dated September 16, 2021 (the “Purchase Contract”), among the Authority, the Underwriter and the Members of the Obligated Group.

In connection with the sale of the Series 2021 Bonds, the Borrower, as Obligated Group Representative, has executed and delivered an Official Statement dated September 16, 2021 (the “Official Statement”), relating to the Series 2021 Bonds.

In connection with the issuance of the Series 2021 Bonds, the Borrower, as Obligated Group Representative, the Authority and the Bond Trustee have executed a Tax Exemption Certificate and Agreement dated September 29, 2021 (the “Tax Exemption Agreement”), which places certain restrictions on the investment of moneys held in the funds established by the Bond Indenture and which, under certain circumstances, would require the transfer of certain moneys held in such funds to a Rebate Fund created under the Tax Exemption Agreement.

As bond counsel, we have examined the following:

(a) certified copies of the proceedings of the Authority authorizing or approving, among other things, the execution and delivery of the Bond Indenture, the Loan Agreement, the Master Indenture, the Bond Obligation, the Purchase Contract and the Tax Exemption Agreement, the use and distribution of the Official Statement and the issuance and sale of the Series 2021 Bonds;

(b) an executed Official Statement, the executed Bond Obligation and executed counterparts of the Bond Indenture, the Loan Agreement, the Purchase Contract, the Master Indenture and the Tax Exemption Agreement;

(c) a specimen Series 2021 Bond;

(d) executed opinions, each dated the date hereof, of Jones Hall, counsel to the Authority; Bethany Ghassemi, General Counsel to the Members of the Obligated Group; Dentons US LLP, special counsel to the Members of the Obligated Group; and Ballard Spahr LLP, counsel to the Underwriter; and

(e) such other documents and showings and related matters of law as we have deemed necessary in order to enable us to render this opinion.

Based upon the foregoing and in reliance upon the matters hereinafter referred to, we are of the opinion that:

1. The Bond Indenture, the Loan Agreement, the Purchase Contract and the Tax Exemption Agreement have been duly authorized by all necessary action on the part of the Authority, have been duly executed and delivered by authorized officers of the Authority and, assuming the due authorization, execution and delivery thereof by the other parties thereto, constitute the legal, valid and binding obligations of the Authority, enforceable against the Authority in accordance with their respective terms, except to the extent limited by bankruptcy, reorganization or other similar laws affecting creditors’ rights generally and by the availability of equitable remedies, and except to the extent that the enforcement of the indemnification provisions of the Loan Agreement and the Purchase Contract may be limited by federal or state securities laws.

2. The Series 2021 Bonds have been duly authorized by all necessary action on the part of the Authority, have been duly executed by authorized officers of the Authority, authenticated by the Bond Trustee and issued by the Authority and constitute the legal, valid and binding limited obligations of the Authority enforceable in accordance with their terms, except to the extent limited by bankruptcy, reorganization or other similar laws affecting the enforcement of creditors' rights generally and by the availability of equitable remedies, and are entitled to the benefits and security of the Bond Indenture.

3. Subject to compliance by the Authority and the Members of the Obligated Group with certain covenants, under present law, interest on the Series 2021 Bonds is excludable from gross income of the owners thereof for federal income tax purposes and is not included as an item of tax preference in computing the alternative minimum tax for individuals under the Internal Revenue Code of 1986, as amended (the "Code"). Failure to comply with certain of such covenants of the Authority and the Members of the Obligated Group could cause the interest on the Series 2021 Bonds to be includible in gross income for federal income tax purposes retroactively to the date of issuance of the Series 2021 Bonds. Ownership of the Series 2021 Bonds may result in other federal tax consequences to certain taxpayers, and we express no opinion regarding any such collateral consequences arising with respect to the Series 2021 Bonds.

4. Under the laws of the State of California, as presently enacted and construed, interest on the Series 2021 Bonds is exempt from the Personal Income Tax Law imposed by the State of California under Sections 17001 through 18181 of the California Revenue and Taxation Code. No opinion is expressed regarding taxation of interest on the Series 2021 Bonds under any other provisions of California law. Ownership of the Series 2021 Bonds may result in other California tax consequences to certain taxpayers, and we express no opinion regarding any such collateral consequences arising with respect to the Series 2021 Bonds.

5. The Bond Indenture creates a valid assignment to the Bond Trustee of the rights of the Authority in and to the Loan Agreement (with certain limited exceptions referred to in the Bond Indenture), and a valid pledge and assignment to the Bond Trustee of the Bond Obligation, as security for the Series 2021 Bonds.

We express no opinion herein as to the accuracy, adequacy or completeness of the Official Statement relating to the Series 2021 Bonds.

In rendering this opinion, we have relied upon the opinions of the General Counsel to the Members of the Obligated Group and the special counsel to the Members of the Obligated Group referred to in paragraph (d) above, with respect to, among other things, (i) the status of each Member of the Obligated Group as an organization described in Section 501(c)(3) of the Code that is exempt from federal income taxation under Section 501(a) of the Code and (ii) the validity and binding effect upon and enforceability against the Members of the Obligated Group, as applicable, of the Loan Agreement, the Bond Obligation, the Master Indenture, the Tax Exemption Agreement and the Purchase Contract, subject to the exceptions set forth in said opinion.

In rendering the opinions in paragraphs 3 and 4 hereof, we have relied upon certificates of even date herewith of the Borrower, as Obligated Group Representative, with respect to certain material facts within the knowledge of the Members of the Obligated Group relating to the property financed with the proceeds of the Series 2021 Bonds and the application of the proceeds of the Series 2021 Bonds.

In rendering this opinion, we have also relied upon certifications of the Authority with respect to certain material facts within the knowledge of the Authority.

Our opinion represents our legal judgment based upon our review of the law and the facts that we deem relevant to render such opinion and is not a guarantee of a result. This opinion is given as of the date hereof, and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter occur.

Respectfully submitted,

APPENDIX F

FORM OF CONTINUING DISCLOSURE AGREEMENT

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CONTINUING DISCLOSURE AGREEMENT

This Continuing Disclosure Agreement (this “*Disclosure Agreement*”) is executed and delivered by HumanGood NorCal, a California nonprofit public benefit corporation, as Obligated Group Representative (“*HumanGood NorCal*” and the “*Obligated Group Representative*”) on behalf of itself and HumanGood SoCal, a California nonprofit public benefit corporation (“*HumanGood SoCal*”), and HumanGood Fresno, a California nonprofit public benefit corporation (“*HumanGood Fresno*” and, collectively with HumanGood NorCal and HumanGood SoCal, the “*Members of the California Obligated Group*”), as of September 29, 2021. As of the date of this Disclosure Agreement, HumanGood NorCal, HumanGood SoCal and HumanGood Fresno are the sole Members of the California Obligated Group. HumanGood NorCal shall act as the California Obligated Group Representative on behalf of itself and the California Obligated Group for the purposes of this Disclosure Agreement and pursuant to the Master Indenture. The Members of the California Obligated Group covenant and agree as follows:

Section 1. Definitions. Any capitalized terms used herein but not defined herein shall have the meanings assigned to them in the hereinafter described Master Indenture, and the following capitalized terms shall have the following meanings:

“*Annual Report*” shall mean any Annual Report provided by the California Obligated Group Representative pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

“*Authority*” shall mean the California Municipal Finance Authority.

“*Bond Indenture*” shall mean the Bond Trust Indenture, dated as of September 1, 2021, between the Authority and the Bond Trustee, pursuant to which the Series 2021 Bonds are issued, as it may be amended or supplemented from time to time.

“*Bond Trustee*” shall mean U.S. Bank National Association, as bond trustee.

“*Bondholders*” shall mean the owners and beneficial owners from time to time of the Series 2021 Bonds.

“*California Obligated Group*” shall have the meaning set forth in the Master Indenture.

“*California Obligated Group Representative*” shall have the meaning set forth in the Master Indenture.

“*Days Cash on Hand*” shall have the meaning set forth in the Master Indenture.

“*Debt Service Coverage Ratio*” shall have the meaning set forth in the Master Indenture.

“*Disclosure Agreement*” shall mean this agreement.

“*Dissemination Agent*” shall mean (i) the California Obligated Group Representative or any Dissemination Agent designated in writing by the California Obligated Group Representative and which has filed with the California Obligated Group Representative a written acceptance of such designation, and (ii) initially, the California Obligated Group Representative.

“*EMMA*” shall mean the Electronic Municipal Market Access system of the MSRB accessible at <http://emma.msrb.org> or such other information repository as may be determined by the SEC from time to time.

“Financial Obligation” means a (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term “Financial Obligation” shall not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

“HumanGood Fresno” shall mean HumanGood Fresno (formerly known as The Terraces at San Joaquin Gardens), a California nonprofit public benefit corporation.

“HumanGood NorCal” shall mean HumanGood NorCal (formerly known as American Baptist Homes of the West), a California nonprofit public benefit corporation.

“HumanGood SoCal” shall mean HumanGood SoCal (formerly known as Southern California Presbyterian Homes), a California nonprofit public benefit corporation.

“Listed Events” shall mean any of the events listed in Section 5(a) of this Disclosure Agreement.

“Loan Agreement” shall mean the Loan Agreement, dated as of September 1, 2021, between HumanGood NorCal and the Authority relating to the Series 2021 Bonds, as it may be amended or supplemented from time to time.

“Master Indenture” shall mean the Master Trust Indenture, dated as of August 1, 2019, among HumanGood NorCal, as California Obligated Group Representative, the other Members of the California Obligated Group, and the Master Trustee, as amended and supplemented from time to time.

“Master Trustee” shall mean U.S. Bank National Association, as master trustee.

“Member” shall have the meaning set forth in the Master Indenture.

“Monthly Report” shall mean any Monthly Report provided by the California Obligated Group Representative pursuant to Sections 3 and 4 of this Disclosure Agreement.

“MSRB” shall mean the Municipal Securities Rulemaking Board or any successor entity as described in the Rule.

“Obligated Person” shall have the meaning set forth in the Rule.

“Offering Document” shall mean the Official Statement dated September 16, 2021 describing the Series 2021 Bonds.

“Quarterly Report” shall mean any quarterly report provided by the California Obligated Group Representative pursuant to Sections 3 and 4 of this Disclosure Agreement.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“SEC” shall mean the United States Securities and Exchange Commission.

“Series 2021 Bonds” means the Authority’s Revenue Bonds, Series 2021 (HumanGood – California Obligated Group).

“Underwriter” shall mean B.C. Ziegler and Company, or any additional purchaser of the Series 2021 Bonds required to comply with the Rule in connection with an offering of the Series 2021 Bonds.

Section 2. Purpose of this Disclosure Agreement. The purpose of this Disclosure Agreement is to assist the Underwriter in complying with the Rule in connection with the Series 2021 Bonds. The California Obligated Group Representative represents that the Members of the California Obligated Group are the only Obligated Persons with respect to the Series 2021 Bonds at the time the Series 2021 Bonds are delivered to the Underwriter.

Section 3. Provision of Annual Reports, Quarterly Reports and Monthly Reports. (a) The California Obligated Group Representative shall, or shall cause the Dissemination Agent to, not later than 150 days after the completion of each fiscal year of the Members of the California Obligated Group (beginning with the fiscal year ending December 31, 2021), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) an Annual Report that is consistent with the requirements of Section 4(a) of this Disclosure Agreement.

(b) The California Obligated Group Representative shall, or shall cause the Dissemination Agent to, not later than 45 days after the completion of each fiscal quarter ending March 31, June 30 or September 30 of the Members of the California Obligated Group or 60 days after the completion of the fiscal quarter ending December 31 of the Members of the California Obligated Group (beginning with the fiscal quarter ending September 30, 2021), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) a Quarterly Report that is consistent with the requirements of Section 4(b) of this Disclosure Agreement.

(c) During the period of time any Monthly Report is required under Section 4(c) hereof, the California Obligated Group Representative shall, or shall cause the Dissemination Agent to, provide to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB), a Monthly Report as described in and consistent with the requirements of Section 4(c) hereof.

(d) In each case the Annual Report, the Quarterly Report and the Monthly Report may be submitted as a single document or as a package comprising separate documents. Any or all of the items constituting the Annual Report, the Quarterly Report and the Monthly Report may be incorporated by reference from other documents that have been submitted to the MSRB or the SEC. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The California Obligated Group Representative shall clearly identify each such other document so incorporated by reference.

(e) The Dissemination Agent shall (if the Dissemination Agent is other than the California Obligated Group Representative) file a report with the California Obligated Group Representative certifying that the Annual Report, the Quarterly Report and the Monthly Report, as applicable, has been provided pursuant to this Disclosure Agreement, stating the date it was provided to the MSRB.

(f) With respect to each Annual Report, Quarterly Report or Monthly Report required to be submitted to the MSRB in this Section 3, the California Obligated Group Representative agrees to deliver such information or, alternatively, a notice of the California Obligated Group Representative's intent to act as its own Dissemination Agent with respect to such information, to the Dissemination Agent at least two (2) Business Days prior to the date required for dissemination to the MSRB. If the Dissemination Agent does not receive an Annual Report, Quarterly Report or Monthly Report or a notice of the California Obligated Group Representative's intent to act as Dissemination Agent with respect to such information on or before the date that such Annual Report, Quarterly Report or Monthly Report is required to be provided to the MSRB, then the Dissemination Agent shall file with the MSRB a Notice of

Failure to File in the form attached as *Exhibit A* hereto. If the California Obligated Group Representative is unable to provide to the MSRB an Annual Report, Quarterly Report or Monthly Report by the dates required in this Section 3 and the Dissemination Agent has not filed with the MSRB a related Notice of Failure to File in the form attached as *Exhibit A* hereto, the California Obligated Group Representative shall send or cause to be sent a notice of such fact to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB).

(g) Each Annual Report, Quarterly Report and Monthly Report submitted hereunder shall be in readable PDF or other acceptable electronic form.

Section 4. Content of Annual Reports, Quarterly Reports and Monthly Reports.

(a) The Annual Report to be delivered under Section 3(a) shall include audited financial statements of the combined California Obligated Group and consolidated affiliates for the fiscal year immediately preceding the due date of the Annual Report. Such financial statements shall be prepared in accordance with generally accepted accounting principles and audited by an independent certified public accountant, together with a balance sheet, a statement of operations and changes in net assets and a statement of cash flows for such year for the combined California Obligated Group prepared in accordance with generally accepted accounting principles together with a separate written statement of the accountants preparing such report containing calculations of the combined California Obligated Group's Debt Service Coverage Ratio for such fiscal year and of the combined California Obligated Group's Days Cash on Hand as of the last day of such fiscal year, and a statement that such accountants have no knowledge of any default related to certain financial covenants contained in the Master Indenture, or if such accountants shall have obtained knowledge of any such default or defaults, they shall disclose in such statement the default or defaults and the nature thereof; *provided, however*, that if such audited financial statements are not available by the deadline for filing the Annual Report, they shall be provided when and if available, and unaudited financial statements shall be included in the Annual Report. The Annual Report to be delivered under Section 3(a) shall also provide the following financial and operating data:

(1) A report of the combined occupancy the California Obligated Group's independent living units, if applicable, showing for each fiscal quarter during the preceding fiscal year, (i) the number and type of units occupied and services provided with respect to each type of unit at the beginning of such quarter, (ii) the number and type of units vacated during such quarter, (iii) the number of units occupied at the end of such quarter, and (iv) the average occupancy, by number and type of unit, during such quarter.

(2) A summary of the board-approved annual budget for the combined California Obligated Group and a list of all guaranties, including the terms of the guaranteed indebtedness (e.g., principal amount, interest rate, repayment terms, etc.), the identity of the party to whom the guaranty is granted as well as the obligor on the guaranteed indebtedness and whether or not any payments have been made in the last fiscal year including to whom and the amount.

(3) The debt service schedules and related terms (e.g., principal amount, interest rate, repayment terms, etc.) for any Financial Obligation incurred by a Member of the California Obligated Group during the preceding fiscal year.

(4) If applicable, a report of the star rating maintained by the Centers for Medicare & Medicaid Services for each of the 14 life plan communities owned and operated by the California Obligated Group, to the extent available.

(b) The Quarterly Report to be delivered under Section 3(b) shall contain management-prepared financial statements, including a consolidated or consolidating statement of revenues and expenses and statement of cash flows of the California Obligated Group during such period, a comparison of actual revenues and expenses of the California Obligated Group year-to-date against the operating budget of the California Obligated Group, an update of the status of any construction project ongoing or completed during the fiscal quarter the cost of which exceeds \$25 million in the aggregate, a consolidated or consolidating balance sheet as of the end of each such fiscal quarter, and a calculation of the Days Cash on Hand for the second and last fiscal quarters of each year, a calculation of Debt Service Coverage Ratio for the last fiscal quarter, occupancy levels of all of the facilities operated by the California Obligated Group by level of care as of the end of each such quarter, and combined payor mix for skilled nursing facilities of the Members of the California Obligated Group, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the California Obligated Group Representative, and an Officer's Certificate of the California Obligated Group Representative stating that the California Obligated Group is in compliance with all of the terms, provisions and conditions of the Master Indenture or if not, specifying all such defaults and the nature thereof.

(c) A Report to be delivered under this Section 4(c) shall be required in any month commencing after the combined California Obligated Group's Debt Service Coverage Ratio for any Fiscal Year is reported on EMMA to be less than 1.00:1 and shall be required for each month after such reporting until the combined California Obligated Group's Debt Service Coverage Ratio is reported to be at least 1.00:1. The Monthly Report to be delivered under this Section 4(c) shall contain the same information required to be included in the Quarterly Reports, as detailed in Section 4(b) above.

Section 5. Reporting of Listed Events. (a) This Section 5 shall govern the giving of notices of the occurrence of any of the following events with respect to the Series 2021 Bonds:

- (1) principal and interest payment delinquencies;
- (2) non-payment related defaults, if material;
- (3) unscheduled draws on debt service reserves reflecting financial difficulties;
- (4) unscheduled draws on credit enhancements reflecting financial difficulties;
- (5) substitution of credit or liquidity providers, or their failure to perform;
- (6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Series 2021 Bonds, or other material events affecting the tax status of the Series 2021 Bonds;
- (7) modifications to rights of security holders, if material;
- (8) bond calls, if material, and tender offers (except for mandatory scheduled redemptions not otherwise contingent upon the occurrence of an event);
- (9) defeasances;
- (10) release, substitution, or sale of property securing repayment of the Series 2021 Bonds, if material;

(11) rating changes;

(12) bankruptcy, insolvency, receivership or similar event of a Member of the California Obligated Group;

(13) the consummation of a merger, consolidation, or acquisition involving a Member of the California Obligated Group or the sale of all or substantially all of the assets of a Member of the California Obligated Group, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

(14) appointment of a successor or additional trustee or the change of name of a trustee, if material;

(15) the incurrence of a Financial Obligation of a Member of the California Obligated Group, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of a Member of the California Obligated Group, any of which affect security holders, if material; and

(16) a default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of a Member of the California Obligated Group, any of which reflect financial difficulties.

(b) Upon the occurrence of a Listed Event, the California Obligated Group Representative shall, or shall cause the Dissemination Agent to, promptly file a notice of such occurrence with the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB). Such notice shall be filed within ten (10) Business Days after the occurrence of the Listed Event.

Section 6. Termination of Reporting Obligation. The California Obligated Group's obligations under this Disclosure Agreement with respect to the Series 2021 Bonds shall terminate upon the defeasance, prior redemption or payment in full of all the Series 2021 Bonds or if the Rule shall be revoked or rescinded by the SEC or declared invalid by a final decision of a court of competent jurisdiction.

Section 7. Dissemination Agent. From time to time, the California Obligated Group Representative may appoint or engage a Dissemination Agent to assist the California Obligated Group Representative in carrying out its obligations under this Disclosure Agreement, and may discharge any such agent, with or without appointing a successor Dissemination Agent. If at any time there is not any other designated Dissemination Agent, the California Obligated Group Representative shall be the Dissemination Agent. The initial Dissemination Agent shall be the California Obligated Group Representative. The sole remedy of any party against the Dissemination Agent shall be nonmonetary and specific performance. The Dissemination Agent shall not be responsible for the form or content of any Annual Report, Quarterly Report, Monthly Report, notice of Listed Event, or other document furnished to the Dissemination Agent by the California Obligated Group Representative.

The Dissemination Agent shall receive reasonable compensation for its services provided hereunder. The Dissemination Agent may resign at any time by providing at least 60 days' notice to the California Obligated Group Representative.

Section 8. Amendment; Waiver; Modification. The California Obligated Group may amend or waive any provision of this Disclosure Agreement, if such amendment or waiver is supported by an opinion of counsel expert in federal securities laws, to the effect that such amendment or waiver would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule or adjudication of the Rule by a final decision of a court of competent jurisdiction. The California Obligated Group may modify from time to time the specific types of information provided in an Annual Report, Quarterly Report or Monthly Report to the extent necessary as a result of a change in legal requirements, change in law or change in the nature of any Member of the California Obligated Group or its businesses, *provided* that any such modification will be done in a manner consistent with the Rule and will not, in the opinion of the Master Trustee, a Related Bond Trustee or an Independent Consultant (as defined in the Master Indenture), materially impair the interests of the Bondholders.

Section 9. Additional Information. The Members of the California Obligated Group may from time to time choose to disseminate other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or include other information in any Annual Report, Quarterly Report, Monthly Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Agreement. If such Member of the California Obligated Group chooses to include any information in any Annual Report, Quarterly Report, Monthly Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Agreement, such Member shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report, Quarterly Report, Monthly Report or notice of occurrence of a Listed Event.

Section 10. Default. A default under this Disclosure Agreement shall not be deemed an Event of Default under the Master Indenture, the Bond Indenture or the Loan Agreement, and the sole remedy of Bondholders under this Disclosure Agreement in the event of any failure of the California Obligated Group or the California Obligated Group Representative, on behalf of the California Obligated Group, to comply with this Disclosure Agreement shall be an action to compel performance.

Section 11. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the California Obligated Group Representative, the Members of the California Obligated Group, the Underwriter and the Bondholders, and shall create no rights in any other person or entity.

Section 12. Responsible Officer. The California Obligated Group Representative's Chief Financial Officer shall be the officer, agency, or agent of the California Obligated Group Representative responsible for providing Annual Reports, Quarterly Reports and Monthly Reports and giving notice of Listed Events, to the extent required hereunder, and any inquiries regarding this Disclosure Agreement should be directed to the California Obligated Group Representative, to the attention of its Chief Financial Officer.

Section 13. Future Changes to the Rule. As set forth in Section 2 of this Disclosure Agreement, the California Obligated Group Representative has executed and delivered this Disclosure Agreement to assist the Underwriter in complying with the requirements of the Rule. Therefore, notwithstanding anything in this Disclosure Agreement to the contrary, in the event the SEC, the MSRB or other regulatory authority shall approve or require changes to the requirements of the Rule, the California Obligated Group shall be permitted, but shall not be required, to unilaterally modify the covenants in this Disclosure Agreement, without complying with the requirements of Section 8 of this Disclosure Agreement, in order to comply with, or conform to, such changes. In the event of any such

modification of this Disclosure Agreement, the California Obligated Group Representative shall post notice of such changes on EMMA in a timely manner.

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IN WITNESS WHEREOF, the California Obligated Group Representative has caused this Disclosure Agreement to be executed by its duly authorized officer as of the date first set forth above.

HUMANGOOD NORCAL, as Obligated Group
Representative on behalf of itself and
HumanGood SoCal and HumanGood Fresno

By: _____
Chief Financial Officer

EXHIBIT A

NOTICE TO MSRB OF FAILURE TO FILE

Name of Issuer: California Municipal Finance Authority

Name of Obligors: HumanGood NorCal, HumanGood SoCal and HumanGood Fresno

Name of Bond Issue: California Municipal Finance Authority Revenue and Refunding Bonds,
Series 2021 (HumanGood – California Obligated Group)

Date of Bond Issuance: September 29, 2021

NOTICE IS HEREBY GIVEN that HumanGood NorCal, HumanGood SoCal and HumanGood Fresno (collectively, the “*Obligors*”) have not provided an [Annual Report][Quarterly Report][Monthly Report] with respect to the above-named Bonds as required by the Continuing Disclosure Agreement, dated as of September 29, 2021, of HumanGood NorCal, as Obligated Group Representative (the “*California Obligated Group Representative*”) on behalf of the Obligors. The California Obligated Group Representative has informed the Dissemination Agent that the California Obligated Group Representative anticipates the [Annual Report][Quarterly Report][Monthly Report] will be filed by _____.

Dated: _____

[_____] , as Dissemination Agent

By: _____

cc: HumanGood NorCal, as Obligated Group Representative

APPENDIX G

BOOK-ENTRY ONLY SYSTEM

THE INFORMATION PROVIDED IN THIS APPENDIX F HAS BEEN PROVIDED BY DTC. NO REPRESENTATION IS MADE BY THE AUTHORITY, THE MEMBERS OF THE CALIFORNIA OBLIGATED GROUP, THE UNDERWRITER OR THE BOND TRUSTEE AS TO THE ACCURACY OR ADEQUACY OF SUCH INFORMATION PROVIDED BY DTC OR AS TO THE ABSENCE OF MATERIAL ADVERSE CHANGES IN SUCH INFORMATION SUBSEQUENT TO THE DATE OF THIS OFFICIAL STATEMENT.

The Depository Trust Company (“DTC”), New York, New York, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, in the aggregate principal amount of such Bonds, and will be deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“*Direct Participants*”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“*Indirect Participants*”). DTC has Standard & Poor’s rating: AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org. **Neither the information on these websites, nor on any links from them, is part of this Official Statement, and such information cannot be relied upon to be accurate as of the date of this Official Statement, nor should any such information be relied upon to make investment decisions regarding the Bonds.**

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC’s records. The ownership interest of each actual purchaser of each Bond (“*Beneficial Owner*”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct or Indirect Participants acting on behalf of Beneficial Owners. **BENEFICIAL OWNERS WILL NOT RECEIVE CERTIFICATES**

REPRESENTING THEIR OWNERSHIP INTERESTS IN THE BONDS, EXCEPT IN THE EVENT THAT USE OF THE BOOK-ENTRY SYSTEM FOR THE BONDS IS DISCONTINUED.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as requested by an authorized representative of DTC. The deposit of the Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of the notices be provided directly to them. NONE OF THE AUTHORITY, THE MEMBERS OF THE CALIFORNIA OBLIGATED GROUP, THE UNDERWRITER, THE BOND TRUSTEE OR THEIR AGENTS OR COUNSEL HAVE ANY RESPONSIBILITY OR OBLIGATION TO SUCH DIRECT OR INDIRECT PARTICIPANTS OR THE PERSONS FOR WHOM THEY ACT AS NOMINEES WITH RESPECT TO THE BONDS.

Redemption notices shall be sent to DTC. If less than all of the Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor such other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Authority as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Authority or the Bond Trustee on payment dates in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Bond Trustee or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of Authority or the Bond Trustee, disbursement of such payments to Direct Participants is the responsibility of DTC, and disbursement of such payments to the Beneficial Owners is the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to any Bonds at any time by giving reasonable notice to the Authority or the Bond Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered as described in the Bond Indenture.

The Authority may decide to discontinue use of the system of book-entry-only transfers of Bonds through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC as described in the Bond Indenture.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the Authority believes to be reliable, but the Authority takes no responsibility for the accuracy thereof.

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human good



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